



— COMPILATION OF — **DOMESTIC TAX LAWS IN UGANDA**

FY 2025 / 2026

BY
**BUSINESS POLICY DIVISION OF THE
DOMESTIC TAXES DEPARTMENT, UGANDA
REVENUE AUTHORITY**

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CHAPTER 338
THE INCOME TAX ACT

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CHAPTER 338**THE INCOME TAX ACT***Commencement: 1st July, 1997***An Act to provide for income tax and related matters.****PART 1 - PRELIMINARY****1. Application of Act**

This Act applies to years of income commencing on or after 1st July, 1997.¹

2. Interpretation

In this Act, unless the context otherwise requires—

“amateur sporting association” means an association whose sole or main object is

to foster or control any athletic sport or game and whose members consist only of

amateur sports persons or affiliated associations, the members of which consist

only of amateur sports persons;

“approved” means approved by the Minister under regulations made under Section 151;

“assessed loss” has the meaning in Section 36;

“assessment” means—

(a) the ascertainment of the chargeable income of, and the amount of tax payable on it, by a taxpayer for a year of income under this Act;

(b) the ascertainment of the rental income of, and the amount of tax payable on it, by an individual for a year of income under this Act;

(c) the ascertainment of the amount of penal tax payable by a person under this Act; or

(d) any decision of the Commissioner General which, under this Act, is subject to objection and appeal;

“associate” has the meaning in Section 3;

“beneficial owner” means the natural person who ultimately owns or controls a

customer or the natural person on whose behalf a transaction is conducted and includes a person who exercises ultimate control over a legal person or arrangement and—²[

¹ “The Income Tax Act, 1997” replaced “The Income Tax Decree, 1974”

² Substituted by IT (Am) Act, 2022;

(a) means a natural person who has final ownership or control of another person or a natural person on whose behalf a transaction is conducted, and includes a natural person who exercises absolute control over a legal person.]³

(a) *in relation to a legal person includes-*⁴

- (i) *the natural person who either directly or indirectly holds at least ten percent of shares or voting rights of the legal person;*
- (ii) *the natural person who exercises control of the legal person through other means including personal or financial superiority; and*
- (iii) *the natural person who has power to make or influence decisions of a legal person;*

(b) *in relation to trusts includes-*⁵

- (i) *the settlor;*
- (ii) *the trustee;*
- (iii) *the protector;*
- (iv) *the beneficiary [ies] or the individual benefitting from the trust who is yet to be determined;⁶ and*
- (v) *any other natural person exercising ultimate [absolute] control of the trust; and ⁷*

(c) *in relation to other legal arrangements [person] similar to trusts, the [means a] natural person who holds [holding a] positions equivalent to those [any of the positions] referred to in subparagraph (b);⁸*

[“beneficial owner” means a natural person who owns or has a controlling interest over a legal person other than an individual who exercises control over the management and policies of a legal person or legal arrangement, directly or indirectly whether through ownership or voting securities, by contract or otherwise;] ⁹

“building society” means a building society registered under the Building Societies Act;

“business” includes any trade, profession, vocation or adventure in the nature of trade, but does not include employment;

³ Substituted by IT (Am) Act, 2021

⁴ Inserted by IT (Am) Act, 2022

⁵ Substituted by IT (Am) Act, 2021

⁶ Substituted by IT (Am) Act, 2022

⁷ Substituted by IT (Am) Act, 2022

⁸ Substituted by IT (Am) Act, 2021 and 2022

⁹ Inserted by IT (Am) Act, 2019; Substituted by IT (Am) Act, 2021

“business asset” means an asset which is used or held ready for use in a business, and includes any asset held for sale in a business and any asset of a partnership or company;

“business debt” means—

(a) in the case of a debtor—

- (i) a debt obligation, the proceeds of which are used to acquire a business asset or to incur an expense of a business;
- (ii) a debt obligation arising, as a result of being given time to pay, on the acquisition of a business asset or the incurring of an expense of a business; or
- (iii) any debt obligation of a partnership or company; or

(b) in the case of a creditor, any debt obligation owed to the creditor that was entered into or arose in the course of the creditor’s business;

“business income” has the meaning in Section 18;

“chargeable income” has the meaning in Section 15;

“chargeable trust income” has the meaning in Section 69;

“citizen” means¹⁰—

- (a) a natural person who is a citizen of a Partner State of the East African Community;
- (b) a company or a body of persons incorporated under the laws of a Partner State of the East African Community in which at least fifty-one percent of the share are held by a person who is a citizen of a Partner State of the East African Community;

“collective investment scheme” has the meaning assigned to it by section 3 of the Collective Investment Schemes Act, 2003.¹¹

“Commissioner General” means the Commissioner General appointed under the Uganda Revenue Authority Act;

“company” means a body of persons corporate or unincorporated, whether created or recognised under the law in force in Uganda or elsewhere, and a unit trust, but does not include any other trust or a partnership;¹²

“consideration” includes, the total amount in money or of payment in kind, paid or payable for the supply of goods, services or sale of land by any person,

¹⁰ Inserted by IT (Am) Act, 2019

¹¹ Inserted by IT (Am) Act 2005

¹² Substituted by IT (Am) Act, 2023

directly or indirectly, including any duties, levies, fees, and charges-other than tax paid or payable on, or by reason of, the supply, reduced by any discounts or rebates allowed and accounted for at the time of the supply or sale;¹³

“cost base”, in relation to an asset, has the meaning in Section 50;

“court” means a court of competent jurisdiction;

“currency point” has the value assigned to it in Schedule 1 to this Act;¹⁴

“debenture” includes any debenture stock, mortgage, mortgage stock, loan, loan stock or any similar instrument acknowledging indebtedness, whether secured or unsecured;

“debt obligation” means an obligation to make a repayment of money to another person, including accounts payable and the obligations arising under promissory notes, bills of exchange and bonds;

“dependant”, in relation to a member of a retirement fund, means a spouse of the member, any child, including an adopted child of the member who is under the age of eighteen years, or any other relative of the member who the Commissioner General is satisfied relies on the member for support;

“depreciable asset” means any plant or machinery, or any implement, utensil or similar article, which is wholly or partly used, or held ready for use, by a person in the production of income included in gross income and which is likely to lose value because of wear and tear, or obsolescence;

“disposal” has the meaning in Section 49;

“dividend” includes—

- (a) where a company issues debentures or redeemable preference shares to a shareholder—
 - (i) in respect of which the shareholder gave no consideration, an amount equal to the greater of the nominal or redeemable value of the debentures or shares; or
 - (ii) in respect of which the shareholder gave consideration which is less than the greater of the nominal or redeemable value, an amount equal to the excess;
- (b) any distribution upon redemption or cancellation of a share, or made in the course of liquidation, in excess of the nominal value of the share redeemed, cancelled, or subject to liquidation;

¹³ Inserted by IT (Am) Act, 2021

¹⁴ Currency point is equivalent to shs.20,000

- (c) in the case of a partial return of capital, any payment made in excess of the amount by which the nominal value of the shares was reduced;
- (d) in the case of a reconstruction of a company, any payment made in respect of the shares in the company in excess of the nominal value of the shares before the reconstruction;
- (e) the amount of any loan, the amount of any payment for an asset or services, the value of any asset or services provided, or the amount of any debt obligation released, by a company to, or in favor of, a shareholder of the company or an associate of a shareholder to the extent to which the transaction is, in substance, a distribution of profits, but does not include a distribution made by a building society;
- (f) the issue of bonus shares to shareholders; however, bonus shares shall only be taxable upon disposal;¹⁵ or
- (g) the payment of the excess of the return on investment in the bond to the bond holder under Islamic financial business for each payment period over the interest as defined in paragraph (f) in the definition of the term “interest” in this section;¹⁶

“employee” means an individual engaged in employment;

“employer” means a person who employs or remunerates an employee;

“employment” means—

- (a) the position of an individual in the employment of another person;
- (b) a directorship of a company;
- (c) a position entitling the holder to a fixed or ascertainable remuneration;
or
- (d) the holding or acting in any public office;

“employment income” has the meaning in Section 19;

“exempt organisation” means any company, institution, or irrevocable trust—

- (a) which is—
 - (i) an amateur sporting association;

¹⁵ Inserted by IT (Am) Act, 2013

¹⁶ Inserted by IT (Am No.2) Act, 2023

- (ii) a religious, charitable, [or] educational institution *or research institution*¹⁷ [of a public character] *whose object is not for profit*;¹⁸ or
 - (iii) a labour union, an association of employees, an association of employers registered under any law of Uganda or an association established for the purpose of promoting farming, mining, tourism, manufacturing or commerce and industry in Uganda;
 - (iv) a body established by law for the purpose of regulating the conduct of professionals;¹⁹ and
- (b) which has been issued with a written ruling by the Commissioner General currently in force stating that it is an exempt organisation; and
 - (c) none of the income or assets of which confers, or may confer, a private benefit on any person; or
 - (d) the National Medical Stores;²⁰

“farming” means pastoral, agricultural, plantation, horticultural or other similar operations;

“financial institution” means any person carrying on the business of receiving funds from the public or from members through the acceptance of money deposits repayable upon demand, after a fixed period, or after notice, or any similar operation through the sale or placement of bonds, certificates, notes or other securities, and the use of such funds either in whole or part for loans, investments or any other operation authorised either by law or by customary banking practices, for the account and at the risk of the person doing such business;

“foreign-source income” means any income which is not derived from sources in Uganda;

“gross income” has the meaning in Section 17;

“gross turnover”, in relation to a resident taxpayer for a year of income, means—

- (a) the amount shown in the recognised accounts of the taxpayer as the gross proceeds derived in carrying on a business or businesses during the year of income, including the gross proceeds arising from the

¹⁷ Substituted by IT (Am) Act, 2022

¹⁸ Inserted by IT (Am) Act, 2021

¹⁹ Inserted by IT (Am) Act, 2017

²⁰ Inserted by IT (Am) Act, 2015

disposal of trading stock, without deduction for expenditures or losses incurred in deriving that amount; and

- (b) the amount, if any, shown in the recognised accounts of the taxpayer as the amount by which the sum of the gains derived by the taxpayer during the year of income from the disposal of business assets, other than trading stock, exceeds the losses incurred by the taxpayer during the year in respect of the disposal of such assets;

“incapacitated person” means a resident individual adjudged under a law in Uganda to be suffering from mental illness;

“incapacitated person’s trust” means a trust established for the benefit of an incapacitated person;

“industrial building” means any building which is wholly or partly used, or held ready for use, by a person in—

- (a) manufacturing operations;
- (b) research and development into improved or new methods of manufacture;
- (c) mining operations;
- (d) an approved hotel business;
- (e) an approved hospital; or
- (f) *approved commercial buildings*.²¹

“interest” includes –

- (a) any payment, including a discount or premium, made under a debt obligation which is not a return of capital;
- (b) any swap or other payments functionally equivalent to interest;
- (c) any commitment, guarantee, or service fee paid in respect of a debt obligation or swap agreement;
- (d) a distribution by a building society;
- (e) *any payment, including a discount or premium, made under sale-based financing or lease-based financing under Islamic financial business*;²²
- (f) *any payment as the excess of the total amount paid by a bond issuer over and above the amount received from a bond holder under Islamic financial business for each payment period calculated at a rate not*

²¹ Inserted by Finance Act, 2001

²² Subsections (e) – (g) inserted by IT (Am No.2) Act, 2023

exceeding the rate determined by the Bank of Uganda and does not include dividends; or

- (g) *a partner's share of partnership income derived from a partnership arrangement under Islamic financial business;*

"Islamic financial business" means financial business undertaken by a person that conforms to Shari'ah principles and includes-²³

- (a) the business of receiving property into profit sharing investment accounts or of managing such accounts;
- (b) any other business of a person which involves or is intended to involve the entry into one or more contracts under Shari'ah or otherwise carried out or purported to be carried out in accordance with Shari'ah principles including-
 - (i) equity or partnership financing;
 - (ii) lease-based financing;
 - (iii) sale-based financing
 - (iv) currency exchange contracts; or
 - (v) fee-based activity;
- (c) the purchase of bills of exchange, certificates of Islamic deposit or other negotiable instruments;
- (d) the acceptance or guarantee of any liability, obligation or duty of any person; and
- (e) the business of providing finance by all means, including through the acquisition, disposal or leasing of assets or through the provision of services which have similar economic effect and are economically equivalent to any other financial business;

"life insurance business" has the meaning in Section 16 (3);

"listed institution" means an institution listed in Schedule 2 to this Act;

"local authority" means any public body established under a law of Uganda and having control over the expenditure of revenue derived from rates or taxes imposed by law upon the residents of the areas for which that body is established

"local council" has the same meaning as in the Local Governments Act;

"manufacturing" means the substantial transformation of tangible movable property, including power generation and water supply;

²³ Inserted by IT (Am No.2) Act, 2023

“mineral” has the same meaning as in the Mining and Minerals Act;

“mining operations” includes every method or process by which any mineral is won from the soil or from any substance or constituent of the soil;

“Minister” means the Minister responsible for finance;

“natural resource payment” means—

- (a) a payment, including a premium or like payment, made as consideration for the right to take minerals or a living or non-living resource from the land; or
- (b) a payment calculated in whole or in part by reference to the quantity or value of minerals or a living or non-living resource taken from the land;

“nominal value”, in relation to a share or debenture, means the paid-up amount of the share or face value of the debenture, including any premium paid in respect of the share or debenture;

“non-resident person” has the meaning in Section 14;

“partnership” means an association of persons carrying on business for joint profit, *and includes an equity or partnership financing under Islamic financial business*;²⁴ “payment” includes any amount paid or payable in cash or kind, and any other means of conferring value or benefit on a person;

“person” includes an individual, a partnership, a trust, a company, a retirement fund, a government, a political subdivision of a government and a listed institution;

“petroleum agreement” means an agreement for the grant of a licence for petroleum exploration, development and production between the Government and a contractor;²⁵

“property income” has the meaning in Section 20;

“provisional taxpayer” means a person liable for provisional tax under Section 121;

“relative”, in relation to an individual, means –

- (a) an ancestor, a descendant of any of the grandparents, or an adopted child, of the individual, or of a spouse of the individual; or

²⁴ Substituted by IT (Am No.2) Act, 2023

²⁵ Inserted by IT (Am) Act 2, 2008; Repealed by IT (Am) Act, 2023

- (b) a spouse of the individual or of any person specified in paragraph (a) of this definition;

“rent” means any payment, including a premium or like amount, made as consideration for use or occupation of, or the right to use or occupy, land or buildings;

“rental income”, in relation to [an individual] *a person* for a year of income, means the total amount of rent derived by the [individual] *person* for the year of income from the lease of immovable property in Uganda [by the individual] with the deduction of any expenditures and losses incurred [by the individual] in respect of the property;²⁶

“resident company” has the meaning in Section 10;

“resident individual” has the meaning in Section 9;

“resident partnership” has the meaning in Section 12;

“resident person” means a resident individual, resident company, resident partnership, resident trust, resident retirement fund, the Government of Uganda or a political subdivision of the Government of Uganda;

“resident retirement fund” has the meaning in Section 13;

“resident taxpayer” means a taxpayer who is a resident person;

“resident trust” has the meaning in Section 11;

“retirement fund” means a pension or provident fund established as a permanent fund maintained solely for either or both of the following purposes—

- (a) the provision of benefits for members of the fund in the event of retirement; or
- (b) the provision of benefits for dependants of members in the event of the death of the member
- (c) *the provision of benefits for members of the fund in the event of termination of service or upon the occurrence of an event specified in the written law, agreement or arrangement.*²⁷

“royalty” means—

- (a) any payment, including a premium or like amount, made as consideration for—

²⁶ Substituted by IT (Am) Act, 2014

²⁷ Inserted by IT (Am) Act, 2024. the numbering [2(III)(iii)] has been modified to (c) to comply with the numbering in the Revised Laws of Uganda, 2024

- (i) the use of, or the right to use, any patent, design, trademark, or copyright, or any model, pattern, plan, formula, or process, or any property or right of a similar nature;
 - (ii) the use of, or right to use—
 - (A) any motion picture film;
 - (B) any video or audio material, whether stored on film, tape, disc, or other medium, for use in connection with television or radio broadcasting; or
 - (C) any sound recording or advertising matter connected with material referred to in subparagraph (a)(ii)(A) or (B) of this definition;
 - (iii) the use of, or the right to use, or the receipt of, or right to receive, any video or audio material transmitted by satellite, cable, optic fibre or similar technology for use in connection with television, internet²⁸ or radio broadcasting;
 - (iv) the imparting of, or undertaking to impart, any scientific, technical, industrial or commercial knowledge or information;
 - (v) the use of, or the right to use, any tangible movable property;
 - (vi) the rendering of, or the undertaking to render, assistance ancillary to a matter referred to in subparagraph (a)(i) to (v) of this definition; or
 - (vii) a total or partial forbearance with respect to a matter referred to in subparagraphs (a)(i) to (vi); or
- (b) any gain on the disposal of any right or property referred to in paragraph (a) of this definition;
- “substituted year of income” has the meaning in Section 37;
- “swap agreement” means an arrangement between a person who has incurred a debt obligation with a floating interest rate and a person who has incurred a debt obligation with a fixed interest rate under which the persons agree to exchange their interest obligations;
- “swap payment” means a payment made under a swap agreement;
- “takaful” means insurance business conducted in accordance with Shari’ah Principles²⁹
- “tax” means any tax imposed under this Act;

²⁸ Inserted by IT (Am) Act, 2011

²⁹ Inserted by IT (Am No.2) Act, 2023

“tax-exempt employer” means an employer whose income is exempt from tax;

“taxpayer” means any person who derives an amount subject to tax under this Act and includes—

- (a) any person who incurs an assessed loss for a year of income; or
- (b) for the purposes of any provision relating to a return, any person required by this Act to furnish such a return;

“trading stock” includes anything produced, manufactured, purchased, or otherwise acquired for manufacture, sale, or exchange, as well as consumable stores;

“transitional year of income” has the meaning in Section 37;

“trust” means any arrangement affecting property in relation to which there is a trustee;

“trustee” includes –

- (a) any person appointed or constituted as such by act of the parties, by will, by order or declaration of any court, or by operation of the law;
- (b) an executor, administrator, tutor, or curator;
- (c) a liquidator or judicial manager;
- (d) any person having the administration or control of property subject to a trust;
- (e) any person acting in a fiduciary capacity;
- (f) any person having, either in a private or official capacity, the possession, direction, control or management of any property of a person under a legal disability;
- (g) any person who manages assets under a private foundation or other similar arrangement;

“underlying ownership”, in relation to a person other than an individual, means an interest held in, or over, the person directly or indirectly through interposed companies, partnerships, or trusts by an individual or by a person not ultimately owned by individuals;

“unit trust” means a unit trust registered or required to be registered as Parliament may by law prescribe; and

“year of income” means the period of twelve months ending on 30th June, and includes a substituted year of income and a transitional year of income

3. Associate

- (1) For the purposes of this Act, where any person, not being an employee, acts in accordance with the directions, requests, suggestions, or wishes of

another person whether or not they are in a business relationship and whether those directions, requests, suggestions, or wishes are communicated to the first-mentioned person, both persons are treated as associates of each other.

- (2) Without limiting the generality of subsection (1), the following are treated as an associate of a person—
- (a) a relative of the person, unless the Commissioner General is satisfied that neither person acts in accordance with the directions, requests, suggestions, or wishes of the other person;
 - (b) a partner of the person, unless the Commissioner General is satisfied that neither person acts in accordance with the directions, requests, suggestions, or wishes of the other person;
 - (c) a partnership in which the person is a partner where the person, either alone or together with an associate or associates under another application of this Section, controls fifty percent or more of the rights to income or capital of the partnership;
 - (d) the trustee of a trust under which the person, or an associate under another application of this Section, benefits or may benefit;
 - (e) a company in which the person, either alone or together with an associate or associates under another application of this Section, controls fifty per cent or more of the voting power in the company either directly or through one or more interposed companies, partnerships, or trusts;
 - (f) where the person is a partnership, a partner in the partnership who, either alone or together with an associate or associates under another application of this Section, controls fifty percent or more of the rights to income or capital of the partnership;
 - (g) where the person is the trustee of a trust, any other person who benefits or may benefit under the trust; or
 - (h) where the person is a company—
 - (i) a person who, either alone or together with an associate or associates under another application of this Section, controls fifty

per cent or more of the voting power in the company, either directly or through one or more interposed companies, partnerships, or trusts; or

- (ii) another company in which the person referred to in subparagraph (i) either alone or together with an associate or associates under another application of this Section, controls fifty per cent or more of the voting power in that other company, either directly or through one or more interposed companies, partnerships, or trusts.

PART II—IMPOSITION OF TAX

4. Income tax imposed

- (1) Subject to, and in accordance with this Act, a tax to be known as income tax shall be charged for each year of income and is imposed on every person who has chargeable income for the year of income.
- (2) Subject to subsections (4) and (5), the income tax payable by a taxpayer for a year of income is calculated by applying the relevant rates of tax determined under this Act to the chargeable income of the taxpayer for the year of income and from the resulting amount are subtracted any tax credits allowed to the taxpayer for the year of income.
- (3) Where a taxpayer is allowed more than one tax credit for a year of income, the credits shall be applied in the following order—
 - (a) the foreign tax credit allowed under Section 80; then
 - (b) the tax credit allowed under Section 146; then
 - (c) the tax credit allowed under Section 121(8).
- (4) *Subject to subsection (7),³⁰ where the gross income of a taxpayer for a year of income consists exclusively of employment income derived from a single employer from which tax has been withheld as required under Section 126, the income tax payable by the taxpayer for the year of income is the amount equal to the sum of the amounts required to be withheld from such income under Section 126.*
- (5) Subject to subsection (8), where the gross turnover of a resident taxpayer

³⁰ Inserted by IT (Am) Act, 2011

for a year of income derived from carrying on a business or businesses is less than *one hundred and fifty million shillings*,³¹[fifty million shillings] the income tax payable by the taxpayer for the year of income shall be determined in accordance with Schedule 3 to this Act, unless the taxpayer elects by notice in writing to the Commissioner General for subsection (2) to apply; and

- (a) the tax shall be a final tax on the business income of the taxpayer;
 - (b) no deductions shall be allowed under this Act for expenditures or losses incurred in the production of the business income; and ³²
 - (c) no tax credits allowed under this Act shall be used to reduce the tax payable on the business income of the taxpayer, except as provided in the Schedule 3 to this Act.
- (6) An election under subsection (5) must be lodged with the Commissioner General by the due date for the taxpayer's return for the year of income to which it relates.
- (7) Subsection (4) shall not apply to a taxpayer for a tax year if the employment income of that taxpayer for that year includes an amount under section 19(1)(g)³³
- (8) Subsection (5) does not apply to a resident taxpayer who is in the business of providing medical, dental, architectural, engineering, accounting, legal, or other professional services, public entertainment services, public utility services, or construction services.

5. Rental tax imposed

- (1) Subject to, and in accordance with this Act, a tax shall be charged for each year of income and is imposed on every [individual] *person* who has rental income for the year of income.³⁴
- (2) The tax payable [individual] by any person under this Section for a year of income is –[calculated by applying the relevant rates of tax determined under Section 6(2) to the rental income derived by the individual for the year.] ³⁵

(a) *where the person is an individual, calculated by applying the relevant*

³¹Substituted by IT (Am) Act, 2015

³² Inserted by IT (Am), 2011

³³ Section 5 Substituted by IT (Am) Act, 2014

³⁴

³⁵ Substituted by IT (Am) Act, 2014

rates of tax determined under section 6(2) to the rental income derived by the individual for the year;

- (b) where the person is a company, calculated by applying the relevant rates of tax determined under section 7(2) to the rental income derived by the company for the year;*
 - (c) where the person is a trustee of a trust or a retirement fund, calculated by applying the relevant rates of tax determined under section 8(5) to the rental income derived by the trustee or retirement fund for the year;*
 - (d) where the person is a partnership, calculated by applying the relevant rates of tax on the individual partners under section 6(2) to the rental income derived by the partnership for the year.*
- (3) The tax imposed under this section on any person is separate from the tax imposed under section 4 and—
- (a) the rent derived by a person shall not be included in the gross income of the person which is subject to tax under this Act for any year of income;
 - (b) the expenditures and losses incurred by a person, other than an individual *or partnership*, in the production of rent shall be allowed as a deduction [under this Act] for any year of income *only as provided for in Section 22(1)(c);*³⁶
- [(b) expenditures and losses incurred by the individual in the production of the rent shall be allowed as a deduction under this Act for any year of income only as provided for in Section 22(1)(c);]*³⁷
- (c) the expenditures incurred or gross rent derived by a partnership shall be allocated to the partners in accordance with Section 66(5) and (7) of this Act.³⁸

*[(c) expenditures and losses incurred by a partnership in the production of rent shall be allowed as a deduction under this Act for any year of income only as provided for in section 22(1)(c).]*³⁹

³⁶ Substituted by IT (Am) Act, 2022

³⁷ Repealed by IT (Am) Act, 2022

³⁸ Inserted by IT (Am) Act, 2022

³⁹ Repealed by It (Am) Act, 2022

[(3) The tax imposed under this Section on an individual is separate from the tax imposed under Section 4 and –

- (a) the [*rental income* of the individual] rent derived by an individual shall not be included in the gross income subject to tax under this Act of the individual for any year of income;
 - (b) expenditures and losses incurred by the individual in the production of *rent* [rental income] shall be allowed as a deduction under this Act for any year of income *only as provided in Section 22(1)(c)*; and ⁴⁰
 - (c) the tax payable by a resident individual under this Section shall not be reduced by any tax credits allowed to the individual under this Act.^{41]} ⁴²
- (4) For the purposes of assessing rental tax under this section, the Minister shall, by statutory instrument, prescribe estimates of rent based on the rating of the rental property in a specific location.⁴³
- (5) A Statutory Instrument made under subsection (4) shall only apply to a person who fails to file a return in accordance with subsection (1) or whose return is misleading on the face of it and has been contested by the Commissioner General.
- (6) A Statutory Instrument made under this section shall come into force after approval by Parliament.
- (7) Notwithstanding the provisions of this section, all rental agreements shall be executed and effected in Uganda Shillings.⁴⁴

Rates of Tax

6. Rates of tax for individuals

- (1) The chargeable income of an individual for a year of income is charged to income tax at the rates prescribed in Part I of Schedule 4 to this Act.⁴⁵

⁴⁰ Subsections (a) & (b) Substituted by IT (Am) Act, 2002

⁴¹ Repealed by IT (Am) Act 1, 2008

⁴² Subsection (3) Substituted by IT (Am) Act, 2014

⁴³ Subsection 4- (7) inserted by IT (Am 2) Act, 2017

⁴⁴ Omitted by ULRC in the Revised Laws of Uganda, 2024

⁴⁵ Individual income tax rates range from 10% - 40%

- (2) The rental income of a resident individual for a year of income is charged to rental tax at the rate prescribed in Part II of Schedule 4 to this Act.⁴⁶

7. Rate of Income tax for companies

- (1) The chargeable income of a company for a year of income, is charged to income tax at the rate prescribed in Part III of Schedule 4 to this Act.⁴⁷
- (2) The rental income of a company for a year of income is charged to income tax at the rate prescribed in Part III of Schedule 4 to this Act.⁴⁸

8. Rate of income tax for trustees and retirement funds

- (1) Subject to subsections (2) and (3), a trustee of a trust is charged to tax at the rate prescribed in Part IV of Schedule 4 to this Act on the chargeable trust income of the trust for a year of income.⁴⁹
- (2) A trustee of a trust being the estate of a deceased taxpayer who, at the date of death, was a resident individual, is charged to tax on the chargeable trust income of the trust at the rates prescribed in Part I of Schedule 4 to this Act for—⁵⁰
- (a) the year of income in which death occurred; and
 - (b) the following year of income.
- (3) A trustee of an incapacitated person's trust is charged to tax at the rates prescribed in Part I of Schedule 4 to this Act on the chargeable trust income of the trust for a year of income.⁵¹
- (4) The chargeable income of a retirement fund for a year of income is charged to tax at the rate prescribed in Part IV of Schedule 4 to this Act.⁵²
- (5) Subject to subsections (6) and (7), the rental income of a trustee for a year of income is charged to tax at the rate prescribed in Part IV of Schedule 4 to this Act.⁵³

⁴⁶ Rental tax rate for individuals is 12% of gross rental income exceeding shs 2,820,000 pa.

⁴⁷ Corporate income tax rate is 30% of chargeable income

⁴⁸ Inserted by IT (Am) Act, 2014

⁴⁹ The rate is 30% of chargeable income

⁵⁰ Individual income tax rate of between 10% and 40% applies.

⁵¹ Individual income tax rate of between 10% and 40% applies.

⁵² The rate is 30% of chargeable income

⁵³ Subsections (5) – (8) Inserted by IT (Am) Act, 2014

- (6) A trustee of a trust being the estate of a deceased taxpayer who, at the date of death, was a resident individual, is charged to tax on the rental income of the trust at the rates prescribed in Part I of Schedule 4 to this Act for—⁵⁴
- (a) the year of income in which death occurred; and
 - (b) the following year of income.
- (7) A trustee of an incapacitated person's trust is charged to tax on the rental income of the trust for a year of income at the rates prescribed in Part I of Schedule 4 to this Act.⁵⁵
- (8) The rental income of a retirement fund for a year of income is charged to tax at the rate prescribed in Part IV of Schedule 4 to this Act.⁵⁶

PART III – RESIDENTS AND NON-RESIDENTS

9. Resident individual

- (1) Subject to subsections (2) and (3), an individual is a resident individual for a year of income if that individual—
- (a) has a permanent home in Uganda;
 - (b) is present in Uganda—
 - (i) for a period of, or periods amounting in aggregate to, 183 days or more in any twelve-month period that commences or ends during the year of income; or
 - (ii) during the year of income and in each of the two preceding years of income for periods averaging more than 122 days in each such year of income; or
 - (c) is an employee or official of the Government of Uganda posted abroad during the year of income.
- (2) An individual who is a resident individual under subsection (1) for a year of income, in this Section referred to as the “current year of income”, but who was not a resident individual for the preceding year of income is treated as a resident individual in the current year of income only for the period

⁵⁴ Individual income tax rates of between 10% and 40% applies.

⁵⁵ The trustee rental income is taxed at individual tax rates of between 10% and 40%

⁵⁶ The rate is 30% of chargeable income

commencing on the day on which the individual was first present in Uganda.

- (3) An individual who is a resident individual for the current year of income but who is not a resident individual for the following year of income is treated as a resident individual in the current year of income only for the period ending on the last day on which the individual was present in Uganda.

10. Resident company

A company is a resident company for a year of income if it—

- (a) is incorporated or formed under the laws of Uganda;
- (b) has its management and control exercised in Uganda at any time during the year of income; or
- (c) undertakes the majority of its operations in Uganda during the year of income.

11. Resident trust

A trust is a resident trust for a year of income if—

- (a) the trust was established in Uganda;
- (b) at any time during the year of income, a trustee of the trust was a resident person; or
- (c) the trust has its management and control exercised in Uganda at any time during the year of income.

12. Resident partnership

A partnership is a resident partnership for a year of income if, at any time during that year, a partner in the partnership was a resident person.

13. Resident retirement fund

A retirement fund is a resident retirement fund for a year of income if it—

- (a) is organised under the laws of Uganda;
- (b) is operated for the principal purpose of providing retirement benefits to resident individuals; or
- (c) has its management and control exercised in Uganda at any time during the year of income.

14. Non-resident person

- (1) Subject to subsection (2), a person is a non-resident person for a year of income if the person is not a resident person for that year.
- (2) Where Section 9(2) or (3) applies, an individual is a non-resident person for that part of the year of income in which the individual is not a resident individual.

PART IV – CHARGEABLE INCOME

15. Chargeable income

Subject to Section 16, the chargeable income of a person for a year of income is the gross income of the person for the year less total deductions allowed under this Act for the year.

16. Chargeable income arising from insurance business

- (1) The chargeable income of a person for a year of income arising from the carrying on of a short-term insurance *or general takaful*⁵⁷ business is determined in accordance with Schedule 5 to this Act.
- (2) Where a person to whom subsection (1) applies derives income charged to tax other than income arising from the carrying on of a short-term insurance *or general takaful*⁵⁸ business for a year of income, the chargeable income determined under subsection (1) is added to that other income for the purposes of determining the person's total chargeable income for the year of income.
- (3) In this Section—

“insurance business” means the business of, or in relation to the issue of, or the undertaking of liability under, life policies, or to make good or indemnify the insured against any loss or damage, including liability to pay damages or compensation contingent upon the happening of a specified event;

“life insurance business” means business of any of the following classes—

- (a) effecting, carrying out, and issuing policies on human life or contracts to pay annuities on human life;

⁵⁷ Inserted by IT (Am) (No. 2) Act, 2023

⁵⁸ Inserted by IT (Am No. 2) Act, 2023

- (b) effecting, carrying out, and issuing contracts of insurance against the risk of the person insured sustaining injury or dying as the result of an accident or an accident of a specific class, or becoming incapacitated in consequence of disease or of diseases of specified classes, being contracts that are expressed to be in effect for a period of not less than five years or without limit of time and either are not expressed to be terminable by the insurer before the expiry of five years from taking effect or are expressed to be so terminable before the expiry of such period only in special circumstances specified in the contract; or
- (c) effecting, carrying out, and issuing of insurance whether effected by the issue of policies, bonds, endowment certificates, or otherwise, whereby, in return for one or more premiums paid to the insurer, an amount or series of amounts is to become payable to the insurer in the future, not being such contracts as fall within subparagraph (a) or (b) of this paragraph; and

“short-term insurance business” means any insurance business, *including general takaful* , which is not a life insurance business or *family takaful* ;⁵⁹

“*family takaful* ” has the same meaning as life insurance business.⁶⁰

Gross Income

17. Gross income

- (1) Subject to this Act, the gross income of a person for a year of income is the total amount of
 - (a) business income;
 - (b) employment income; and
 - (c) property income,derived during the year by a person, other than income exempt from tax.
- (2) For the purposes of subsection (1)—
 - (a) the gross income of a resident person includes income derived from all geographical sources; and
 - (b) the gross income of a non-resident person includes only income

⁵⁹ Substituted by IT (Am No. 2) Act, 2023

⁶⁰ Inserted by IT (Am) (No. 2) Act, 2023

derived from sources in Uganda.

- (3) Unless this Act provides otherwise, Part V of this Act, which deals with tax accounting principles, applies in determining when an amount is derived for the purposes of this Act.

18. Business income

- (1) Business income means any income derived by a person in carrying on a business and includes the following amounts, whether of a revenue or capital nature—
- (a) the amount of any gain, as determined under Part VI of this Act which deals with gains and losses on disposal of assets, derived by a person on the disposal of a business asset, or on the satisfaction or cancellation of a business debt, whether or not the asset or debt was on revenue or capital account;
 - (b) any amount derived by a person as consideration for accepting a restriction on the person's capacity to carry on business;
 - (c) the gross proceeds derived by a person from the disposal of trading stock;
 - (d) any amount included in the business income of the person under any other Section of this Act;
 - (e) the value of any gifts derived by a person in the course of, or by virtue of, a past, present, or prospective business relationship;
 - (f) the interest derived by a person in respect of trade receivables or by a person engaged in the business of banking or money lending; and
 - (g) rent derived by a person whose business is wholly or mainly the holding or letting of property.⁶¹
- (2) An amount included in business income under subsection (1) (f) retains its character as interest or rent for the purposes of any Section of this Act referring to such income.
- (3) Where, as a result of any concession granted by, or a compromise made with, a taxpayer's creditors in the course of an insolvency, the taxpayer derives a gain on the cancellation of a business debt, Section 36(3) applies in lieu of including the gain in the business income of the taxpayer under subsection (1).
- (4) In this Section, "business asset" does not include trading stock or a

⁶¹ Repealed by IT (Am) Act 2014

depreciable asset.

19. Employment income

- (1) Subject to this Section, employment income means any income derived by an employee from any employment and includes the following amounts, whether of a revenue or capital nature—
- (a) any wages, salary, leave pay, payment in lieu of leave, overtime pay, fees, commission, gratuity, bonus, or the amount of any travelling, entertainment, utilities, cost of living, housing, medical, or other allowance;
 - (b) the value of any benefit granted;
 - (c) the amount of any discharge or reimbursement by an employer of expenditure incurred by an employee, other than expenditure incurred by an employee on behalf of the employer which serves the proper business purposes of the employer;
 - (d) any amount derived as compensation for the termination of any contract of employment, whether or not provision is made in the contract for the payment of such compensation, or any amount derived which is in commutation of amounts due under any contract of employment;
 - (e) any amount paid by a tax-exempt employer as a premium for insurance on the life of the employee and which insurance is for the benefit of the employee or any of his or her dependants;
 - (f) any amount derived as consideration for the employee's agreement to any conditions of employment or to any changes in his or her conditions of employment;
 - (g) the amount by which the value of shares issued to an employee under an employee share acquisition scheme at the date of issue exceeds the consideration, if any, given by the employee for the shares including any amount given as consideration for the grant of a right or option to acquire the shares;
 - (h) the amount of any gain derived by an employee on disposal of a right or option to acquire shares under an employee share acquisition scheme.
- (2) Notwithstanding subsection (1), the employment income of an employee does not include—
- (a) the cost incurred by the employer of any passage to or from Uganda in

respect of the employee's appointment or termination of employment where the employee—

- (i) was recruited or engaged outside Uganda;
 - (ii) is in Uganda solely for the purpose of serving the employer; and
 - (iii) is not a citizen of Uganda; or
- (b) any reimbursement or discharge of the employee's medical expenses;
- (c) except where subsection (1)(e) applies, any amount paid as a premium for insurance on the life of the employee and which insurance is for the benefit of the employee or any of his or her dependants;
- (d) any allowance given for, and which does not exceed the cost actually or likely to be incurred, or a reimbursement or discharge of expenditure incurred by the employee on—
- (i) accommodation and travel expenses; or
 - (ii) meals and refreshment,
*while undertaking travel*⁶² in the course of performing duties of employment;
- (e) the value of any meal or refreshment provided by the employer to the employee in premises operated by, or on behalf of the employer solely for the benefit of employees and which is available to all full-time employees on equal terms;
- (f) any benefit granted by the employer to the employee during a month, where the total value of the benefits provided by the employer to the employee for the month is less than ten thousand shillings;
- (g) any contribution or similar payment *by the employer*⁶³ made to a retirement fund for the benefit of the employee or any of his or her dependents; or
- (h) the value of a right or option to acquire shares granted to an employee under an employee share acquisition scheme.⁶⁴
- (3) For the purposes of this Section, the value of any benefit is determined in accordance with the Schedule 6 to this Act.

⁶² Substituted by IT (Am) Act, 2009

⁶³ Substituted by IT (Am) Act, 2002

⁶⁴ Inserted by IT (Am) Act, 2011

- (4) Where the amount to which subsection (1)(d) applies is paid by an employer to an employee who has been in the employment of the employer for ten years or more, the amount included in employment income is calculated according to the following formula –

$$\mathbf{A} \times 75\%$$

where,

A is the total amount derived by the employee to which subsection (1)(d) applies.

- (5) For the purposes of subsection (2), a director of a company is only a full-time employee of the company if the director—
- (a) is required to devote substantially the whole of his or her time to the service of the company in a managerial or technical capacity; and
 - (b) does not have an interest of more than five per cent in the underlying ownership of the company.
- (6) For the purposes of this Section, an amount or benefit is derived in respect of employment if it—
- (a) is provided by an employer or by a third party under an arrangement with the employer or an associate of the employer;
 - (b) is provided to an employee or to an associate of an employee; and
 - (c) is provided in respect of past, present, or prospective employment.
- (7) An amount excluded from the employment income of an employee under subsection (2) or (4) is exempt income of the employee.
- (8) In this Section—
- “employee share acquisition scheme” means an agreement or arrangement under which—
- (a) a company is required to issue shares in the company to the employees of the company or of an associated company; or
 - (b) a company is required to issue shares to a trustee of a trust and under

the trust deed the trustee is required to transfer the shares to the employees of the company or of an associated company; and

“medical expenses” includes a premium or other amount paid for medical insurance.

20. Property income

(1) Property income means—

- (a) any dividends, interest, annuity, natural resource payments, rents, royalties and any other payment derived by a person from the provision, use, or exploitation of property;
- (b) the value of any gifts derived by a person in connection with the provision, use, or exploitation of property;
- (c) the total amount of any contributions made to a retirement fund during a year of income by a tax-exempt employer; and
- (d) any other income derived by a person, [including winnings derived from sports betting and pool betting,⁶⁵⁶⁶ but does not include any amount which is business, employment or exempt income.

(2) An amount included in property income under subsection (1)(a) retains its character as dividends, interest, annuity, natural resource payment, rent, or royalties for the purposes of any section of the Act referring to such income.

Exempt Income

21. Exempt income

(1) The following amounts are exempt from tax—

- (a) the income of a listed institution;
- (b) the income of any organisation or person entitled to privileges under the Diplomatic Privileges Act to the extent provided in the regulations and orders made under that Act;

⁶⁵ Substituted by IT (Am) Act, 2014

⁶⁶ Deleted by IT (Am) Act 2023

- (c) the official employment income derived by a person in the public service of the government of a foreign country if—
 - (i) the person is either a non-resident person or is a resident individual solely by reason of performing such service;
 - (ii) the income is payable from the public funds of that country; and
 - (iii) the income is subject to tax in that country;
- (d) any allowance payable outside Uganda to a person working in a Ugandan foreign mission;
- (e) the income of any local authority;
- (f) the income of an exempt organisation, other than –
 - (i) property income, except rent received by an exempt organisation in respect of immovable property [*which is used lessee*] *and the rent is used by the lessor*⁶⁷ exclusively for the activities of the organisation specified in paragraph (a) of the definition of “exempt organisation” in Section 2; or
 - (ii) business income that is not related to the function constituting the basis for the organisation’s existence;
- (g) any education grant which the Commissioner General is satisfied has been made *bona fide* to enable or assist the recipient to study at a recognised educational or research institution;
- (h) any amount derived by way of alimony or allowance under any judicial order or written agreement of separation;
- (i) the value of any property acquired by gift, bequest, devise, or inheritance that is not included in business, employment, or property income;
- [(i) interest payable on Treasury Bills or Bank of Uganda Bills;]⁶⁸
- (j) any capital gain that is not included in business income, *other than capital gains on the sale of shares in a private limited liability company* or on the sale of a commercial building;⁶⁹

⁶⁷ Substituted by IT (Am) Act, 2004

⁶⁸ Replaced by IT (Am) Act, 2002

⁶⁹ Substituted by IT (Am) Act, 2010 & IT (Am) Act, 2014

- (k) employment income derived by an individual to the extent provided for in a technical assistance agreement where—
 - (i) the individual is a non-resident or a resident solely for the purpose of performing duties under the agreement; and
 - (ii) the Minister has concurred in writing with the tax provisions in the agreement;
- (l) foreign-source income derived by—
 - (i) a short-term resident of Uganda;
 - (ii) a person to whom paragraph (c) or (k) of this subsection applies; or
 - (iii) a member of the immediate family of a person referred to in subparagraph (i) or (ii) of this paragraph;
- (m) pension;
- (n) a lump sum payment made by a resident retirement fund to a member of the fund or a dependant of a member of the fund;
- (o) the proceeds of a life insurance policy paid by a person carrying on a life insurance business;
- (p) the official employment income of a person employed in the Uganda Peoples' Defence Forces, *the External Security Organisation, the Internal Security Organisation*⁷⁰ the Uganda Police Force, or the Uganda Prisons Service, other than a person employed in a civil capacity;
- (q) the employment income of a person employed as a Member of Parliament, except salary;⁷¹
- (r) the employment income of a prosecutor in the Office of the Director of Public Prosecution;⁷²
- (s) the income of the Government of the Republic of Uganda and the Government of any other country;⁷³
- (t) the income of the Bank of Uganda;⁷⁴

⁷⁰ Inserted by IT (Am) Act, 2013

⁷¹ Inserted by IT (Am) Act, 2016

⁷² Inserted by IT (Am) Act, 2023

⁷³ Added by IT (Am) Act, 2002

⁷⁴ Inserted by IT (Am) Act, 2003, W.E.F 7/07

- (ta) income derived from or by private equity or venture capital fund regulated under the Capital Markets Authority Act, Cap. 64 [84];⁷⁵
- (tb) income derived from the disposal of government securities on the secondary market;⁷⁶
- (u) income of a collective investment scheme to the extent of which the income is distributed to participants in the collective investment scheme;⁷⁷
- (v) emoluments payable to employees of the East African Development Bank with effect from 1st July 1997;⁷⁸
- (v) interest earned by a financial institution on a loan granted to any person for the purpose of farming, forestry, fish farming, bee keeping, animal and poultry husbandry or similar operations;⁷⁹
- (w) the income of an Investor Compensation Fund established under Section 81 of the Capital Markets Authority Act;⁸⁰
- (x) the income of the Deposit Protection Fund established under section 108 of the Financial Institutions Act, 2016;⁸¹
- (y) the income of a person derived from the operation of aircraft in *domestic and international traffic or the leasing of aircraft*; [whose place of effective management is not in Uganda];⁸²
- (z) the income of a person derived from the exportation of finished consumer and capital goods for a period of ten years, where the person—
- (i) in the case of a new investment, applies in writing to the Commissioner General to be issued with a certificate of exemption at the beginning of the investment of that person; or
- (ii) in the case of an existing investment, applies for a certificate

⁷⁵ Inserted by IT (Am) Act, 2024

⁷⁶ Inserted by IT (Am) Act, 2024

⁷⁷ Inserted by IT (Am) Act, 2005

⁷⁸ Inserted by IT (Am) Act, 2005

⁷⁹ inserted by IT (Am) Act, 2005 and Repealed by IT (Am) Act, 2014

⁸⁰ Inserted by IT (Am) Act, 2006 and 2008

⁸¹ Inserted by IT (Am) Act, 2020

⁸² Inserted by IT (Am) Act 1, 2008 and substituted by IT (Am) Act 2, 2008

from the Commissioner General which is effective from 1st July, 2007, and the person—

- (A) exports at least eighty percent of the production of goods;
- (B) has fulfilled such conditions as may be prescribed by regulations made by the Minister; and
- (C) has been issued with a certificate of exemption prescribed by the Commissioner General;⁸³

(za) the income derived from a business established by a citizen after 1st July, 2025, for a period of 3 years where where the-⁸⁴

- (i) business is registered with an investment capital not exceeding five hundred million shillings*
- (ii) citizen or an associate of the citizen has not previously benefited from the exemption; and*
- (iii) citizen files a tax return including business information return referred to in Section 147 in the format prescribed by the commissioner General.*

[(aa) the income of a person for a year of income derived from agro-processing where:—

- (i) the person or an associate of the person has not previously carried on agro-processing of a similar or related agricultural product in Uganda;*
- (ii) upon commencement of agro-processing in Uganda, the person applies in writing to the Commissioner for a certificate of exemption which the Commissioner may issue within sixty days of receiving the application;*
- (iii) the person invests in plant and machinery that has not previously been used in Uganda by any person in agro-processing to process agricultural products for final consumption;*
- (iv) the person processes agricultural products grown or produced in Uganda;*
- (v) the person regularly files returns as required under this Act;*
- (vi) the person regularly fulfils all obligations under this Act relating to that person's investment; and*
- (vii) the person has been issued with a certificate of exemption for that year of income by the Commissioner.]⁸⁵*

⁸³ Inserted by IT (Am) Act 1, 2008

⁸⁴ Inserted by IT (Am) Act No.2, 2025

⁸⁵ Repealed by IT (Am) Act, 2021

[(z) the income of a person *for the year of income* derived from *agro-processing* [agriculture] where the person⁸⁶ –

- (i) applies in writing to the Commissioner *at the beginning of his or her business* to be issued with a certificate of exemption *which the Commissioner shall issue within sixty (60) days of receiving the application*; [at the beginning of his or her investment]
- (ii) invests in new plant and machinery to process agricultural products for final consumption;
- (iii) processes agricultural products grown or produced in Uganda; [is located at least 30 kilometres outside Kampala district]⁸⁷
- (iv) regularly *files returns as required under this Act*;
- (v) regularly *fulfils all obligations in this Act relating to his or her investment*;
- (vi) the person has been issued with a certificate of exemption *for that year of income* by the Commissioner.]⁸⁸

(za) for avoidance of doubt, a certificate of exemption issued under subsection (1)(z)(ii) shall be valid for one year and may be renewed annually.⁸⁹

(aa) business income derived by a person from managing or running an educational institution;⁹⁰ or

(ab) interest earned by a person on deposit auction funds issued by the Bank of Uganda for the purposes of liquidity management.⁹¹

(aa) an award received by a sports person as a reward for winning or participating in a sports competition;⁹²

(ab) the income of Bujagali Hydro Power Project up to 30th June, 2026 [2024]⁹³. [2023] ⁹⁴ [2022]⁹⁵

(ac) income of a Savings and Credit Cooperative Society up to 30th June, 2027;⁹⁶

⁸⁶ Inserted by IT (Am) Act 2, 2008 and substituted by IT (Am) Act, 2009 & IT (Am) Act, 2011

⁸⁷ Deleted by IT (Am) Act, 2009

⁸⁸ Substituted by IT (Am) Act, 2011

⁸⁹ Inserted by IT (Am) Act, 2011

⁹⁰ Inserted by IT (Am) Act 2, 2008. Substituted by (Am) Act, 2009. Repealed by (Am) Act, 2014

⁹¹ Inserted by IT (Am) Act 2, 2008. Repealed by IT (Am) Act, 2013

⁹² Inserted by IT (Am) Act 2013

⁹³ Substituted by IT (Am) Act No.2, 2025

⁹⁴ Substituted by IT (Am) Act 2022

⁹⁵ Substituted by IT (Am) Act 2, 2017; substituted by IT (Am) Act, 2022

⁹⁶ Inserted by IT (Am) Act 2, 2017

- (ad) the income derived by a person from letting or leasing facilities whose investment capital is at least fifty million United States Dollars, in the case of a foreigner, or ten million United States Dollars, in the case of a citizen in an industrial park or free zone for a period of ten years from the date of commencement of construction or in the case of an existing developer, from the date on which the existing developer makes an additional investment equivalent to fifty million United States Dollars in the case of a foreigner or ten million United States Dollars in the case of a citizen;

[the income of a developer of an industrial park or free zone whose investment capital is at least one hundred million United States Dollars for a period of five years from the date of commencement of construction]⁹⁷

- (ae) the income of an operator in an industrial park or free zone or the income of any other person carrying on business outside the industrial park or free zone and the investment capital of that operator or that other person, over a period of at least ten years from the date of commencement of business, is at least ten million United States Dollars, in the case of a foreigner or three hundred thousand United States Dollars, in the case of a citizen or one hundred fifty thousand United States Dollars, for a citizen whose investment is placed up country, or in the case of an existing operator or other person carrying on business outside the industrial park or free zone, from the date on which the operator makes an additional investment equivalent to ten million United States Dollars in the case of a foreigner or three hundred thousand United States Dollars in the case of a citizen, or one hundred fifty thousand United States Dollars, for a citizen whose investment is placed up country who, subject to availability, uses at least seventy percent of locally sourced raw materials and employs at least seventy percent of its employees being citizens earning an aggregate wage of at least seventy percent of the total wage bill, and —
- (i) processes agricultural goods;
 - (ii) manufactures or assembles medical appliances, medical sundries or pharmaceuticals, building materials, automobile or household appliances;
 - (iii) manufactures furniture, pulp, paper, printing and publishing of instructional materials;

⁹⁷ Inserted by IT (Am) Act, 2018 and substituted by IT (Am) Act, 2019

- (iv) establishes or operates vocational or technical institutes;
- (v) carries out business in logistics and warehousing, information technology or commercial farming;
- (vi) manufactures tyres, footwear, mattresses or toothpaste;⁹⁸ or
- (vii) manufactures chemicals for agricultural use *or*⁹⁹, industrial use, textiles, glassware, leather products, industrial machinery, electrical equipment, sanitary pads and for diapers.¹⁰⁰
- (viii) Manufactures an electric vehicle, electric batteries or electric vehicle charging equipment or fabricates the frame and body of an electric vehicles;¹⁰¹
- (ix) Operates a specialized hospital facility.¹⁰²

[the income of an operator in an industrial park or free zone or other person carrying on business outside the industrial park or free zone who carries on any of the businesses referred to in paragraph (ag) and whose investment capital is at least ten million United States Dollars in the case of a foreigner or one million United States Dollars in the case of a citizen for ten years from the date of commencement of business or, in the case of an existing operator, from the date on which the operator makes an additional investment equivalent to ten million United States Dollars in the case of a foreigner or one million United States Dollars in the case of a citizen;]¹⁰³

[the income of an operator in an industrial park or free zone or other business outside the industrial park or free zone whose investment capital is at least fifteen million Dollars in the case of a foreigner or five million United States Dollars in the case of a Ugandan citizen for five years from the date of commencement of business].¹⁰⁴

[(ag) income of an operator within an industrial park, free zone or an operator who owns a single factory or other business outside the industrial park or free zone whose minimum investment capital is ten million United States Dollars in the case of a foreigner or one million United States Dollars in case of a citizen, who, subject to availability, uses at least fifty percent of locally sourced raw materials and employs at least sixty percent citizens and –

⁹⁸ Substituted by IT (Am) Act, 2020

⁹⁹ Inserted by IT (Am) Act No.2, 2025

¹⁰⁰ Inserted by IT (Am) Act, 2021

¹⁰¹ Inserted by IT (Am) Act, 2024

¹⁰² Inserted by IT (Am) Act, 2024

¹⁰³ Substituted by IT (Am) Act 2020

¹⁰⁴ Inserted by IT (Am) Act, 2018 and Substituted by IT (Am) Act, 2019

- (i) processes agricultural goods;
 - (ii) manufactures or assembles medical appliances, medical sundries or pharmaceuticals, building materials, automobile, household appliances;
 - (iii) manufactures furniture, pulp, paper, printing and publishing of instructional materials;
 - (iv) establishes or operates vocational or technical institutes; or
 - (v) carries on business in logistics and warehousing, information technology or commercial farming.]¹⁰⁵
- (af) interest paid on infrastructure bond;¹⁰⁶
- (ag) dividends earned from a company which came into existence through stock exchange.¹⁰⁷
- (2) An operator in an industrial park or free zone or any other person carrying on business outside the industrial park or free zone who undertakes investment and who seeks to benefit from the income tax exemption provided for under section 21 (1) (ad) and (ae)¹⁰⁸ shall declare in their tax return for a year of income, the qualifying income and its related expenses.¹⁰⁹
- (3) The qualifying income referred to in subsection (2), shall be the income attributable to the qualifying investment made in Uganda to be determined as follows—

I* A/B

Where:

I is the sum of gross income and exempt income of the person for the year of income before accounting for the qualifying income;

A is the total amount of investment made by an investor from the beginning of the year of income in which the investment becomes a qualifying investment;

B is the sum of the amount of the qualifying investments and the total investment made before the commencement of the current year of income;

¹⁰⁵ Inserted by IT (Am) Act, 2019; Repealed by IT (Am) Act, 2020

¹⁰⁶ Inserted by IT (Am) Act, 2019

¹⁰⁷ Inserted by The Law Revision (Miscellaneous Amendments) Act, 2023 having been enacted by the Finance Act, 1993 (commenced July 1992), now repealed by the Law Revision Act, 2023.

¹⁰⁸ Substituted by IT (Am) Act, 2021

¹⁰⁹ Subsections (2)-(6) Inserted by IT (Am) Act, 2020

- (4) The expenses which are related to the qualifying income shall be determined as follows-

$$E * F/G$$

Where:

E is the total allowable deductions for the year of income as provided for under the Act;

F is qualifying income calculated under subsection (3);

G is the sum of gross income and exempt income of the person for the year of income, before accounting for the qualifying income;

- (5) For purposes of subsection (1) (ad) and (ae)¹¹⁰, the date of commencement of business of the investor shall be the later of the first day of the year of income or the first day during the year of income on which the qualifying investment generates income.
- (6) For purposes of subsection (3), where a qualifying investment is still under construction or assembling, the amount in the qualifying investment shall be cumulated to the year of income in which the qualifying investment starts to generate income.
- (7) In this Section-

“short-term resident” means a resident individual, other than a citizen of Uganda, present in Uganda, for a period or periods not exceeding two years;

“technical assistance agreement” means a grant agreement between the Government of Uganda and a foreign government or a listed institution for the provision of technical assistance to Uganda;

“agro-processing” in relation to agricultural products of pastoral, agricultural, or other farming operations, means an industrial or manufacturing process that substantially transforms or converts raw agricultural produce in order to convert the produce into a different chemical or physical states and includes the activities that take place between slaughter or harvest of the raw product in order to change it or preserve it;¹¹¹

“infrastructure bond” means all listed bonds, notes or other similar securities used to raise funds for public infrastructure and other social

¹¹⁰ Inserted by IT (Am) Act, 2021.

¹¹¹ Inserted by IT (Am) Act, 2009

services, if those bonds have a maturity period of at least ten years.¹¹²

Deductions

22. Expenses of deriving income

(1) Subject to this Act, for the purposes of ascertaining the chargeable income of a person for a year of income, there shall be allowed as a deduction—

- (a) all expenditures and losses incurred by the person during the year of income to the extent to which the expenditures or losses were incurred in the production of income included in gross income;
- (b) the amount of any loss as determined under Part VI of this Act, which deals with gains and losses on the disposal of assets, incurred by the person on the disposal of a business asset during the year of income, whether or not the asset was on revenue or capital account;
- (c) in case of rental income, [*seventy-five per cent* [twenty per cent]¹¹³ of the rental income as expenditure[s] and losses incurred by *a person* [the individual] in the production of such income;] *the expenditure and losses incurred by a person other than an individual or partnership in the production of such income subject to subsection (2)*;¹¹⁴

[(ca) interest on a mortgage from a financial institution as expenditure incurred by an individual to acquire or construct premises that generate rental income;]¹¹⁵

- (d) *local service tax* [graduated tax] paid by an individual;¹¹⁶ and
- (e) 2% of income tax payable under this Act by private employers who prove to Uganda Revenue Authority that 5% of their employees on full time basis are persons with disabilities; [private employers who employ ten or more persons with disabilities either as regular employees, apprentices or learners on full time basis shall be entitled

to tax deduction of fifteen percent of all payable tax upon proof to the

¹¹² Inserted by IT (Am) Act, 2019

¹¹³ Substituted by IT (Am) Act, 2021

¹¹⁴ Substituted by IT (Am) Act, 2022

¹¹⁵ Inserted by IT (Am) Act, 2018; Repealed by IT (Am) Act, 2022;

¹¹⁶ Inserted by IT (Am) Act, 2002 and substituted by IT (Am) Act 2, 2008

Uganda Revenue Authority]¹¹⁷

- (2) Where the expenditure and losses incurred by a person other than an individual or partnership in the production of rental income, exceeds fifty percent of the rental income, the allowable deduction shall be fifty percent of the rental income for that year of income.¹¹⁸
- (3) Except as otherwise provided in this Act, no deduction is allowed for –
- (a) any expenditure or loss incurred by a person to the extent to which it is of a domestic or private nature;
 - (b) subject to subsection (1), any expenditure or loss of a capital nature, or any amount included in the cost base of an asset;
 - (c) any expenditure or loss which is recoverable under any insurance, contract, or indemnity;
 - (d) income tax payable in Uganda or a foreign country;
 - (e) any income carried to a reserve fund or capitalised in any way;
 - (f) the cost of a gift made directly or indirectly to an individual where the gift is not included in the individual's gross income;
 - (g) any fine or similar penalty paid to any government or a political subdivision of a government for breach of any law or subsidiary legislation;
- (g) any allowance given to, or a reimbursement or discharge of expenditure incurred by, an employee, in respect of the employee's housing, and any expenditures incurred in respect of housing provided to an employee;¹¹⁹
- (h) a contribution or similar payment made to a retirement fund [either for the benefit of the person making the payment or for the benefit of any other person] *by the employee* either for the benefit of the *employee* or for the benefit of any other person;¹²⁰
 - (i) a premium or similar payment made to a person carrying on a life insurance business on the life of the person making the premium or on the life of some other person;
 - (j) the amount of a pension paid to any person; or

¹¹⁷ Inserted by IT (Am) Act 2, 2008 and Substituted by IT (Am) Act, 2009

¹¹⁸ Inserted by IT (Am) Act, 2022

¹¹⁹ Repealed by IT (Am) Act, 2002

¹²⁰ Deleted & substituted by IT (Am) Act 2004

- (k) any alimony or allowance paid under any judicial order or written agreement of separation;
 - (l) any expenditure above five million shillings in one transaction on goods and services from a supplier who does not have a taxpayer identification number;¹²¹ or
 - (m) expenses of a person who purchases goods or services from a supplier who is designated to use the e-invoicing system, unless the expenses are supported by e-invoices or e- receipts.¹²²
- (4) In this Section, expenditure of a domestic or private nature incurred by a person includes—
- (a) the cost incurred in the maintenance of the person and the person's family or residence;
 - (b) the cost of commuting between the person's residence and work;
 - (c) the cost of clothing worn to work, except clothing which is not suitable for wearing outside of work; and
 - (d) the cost of education of the person not directly relevant to the person's employment or business, and the cost of education leading to a degree, whether or not it is directly relevant to the person's employment or business.
- (5) Unless this Act provides otherwise, Part V of this Act, which deals with tax accounting principles, applies for the purposes of determining when an expenditure or loss is incurred for the purposes of this Act.
- (6) In this Section, "business asset" does not include trading stock or a depreciable asset.
- (7) For the purposes of subsection (1)(a) expenditures and losses incurred by a person during exploration, development or production of petroleum in a contract area shall be allowed as a deduction only against the income of that area included in gross income.¹²³

23. Meals, refreshment, and entertainment expenditure

¹²¹ Inserted by IT (Am) Act, 2015

¹²² Inserted by IT (Am) Act, 2020

¹²³ Inserted by IT (Am) Act 2006 & repealed by IT (Am) Act 2, 2008

A deduction is allowed for expenditure incurred by a person in providing meals, refreshment, or entertainment in the production of income included in gross income, but only where—

- (a) the value of the meals, refreshment, or entertainment is included in the employment income of an employee under Section 19(1)(b) or is excluded from employment income by Section 19(2)(d) or (e); or
- (b) the person's business includes the provision of meals, refreshment, or entertainment and the persons to whom the meals, refreshment, or entertainment have been provided have paid an arm's-length consideration for them.

24. Bad debts

- (1) Subject to subsection (2), a person, is allowed a deduction for the amount of a bad debt written off in the person's accounts during the year of income;
- (2) A deduction for a bad debt is only allowed—
 - (a) if the amount of the debt claim was included in the person's *gross*¹²⁴ income in any year of income;
 - (b) if the amount of the debt claim was in respect of money lent in the ordinary course of a business carried on by a financial institution in the production of income included in gross income; or
 - (c) if the amount of the debt claim was in respect of a loan granted to any person by a financial institution for the purpose of farming, forestry, fish farming, bee keeping, animal and poultry husbandry or similar operations.¹²⁵
- (2) In this Section,
 - “bad debt” means—
 - (a) a debt claim in respect of which the person has taken all reasonable steps to pursue payment and which the person reasonably believes will not be satisfied; and
 - (b) in relation to a financial institution, a debt in respect of which a loss

¹²⁴ Substituted by IT (Am) Act, 2002

¹²⁵ Inserted by IT (Am) Act 1, 2008

reserve held against presently identified losses or potential losses, and which is therefore not available to meet losses which subsequently materialise, has been made; and

“debt claim” means a right to receive a repayment of money from another person, including deposits with financial institutions, accounts receivable, promissory notes, bills of exchange, and bonds.

25. Interest

- (1) Subject to this Act, a person is allowed a deduction for interest incurred during the year of income in respect of a debt obligation to the extent that the debt obligation has been incurred by the person in the production of income included in gross income.
- (2) In this Section, “debt obligation” includes an obligation to make a swap payment arising under a swap agreement and shares in a building society.
- (3) The amount of deductible interest in respect of all debts owed by a taxpayer who is a member of a group, *other than a financial institution, micro-finance deposit taking institution, tier 4 micro-finance institution*¹²⁶ or person carrying on insurance business,¹²⁷ shall not exceed thirty percent of the tax earnings before interest, depreciation and amortisation.¹²⁸
- (4) A taxpayer whose interest exceeds thirty percent of the tax earnings before interest, tax, depreciation and amortisation may carry forward the excess interest for not more than three years, and the excess interest shall be treated as incurred during the next year of income.¹²⁹
- (5) In this section—¹³⁰

“group” means persons other than individuals, with common underlying ownership.”

“tax earnings before interest, tax, depreciation and amortisation” means the sum of—

- (a) gross income less allowable deductions, except a deduction under subsection (1);

¹²⁶ Inserted by IT (Am) Act, 2023

¹²⁷ Substituted by IT (Am) Act, 2019

¹²⁸ Subsection (3) inserted by IT (Am) Act, 2018

¹²⁹ Subsection (4) inserted by IT (Am) Act, 2018

¹³⁰ Subsection (5) inserted by IT (Am) Act, 2018

- (b) depreciation; and
- (c) amortisation.

26. Repairs and minor capital equipment

- (1) A person is allowed a deduction for expenditure incurred during the year of income for the repair of property occupied or used by the person in the production of income included in gross income.
- (2) A person is allowed a deduction for expenditure incurred during the year of income in acquiring a depreciable asset, *except returnable containers*¹³¹, with a cost base of less than [*five*] *fifty currency points*.¹³²
- (3) The Commissioner General shall allow a deduction of an amount representing the diminution in value of returnable containers, not being machinery or plant, as a deduction for each year of income.¹³³
- (4) Subsection (2) only applies to a depreciable asset if the asset normally functions in its own right and is not an individual item which forms part of a set.

27. Depreciable assets

- (1) A person is allowed a deduction for the depreciation of the person's depreciable assets, other than an asset to which Section 26(2) applies, during the year of income as calculated in accordance with this Section.
- (2) Depreciable assets are classified into *three* [*four*]¹³⁴ classes as set out in Part I of Schedule 7 to this Act with depreciation rates applicable for each class as specified in that Part.
- (3) A person's depreciable assets shall be placed into separate pools for each class of asset, and the depreciation deduction for each pool is calculated according to the following formula -

$$A \times B$$

where—

¹³¹ Substituted by IT (Am) Act, 2018

¹³² Substituted by IT (Am) Act, 2004 50 currency points=shs. 1,000,000

¹³³ Inserted by IT (Am) Act, 2018

¹³⁴ Substituted by IT (Am) Act, 2021

- A** is the written-down value of the pool at the end of the year of income; and
- B** is the depreciation rate applicable to the pool.
- (4) The written-down value of a pool at the end of a year of income is the total of—
- (a) the written-down value of the pool at the end of the preceding year of income after allowing for the deduction under subsection (3) for that year; and
 - (b) the cost base of assets added to the pool during the year of income, reduced, but not below zero, by the consideration received from the disposal of assets in the pool during the year of income.
- (5) Where the amount of consideration received by a person from the disposal during a year of income of any asset or assets in a pool exceeds the written-down value of the pool at the end of the year of income disregarding that amount, the excess is included in the business income of the person for that year.
- (6) If the written down value of a pool at the end of the year of income, after allowing for the deduction under subsection (3), is less than *fifty [five]*¹³⁵ currency points, a deduction shall be allowed for the amount of that written down value.
- (7) Where all the assets in a pool are disposed of before the end of a year of income, a deduction is allowed for the amount of the written-down value of the pool as at the end of that year.
- (8) Where a person has incurred non-deductible expenditures in more than one year of income in respect of a depreciable asset, this Section applies as if the expenditures incurred in different years of income were incurred for the acquisition of separate assets of the same class.
- (9) The cost base of a depreciable asset is added to a pool in the year of income in which the asset is placed in service.
- (10) Where a depreciable asset is only partly used during a year of income in the production of income included in gross income, the depreciation deduction

¹³⁵ Substituted by IT (Am) Act 1, 2008 50 currency points =shs. 1,000,000

allowed under this Section in relation to the asset shall be proportionately reduced.

- (11) For the purposes of subsection (4)(b), the cost base of a road vehicle, other than a commercial vehicle, is not to exceed the amount set out in Part II of Schedule 7 to this Act.¹³⁶
- (12) Where the cost base of a road vehicle for the purposes of subsection (4)(b) is limited under subsection (11), the person is treated as having acquired two assets—
- (a) a depreciable asset being a road vehicle with a cost base equal to the amount set out in Part II to Schedule 7 to this Act; and
 - (b) a business asset that is not a depreciable asset with a cost base equal to the difference between the cost base of the asset not taking into account subsection (11), in this Section referred to as the “actual cost base”, and the amount set out in Part II to Schedule 7 to this Act.
- (13) Where a road vehicle to which subsection (12) applies is disposed of, the person is treated as having disposed of each of the assets specified under that subsection and the consideration received on disposal is apportioned between the two assets based on the ratio of the cost base of each asset as determined under that subsection to the actual cost base of the asset.
- (14) In calculating the amount of any gain or loss arising on disposal of an asset specified in subsection (12) (b), the cost base of the asset as determined under that paragraph is reduced by the depreciation deductions which would have been allowed to the person if the asset—
- (a) was a depreciable asset being a road vehicle; and
 - (b) the asset was the only asset in the pool.
- (15) In this Section, “commercial vehicle” means—
- (a) a road vehicle designed to carry loads of more than half a tonne or more than thirteen passengers; or IT
 - (b) a vehicle used in a transportation or vehicle rental business.
- (16) Subject to subsection (4), a deduction for the depreciation of an asset that qualifies for initial allowance under section 27A (1) shall be deferred to the next year of income.¹³⁷

¹³⁶ Vehicle depreciation ceiling for personal cars is shs. 60,000,000

¹³⁷ Inserted by IT (Am) Act, 2021; please note, this is omitted by ULRC in Revised Laws of Uganda, 2024 although

[27A. Initial Allowance

- (1) A person who places an item of eligible property into service for the first time outside a radius of fifty kilometres from the boundaries of Kampala, during a year of income is allowed a deduction for that year of an amount equal to fifty percent of the cost base of the property at the time it was placed into service.¹³⁸
- (2) The cost base of an asset to which subsection (1) applies is reduced by the amount of the deduction allowed under that subsection for purposes of Section 27(4)(b).
- (3) In this Section, “item of eligible property” means plant and machinery wholly used in the production of income included in gross income but does not include: –
 - (a) goods and passenger transport vehicles;
 - (b) appliances of a kind ordinarily used for household purposes; or
 - (c) office or household furniture, fixtures and fittings.
- (4) A person who places a new industrial building in service for the first time during the year of income is allowed a deduction for that year of an amount equal to 20% of the cost base of the industrial building at the time it was placed in service.
- (5) The cost base of an industrial building to which subsection (4) applies is reduced by the amount of deduction allowed under that subsection for the purposes of Section 29.
- (6) Where a person has incurred capital expenditure on the extension of an existing industrial building, this Section applies as if the expenditure was capital expenditure incurred on the construction of a separate industrial building.
- (7) For the purposes of subsections (4) and (6), a new industrial building or extension of an existing industrial building means a building on which construction was commenced on or after 1st July, 2000.
- (8) In this Section, “industrial building” does not include an approved

there is no amendment repealing this section.

¹³⁸ Section 27(a) inserted by IT (Am) Act 2, 2017

commercial building.]

28 . Initial Allowance¹³⁹

- (1) A person who places an item of eligible property into service for the first time during the year of income is allowed a deduction for that year of an amount equal to –
 - (a) where the asset is placed in service outside an area prescribed in Part IV of the Sixth Schedule to this Act, seventy-five per cent of the cost base of the property at the time it is placed in service; or
 - (b) in any other case, fifty per cent of the cost base of the property at the time it is placed in service.
- (2) The cost base of an asset to which subsection (1) applies is reduced by the amount of the deduction allowed under that subsection for the purposes of Section 27(4)(b).
- (3) In this Section, “item of eligible property” means plant and machinery wholly used in the production of income included in gross income but does not include: –
 - (a) goods and passenger transport vehicles;
 - (b) appliances of a kind ordinarily used for household purposes; or
 - (c) office or household furniture, fixtures and fittings.
- (4) A person who places a new industrial building in service for the first time during the year of income is allowed a deduction for that year of an amount equal to 20% of the cost base of the building at the time it was placed in service.¹⁴⁰
- (5) The cost base of an industrial building to which subsection (4) applies is reduced by the amount of deduction allowed under that subsection for the purposes of Section 29.
- (6) Where a person has incurred capital expenditure on the extension of an existing industrial building, this Section applies as if the expenditure

¹³⁹ Repealed by IT (Am) Act 2014 and re-inacted as Section 27(a) by IT (Am) Act 2, 2017

¹⁴⁰ Subsections 4-8 inserted by finance Act, 2001

was capital expenditure incurred on the construction of a separate industrial building.

(7) For the purposes of subsections (4) and (6), a new industrial building or extension of an existing industrial building means a building on which construction was commenced on or after 1st July, 2000.

(8) In this Section, “industrial building” does not include an approved commercial building.

28. Industrial buildings

- (1) Subject to this Section, where a person has incurred capital expenditure in any year of income on the construction of an industrial building and the building is used by the person during the year of income in the production of income included in gross income, the person is allowed a deduction for the depreciation of the building during the year of income as calculated according to the following formula—

$$A \times B \times C/D$$

where –

- A is the depreciation rate applicable to the building as determined under Part III of Schedule 7 to this Act;¹⁴¹
- B is the capital expenditure incurred in the construction of the building;
- C is the number of days in the year of income during which the asset was used or was available for use in the production of income included in gross income; and
- D is the number of days in the year of income.

[(1a) Subject to subsection (1), a deduction for the depreciation of an industrial building that qualifies for initial allowance under section 27A (4) shall be deferred to the next year of income.¹⁴²]¹⁴³

- (2) Subject to subsection (3), where an industrial building is only partly used by a person during a year of income for prescribed uses, the amount of the depreciation deduction allowed under subsection (1) shall be proportionately reduced.
- (3) Where an industrial building is only partly used by a person during a year

¹⁴¹ Industrial building depreciation rate is 5%

¹⁴² Inserted by IT (Am) Act, 2021

¹⁴³ Repealed by IT (Am) Act, 2023

of income for prescribed uses and the capital expenditure incurred in the construction of that part of the building used for other uses is not more than ten per cent of the total capital expenditure incurred on the construction of the building, the building is treated as wholly used for prescribed uses.

- (4) Where a person has incurred expenditure in making a capital improvement to an industrial building in a year of income, this Section applies as if the expenditure was capital expenditure incurred in that year in the construction of a separate industrial building.
- (5) Where an industrial building is purchased by a person, the person is deemed to have incurred the capital expenditure incurred by the person who constructed the building.
- (6) The amount of the deduction allowed under this Section is not to exceed the amount which, apart from making the deduction, would be the residue of expenditure at the end of the year of income.
- (7) Where an industrial building has been disposed of by a person during a year of income, the cost base of the building for the purposes of this Act is reduced by any deductions allowed to the person under this Section in respect of the building.
- (8) Where an industrial building is bought and sold together with land, the value of the land shall be the difference between the total consideration and the value of the industrial building as defined in subsection (7).
- (9) Where subsection (4) applies, the consideration received on disposal of an industrial building shall be reasonably apportioned among the separate industrial buildings identified under that subsection.
- (10) In this Section,
 - “capital expenditure” does not include—
 - (a) expenditure incurred in the acquisition of a depreciable asset installed in an industrial building; or
 - (b) expenditure incurred in the acquisition of, or of any rights in or over, any land;

“prescribed uses” means the uses specified in the definition of “industrial

building” in section 2; and

“residue of expenditure” means the capital expenditure incurred on the construction of an industrial building less any deductions allowed under this Section to any person and any amounts which would have been allowed as deductions if the building was solely used for prescribed uses at all times since construction was completed.

29. Start-up costs

- (1) A person who has incurred expenditure in starting up a business to produce income included in gross income *or in the initial public offering at the stock market*¹⁴⁴ shall be allowed a deduction of an amount equal to twenty-five per cent of the amount of the expenditure in the year of income in which the expenditure was incurred and in the following three years of income in which the business is carried on by the person.
- (2) In this section, “expenditure in starting up a business” means—¹⁴⁵
 - (a) in the case of initial public offering, costs incurred in listing the business with the Uganda Stock Exchange;
 - (b) in any other case, non-recurring preliminary or pre-opening costs, which are associated with setting up a business such as fees of an accountant, registration charges, legal fees, costs for promotional and advertising activities, as well as costs for employee training.

30. Costs of intangible assets

- (1) A person who has incurred expenditure in acquiring an intangible asset having an ascertainable useful life is allowed a deduction in each year of income during the useful life of the asset in which the person wholly uses the asset in the production of income included in gross income of an amount calculated according to the following formula—

$$A/B$$

where—

A is the amount of expenditure incurred; and

¹⁴⁴ Substituted by IT (Am) Act, 2002

¹⁴⁵ Subsection (2) Inserted by IT (Am) Act, 2014

B is the useful life of the asset in whole years.

- (2) Where an intangible asset has been disposed of by a person during the year of income, the cost base of the asset is reduced by any deductions allowed under this Section to the person in respect of the asset.

31. Scientific research expenditure

- (1) A person is allowed a deduction for scientific research expenditure incurred during the year of income in the course of carrying on a business, the income from which is included in gross income.
- (2) In this Section—

“scientific research” means any activities in the fields of natural or applied science for the development of human knowledge;

“scientific research expenditure”, in relation to a person carrying on business, means the cost of scientific research undertaken for the purposes of developing the person’s business, including any contribution to a scientific research institution which is used by the institution in undertaking research for the purposes of developing the person’s business, but does not include—

- (a) expenditure incurred for the acquisition of a depreciable or intangible asset;
- (b) expenditure incurred for the acquisition of land or buildings; or
- (c) expenditure incurred for the purpose of ascertaining the existence, location, extent, or quality of a natural deposit; and

“scientific research institution” means an association, institute, college, or university which undertakes scientific research.

32. Training expenditure

- (1) An employer is allowed a deduction for expenditure incurred during the year of income for the training or tertiary education, not exceeding in the aggregate five years, of a citizen or permanent resident of Uganda, other than an associate of the employer, who is employed by the employer in a business, the income from which is included in gross income.
- (2) In this Section, “permanent resident” means a resident individual who has been present in Uganda for a period or periods in total of five years or more.

33. Charitable donations

- (1) A person is allowed a deduction for a gift made during a year of income to an organisation within Section 2(a)(i) or (ii) of the definition of “exempt organisation”.
- (2) For the purposes of subsection (1), the value of a gift of property is the lesser of—
 - (a) the value of the property at the time of the making of the gift; or
 - (b) the consideration paid by the person for the property.
- (3) The amount of a deduction allowed under subsection (1) for a year of income shall not exceed five per cent of the person’s chargeable income, calculated before taking into account the deduction under this Section.

34. Farming

- (1) Expenditure incurred by a person in acquiring farm works is included in the person’s pool for class 4 assets under Section 27 in the year of income in which the expenditure is incurred and is depreciated accordingly.
- (2) Subject to subsection (3), a person carrying on a business of horticulture in Uganda *to produce income included in gross income*¹⁴⁶, who has incurred expenditure of a capital nature on—
 - (a) the acquisition or establishment of a horticultural plant; or
 - (b) the construction of a greenhouse,shall be allowed a deduction of an amount equal to twenty per cent of the amount of the expenditure in the year of income in which the expenditure was incurred and in the following four years of income in which the plant or greenhouse is used in the business of horticulture carried on by the person.
- (3) Expenditure of a capital nature incurred on the establishment of a horticultural plant shall include expenditure incurred in draining or clearing land.
- (4) In this Section—

¹⁴⁶ Inserted by IT (Am) Act, 2002

“farm works” means any labour quarters and other immovable buildings necessary for the proper operation of a farm, fences, ditches, drains, water and electricity supply works, windbreaks, and other works necessary for farming operations *carried on to produce income included in gross income*,¹⁴⁷ but does not include—

- (a) farm houses; or
- (b) depreciable assets; and

“horticulture” includes –

- (a) propagation or cultivation of seeds, bulbs, spores, or similar things;
- (b) propagation or cultivation of fungi; or
- (c) propagation or cultivation in environments other than soil, whether natural or artificial.

35. Apportionment of deductions

- (1) A deduction relating to the production of more than one class of income shall be reasonably apportioned among the classes of income to which it relates.
- (2) Where a person derives more than one class of income, the deduction allowed under Section 33 shall be allocated rateably to each class of income.

35. Mineral Exploration Expenditures

A person carrying on mining operations *to produce income included in gross income* is allowed a deduction for any expenditure of a capital nature incurred in searching for, discovering and testing, or winning access to deposits of minerals in Uganda.¹⁴⁸

36. Carry forward losses

- (1) Subject to this Section *and Section 74*,¹⁴⁹ where, for any year of income, the total amount of income included in the gross income of a taxpayer is exceeded by the total amount of deductions allowed to the taxpayer, the amount of the excess, in this Act referred to as an “assessed loss”, shall be

¹⁴⁷ Inserted by IT (Am) Act, 2002

¹⁴⁸ Inserted by IT (Am) Act, 2002. Repealed by IT (Am) Act, 2015

¹⁴⁹ Inserted by IT (Am) Act, 2016

carried forward and allowed as a deduction in determining the taxpayer's chargeable income in the following year of income.

- (2) Where, for any year of income, the total farming income derived by a taxpayer who is an individual is exceeded by the total deductions allowed to the taxpayer relating to the production of that income, the amount of the excess, in this Act referred to as an "assessed farming loss", may not be deducted against any other income of the taxpayer for the year of income, but shall be carried forward and allowed as a deduction in determining the chargeable farming income of the taxpayer in the following year of income.
- (3) The amount of an assessed loss carried forward under this Section for a taxpayer shall be reduced by the amount or value of any benefit to the taxpayer from a concession granted by, or a compromise made with, the taxpayer's creditors *in the course of an insolvency*¹⁵⁰ whereby the taxpayer's liabilities to those creditors have been extinguished or reduced, provided such liabilities were incurred in the production of income included in gross income.
- (4) Where a taxpayer has more than one class of loss, the reduction in subsection (3) shall be applied rateably to each class of loss.
- (5) Subsection (1) shall apply separately to income derived from sources in Uganda and to foreign-source income.
- (6) Notwithstanding the provisions of this section, a taxpayer who, after a period of seven years of income, carries forward assessed losses, shall only be allowed a deduction of fifty percent of the loss carried forward in the following year of income and the subsequent years of income in determining the taxpayer's chargeable income.¹⁵¹
- (7) In this Section –

"chargeable farming income" means the total farming income of a taxpayer for a year of income reduced by any deductions allowed under this Act for that year which relate to the production of such income; and

"farming income" means the business income derived from the carrying on of farming operations.

¹⁵⁰ Inserted by IT (Am) Act, 2002

¹⁵¹ Inserted by IT (Am) Act, 2023

PART V – TAX ACCOUNTING PRINCIPLES**37. Substituted year of income**

- (1) A taxpayer may apply, in writing, to use as the taxpayer's year of income a substituted year of income being a twelve-month period other than the normal year of income; and the Commissioner General may, subject to subsection (3), by notice in writing, approve the application.
- (2) A taxpayer granted permission under subsection (1) to use a substituted year of income may apply, in writing, to change the taxpayer's year of income to the normal year of income or to another substituted year of income and the Commissioner General, subject to subsection (3), may, by notice in writing, approve the application.
- (3) The Commissioner General may only approve an application under subsection (1) or (2) if the taxpayer has shown a compelling need to use a substituted year of income or to change the taxpayer's year of income and any approval is subject to such conditions as the Commissioner General may prescribe.
- (4) The Commissioner General may, by notice in writing to a taxpayer, withdraw the permission to use a substituted year of income granted under subsection (1) or (2).
- (5) A notice served by the Commissioner General under subsection (1) takes effect on the date specified in the notice, and a notice under subsection (2) or (4) takes effect at the end of the substituted year of income of the taxpayer in which the notice was served.
- (6) Where the year of income of a taxpayer changes as a result of subsection (1), (2), or (4), the period between the last full year of income prior to the change and the date on which the changed year of income commences is treated as a separate year of income, to be known as the "transitional year of income".
- (7) In this Act, a reference to a particular normal year of income includes a substituted year of income or a transitional year of income commencing during the normal year of income.
- (8) A taxpayer dissatisfied with a decision of the Commissioner General under subsection (1), (2), or (4) may only challenge the decision under the objections and appeal procedure in Part VIII of the Tax Procedures Code

Act.

- (9) In this Section, “normal year of income” means the period of twelve months ending on the 30th June.

38. Method of accounting

- (1) A taxpayer’s method of accounting shall conform to generally accepted accounting principles.
- (2) Subject to subsection (1) and unless the Commissioner General prescribes otherwise in a particular case, a taxpayer may account for tax purposes on a cash or accrual basis.
- (3) A taxpayer who *intends to change* the taxpayer’s method of accounting *shall apply in writing to the Commissioner General* and the Commissioner General may, by notice in writing, approve the application *where the Commissioner General is satisfied* that the change is necessary to clearly reflect the taxpayer’s income.¹⁵²
- (4) A taxpayer dissatisfied with a decision under this Section may only challenge the decision under the objection and appeal procedure in Part VIII of the Tax Procedures Code Act.
- (5) If the taxpayer’s method of accounting is changed, adjustments to items of income, deduction, or credit or to other items shall be made in the year of income following the change, so that no item is omitted and no item is taken into account more than once.

39. Cash-basis taxpayer

A taxpayer who is accounting for tax purposes on a cash basis derives income when it is received or made available and incurs expenditure when it is paid.

40. Accrual-basis taxpayer

- (1) A taxpayer who is accounting for tax purposes on an accrual basis—
- (a) derives income when it is receivable by the taxpayer; and
 - (b) incurs expenditure when it is payable by the taxpayer.

¹⁵² Substituted by IT (Am) Act, 2010

- (2) Subject to this Act, an amount is receivable by a taxpayer when the taxpayer becomes entitled to receive it, even if the time for discharge of the entitlement is postponed or the entitlement is payable by instalments.
- (3) Notwithstanding subsection (2), in the case of a diminishing partnership under Islamic financial business, an amount of the portion of the interest of the person offering Islamic financial business disposed of, is receivable by a taxpayer when the taxpayer becomes entitled to the installment due in accordance with the partnership agreement;¹⁵³
- (4) Subject to this Act, an amount is treated as payable by the taxpayer when all the events that determine liability have occurred and the amount of the liability can be determined with reasonable accuracy, but not before economic performance with respect to the amount occurs.
- (5) Notwithstanding subsection (3)¹⁵⁴, in the case of a diminishing partnership under Islamic financial business, an amount of the portion of the interest of the person offering Islamic financial business disposed of, is payable by a taxpayer when the taxpayer becomes liable to pay the installment due in accordance with the partnership agreement.¹⁵⁵
- (6) For the purposes of subsection (4), economic performance occurs –
 - (a) with respect to the acquisition of services or property, at the time the services or property are provided;
 - (b) with respect to the use of property, at the time the property is used; or
 - (c) in any other case, at the time the taxpayer makes payment in full satisfaction of the liability.

41. Pre-payments

Where a deduction is allowed for expenditure incurred on a service or other benefit which extends beyond thirteen months, the deduction is allowed proportionately over the years of income to which the service or other benefit relates.

42. Claim of right

¹⁵³ Inserted by IT (Am No. 2) Act, 2023

¹⁵⁴ This should be subsection (4) not (3) as erroneously captured by ULRC in the revised laws of Uganda 2024

¹⁵⁵ Inserted by IT (Am No. 2) Act, 2023

- (1) A taxpayer who is accounting for tax purposes on a cash-basis shall include an amount in *gross*¹⁵⁶ income when received or claim a deduction for an amount when paid, notwithstanding that the taxpayer is not legally entitled to receive the amount or liable to make the payment, if the taxpayer claims to be legally entitled to receive, or legally obliged to pay the amount.
- (2) Where subsection (1) applies, the calculation of the chargeable income of the taxpayer shall be adjusted for the year of income in which the taxpayer refunds the amount received or recovers the amount paid.
- (3) A taxpayer who is accounting for tax purposes on an accrual-basis shall include an amount in *gross*¹⁵⁷ income when receivable or claim a deduction for an amount when payable notwithstanding that the taxpayer is not legally entitled to receive the amount or liable to make the payment, if the taxpayer claims to be legally entitled to receive, or legally obliged to pay the amount.
- (4) Where subsection (3) applies, the calculation of the chargeable income of the taxpayer shall be adjusted for the year of income in which the taxpayer ceases to claim the right to receive the amount or ceases to claim an obligation to pay the amount.

43. Long-term contracts

- (1) In the case of an accrual-basis taxpayer, income and deductions relating to a long-term contract are taken into account on the basis of the percentage of the contract completed during the year of income.
- (2) The percentage of completion is determined by comparing the total costs allocated to the contract and incurred before the end of the year of income with the estimated total contract costs as determined at the time of commencement of the contract.
- (3) Where, in the year of income in which a long-term contract is completed, it is determined that the contract has made a final year loss, the Commissioner General may allow the loss to be carried back to the preceding years of income and applied against an amount in *gross*¹⁵⁸ income over the period of the contract under subsection (1) for those years

¹⁵⁶ Substituted by IT (Am) Act, 2002

¹⁵⁷ Substituted by IT (Am) Act, 2002

¹⁵⁸ Substituted by IT (Am) Act, 2002

starting with the year immediately preceding the year in which the contract was completed.

(4) In this Section—

“final year loss”, in relation to a long-term contract, occurs where both the following conditions are satisfied—

- (a) the profit estimated to be made under the contract for the purposes of subsection (1) exceeds the actual profit, including a loss, made under the contract; and
- (b) the difference between the estimated profit and the actual profit exceeds the amount included in income under subsection (1) for the year of income in which the contract is completed,

and the amount of the excess referred to in paragraph (b) of this subsection is the amount of the final year loss; and

“long-term contract” means a contract for manufacture, installation, or construction, or, in relation to each, the performance of related services, which is not completed within the year of income in which work under the contract commenced, other than a contract estimated to be completed within six months of the date on which work under the contract commenced.

44. Trading stock

- (1) A taxpayer is allowed a deduction for the cost of trading stock disposed of during a year of income.
- (2) The cost of trading stock disposed of during a year of income is determined by adding to the opening value of trading stock for the year, the cost of trading stock acquired during the year, and subtracting the closing value of trading stock for the year.
- (3) The opening value of trading stock for a year of income is –
 - (a) the closing value of trading stock at the end of the previous year of income; or
 - (b) where the taxpayer commenced business during the year of income, the *market value, at the time of commencement of the business*,¹⁵⁹ of trading stock acquired prior to the commencement of the business.

¹⁵⁹ Substituted by IT (Am) Act, 2002

- (4) The closing value of trading stock is the lower of cost or market value of trading stock on hand at the end of the year of income.
- (5) A taxpayer who is accounting for tax purposes on a cash-basis may calculate the cost of trading stock on the prime-cost method or absorption-cost method; and a taxpayer who is accounting for tax purposes on an accrual-basis shall calculate the cost of trading stock on the absorption-cost method.
- (6) Where particular items of trading stock are not readily identifiable, a taxpayer may account for that trading stock on the first-in-first-out method or the average-cost method but, once chosen, a stock valuation method may be changed only with the written permission of the Commissioner General.
- (7) In this Section—

“absorption-cost method” means the generally accepted accounting principle under which the cost of trading stock is the sum of direct material costs, direct labour costs, and factory overhead costs;

“average-cost method” means the generally accepted accounting principle under which trading stock valuation is based on a weighted average cost of units on hand;

“direct labour costs” means labour costs directly related to the production of trading stock;

“direct material costs” means the cost of materials that become an integral part of the trading stock produced;

“factory overhead costs” means the total costs of manufacturing except direct labour and direct material costs;

“first-in-first-out method” means the generally accepted accounting principle under which trading stock valuation is based on the assumption that trading stock is sold in the order of its receipt;

“prime-cost method” means the generally accepted accounting principle under which the cost of trading stock is the sum of direct material costs, direct labour costs, and variable factory overhead costs; and

“variable factory overhead costs” means those factory overhead costs which vary directly with changes in volume.

45. Debt obligations with discount or premium

- (1) Subject to subsection (2), interest in the form of any discount, premium, or deferred interest shall be taken into account as it accrues.
- (2) Where the interest referred to in subsection (1) is subject to withholding tax, the interest shall be taken to be derived or incurred when paid.

46. Foreign currency debt gains and losses

- (1) Foreign currency debt gains are included in gross income and foreign currency debt losses are deductible only under this Section.
- (2) A foreign currency debt gain derived by a taxpayer during the year of income is included in the business income of the taxpayer for that year.
- (3) Subject to subsection (4) and (6), a foreign currency debt loss incurred by a taxpayer during a year of income is allowed as a deduction to the taxpayer in that year.
- (4) A deduction is not allowed to a taxpayer for a foreign currency debt loss incurred by the taxpayer unless the taxpayer has notified the Commissioner General in writing of the existence of the debt which gave rise to the loss by the due date for furnishing of the taxpayer's return of income for the year of income in which the debt arose or by such later date as the Commissioner General may allow.
- (5) Subsection (4) does not apply to a financial institution.
- (6) Where—
 - (a) a taxpayer has incurred a foreign currency debt loss under a transaction;
 - (b) the taxpayer or another person has derived a foreign currency debt gain under another transaction; and
 - (c) either—
 - (i) the transaction giving rise to the loss would not have been entered into, or might reasonably be expected not to have been entered into, if the transaction giving rise to the gain had not been entered into; or
 - (ii) the transaction giving rise to the gain would not have been entered

into, or might reasonably be expected not to have been entered into, if the transaction giving rise to the loss had not been entered into,

no deduction is allowed to the taxpayer to the extent that the amount of the loss exceeds that part of the gain included in gross income.

- (7) Subject to subsection (9), a taxpayer derives a foreign currency debt gain if—
- (a) where the taxpayer is a debtor, the amount in Shillings of the foreign currency debt incurred by the taxpayer is greater than the amount in Shillings required to settle the debt or
 - (b) where the taxpayer is a creditor, the amount in Shillings of the foreign currency debt owed to the taxpayer is less than the amount in Shillings paid to the taxpayer in settlement of the debt.
- (8) Subject to subsection (9), a taxpayer incurs a foreign currency debt loss if:—
- (a) where the taxpayer is a debtor, the amount in Shillings of the foreign currency debt incurred by the taxpayer is less than the amount in Shillings required to settle the debt; or
 - (b) where the taxpayer is a creditor, the amount in Shillings of the foreign currency debt owed to the taxpayer is greater than the amount in shillings paid to the taxpayer in settlement of the debt.
- (9) In determining whether a taxpayer has derived a foreign currency debt gain or incurred a foreign currency debt loss, account shall be taken of the taxpayer's position under any hedging contract entered into by the taxpayer in respect of the debt.
- (10) A foreign currency debt gain is derived or a foreign currency debt loss is incurred by a taxpayer in the year of income in which the debt is satisfied.
- (11) In this Section—

“foreign currency debt” means a business debt denominated in foreign currency; and

“hedging contract” means a contract entered into by the taxpayer for the purpose of eliminating or reducing the risk of adverse financial

consequences which might result for the taxpayer under another contract from currency exchange rate fluctuation.

PART VI—GAINS AND LOSSES ON DISPOSAL OF ASSETS

47. Application of Part

This Part applies for the purposes of determining the amount of any gain or loss arising on the disposal of an asset where the gain is included in gross income or the loss is allowed as a deduction under this Act.

48. Gains and losses on disposal of assets

- (1) The amount of any gain arising from the disposal of an asset is the excess of the consideration received for the disposal over the cost base of the asset at the time of the disposal.
- (2) The amount of any loss arising from the disposal of an asset is the excess of the cost base of the asset at the time of the disposal over the consideration received for the disposal.
- (3) Where as a result of the application of this Act, a gain or loss on disposal of an asset is subject to tax being a gain or loss, the cost base of the asset is calculated on the basis that each item of cost or expense included in the cost base shall be determined according to the following formula—¹⁶⁰

$$A - A_0 \frac{A - E}{A - E_0}$$

where—

CB is the amount of an item of cost or expense incurred determined in accordance with section 50 (2);

CPID is the Consumer Price Index number published for the calendar month of sale; and

CPI A is the Consumer Price Index number published for the month immediately prior to the date on which the relevant item of cost or expense was incurred.

- (4) Subsection (3) shall not apply to an asset that is sold within twelve months from the date of purchase.¹⁶¹

¹⁶⁰ Inserted by IT (Am) Act, 2021

¹⁶¹ Inserted by IT (Am) Act, 2021

49. Disposals

- (1) A taxpayer is treated as having disposed of an asset when the asset has been—
 - (a) sold, exchanged, redeemed, or distributed by the taxpayer;
 - (b) transferred by the taxpayer by way of gift; or
 - (c) destroyed or lost.
- (2) A disposal of an asset includes a disposal of a part of the asset.
- (3) Where the Commissioner General is satisfied that a taxpayer —
 - (a) has converted an asset from a taxable use to non-taxable use; or
 - (b) has converted an asset from a non-taxable use to a taxable use,the taxpayer is deemed to have disposed of the asset at the time of the conversion for an amount equal to the market value of the asset at that time and to have immediately re-acquired the asset for a cost base equal to that same value.
- (4) A non-resident person who becomes a resident person is deemed to have acquired all assets, other than taxable assets, owned by the person at the time of becoming a resident for their market value at that time.
- (5) A resident person who becomes a non-resident person is deemed to have disposed of all assets, other than taxable assets, owned by the person at the time of becoming a non-resident for their market value at that time.
- (6) Where a person to whom subsection (5) would otherwise apply—
 - (a) intends, in the future, to re-acquire status as a resident person; and
 - (b) provides the Commissioner General with sufficient security to satisfy any tax liability which would otherwise arise under subsection (5),the Commissioner General may, by notice in writing, exempt the person from the application of subsection (5).
- (7) In this Section, “taxable asset” means an asset the disposal of which would give rise to again included in the gross income of, or a loss allowed as a deduction to, a resident or non-resident taxpayer.

50. Cost base

- (1) Subject to this Act, this Section establishes the cost base of an asset for the purpose of this Act.

- (2) The cost base of an asset purchased, produced, or constructed by the taxpayer is the amount paid or incurred by the taxpayer in respect of the asset, including incidental expenditures of a capital nature incurred in acquiring the asset, and includes the market value *at the date of acquisition*¹⁶² of any consideration in kind given for the asset.
- (3) Subject to subsection (4), the cost base of an asset acquired in a non-arm's length transaction is the market value of the asset at the date of acquisition.
- (4) The cost base of an asset acquired in a transaction described in Section 51(2) is the amount of the consideration deemed by that subsection to have been received by the person disposing of the asset.
- (5) Where a part of an asset is disposed of, the cost base of the asset shall be apportioned between the part of the asset retained and the part disposed of in accordance with their respective market values at the time of acquisition of the asset.
- (6) Unless otherwise provided in this Act, expenditures incurred to alter or improve an asset which have not been allowed as a deduction are added to the cost base of the asset.
- (7) Where the acquisition of an asset by a taxpayer represents the derivation of an amount included in gross income, the cost base of the asset is the amount included in gross income plus any amount paid by the taxpayer for the asset.
- (8) Where the receipt of an asset represents the derivation of an amount which is exempt from tax, the cost base of the asset is the amount exempt from tax plus any amount paid by the taxpayer for the asset.

51. Special rules for consideration received

- (1) The consideration received on disposal of an asset includes the market value *at the date of the disposal*¹⁶³ of any consideration received in kind.
- (2) Where an asset is disposed of to an associate or in a non-arm's length transaction other than by way of transmission of the asset to a trustee or beneficiary on the death of a taxpayer, the person disposing of the asset, in this Section referred to as the "disposer", is treated as having received

¹⁶² Inserted by IT (Am) Act, 2002

¹⁶³ Inserted by IT (Am), Act 2002

consideration equal to the greater of—

- (a) the cost base of the asset to the disposer at the time of disposal; or
- (b) the fair market value of the asset at the date of disposal.

- (3) Where two or more assets are disposed of in a single transaction and the consideration paid for each asset is not specified, the total consideration received is apportioned among the assets disposed of in proportion to their respective market values at the time of the transaction.

(4) Where a part of an asset is disposed of, the consideration received is apportioned between the part of the asset retained and the part of the asset disposed of in accordance with their respective market values at the time of acquisition of the asset.¹⁶⁴

52. Non-recognition of gain or loss

- (1) No gain or loss is taken into account in determining chargeable income in relation to—
- (a) a transfer of an asset between spouses;
 - (b) a transfer of an asset between former spouses as part of a divorce settlement or *bona fide* separation agreement;
 - (c) an involuntary disposal of an asset to the extent to which the proceeds are re-invested in an asset of a like kind within one year of the disposal;
 - (d) the transmission of an asset to a trustee or beneficiary on the death of a taxpayer; or
 - (e) [capital gains arising from the sale of investment interest of a registered venture capital fund if at least fifty percent of the proceeds on sale is reinvested within the year of income.]¹⁶⁵
- (2) [(1a) Notwithstanding subsection (1) (e), a registered venture capital fund shall be entitled to a non-recognition of a gain or loss equivalent to the percentage of reinvested proceeds.]¹⁶⁶
- (3) Where no gain or loss is taken into account as a result of subsection (1)(a), (b), or (d), the transferred or transmitted asset is deemed to have been acquired by the transferee, or trustee or beneficiary as an asset of the same character for a consideration equal to the cost base of the asset to the transferor or deceased taxpayer at the time of the disposal.

¹⁶⁴ Repealed by IT (Am) Act, 2002

¹⁶⁵ Inserted by IT (Am) Act, 2021; Repealed by IT (Am) Act, 2024

¹⁶⁶ Inserted by IT (Am) Act, 2021, Repealed by IT (Am) Act, 2024

- (4) The cost base of a replacement asset described in subsection (1)(c) is the cost base of the replaced asset plus the amount by which any consideration given by the taxpayer for the replaced asset exceeds the amount of proceeds received on the involuntary disposal.

PART VII—MISCELLANEOUS RULES FOR DETERMINING CHARGEABLE INCOME

53. Income of joint owners

- (1) Income or deductions relating to jointly owned property are apportioned among the joint owners in proportion to their respective interests in the property.
- (2) Where the interest of the joint owners in jointly-owned property cannot be ascertained, the interest of such joint owners in the property shall be deemed to be equal.
- (3) For avoidance of doubt, subsections (1) and (2), shall apply to takaful participants.¹⁶⁷

54. Valuation

- (1) For the purposes of this Act and subject to Section 19(1)(b), the value of a benefit in kind is the fair market value of the benefit on the date the benefit is taken into account for tax purposes.
- (2) The fair market value of a benefit is determined without regard to any restriction on transfer or to the fact that it is not otherwise convertible to cash.

55. Other methods of allocating costs and revenue

In determining the chargeable income of a person, use of input-output ratios and other methods of allocating costs and revenue may be applied.¹⁶⁸

56. Currency conversion

- (1) Chargeable income under this Act shall be calculated in Uganda Shillings.
- (2) Where *an amount taken into account under this Act is* ¹⁶⁹ in a currency other

¹⁶⁷ Inserted by IT (Am) (No.2) Act, 2023

¹⁶⁸ Inserted by IT (Am) Act, 2013

¹⁶⁹ Substituted by IT (Am) Act, 2002

than the Uganda Shilling, the amount shall be converted to the Uganda Shilling at the Bank of Uganda mid-exchange rate applying between the currency and the Uganda Shilling on the date that the amount is derived, incurred, or otherwise taken into account for tax purposes.

- (3) With the prior written permission of the Commissioner General, a taxpayer may use the average rate of exchange during the year of income, or may keep books of account in a currency other than the Uganda Shilling.

57. Indirect payments and benefits

The income of a person includes—

- (a) a payment that directly benefits the person; and
- (b) a payment dealt with as the person directs,

which would have been income of the person if the payment had been made directly to the person.

58. Finance leases

- (1) Where a lessor leases property to a lessee under a finance lease, for the purposes of this Act—
- (a) the lessee is treated as the owner of the property; and
 - (b) the lessor is treated as having made a loan to the lessee, in respect of which payments of interest and principal are made to the lessor equal in amount to the rental payable by the lessee.
- (2) The interest component of each payment under the loan is treated as interest expense incurred by the lessee and interest income derived by the lessor.
- (3) A lease of property is a finance lease if—
- (a) the lease term exceeds seventy-five per cent of the effective life of the leased property;
 - (b) the lessee has an option to purchase the property for a fixed or determinable price at the expiration of the lease; or
 - (c) the estimated residual value of the property to the lessor at the expiration of the lease term is less than twenty per cent of its fair market value at the commencement of the lease.

- (4) For the purposes of subsection (3), the lease term includes any additional period of the lease under an option to renew.

59. Exclusion of doctrine of mutuality

- (1) A company which carries on a member's club, a trade association, or a mutual insurance company is treated for the purposes of this Act as carrying on a business subject to tax.
- (2) The business income of a company to which subsection (1) applies includes entrance fees and subscriptions paid by members.
- (3) Where a company referred to in subsection (1) is operated primarily to furnish goods or services to members, deductions attributable to the furnishing of goods or services to members are allowed only to the extent of the total income derived from the members, with any excess carried forward and allowed as a deduction in the following year of income.
- (4) In this Section, "members' club" means a club or similar institution, all the assets of which are owned by or are held in trust for the members of the club or institution.

60. Compensation receipts

A compensation payment derived by a person takes the character of the item that is compensated.

61. Recouped expenditure

- (1) Where a previously deducted expenditure, loss, or bad debt is recovered by the taxpayer, the amount recovered is deemed to be income derived by the taxpayer in the year of income in which it is recovered and takes the character of the income to which the deduction related.
- (2) For the purposes of subsection (1), a deduction is considered recovered upon the occurrence of an event which is inconsistent with the basis for the deduction.

PART VIII—PERSONS ASSESSABLE

Taxation of Individuals

62. Taxation of individuals

The chargeable income of each taxpayer who is an individual is determined separately.

63. Income splitting

- (1) Where a taxpayer attempts to split income with another person, the Commissioner General may adjust the chargeable income of the taxpayer and the other person to prevent any reduction in tax payable as a result of the splitting of income.
- (2) A taxpayer is treated as having attempted to split income where—
 - (a) the taxpayer transfers income, directly or indirectly, to an associate; or
 - (b) the taxpayer transfers property, including money, directly or indirectly, to an associate with the result that the associate receives or enjoys the income from that property,and the reason or one of the reasons for the transfer is to lower the total tax payable upon the income of the transferor and the transferee.
- (3) In determining whether the taxpayer is seeking to split income, the Commissioner General shall consider the value, if any, given by the associate for the transfer.

Taxation of Partnerships and Partners

64. Principles of taxation for partnerships

- (1) The income and losses arising from activities conducted by a partnership is taxed in accordance with this Act.
- (2) The presence or absence of a written partnership agreement is not decisive in determining whether a partnership relationship exists between persons.
- (3) A partnership shall be liable to furnish a partnership return of income in accordance with Section 118, but shall not be liable to pay tax on that income.
- (4) Any election, notice, or statement required to be filed in relation to a partnership's activities shall be filed by the partnership.
- (5) Unless the context otherwise requires, partnership assets are treated as

owned by the partnership and not by the partners.¹⁷⁰

65. Calculation of partnership income or loss

- (1) The partnership income for a year of income is—
 - (a) the gross income of the partnership for that year calculated as if the partnership were a resident taxpayer; less
 - (b) the total amount of deductions allowed under this Act for expenditures or losses incurred by the partnership in deriving that income, other than the deduction allowed under Section 36
- (2) A partnership loss occurs for a year of income where the amount in subsection (1)(b) exceeds the amount in subsection (1)(a) for that year, and the amount of the excess is the amount of the loss.
- (3) Where the partnership is a non-resident partnership for a year of income, Section 87 applies in calculating partnership income or partnership loss of the partnership for that year.

66. Taxation of partners

- (1) The gross income of a resident partner for a year of income includes the partner's share of partnership income for that year.
- (2) The gross income of a non-resident partner for a year of income includes the partner's share of partnership income attributable to sources in Uganda.
- (3) A resident partner is allowed a deduction for a year of income for the partner's share of a partnership loss for that year.
- (4) A non-resident partner is allowed a deduction for a year of income for the partner's share of a partnership loss, but only to the extent that the activity giving rise to the loss would have given rise to partnership income attributable to sources in Uganda if a loss had not been incurred.
- (5) Income derived, or expenditure or losses incurred, by a partnership retain their character as to geographic source and type of income, expenditure, or loss in the hands of the partners, and are deemed to have been passed

¹⁷⁰ Inserted by IT (Am) Act, 2002

through the partnership on a *pro rata* basis unless the Commissioner General permits otherwise.

- (6) Subject to subsection (7), a partner's share of partnership income or loss is equal to the partner's percentage interest in the income of the partnership as set out in the partnership agreement.
- (7) Where the allocation of income in the partnership agreement does not reflect the contribution of the partners to the partnership's operations, a partner's share of partnership income or loss shall be equal to the partner's percentage interest in the capital of the partnership.
- (8) A resident partner in a partnership arrangement under an Islamic financial business shall withhold tax or interest sourced in Uganda accruing to a non-resident partner in accordance with section 82 (2).¹⁷¹

67. Formation, reconstitution or dissolution of a partnership

- (1) A contribution to a partnership by a partner of an asset owned by the partner is treated as a disposal of the asset by the partner to the partnership for a consideration equal to—
 - (a) the cost base of the asset to the partner at the date on which the contribution was made where all the following conditions are satisfied—
 - (i) the asset was a business asset of the partner immediately before its contribution to the partnership;
 - (ii) the partner and partnership are residents at the time of contribution;
 - (iii) the partner's interest in the capital of the partnership after the contribution is twenty-five per cent or more;
 - (iv) *the interest in the partnership received by the partner in return for the contribution equals the market value of the asset contributed at the time of the contribution;*¹⁷² and
 - (v) an election for this paragraph to apply has been made by the partners jointly; or

¹⁷¹ Inserted by IT (Am) (No.2) Act, 2023

¹⁷² Inserted by IT (Am) Act, 2002

- (b) in any other case, the market value of the asset at the date the contribution was made.
- (2) Where subsection (1) (a) applies, the asset retains the same character in the hands of the partnership as it did in the hands of the partner.
 - (3) Where there is a change in the constitution of a partnership or a partnership is dissolved, the former partnership is treated as having disposed of all the assets of the partnership to the reconstituted partnership or to the partners in the case of dissolution for a consideration equal to—
 - (a) the cost base of the asset to the former partnership at the date of the change in constitution where all the following conditions are satisfied—
 - (i) the former partnership and the reconstituted partnership are resident partnerships at the time of the change;
 - (ii) twenty-five per cent or more of the interests in the capital of the reconstituted partnership are held for twelve months after the change by persons who were partners in the former partnership immediately before the change; and
 - (iii) an election for this paragraph to apply has been made by the partners of the reconstituted partnership jointly; or
 - (b) in any other case, the market value of the asset at the date of the change in constitution or dissolution, as the case may be.
 - (4) Where subsection (3) (a) applies, the asset retains the same character in the hands of the reconstituted partnership as it did in the hands of the former partnership.
 - (5) An election under this Section shall be made in the partnership return of income for the year of income in which the contribution was made or the constitution of the partnership changed.

68. Cost base of interest of partner

- (1) The interest of a partner in a partnership is treated as a business asset of the partner for the purposes of this Act.
- (2) Subject to subsection (3) and (4), the cost base of the interest of a partner in

a partnership is [the amount the partner has paid for the interest plus]—

- (a) *in the case of an interest acquired by contribution of property (including money) to the partnership, the amount of any such money contributed plus—*¹⁷³
 - (i) the cost base of an asset contributed to the partnership by the partner where Section 67 (1)(a) applies; and
 - (ii) the market value of any asset contributed to the partnership by the partner where Section 67(1)(b) applies; or
 - (b) *in any other case, the price paid for the interest.*¹⁷⁴
- (3) The cost base of the interest of the partner in a partnership determined under subsection (2) is increased by the sum of the share of the partner for the year of income and prior years of income of —
- (a) partnership income; and
 - (b) income of the partnership exempt from tax under this Act.
- (4) The cost base of the interest of the partner in a partnership determined under subsection (2) is reduced, but not below zero, by distributions by the partnership and by the sum of the share of the partner for the year of income and prior years of income of partnership losses and expenditures of the partnership not deductible in computing its chargeable income and not properly chargeable to capital account.

Taxation of trusts and beneficiaries

69. Interpretation of provisions relating to taxation of trusts and beneficiaries

In this Section and Sections 70, 71, and 72—

“chargeable trust income”, in relation to a year of income, means —

- (a) the gross income of the trust (other than an amount to which Section 71(1) or 72(1) applies) for that year calculated as if the trust is a resident taxpayer; less

¹⁷³ Substituted by IT(Am) Act, 2002

¹⁷⁴ Substituted by IT(Am) Act, 2002

- (b) the total amount of deductions allowed under this Act for expenditures or losses incurred by the trust in deriving that income;

“non-resident trust”, in relation to a year of income, means a trust that is not a resident trust for that year;

“qualified beneficiary” means a person referred to in paragraph (d)(i) or (ii) of this Section of the definition of “qualified beneficiary trust”;

“qualified beneficiary trust” means—

- (a) a trust in relation to which a person, other than a settlor, has a power solely exercisable by that person to vest the corpus or income of the trust in that person; or
- (b) a trust whose sole beneficiary is an individual or an individual’s estate or appointees,

but does not include a trust whose beneficiary is an incapacitated person;

“settlor” means a person who has transferred property to, or conferred a benefit on, a trust for no consideration or for a consideration which is less than the market value of the property transferred or benefit conferred *at the date of the transfer or conferral*,¹⁷⁵ and

“settlor trust” means a trust in relation to a whole or part of which, the settlor has—

- (a) the power to revoke or alter the trust so as to acquire a beneficial entitlement in the corpus or income of the trust; or
- (b) a reversionary interest in the corpus or income of the trust.

70. Principles of taxation for trusts

- (1) Subject to subsection (5), the income of a trust is taxed either to the trustee or to the beneficiaries of the trust, as provided in this Act.
- (2) Separate calculations of chargeable trust income shall be made for separate trusts regardless of whether they have the same trustee.
- (3) Income derived or expenditure or losses incurred by a trust retain their

¹⁷⁵ Inserted by IT(Am) Act, 2002

character as to geographic source and type of income, expenditure or loss in the hands of the beneficiary.

- (4) A trust is required to furnish a trust return of income in accordance with Section 118
- (5) A trust is required to furnish a trust return of income in accordance with Section 118. A settlor trust or a qualified beneficiary trust —
 - (a) is not treated as an entity separate from the settlor or qualified beneficiary, respectively; and
 - (b) the income of such a trust is taxed to the settlor or qualified beneficiary and the property owned by the trust is deemed to be owned by the settlor or qualified beneficiary, as the case may be.
- (6) The trustee of an incapacitated person's trust is liable for tax on the chargeable trust income of the trust.
- (7) Trustees are jointly and severally liable for a tax liability arising in respect of chargeable trust income that is not satisfied out of the assets of the trust.
- (8) Where a trustee has paid tax on the chargeable trust income of the trust under Sections 71 or 72, that income shall not be taxed again in the hands of the beneficiary.

71. Taxation of trustees and beneficiaries

- (1) Any amount derived by a trustee for the immediate or future benefit of any ascertained beneficiary, other than an incapacitated person, with a vested right to such amount is treated as having been derived by the beneficiary for the purposes of this Act.
- (2) Where a beneficiary has acquired a vested right to any amount referred to in subsection (1) as a result of the exercise by the trustee of a discretion vested in the trustee under a deed of trust, an arrangement or a will of a deceased person, such amount is deemed to have been derived by the trustee for the immediate benefit of the beneficiary.
- (3) For subsection (2) to apply to a beneficiary for a year of income, a trustee must have exercised the discretion by the end of the second month after the end of the year of income.

- (4) Where subsections (1) or (2) applies, the beneficiary is treated as having derived the amount at the time the amount was derived by the trustee.
- (5) Where any amount to which subsection (1) applies is included in the gross income of the beneficiary for a year of income, the beneficiary shall be allowed a deduction in accordance with this Act for any expenditure or losses incurred in that year by the trustee in deriving that income.
- (6) A trustee of a trust that is a resident trust for a year of income is liable for tax on the chargeable trust income of the trust for that year.
- (7) A trustee of a trust that is a non-resident trust for a year of income is liable for tax on so much of the chargeable trust income of the trust for that year as is attributable to sources in Uganda.
- (8) This Section is subject to Section 72.

72. Taxation of estates of deceased persons

- (1) Any amount derived by a trustee as executor of the estate of a deceased person shall, to the extent that the Commissioner General is satisfied that such amount has been derived for the immediate or future benefit of any ascertained heir or legatee of the deceased, be treated as having been derived by such heir or legatee for the purposes of this Act.
- (2) Where any amount to which subsection (1) applies is included in the gross income of the heir or legatee for a year of income, the heir or legatee shall be allowed a deduction in accordance with this Act for any expenditure or losses incurred in that year by the trustee in deriving that income.
- (3) The trustee of an estate of a deceased person that is a resident trust for a year of income is liable for tax on the chargeable trust income of the estate for that year.
- (4) The trustee of an estate of a deceased person that is a non- resident trust for a year of income is liable for tax on so much of the chargeable trust income of that year attributable to sources in Uganda.
- (5) The trustee of an estate of a deceased person is responsible for the tax liability of the deceased taxpayer arising for any year of income prior to the year of income in which the taxpayer died.

*Taxation of companies and shareholders***73. Principles of taxation for companies**

- (1) A company is liable to tax separately from its shareholders.
- (2) Subject to subsection (3), a dividend paid to a resident company, other than an exempt organisation, by another resident company is exempt from tax where the company receiving the dividend controls, directly or indirectly, twenty-five per cent or more of the voting power in the company paying the dividend.
- (3) Subsection (2) does not apply to—
 - (a) a dividend paid to a financial institution by virtue of its ownership of redeemable shares in the company paying the dividend; or
 - (b) a dividend to which Section 75 applies.

74. Change in control of companies

- (1) Where, during a year of income, there has been a change of fifty per cent or more in the underlying ownership of a company, as compared with its ownership one year previously, the company is not permitted to deduct an assessed loss in the year of income or in subsequent years, unless the company, for a period of two years after the change or until the assessed loss has been exhausted if that occurs within two years after the change—
 - (a) continues to carry on the same business after the change as it carried on before the change; and
 - (b) does not engage in any new business or investment after the change, where the primary purpose of the company or the beneficial owners of the company is to utilize the assessed loss so as to reduce the tax payable on the income arising from the new business or investment.
- (2) For the purposes of section 78 (h), a person other than an individual, a local government, a political subdivision of a local government and a listed institution, that changes its ownership by fifty percent or more, within a period of three years shall be treated as¹⁷⁶—
 - (a) realising all its assets and liabilities immediately before the change;

¹⁷⁶ Subsection (2) Inserted by IT(Am) Act, 2018

- (b) having parted with ownership of each asset and deriving an amount in respect of the realisation equal to the market value of the asset at the time of the realisation;
- (c) re-acquiring the asset and incurring expenditure of the amount referred to in paragraph (b) for the acquisition;
- (d) realising each liability; and is deemed to have spent the amount equal to the market value of that liability at the time of the realisation; and
- (e) re-stating the liability for the amount referred to in paragraph (d).

75. Dividend stripping

- (1) Where a company takes part in a transaction in the nature of dividend stripping and receives a dividend from a resident company in the transaction, the company receiving the dividend shall include the dividend in its gross income to the extent to which the Commissioner General considers necessary to offset any decrease in the value of shares in respect of which the dividend is paid or in the value of any other property caused by the payment of the dividend.
- (2) In any such transaction, the Commissioner General may also reduce the amount of any deduction arising to the extent to which it represents the decrease in value of the shares or other property.
- (3) In this Section, “dividend stripping” includes an arrangement under which—
 - (a) a company, referred to as the “target company”, has accumulated or current-year profits, or both, represented by cash or other readily realisable assets;
 - (b) another company, referred to as the “acquiring company”, acquires the shares in the target company for an amount that reflects the profits of the target company;
 - (c) the disposal of the shares in the target company gives rise to a tax-free capital gain to the shareholders in the target company;
 - (d) after the acquiring company has acquired the shares in the target company, the target company pays a dividend to the acquiring company, which in the absence of Section 73(3)(b) would be exempt

from tax in the hands of the target company; and

- (e) after the dividend is declared, the acquiring company sells the shares for a loss.

76. Roll-over relief

- (1) Where a resident person, in this subsection referred to as the “transferor”, transfers a business asset, with or without any liability not in excess of the cost base of the asset, to a resident company other than an exempt organisation, in this subsection referred to as the “transferee”, in exchange for a share in the transferee and the transferor has a fifty per cent or greater interest in the voting power of the transferee immediately after the transfer—
 - (a) the transfer is not treated as a disposal of the asset by the transferor but is treated as the acquisition by the transferee of a business asset;
 - (b) the transferee’s cost base for the asset is equal to the transferor’s cost base for the asset at the time of transfer; and
 - (c) the cost base of a share received by the transferor in exchange for the asset is equal to the cost base of the asset transferred, less any liability assumed by the transferor in respect of the asset.
- (2) Where, as part of the liquidation of a resident company, in this subsection referred to as the “liquidated company”, a business asset is transferred to a shareholder being a resident company other than an exempt organisation, in this subsection referred to as the “transferee company”, and, immediately prior to the transfer, the transferee company held a fifty per cent or greater interest in the voting power of the liquidated company—
 - (a) the transfer is not treated as a disposal of the asset by the liquidated company, but is treated as the acquisition of a business asset by the transferee company;
 - (b) the transferee’s cost base for the asset is equal to the liquidated company’s cost base for the asset at the time of transfer;
 - (c) the transfer of the asset is not a dividend; and
 - (d) no gain or loss is taken into account on the cancellation of the transferee’s shares in the liquidated company.

- (3) Where a resident company or a group of resident companies is re-organised without any significant change in the underlying ownership or control of the company or group, the Commissioner General may—
- (a) permit any resident company involved in the re-organisation to treat the re-organisation as not giving rise to the disposal of any business asset or the realisation of any business debt, as the case may be; and
 - (b) determine the cost base of any business asset held, or business debt undertaken, by the resident company after the re-organisation in order to reflect the fact that no disposal or realisation is treated as having occurred.
- (4) For purposes of this section re-organisation means¹⁷⁷
- (a) a transaction in which a *person* [company] transfers *their* [its] assets to another *person*, [company] *other than an individual* [that is] controlled by the transferor or *the* [its] shareholders following which the stock of the transferee is distributed; or¹⁷⁸
 - (b) a transaction in which a person whether for payment or not is allotted shares in or debentures of a company in respect of and in proportion to, or as nearly as may be in proportion to, their holdings of shares in the company and in any case which there is more than one class of shares and the rights attached to shares of any class are altered;
 - (c) a merger or amalgamation where all or substantially all the assets and liabilities of one or more transferor companies are transferred to a single transferee company, whereby the transferor company ceases to exist by operation of law;
 - (d) a transaction in which two or more companies transfer their assets and liabilities to a single newly established company; or
 - (e) corporate division; through which all or substantially all the assets of one company are transferred in exchange for shares to at least two or more newly established or pre-existing companies, except where the assets are already in the hands of a subsidiary;
- (5) For the avoidance of doubt, a sale of a share from one person to another

¹⁷⁷ Subsection (4) Inserted by IT (Am) Act, 2015

¹⁷⁸ Substituted by IT (Am) Act No.2, 2025

does not constitute a re-organisation for the purposes of this Act.¹⁷⁹

PART IX—INTERNATIONAL TAXATION

77. Interpretation of Part

In this Part—

[“branch” means a place where a person carries on business *other than investing in Islamic financial business in the case of equity or partnership agreement*,¹⁸⁰ and includes – ¹⁸¹

(a) a place where a person is carrying on business through an agent, other than a general agent of independent status acting in the ordinary course of business as such;

(b) a place where a person has, is using, or is installing substantial equipment or substantial machinery *for ninety days or more*;¹⁸² [or]

(c) a place where a person is engaged in a construction, assembly, or installation project for ninety days or more, including a place where a person is conducting supervisory activities in relation to such a project; or [and]

(d) the furnishing of services, including consultancy services, by a person through employees or other personnel engaged by the person for such purpose, but only if activities of that nature continue for the same or a connected project for a period aggregating more than ninety days in any twelve-month period.]¹⁸³

“immovable property” includes a mining right, petroleum right, mining information, petroleum information,¹⁸⁴ any intangible asset which is a business asset or *any part of the business*;¹⁸⁵

“management charge” means any payment made to any person, other than a payment of employment income, as consideration for any managerial services, however calculated;

“mining information”, “mining right”, “petroleum information”, and

¹⁷⁹ Subsection (5) Inserted by IT (Am) Act, 2015

¹⁸⁰ Inserted by IT (Am) No.2 Act, 2023

¹⁸¹ Repealed by IT (Am) Act, 2024

¹⁸² Inserted by IT (Am) Act, 2011

¹⁸³ Subsection (d) inserted by IT (Am) Act, 2015

¹⁸⁴ Inserted by IT(Am) Act, 2015

¹⁸⁵ Substituted by (Am) Act, 2018

“petroleum right” have the meanings in section 89.¹⁸⁶

77A. Permanent establishment¹⁸⁷

- (1) For purposes of this Part, “permanent establishment” means a fixed place of business through which the business of the enterprise is wholly or partly carried on and includes-
- (a) a place of management;
 - (b) a branch;
 - (c) an office;
 - (d) a factory;
 - (e) a workshop;
 - (f) a warehouse, in relation to a person providing storage facilities to others;
 - (g) a mine, an oil or gas well, a quarry or any other place of exploration for or extraction or exploitation of natural resources;
 - (h) a farm, plantation or other place where agricultural, forestry plantation or related activities are carried on;
 - (i) a sales outlet;
 - (j) building site or a construction, installation or assembly project, or supervisory activities in connection with the site, project or activity that lasts for at least ninety days in any twelve-month period;
 - (k) the furnishing of services, including consultancy services, by a person through employees or other personnel engaged by the person for such purposes provided that such activities continue in Uganda for a period of, or periods amounting in aggregate to, one hundred and eighty-three days or more in any twelve-month period that commences or ends during the year of income; or
 - (l) substantial equipment or machinery that is operated, or is available for operation, in Uganda for a period of, or periods amounting in aggregate to, ninety days or more in any twelve-month period that commences or ends during the year of income.
- (2) The duration of activities referred to under subsection (1)(j),(k) and (l) shall be determined by aggregating the period during which the activities are

¹⁸⁶ Inserted by IT(Am) Act, 2015

¹⁸⁷ Inserted by IT (Am) Act, 2024 (However, The Revised Laws of Uganda, 2024 omitted this amendment and numbering in error)

carried on in Uganda by associates, provided that the activities, of such associates in Uganda are connected.

- (3) Where there are two or more associates carrying on concurrent activities, the period referred to under subsection(1)(j), (k) and (l), shall be counted only once for the purpose of determining the duration of the activities.
- (4) Notwithstanding the provisions of subsections (1), (2), and (3), permanent establishment shall not include-
 - (a) the use of facilities solely for the purpose of storage or display of goods or merchandise belonging to a person;
 - (b) the maintenance of a stock of goods or merchandise belonging to the person solely for the purpose of storage or display;
 - (c) the maintenance of a stock of goods or merchandise belonging to the person solely for the purpose of processing by another person;
 - (d) the maintenance of a fixed place of business solely for the purpose of purchasing goods or merchandise or for collecting information for the person;
 - (e) the maintenance of a fixed place of business solely for the purpose of carrying on, for the person, any other activity; or
 - (f) the maintenance of a fixed place of business solely for any combination of activities mentioned in subparagraph (a) to (e),

provided that such activity, or in the case of subparagraph (f), the overall activity of the fixed place of business, is of a preparatory or auxiliary character.

- (5) Subsection (4), shall not apply to a fixed place of business that is used or maintained by a person if the same person or associate carries on business activities at the same place or at another place in Uganda and-
 - (a) that place or other place constitutes a permanent establishment for the person or associate under this section; or
 - (b) the overall activity resulting from the combination of the activities carried on by the two persons at the same place, or by the same person

or associate at the two places, is not a preparatory or auxiliary character,

provided that the business activities carried on by the two persons at the same place, or by the same person or associates at the two places, constitute complementary functions that are part of a cohesive business operation.

(6) Notwithstanding the provisions of subsection (1), but subject to the provisions of subsection (7), where a person is acting in Uganda on behalf of another person, that principal shall be deemed to have a permanent establishment in Uganda in respect of any activities which the agent undertakes on behalf of the principal, if such agent-

(a) Habitually concludes contract, or habitually plays the principal role leading to the conclusion of contracts that are routinely concluded without material modification by the principal, and these contracts are-

(i) in the name of the principal;

(ii) for the transfer of the ownership of, or for the granting of the right to use, property owned by the principal or that the principal has the right to use; or

(iii) for the provision of services by the principal,

unless the activities of the agent are limited to those mentioned in subsection (4) which, if exercised through a fixed place of business other than a fixed place of business to which subsection (5) would apply, would not make this fixed place of business a permanent establishment under subsection (5);

(b) does not habitually conclude contracts nor plays the principal role leading to the conclusion of such contracts, but habitually maintains in Uganda a stock of goods or merchandise from which the agent regularly delivers goods or merchandise on behalf of the principal;

(c) does not habitually conclude contracts nor plays the principal role leading to the conclusion of such contracts, but habitually manufactures or processes in Uganda for the principal, goods or merchandise belonging to the principal; or

- (d) does not habitually conclude contracts nor plays the principal role leading to the conclusion of such contracts, but habitually secures orders in Uganda wholly or almost wholly for the principal or associates.
- (7) Subsection (6) shall not apply where the agent acting in Uganda on behalf of the principal carries on business in Uganda as an independent agent and acts for the principal in the ordinary course of that business.
- (8) For the purposes of subsection (7) “an independent agent” is where, an agent acts exclusively or almost exclusively on behalf of one or more principals to which the agent is associated.

77B. Calculation of chargeable income of permanent establishment¹⁸⁸

- (1) The income of non-resident person attributable to activities of a permanent establishment shall be taxed in Uganda including-
 - (a) the income derived from the sales of goods or merchandise in Uganda of same or similar kind as those sold through the permanent establishment; or
 - (b) the income of other business activities carried on in Uganda that are of the same or similar kind as those carried out through the permanent establishment.
- (2) A permanent establishment shall not be allowed a deduction in respect of amounts, paid by the permanent establishment to the head office of the non-resident person or any of its other offices by way of-
 - (a) royalties, fees or other similar payments in return for the use of patents or other rights;
 - (b) commission, for specific services performed or for management; or
 - (c) interest on moneys lent to the permanent establishment, except, in case of a financial institution.
- (3) Subject to subsection (2), in determining the chargeable income of a permanent establishment, there shall be allowed deductions, expenses which are incurred for the purposes of the business of the permanent establishment.

¹⁸⁸ Inserted by IT (Am) Act, 2024

- (4) Subject to subsection (3), a permanent establishment shall be a distinct and separate entity from the non-resident person of which it is a permanent establishment and the transactions between the permanent establishment and non-resident person are subject to section 105 and 116 of this Act.
- (5) The gross income of a permanent establishment, shall not include charges by the permanent establishment to the head office of the non-resident person or any of its other offices, by way of
- (a) royalties, fees or other similar payments in return for the use of patents or other rights;
 - (b) commission, for specific services performed or for management; or
 - (c) interest on moneys lent to the head office of the permanent establishment or any of its other offices except, in the case of a financial institution.

78. Source of income

Income is derived from sources in Uganda to the extent to which it is—

- (1) derived by a resident person in carrying on a business except to the extent that it is attributable to a business carried on by the person through a *permanent establishment* [branch]¹⁸⁹outside Uganda; [in the case of goods manufactured, grown, or mined by the seller, the goods were manufactured, grown, or mined in Uganda; or]
- (2) derived by a non-resident person in carrying on a business through a *permanent establishment* [branch] in Uganda; [in the case of goods purchased by the seller, the agreement for sale was made in Uganda, wherever such goods are to be delivered.]¹⁹⁰
- (3) derived by a resident person in carrying on a business as owner or charterer of a vehicle, ship, or aircraft, wherever such vehicle, ship, or aircraft may be operated;
- [(c) derived from any employment exercised or services rendered in Uganda.]
- (4) employment income or a fee for the provision of services—¹⁹¹

¹⁸⁹ The term “branch”, wherever it appears in Part IX, substituted with “permanent establishment” by IT (Am) Act, 2024

¹⁹⁰ Substituted by IT (Am) Act, 2015

¹⁹¹ Subsection (d) substituted by IT (Am) Act, 2015

- (i) derived from employment or services exercised or rendered in Uganda;
 - (ii) paid by a resident person, other than as an expenditure of a business carried on by a person outside Uganda through a *permanent establishment* [branch]; or
 - (iii) paid by non-resident person as an expenditure of a business carried on by a person through a *permanent establishment* [branch] in Uganda;
- (5) derived by a resident individual from any employment exercised or services rendered as a driver of a vehicle, or an officer or member of a crew of any vehicle, ship or aircraft, wherever the vehicle, ship or aircraft may be operated;
- (e) derived in respect of any employment exercised or services rendered under a contract with the Government of Uganda, wherever the employment is exercised or services are rendered;¹⁹²
- (6) derived from the rental of immovable property located in Uganda;
- (7) derived from the disposal of an interest in immovable property located in Uganda or from the disposal of a share in a company the property of which consists directly or indirectly principally of an interest or interests in such immovable property, where the interest or share is a business asset;
- (8) derived from the direct or indirect change of ownership by fifty percent or more of a person other than an individual, a local government, a political subdivision of a government and a listed institution located in Uganda;¹⁹³
- (9) derived from the disposal of movable property, other than goods, under an agreement made in Uganda for the sale of the property, wherever the property is to be delivered;
- (10) an amount—
- (i) included in the business income of a taxpayer under Section 27(5) in respect of the disposal of a depreciable asset used in Uganda; or
 - (ii) treated as income under Section 61, where the deduction was allowed for an expenditure, loss, or bad debt incurred in the production of income sourced in Uganda;

[j) a royalty –

(i) arising from the use of, or right to use, in Uganda –

¹⁹² Repealed by IT (Am) Act, 2015

¹⁹³ Inserted by IT (Am) Act, 2018

- (A) any patent, design, trade mark, or copyright, or any model, pattern, plan, formula, or process, or any property or right of a similar nature;
 - (B) any motion picture film;
 - (C) any video or audio material, whether stored on film, tape, disc, or other medium, for use in connection with television or radio broadcasting;
 - (D) any sound recording or advertising matter connected with material referred to in sub-paragraphs (i)(B) and (C) of this paragraph; or
 - (E) any tangible movable property;
- (ii) arising from the [imparting of] *import*¹⁹⁴ of, or undertaking to import, any scientific, technical, industrial, or commercial knowledge or information for use in Uganda;
 - (iii) arising from the use of, or the right to use, or the receipt of, or right to receive, in Uganda any video or audio material transmitted by satellite, cable, or optic fibre, or similar technology for use in connection with television or radio broadcasting;
 - (iv) arising from the rendering of, or the undertaking to render assistance ancillary to a matter referred to in sub-paragraphs (i), (ii), or (iii) of this paragraph;
 - (v) arising from the total or partial forbearance in Uganda with respect to a matter referred to in sub-paragraphs (i), (ii), (iii), or (iv) of this paragraph; or
 - (vi) arising from the disposal of industrial or intellectual property used in Uganda;]¹⁹⁵
- (11) a royalty-
- (i) paid by a resident person, other than as an expenditure of a business carried on by the person outside Uganda through a *permanent establishment* [branch];
 - (ii) paid by a non-resident person as an expenditure of a business carried on by the person through a *permanent establishment* [branch] in Uganda; or

¹⁹⁴ Substituted by IT (Am) Act, 2002

¹⁹⁵ Substituted by IT (Am) Act, 2011

- (iii) arising from the disposal of industrial or intellectual property used in Uganda;
- (12) interest where—
 - (i) the debt obligation giving rise to the interest is secured by immovable property located, or movable property used, in Uganda;
 - (ii) the payer is a resident person; or
 - (iii) the borrowing relates to a business carried on in Uganda;
- (13) a dividend or director's fee paid by a resident company;
- (14) a pension or annuity where—
 - (i) the pension or annuity is paid by the Government of Uganda or by a resident person; or
 - (ii) the pension or annuity is paid in respect of an employment exercised or services rendered in Uganda;
 - (iii) *the annuity is paid by a non-resident person as expenditure of a business carried on by the non-resident person through a permanent establishment in Uganda;*¹⁹⁶
- (15) a natural resource payment in respect of a natural resource taken from Uganda;
- (16) a foreign currency debt gain derived in relation to a business debt which has arisen in the course of carrying on a business in Uganda;
- (17) a contribution to a retirement fund made by a tax-exempt employer in respect of an employee whose employment is exercised in Uganda;
- (qa) derived from the payment of insurance premium, if the premium relates to the insurance or reinsurance of a risk in Uganda.¹⁹⁷
- (18) a management charge paid by a resident person; *or*¹⁹⁸
- (19) taxable in Uganda under an international agreement; or
- (20) attributable to any other activity which occurs in Uganda, including an activity conducted through a *permanent establishment* [branch] in Uganda.

¹⁹⁶ Inserted by IT (Am) Act, 2024

¹⁹⁷ Inserted by IT (Am) Act, 2024. Original numbering in amendment Act maintained by Author. The numbering in the Revised Laws of Uganda, 2024 renumbered sections and subsections in the IT Act

¹⁹⁸ Inserted by IT (Am) Act, 2015

79. Foreign employment income

- (1) Foreign-source employment income derived by a resident individual is exempt from tax if the individual has paid foreign income tax in respect of the income.
- (2) A resident individual is treated as having paid foreign income tax on foreign-source employment income if tax has been withheld and paid to the revenue authority of the foreign country by the employer of the individual.

80. Foreign tax credit

- (1) A resident taxpayer is entitled to a credit, in this Section referred to as a “foreign tax credit”, for any foreign income tax paid by the taxpayer in respect of foreign-source income included in the gross income of the taxpayer.
- (2) The amount of the foreign tax credit of a taxpayer for a year of income shall not exceed the Ugandan income tax payable on the taxpayer’s foreign-source income for that year, *calculated*¹⁹⁹ by applying the average rate of Ugandan income tax of the taxpayer for that year to the taxpayer’s net foreign-source income for that year.
- (3) The calculation of the foreign tax credit of a taxpayer for a year of income is made separately for foreign-source business income and other income derived from foreign sources by the tax payer during the year.
- (4) Foreign income tax paid by—
 - (a) a partnership is treated as paid by the partners;
 - (b) a trustee is treated as paid by the beneficiary where the income on which foreign income tax has been paid is included in the gross income of the beneficiary under this Act; or
 - (c) a beneficiary is treated as paid by the trustee where the income on which foreign income tax has been paid is taxed to the trustee under this Act.
- (5) For the purposes of this Section—

¹⁹⁹ Substituted by IT (Am) Act, 2002

“average rate of Ugandan income tax”, in relation to a taxpayer for a year of income, means the percentage that the Ugandan income tax, before the foreign tax credit, is of the chargeable income of the taxpayer for the year and, in the case of a taxpayer with both foreign-source business income and other income derived from foreign sources, the average rate of tax is to be calculated separately for both classes of income;

“foreign income tax” includes a foreign withholding tax, but does not include a foreign tax designed to raise the level of the tax on the income so that the taxation by the country of residence is reduced; and

“net foreign-source income” means the total foreign-source income included in the gross income of the taxpayer, less any deductions allowed to the taxpayer under this Act that—

- (a) relate exclusively to the derivation of the foreign-source income; and
- (b) in the opinion of the Commissioner General, may appropriately be related to the foreign- source income.

81. Taxation of permanent establishment [branch] profits

- (1) A tax shall be charged for each year of income and is imposed on every non-resident company carrying on business in Uganda through a *permanent establishment* [branch] which has repatriated income for the year of income.
- (2) The tax payable by a non-resident company under this Section is calculated by applying the rate prescribed in Part V of Schedule 4 to this Act to the repatriated income of the *permanent establishment* [branch] of the non-resident company for the year of income.²⁰⁰
- (3) The repatriated income of a *permanent establishment* [branch] for a year of income is calculated according to the following formula—

$$A + (B - C) - D$$

where –

- A is the total cost base of assets, net of liabilities, of the *permanent establishment* [branch] at the commencement of the year of income;
- B is the net profit of the *permanent establishment* [branch] for the

²⁰⁰ The rate applied to repatriated income is 15%

year of income calculated in accordance with generally accepted accounting principles;

C is the Ugandan tax payable on the chargeable income of the *permanent establishment* [branch] for the year of income; and

D is the total cost base of assets, net of liabilities, of the *permanent establishment* [branch] at the end of the year of income.

- (4) In calculating the repatriated income of a *permanent establishment* [branch], the total cost base of assets at the end of a year of income is the total cost base of assets at the commencement of the next year of income.
- (5) The tax imposed under this Section is in addition to any tax imposed by this Act on the chargeable income of the permanent establishment [branch] under section 4, but is otherwise treated for all purposes of this Act as a tax on chargeable income.²⁰¹

82. Tax on international payments

- (1) Subject to this Act, a tax is imposed on every non-resident person who derives any dividend, interest, royalty, *rent*,²⁰² natural resource payment, *agency fee in case of Islamic financial business*²⁰³, or management charge from sources in Uganda.
- (2) The tax payable by a non-resident person under this Section is calculated by applying the rate prescribed in Part V of Schedule 4 to this Act to the gross amount of the dividend, interest, royalty, *rent*,²⁰⁴ natural resource payment, *agency fee in case of Islamic financial business*²⁰⁵ or management charge derived by a non-resident person.²⁰⁶
- (3) Notwithstanding Section 78(m), a dividend derived by a non-resident person is only treated as income derived from sources in Uganda for the purposes of this Section to the extent to which the dividend is paid out of profits sourced in Uganda.
- (4) For the purposes of subsection (3), where a resident company has profits

²⁰¹ Inserted by IT (Am) Act, 2002

²⁰² Inserted by IT (Am) Act, 2002

²⁰³ Inserted by IT (Am) No.2 Act, 2023

²⁰⁴ Substituted by IT (Am) Act, 2016

²⁰⁵ Inserted by IT (Am) No. Act, 2023

²⁰⁶ The WHT rate on international payments is 15%; for interest on government securities, 20% if maturity period does not exceed 10 years, and 10% if maturity period is 10 years or more

sourced both within and outside Uganda, the company is treated as having paid a dividend out of the profits sourced in Uganda first.

- (5) Interest paid by a resident company in respect of debentures is exempt from tax under this Act where the following conditions are satisfied²⁰⁷—
- (a) the debentures were [widely] issued by the company [to non-resident person]²⁰⁸ outside Uganda for the purpose of raising a loan outside Uganda;
 - (b) the debentures were *widely* issued for the purpose of raising funds for use by the company in a business carried on in Uganda or *the interest is paid to a bank or a financial institution of a public character; and*²⁰⁹
 - (c) the interest is paid outside Uganda.
- (6) Subsection (1) does not apply to an amount attributable to the activities of a *permanent establishment* [branch] of the non-resident in Uganda and such amount is subject to the operation of Section 17.²¹⁰

83. Tax on payments to non-resident public entertainers or sports persons

- (1) Subject to this Act, a tax is imposed on every non-resident entertainer, sports person, or theatrical, musical, or other group of non-resident entertainers or sports persons who derive income from any performance in Uganda.
- (2) The tax payable by a non-resident person under this Section is calculated by applying the rate prescribed in Part V of Schedule 4 to this Act to the gross amount of —²¹¹
- (a) remuneration derived by a non-resident public entertainer or sports person; or
 - (b) receipts derived by any theatrical, musical, or other group of non-resident public entertainers or sports persons.
- (3) Tax is imposed under this Section on any group regardless of whether or

²⁰⁷ Section 83 (5) substituted by IT (Am) Act, 2006

²⁰⁸ Inserted by IT (Am) Act, 2002

²⁰⁹ Substituted by IT (Am) Act, 2006

²¹⁰ Inserted by IT (Am) Act, 2002 and substituted by IT (Am) Act, 2006

²¹¹ Applicable rate is 15%

not the performance is conducted for the joint account of all or some members of the group.

- (4) Every member of a group shall be jointly and severally liable for payment of the tax imposed under this Section and, subject to Section 87(1) (c), shall remit *to the Commissioner General*²¹² the tax due before leaving Uganda.

84. Tax on payments to non-resident contractors or professionals

- (1) Subject to this Act, a tax is imposed on every non-resident person deriving income under a Ugandan-source services contract.
- (2) The tax payable by a non-resident person under this Section is calculated by applying the rate prescribed in Part V of Schedule 4 to this Act to the gross amount of any payment to a non-resident under a Ugandan-source services contract.²¹³
- (3) Subsection (1) does not apply to a royalty or management charge charged to tax under Section 82.
- (4) In this Section, “Ugandan-source services contract” means a contract, other than an employment contract, under which—
 - (a) the principal purpose of the contract is the performance of services which gives rise to income sourced in Uganda; and
 - (b) any goods supplied are only incidental to that purpose.
- (5) For avoidance of doubt, income derived from the carriage of passengers who do not embark or cargo or mail which is not embarked in Uganda is not income derived from a Ugandan-source service contract.²¹⁴
- (6) Subsection (1) does not apply to an amount attributable to the activities of a *permanent establishment* [branch] of the non-resident in Uganda and the amount is subject to the operation of Section 17.²¹⁵

85. Taxation of non-residents providing shipping, air transport or telecommunications services in Uganda

- (1) Subject to this Act, a tax is imposed on every non-resident person carrying

²¹² Inserted by IT (Am) Act, 2002

²¹³ Applicable rate is 15%

²¹⁴ Inserted by IT (Am) Act, 2022

²¹⁵ Inserted by IT (Am) Act, 2024

on the business of ship operator, charterer, or air transport operator who derives income from the carriage of passengers who embark, or cargo or mail which is embarked in Uganda *and on a road transport operator who derives income from the carriage of cargo or mail which is embarked in Uganda.*²¹⁶

- (2) The tax payable by a non-resident person under subsection (1) is calculated by applying the rate of tax prescribed in Part VI of Schedule 4 to this Act to the gross amount derived by the person from the carriage and is treated for all purposes of this Act as a tax on chargeable income.²¹⁷
- (3) Subsection (1) does not apply to any income derived from the carriage of passengers who embark, or cargo or mail which is embarked, solely as a result of trans-shipment.
- (4) Where a non-resident person carries on the business of transmitting messages by cable, radio, optical fibre, or satellite communication, or *the business of providing internet connectivity services*, the tax payable by the person shall be five per cent of the gross amount derived by the person in respect of —
 - (a) the transmission of messages by apparatus established in Uganda;
 - (b) the provision of direct-to-home pay services to subscribers in Uganda; or
 - (c) *the provision of internet connectivity services to subscribers in Uganda.*²¹⁸

86. Taxation of non-residents providing digital services²¹⁹

- (1) A tax is imposed on every non-resident person deriving income from providing digital services in Uganda to a customer in Uganda at the rate prescribed in paragraph 3 of Part V of Schedule 4 to this Act.
- (2) For the purposes of subsection (1), income is derived from providing a digital service in Uganda to a customer in Uganda if the digital service is delivered over the internet, electronic network or an online platform.
- (3) For the purposes of this section "digital service" includes-

²¹⁶ Inserted by IT (Am) Act, 2002

²¹⁷ Inserted by IT (Am) Act, 2002. Applicable rate is 2%

²¹⁸ Inserted by IT (Am) Act, 2006. Substituted by IT (Am) No. 1 Act, 2008 & IT (Am) Act, 2011

²¹⁹ Inserted by IT (Am) Act, 2023

- (1) online advertising services;
 - (2) data services;
 - (3) services delivered through an online market place or intermediation platform, including an accommodation online market place, a vehicle hire online market place and any other transport online market place;
 - (4) digital content services, including accessing and downloading of digital content;
 - (5) online gaming services;
 - (6) cloud computing services;
 - (7) data ware housing;
 - (8) services, other than those services in this subsection, delivered through a social media platform or any internet search engine; and
 - (9) any other digital services as the Minister may prescribe by statutory instrument made under this Act.
- (4) A non-resident person under this section shall lodge a tax return with the Commissioner General within fifteen days after the end of the tax period.
- (5) *This section shall not apply where a non-resident person is deriving income from providing digital services in Uganda to an associate in Uganda.*²²⁰
- (6) *Notwithstanding subsection (5), section 82 or 84 shall apply to the income of a non-resident person derived from providing digital services in Uganda to an associate in Uganda.*²²¹

87. General provisions relating to taxes imposed under sections 82, 83, 84 and 85

- (1) The tax imposed on a non-resident person under Sections 82, 83, 84, 85(1) and 85(4) is a final tax on the income on which the tax has been imposed and—²²²
- (a) *that* income is not included in the gross income of the non-resident person who *derives* the income;
 - (b) no deduction is allowed for any expenditure or losses incurred by the non-resident person in deriving *that* income; and

²²⁰ Inserted by IT (Am) Act No.2, 2025

²²¹ Inserted by IT (Am) Act No.2, 2025

²²² Substituted by IT (Am) No.1 Act, 2008

- (c) the liability of the non-resident person is satisfied if the tax payable has been withheld by a withholding agent under Section 137 and paid to the Commissioner General under Section 140.

- (2) In this Section, “withholding agent” has the meaning in Section 125.

88. International agreements

- (1) An international agreement entered into between the Government of Uganda and the government of a foreign country or governments of foreign countries shall have effect as if the agreement was contained in this Act.
- (2) To the extent that the terms of an international agreement to which Uganda is a party are in consistent with the provisions of this Act, apart from subsection (7) and Part XI which deals with tax avoidance, *or any other law of Uganda dealing with matters covered by this agreement*, the terms of the international agreement prevail over the provisions of this Act *and any other law of Uganda dealing with matters covered by this agreement*.²²³
- (3) Where an international agreement provides for reciprocal assistance in the collection of taxes and the Commissioner General has received a request from the competent authority of another country pursuant to that agreement for the collection from any person in Uganda of an amount due by that person under the income tax laws of that other country, the Commissioner General may, by notice in writing, require the person to pay the amount to the Commissioner General by the date specified in the notice for transmission to the competent authority of that other country.
- (4) Where an international agreement provides for automatic exchange of information for tax purposes, the Commissioner General shall facilitate the automatic exchange of information, as may be prescribed.²²⁴
- (5) For the purposes of subsection (4), the Minister may make regulations to provide for the automatic exchange of information for tax purposes.
- (6) If a person fails to comply with a notice under subsection (3), the amount in question may be recovered for transmission to the competent authority of that other country as if it were tax payable by the person under this Act.

²²³ Substituted by IT (Am) Act 2014

²²⁴ Subsections (4) & (5) inserted by IT (Am) Act, 2021

- (7) *Except for a public listed company, where an international agreement concluded by the Government of Uganda with another contracting state provides that income derived by a person resident in such other contracting state from sources in Uganda is exempt from Ugandan tax or is subject to a reduction in the rate of, [the application of the treaty results in a reduction in] Ugandan tax, the benefit of that exemption or reduction shall not be [is not] available to any person who – [for the purposes of the agreement, is a resident of the other contracting state where fifty percent or more of the underlying ownership of that person is held by an individual or individuals who are not residents of that other contracting state for the purposes of the agreement]*²²⁵
- (a) *receives the income in a capacity which is other than that of a beneficial owner,[within the meaning accorded to that term by the relevant international agreements, and]*²²⁶ *who does not have full and unrestricted ability to enjoy that income and to determine its future uses; and*
- (b) *does not possess economic substance in the country of residence.*
- (8) In this Section, “international agreement” means—
- (a) an agreement with a foreign government providing for the relief of international double taxation and the prevention of fiscal evasion; or
- (b) a bilateral or multilateral agreement with a foreign government or foreign governments or foreign organisation providing for administrative assistance in tax matters; [an agreement with a foreign government providing for reciprocal administrative assistance in the enforcement of tax liabilities]²²⁷
- (c) the Inter-Governmental Agreement on the East African Crude Oil Pipe Line.²²⁸

Thin Capitalisation ²²⁹

- (1) Subject to subsection (2), where a foreign-controlled resident company, other than a financial institution, has a debt-to-equity ratio in excess

²²⁵ Substituted by IT (Am) Act, 2011 and IT (Am) Act, 2016

²²⁶ Repealed by IT (Am) Act, 2019

²²⁷ Substituted by IT (Am) Act, 2014

²²⁸ Inserted by IT (Am) Act, 2018

²²⁹ Substituted by IT (Am) Act, 2015 & Repealed by IT (Am) Act, 2018

of 1.5 to 1 at any time during a year of income, a deduction is disallowed for the interest paid by the company during that year on that part of the debt that exceeds the 1.5 to 1 ratio for the period the ratio was exceeded.

- (2) If the debt-to-equity ratio of a foreign-controlled resident company exceeds 1.5 to 1 for a year of income, subsection (1) does not apply if, at all times during the year, the amount of the debt of the company does not exceed the arm's length debt amount.
- (3) This section applies to a non-resident company with a branch in Uganda on the basis of the following –
 - (a) the branch is treated as a foreign-controlled resident company; and
 - (b) the debt-to-equity ratio of the branch is computed by reference to –
 - (i) the debt obligations of the non-resident company attributable to the branch; and
 - (ii) the equity of the non-resident company attributable to the operations of the company conducted through the branch.

(4) For purposes of this section–

“arm's length debt amount”, in relation to a foreign-controlled resident company, means the amount of debt that a financial institution that is not related to the company would be prepared to lend to the company having regard to all the circumstances of the company;

“debt”, in relation to a foreign-controlled resident company, means the greatest amount, at any time during a year of income, of the debt obligations of the company on which interest is payable as determined according to International Financial Reporting Standards;

“debt obligation” means an obligation to make a repayment of money to another person, including obligations arising under promissory notes, bills of exchange, and bonds, but not including accounts payable or a debt obligation on which no interest is payable;

“equity”, in relation to a foreign-controlled resident company, means the greatest amount, at any time during a year of income, of the equity of the company as determined according to International Financial Reporting Standards and includes a debt obligation on which no interest is payable; and

“foreign-controlled resident company” means a resident company in which more than fifty per cent of the underlying ownership or control of the company is held by a non-resident person either alone or together with an associate or associates.

[89. (1) Where a foreign-controlled resident company, which is not a financial institution has a foreign debt-to-foreign equity ratio in excess of 1 [2] to 1 at any time during a year of income, a deduction is disallowed for the interest paid by the company during that year on that part of the debt which exceeds the 1 [2] to 1 ratio.²³⁰

2) In this Section,

(10) “foreign-controlled resident company” means a resident company in which fifty per cent or more of the underlying ownership or control of the company is held by a non-resident person, in this Section referred to as the “foreign controller”, either alone or together with an associate or associates;

(11) “foreign debt”, in relation to a foreign-controlled resident company, means the greatest amount, at any time during a year of income, of the sum of –

(iv) the balance outstanding at that time on any debt obligation owed by the foreign controlled resident company to a foreign controller or non-resident associate of the foreign controller on which interest is payable which interest is deductible to the foreign-controlled resident company and is not included in the gross income of the foreign controller or associate; and

(v) the balance outstanding at that time on any debt obligation owed by the foreign controlled resident company to a person other than the foreign controller or an associate of the foreign controller where that person has a balance outstanding of a similar amount on a debt obligation owed by the person to the foreign controller or a non-resident associate of the foreign controller; and

(c) “foreign equity”, in relation to a foreign-controlled resident company and for a year of income, means the sum of the following amounts –

(i) the paid-up value of all shares in the company owned by the foreign controller or a non-resident associate of the foreign controller at the beginning of the year of income;

(ii) so much of the amount standing to the credit of the share premium account of the company at the beginning of the year of income as the foreign controller or a non-resident associate would be entitled if the company were wound up at that time; and

(iii) so much of the accumulated profits and asset revaluation reserves of the company at the beginning of the year of income as the foreign controller

²³⁰ Substituted by IT (Am) Act, 2014

or a non-resident associate of the foreign controller would be entitled if the company were wound up at that time;

reduced by the sum of –

(i) the balance outstanding at the beginning of the year of income on any debt obligation owed to the foreign-controlled resident company by the foreign controller or a non-resident associate of the foreign controller; and

(ii) where the foreign-controlled resident company has accumulated losses at the beginning of the year of income, the amount by which the return of capital to the foreign controller or non-resident associate of the foreign controller would be reduced by virtue of the losses if the company were wound up at that time.]²³¹

PART X—SPECIAL PROVISIONS FOR THE TAXATION OF PETROLEUM OPERATIONS²³²

89. Interpretation of Part²³³

(1) In this Part, unless the context otherwise requires—

“commercial production” means—

- (a) for mining operations, the first period of thirty consecutive days during which the average level of production of the twenty-five highest production days in the thirty-day period reaches a production level deemed to be commercial as determined by the Minister responsible for mining operations;
- (b) for petroleum operations, the production of crude oil or natural gas, or both, and delivery of the crude oil or natural gas at the delivery point under a program of regular production and sale.

“contract area” means [an exploration area which is a subject of a petroleum agreement, or a development area, as the case may be]²³⁴ the area described and shown in a petroleum agreement on the effective date of the agreement; and where any part of the area is relinquished under the petroleum agreement, the whole or any part of such area which at any particular time remains subject to the petroleum agreement;

²³¹ Substituted by IT (Am) Act, 2015

²³² Inserted by IT (Am) No.2 Act, 2008 WEF 1/7/1997

²³³ Substituted and Inserted by IT (Am) Act, 2015

²³⁴ Substituted by IT (Am) No.2 Act, 2017 WEF 1/7/2015

“contractor” means a person supplying services or goods other than as an employee, to the following—

- (a) a licensee in respect of mining operations undertaken by the licensee;
- (b) a licensee in respect of petroleum operations undertaken by the licensee;”.

“cost oil” means a licensee’s entitlement to production as cost recovery under a petroleum agreement;²³⁵

“delivery point” means the point at which petroleum passes through the intake valve of the pipeline, vessel, vehicle or craft at a terminal or refinery in Uganda;

“farm-out agreement” is an agreement to which section 101 applies;

“gross income of a licensee” includes cost oil, licensee’s share of profit oil and any credit earned by the licensee from petroleum operations;

“licence area” means the area that is the subject of a mining right;

“licensee” means a person who has been granted a mining right or a person with whom the Government has entered into a petroleum agreement as defined in the *Petroleum (Exploration, Development and Production) Act*, or a person licensed under the *Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act*;²³⁶

“mining exploration expenditure” means expenditure incurred by a licensee in undertaking mining exploration operations, and includes the following—

- (a) expenditure incurred in acquiring—
 - (i) an interest in a mining exploration right from the Government or under a farm-out agreement; or
 - (ii) Mining exploration information from the Government or under a farm-out agreement;
- (b) Social infrastructure expenditure incurred in accordance with a mining exploration right;

²³⁵ Inserted by the IT (Am) No.2 Act, 2017 WEF 1/7/2015

²³⁶ Substituted by IT (Am) Act, 2016

- (c) expenditure incurred to acquire a depreciable asset that is first used in mining exploration operations;

“mining extraction expenditure” means capital expenditure incurred by a licensee in undertaking operations authorised under a mining lease, other than expenditure incurred to acquire a depreciable asset, and includes the following—

- (a) expenditure whenever incurred in acquiring—
- (i) an interest in a mining right, other than an interest referred to in paragraph (a)(i) of the definition of “mining exploration expenditure”; or
 - (ii) mining information, other than information referred to in paragraph (a)(ii) of the definition of “mining exploration expenditure;
- (b) social infrastructure expenditure incurred in accordance with a mining lease;

“mining exploration information” means information relating to the search for minerals under a mining exploration right;

“mining exploration operations” means authorised operations under a mining exploration right;

“mining extraction operations” means authorised operations under a mining lease;

“mining exploration right” means a prospecting, exploration, or retention licence *granted under the Mining and Minerals Act*;²³⁷

“mining information” means information relating to mining operations;

“mining operations” means authorised operations under a mining right;

“mining revenues” means signature and other bonuses, surface rentals, royalties, and any other duties or fees payable to the Government under the Mining and Mineral Act or a mining right granted under that Act;

“mining right” means a mining exploration right, or a mining lease;

“non-resident associate”, in relation to a licensee, means an associate of the licensee that is a non-resident person;

²³⁷ Substituted by IT (Am0 Act, 2018

“non-resident contractor” means a contractor that is not a resident person;

“participation dividend” in relation to a resident licensee, means a dividend paid by the licensee to a non-resident company that has a ten percent or greater voting interest in the voting power of the licensee;

“petroleum agreement”, means an agreement entered into by the Government of Uganda with another person in accordance with the Petroleum (Exploration, Development and Production) Act or the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act;

“petroleum development expenditure” means expenditure incurred by a licensee in undertaking [exploration] operations authorised under a petroleum production [rights] licence;²³⁸

“petroleum development operations” means authorised operations under a petroleum production licence;

“petroleum exploration expenditure” means expenditure incurred by a licensee in undertaking exploration operations authorized under a petroleum exploration right;

“petroleum exploration information” means information relating to the search for petroleum under a petroleum exploration right;²³⁹

“petroleum exploration operations” means an authorised operation under a petroleum exploration right;

“petroleum exploration right” means a reconnaissance permit or petroleum exploration licence;²⁴⁰

“petroleum operation” means a petroleum activity as defined in the Petroleum (Exploration, Development and Production) Act;

“petroleum revenues” has the meaning assigned to it in Section 3 of the Public Finance Management Act; [“tax” means tax charged on income derived by a person from petroleum operations;]²⁴¹

“petroleum right” means a reconnaissance permit, petroleum exploration right, or a petroleum production licence;

“prescribed licensee” means—

²³⁸ Substituted by IT(Am) No.2 Act, 2016

²³⁹ Repealed by IT (Am) Act, 2016

²⁴⁰ Repealed by IT (Am) Act, 2018

²⁴¹ Substituted by Public Finance Management Act, 2015 and then by IT (Am) Act, 2015

- (a) a person who has been granted a mining right and, in respect of whom, the Commissioner General has notified in writing to be a prescribed licensee; or
- (b) a person with whom the Government has entered into a petroleum agreement.

“resident licensee” means a licensee that is a resident company;

“service fee” includes an amount treated as a royalty in the definition of royalty in section 2;

“social infrastructure expenditure” means capital expenditure that a licensee is required to incur under a mining right or petroleum agreement on the construction of a public school, public hospital, public road, or similar social infrastructure.

- (2) Unless the context otherwise requires, any term that is not defined in this Act but is defined in the Mining and Minerals Act, or the Petroleum (Exploration, Development and Production) Act, as the case may be, has the same meaning as in the Mining and Minerals Act or in the Petroleum (Exploration, Development and Production) Act.
- (3) If more than one person has signed a petroleum agreement, each person is treated as a licensee for the purposes of this Part.
- (4) An amount is not treated as “mining exploration expenditure”, “mining extraction expenditure”, “petroleum exploration expenditure”, or “petroleum development expenditure” to the extent that the amount is not allowed as a deduction under Section 22(3) or 23.

Mining Operations

90. Taxation of mining licensees²⁴²

- (1) This Act applies to a licensee in relation to mining operations subject to the modifications in this Part.
- (2) Where there is any inconsistency in the taxation of a licensee referred to in subsection (1), between this Part, other parts of this Act and any agreement, the provisions of this Part shall prevail.

²⁴² Substituted by IT (Am) Act, 2015

- (3) The rate of income tax applicable to a licensee in respect of mining operations is the rates specified under paragraph 1 of Part VII of Schedule 4 to this Act.

91. Limitations on deductions relating to mining operations²⁴³

- (1) Subject to subsection (5), an amount that a licensee may deduct under this Act in relation to mining operations undertaken by the licensee in a licence area in a year of income shall be allowed as a deduction only against the gross income derived by the licensee from the operations in the licence area for that year.
- (2) If an amount allowed as a deduction relates partly to mining operations in a licence area and partly to mining operations in another licence area or to some other activity, the deduction shall be apportioned accordingly.
- (3) If, in any year of income, the total deductions of a licensee in relation to mining operations undertaken in a licence area exceeds the total gross income arising from those operations in the licence area, the excess is carried forward to the following year of income and shall be deducted in that year against gross income arising from the mining operations in the licence area, until the excess is fully deducted or the mining operations in the licence area cease.
- (4) If a licensee has a loss carried forward for a licence area under subsection (3) for more than one year of income, the loss of the earliest year shall be allowed as a first deduction.
- (5) In this section, the licence area for a mining lease includes the area of a mining exploration right provided the licence area for the mining lease is wholly within the area covered by the mining exploration right.

92. Mining exploration expenditure²⁴⁴

- (1) If the cost of acquiring a depreciable asset is treated as mining exploration expenditure, Section 27 applies to the asset on the following basis—
- (a) the asset is treated as belonging to a separate pool of depreciable assets; and

²⁴³ Substituted by IT (Am) Act, 2015

²⁴⁴ Substituted by IT (Am) Act, 2015

- (b) the depreciation rate applicable to the pool is one hundred percent.
- (2) If the cost of acquiring an intangible asset is treated as mining exploration expenditure, Section 30 applies to the asset on the basis that the useful life of the asset is one year.
- (3) A licensee shall be allowed a deduction for mining exploration expenditure to which subsection (1) or (2) do not apply in the year of income in which the expenditure is incurred.

93. Mining extraction expenditure²⁴⁵

- (1) Subject to subsection (4), if the cost of acquiring an intangible asset is mining extraction expenditure, the useful life of the asset is the lesser of:-
 - (a) the expected life of the mining extraction operations to which the asset relates; or
 - (b) six years.
- (2) Subject to subsection (4), a licensee shall be allowed a deduction on a straight-line basis for mining extraction expenditure to which subsection (1) does not apply over the lesser of –
 - (a) the expected life of the mining extraction operations to which the expenditure relates; or
 - (b) six years.
- (3) Subject to subsection (5), if a depreciable asset for use in mining extraction operations is acquired or constructed by a licensee before the commencement of commercial production, Section 27 applies to the asset as if it was acquired or constructed at the time of commencement of commercial production.
- (4) Subject to subsection (5), if mining extraction expenditure is incurred before the commencement of commercial production, subsection (2) or Section 30, as the case may be, applies to the expenditure as if it was incurred at the time of commencement of the commercial production.
- (5) The amount of a deduction for a depreciable asset referred to in subsection (3) or a mining extraction expenditure referred to in subsection (4) for the

²⁴⁵ Substituted by IT (Am) Act, 2015

year of income in which the commencement of commercial production occurs is computed according to the following formula—

$$A \times B/C$$

where –

- A** is the amount of the cost of the asset or the amount of the expenditure;
- B** is the number of days in the period beginning on the date of commencement of commercial production and ending on the last day of the year of income in which commercial production commenced; and
- C** is the number of days in the year of income in which commercial production commenced.

- (6) If a licensee disposes of an interest in a mining right (other than under a farm-out agreement), any gain arising on the disposal shall be reduced by any mining extraction expenditure incurred by the licensee to which subsection (2) applies that has not been deducted by the licensee at the time of the disposal.

94. Rehabilitation expenditure²⁴⁶

- (1) A contribution made by a licensee to a rehabilitation fund in accordance with an approved rehabilitation plan in relation to mining operations shall be allowed as a deduction in the year of income in which the contribution was made.
- (2) An expenditure incurred by a licensee in carrying out work required by an approved rehabilitation plan in respect of the licensee's mining operations shall be allowed as a deduction in the year of income in which the expenditure is incurred provided that the work is not paid for, directly or indirectly, from money made available out of the licensee's rehabilitation fund for the mining operations.
- (3) An amount accumulated in a rehabilitation fund, or an amount withdrawn from a rehabilitation fund to meet expenditure incurred under an approved rehabilitation plan, shall be exempt income.
- (4) The following amounts shall be included in the gross income of a licensee—

²⁴⁶ Substituted by IT (Am) Act, 2015

- (a) an amount withdrawn from a rehabilitation fund and returned to the licensee;
 - (b) any surplus in a rehabilitation fund of a licensee at the time of completion of rehabilitation that is returned to the licensee.
- (5) For purposes of this section—

“approved rehabilitation plan” means a plan for rehabilitation of a mine site approved by the Minister responsible for mining operations; and

“rehabilitation fund” means a fund or account required to be established under a mining right to provide for the future payment of remedial work to the licence area covered by the mining right and that is managed jointly by the licensee and the Minister responsible for mining operations.

Petroleum Operations

95. Taxation of petroleum licensees²⁴⁷

- (1) This Act applies to a licensee in relation to a petroleum operation subject to the modifications in this Part.
- (2) Where there is any inconsistency in the taxation of a licensee referred to in subsection (1) between this Part, other Parts of this Act, and any petroleum agreement, the provisions of this Part shall prevail.
- (3) The rate of income tax applicable to a licensee in relation to [a licensee in relation to]²⁴⁸ a petroleum operation is the rate specified under paragraph 2 of Part VII of Schedule 4 to this Act.²⁴⁹
- (4) If a licensee has a loss carried forward for a contract area under subsection (3) for more than one year of income, the loss of the earliest year shall be allowed as a first deduction.
- (5) In this section, a contract area that is a development area includes an exploration area provided the development area is wholly within the exploration area.

²⁴⁷ Substituted by IT (Am) Act, 2015

²⁴⁸ Repealed by IT (Am) Act, 20018

²⁴⁹ Applicable rate is 30%

96. Limitation of deductions relating to petroleum operations²⁵⁰

- (1) An amount that a licensee may deduct under this Act in relation to petroleum operations undertaken by a licensee in a contract area in a year of income shall [be allowed as a deduction only against the gross income] *not exceed the cost oil* derived by the licensee from those operations in the contract area for that year.
- (2) Notwithstanding subsection (1), the amount that a licensee for Contract Area 1, Contract Area 3A and Licence Area 2 may deduct, in relation to petroleum operations undertaken in the respective areas in a year of income, shall not exceed the cost recovery limit in the respective petroleum agreements.²⁵¹
- (3) Where, in any year of income, the total deductions of a licensee in relation to petroleum operations undertaken in a contract area *exceed the cost oil for that year of income* [total gross income] arising from those operations in the contract area, the excess shall be carried forward to the *next* following year of income and is *deductable for that year of income against the cost oil for that year of income* [shall be deducted in that year against gross income] arising from the petroleum operations in the contract area, until the excess is fully deducted or the petroleum operations in the contract area cease.

[Where an amount allowed as a deduction relates partly to petroleum operations in a contract area and partly to petroleum operations in another contract area or to some other activity, the deduction shall be apportioned accordingly.]

- (4) For the purposes of subsection (2), where, in any year of income, the total deductions of a licensee in relation to petroleum operations undertaken respectively in each of Contract Area 1, Contract Area 3A and Licence Area 2 exceed the amount which represents the cost recovery limit applicable in that Contract Area or Licence Area respectively as determined in subsection (2) for that year of income arising from the petroleum operations in the respective Contract Area or Licence Area, the excess shall be carried forward to the next following year of income and is deductible for that year of income against the cost recovery limit set for that year of income in respect of the petroleum operations in the respective Contract Area or Licence Area, until the

²⁵⁰ Substituted by IT (Am) Act, 2015; substituted by IT (Am) No.2 Act, 2017 WEF 1/7/2015

²⁵¹ Inserted by IT (Am) No.2 Act, 2021; Date of assent: 20th Dec, 2021; date of commencement; 24th Dec, 2021

excess is fully deducted or the petroleum operations in the Contract Area or Licence Area cease.²⁵²

- (5) For the avoidance of doubt, subsections (2) and (4) apply only to Contract Area 1, Contract Area 3A and Licence Area 2.²⁵³
- (6) If a licensee has a loss carried forward *from* a contract area under *subsection (3)* for more than one year of income, the loss of the earliest year shall be allowed as a first deduction.

(7) In this section, a contract area that is a development area includes an exploration area provided the development area is wholly within the exploration area

- (7) In case of a licensee granted a petroleum exploration license after 31st December 2015, the allowable deductions shall be subject to the limitations on deductions specified in the Production Sharing Agreement.²⁵⁴

97. Petroleum exploration expenditure²⁵⁵

- (1) If the cost of acquiring a depreciable asset is treated as petroleum exploration expenditure, Section 27 applies to the asset on the following basis—
 - (a) the asset is treated as belonging to a separate pool of depreciable assets; and
 - (b) the depreciation rate applicable to the pool is one hundred percent.
- (2) If the cost of acquiring an intangible asset is treated as petroleum exploration expenditure, Section 30 applies to the asset on the basis that the intangible asset is amortised at the same rate as the assets of the petroleum exploration.
- (3) A licensee shall be allowed a deduction for petroleum exploration expenditure to which subsection (1) and (2) do not apply in the year of income in which the expenditure is incurred.

98. Petroleum development expenditure²⁵⁶

²⁵² Inserted by IT (Am) No.2 Act, 2021; Date of assent: 20th Dec, 2021; date of commencement; 24th Dec, 2021

²⁵³ Inserted by IT (Am) No.2 Act, 2021; Date of assent: 20th Dec, 2021; date of commencement; 24th Dec, 2021

²⁵⁴ Substituted by deletion in IT (Am) Act, 2017; Erroneously reinstated by ULCR in the Revised Laws of Uganda, 2024

²⁵⁵ Substituted by IT(Am) Act, 2015

²⁵⁶ Substituted by IT(Am) Act, 2015

- (1) Subject to subsection (4), if the cost of acquiring an intangible asset is petroleum development expenditure, the useful life of the asset is the lesser of —
 - (a) the expected life of the petroleum development operations to which the asset relates; or
 - (b) six years.
- (2) Subject to subsection (4), a licensee shall be allowed a deduction on a straight-line basis for petroleum development expenditure to which subsection (1) does not apply over the lesser of –
 - (a) the expected life of the petroleum development operations to which the expenditure relates; or
 - (b) six years.
- (3) Subject to subsection (5), if a depreciable asset for use in petroleum development operations is acquired or constructed by a licensee before the commencement of commercial production, Section 27 shall apply to the asset as if it was acquired or constructed at the time of commencement of the commercial production.
- (4) Subject to subsection (5), if petroleum development expenditure is incurred before the commencement of commercial production, subsection (2) or Section 27, as the case may be, shall apply to the expenditure as if it was incurred at the time of commencement of the commercial production.
- (5) The amount of a deduction for a depreciable asset referred to in subsection (3) or petroleum development expenditure referred to in subsection (4) for the year of income in which the commencement of commercial production occurs shall be computed according to the following formula–

$$A \times B/C$$

where

- A is the amount of the cost of the asset or the amount of the expenditure;
- B is the number of days in the period beginning on the date of commencement of commercial production and ending on the last day of the year of income in which commercial production commenced; and
- C is the number of days in the year of income in which the commercial

production commenced.

- (6) In this Section, “commencement of commercial production” means the first day of the period of thirty consecutive days during which production is not less than the level of regular production delivered for sale as determined by Government as part of the approval of, or amendment to a development plan, averaged over not less than twenty-five days in the period.

99. Decommissioning expenditure²⁵⁷

- (1) A contribution made by a licensee to a decommissioning fund in accordance with an approved decommissioning plan in relation to petroleum operations shall be allowed as a deduction in the year of income in which the contribution was made.
- (2) An expenditure incurred by a licensee in carrying out work required by an approved decommissioning plan in respect of the licensee’s petroleum operations shall be allowed as a deduction in the year of income in which the expenditure is incurred provided that the work is not paid for, directly or indirectly, from money made available out of the licensee’s decommissioning fund for the petroleum operations.
- (3) An amount accumulated in a decommissioning fund, or an amount withdrawn from a decommissioning fund to meet expenditure incurred under an approved decommissioning plan, shall be exempt income.
- (4) an amount withdrawn from a decommissioning fund and returned to the licensee is included in the gross income of a licensee.

[(4) The following amounts are included in the gross income of a licensee –

(a) an amount withdrawn from a decommissioning fund and returned to the licensee. (b) [any surplus in a decommissioning fund of a licensee at the time of completion of decommissioning that is returned to the licensee.]²⁵⁸

- (5) For purposes of this section—

“approved decommissioning plan” means a decommissioning plan approved under the petroleum (Exploration, Development and Production) Act; and

²⁵⁷Substituted by IT(Am) Act, 2015

²⁵⁸ Repealed by IT (Am) Act, 2016; Subsection (4) modified by ULRC in the Revised Laws of Uganda, 2024

“decommissioning fund” means a decommissioning fund established under an approved decommissioning plan.

100. Windfall tax²⁵⁹

- (1) Where the international oil price equals USD 75 (seventy-five United States Dollars) per barrel or more on any day of a year of income, all licensees for Contract Area 1, Contract Area 3A and Licence Area 2 shall each pay a windfall tax on their net income generated from petroleum operations in relation to Contract Area 1, Contract Area 3A and Licence Area 2 after deduction of corporate income tax at a rate of 15%, computed as follows –

$$\text{Windfall tax} = 15\% * (A/B) * (C-D)$$

where -

A = the number of calendar days in the year of income on which the international oil price equals USD 75 per barrel or more;

B = the total number of calendar days in the year of income;

C = the net income generated from petroleum operations by the licensee in the year of income; and

D = corporate income tax payable by the licensee for the year of income.

- (2) Where, for any calendar day there is no international oil price quotation, the oil price of the last quotation prior to the respective calendar day shall apply to that day.
- (3) The windfall tax shall be paid by the licensee on an annual basis, on the same date as the date of payment of corporate income tax due for the last quarter of the relevant year of income.
- (4) For the purposes of this section –
- (a) "international oil price" means the higher of either the simple arithmetical average of the per barrel selling prices of three globally recognised international crude oil benchmarks which are similar to the Lake Albert Crude, as agreed to between the Government of Uganda and the licensee, not later than sixty days prior to the commencement of commercial production or the Dated Brent; and

²⁵⁹ Inserted by IT (Am) No.2 Act, 2021; assent: 20th Dec, 2021; Commencement: 24th Dec, 2021

- (b) "net income" means the chargeable income of the licensee derived from petroleum operations in that year of income."

Rules applicable to Mining and Petroleum Operations

101.Farm-outs²⁶⁰

- (1) This section shall apply where the following conditions are satisfied—
- (a) a licensee (referred to as the "transferor") has entered into an agreement (referred to as a "farm-out agreement") with a person (referred to as the "transferee") for the transfer of *the whole or*²⁶¹ part of the interest of the transferor in a mining right or petroleum agreement;
 - (b) the consideration given by the transferee for the transferred interest wholly or partly includes the transferee undertaking some or all of the work commitments of the transferor in respect of the part of the interest retained by the transferor.
- (2) If this section applies—
- (a) the value of any work undertaken by the transferee in relation to the part of the interest retained by the transferor shall be included in—
 - (i) the consideration received by the transferor for the transferred interest; or
 - (ii) the gross income of the transferor; and
 - (b) the following applies to any amount of money received or receivable by the transferor for the transferred interest—
 - (i) section 61 applies to the amount of money on the basis that it is a recoupment by the transferor of any deductions allowed for expenditure incurred by the transferor in respect of the transferred interest; and
 - (ii) if the amount of money exceeds the amount of deducted expenditure to which Section 61 applies, the excess shall be treated as consideration received for the transferred interest.

102.Indirect transfers of interest²⁶²

²⁶⁰ Substitute by IT (Am) Act, 2015

²⁶¹ Substitute by IT (Am) Act, 2018

²⁶² Substitute by IT (Am) Act, 2015

- (1) If there is a change in the underlying ownership of a licensee, the licensee shall immediately notify the Commissioner General, in writing, of the change.
- (2) If the person disposing of the interest to which a notice under subsection (1) relates is a non-resident person, the licensee shall be liable, as agent for the non-resident person, for any tax payable under this Act by the non-resident person in respect of the disposal.
- (3) The interest referred to in subsection (2) is a business asset for the purposes of this Act.

103. Taxation of contractors²⁶³

- (1) Subject to subsection (3), a non-resident contractor who derives a fee (referred to as a “service fee”), for the provision of services to a licensee in respect of mining or petroleum operations is liable to pay non-resident contractor tax at the rate prescribed in paragraph 3 of Part VII of Schedule 4 to this Act.²⁶⁴
- (2) The tax payable under subsection (1) shall be computed by applying the rate prescribed in paragraph 3 of Part VII of Schedule 4 to this Act to the gross amount of service fee.
- (3) A licensee paying a service fee to a non-resident contractor that is subject to non-resident contractor tax shall withhold tax on the gross amount paid at the rate specified in subsection (1).
- (4) A licensee to whom subsection (3) applies shall withhold tax at the earlier of—
 - (a) at the time the licensee credits the service fee to the account of the non-resident contractor; or
 - (b) at the time that the fee is actually paid.
- (5) A non-resident contractor tax imposed under this section shall be a final tax on the service fee and the fee shall not be included in the gross income of the contractor.
- (6) Sections 140 to 146 of this Act and the Tax Procedures Code Act apply to a non-resident contractor on the basis that—

²⁶³ Substitute by IT (Am) Act, 2015

²⁶⁴ Applicable rate is 10% of the gross amount of the service fee

- (a) the tax is a tax withheld under Part XIV;
 - (b) the contractor is a payee; and
 - (c) the licensee is a withholding agent.
- (7) This section shall apply as if the associate is a non- resident contractor providing services to the licensee if the following conditions are satisfied:-
- (a) a non-resident contractor provides services to a licensee;
 - (b) the service fee is paid to the contractor by a non- resident associate of the licensee;
 - (c) the fee is recharged by the associate to the licensee.
- (8) If a non-resident contractor provides services for the benefit of a licensee and the fee for the services is paid to the non-resident contractor by a non-resident associate of the licensee, this section applies to any recharge of the fee by the associate to the licensee as if the associate provided the services to the licensee.

104. Withholding tax²⁶⁵

- (1) The tax payable for the purposes of Section 82(3) applicable to a participation dividend paid by a resident licensee to a company is calculated by applying the rate prescribed in Part VIII of Schedule 4 to this Act.²⁶⁶
- (2) A licensee is treated as a designated person for the purposes of Section 136 in respect of payments made to a resident contractor.
- (2) The tax payable for the purposes of Section 85(2) by a non-resident subcontractor
- deriving income under a Uganda-source services contract where the services are provided
- to a contractor and directly related to petroleum operations under a petroleum agreement is calculated by applying the rate specified in part IXB of the Third Schedule to this Act.
- (3) Section 136 applies to an amount treated as a royalty as defined in paragraph (a)(v), of the definition of “royalty” in Section 2, if it is paid by a licensee to

²⁶⁵ Amended by IT (Am) Act, 2015

²⁶⁶ Applicable rate is 15%

any contractor in Uganda in respect of the use of property in Uganda.

(3) Section 85 applies to an amount treated as a royalty in section 2(nnn)(i)(E), if it is paid

by a contractor to a non-resident subcontractor in respect of the use of property in Uganda.

- (4) For the purposes of this section, “resident contractor” means a contractor that is a resident person.

105. Tax accounting principles²⁶⁷

- (1) A licensee shall account on an accrual basis.
- (2) Except as may be otherwise agreed in writing between the Government and a licensee, all transactions shall be accounted for at arm’s-length prices, and a licensee shall disclose all non- arm’s-length transactions in a return for a specified period if required to do so by the Commissioner General.
- (3) A prescribed licensee shall, for purposes of taxation—
- (a) maintain accounts for a contract area in Uganda Shillings and in United States Dollars, and in the case of any conflict, the accounts maintained in United States Dollars shall prevail; and²⁶⁸
 - (b) use the exchange rates prescribed for conversion of currencies as follows—
 - (i) the Government or a prescribed licensee shall not experience an exchange gain or loss at the expense of, or to the benefit of, the other; and any gain or loss resulting from the exchange of currency, shall be credited or charged to the accounts;
 - (ii) the amounts received and costs and expenditures made in Uganda shillings, United States Dollars or any other currency shall be converted into Uganda Shillings or United States Dollars, as the case may be, on the basis of the average of the buying and selling exchange rates between the currencies in question as published by the Bank of Uganda, prevailing on the last business

²⁶⁷ Section 105-111 inserted by IT (Am) Act, 2009 and substituted by (Am) Act, 2010 WEF 1/7/97; amended by IT(Am) Act, 2015

²⁶⁸ Substituted by IT (Am) Act, 2015

day of the calendar month preceding the calendar month in which the amounts are received, and costs and expenditures are paid.

- (iii) in the event of an increase or decrease, one time or accumulative, of ten per cent or more in the rates of exchange between the Ugandan Shilling, the United States Dollar or the currency in question during any given calendar month, the following rates shall be used—
 - (A) for the period from the first of the calendar month to the day when the increase or decrease is first reached, the average of the official buying and selling exchange rates between the United States Dollar, the Uganda Shilling or the currency in question as issued on the last day of the previous calendar month;
 - (B) for the period from the day on which the increase or decrease is first reached to the end of the calendar month, the average of the official buying and selling exchange rates between the United States Dollar, the Uganda Shilling or the currency in question as issued on the day on which the increase or decrease is reached.

- (4) A prescribed licensee shall maintain a record of the exchange rates used in converting Uganda Shillings, United States Dollars or any other currency.

106.Allocation of costs and expenses²⁶⁹

Any petroleum exploration expenditure or petroleum development expenditure associated with a unit development involving a discovery area which extends into a neighboring country or licence or both shall be allocated on the basis of the petroleum reserves attributable to that portion of the discovery area located in Uganda or licence or both.²⁷⁰

(1) Costs and expenses incurred by a contractor in respect of activities which would only in part qualify as contract expenses shall be allocated to the books, accounts, records and

reports maintained for that purpose, in a manner that –

²⁶⁹ Amended by IT (Am) Act, 2015

²⁷⁰ Inserted by IT (Am) Act, 2010 WEF 7/97 and Substituted by IT (Am) Act, 2015

- (a) avoids any duplication of costs;
- (b) fairly and equitably reflects the costs attributable to the petroleum operations carried out;
- (c) excludes any costs and expenses which would be allocated to those activities which do not constitute petroleum operations.²⁷¹

89K. The Principle of Ring Fencing²⁷²

107. Valuation and measurement of petroleum²⁷³

For the purposes of determining the value of petroleum derived from petroleum operations from a contract area, petroleum shall be valued and measured in accordance with the regulations prescribed by the Minister which shall be laid before Parliament.

89L. Allowable Currencies²⁷⁴

89M. Consolidation Principle²⁷⁵

108. Application of sections 121, 122 and 123 and the Tax Procedures Code Act²⁷⁶

Sections 121, 122 and 123 and the Tax Procedures Code Act apply, subject to the modifications in this Part, to a licensee in respect of —

- (a) mining and petroleum revenues and for that purpose—
 - (i) such revenues are a “tax”; and
 - (ii) a consolidated mining revenue return and a consolidated petroleum revenue return required under section 109 are a “tax return”; and

²⁷¹ Repealed by IT (Am) Act 2015

²⁷² Repealed by IT (Am) Act, 2010.

²⁷³ Inserted by IT (Am) Act, 2010 WEF 7/97

²⁷⁴ Repealed by IT (Am) Act, 2010

²⁷⁵ Repealed by IT (Am) Act, 2010

²⁷⁶ Amended by IT (Am) Act 2015

- (b) taxes payable to the Government not included in mining or petroleum revenues, in this Part referred to as “other taxes”.

89N Carry Forward losses²⁷⁷

109.Returns²⁷⁸

- (1) Section 119 of this Act and sections 16 and 19 of the Tax Procedures Code Act apply to a licensee subject to the following modifications—
- (a) a licensee shall furnish a return not later than seven days after the end of every month in respect of the provisional payments required under section 111(b);
 - (b) not less than thirty days before the beginning of a year of income, a licensee shall furnish a return, including particulars for each calendar quarter of the year, estimated to the best of the licensee’s judgement, and shall furnish updates of the return within seven days after the end of each of the first three calendar quarters in the year;
 - (c) the Commissioner General may require a duly appointed agent or trustee of the licensee, whether taxable or not, to furnish a return on the licensee’s behalf or as an agent or trustee of the licensee;
 - (d) in addition to a return furnished on a licensee’s own behalf, the Commissioner General may require a licensee acting as an operator in a contract area, to furnish a return in respect of that area on behalf of all licensees with an interest in the petroleum agreement;
 - (e) a return required under this section shall include particulars of mining or petroleum revenues and other taxes prescribed by the Commissioner General;
 - (f) a return required for any period shall be furnished, whether mining or petroleum revenues or other taxes are payable for the period or not;
 - (g) the Commissioner General may make provision permitting or requiring a licensee to submit returns electronically.
- (2) In addition to a return required under subsection (1), a licensee shall file an

²⁷⁷ Repealed by IT (AM) Act 2010

²⁷⁸ Substituted by IT (Am) Act, 2010 WEF 7/2010; and amended by IT (Am) Act, 2015

annual consolidated mining or petroleum revenue return with the Commissioner General at the end of each year of income, not later than ninety days after the expiry of the year of income.

(3) A person who fails to furnish a return of income for a tax period within the time required

by this section commits an offence and is liable to pay a penal tax equal to 2 per cent per

annum of the tax payable for that period.²⁷⁹

110. Assessments, objections and appeal²⁸⁰

(1) Part VII of the Tax Procedures Code Act applies to a licensee subject to an assessment made by the Commissioner General on a licensee may relate to mining or petroleum revenues and not only to chargeable income;

(a) an assessment made by the Commissioner on a licensee may relate to mining or petroleum revenues and not only to chargeable income;

(b) the time limit in section 95(1) is three years instead of five years;

(c) section 96(1), (2), (3) and (4) apply to a licensee, notwithstanding that a notice has not

been published under section 96(5).²⁸¹

(2) Objections and appeals relating to mining or petroleum revenues shall be determined in accordance with Part VIII of the Tax Procedures Code Act.

111. Collection and recovery²⁸²

Sections 120, 121 and 122 and Part IX of the Tax Procedures Code Act shall apply to licensees with the following modifications—

(a) mining or petroleum revenues and other taxes charged in any assessment shall be payable within seven days after the due date for furnishing a return;

²⁷⁹ Repealed by IT (Am) Act, 2015

²⁸⁰ Inserted by IT (Am) Act, 2010 WEF 7/2010 & amended by IT (Am) Act, 2015

²⁸¹ Deleted by IT (Am) Act, 2015

²⁸² Substituted by IT (Am) Act, 2010 WEF 7/2010; amended by IT (Am) Act 2015

- (b) a licensee shall, in each calendar quarter, make a provisional payment consisting of —
 - (i) in the case of income tax, one quarter of the licensee's estimated income tax for the year; and
 - (ii) in the case of mining or petroleum revenues other than income tax, the amounts payable for the quarter under the Mining and Minerals Act or mining right, or petroleum agreement.
- (c) unless otherwise agreed between the Government and a prescribed licensee, all payments or refunds of mining or petroleum revenues other than those payable in kind and other taxes shall be made in United States Dollars;
- (d) all mining or petroleum revenues shall be payable to the Uganda Revenue Authority;
- (e) subject to paragraph (f), section 123 shall apply to refunds of mining or petroleum revenues and other taxes payable to the Government;
- (f) late payment, or refunds of mining or petroleum revenues and other taxes payable to the Government shall, for each day on which the sums are overdue during any month, bear interest compounded daily at an annual rate equal to the average rates published by the Bank of Uganda plus five percentage points;
- (g) where a licensee has paid mining or petroleum revenues in kind and the amount payable subsequently requires to be adjusted for any reason, the adjustment shall be made in cash unless otherwise agreed between the Government and a licensee;
- (h) a payment of mining or petroleum revenues made by a licensee shall be allocated by the Commissioner General against amounts payable in the order in which they become due and in such a way as to minimise any interest or penalties payable by a licensee.

89Q. Classification, definition and allocation of costs and expenditures²⁸³

112. Failure to furnish returns²⁸⁴

²⁸³ Repealed by IT (Am) Act, 2010

²⁸⁴ 89QA – QD Inserted by IT (Am) Act, 2010 WEF 7/2010 & Amended by IT (Am) Act, 2015

- (1) Notwithstanding the provisions of Sections 56 and 58 of the Tax Procedure Code Act, a licensee who fails to furnish a return or provide any other document within the time prescribed by this Act is liable to a penalty of not less than fifty thousand United States Dollars and not exceeding five hundred thousand United States Dollars. [A licensee who

fails to furnish a return or any other document within the time prescribed by this Act is liable to a fine of not less than 50,000 United States Dollars and not exceeding 500,000 United States Dollars.]²⁸⁵

- (2) Where a licensee convicted of an offence under subsection (1) fails to furnish the return or document to which the offence relates within a period specified by the court, or furnishes false or inaccurate returns, that licensee is liable to a fine not exceeding one hundred thousand United States Dollars.

(2) A contractor who files false or inaccurate returns commits an offence and is liable on

conviction to a fine of not less than 50,000 United States Dollars and not exceeding 500,000

United States Dollars or its equivalent in Uganda Shillings and where there is fraud, a fine

of not less than 500,000 United States Dollars or its equivalent in Uganda Shillings.²⁸⁶

113. Making false or misleading statements²⁸⁷

A prescribed licensee or person in relation to a prescribed licensee who is convicted of an offence under section 67 of the Tax Procedures Code Act shall be liable, on conviction—

- (a) when the statement or omission was made knowingly or recklessly, to a fine not less than one million United States Dollars or to imprisonment for a term not exceeding five years, or both; or
- (b) in any other case, to a fine not less than fifty thousand United States dollars and not exceeding five hundred thousand United States dollars.”

²⁸⁵ Substituted by IT (Am) Act, 2022

²⁸⁶ Repealed by IT (Am) Act, 2015 Renders (2) redundant

²⁸⁷ Substituted by IT (Am) Act, 2015

114. Penal tax and tax offences²⁸⁸

Part XV and Sections 68, 69, 81, 82, 83 and 85 of the Tax Procedures Code Act apply to a licensee in respect of mining or petroleum revenues and other taxes subject to the following modifications—

- (a) interest under section 111 (f) and not penal tax under section 60 of the Tax Procedures Code Act shall be charged where provisional tax is understated;
- (b) a licensee shall not be prosecuted or fined under these sections if prosecuted or fined for the same offence under the Mining and Minerals Act, Petroleum (Exploration, Development and production) Act or the petroleum agreement.

115. Right of Commissioner General to undertake audit²⁸⁹

Nothing in a *mining right*, petroleum agreement or in any law shall be construed as limiting the right of the Commissioner General to execute his or her mandate for purposes of this Act.

PART XI—ANTI-AVOIDANCE**116. Transactions between associates**

- (1) In any transaction between [taxpayers who are] associates or persons who are in an employment relationship, the Commissioner General may distribute, apportion, or allocate income, deductions, or credits between the [taxpayers] *associates or persons who are in an employment relationship, as the case may be, as is necessary to reflect the chargeable income realised by the taxpayer [would have realized]* in an arm's length transaction.²⁹⁰
- (2) The Commissioner General may adjust the income arising in respect of any transfer or license of intangible property between associates so that it is commensurate with the income attributable to the property.
- (3) In making any adjustment under subsections (1) or (2), the Commissioner General may determine the source of income and the nature of any payment or loss as revenue, capital, or otherwise.

117. Re-characterisation of income and deductions

²⁸⁸ Substituted by IT (Am) Act, 2011 and amended by IT (Am) Act, 2015

²⁸⁹ Amended by IT (Am) Act, 2015

²⁹⁰ Substituted by IT (Am) Act No.2, 2017

- (1) For the purposes of determining liability to tax under this Act, the Commissioner General may—
 - (a) re-characterise a transaction or an element of a transaction that was entered into as part of a tax avoidance scheme;
 - (b) disregard a transaction that does not have substantial economic effect; or
 - (c) re-characterise a transaction the form of which does not reflect the substance.
- (2) A “tax avoidance scheme” in subsection (1) includes any transaction, one of the main purposes of which is the avoidance or reduction of liability to tax.

PART XII—PROCEDURE RELATING TO INCOME TAX

Returns

(92) Furnishing of Return of Income²⁹¹

118. Furnishing of Return of income²⁹²

- (1) Subject to Section 119, every taxpayer shall furnish a return of income for each year of income not later than six months after the end of that year.
- (2) Notwithstanding subsection (1), a manager of a takaful business shall furnish a return of income for each year of income, not later than six months after the end of that year, on behalf of the participants in each group in the takaful business.²⁹³
- (3) A return of income shall be in the form prescribed by the Commissioner General and shall be furnished in the manner prescribed by the Commissioner General.
- (4) Where a taxpayer is legally incapacitated, the legal representative of the taxpayer shall sign the return.
- (5) A return of income of a taxpayer who is carrying on business shall be accompanied by a statement of income and expenditure and a statement of the assets and liabilities of the taxpayer.
- (6) A person, other than an employee of the taxpayer, who, for remuneration,

²⁹¹ Repealed by TPC Act 2014 and re-enacted as Section 118 by IT (Am) Act, 2018

²⁹² inserted by IT (Am) Act, 2018

²⁹³ Inserted by IT (Am) (No.2) Act, 2023

prepares or assists in the preparation of a return of income, a balance sheet, a statement of income and expenditure or any other document submitted in support of a return, shall sign the return certifying that the person has examined the books of accounts and all other relevant documentation of the taxpayer, and that, to the best of the person's knowledge, the return or document correctly reflects the data and transactions to which it relates.

- (7) Where a person refuses to sign a certificate referred to in subsection (6), that person shall furnish the taxpayer with a statement in writing of the reasons for the refusal and the taxpayer shall include that statement with the return of income to which the refusal relates.

119.Cases where return of income not required

Unless requested by the Commissioner General by notice in writing, no return of income shall be furnished under this Act for a year of income—

- (a) by a non-resident person where *Section 4(4) or Section 87(1)(c) or both apply*²⁹⁴ to all the income derived from sources in Uganda by the person during the year of income; or
- (b) by a resident individual—
- (i) to whom Section 4(4) [or (5)] applies, *except persons employed by diplomatic missions and prescribed organisations on which diplomatic immunities and privileges are conferred*;²⁹⁵ or
 - (ii) whose total chargeable income for the year of income is subject to the zero rate of tax under Part I of Schedule 4 to this Act.
- (c) by a non-resident person who is licensed to carry on Islamic financial business under a partnership arrangement or who has no physical place of business in Uganda.²⁹⁶

120.Due date for payment of tax²⁹⁷

The tax due under this Act shall be payable—

- (a) in the case of a taxpayer subject to Section 22 of the Tax Procedure Code

²⁹⁴ Substituted by IT (Am) Act, 2002

²⁹⁵ Deleted by IT (Am) Act, 2002; and Substituted by IT (Am) Act, 2016

²⁹⁶ Inserted by IT (Am) Act No.2, 2023

²⁹⁷ Inserted by IT (Am) Act, 2021

Act, on the due date for furnishing of the return of income to which the assessment relates; and

- (b) in any other case, within forty-five days from the date of service of the notice of assessment.

Provisional Tax

121. Payment of provisional tax

- (1) A person who derives or expects to derive any income during a year of income which is not or will not be subject to withholding tax at the source under Section 126, 127, or 128 [or subject to tax under Section 5] is liable *or subject* to pay provisional tax under this Section.²⁹⁸
- (2) A provisional taxpayer, other than an individual, is liable to pay two instalments of provisional tax, on or before the last day of the sixth and twelfth months of the year of income, in respect of the taxpayer's liability for income tax for that year.
- (3) For the purposes of subsection (2), the amount of each instalment of provisional tax for a year of income is calculated using the following formula —

$$(50\% \times A) - B \quad [25\% \times (A - B)]^{299}$$

where—

- A is the estimated tax payable by the provisional taxpayer for the year of income; and
- B is the amount of any tax withheld under this Act, prior to the due date for payment of the instalment, from any amounts derived by the taxpayer during the year of income which will be included in the gross income of the taxpayer for that year.
- (4) A provisional taxpayer who is an individual is liable to pay four instalments of provisional tax, on or before the last day of the third, sixth, ninth, and twelfth months of the year of income, in respect of the taxpayer's liability for income tax for that year.

²⁹⁸ Substituted by IT (Am) Act, 2006

²⁹⁹ Substituted by IT (Am) Act 2002

- (5) For the purposes of subsection (4), the amount of each instalment of provisional tax for a year of income is calculated according to the following formula –

$$(25\% \times A) - B \quad [25\% \times (A - B)]^{300}$$

Where —

- A is the estimated tax payable by the provisional taxpayer for the year of income; and
- B is the amount of any tax withheld under this Act, prior to the due date for payment of the instalment, from any amounts derived by the taxpayer during the year of income which will be included in the gross income of the taxpayer for that year.
- (6) Upon written application by the taxpayer, the Commissioner General may, where good cause is shown, extend the due date for payment of an instalment of provisional tax or allow for payment of such an instalment in equal or varying amounts.
- (7) An instalment of provisional tax, when it becomes due and payable, is a debt due to the Government and the provisions of this Act shall apply for the purposes of the collection and recovery of provisional tax by the Commissioner General.
- (8) Each instalment of provisional tax shall be credited against the income tax assessed to the provisional taxpayer for the year of income to which the instalment relates.
- (9) Where the total of the instalments credited under subsection (8) exceeds the taxpayer's income tax assessed for that year, the excess shall be dealt with by the Commissioner General in accordance with Section 123(3).
- (10) No instalment of provisional tax paid by a provisional taxpayer shall be refunded to the taxpayer other than in accordance with subsection (9).
- (11) In this Section, "estimated tax payable" has the meaning in Section 122.

122. Estimated tax payable

³⁰⁰ Substituted by IT (Am) Act, 2003

- (1) A provisional taxpayer's estimated tax payable for a year of income is—
 - (a) in the case of a taxpayer to whom Section 4(5) applies, the amount determined under Schedule 3 to this Act for that year as the tax payable on the gross turnover of the taxpayer estimated for that year under subsection (2); or
 - (b) in any other case, the amount calculated by applying the rates of tax in force for that year against the amount estimated under subsection (3) by the taxpayer as the chargeable income of the taxpayer for the year.
- (2) Every provisional taxpayer to whom Section 4(5) applies shall furnish an estimate of the gross turnover of the taxpayer for each year of income and shall include with the estimate for a year of income, a statement of the actual gross turnover of the taxpayer for the previous year of income.
- (3) Every provisional taxpayer, other than a taxpayer to whom Section 4(5) applies, shall furnish an estimate of the chargeable income to be derived by the taxpayer for a year of income in respect of which provisional tax is or may be payable by the taxpayer.
- (4) A provisional taxpayer's estimate under subsection (2) or (3) shall be in the form prescribed by the Commissioner General and shall be furnished to the Commissioner General by the due date for payment of the first instalment of provisional tax for the year of income.
- (5) A provisional taxpayer's estimate under subsection (2) or (3) shall remain in force for the whole of the year of income unless the taxpayer furnishes a revised estimate to the Commissioner General which revised estimate shall only apply to the calculation of the provisional tax payable by the taxpayer after the date the revised estimate was furnished to the Commissioner General.
- (6) Where a provisional taxpayer fails to furnish an estimate of gross turnover or chargeable income as required by subsection (2) or (3), the estimated gross turnover or chargeable income of the taxpayer for the year of income shall be such amount as estimated by the Commissioner General.

Refund of Tax

123. Refunds

- (1) A taxpayer may apply to the Commissioner General for a refund, in respect of any year of income, of any tax paid by withholding, instalments or otherwise in excess of the tax liability assessed to or due by the taxpayer for that year.
- (2) An application for a refund under this Section shall be made to the Commissioner General in writing within five years of the later of—
 - (a) the date on which the Commissioner General has served the notice of assessment for the year of income to which the refund application relates; or
 - (b) the date on which the tax was paid.
- (3) Where the Commissioner General is satisfied that tax has been over paid, the Commissioner General shall —
 - (a) apply the excess in reduction of any other tax due from the taxpayer; then
 - (b) apply the balance of the excess, if any, in reduction of any outstanding liability of the taxpayer to pay other taxes not in dispute or to make provisional tax payments during the year of income in which the refund is to be made; then
 - (c) *refund the remainder, if any, to the taxpayer.*³⁰¹
- (4) Where the Commissioner General is required to refund an amount of tax to a person as a result of an application made to the Commissioner General under this section or of a decision made under section 25, 26 or 27 of the Tax Procedure Code Act, the Commissioner General shall pay simple interest at a rate of two percent per month for the period commencing on the date the person made the application for refund and ending on the last day of the month in which the refund is made.
- (5) A taxpayer shall be deemed to have submitted an application for refund referred to in subsection (4), on the date on which the application is received by the Commissioner General.³⁰²
- (6) Notwithstanding subsection (8), where the Commissioner General requests for additional information, the application for refund shall be deemed to have been submitted on the date on which the additional information is

³⁰¹ Inserted by IT (Am) Act, 2002

³⁰² subsections (5) and (6) Inserted by IT (Am) Act, 2021

received by the Commissioner General.

- (7) Notwithstanding subsection (4), a refund shall be paid by the Commissioner General to a taxpayer within a period of six months from the date on which the application by the tax payer is received by the Commissioner General.
- (8) The Commissioner General shall, within thirty days of making a decision on a refund application under subsection (1), serve on the person applying for the refund a notice in writing of the decision.
- (9) A person dissatisfied with a decision referred to in subsection [(6)](8)³⁰³ may only challenge the decision under the objection and appeal procedure in this Act.

PART XIII—PROCEDURE RELATING TO RENTAL TAX

124.Rental Tax [Gross rental tax]³⁰⁴

- (1) *An individual* [*A resident individual*] charged to tax under Section 5 shall furnish a return of [gross] rental income for each year of income not later than six [four]³⁰⁵ months after the end of that year³⁰⁶.
- (2) Sections 118, and 123³⁰⁷ apply, with the necessary modification, to the tax imposed under Section 5.
- (3) For the avoidance of doubt, the Commissioner General shall prescribe the form for return of [gross]³⁰⁸ rental income under this section.

PART XIV—WITHHOLDING OF TAX AT SOURCE

125.Interpretation of Part

In this Part—

“payee” means a person receiving payments from which tax is required to be withheld under this Part; and

“withholding agent” means a person obliged to withhold tax under this Part.

³⁰³ Substituted by IT (Am) Act, 2002

³⁰⁴ Deleted by IT (Am) Act, 2002

³⁰⁵ Substituted by IT (Am) Act, 2009

³⁰⁶ Substituted by IT (Am) Act 2002

³⁰⁷ Sections repealed by TPC Act 2014

³⁰⁸ Substituted by IT (Am) Act 2002

126. Withholding of tax by employers

- (1) Every employer shall withhold tax from a payment of employment income to an employee as prescribed by regulations made under Section 151.
- (2) The obligation of an employer to withhold tax under subsection (1) is not reduced or extinguished because the employer has a right, or is otherwise under an obligation, to deduct and withhold any other amount from such payments.
- (3) The obligation of an employer to withhold tax under subsection (1) applies notwithstanding any other law which provides that the employment income of an employee shall not be reduced or subject to attachment.

127. Payment of interest to resident persons

- (1) Subject to subsection (2), a resident person who pays interest to another resident person shall withhold tax on the gross amount of the payment at the rate prescribed in Part IX of Schedule 4 to this Act.³⁰⁹
- (2) This Section does not apply to—
 - (a) interest paid by a natural person;
 - (b) interest, *other than interest from government securities*,³¹⁰ paid to a financial institution;
 - (c) interest paid by a company to an associated company; or
 - (d) interest paid which is exempt from tax in the hands of the recipient.
- (3) In this Section, “associated company”, in relation to a company, in this subsection referred to as the “payer company”, means—
 - (a) a company in which the payer company controls fifty per cent or more of the voting power in the company either directly or through one or more interposed companies;
 - (b) a company which controls fifty per cent or more of the voting power in the payer company either directly or through one or more interposed companies; or

³⁰⁹ Applicable rate is 15% for interest and dividends, other than interest on government securities taxable at 20% if maturity period does not exceed 10 years and 10% with maturity period is 10 years and more

³¹⁰ Inserted by IT (Am) Act, 2006

- (c) a company, in this subsection referred to as the “payee company”, where another company controls fifty per cent of the voting power in the payee and payer companies either directly or through one or more interposed companies.

128. Payment of dividends to resident shareholders

- (1) A resident company which pays a dividend to a resident shareholder shall withhold tax on the gross amount of the payment at the rate prescribed in Part IX of Schedule 4 to this Act.³¹¹
- (2) This Section does not apply where the dividend income is exempt from tax in the hands of the shareholder.

129. Withholding tax from professional fees³¹²

- (1) A resident person who pays management fees, *agency fees in case of Islamic financial business*,³¹³ or [of]³¹⁴ professional fees to a resident [professional] person³¹⁵ shall withhold tax on the gross amount of the payment at the rate prescribed in Part X of Schedule 4 to this Act.³¹⁶
- (2) This Section does not apply to a [professional] resident person³¹⁷ whom the Commissioner General is satisfied has regularly complied with the obligations imposed on that person under this Act.

130. Withholding tax by the purchaser of an asset

- (1) A resident person who purchases an asset from a non-resident person shall withhold tax on the gross amount of the payment at the rate prescribed in Part X of Schedule 4 to this Act.³¹⁸
- (2) A resident person who purchases a business or business asset shall withhold at a rate specified in Part X of Schedule 4 to this Act.³¹⁹

³¹¹ Applicable rate is 15%

³¹² Inserted by IT (Am) Act, 2002

³¹³ Inserted by IT (Am No. 2) Act, 2023

³¹⁴ Substituted by IT (Am) Act, 2010

³¹⁵ Substituted by IT (Am) Act, 2013

³¹⁶ applicable rate is 6%

³¹⁷ Substituted by IT (Am) Act, 2013

³¹⁸ Inserted by IT (Am) Act, 2013. Applicable rate is 10%

³¹⁹ Inserted by IT (Am) Act, 2019. Applicable rate is 6%

131. Withholding of Tax on Payments for Winnings of Betting [or gaming]³²⁰ [sports betting or pool betting]

A person who makes payment for winnings of *betting* [or *gaming*]³²¹ [sports betting or pool betting] shall withhold tax on the gross amount of the payment at the rate prescribed in Part XI of Schedule 4 to this Act.³²²

132. Withholding tax on payments of re-insurance or *re-takaful* premiums³²³

- (1) A resident person who makes a payment of premium for re-insurance or *re-takaful*³²⁴ services to a non- resident person shall withhold tax on the gross amount of the payment at a rate prescribed in Part XII of Schedule 4 to this Act.³²⁵
- (2) Subsection (1) does not apply to re-insurance or *re-takaful*³²⁶ services provided by—
 - (a) Uganda Reinsurance Company Limited;
 - (b) African Reinsurance Corporation; or
 - (c) PTA Reinsurance Company.
- (3) Reference to premium under this section shall have the same meaning as contribution in the case of re- takaful business.³²⁷

118E. Withholding of tax on payments for agricultural supplies

A person who makes a gross payment for agricultural supplies in excess of one million

shillings shall withhold tax on the gross amount of the payment at the rate prescribed in part

XII of the Third Schedule, if the payer is designated by the Minister to withhold tax.³²⁸

³²⁰ Deleted by IT (Am) Act 2023

³²¹ Deleted by IT (Am) Act 2023

³²² Section 131 Inserted by IT (Am) Act, 2014; Repealed by (Am) Act, 2016. Re-enacted by (Am 2) Act 2017 & Substituted by IT (Am) Act 2018. Applicable rate is 15%

³²³ Inserted by IT (Am) Act, 2014, amended by IT (Am) Act No.2, 2023

³²⁴ Inserted by IT (Am No.2) Act, 2023

³²⁵ Applicable rate is 10%

³²⁶ Inserted by IT (Am No.2) Act, 2023

³²⁷ Inserted by IT (Am No.2) Act, 2023

³²⁸ Inserted by IT (Am) Act, 2018. Repealed by IT (Am) Act, 2019

133. Withholding tax on commission paid by telecommunications service providers on airtime distribution and mobile money³²⁹

A telecommunications service provider who makes a payment of a commission for airtime distribution or provision of mobile money services shall withhold tax on the gross amount of the payment at the rate prescribed in Part XIII of Schedule 4 to this Act.

134. Withholding of tax on commission paid to an insurance agent

An insurance service provider who makes a payment of a commission to an insurance agent shall withhold tax on the gross amount of the payment at the rate prescribed in Part XIV of Schedule 4 to this Act.³³⁰

135. Withholding of tax on commission paid to an advertising agents

A person who makes payment for a commission to an advertising agent shall withhold tax on the gross amount of the payment at the rate prescribed in Part XIV of Schedule 4 to this Act.³³¹

135A. Withholding Tax on Commission paid to payment service provider³³²

- (1) A person who pays a commission to a payment service provider shall withhold tax on the commission paid to the payment service provider at the rate prescribed in [Part XVI of Third Schedule] *Part XV of Schedule 4 to this Act*.³³³
- (2) For the avoidance of doubt, this Section shall apply to commission paid to banking agents or any other agent offering financial services.

136. Payment for goods and services

- (1) Where the Government of Uganda, a Government institution, a local authority, any company controlled by the Government of Uganda, or any person designated in a notice issued by the Minister, in this Section referred to as the “payer”, pays an amount or amounts in aggregate exceeding one million shillings to any person in Uganda—

³²⁹ Inserted by IT (Am) Act, 2018; applicable rate is 10%

³³⁰ Inserted by IT (Am) Act, 2020; applicable rate is 10%

³³¹ Inserted by IT (Am) Act, 2020; applicable rate is 10%

³³² Inserted by IT (Am) Act, 2024.

³³³ WHT rate is 10%

- (a) for a supply of goods or materials of any kind; or
 - (b) for a supply of any services,
- the payer shall withhold tax on the gross amount of the payment at the rate prescribed in Part X of Schedule 4 to this Act, and the payer shall issue a receipt to the payee.³³⁴
- (2) Where –
- (a) there are separate supplies of goods or materials, or of services and each supply is made for an amount of one million shillings or less; and
 - (b) it would reasonably be expected that the goods or materials, or services would ordinarily be supplied in a single supply for an amount exceeding one million shillings,
- subsection (1) applies to each supply.
- (3) Every person who imports goods into Uganda is liable to pay tax at the time of importation on the value of the goods at the rate prescribed in Part X of Schedule 4 to this Act.³³⁵
- (4) The value of goods under subsection (3) shall be the value of the goods ascertained for the purposes of customs duty under the laws relating to customs.
- (5) This Section does not apply to—
- (a) a supply or importation of petroleum or petroleum products, including furnace oil,
- [lubricants] other than lubricants, cosmetics and fabrics or yarn manufactured out of
- petroleum products;³³⁶
- (b) a supply or importation of plant and machinery;³³⁷
 - (c) a supply or importation of human or animal drugs;³³⁸

³³⁴ Applicable rate is 6%

³³⁵ Applicable rate is 6%

³³⁶ Substitute by IT (Am) Act, 2009, substituted by IT (Am) Act, 2010 and Repealed by IT (Am) Act, 2015

³³⁷ Repealed by IT (Am) Act, 2015

³³⁸ Repealed by IT (Am) Act, 2015

- (d) a supply or importation of scholastic materials;³³⁹
- (a) importations by organisations within the definition of “exempt organisation” in Section 2 (a)(ii) of that definition;
- (b) a supplier or importer—
- (i) who is exempt from tax under this Act; or
 - (ii) who the Commissioner General is satisfied has regularly complied with the obligations imposed on the supplier or importer under this Act; and
- (c) agricultural supplies.³⁴⁰
- (c) the supply or importation of raw materials.³⁴¹
- (6) The tax paid under subsections (1) and (3) is treated as tax withheld for the purposes of Section 146.³⁴²

137. International payments

- (1) Any person making a payment of the kind referred to in Sections 82, 84 or 85³⁴³ shall with- hold from the payment the tax levied under the relevant Section.
- (2) Any promoter, agent, or similar person—
- (a) paying remuneration to a non-resident entertainer or sportsperson; or
 - (b) responsible for collecting the gross receipts from a performance in Uganda by a theatrical, musical, or other group of non-resident entertainers or sportspersons,
- shall withhold from the remuneration or receipts the tax levied under Section 83.
- (3) This Section does not apply where the payment is exempt from tax.

138. Non-resident services contract

³³⁹ Repealed by IT (Am) Act 2015

³⁴⁰ Inserted by IT (Am) Act, 2019

³⁴¹ Inserted by Finance Act, 2001 and repealed by IT (Am) Act 2015

³⁴² Substituted by IT(Am) Act, 2002

³⁴³ Substituted by IT (Am) Act, 2016

- (1) Every person who enters into an agreement with a non-resident for the provision of services by the non-resident which services give rise to income sourced in Uganda shall, within thirty days of the date of entering into such agreement, notify the Commissioner General in writing of—
 - (a) nature of such agreement;
 - (b) the likely duration of the agreement;
 - (c) the name and postal address of the non-resident person to whom payments under the agreement are to be made; and
 - (d) the total amount estimated to be payable under the agreement to the non-resident person.
- (2) The Commissioner General may, by notice in writing served on the person who has notified the Commissioner General under subsection (1), require that person to withhold tax from any payment made under the agreement at the rate specified by the Commissioner General in the notice.
- (3) *Subsection 2* does not apply to a contract to which Section 84 applies.³⁴⁴
- (4) A person who fails to notify the Commissioner General in accordance with subsection (1) is personally liable to pay to the Commissioner General the amount of tax that the non-resident is liable for on the income arising under the contract, but the person is entitled to recover this amount from the non-resident.
- (5) The provisions of this Act relating to the collection and recovery of tax apply to the liability imposed by subsection (1) as if it were tax.

139. Withholding as a final tax

Where—

- (a) tax has been withheld under Section 127 on a payment of interest on *treasury bills or other Government securities by the Bank of Uganda to any person* or by a financial institution to a resident individual, other than in the capacity of trustee, resident retirement fund, or to an exempt organisation;³⁴⁵ or

³⁴⁴ Substituted by IT (Am) Act, 2011. Subsection (4) & (5) Inserted by IT (Am) Act, 2011

³⁴⁵ Inserted by IT (Am) Act, 2006 & Substituted by IT (Am) Act 1, 2008

- (b) tax has been withheld under *section* 133³⁴⁶ on a payment of commission for airtime distribution and provision of mobile money services to a resident individual;³⁴⁷ or
- (c) tax has been withheld under *section* 128 on a payment of dividends to a resident individual; the withholding tax is a final tax, and—
- (d) no further tax liability is imposed upon the taxpayer in respect of the income to which the tax relates;
- (e) that income is not aggregated with the other income of the taxpayer for the purposes of ascertaining chargeable income;
- (f) no deduction is allowed for any expenditure or *losses*³⁴⁸ incurred in deriving the income; and
- (g) no refund of tax shall be made in respect of the income.

140. Payment of tax withheld

- (1) Subject to subsection (2), a withholding agent shall pay to the Commissioner General any tax that has been withheld or that should have been withheld under this Part within fifteen days after the end of the month in which the payment subject to withholding tax was made by the withholding agent.
- (2) Where a person withholds or should have withheld tax as required under *Section* 137(2), the tax shall be paid to the Commissioner General within five days of the performance or by the day before the date the non- resident leaves Uganda, whichever is the earlier.
- (3) The provisions of this Act relating to the collection and recovery of tax apply to any amount withheld under this Part as if it were tax.

141. Advance tax for transport services

- (1) A taxpayer who provides a passenger transport service or a freight transport service where the goods vehicle used has a loading capacity of at least two tonnes shall pay an advance tax at the rates specified in Part II of the Schedule 3 to this Act.³⁴⁹
- (2) A taxpayer who provides a passenger transport service or a freight transport

³⁴⁶ Substituted by IT (Am) Act, 2020

³⁴⁷ Inserted by IT (Am) Act, 2018.

³⁴⁸ Substituted by IT (Am) Act, 2002

³⁴⁹ Inserted by IT (Am 2) Act, 2017; applicable rate is Shs. 50,000 per ton for goods vehicles and shs. 20,000 per seat for passenger service vehicles

service under subsection (1), shall be required to obtain a tax clearance certificate from the Commissioner General in accordance with section 50 of the Tax Procedures Code Act, before renewal of operational licenses.³⁵⁰

142. Failure to withhold tax

- (1) A withholding agent who fails to withhold tax in accordance with this Act is personally liable to pay to the Commissioner General the amount of tax which has not been withheld, but the withholding agent is entitled to recover this amount from the payee.
- (2) The provisions of this Act relating to the collection and recovery of tax apply to the liability imposed by subsection (1) as if it were tax.

143. Tax credit certificates

- (1) Subject to subsection (3), a withholding agent shall deliver to the payee a tax credit certificate setting out the amount of payments made and tax withheld during a year of income.
- (2) A payee who is required to furnish a return of income shall attach to the return the tax credit certificate or certificates supplied to the payee for the year of income for which the return is filed.
- (3) A withholding agent shall at the end of each year of income deliver to the employee to which Section 4(4) applies a certificate setting out the amount of tax withheld during a year of income.

144. Record of payments and tax withheld

- (1) A withholding agent shall maintain, and keep available for inspection by the Commissioner General, records showing, in relation to each year of income—
 - (a) payments made to a payee; and
 - (b) tax withheld from those payments.
- (2) The records referred to in subsection (1) shall be kept by the withholding agent for five years of income after the end of the year of income to which the records relate.

³⁵⁰ Inserted by IT (Am) Act, 2020

- (3) The Commissioner General may call upon a withholding agent to allow an auditor to examine the agent's records to verify their accuracy against the tax credit certificates of the agent.

145. Priority of tax withheld

- (1) Tax withheld by a withholding agent under this Act—
- (a) is held by the withholding agent in trust for the Government of Uganda; and
 - (b) is not subject to attachment in respect of a debt or liability of the withholding agent,
- and in the event of the liquidation or bankruptcy of the withholding agent, an amount withheld under this Act does not form a part of the estate in liquidation, assignment, or bankruptcy; and the Commissioner General shall have a first claim before any distribution of property is made.
- (2) Every amount which a withholding agent is required under this Act to withhold from a payment is—
- (a) a first charge on that payment; and
 - (b) withheld prior to any other deduction which the withholding agent may be required to make by virtue of an order of any court or any other law.

146. Adjustment on assessment and withholding agent's indemnity

- (1) The amount of tax withheld under this Part is treated as income derived by the payee at the time it was withheld.
- (2) A withholding agent who has withheld tax under this Part and remitted the amount withheld to the Commissioner General is treated as having paid the withheld amount to the payee for the purposes of any claim by that person for payment of the amount withheld.
- (3) Tax withheld from a payment under this Part is deemed to have been paid by the payee and, except in the case of a tax that is a final tax under this Act, is credited against the tax assessed on the payee for the year of income in which the payment is made.
- (4) Where the tax withheld under this Part for a year of income, together with any provisional tax paid under Section 121 for that year, exceeds the liability

under an assessment of the taxpayer for that year, the excess shall be dealt with by the Commissioner General in accordance with Section 123(3).

- (5) Where a person who pays tax in accordance with Section 136(3) is an individual whose only source of income is employment income, the tax shall be refunded on application by that person in accordance with Section 123.

PART XV—INFORMATION COLLECTION

147. Business information returns

- (1) Every person carrying on business in Uganda who makes a payment of income sourced in Uganda, being services income, [~~other than employment income,~~]³⁵¹ interest, royalties, management fees, or other income specified by the Commissioner General shall furnish a return of such payments, in this section referred to as a “business information return”, to the Commissioner General within sixty days after the end of the year of income in which the payment was made.
- (2) A business information return shall be in the form specified by the Commissioner General and shall state the information required.
- (3) Subsection (1) does not apply to the payment of any income subject to withholding of tax at the source under Part XIV of this act, *other than employment income*.³⁵²
- (4) Notwithstanding subsection (1), a person required to withhold tax under section 126 shall furnish a withholding tax return for every month in the form specified by the Commissioner General, not later than fifteen days after the end of the month to which the withholding tax relates for all employees liable to tax.³⁵³
- (5) A withholding agent who makes a payment subject to withholding tax under sections 82 to 85 and 127 to 136 shall furnish a return of withholding tax for every month in the Form specified by the Commissioner General not later than fifteen days after the end of every month to which the withholding tax relates.³⁵⁴

³⁵¹ Repealed by IT (Am) Act, 2002

³⁵² Inserted by IT (Am) Act, 2013

³⁵³ Inserted by IT (Am) Act, 2013

³⁵⁴ Inserted by IT (Am) Act, 2020

134. Tax Clearance Certificate³⁵⁵

A taxpayer –

- (a) providing a passenger transport service;
- (b) providing a freight transport service where the goods vehicle used has a load capacity of more than 2 tones;
- (c) supplying goods or services to the Government;
- (d) transferring funds in excess of two thousand five hundred currency points³⁵⁶ from Uganda to a place outside Uganda; or
- (e) to whom paragraphs (a) and (b) apply shall be required to pay advance tax at the rates specified in Part III of the Second Schedule to this Act before renewal of operational licenses,³⁵⁷

shall obtain a tax clearance certificate from the Commissioner General as provided for in Regulations made under Section 164.

Taxpayer Identification Number

135. Taxpayer Identification Number³⁵⁸

- (1) For purposes of identification of taxpayers, the Commissioner General shall issue a number to be known as a *taxpayer* identification number to every taxpayer.
- (2) The Commissioner General may require a person to show his or her taxpayer identification number in any return, notice, or other document used for the purposes of this Act.³⁵⁹
- (3) [Every] A local authority, Government institution, or regulatory body shall not issue a licence [require a taxpayer identification number from any person applying for a license] or any form of authorisation necessary for purposes of conducting any business in Uganda, to any person without a

³⁵⁵ Section 134 repealed by TPC Act, 2014 & re-enacted by IT (Am) Act 2015; Omitted by ULRC in the revised laws of Uganda 2024

³⁵⁶ 2500 currency points = shs. 50,000,000

³⁵⁷ Inserted by IT (Am) Act 2015; applicable rate is shs. 50,000 per ton for goods vehicles and shs. 20,000 per seat for passenger service vehicles

³⁵⁸ Omitted by ULRC in the revised laws of Uganda, 2024

³⁵⁹ Section 135 substituted by IT (Am) Act, 2011; (1 & 2) repealed by TPC Act 2014

taxpayer identification number.³⁶⁰

PART XVI - INTEREST

148. Interest on unpaid tax

- (1) A person who fails—
- (a) to pay any tax, including provisional tax;
 - (b) to pay any penal tax; or
 - (c) to pay to the Commissioner General any tax withheld or required to be withheld by the person from a payment to another person,
- on or before the due date for payment is liable for interest at a rate equal to two per cent per month on the amount unpaid calculated from the date on which the payment was due until the date on which payment is made.
- (2) Interest paid by a person under subsection (1) shall be refunded to the person to the extent that the tax to which the interest relates is found not to have been due and payable.
- (3) Where good cause is shown, in writing, by the person liable for payment of interest, the Minister may, on the advice of the Commissioner General, remit, in whole or in part, any interest charged under this Section.
- (4) Interest charged in respect of a failure to comply with Section 140 is borne personally by the withholding agent, and no part of it is recoverable from the person who received the payment from which tax was or should have been withheld under Part XIV of this Act.
- (5) Interest charged under this Section shall be simple interest.
- (6) The provisions of this Act relating to the collection and recovery of tax apply to any interest charged under this Section as if it were tax due.
- (7) The interest due and payable under subsection (1) which exceeds the aggregate of the principal tax and the penal tax shall be waived.³⁶¹

[(8) For the avoidance of doubt, where interest due and payable as at 30th June 2017 exceeds the aggregate of the principal tax and the penal tax, the

³⁶⁰ In-acted by IT (Am) Act 2015 & substituted by IT (Am) Act 2019

³⁶¹ Subsections (7) & (8) Inserted by IT (Am 2) Act, 2017

interest in excess of the aggregate shall be waived.]³⁶²

PART XVII—MISCELLANEOUS

149. Interpretation of Part

In this Part, “repealed legislation” means the Income Tax Decree, 1974, amendments to it and subsidiary legislation made under it and Section 25 of the Investment Code, 1991.

150. Re-characterisation of arrangements under Islamic financial business³⁶³

- (1) For purposes of determining liability to tax under this Act, the Commissioner General may re-characterise an arrangement under Islamic financial business not provided for under this Act, to the equivalent arrangement under conventional financial services for purposes of reflecting the equivalent economic substance, other than the form.
- (2) The Commissioner General shall comply with Shari’ah principles in re-characterising an arrangement under Islamic financial business not provided for under this Act.

151. Regulations

- (1) The Minister may, by statutory instrument, make regulations for better carrying into effect the purposes of this Act.
- (2) Without prejudice to the general effect of subsection (1), regulations made under that subsection may—
 - (a) contain provisions of a saving or transitional nature consequent on the making of this Act; or
 - (b) prescribe penalties for the contravention of the regulations not exceeding a fine of twenty-five currency points or imprisonment not exceeding six months or both, and may pre-scribe, in the case of continuing offences, an additional fine not exceeding five currency points in respect of each day on which the offence continues.

152. Power to amend monetary amounts and schedules

³⁶² Repealed by IT (Am) Act, 2023

³⁶³ Inserted by IT (Am) (No.2) Act, 2023

- (1) The Minister may, by with statutory instrument, with the approval of Cabinet, amend Schedule 1 to this Act.
- (2) The Minister may, by statutory instrument, with the approval of Parliament, amend any monetary amount set out in this Act and Schedules 2,3,4,5,6 and 7 to this Act.

153. Application of certain laws, etc

- (1) The repealed legislation shall continue to apply to years of income prior to the year of income in which this Act comes into force.
- (2) Any arrangement between the Government of Uganda and the Government of a foreign country with a view to affording relief from double taxation made under Section 47 of the Income Tax Decree 1974 or its predecessor and which is still in force at 1st July, 1997 shall continue to have effect under this Act.
- (3) A reference in this Act to a previous year of income includes, where the context requires, a reference to a year of income under the repealed legislation.
- (4) Section 3(1) (d) of the Income Tax Decree 1974, shall continue to apply to an amount referred to in Section 21(1)(h) of this Act if the payer of the alimony, allowance, or maintenance obtained a deduction for the payment under the Income Tax Decree 1974 prior to the commencement of this Act.
- (5) Section 18(1)(a) and 22(1)(b) do not apply to business assets of a capital nature disposed of before 1st April, 1998, or to business debts of a capital nature cancelled or satisfied before 1st April, 1998.
- (6) Where, as a result of the application of this Act, a gain or loss on realisation of a liability is subject to tax being a gain or loss which would not otherwise have been subject to tax, the value of the liability on 31st March 1998, shall be used in the calculation of any income or deduction as from that date.
- (7) Subject to subsection (8) and (9), where, as a result of the application of this Act, a gain or loss on disposal of an asset is subject to tax being a gain or loss that would not otherwise have been subject to tax, the cost base of the asset is calculated on the basis that each item of cost or expense included in the cost base and which was incurred prior to that date is determined according to the following formula—

$$\frac{A \cdot A_0}{A \cdot E \cdot A}$$

Where—

CB is the amount of an item of cost or expense incurred on or before 31st March, 1998,³⁶⁴ included in the cost base of the asset;

CPID is the Consumer Price Index number published for the month ending on 31st March, 1998; and

CPIA is the Consumer Price Index number published for the month immediately prior to the date on which the relevant item of cost or expense was incurred.

- (8) Where the taxpayer is able to substantiate the market value of an asset on 31st March 1998, the taxpayer may substitute that value for the cost base determined under subsection (7).
- (9) Where the asset referred to in subsection (8) is immovable property, the cost base of the property as at 31st March, 1998, is equal to the market value of the property as determined by the Chief Government Valuer.
- (10) Section 27(4)(b) shall apply to depreciable assets acquired by a taxpayer before 1st July, 1997 and held by the taxpayer at that date on the basis that the cost base of the asset is the cost of the asset less any depreciation deductions allowed under the repealed legislation in respect of that cost.
- (11) For the purposes of Section 28(6), the “residue of expenditure” of an industrial building at 30th June, 1997, shall be the residue of expenditure as determined under the Income Tax Decree 1974, at that date.³⁶⁵
- (12) The amount of a deduction allowed to a taxpayer under Section 36 for the year of income commencing on 1st July 1997, shall be determined under Section 14(4) of the Income Tax Decree 1974.
- (13) The amount of a deduction allowed under Sections 30 and 31 in respect of start-up costs incurred or intangible assets acquired before this Act comes into force shall be calculated on the assumption that those Sections had always applied.

³⁶⁴ Substituted by IT (Am) Act, 2002

³⁶⁵ Substituted by IT (Am) Act, 2002

- (14) For the purpose of applying subsections (5) to (12) to a taxpayer permitted to use a substituted year of income for the first year of income under this Act—
- (a) the reference in those subsections to 31st March, 1998 is treated as a reference to the day immediately preceding the commencement of the first year of income of the taxpayer under this Act; and
 - (b) the reference in those subsections to 1st April, 1998 is treated as a reference to the first day of the first year of income of the taxpayer under this Act.
- (15) A taxpayer entitled to use a substituted year of income under the Income Tax Decree 1974 is permitted to continue to use that period as the taxpayer's substituted year of income under this Act until the Commissioner decides otherwise by notice in writing to the taxpayer.
- (16) Where a taxpayer subject to tax under this Act but who was not subject to tax under the Income Tax Decree, 1974 is entitled to use a substituted year of income, the taxpayer is treated for the purposes of Section 37(6) as having a transitional year of income for the period 1st July 1997, to the end of the day immediately preceding the start of the first substituted year of income after that date.
- (17) Finance leases, as defined in Section 58, entered into before 1st July, 1997 shall be dealt with in terms of the Income Tax Decree, 1974.³⁶⁶[Section 59 of this Act does not apply to a finance lease entered in to before 1st, July, 1997]
- (18) A reference in Section 61 to a previously deducted expenditure, loss or bad debt includes a reference to an expenditure, loss or bad debt deducted under the repealed legislation.
- (19) Notwithstanding the repeal of Section 25 of the Investment Code 1991, the holder of a certificate of incentives which is valid at the commencement of this Act may make an election in writing to the Commissioner General by 31st December 1997 for the exemption from tax on corporate profits and the exemption from withholding tax paid on dividends and interest paid to resident persons as provided under Section 25 of the Investment Code 1991 to continue until the exemption expires in accordance with that Section, as if that Section had not been repealed.

³⁶⁶ Substituted by IT (Am) Act, 2002

- (20) Where an exemption referred to in subsection (19) expires, the following provisions apply to the holder of the certificate of incentives –
- (a) subsections (5) to (8) [14]³⁶⁷ apply to the person on the basis that the reference in those subsections to 31st March, 1998 is treated as a reference to the day on which the exemption expired;
 - (b) the amount of the deduction allowed under Sections 27, 28, 29 and 30 in respect of depreciable assets, industrial buildings, or intangible assets acquired, or start-up costs incurred, before the exemption expired shall be calculated on the assumption that those Sections had always applied; and
 - (c) the amount of any assessed loss to be deducted in the first year of income after the exemption has expired is calculated on the basis that this Act and its predecessor has always applied to the person.
- (21) Notwithstanding the repeal of Section 25 of the Investment Code 1991, and without prejudice to other relevant provisions of this Section, an investor who, immediately before the commencement of this Act, holds a valid investment license under the Investment Code 1991, and who but for this Act would be eligible for the grant of a certificate of incentives and whose application had been approved for a certificate of incentives shall be issued with the certificate in accordance with the Investment Code 1991, as if Section 25 of the Code had not been repealed.
- (22) Subject to subsection (23), where the income of a person is wholly or partly exempt from tax under—
- (a) a notice published in the *Gazette* under Section 12(2) of the Income Tax Decree 1974; or
 - (b) a provision in any agreement,
- the notice or provision shall have no effect under this Act unless the Minister concurred in writing by 31st December 1997 with the exemption provided for in the notice or provision.
- (23) Subsection (22) does not apply where the exemption is provided for in an agreement between the Government of Uganda and a foreign government or the United Nations or a specialised agency of the United Nations.

³⁶⁷ Substituted by IT (Am) Act, 2002

SCHEDULES*Schedule 1**Section 2, 152(1)***Currency Point**

A currency point is equivalent to twenty thousand shillings.

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*Schedule 2**Section 2, 152(2)***Listed Institutions**

African Development Bank

African Development Fund

African Export – Import Bank ³⁶⁸

African Reinsurance Corporation (Africa Re)³⁶⁹

African Trade Insurance Agency³⁷⁰

Aga Khan Foundation

Austrian Development Agency (ADA)³⁷¹

Belgian Technical Cooperation (BTC)³⁷²

Danish International Development Agency (DANIDA)³⁷³

Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ)³⁷⁴

Foreign, Commonwealth and Development Office (FCDO) [Department for International Development (DFID)]³⁷⁵

East African Development Bank

Eastern and Southern African Trade and Development Bank

European Development Fund

³⁶⁸ Inserted by IT (Am) Act, 2021

³⁶⁹ Inserted by IT (Am) Act, 2024

³⁷⁰ Inserted by IT (Am) Act, 2018

³⁷¹ Inserted by IT (Am) Act, 2012

³⁷² Inserted by IT (Am) Act, 2012

³⁷³ Inserted by IT (Am) Act, 2012

³⁷⁴ Inserted by IT (Am) Act, 2012

³⁷⁵ Inserted by IT (Am) Act, 2012; Substituted by IT (Am) Act, 2022

European Investment Bank
European Union
Food and Agriculture Organisation
French Development Agency (AFD)³⁷⁶
Global Fund for AIDS, Malaria and Tuberculosis³⁷⁷
Icelandic International Development Agency (ICEADA)³⁷⁸
Independent Regulatory Board of the East African Power Pool³⁷⁹
International Atomic Energy Agency (IAEA)³⁸⁰
International Bank for Reconstruction and Development
International Centre for Research in Agroforestry (ICRAF)³⁸¹
International Civil Aviation Organisation
International Development Association
International Development Law Organisation (IDLO)³⁸²
International Finance Corporation
International Labour Organisation
International Monetary Fund
International Potato Centre³⁸³
International Telecommunications Union
International Union for Conservation of Nature³⁸⁴
Islamic Cooperation for the Development of the Private Sector;³⁸⁵
Islamic Development Bank³⁸⁶
Japan International Cooperation Agency (JICA)³⁸⁷
Korea International Cooperation Agency (KOICA)³⁸⁸

³⁷⁶ Inserted by IT (Am) Act, 2012

³⁷⁷ Inserted by IT (Am) Act, 2015

³⁷⁸ Inserted by IT (Am) Act, 2012

³⁷⁹ Inserted by IT (Am) Act, 2024

³⁸⁰ Inserted by IT (Am) Act No.2, 2025

³⁸¹ Inserted by IT (Am) Act, 2016

³⁸² Inserted by IT (Am) Act, 2022

³⁸³ Inserted by IT (Am) Act, 2016

³⁸⁴ Inserted by IT (Am) Act, 2021

³⁸⁵ Inserted by IT (Am) Act, 2024

³⁸⁶ Inserted by IT (Am) Act, 2020

³⁸⁷ Inserted by IT (Am) Act, 2012

³⁸⁸ Inserted by IT (Am) Act, 2012

Kreditanstalt für Wiederaufbau (KfW)³⁸⁹

Norwegian Agency for Development Cooperation (NORAD)³⁹⁰

Swedish International Development Agency (SIDA)³⁹¹

United Nations related Agencies and Specialised Agencies

ZEP-RE (PTA Reinsurance company)³⁹²

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³⁸⁹ Inserted by IT (Am) Act, 2012

³⁹⁰ Inserted by IT (Am) Act, 2012

³⁹¹ Inserted by IT (Am) Act, 2012

³⁹² Inserted by IT (Am) Act, 2023

Schedule 3

Section 4(5), 122(1), 141(1), 152(2)

Small Business Taxpayers Tax RatesPart I ³⁹³

1. The amount of tax payable for purposes of Section 4(5) is –

Gross turnover	Tax Rates without Records	Tax rates with records
Where the gross turnover of the taxpayer does not exceed ten million shillings per annum	Nil	Nil
Where the gross turnover of the taxpayer exceeds ten million shillings but does not exceed thirty million shillings per annum	Eighty thousand shillings	0.4 % of the annual turnover in excess of ten million shillings
Where the gross turnover of the taxpayer exceeds thirty million shillings but does not exceed fifty million shillings per annum	Two hundred thousand shillings	Eight thousand shillings plus 0.5% of the annual turnover in excess of thirty million shillings
Where the gross turnover of the taxpayer exceeds fifty million shillings but does not exceed eighty million shillings per annum	Four hundred thousand shillings	One hundred and eighty thousand plus 0.6% of the annual turnover in excess of fifty million shillings
Where the gross turnover of the taxpayer exceeds Eighty million shillings but does not exceed one hundred and fifty million shillings per annum	Nine hundred thousand shillings	Three hundred and sixty thousand shillings plus 0.7% of the annual turnover in excess of eighty million shillings.

³⁹³ Part I Substituted by IT (Am) Act, 2020

2. The tax payable by a tax payer under section 4 (5) is reduced by—
- (a) any credit allowed under section 146 (3) for withholding tax paid in respect of the amounts included in the gross turnover of the tax payer; or
 - (b) any credit allowed under section 121 (8) for provisional tax paid in respect of amounts included in the gross turnover of the tax payer.

Part II ³⁹⁴

The rate of advance tax under section 141 ³⁹⁵ is—

- (a) fifty thousand shillings per ton per year, for goods vehicles;
- (b) twenty thousand shillings per seat [passenger] ³⁹⁶per year, for passenger service vehicles.

Second Schedule

Part I ³⁹⁷

1. The amount of tax payable for purposes of Section 4(5) is –

GROSS TURNOVER	TAX
Where the gross turnover of the taxpayer exceeds Shs.50 million [shs.5 million] but does not exceed shs.75 million [shs.10 [20] million] per annum.	Shs.937,500 or 1.5% of the gross turnover, whichever is lower [NIL[Shs.100,000]
Where the gross turnover of the taxpayer exceeds Shs.75 million [shs.10 [20] million] but does not exceed Shs.100 million [shs.20[30] million] per annum	Shs.1,312,500 [shs.450,000 [250,000] or 1.5% [3% [1%] of the gross turnover, whichever is lower

³⁹⁴ Part II inserted by IT (Am) Act, 2015

³⁹⁵ Substituted by IT (Am 2) Act, 2017

³⁹⁶ Substituted by IT (Am 2) Act, 2017

³⁹⁷ Part I substituted by IT (Am) Act, 2003; IT (Am) Act 2014; and IT (Am ACT, 2015; Substituted wholly by IT (Am) Act 2020

Where the gross turnover of the taxpayer exceeds Shs.100 million [shs.20 [30] million] but does not exceed Shs.125 million [shs.30 [40] million] per annum.	Shs.1,687,500 [shs.750,000 [350,000] or 1.5% [3% [1%] of the gross turnover, whichever is lower
Where the gross turnover of the taxpayer exceeds Shs.125 million [shs.30 [40] million] but does not exceed Shs.150 million [shs.40 [50] million] per annum	Shs.2,062,500 [shs.1,050,000 [450,000] or 1.5% [3% [1%] of the gross turnover, whichever is lower
Where the gross turnover of the taxpayer exceeds shs.40 million but does not exceed shs.50 million per annum.	Shs.1,350,000 or 3% of the gross turnover, whichever is lower.

2. The tax payable by a taxpayer under Section 4(5) is reduced by –

(a) any credit allowed under Section 128(3) for withholding tax paid in respect of amounts included in the gross turnover of the taxpayer; or

(b) any credit allowed under Section 111(8) for provisional tax paid in respect of amounts

included in the gross turnover of the taxpayer.

Part II ³⁹⁸

1. The amount of tax payable for purposes of section 4(5) where the gross turnover is less than fifty million shillings is –

(i) Kampala City and Divisions of Kampala³⁹⁹

BUSINESS TRADE	Where the gross turnover exceeds shs.35m but does not exceed shs.50m	Where the gross turnover exceeds shs.20m but does not exceed shs.35m	Where the gross turnover exceeds shs.10m but does not exceed
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³⁹⁸ Part II inserted by IT (Am) Act, 2015; Substituted wholly by IT (Am) Act 2020

³⁹⁹ Income Bracket headings under Part II substituted by IT (Am) Act, 2015

			shs.20m
General Trade	500,000	400,000	250,000
Carpentry/ Metal Workshops	500,000	400,000	250,000
Garages (Motor Vehicle repair)	550,000	450,000	300,000
Hair and Beauty/ Salons	550,000	400,000	300,000
Restaurants or Bars	550,000	450,000	300,000
Clinics ⁴⁰⁰	550,000	450,000	300,000
Drug Shops	500,000	350,000	250,000 ⁴⁰¹
Others	450,000	300,000	200,000

(ii) Municipalities

General Trade	400,000	300,000	150,000
Carpentry/ Metal Workshops	400,000	300,000	150,000
Garages (Motor Vehicle repair)	450,000	350,000	200,000
Hair and Beauty/ Salons	450,000	350,000	200,000

⁴⁰⁰ Repealed by IT (Am) Act 2016⁴⁰¹ Substituted by IT (Am) Act, 2016

Restaurants or Bars	450,000	350,000	200,000
Clinics ⁴⁰²	450,000	350,000	200,000
Drug Shops	400,000	300,000	150,000
Others	400,000	350,000	150,000

(iii) Towns and Trading Centers

BUSINESS TRADE	Where the gross turnover exceeds shs.35m but does not exceed shs.50m	Where the gross turnover exceeds shs.20m but does not exceed shs.35m	Where the gross turnover exceeds shs.10m but does not exceed shs.20m
General Trade	300,000	200,000	100,000
Carpentry/Metal workshops	300,000	200,000	100,000
Garages (Motor Vehicle Repair)	350,000	250,000	100,000
Hair and Beauty/Salons	350,000	250,000	100,000
Restaurants or Bars	350,000	250,000	100,000
Clinics ⁴⁰³	350,000	250,000	100,000
Drug Shops	300,000	200,000	100,000
Others	300,000	250,000	100,000

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⁴⁰² Repealed by IT (Am) Act, 2016⁴⁰³ Repealed by IT(Am) Act, 2016

*Schedule 4***Rates of Tax⁴⁰⁴***Sections 6(1), 8, 119(b), 152(2)**Part I**Rate of income tax for individuals*

1. The income tax rates applicable to resident individuals are –

Chargeable Income	Rate of tax
Not exceeding Ushs.2,820,000 [235,000] Not exceeding shs 1,560,000 [130,000]	NIL
Exceeding Ushs.2,820,000 but not exceeding Ushs.4,020,000 [335,000] Exceeding shs. 1,560,000 [130,000] but not exceeding Ugandan shs. 2,820,000 [235,000]	10% of the amount by which Chargeable income exceeds Ushs.2, 820,000 ⁴⁰⁵ . 10% of the amount by which Chargeable income exceeds shs.1,560,000 [130,000]
Exceeding Ushs. 4,020,000 but not exceeding Ushs.4,920,000 [410,000] Exceeding shs. 2,820,000 [235,000] but not exceeding Ushs. 4,920,000 [410,000]	UShs.120, 000 plus 20% of the amount by which chargeable income exceeds Ushs.4, 020,000. Ushs.126,000 [10,500 pm] plus 20% of the amount by which chargeable income exceeds shs.2,820,000 [235,000].
Exceeding Ushs.4, 920,000 [410,000] Exceeding Ushs. 4,920,000 [410,000]	(a) UShs. 300,000 plus 30% of the amount by which chargeable income exceeds Ushs. 4,920,000; and

⁴⁰⁴ Part I (Threshold) Substituted by IT (Am) Act, 2012.

	(b) Where the chargeable income of an individual exceeds Ushs.120, 000,000 an additional 10% charged on the amount by which chargeable income exceeds Ushs.120, 000,000. Shs.546,000 [45,500] plus 30% of the amount by which chargeable income exceeds Ushs.4,920,000 [410,000]
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2. The income tax rates applicable to non-resident individuals are –

CHARGEABLE INCOME	RATE OF TAX
Not exceeding Ushs. 4,020,000 Not exceeding Ushs.2,820,000 [235,000]	10%
Exceeding Ushs. 4,020,000 but not exceeding Ushs. 4,920,000 Exceeding shs.2,820,000 [235,000 pm] but not exceeding Ushs.4,920,000 [410,000]	Ushs.402, 000 plus 20% of the amount by which chargeable income exceeds Ushs. 4, 020,000. Shs.282,000 [23,500 pm] plus 20% of the amount by which chargeable income exceeds shs.2,820,000 [235,000].
Exceeding Ushs. 4,920,000 Exceeding shs.4,920,000 [410,000]	(a) Ushs.582, 000 plus 30% of the amount by which chargeable income exceeds Ushs. 4,920,000; and b) Where the chargeable income of an individual exceeds shs.120, 000,000 an additional 10% charged on the amount by which chargeable income exceeds Ushs.120,000,000. shs.702,000 [58,500 pm] plus

	30% of the amount by which chargeable income exceeds shs.4,920,000 [410,000].
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Sections 6(2), 7(2)

Part II

Rate of rental tax applicable to an individual

Gross Rental Income	Rate of tax
Not exceeding Ushs.2,820,000 per annum (235,000 per month)	Nil
Exceeding Ushs.2,820,000	12%

The tax rate [rate of tax] applicable to person [an individual]⁴⁰⁸ for the purposes of Section 6(2) is 30% [20%]⁴⁰⁹ of the chargeable income [in excess of shs.2,820,000] 410 [1,560,000]⁴⁰⁶

Section 7

Part III

Rate of Income Tax for Companies

1. The income tax rate applicable to companies, other than mining companies, for the purposes of Section 7 is 30%.
2. [Subject to paragraph 3 and 4, the income tax rate applicable to mining companies is calculated according to the following formula-⁴⁰⁷

$$70 - 1500/X$$

⁴⁰⁶ Substituted by IT(Am) Act, 2012

⁴⁰⁷ Consequential substitution of Paragraphs (2)-(5) by IT (Am) Act, 2015. These provisions rendered redundant by operation of sections 90,95 and Part VII of Schedule 4.

Where-

X is the number of the percentage points represented by the ratio of the chargeable income of the mining company for the year of income to the gross revenue of the company for that year.

3. If the rate calculated under paragraph 2 exceeds 45%, then the rate of tax shall be 45%.
4. If the rate calculated under paragraph 2 is less than 25%, then the rate of tax shall be 25%.
5. In this part-
 - (a) “gross revenue”, in relation to a mining company for a year of income, means-
 - (i) The amount shown in the recognised accounts of the company as the gross proceeds derived in carrying on of mining operations during the year of income, including the gross proceeds arising from the disposal of trading stock, without deduction for expenditures or losses incurred in deriving that amount; and
 - (ii) The amount, if any, shown in the recognised accounts of the taxpayer as the amount by which the sum of the gains derived by the taxpayer during the year of income from the disposal of business assets used or held ready for use in mining operations, other than trading stock, exceeds the sum of losses incurred by the taxpayer during the year in respect of the disposal of such assets; and
 - (b) “mining company” means a company carrying on any mining operations in Uganda.]

Section 8

Part IV

Rate of Income Tax for Trustees and Retirement Funds

The income tax rate applicable to trustees and retirement funds for the purposes of Section 8 is 30%.

Sections.81(2), 82(2), 83(2), 84(2), 86(1)

*Part V**Rate of Income Tax for Non-Resident Persons*

1. The income tax rate applicable to a non-resident person under Section 81, 82, 83 or 84 *excluding interest on government securities*⁴⁰⁸ is 15 per cent.
2. The withholding tax rate [applicable] for interest payments on government securities to a non-resident person under section 82 - [is 20 per cent]⁴⁰⁹—
 - (a) is 20% for government securities whose period of maturity does not exceed ten years;⁴¹⁰ and
 - (b) 10 % for government securities whose period of maturity is at least ten years.
- (3) The income tax rate applicable to a non-resident deriving income under section 86 is 5%.⁴¹¹

*Sections 85(2)**Part VI**Rate of tax applicable to Ship Operators, Air Transport Operators, and Road Transport Operators*

The rate of tax applicable to ship operators, air transport operators and road transport operators under Section 85(2) is 2%.

*Sections 90(3), 95(3), 103(1), 2**Part VII**Rates of tax for Licensees and Contractors*

1. The income tax rate applicable to a licensee under section 90 is 30%.
2. The income tax rate applicable to a licensee under section 95 is 30%.
3. The rate of non-resident contractor tax under section 103 is 10%;

⁴⁰⁸ Inserted by IT (Am) Act, 2013

⁴⁰⁹ Substituted by IT (Am) Act, 2019

⁴¹⁰ Subparagraphs (a) and (b) inserted by IT (Am) Act, 2013

⁴¹¹ Inserted by IT (Am) Act, 2023

4. [The income tax rate applicable to contractors under section 89B is 30%]⁴¹²

Section 104(1)

Part VIII

Rate of Income Tax for Resident Contractors

The income tax rate payable on a participation dividend paid by a resident contractor to a non-resident company is 15%.

Section 127(1), 128(1)

Part IX

Withholding tax rate for interest and dividends for resident persons

- (1) The withholding tax rate applicable for interest and dividend payments to a resident person under Sections 127 and 128, *excluding interest on government securities*,⁴¹³ is 15%.
- (2) The withholding tax rate applicable for dividend payments from companies listed on the stock exchange to individuals under Section 128 is 10%.⁴¹⁴
- (3) The withholding tax rate [applicable] for interest payments on government securities to a resident person under section 127 [is 20 percent]⁴¹⁵ is
 - (a) 20 % for government securities whose period of maturity does not exceed ten years; and
 - (b) 10% for government securities whose period of maturity is at least ten years.⁴¹⁶

Section 129(1), 130(1), 136(1)

Part X

Withholding tax rate for Goods and Services Transactions

⁴¹² Substituted by IT (Am) Act, 2015

⁴¹³ Inserted by IT (Am) Act, 2012

⁴¹⁴ Inserted by IT (Am) Act, 2006

⁴¹⁵ Substituted by IT (Am) Act, 2019

⁴¹⁶ Subparagraphs (a) and (b) inserted by IT(Am) Act, 2012

1. The withholding tax rate applicable for goods and services transactions and for imported goods under *Sections 129 and 136* is 6%.⁴¹⁷
2. *The withholding tax rate for purposes of Section 130 is 10% of the gross payment.*⁴¹⁸
3. The withholding tax rate for purposes of section 130 (2) is 6% of the gross payment.⁴¹⁹

Section 131

*Part XI*⁴²⁰

Withholding tax rate for winnings from of betting [or gaming]⁴²¹ [sports betting and pool betting]⁴²²

The withholding tax rate applicable to winnings from *betting* [and gaming]⁴²³ [sports betting and pool betting]⁴²⁴ is 15%.

Section 132(1)

*Part XII*⁴²⁵

Withholding tax on payments of Re-insurance or Re-Takaful premiums

The withholding tax rate for purposes of section 132 is 10%.^[15%]⁴²⁶

Section 133

*Part XIII*⁴²⁷

Rate of withholding tax on payments of commission paid by telecommunications service providers on airtime distribution and mobile money

⁴¹⁷ Substituted by IT (Am) Act, 2005 & IT (Am) Act, 2013

⁴¹⁸ Inserted by IT (Am) Act, 2013

⁴¹⁹ Inserted by IT (Am) Act, 2019

⁴²⁰ Inserted by IT (Am) Act, 2014

⁴²¹ Deleted by IT (Am) Act, 2023

⁴²² Substituted by ITT (Am) Act, 2017

⁴²³ Deleted by IT (Am) Act, 2023

⁴²⁴ Substituted by IT (Am) Act, 2020

⁴²⁵ Inserted by IT (Am) Act, 2014

⁴²⁶ Substituted by IT (Am) Act, 2015

⁴²⁷ Inserted by IT (Am) Act, 2018

The rate of withholding tax on payment of commission paid by telecommunications service providers on airtime distribution and mobile money services is 10% of the gross amount of the payment.

(1) The rate of withholding tax on payment of agricultural supplies is 1% of the gross amount of the payment.⁴²⁸

Sections 134, 135

Part XIV⁴²⁹

Rate of Withholding tax rate on insurance and advertising agents

The tax rate applicable to withholding tax for purposes of sections 134 and 135 is 10% of the gross amount of the payment.

Section 135A

Part XV⁴³⁰

Withholding tax rate on commissions paid to payment service provider

The rate of withholding tax on commission paid to a payment service provider is 10% of the commission to a payment service provider.⁴³¹

⁴²⁸ Repealed by IT (Am) Act, 2019

⁴²⁹ Part XIV Inserted by IT (Am) Act, 2020

⁴³⁰ Correct numbering under the Revised Laws of Uganda, 2024 would be XV

⁴³¹ Inserted by IT (Am) Act, 2024

Schedule 5

Section 16(1)

**Chargeable Income arising from short-term Insurance or general takaful⁴³²
Business**

1. The chargeable income of a resident person for a year of income arising from the carrying on of a short-term insurance or *general takaful*⁴³³ business is determined according to the following formula –

$$A - B$$

where —

A is the total income derived by the resident person for the year of income in carrying on a short-term insurance or *general takaful*⁴³⁴ business as determined under paragraph 2; and

B is the total deduction allowed for the year of income in the production of income referred to in A as determined under paragraph 3.

2. The total income derived by a resident person for a year of income in carrying on a short-term insurance or *general takaful*⁴³⁵ business is the sum of —

(a) the amount of the gross premiums, including premiums on reinsurance, derived by the person during the year of income in carrying on such a business in respect of the insurance of any risk, other than premiums returned to the insured;

(b) the amount of any other income derived by the person during the year of income in carrying on such a business, including any commission or expense allowance derived from reinsurers, any income derived from investments held in connection with *such a business and any gains*⁴³⁶ derived on disposal of assets of the business; and

(c) the amount of any reserve deducted in the previous year of income under paragraph 3(d).

⁴³² The term “or general takaful” (wherever it appears) was inserted by IT (Am No.2) Act, 2023

⁴³³ Inserted by IT (Am) (No.2) Act, 2023

⁴³⁴ Inserted by IT (Am) (No.2) Act, 2023

⁴³⁵ Inserted by IT (Am) (No.2) Act, 2023

⁴³⁶ Substituted by IT (Am) Act, 2002

3. The total deduction allowed for a year of income in the production of income from the carrying on of a short-term insurance or *general takaful*⁴³⁷ business is the sum of—
- (a) the amount of the claims admitted during the year of income in the carrying on of such a business, less any amount recovered or recoverable under any contract of reinsurance, guarantee, security or indemnity;
 - (b) the amount of agency expenses incurred during the year of income in the carrying on of such a business;
 - (c) the amount of expenditures and losses incurred by the person during the year of income in carrying on that business which are allowable as a deduction under this Act, other than expenditures or losses referred to in paragraphs (a) and (b); and
 - (d) the amount of a reserve for unexpired risks referable to such a business at the percentage adopted by the company at the end of the year of income.
4. Where, for any year of total income, the total deduction allowed to a person under paragraph 3 exceeds the income derived by the person as determined under paragraph 2, the excess may not be deducted against any other income of the person for the year of income, but shall be carried forward and deducted in determining the chargeable income of the person arising from the carrying on of a short-term insurance or *general takaful*⁴³⁸ business in the next year of income.
5. The chargeable income of a non-resident person for a year of income arising from the carrying on of a short-term insurance or *general takaful*⁴³⁹ business in Uganda is determined according to the following formula—

A – B

where —

A is the total income derived by the person for the year of income in carrying on a short-term insurance or *general takaful* business as determined under paragraph 6; and

B is the total deduction allowed for the year of income in the production of income referred to in A as determined under paragraph 7.

⁴³⁷ Inserted by IT (Am) (No.2) Act, 2023

⁴³⁸ Inserted by IT (Am) (No.2) Act, 2023

⁴³⁹ Inserted by IT (Am) (No.2) Act, 2023

6. The total income derived by a non-resident person for a year of income in carrying on a short-term insurance or *general takaful* business in Uganda is the sum of—
- (a) the amount of the gross premiums, including premiums on reinsurance, derived by the person during the year of income in carrying on such a business in respect of the insurance of any risk in Uganda, other than premiums returned to the insured;
 - (b) the amount of any other income derived by the person during the year of income in carrying on such a business in Uganda, including—
 - (i) any commission or expense allowance derived from reinsurance of risks accepted in Uganda;
 - (ii) any income derived from investment of the reserves referable to such business carried on in Uganda; and
 - (iii) any gains derived on disposal of assets of the business, and
 - (c) the amount of any reserve deducted in the previous year of income under paragraph 7(d).
7. The total deduction allowed for a year of income in the production of income from the carrying on of a short-term insurance or *general takaful*⁴⁴⁰ business in Uganda by a non-resident person is the sum of—
- (a) the amount of the claims admitted during the year of income in the carrying on of such a business, less any amount recovered or recoverable under any contract of reinsurance, guarantee, security or indemnity;
 - (b) the amount of agency expenses incurred during the year of income in the carrying on of such a business;
 - (c) the amount of expenditures and losses incurred by the person during the year of income in carrying on that business which are allowable as a deduction under this Act, other than expenditures or losses referred to in paragraphs (a) and (b); and
 - (d) the amount of a reserve for unexpired risks in Uganda referable to such a business at the percentage adopted by the company at the end of the year of income.

⁴⁴⁰ Inserted by IT (Am) (No.2) Act, 2023

8. Where, for any year of total income, the total deduction allowed to a person under paragraph 7 exceeds the income derived by the person as determined under paragraph 6, the excess may not be deducted against any other income of the person for the year of income, but shall be carried forward and deducted in determining the chargeable income of the person arising from the carrying on of a short-term insurance or *general takaful*⁴⁴¹ business in Uganda in the next year of income.
9. Reference to premium under this Schedule shall have the same meaning as a contribution in the case of takaful business.⁴⁴²

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⁴⁴¹ Inserted by IT (Am) (No.2) Act, 2023

⁴⁴² Inserted by IT (Am) (No.2) Act, 2023

Schedule 6

Section 19 (3)

Valuation of Benefits

1. The valuation of benefits for the purposes of Section 19(3) of this Act shall be determined in accordance with this schedule.
2. For the purposes of this Schedule, a benefit provided by an employer to an employee means a benefit that—
 - (a) is provided by an employer, or by a third party under an arrangement with the employer or an associate of the employer;
 - (b) is provided to an employee or to an associate of an employee; and
 - (c) is provided in respect of past, present or prospective employment.
3. Where a benefit provided by an employer to an employee consists of the use or availability for use, of a motor vehicle wholly or partly for the private purposes of the employee, the value of the benefit is calculated according to the following formula –

$$(20\% \times A \times B/C) - D$$

where –

- A is the market value of the motor vehicle at the time when it was first provided for the private use of the employee, *depreciated on a reducing balance basis at a rate of 35% per annum for the subsequent years*;⁴⁴³
 - B is the number of days in the year of income during which the motor vehicle was used or available for use for private purposes by the employee for all or a part of the day;
 - C is the number of days in the year of income; and
 - D is any payment made by the employee for the benefit.
4. Where a benefit provided by an employer to an employee consists of the provision of a housekeeper, chauffeur, gardener or other domestic assistant, the value of the benefit is the total employment income paid to

⁴⁴³ Substituted by IT (Am) Act, 2017

the domestic assistant in respect of services rendered to the employee, reduced by any payment made by the employee for the benefit.

5. Where a benefit provided by an employer to an employee consists of the provision of any meal, refreshment or entertainment, the value of the benefit is the cost to the employer of providing the meal, refreshment or entertainment, reduced by any consideration paid by the employee for the meal, refreshment or entertainment.
6. Where a benefit provided by an employer to an employee consists of the provision of utilities in respect of the employee's place of residence, the value of the benefit is the cost to the employer of providing the utilities reduced by any consideration paid by the employee for the utilities.
7. Where a benefit provided by an employer to an employee consists of a loan or loans in total exceeding one million shillings at a rate of interest below the statutory rate, the value of the benefit is the difference between the interest paid during the year of income, if any, and the interest which would have been paid if the loan had been made at the statutory rate for the year of income.
8. Where a benefit provided by an employer to an employee consists of a waiver by an employer of an obligation of the employee to pay or repay an amount owing to the employer or to any other person, the value of the benefit is the amount waived.
9. Where a benefit provided by an employer to an employee consists of the transfer or use of property or the provision of services, the value of the benefit is the market value of the *property or services at the time the benefit is provided*,⁴⁴⁴ reduced by any payment made by the employee for the benefit.
10. Where a benefit provided by an employer to an employee consists of the provision of accommodation or housing, other than where Section 19(1)(a) or (c) applies, the value of the benefit is the lesser of –
 - (a) the market rent of the accommodation or housing reduced by any payment made by the employee for the benefit; or

⁴⁴⁴ Substituted by IT (Am) Act 2002

- (b) 15% of the employment income, including the amount referred to in paragraph (a), paid by the employer to the employee for the year of income in which the accommodation or housing was provided.
11. The value of any benefit provided by an employer to an employee which is not covered by the above clauses is the market value of the *benefits, at the time the benefit is reduced*⁴⁴⁵ by any payment made by the employee for the benefit.
12. Paragraph 11 does not apply to any benefit expressly covered by Section 19(1)(a), (c), (d),(e),(f),(g) and (h).
13. In this Schedule, “statutory rate”, in relation to a year of income, means the Bank of Uganda discount rate at the commencement of the year of income.
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⁴⁴⁵ Substituted by IT (Am) Act 2002

Schedule 7

Sections 27(2), (11),(12),28(1)

Depreciation Rates and Vehicle Depreciation Ceiling*Part I* ⁴⁴⁶*Declining balance depreciation rates for depreciable assets*

Class	Assets included	Depreciation rate
1	Computers and data handling equipment	40%
2	Plant and machinery used in farming, manufacturing and mining.	30%
3	Automobiles; buses, minibuses, goods vehicles, construction and earth moving equipment, specialised trucks, tractors, trailers and trailer mounted containers, rail cars, locomotives and equipment; vessels, barges, tugs and similar water transportation equipment; aircraft; specialised public utility plant, equipment and machinery; office furniture, fixtures and equipment; any depreciable asset not included in another class.	20%

CLASS	ASSETS INCLUDED	RATE
1	Computers and data handling equipment	40%
2	Automobiles; buses and mini-buses with a seating capacity of less than 30 passengers; goods vehicles with a load capacity of less than 7 tonnes; construction and earth moving equipment.	35%
3	Buses with a seating capacity of 30 or more passengers; goods vehicles designed to carry or pull loads of 7 tonnes or more; ⁴⁴⁷ specialised trucks; tractors; trailers and trailer-mounted containers; plant and machinery used in farming, manufacturing or mining operations.	30%
4	Rail cars, locomotives and equipment; vessels, barges, tugs and similar water transportation equipment; aircraft; specialised	20%

⁴⁴⁶ Substituted by IT (Am) Act, 2021⁴⁴⁷ Substituted by IT (Am) Act, 2002

	public utility plant, equipment and machinery; office furniture, fixtures and equipment; any depreciable asset not included in another class	
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Part II

Vehicle Depreciation Ceiling

The amount for the purposes of Section 27(11) is shs. 60,000,000 [30,000,000]⁴⁴⁸

Part III

Straight-line Depreciation Rate for Industrial Buildings

The depreciation rate for the purposes of Section 28 is 5%.

History: Act 11/1997: Cap. 340 (Revised edition 2000): Act 1/2001 : Act 10/2002; Act 3/2003; Act 3\2005; Act 13/2005; Act 30/ 2006; Act 4/2008; Act 19/2008; Act 15/2009; Act 24/2010; Act 21/2011; Act 4/2012; Act 15/2013; Act 12/ 2014; Act 14/2014; Act 3/2015; Act 11/2015; Act 20/2016; Act 10/2017; Act 14/2017; Act 7/2018; Act 13/2019; Act 20/2020; Act 7/2021; Act 24/2021; Act 11/2022; Act 23/ 2023; Act 25/2023

Cross References

Building Societies Act, Cap. 104

Capital Markets Authority Act, Cap. 64

Collective Investments Scheme Act, Cap.65

Constitution, 1995

Diplomatic Privileges Act, Cap. 201

Income Tax Decree, Decree 1/1974

Investment Code, Statute 1/1991

Local Governments Act, Cap. 243

Magistrates Courts Act, Cap.16

Mining Act, Cap. 148

Petroleum (Exploration & Production) Act, Cap.150

Petroleum (Exploration, Development & Production) Act, 2013

Petroleum (Refining, Conversion, Transmission & Midstream) Act, 2013

Uganda Revenue Authority Act, Cap. 196

⁴⁴⁸ Substituted by IT (Am) Act, 2009

SUBSIDIARY LEGISLATION

INCOME TAX (WITHHOLDING TAX) REGULATIONS, 2000.

(Under Section 126(1) and 151 of the Income Tax Act)

Arrangement of Regulations.

1. Short title and commencement
2. Interpretation.
3. Amount of tax to be withheld.
4. Employee declaration.
5. Secondary employment form.
6. Declarations and secondary employment forms.
7. Change of employment certificate.
8. Tax credit and employee withholding certificates.
9. Offences and penalties.

In exercise of the powers conferred upon the Minister by Section 151 of the Income Tax Act 1997, these Regulations are made this 1st day of June 2000.

1. Short title and commencement

These Regulations may be cited as the Income Tax (Withholding Tax) Regulations, 2000 and shall be deemed to have come into force on the 1st day of July 2000.

2. Interpretation.

- (1) In these Regulations, “Act” means the Income Tax Act, 1997.
- (2) Terms and expressions used in these Regulations have, unless the contrary intention appears, the same meanings as they have in the Act.

3. Amount of tax to be withheld.

- (1) Every employer obliged under section 126 of the Act to withhold tax from a payment of employment income to an employee shall withhold tax in accordance with this regulation.

- (2) Subject to sub-regulation (10), where employment income is paid monthly by an employer to an employee and the employee has furnished the employer with an employee declaration, the amount of tax to be withheld from the payment for a month (referred to as the “current month”) is calculated according to the following formula—

$$(A-B)/C$$

where—

A is the amount of tax payable calculated—

(a) in the case of an employee who is a resident individual, in accordance with paragraph 1 of Part I of Schedule 4 to the Act on the annualised employment income of the employee calculated in accordance with sub-Regulation (3); and

(b) in the case of an employee who is a non-resident person, in accordance with paragraph 2 of Part I of Schedule 3 to the Act on the annualised employment income of the employee calculated in accordance with sub-Regulation (3);

B is the amount of tax withheld from payments made to the employee in the previous months of the year of income; and

C is the number of months remaining in the year of income, including the current month.

- (3) The annualised employment income of an employee for the purposes of component A of the formula in sub-Regulation (2) of this regulation is calculated in accordance with the following formula—

$$(D + E) \times 12/F$$

where—

D is the amount of employment income paid by the employer to the employee in the current month;

E is the amount of employment income paid by the employer to the employee in the previous months of the year of income; and

F is the number of completed months in the year of income, including the current month.

- (4) Subject to sub-Regulation (10), where employment income is paid fortnightly by an employer to an employee and the employee has furnished the employer with an employee declaration, the amount of tax to be withheld from a payment for a fortnight (referred to as the “current fortnight”) is calculated according to the following formula—

$$(A-B) C$$

where—

A is the amount of tax payable calculated—

- (a) in the case of an employee who is a resident individual, in accordance with paragraph 1 of Part I of the 4 Schedule to the Act on the annualised employment income of the employee calculated in accordance with sub-Regulation (5); or
- (b) in the case of an employee who is a non-resident individual, in accordance with paragraph 2 of Part I of the 4 Schedule to the Act on the annualised employment income of the employee calculated in accordance with sub-Regulation (5);

B is the amount of tax withheld from payments made to the employee in the previous fortnights of the year of income; and

C is the number of remaining fortnights in the year of income, including the current fortnight.

- (5) The annualised employment income of an employee for the purposes of component A of the formula in sub-Regulation (4) of this regulation is calculated in accordance with the following formula—

$$(D + E) \times 26/F$$

where—

D is the amount of employment income paid by the employer to the employee in the current fortnight;

E is the amount of employment income paid by the employer to the employee in the previous fortnights of the year of income; and

F is the number of completed fortnights in the year of income, including the current fortnight.

- (6) Subject to sub-regulation (10) of this regulation, where employment income is paid weekly by an employer to an employee and the employee has furnished the employer with an employee declaration, the amount of tax to be withheld from a payment for a week (referred to as the “current week”) is calculated according to the following formula—

$$(A-B)/C$$

where—

A is the amount of tax payable calculated—

(a) in the case of an employee who is a resident individual, in accordance with paragraph 1 of Part I of Schedule 4 to the Act on the annualised employment income of the employee calculated in accordance with sub-regulation (7); or

(b) in the case of an employee who is a non-resident individual, in accordance with paragraph 2 of Part I of Schedule 4 to the Act on the annualised employment income of the employee calculated in accordance with sub-Regulation (7);

B is the amount of tax withheld from payments made to the employee in the previous weeks of the year of income; and

C is the number of remaining weeks in the year of income, including the current week.

- (7) The annualised employment income of an employee for the purposes of component A of the formula in sub-regulation (6) is calculated in accordance with the following formula—

$$(D + E) \times 52/F$$

where—

D is the amount of employment income paid by the employer to the employee in the current week;

E is the amount of employment income paid by the employer to the employee in the previous weeks of the year of income; and

F is the number of completed weeks in the year of income, including the current week.

- (8) An employer shall notify the Commissioner General, in writing, where the employer pays employment income to an employee on a basis other than monthly, fortnightly or weekly.
- (9) An employer shall notify the Commissioner General, in writing, of any change, during a year of income, to the period of payment of employment income to an employee who has furnished an employee declaration to the employer.
- (10) Where a notification has been made under sub-Regulation (8) or (9) of this regulation, the commissioner shall advise the employer, by notice in writing, of the amount of tax to be withheld by the employer from the employment income paid by the employer to the employee.
- (11) Subject to sub-Regulation (13), where an employee has not furnished an employer with an employee declaration under Regulation 4, the amount of tax to be withheld from a payment of employment income for any period shall be the standard withholding amount.
- (12) An employee who has not furnished an employer with an employee declaration may apply, in writing, to the Commissioner General for a statement of the amount of tax to be withheld by the employer from the employment income paid by the employer to the employee.
- (13) After considering the application under sub-Regulation (12) of this regulation, the Commissioner General may, if he or she considers it appropriate, issue the employee with a statement of the amount of tax to be withheld by the employer from the employment income paid by the employer to the employee, and the employee shall furnish the statement to his or her employer; and the employer shall withhold tax from payments of employment income to the employee in accordance with the statement.
- (14) Where a change occurs in the circumstances affecting the amount of withholding tax specified in a statement referred to in sub-Regulation (13) of this regulation, the employee to whom the statement has been issued shall, by notice in writing within seven days of the change occurring, notify the commissioner General of any change occurring and the commissioner General shall issue a new statement accordingly.
- (15) In this Regulation—

- (a) a fortnight is a “completed fortnight”, “previous fortnight”, or “remaining fortnight”, in relation to a year of income, if the pay day for the fortnight occurs during the year of income;
- (b) a week is a “completed week”, “previous week”, or “remaining week”, in relation to a year of income, if the pay day for the week occurs during the year of income; and
- (c) “standard withholding amount”, in relation to a payment of employment income to an employee, means

A x B

where—

A is the highest marginal rate specified in the rates of tax in the relevant paragraph of Part I of the Third Schedule; and

B is the amount of employment income paid to the employee.

4. Employee declaration.

- (1) Subject to sub-Regulation (2), an employee shall furnish an employee declaration to his or her employer for each year of income.
- (2) Where an employee has more than one employer at any time during the year of income, the employee shall furnish an employee declaration to only one employer.
- (3) An employee declaration shall be—
 - (a) in the form prescribed by the Commissioner General;
 - (b) signed and dated by the employee; and
 - (c) furnished to the employer —
 - (i) unless the Commissioner General provides otherwise, by 1 July of the year of income to which the declaration relates; or
 - (ii) where the employee takes up employment during the year of income, within seven days after the date on which the employment commenced.

5. Secondary employment form.

- (1) Where an employee has more than one employer at any time during a year of income, the employee shall furnish a secondary employment form to each

employer other than the employer to whom an employee declaration has been furnished under Regulation 4.

- (2) A secondary employment form shall be—
 - (a) in the form prescribed by the commissioner General; and
 - (b) signed and dated by the employee.
- (3) A secondary employment form shall be furnished to the employer—
 - (a) unless the commissioner General provides otherwise, by 1st July of the year of income to which the form relates; or
 - (b) where the employee takes up employment during the year of income, within seven days after the date on which the employment commenced.

6. Declarations and secondary employment forms.

- (1) An employee declaration or a secondary employment form applies only to amounts of tax to be withheld after the date on which the declaration or form is furnished to the employer and continues in force until—
 - (a) withdrawn by the employee by notice in writing to the employer;
 - (b) the end of the year of income to which the declaration or form relates; or
 - (c) the employee ceases to be in the employment of the employer to whom the declaration or form has been furnished, whichever is the earlier.
- (2) Where, after furnishing an employee declaration to an employer, a change occurs in the circumstances affecting the amount of withholding tax calculated under Regulation 3, the employee shall, by notice in writing within seven days after the change occurring, withdraw the declaration and furnish the employer with a new declaration.
- (3) An employer shall maintain and keep available for five years, employee declarations and secondary employment forms furnished by employees under Regulations 4 and 5 for inspection by the commissioner General.

7. Change of employment certificate.

- (1) An employer shall issue to each employee who leaves the employer's employment during the year of income, a change of employment certificate setting out—
 - (a) the amount of employment income paid by the employer to the employee during the year of income;

- (b) the amount of tax withheld under section 126 of the Act by the employer from that income; and
 - (c) the period of the year of income that the employee was employed by the employer.
- (2) A change of employment certificate shall be issued to the employee at the time that the employee leaves the employer's employment.

An employee who receives a change of employment certificate shall furnish the certificate to his or her new employer within seven days after he or she commences the new employment.

- (3) An employer who has been furnished with a certificate under sub-Regulation (3) shall take the amounts set out in the certificate into account in applying Regulation 3 to the employment income paid to the employee for the year of income to which the certificate relates.

8. Tax credit and employee withholding certificates.

- (1) This regulation applies to the issue of tax credit certificates under section 143(l) of the Act and employee withholding certificates under section 143(3) of the Act.
- (2) A withholding agent who is required to issue a tax credit certificate or employee withholding certificate to a payee shall sign the certificate and shall issue it by—
- (a) causing it to be delivered to the payee personally; or
 - (b) posting it by prepaid letter addressed to the payee's last known postal address.
- (3) Where a tax credit certificate or employee withholding certificate which has been posted in accordance with this Regulation is returned to the withholding agent undelivered, the withholding agent shall forward the certificate to the commissioner General within seven days after the date on which the certificate was returned to the withholding agent.
- (4) A payee whose tax credit certificate or employee withholding certificate has been lost, stolen or destroyed may request in writing that the withholding agent issue a duplicate certificate.

- (5) Where a request has been made under sub-Regulation (4), the withholding agent shall comply with the request and the certificate so issued shall be clearly marked “duplicate”.
- (6) The personal representative of a payee who dies during the year of income may apply, in writing, to the withholding agent of the deceased payee for a tax credit certificate or employee withholding certificate in respect of that part of the year of income prior to the death of the payee.
- (7) A payee who intends to cease to be a resident person may apply in writing, to his or her withholding agent for a tax credit certificate or employee withholding certificate in respect of that part of the year of income prior to the payee ceasing to be a resident person.
- (8) Where an application has been made under sub-Regulation (6) or (7), the withholding agent shall issue the personal representative or payee with the certificate within seven days after the application is made.
- (9) A withholding agent who ceases to carry on business shall issue a tax credit certificate or employee withholding certificate to each payee prior to ceasing business.

9. Offences.

- (1) An employee who fails to notify any change in circumstances as required by regulation 3(14) commits an offence and is liable on conviction to a fine not exceeding twenty-five currency points.
- (2) An employee who furnishes an employee declaration to an employer in contravention of regulation 4(2) commits an offence and is liable on conviction to a fine not exceeding twenty-five currency points.
- (3) An employer who fails to maintain employee declarations and secondary employment forms as required under regulation 6(3) commits an offence and is liable on conviction to a fine not exceeding twenty-five currency points.
- (4) An employer who fails to issue a change in employment certificate as required by Regulation 7 commits an offence and is liable on conviction to a fine not exceeding twenty currency points.
- (5) A withholding agent who fails to issue a tax credit certificate or employee withholding certificate as required by Regulation 8 commits an offence and is liable on conviction to a fine not exceeding twenty-five currency points.

History: S.I. 52/2000.

Statutory Instrument No.9 of 2003

INCOME TAX (APPROVED INDUSTRIAL BUILDINGS) REGULATIONS, 2003.

(Under section 28 and 151 of the Income Tax Act)

In exercise of the powers conferred upon the Minister by section 151 of the Income Tax Act, these Regulations are made this 31st day of October, 2002.

1. Citation

These Regulations may be cited as the Income Tax (Approved Industrial Buildings) Regulations, 2003.

2. Commencement and application

- (1) Regulations 4 and 5 shall be deemed to have come into force on 1st July, 1997 and apply to an approved hotel or approved hospital whose construction commenced on or after 1st July, 1997.
- (2) Regulation 6 shall be deemed to have come into force on 1st July, 2000 and applies to an approved commercial building whose construction commenced on or after 1st July, 2000.

3. Approval of industrial buildings

For the purposes of section 28 of the Act, the industrial buildings referred to in regulations 4, 5 and 6 are approved for the purposes specified in those regulations.

4. Approval hotel

An approved hotel is an industrial building licensed by the appropriate authorities for use, at a price, for boarding and lodging with at least—

- (a) ten bedrooms with minimum facilities of bed and bedding, toilet and bath or shower room; and
- (b) restaurant or dining room for provision of food and beverages.

5. Approved hospital

An approved hospital is a specialised institutional industrial building manned by a fully registered specialist and general practitioner for the purpose of treating

general patients as outpatients or inpatients, or both, for medical, paediatric, surgical and obstetric or gynaecological conditions, providing treatment and nursing care and equipped with equipment and facilities for specialised establishment.

6. Approved commercial building

- (1) An approved commercial building is an industrial building which is primarily used by the owner or let out for rent—
 - (a) for the purpose of carrying on a business, trade or profession;
 - (b) as an office;
 - (c) as a warehouse or commercial storage facility; or
 - (d) as a workshop.
- (2) For the avoidance of doubt, an approved commercial building does not include a building let out or used for residential accommodation.

GERALD M. SSENDAULA,

Minister of Finance, Planning and Economic Development.

Statutory Instrument No. 34 of 2009

INCOME TAX (TAX INCENTIVES FOR EXPORTERS OF FINISHED CONSUMER AND CAPITAL GOODS) REGULATIONS, 2009

(Under sections 21(1)(z)(ii)(B) and 151 of the Income Tax Act)

Arrangement of Regulations

Regulation

1. Title
2. Commencement and application
3. Interpretation
4. Application and grant of Certificate of Entitlement to Exemption
5. Validity of Certificate of Entitlement to Exemption
6. Conditions for grant of Certificate of Entitlement to Exemption
7. Obligations of certificate holder
8. Revocation of the Certificate of Entitlement to Exemption

9. Appeals
10. Records
11. Filing of returns
12. Register

SCHEDULE

FORMS

IN EXERCISE of the powers conferred upon the Minister by sections 21(1) (z) (ii)(B) and 151 of the Income Tax Act, these Regulations are made this 11th day of May, 2009.

1. Title

These Regulations may be cited as the Income Tax (Tax Incentives for Exporters of Finished Consumer and Capital Goods) Regulations, 2009.

2. Commencement and application

These Regulations shall be deemed to have come into force on 1st July, 2007 and shall apply to persons engaged in the exportation of finished consumer and finished capital goods.

3. Interpretation

In these Regulations, unless the context otherwise requires—

“Authority” means the Uganda Revenue Authority;

“Commissioner General” means the Commissioner General appointed under the Uganda Revenue Authority Act;

“existing investment” means an investment that was in existence as at 1st July, 2007;

“export” means to take or cause to be taken out of the Partner States;

“finished capital goods” means goods other than finished consumer goods that may be used in the production process;

“finished consumer goods” means finished consumer products ready for consumption without the need for further processing; and in the case of flower exports includes potted plants and chrysanthemum cuttings;

“goods” includes all kinds of articles, wares, merchandise, livestock, and currency;

“investment” means the creation of new business assets and includes the expansion, restructuring or rehabilitation of an existing business enterprise;

“manufacturing” means the substantial transformation of tangible movable property, including power generation and water supply;

“manufacturing under bond” means a facility extended to manufacturers to import plant, machinery, equipment and raw materials tax free, exclusively for use in the manufacture of goods for export;

“Minister” means the Minister responsible for finance;

“new investment” means an investment that did not exist as at 1st July, 2008;

“production” means a process involving the use of inputs to derive outputs including manufacturing, growing or extraction.

4. Application and Grant of Certificate of Entitlement to Exemption

- (1) A person seeking tax exemption on income derived from the export of finished consumer goods and finished capital goods under section 21(1)(z) of the Act shall apply for a Certificate of Entitlement to Exemption in Form 1 set out in the schedule to the Regulations.
- (2) The applicant under sub-Regulation (1) shall state in the application—
 - (a) his or her name and address;
 - (b) the description of the goods;
 - (c) the Tax Identification Number;
 - (d) telephone and e-mail contact;
 - (e) the details of directors;
 - (f) a declaration that the applicant will export or intends to export at least eighty percent (80%) of his or her production of finished consumer goods and finished capital goods during the year, whether or not the raw materials are from within Uganda;
 - (g) details of the manufacturing or production of goods process including graphic presentation of the manufacturing process where applicable.

- (3) The Commissioner General may request for additional information to ascertain whether a person qualifies for a grant of a Certificate of Entitlement to Exemption, to verify the existence of the investment.
- (4) The Commissioner general shall, based on the information provided, decide whether or not to grant a Certificate of Entitlement to Exemption, and on ascertainment of the existence of an investment, make a decision within thirty working days.
- (5) A person who qualifies under sub-Regulation (4) shall be issued with a Certificate of Entitlement to Exemption in Form 2 set out in the schedule to these Regulations.
- (6) A Certificate of Entitlement to Exemption under these Regulations shall be specific to a person and the income derived from activities resulting in exports.
- (7) Where the Commissioner General refuses to grant a Certificate Of Entitlement to Exemption, the Commissioner General shall state in writing the reasons for the refusal.

5. Validity of Certificate of Entitlement to Exemption

- (1) Subject to subsection (2), a certificate of entitlement to exemption is valid for a period of ten years starting from the date on which it is issued.
- (2) Notwithstanding subsection (1), an exporter is only eligible for the tax exemption in any year in which the exporter fulfills the conditions for the tax exemption specified in regulation 6.
- (3) Where the exporter fails to fulfill the conditions for the tax exemption for a particular year, the tax exemption shall not be granted for that year.

6. Conditions for grant of Certificate of Entitlement to Exemption

A certificate of entitlement to exemption on income derived from export of finished consumer goods and finished capital goods shall not be granted to an applicant unless the applicant—

- (a) keeps proper books of accounts and records required under regulation 10; and
- (b) exports at least eighty percent (80%) of his or her production of finished consumer goods and finished capital goods of goods during the year, whether or not the raw materials are from within Uganda.

7. Obligations of a certificate holder

The holder of the Certificate of Entitlement to Exemption shall, during the period of the tax incentives—

- (a) comply with the obligations imposed by the Income Tax Act;
- (b) keep proper books of accounts and records as required by regulation 7;
- (c) export eighty percent (80%) of the finished consumer goods or finished capital goods produced by him or her;
- (d) not transfer the Certificate of Entitlement to Exemption to another person.

8. Revocation of Certificate of Entitlement to Exemption

- (1) The Commissioner General may revoke a Certificate granted under these Regulations where he or she is satisfied that—
 - (a) there has been a breach of the terms under which the certificate is granted;
 - (b) there has been a breach of a condition attached to the certificate;
 - (c) the application for the Certificate of Entitlement to Exemption was defective in that the holder misrepresented himself / herself and failed to rectify the defect within forty-five days after being requested to do so;
 - (d) the holder is bankrupt;
 - (e) the holder has failed to submit the required information for two years consecutively;
 - (f) the holder knowingly or negligently gives false or misleading information to the Authority;
 - (g) the holder refuses or neglects to provide information which the Authority may reasonably require for the purposes of the enforcement of these Regulations;
 - (h) the holder refuses or neglects to keep proper books of accounts; or
 - (i) the holder refuses without lawful excuse to admit an officer or an agent of the Authority after being given reasonable notice into the premises of his or her business enterprise or otherwise obstructs any inspection by an officer or agent of the Authority in the discharge of its monitoring function.

- (2) The Commissioner General shall before revoking a certificate under subsection (1), give not less than thirty days' written notice of the intention to revoke the certificate to the holder of the certificate and shall consider any written representations made to the holder of the certificate to the Commissioner General within that time.

9. Appeals

- (1) A person aggrieved by a decision of the Commissioner General may appeal to the Minister by giving written notice to the Authority against—
- (a) the refusal of the Authority to grant a certificate under these Regulations;
 - (b) the attaching of a condition to a certificate; or
 - (c) the revocation of the certificate.
- (2) An appeal under this Regulation shall be in writing to the Minister within thirty days after the receipt of the decision of the Authority and the appellant shall give notice of the appeal to the Authority.
- (3) The Minister shall consider an appeal under this Regulation and may—
- (a) dismiss the appeal;
 - (b) require the Authority to issue a certificate to the appellant;
 - (c) quash the revocation of a certificate; or
 - (d) permit the appellant to make a fresh application for a certificate notwithstanding that the period prescribed for applications has expired and the Authority shall give effect to the determination of the Minister.

10. Records

- (1) The holder of a Certificate of Entitlement to Exemption shall maintain records of—
- (a) inputs for the exports business;
 - (b) export sales;
 - (c) export documents;
 - (d) goods that have been warehoused;
 - (e) goods that have been produced;
 - (f) local sales; and

(g) any other records as may be required by the Commissioner General.

11. Filing of returns

- (1) The holder of a Certificate of Entitlement to Exemption shall submit an annual return to the Authority, showing a summary of receipts and exports and the return shall contain the following information—
 - (a) stock at hand at the beginning of the year;
 - (b) total receipts into the company warehouse;
 - (c) total annual production;
 - (d) stock carried forward to the next year; and
 - (e) total sales in the local market and total sales exported.
- (2) The return shall be submitted annually together with the final return of income.

12. Register

- (1) The Authority shall maintain a register of all the certificates granted under these Regulations.
- (2) The Authority shall cause to be entered in the register in respect of each certificate—
 - (a) the name of the business enterprise to which the certificate was granted;
 - (b) the principal place of business of the certificate holder; and
 - (c) the activities to which the certificate relates.

SCHEDULE*Regulation 4(1)***FORMS****FORM 1****Application for a Certificate of Entitlement to Exemption***(Under sections 21 and 151 of the Income Tax Act)*

Please enter the information requested in the spaces provided. Please note that any additional information should be attached to this application form.

Business Details:

Name (company or individual)

TIN

Parent company (If applicable)

Address (postal and physical)

Contact Telephone Number

E-mail address

Director's Details (Names and contacts)

Nature of goods to be manufactured for export

DECLARATION:

Ideclare that I am exporting or intend to export at least eighty percent (80%) of my production of finished capital goods or finished consumer goods during the year.

Completed by:

Name.....

Title.....

Signature.....Date.....

Official Comments.

Details of Verifications and Recommendations:

Verification officer’s Signature

Date

Supervisor’s Signature.....

Date

Form 2:

*Regulation 4(5)***Certificate of Entitlement to Exemption**

This Certificate of Entitlement to Exemption is issued under sections 21 and 151 of the Income Tax Act, Cap. 338.

Name of Business:

Address.....

Physical location:

Nature of business.....

Tax incentives: *Exemption from Corporation Tax and Withholding Tax* .

The certificate is valid from to

Note:

1. The holder of this Certificate of Entitlement to Exemption shall comply with the requirements of section 21 of the Income Tax Act and these Regulations.
2. The Commissioner may revoke the Certificate if satisfied that there has been a breach of the terms under which the certificate is granted or on a breach of a condition attached to the certificate or if the holder of the certificate is convicted of an offence under the Income Tax Act or other relevant law.

.....

Commissioner

Statutory Instrument No. 30 of 2011

INCOME TAX (TRANSFER PRICING) REGULATIONS, 2011

(Under sections 116 and 151 of the Income Tax Act)

IN EXERCISE of the powers conferred upon the Minister by section 151 of the Income Tax Act, these Regulations are made this 20th day of June, 2011.

Arrangement of Regulations

Regulation

PART I—PRELIMINARY

1. Title and commencement
2. Application of regulations
3. Interpretation

PART II—COMPATIBILITY FACTORS, BRANCH PERSON AND OECD DOCUMENTS

4. Compatibility factors
5. Branch person and headquarter person
6. Application of OECD documents

PART III—CONSISTENCY WITH ARM'S LENGTH PRINCIPLE, DOCUMENTATION, ADVANCED PRICING AGREEMENTS AND CORRESPONDING ADJUSTMENTS

7. Consistency with arm's length principles
8. Documentation
9. Advanced pricing agreements
10. Corresponding adjustments

PART I—PRELIMINARY

1. Title and commencement

These Regulations may be cited as the Income Tax (Transfer Pricing) Regulations 2011, and shall come into force on the 1st day of July 2011.

2. Application of Regulations

The Regulations shall apply to a controlled transaction if a person who is a party to the transaction is located in and is subject to tax in Uganda and the other person who is a party to the transaction is located in or outside Uganda.

3. Interpretation

In these Regulations, unless the context otherwise requires—

“Act” means the Income Tax Act;

“arm’s length principle” in relation to a controlled transaction, means the results of the transaction are consistent with the results that would have been realised in a transaction between independent persons dealing under the same conditions;

“associate” has the meaning given to it in section 3 of the Act;

“branch” in relation to a person—

- (a) where there is a tax treaty applicable to the person, means a permanent establishment as defined in the treaty; or
- (b) in any other case, has the meaning given to it in section 78 of the Act;

“comparability factors” means the factors specified in regulation 4;

“comparable uncontrolled price method” means comparing the price charged in a controlled transaction with the price charged in a comparable uncontrolled transaction;

“comparable uncontrolled transaction” in relation to the application of a transfer pricing method to a controlled transaction, means an uncontrolled transaction which, after taking account of the comparability factors, satisfies the differences, if any, between the two transactions or between the persons undertaking the transactions which do not materially affect the financial indicator applicable under the method or where the differences do materially affect the financial indicator applicable under the method, then reasonably accurate adjustments can be made to eliminate the effects of the differences;

“controlled transaction” means a transaction between associates;

“cost plus method” means comparing the mark up on the costs directly and indirectly incurred in the supply of property or services in a controlled transaction with the mark up on those costs directly or indirectly incurred in the supply of property or services in a comparable uncontrolled transaction;

“financial indicator” means—

- (a) in relation to the comparable uncontrolled price method, the price;
- (b) in relation to the cost-plus method, the mark up on costs;
- (c) in relation to the resale price method, the resale margin;
- (d) in relation to the transaction net margin method, the net profit margin; or
- (e) in relation to the transactional profit split method, the division of profit and loss;

“person” has the meaning given to it in the Act and includes a “branch person” and “headquarters person” referred to in regulation 5;

“resale price method” means comparing the resale margin that a purchaser of property in a controlled transaction earns from reselling the property in an uncontrolled transaction with the resale margin that is earned in a comparable uncontrolled purchase and resale transaction;

“transaction” includes an arrangement, understanding, agreement, or mutual practice whether or not legally enforceable or intended to be legally enforceable, and includes a dealing between a branch of a person and another part of the person;

“transactional net margin method” means comparing the net profit margin relative to the appropriate base including costs, sales or assets that a person achieves in a controlled transaction with the net profit margin relative to the same basis achieved in a comparable uncontrolled transaction;

“transactional profit split method” means comparing the division of profit and loss that a person achieves in a controlled transaction with the division of profit and loss that would be achieved when participating in a comparable uncontrolled transaction;

“transfer pricing method” means—

- (a) the comparable uncontrolled price method;
- (b) the resale price method;
- (c) the cost-plus method;

- (d) the transaction net margin method; or
- (e) the transactional profit split method;

“uncontrolled transaction” means a transaction that is not a controlled transaction.

PART II—COMPARABILITY FACTORS, BRANCH PERSONS AND OECD DOCUMENTS

4. Comparability factors

In determining whether two or more transactions are comparable the following factors shall be considered to the extent that they are economically relevant to the facts and circumstances of the transactions—

- (a) the characteristics of the property or services transferred or supplied;
- (b) the functions undertaken by the person entering into the transaction taking account of assets used and risks assumed;
- (c) the contractual terms of the transactions;
- (d) the economic circumstances in which the transactions take place; and
- (e) the business strategies pursued by the associate to the controlled transaction.

5. Branch person and headquarter person

For the purposes of these Regulations—

- (a) a branch shall be deemed to be a separate and distinct person referred to as the “branch person” from the person in respect of whom it is a branch referred to as the “headquarters person”;
- (b) a branch person and headquarters person shall be deemed to be associates; and
- (c) a branch person and a headquarter person are located where their activities are located.

6. Application of OECD documents

- (1) Subject to sub-Regulation (2), these Regulations shall be applied in a manner consistent with: —
 - (a) the arm's length principle in Article 9 of the OECD Model Tax Convention on Income and Capital; and
 - (b) the OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administrations approved by the Council of the OECD for publication on 13th July, 1995 (C(95)126/FINAL) as supplemented and updated from time to time.
- (2) Where there is any inconsistency between the Act, these Regulations and the OECD documents referred to in sub-regulation (1), the Act shall prevail.

PART III—CONSISTENCY WITH ARM'S LENGTH PRINCIPLE,
DOCUMENTATION, ADVANCED PRICING AGREEMENTS AND
CORRESPONDING ADJUSTMENTS

7. Consistency with the arm's length principle

- (1) Where a person has entered into a transaction or a series of transactions to which these Regulations apply, the person shall determine the income and expenditures resulting from the transaction or transactions in a manner that is consistent with the arm's length principle.
- (2) Where a person fails to comply with sub-Regulation (1), the Commissioner General may make the necessary adjustments to ensure that the income and expenditures resulting from the transaction or transactions are consistent with the arm's length principle.
- (3) In determining whether the result of a transaction or series of transactions is consistent with the arm's length principle, the most appropriate transfer pricing method shall be used taking into account—
 - (a) the respective strengths and weaknesses of the transfer pricing methods in the circumstances of the case;
 - (b) the appropriateness of a transfer pricing method having regard to the nature of the controlled transaction determined, in particular, through an analysis of the functions undertaken by each person that is a party to the controlled transaction;
 - (c) the availability of reliable information needed to apply the transfer pricing methods; and
 - (d) the degree of comparability between controlled and uncontrolled transactions, including the reliability of adjustments, if any, that may be required to eliminate differences.

- (4) Where a person has used an appropriate transfer pricing method in accordance with sub-Regulation (3), the Commissioner's examination as to whether income and expenditures resulting from the person's transaction or transactions are consistent with the arm's length principle shall be based on the transfer pricing method used by the person.
- (5) A person may apply a transfer pricing method other than those listed in the definition of transfer pricing method under regulation 3, if the person can establish that—
 - (a) none of the listed methods can reasonably be applied to determine whether a controlled transaction is consistent with the arm's length principle; and
 - (b) the method used gives rise to a result that is consistent with that between independent persons engaging in comparable uncontrolled transactions in comparable circumstances.
- (6) A person who contravenes this Regulation is liable on conviction to imprisonment for a term not exceeding six months or to a fine not exceeding twenty-five currency points or both.

8. Documentation

- (1) A person shall record, in writing, sufficient information and analysis to verify that the controlled transactions are consistent with the arm's length principle.
- (2) The documentation referred to in sub-Regulation (1) for a year of income shall be in place prior to the due date for filing the income tax return for that year.
- (3) The Commissioner General may, by notice, specify the items of documentation that a person is required to keep for the purposes of this regulation.
- (4) A person who fails to comply with this regulation is liable on conviction to imprisonment for a term not exceeding six months or to a fine not exceeding twenty-five currency points or both.

9. Advance pricing agreements

- (1) A person may request that the Commissioner General enter into an advance pricing agreement to establish an appropriate set of criteria for determining whether the person has complied with the arm's length

principle for certain future-controlled transactions undertaken by the person over a fixed period of time.

- (2) A request under sub-Regulation (1) shall be accompanied by—
 - (a) a description of the person's activities, controlled transactions, and the proposed scope and duration of the advanced pricing agreement;
 - (b) a proposal by the person for the determination of the transfer prices for the transactions to be covered by the advanced pricing agreement setting out the comparability factors, the selection of the most appropriate transfer pricing method to the circumstances of the controlled transactions; and the critical assumptions as to future events under which the determination is proposed;
 - (c) the identification of any other country or countries that the person wishes to participate in the advanced pricing agreement; and
 - (d) any other information which the Commissioner General may require as specified in a practice note on transfer pricing.
- (3) The Commissioner General shall consider a request made by a person under sub-Regulation (1) and, after taking account of the matters specified in the request and the expected benefits from an advance pricing agreement in the circumstances of the case, the Commissioner General may decide to enter into an advance pricing agreement or to reject the request.
- (4) Where the Commissioner agrees to enter into an advance pricing agreement with a person, the Commissioner General may—
 - (a) accept the person's proposal under sub-Regulation (2)(b);
 - (b) reject the proposal; or
 - (c) modify the proposal with the person's consent.
- (5) The Commissioner General may enter into an advance pricing agreement with the person either alone or together with the competent authorities of the country or countries of the person's associate or associates identified under sub-Regulation (2)(c).
- (6) Where the Commissioner General approves a proposal under sub-Regulation (4)(a) or modifies it with the person's consent under sub-Regulation (4)(c), the Commissioner General shall enter into an advance pricing agreement that will provide confirmation to the person that no transfer pricing adjustment will be made under regulation 7(2) to controlled transactions covered by the agreement where the transactions are consistent with the terms of the agreement.

- (7) An advance pricing agreement entered into under sub-Regulation (6) shall apply to the controlled transactions specified in the agreement that are entered into on or after the date of the agreement and the agreement shall specify the years of income for which the agreement applies.
- (8) The Commissioner General may cancel an advanced pricing agreement with a person by notice in writing if—
- (a) the person has failed to materially comply with a fundamental term of the agreement;
 - (b) there has been a material breach of one or more of the critical assumptions underlying the agreement;
 - (c) there is a change in the tax law that is materially relevant to the agreement; or
 - (d) the agreement was entered into based on a misrepresentation, mistake or omission by the person.
- (9) Cancellation of an advance pricing agreement under sub-Regulation (8) takes effect—
- (a) in the case of sub-Regulation (8)(a) and (c), from the date of the notice of cancellation specified by the Commissioner General in the notice of cancellation;
 - (b) in the case of sub-Regulation (8)(b), from the date that the material breach occurred; and
 - (c) in the case of sub-Regulation (8)(d), from the date the agreement was entered into.
- (10) The Commissioner General shall treat as confidential any trade secrets or other commercially sensitive information or documentation provided to the Commissioner General in the course of negotiating an advance pricing agreement.

10. Corresponding adjustments

Where—

- (a) an adjustment is made by a competent authority of another country with which Uganda has a double tax treaty to the taxation of a transaction or transactions of a person subject to tax in Uganda; and
- (b) the adjustment results in taxation in another country of income or profits that are also taxable in Uganda, the Commissioner General shall, upon request by the person subject to tax in Uganda, determine whether the adjustment is consistent with the arm's length principle and where it is

determined to be consistent, the Commissioner General shall make a corresponding adjustment to the amount of tax charged in Uganda on the income or profits so as to avoid double taxation.

The Uganda Gazette No. 15, Volume CXIII, dated 13th March, 2020

STATUTORY INSTRUMENTS

2020 No. 42

INCOME TAX (RENTAL RATES) REGULATIONS, 2020

(Under sections 5 and 151 of the Income Tax Act)

IN EXERCISE of the powers conferred upon the Minister by section 151 of the Income Tax Act, these Regulations are made this 29th day of January, 2020.

1. Title

These Regulations may be cited as the Income Tax (Rental Rates) Regulations, 2020.

2. Application

These Regulations apply to—

- (a) a taxpayer who fails to file a return in accordance with the Act; and
- (b) a taxpayer whose return is contested by the Commissioner General.

3. Interpretation

In these Regulations, unless the context otherwise requires—

“Act” means the Income Tax Act;

“property” includes a factory, warehouse, house or other building;

“rent” has the meaning given to it in section 2 of the Act;

“rental income” has the meaning given to it in section 2 of the Act;

“taxpayer” has the meaning given to it in section 2 of the Act.

4. Rental income

- (1) A person who rents out property located along a road, lane or street specified in the first column of Schedule 1 to these Regulations shall be deemed to earn rental income from that property at the rate specified in the second, third, fourth, fifth and sixth columns of Schedule 1 to these Regulations, corresponding to the location in the first column respectively.
- (2) A person who, for residential purposes, rents out property located in an area specified in the first column of Schedule 2 to these Regulations shall be deemed to earn rental income from that property at the rate

specified in the second, third, fourth and fifth columns of Schedule 2, corresponding to the location in the first column, respectively.

- (3) A person who for commercial purposes other than office space, rents out property located in an area specified in the first column of Schedule 2 to these Regulations shall be deemed to earn rental income at the rate specified in the sixth column of Schedule 2, corresponding to the location in the first column, respectively.
- (4) A person who, for purposes of providing office space, rents out property located in an area specified in the first column of Schedule 2 to these Regulations shall be deemed to earn rental income specified in the seventh column of Schedule 2, corresponding to the location in the first column, respectively.

Schedule 1

Regulation 4(1)

RENTAL RATES IN THE CENTRAL DIVISION OF KAMPALA CITY

Street/Road/Lane Name	Rent Per Square Meter in Uganda Shillings per month				
	Ground	Floor 1	Floor 2	Floor 3	4 & Up
Kampala Road	142,857	101,409	73,112	58,824	49,822
Jinja Road, Station Road, Dewinton Road	104,762	84,347	63,774	44,642	32,000
Ben Kiwanuka Street, William Street, Wilson Road, Johnson Street	128,571	90,000	62,108	41,875	23,039
Bombo Road, Lumumba Avenue, George Street, Kyagwe Road, Nakasero Lane, Nakasero Road, Queens Lane, Buganda Road, Lumumba Avenue, Wandegaya Road	90,476	68,441	51,461	45,463	36,370
Colville Street, Speke Road, Pilkington Road, Kimathi Avenue, Nile Avenue, Apollo Kagwa Road, Parliament Avenue, Said Barre Avenue and Portal Avenue	95,238	82,194	71,349	62,294	54,700
Entebbe Road	95,238	67,075	45,474	34,235	23,871
Kikuubo Lane	166,667	103,969	61,268	40,923	20,802
Luwum Street, Market Street, Market Square, Sikh Street, Burton Street, Snay Bin Amir Rise.	123,810	81,388	54,462	33,555	25,000
Nakivubo Place, Nakivubo Road, Allen Road	119,048	72,960	51,547	34,943	25,338
Nkrumah Road, Nasser Road, Rosebury Road	95,238	62,177	36,291	21,864	18,861
Rashid Khamis Road, Mackay Road, Martin Road, Berkley Road, Berkley Lane, Ginnery Road, Old Kampala Road	114,286	70,490	31,331	23,089	15,236
First, Second, Third, Fourth, Fifth, Sixth, Seventh and		81,428	72,048	72,190	75,207

Eighth Streets and Old Port Bell Road					
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Schedule 2

Regulation 4(2), (3) and (4)

RENTAL RATES OUTSIDE THE CENTRAL DIVISION OF KAMPALA

Residential, Commercial and Office Rates outside Central Division of Kampala City						
Location of Property	Rent for residential purposes in UShs. Per Month				Rent for commercial office purposes in UShs. Per Month	
	1 Bed Room	2 Bed Room	3 Bed Room	4 or More Bed Room	Commercial Rent/Sqm	Office Rent/Sqm
Bugolobi	500,000	1,000,000	1,500,000	2,000,000	71,429	64,286
Bukoto	400,000	800,000	1,200,000	1,700,000	57,143	51,429
Buwate	300,000	600,000	800,000	1,100,000	38,095	34,286
Bweyogerere	250,000	600,000	800,000	1,000,000	42,857	38,571
Kamwokya	600,000	1,200,000	2,000,000	2,500,000	95,238	85,714
Kansanga	400,000	700,000	1,000,000	1,200,000	47,619	42,857
Kira	350,000	600,000	800,000	950,000	38,095	34,286
Kireka	250,000	600,000	900,000	1,100,000	42,857	38,571
Kisaasi	300,000	700,000	1,000,000	1,200,000	47,619	42,857
Kiwatule	300,000	700,000	1,000,000	1,300,000	47,619	42,857
Kololo	1,000,000	2,500,000	3,500,000	4,500,000	166,667	150,000
Kyaliwajjala	250,000	600,000	900,000	1,100,000	42,857	38,571
Mbuya	450,000	1,000,000	1,400,000	1,800,000	66,667	60,000
Mengo	450,000	1,000,000	1,300,000	1,700,000	61,905	55,714
Munyonyo	450,000	900,000	1,200,000	1,600,000	57,143	51,429
Mutungo	400,000	700,000	900,000	1,300,000	42,857	38,571
Muyenga	600,000	1,000,000	1,500,000	2,000,000	71,429	64,286
Naalya	400,000	700,000	900,000	1,200,000	42,857	38,571
Naguru	800,000	1,500,000	2,000,000	3,000,000	95,238	85,714
Najjeera	350,000	700,000	900,000	1,200,000	42,857	38,571

Nakasero	1,000,000	2,500,000	3,500,000	4,500,000	166,667	150,000
Namugongo	250,000	600,000	900,000	1,000,000	42,857	38,571
Nsambya	400,000	900,000	1,200,000	1,500,000	57,143	51,429
Ntinda	500,000	1,000,000	1,500,000	2,000,000	71,429	64,429
Seeta	250,000	500,000	900,000	1,000,000	38,095	34,286

INCOME TAX (Designation of Payers) NOTICE, 2013⁴⁴⁹

Legal Notice No.9 of 2013 - (under sections 119(1) of the Income Tax Act, Cap.388)

Revocation of Legal Notice No. 10 of 2012- The Income Tax (Designation of Payers) Notice, 2012 is revoked

Legal Notice No. 13 of 2018

INCOME TAX (Designation of Payers) Notice, 2018⁴⁵⁰

(Under sections 118E and 119(1) of the Income Tax Act, Cap.388)

IN EXERCISE of the powers conferred upon the Minister responsible for finance by sections 118E and 119(1) of the Income Tax Act, this Notice is issued this 28th day of June, 2018.

1. Title.

This Notice may be cited as the Income Tax (Designation of Payers) Notice, 2018.

2. Commencement.

This Notice shall come into force on the 1st day of July 2018.

3. Designation of persons as payers.

The persons specified in the Schedule to this Notice are designated as payers for purposes of sections 118E and 119(1) of the Income Tax Act.

4. Payment for agricultural products.

Where any person designated in the Schedule to this Notice as a payer pays an amount exceeding one million shillings to any person, for agricultural supplies, the payer shall withhold tax on the gross amount of the payment at the rate prescribed in Part XII of the Third Schedule to the Income Tax Act, and the payer shall issue a receipt to the payee.

5. Payment for goods and services.

- (1) Where any person designated in the Schedule to this Notice as a payer pays an amount or amounts in aggregate exceeding one million shillings to any person in Uganda—
 - (a) for a supply of goods or materials of any kind; or
 - (b) for a supply of any services,

⁴⁴⁹ Revoked by Legal Notice No.13 Of 2018

⁴⁵⁰ Revoked by Income Tax(Designation of Payers) Notice, 2022- Legal Notice No.8 of 2022

the payer shall withhold tax on the gross amount of the payment at the rate prescribed in Part VIII of the Third Schedule to the Income Tax Act, and the payer shall issue a receipt to the payee.

(2) Where-

- (a) there are separate supplies of goods or materials, or of services and each supply is made for an amount that is one million shillings or less; and
- (b) it would reasonably be expected that the goods or materials, or services would ordinarily be supplied in a single supply for an amount exceeding one million shillings, subparagraph (1) applies to each supply.

6. Revocation of Legal Notice No. 9 of 2013

The Income Tax (Designation of Payers) Notice, 2013, Legal Notice No. 9 of 2013 is revoked.

Legal Notice No.8 of 2022

THE INCOME TAX (DESIGNATION OF PAYERS) NOTICE, 2022⁴⁵¹ *(Under section 136 of the Income Tax Act)*

IN EXERCISE of the powers conferred upon the Minister responsible for finance by section 136 of the Income Tax Act, this Notice is issued this 11th day of May, 2022.

1. Title

This Notice may be cited as the Income Tax (Designation of Payers) Notice, 2022.

2. Designation of persons as payers

The persons specified in the Schedule to this Notice are designated as payers for purposes of section 136 of the Income Tax Act.

3. Revocation of Legal Notice No. 13 of 2018

The Income Tax (Designation of Payers) Notice, 2018, is revoked.

SCHEDULE

List of designated payers

⁴⁵¹ Amended by Legal Notice No.14 of 2022- IT (Designation of Payers) (Am) Notice, 2022 issued on 23/11/2022 and Gazetted on 30/12/2022

VALUE ADDED TAX ACT

An Act to provide for the imposition and collection of Value Added Tax, and for related matters.

Commencement: 1st July 1996

Arrangement of Sections

Section

PART 1- PRELIMINARY**Interpretation**

1. Interpretation of fair market value
2. Interpretation of associate

PART 11 - CHARGE OF TAX

3. Charge of tax
4. Person liable to pay tax

PART 111 - TAXABLE PERSONS

5. Taxable person
6. Persons required or permitted to register
7. Registration
8. Cancellation of registration

PART IV - SUPPLIES OF GOODS AND SERVICES

9. Supply of goods
10. Supply of services
11. Mixed supplies
12. Supply by agent
13. Time of supply
14. Place of supply of goods
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PART V - TAXABLE SUPPLIES

17. Taxable supply
18. Exempt supply
19. Exempt import

PART VI - TAXABLE VALUE

20. Taxable value of taxable supply
21. Adjustments
22. Taxable value of import of goods

PART VII - CALCULATION OF TAX PAYABLE

- 23. Calculation of tax payable on taxable transaction
- 24. Calculation of tax payable by taxable person for tax period
- 25. Cash basis accounting
- 26. Consequences of change in accounting basis
- 27. Credit for input tax
- 28. Tax invoices
- 29. Credit and Debit notes
- 30. Returns
- 31. Due date for payment of tax

Collection and Recovery of Tax

- 32. Duties of receivers

Refund of Tax

- 33. Refund of overpaid tax
- 34. Refund of tax for bad debts
- 35. Interest on overpayments and late refunds
- 36. Refund of tax to diplomats and diplomatic and consular missions and international organizations
- 37. Refund of Tax for use of Electronic Receipt or Invoice

Penal Tax

- 38. Penal tax
- 39. Interest on unpaid tax
- 40. Recovery of penal tax
- 41. Remission of tax

PART VIII – GENERAL

- 42. Application of Act to partnerships and unincorporated associations
- 43. Trustee
- 44. Currency conversion
- 45. Prices quoted to include tax
- 46. Schemes for obtaining undue tax benefits
- 47. Re-characterisation of arrangements under Islamic financial business
- 48. International agreements
- 49. Priority of Schedules
- 50. Regulations
- 51. Supremacy of Act
- 52. Power to amend Schedules

SCHEDULES**SCHEDULE 1** Currency point

SCHEDULE 2	Public international organizations
SCHEDULE 3	Exempt supplies
SCHEDULE 4	Zero-rated supplies
SCHEDULE 5	Formulae, tax invoices, credit notes & debit notes
SCHEDULE 6	Calculation of interest penalty

SUBSIDIARY LEGISLATION

1. Value Added Tax Regulations, 1996
2. Rate of Tax Order, 2006
3. Rate of Tax Order, 2007
4. Value Added Tax (Deferment of Tax on Plant and Machinery) Regulations 2013
5. Value Added Tax (Zero-Rated Educational Materials) Regulations, 2018

PART I - PRELIMINARY

1. Interpretation

In this Act, unless the context otherwise requires -

"application to own use", in relation to goods or *services*, means applying the goods or services, to personal use, including personal use by a relative, or any other non-business use;⁴⁵²

"biodegradable packaging material" means packaging material which can undergo a breakdown of its entire composition and by naturally existing micro-organisms in the presence of air and water at specific temperatures into smaller constituent components within a given time of usually not more than six months;⁴⁵³

"citizen" means ⁴⁵⁴-

- a) a natural person who is a citizen of a partner state of the East African Community;
- b) a company or a body of persons incorporated under the laws of a Partner State of the East African Community in which at least fifty-one percent of the shares are held by a person who is a citizen of a Partner State of the East African Community;

⁴⁵² Substituted by VAT (Am) Act 1, 2008

⁴⁵³ Inserted by VAT(Am) Act, 2010; Repealed by VAT (Am) Act, 2021

⁴⁵⁴ Inserted by VAT (Am) Act, 2009

"Commissioner General" means the Commissioner General of the Uganda Revenue Authority;

"company" means a body corporate or un-incorporate, whether created or recognized under a law in force in Uganda or elsewhere, but does not include a partnership or trust;

"consideration", in relation to a supply of goods or services, means the total amount in money or kind paid or payable for the supply by any person, directly or indirectly, including any duties, levies, fees, and charges paid or payable on, or by reason of, the supply other than tax, reduced by any discounts or rebates allowed and accounted for at the time of the supply;

"contractor" means a person supplying goods or services other than as an employee to the following⁴⁵⁵ -

- a) A licensee in respect of mining operations undertaken by the licensee; or
- b) A licensee in respect of petroleum operations undertaken by the licensee.

"currency point" has the value assigned to it in Schedule I to this Act;⁴⁵⁶

"exempt import" has the meaning in Section 20;

"exempt supply" means a supply of goods or services to which Section 19 applies;

"finance lease", in relation to goods, includes the lease of goods where - the lease term exceeds seventy-five per cent of the expected life of the goods;

- a) the lessee has an option to purchase the goods for a fixed or determinable price at the expiration of the lease; or
- b) the estimated residual value of the goods to the lessor at the expiration of the lease term, including the period of any option to renew, is less than 20 per cent of its fair market value at the commencement of the lease.

"goods" includes all kinds of movable and immovable property, [thermal and electrical energy, heating, gas, refrigeration, air conditioning and water]⁴⁵⁷ but does not include money;

⁴⁵⁵ Inserted by VAT (Am) Act, 2015

⁴⁵⁶ Inserted by The Law Revision (Miscellaneous Amendments) Act, 2023

⁴⁵⁷ Substituted by VAT (Am) Act, 2011

"hire purchase agreement" means an agreement that is a hire purchase agreement in terms of hire purchase law in Uganda;

"import" means to bring, or to cause to be brought, into Uganda from a foreign country or place;

"importer", in relation to an import of goods, includes the person who owns the goods, or any other person for the time being possessed of or beneficially interested in the goods and, in relation to goods imported by means of a pipeline, includes the person who owns the pipeline;

"input tax" means the tax paid or payable in respect of a taxable supply to or an import of goods or services by a taxable person;

"Islamic financial business" means financial business which conforms to Shari'ah principles and includes - ⁴⁵⁸

- (a) the business of receiving property into profit sharing investment accounts or of managing such accounts;
- (b) any other business of a person which involves or is intended to involve the entry into one or more contracts under Shari'ah principles or otherwise carried out or purported to be carried out in accordance with Shari'ah principles including-
 - (i) equity or partnership financing;
 - (ii) lease-based financing;
 - (iii) sale-based financing
 - (iv) currency exchange contracts; or
 - (v) fee-based activity;
- (c) the purchase of bills of exchange, certificates of Islamic deposit or other negotiable instruments;
- (d) the acceptance or guarantee of any liability, obligation or duty of any person; and
- (e) the business of providing finance by any means, including through the acquisition, disposal or leasing of assets or through the provision of services which have similar economic effect and are economically equivalent to any other financial business;⁴⁵⁹

"licensee" means a person granted a mining right or a person with whom the Government has entered into a petroleum agreement;⁴⁶⁰

⁴⁵⁸ Inserted by VAT (Am No.2) Act, 2023

⁴⁵⁹ Subsection (e) numbering erroneously omitted by ULRC in the Revised laws of Uganda, 2024

⁴⁶⁰ (1a) -(1d) Inserted by VAT (Am) Act, 2015

"mining operations" includes every method or process by which any mineral is won from the soil or from any substance or constituent of the soil and includes *mineral exploration and development operations undertaken pursuant to a mining lease or mineral agreement entered into under the Mining and Minerals Act* [mining exploration operations]⁴⁶¹

"Minister" means the Minister responsible for finance;

"money" includes -

- (a) coins or paper currency that the Bank of Uganda has issued as legal tender;
- (b) coins or paper currency of a foreign country which is used or circulated as currency;
- (c) a bill of exchange, promissory note, bank draft, postal order, or money order, other than a coin or paper currency that is a collector's piece, investment article or an item of numismatic interest;

"output tax" means the tax chargeable under Section 4 in respect of a taxable supply;

"person" includes an *individual*,⁴⁶² a partnership, a company, a trust, the Government, and any public or local authority;

"petroleum agreement" means an agreement entered into by the Government of Uganda with another person in accordance with the Petroleum (Exploration, Development and Production) Act, or the Petroleum (Refinery, Conversion, Transmission and Midstream Storage) Act;

"petroleum operation" means an authorised operation under a petroleum agreement for petroleum exploration, development, production and export including, planning, installation, transportation of petroleum, storage or decommissioning, and for the construction of a pipeline or petroleum refinery;

"public international organization" means an organization listed in Schedule 2 to this Act;

"reduced consideration" has the meaning in Section 18(8);

"relative", in relation to an individual, includes an ancestor of the individual, a descendant of the individual's grandparents, or the spouse of the individual;

⁴⁶¹ Substituted VAT (Am) Act, 2018

⁴⁶² Inserted by VAT (Am) Act, 2006

"services" means anything that is not goods or money;

"takaful" means insurance business conducted in accordance with Shari' ah principles;⁴⁶³

"tax" means the value added tax chargeable under this Act;

"tax fraction" means the fraction calculated in accordance with the formula;

$$\frac{r}{R+100}$$

in which formula "**r**" is the rate of tax applicable to the taxable supply;

"tax period" means a calendar month;

"taxable person" has the meaning in Section 6;

"taxable supply" has the meaning in Section 18;

"taxable transaction" means a taxable supply or an import of goods or services that is subject to tax under this Act;

"taxable value", in relation to a taxable supply or an import of goods or services is determined under Part VI of this Act;

"trust" means any relationship where property is under the control or management of a trustee;

"trustee" includes -

- (a) an executor, administrator, tutor or curator;
- (b) a liquidator or judicial manager;
- (c) a person having or taking on the administration or control of property subject to another person having a beneficial interest in the property;
- (d) a person acting in a fiduciary capacity;
- (e) a person having possession, control or management of the property of a person under a legal disability.

2. Interpretation of fair market value

- (1) For the purposes of this Act, the fair market value of a taxable supply at any date is the consideration in money which a similar supply would generally fetch if supplied in similar circumstances at that date in

⁴⁶³ Inserted by VAT (Am No.2) Act, 2023

Uganda, being a supply freely offered and made between persons who are not associates.

- (2) Where the fair market value of a taxable supply cannot be determined under subsection (1), the fair market value of the supply shall be the amount that, in the opinion of the Commissioner General having regard to all the circumstances of the supply, is the fair market value of the supply.
- (3) In this Section, "similar supply", in relation to a taxable supply, means a supply that is identical to, or closely or substantially resembles, the taxable supply, having regard to the characteristics, quality, quantity supplied, functional components, reputation of, and materials comprising the goods and services which are the subject of the taxable supply.

3. Interpretation of associate

- (1) For the purposes of this Act, "associate", in relation to a person, means any other person who acts or is likely to act in accordance with the directions, requests, suggestions or wishes of the person whether or not they are communicated to that person.
- (2) Without limiting the generality of subsection (1), the following are treated as an associate of a person –
 - (a) a relative;
 - (b) a partner, an associate of a partner under another application of this Section or a partnership in which the person is a partner;
 - (c) the trustee of a trust under which the person, or an associate under another application of this Section, benefits or is capable of benefiting;
 - (d) a company in which the person either alone, or together with an associate or associates under another application of this Section, controls directly or indirectly fifty per cent or more of the voting power in the company, or which is accustomed or may reasonably be expected to act in accordance with the directions or wishes of the person or an associate of the person;
 - (e) where the person is a partnership, a partner in the partnership, an associate of the partner under another application of this Section, or another partnership in which the person or an associate is a partner;
 - (f) where the person is the trustee of a trust, any other person or an associate of such other person under another application of this Section who benefits or is capable of benefiting under the trust; or

- (g) where the person is a company, a person who either alone or together with an associate or associates under another application of this Section controls directly or indirectly fifty per cent or more of the voting power of the company, or in accordance with whose directions or wishes the company is accustomed or may reasonably be expected to act.

PART II –CHARGE OF TAX

4. Charge of tax

A tax, to be known as a value added tax, shall be charged in accordance with this Act on -

- (a) every taxable supply [in Uganda]⁴⁶⁴ made by a taxable person;
- (b) every import of goods other than an exempt import; and
- (c) the supply of [any imported services by any person] *imported services, other than an exempt service, by any person.*⁴⁶⁵

5. Person liable to pay tax

- (1) Except as otherwise provided in this Act, the tax payable –
 - (a) in the case of a taxable supply, is to be paid by the taxable person making the supply;
 - (b) in the case of a supply of goods through auction, is to be paid by the recipient of the proceeds of the auction;⁴⁶⁶
 - (c) in the case of an import of goods, is to be paid by the importer;
 - (d) in *the* case of [an import of services] *a supply of imported services, other than an exempt service*, is to be paid by the [recipient of the imported services] person receiving the supply.⁴⁶⁷
- (2) The Minister shall, by notice in the Gazette, designate a person who shall withhold tax on payment of taxable supplies [supply].⁴⁶⁸ [and the persons designated shall remit to the Uganda Revenue Authority one hundred percent of the tax payable] ⁴⁶⁹
- (3) A person designated under subsection (2), shall remit to the Uganda Revenue Authority, six percent of the taxable value referred to in sections 21 and 23 of this Act.⁴⁷⁰
- (4) Subsection (3) does not apply to a taxable person who the

⁴⁶⁴ Substituted by VAT (Am) Act, 2011

⁴⁶⁵ Substituted by VAT (Am) Act, 2011

⁴⁶⁶ Inserted by VAT (Am) Act, 2024

⁴⁶⁷ Substituted by VAT (Am) Act, 2011

⁴⁶⁸ Inserted by VAT (Am) Act, 2018

⁴⁶⁹ Substituted by VAT (Am) Act, 2019

⁴⁷⁰ Subsections (3)-(5) inserted by VAT (Am) Act, 2019

Commissioner General is satisfied has regularly complied with the obligations imposed on a taxable person under this Act.

- (5) The six percent of the taxable value withheld by a person designated under subsection (2) shall be recognized as a payment in the subsequent value added tax return of the taxpayer from whom the tax is withheld.
- (6) A person designated under subsection (2) shall withhold tax where a person is registered or where a person who is not registered but who is required to be registered, makes a supply for an amount equivalent to one quarter of the annual registration threshold under section 7(2).⁴⁷¹

PART III- TAXABLE PERSONS

6. Taxable Person

- (1) A person registered under Section 7 is a taxable person from the time the registration takes effect.
- (2) A person who is not registered, but who is required to be registered or to pay tax under this Act, is a taxable person from the beginning of the tax period immediately following the period in which the duty to apply for registration or to pay tax arose.⁴⁷²

7. Persons required or permitted to register

- (1) A person who is not already a registered person shall apply to be registered in accordance with Section 8 –
 - (a) within twenty days of the end of any period of three calendar months if during that period the person made taxable supplies, the value of which exclusive of any tax exceeded one- quarter of the annual registration threshold set out in subsection (2);
 - (b) at the beginning of any period of three calendar months where there are reasonable grounds to expect that the total value exclusive of any tax of taxable supplies to be made by the person during that period will exceed one-quarter of the annual registration threshold set out in subsection (2); or
 - (c) at the beginning of any tax period of more than three calendar months where there are reasonable grounds to expect that the total value exclusive of any tax of taxable supplies to be made by the person will exceed the annual threshold set out in subsection (2).⁴⁷³

⁴⁷¹ Inserted by VAT (Am) Act, 2018

⁴⁷² Substituted by VAT (Am) Act 1, 2008

⁴⁷³ Inserted by VAT (Am) Act, 2014

- (2) The annual registration threshold is *one hundred fifty million shillings* [fifty million shillings].⁴⁷⁴
- (3) In determining whether the registration threshold is exceeded for the period specified in subsection (1), it is to be assumed that the person is a taxable person during that period.
- (4) A person supplying goods or services for consideration as part of his or her business activities, but who is not required by subsection (1) or (5) to apply for registration, may apply to the Commissioner General to be registered in accordance with Section 8.
- (5) Notwithstanding subsection (4), the following persons may apply to the Commissioner General to be registered in accordance with section 8 –
- a. a licensee undertaking mining or petroleum operations;⁴⁷⁵
 - b. a person undertaking the construction of a petroleum refinery or petroleum pipeline; and
 - c. a person engaged in commercial farming; and
 - d. a person undertaking midstream operations as defined by the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act.⁴⁷⁶
- (6) Notwithstanding subsection (1), a person being a national, regional, local or public authority or body which carries on business activities shall apply for registration at the date of commencement of those activities.
- (6) An engineer, lawyer, economist, architect, publisher, auctioneer, estate agent, valuer, accountant, auditor, clearing and forwarding agent or other professional supplying goods or services for consideration as part of his or her business, but who is not required by subsection (1) or (2) to apply for registration, shall apply to be registered in accordance with Section 8, without regard to the eligibility requirement under subsection (2).⁴⁷⁷
- (7) The registration under subsection 1(c) shall be valid only for the purposes of accessing terms and conditions of payment of tax on plant and machinery as provided in section 32(7).⁴⁷⁸

8. Registration

- (1) An application for registration under Section 7 shall be in the form

⁴⁷⁴ Substituted by VAT (Am) Act, 2015

⁴⁷⁵ Inserted by VAT (Am) Act, 2015

⁴⁷⁶ Inserted by VAT (Am) Act, 2016

⁴⁷⁷ Inserted by VAT (Am) Act 2022 and repealed by VAT (Am) Act 1, 2008

⁴⁷⁸ Inserted by VAT (Am) Act, 2014

prescribed by the Commissioner General, and the applicant shall provide the Commissioner General with such information as the Commissioner General may require.

- (2) The Commissioner General shall register a person who applies for registration under Section 7 and issue to that person a certificate of registration including the value added tax registration number unless the Commissioner General is satisfied that that person is not eligible for registration under this Act or, in the case of an application under section 7(4) –
- (a) the person has no fixed place of abode or business; or
 - (b) the Commissioner General has reasonable grounds to believe that that person –
 - (i) will not keep proper accounting records relating to any business activity carried on by that person;
 - (ii) will not submit regular and reliable tax returns as required by Section 31; or
 - (iii) is not a fit and proper person to be registered.
- (3) Registration under this Section takes effect –
- (a) in the case of an application under Section 7(1), (5) or (6) ⁴⁷⁹ from the beginning of the tax period immediately following the period in which the duty to apply for registration arose; or
 - (b) in the case of an application under Section 7(4), from the beginning of the tax period immediately following the period in which the person applied for registration.
- (4) A certificate of registration shall state the name and other relevant details of the taxable person, the date on which the registration takes effect, and the taxpayer identification number.
- (5) The Commissioner General shall establish and maintain a register containing the relevant details of all taxable persons.
- (6) The Commissioner General may register a person if there are reasonable grounds for believing that the person is required to apply for registration under Section 7 but has failed to do so, and that registration shall take effect from the date specified in the certificate of registration.
- (7) The Commissioner General shall serve a notice in writing on a person of the decision to refuse to register the person under subsection (2)

⁴⁷⁹ Substituted by VAT (Am) Act, 2002

within one month of receiving the application.

- (8) The Commissioner General shall serve a notice in writing on a person of a decision to register the person under subsection (6) within one month of making the decision.
- (9) A person dissatisfied with a decision made under subsection (8) may only challenge the decision under the Tax Procedures Code Act on the basis that the decision is an assessment.
- (10) A taxable person shall notify the Commissioner General in writing of any change –
 - (a) in the name or address of that person;
 - (b) in circumstances where the person no longer satisfies the grounds for registration; or
 - (c) of a material nature in business activities or in the nature of taxable supplies being made,

and the notification shall be made within fourteen days after the change has occurred.

9. Cancellation of registration

- (1) A taxable person shall apply in writing for the cancellation of the registration if that person has ceased to make supplies of goods or services for consideration as part of the business activities of the person.
- (2) Subject to subsection (3), a taxable person may apply in writing to have his or her registration cancelled if, with respect to the most recent period of three calendar months, the value of his or her taxable supplies exclusive of tax does not exceed one-quarter of the annual registration threshold specified under Section 7(2) and if the value of his or her taxable supplies exclusive of tax for the previous twelve calendar months does not exceed seventy- five per cent of the annual registration threshold.
- (3) In the case of a taxable person who applied for registration under Section 7(4), an application under subsection (2) may only be made after the expiration of two years from the date of registration.
- (4) The Commissioner General may cancel the registration of -
 - (a) a person who has applied for cancellation under subsection (1) or (2); or
 - (b) a person who has not applied for cancellation of registration but in respect of whom the Commissioner General is satisfied that he or

she is neither required nor entitled under Section 7 to apply for registration.

- (5) The Commissioner General may cancel the registration of a person who is not required to apply for registration under Section 7 where the person—
- (a) has no fixed place of abode or business;
 - (b) has not kept proper accounting records relating to any business activity carried on by him or her;
 - (c) has not submitted regular and reliable tax returns as is required by Section 31; or
 - (d) is not, in the opinion of the Commissioner General, a fit and proper person to be registered.
- (6) The Commissioner General shall serve a notice in writing on a taxable person of a decision to cancel or refuse to cancel the registration under this Section within fourteen days of making the decision.
- (7) The cancellation of registration shall take effect from the end of the tax period in which the registration is cancelled.
- (8) Where the registration of a person is cancelled, the Commissioner General shall remove the name of that person and the details described in Section 8 from the register.
- (9) A taxable person whose registration has been cancelled under this Section shall be regarded as having made a taxable supply of all goods on hand, including capital goods, and shall be liable for output tax, at the time the registration is cancelled, on all goods in respect of which he or she received input tax credit, the output tax payable being based on the fair market value of the goods at the time the registration of the person was cancelled.
- (10) The obligations and liabilities of a person under this Act, including the lodging of returns required under Section 31, in respect of anything done or omitted to be done by that person while a taxable person shall not be affected by the cancellation of the person's registration.

PART IV - SUPPLIES OF GOODS AND SERVICES

10. Supply of goods

- (1) Except as otherwise provided under this Act, a supply of goods means any arrangement under which the owner of the goods parts or will part

with possession of the goods, including *a lease or*⁴⁸⁰ an agreement of sale or purchase.

- (2) The application of goods to own use is a supply of the goods.
(2) A supply of electrical or thermal energy, heating, gas, refrigeration, air conditioning or water is a supply of goods.⁴⁸¹
- (3) The supply of goods *through auction by an auctioneer in the course of auctioning goods is treated as a supply of goods by the recipient of the proceeds of the auction* [by auction is treated as a supply of goods made by the auctioneer as the supplier in the course of auctioning goods].⁴⁸²
- (4) For avoidance of doubt, the treatment of the supply of goods by the auctioneer under subsection (3) is separate from the treatment of the supply of the auction services by the auctioneer.⁴⁸³

11. Supply of services

- (1) Except as otherwise provided under this Act, a supply of services means any supply which is not a supply of goods or money, including -
- (a) the performance of services for another person;
 - (b) the making available of any facility or advantage;
 - (c) the toleration of any situation or the refraining from the doing of any activity; or
 - (d) the provision of thermal and electrical energy, heating, gas, refrigeration, air conditioning and water.⁴⁸⁴
- (2) A supply of services made by an employee to an employer by reason of employment is not a supply made by the employee.

12. Mixed supplies

- (1) A supply of services incidental to the supply of goods is part of the supply of goods.
- (2) A supply of goods incidental to the supply of services is part of the supply of services.
- (3) A supply of services incidental to the import of goods is part of the import of goods.

⁴⁸⁰ Inserted by VAT (Am) Act, 2009

⁴⁸¹ Repealed by VAT (Am) Act, 2011

⁴⁸² Inserted by VAT (Am) Act, 2023 and Substituted by VAT (Am) Act, 2024

⁴⁸³ Inserted by VAT (Am) Act, 2023

⁴⁸⁴ Inserted by VAT (Am) Act, 2011

- (4) Regulations made under Section 51 may provide that a supply is a supply of goods or services.

13. Supply by agent

- (1) A supply of goods or services made by a person as agent for another person being the principal is a supply by the principal.
- (2) Subsection (1) does not apply to an agent's supply of services as agent to the principal.

14. Time of supply

- (1) Except as otherwise provided under this Act, a supply of goods or services occurs: -
- (a) where the goods are applied to own use, on the date on which the goods or services are first applied to own use;
 - (b) where the goods or services are supplied by way of gift, on the date on which ownership in the goods passes or the performance of the service is completed; or
 - (c) in any other case, on the earliest of the date on which -
 - (i) the goods are delivered or made available, or the performance of the service is completed;
 - (ii) payment for the goods or services is made; or
 - (iii) a tax invoice is issued.
- (2) Where —
- (a) goods are supplied under a rental agreement;
 - (b) goods or services are supplied under an agreement or law which provides for periodic payments; or
 - (c) *goods are supplied to a person offering Islamic financial business for purposes of sale-based financing*,⁴⁸⁵

the goods or services are treated as successively supplied for successive parts of the period of the agreement or as determined by the law, and each successive supply occurs on the earlier of the date on which payment is due or received.

- (3) For the purposes of this Section, where two or more payments are made or are to be made for a supply of goods or services other than a supply to which subsection (2) applies, each payment shall be

⁴⁸⁵ Inserted by VAT (Am No.2) Act, 2023

regarded as made for a separate supply to the extent of the amount of the payment on the earlier of the date the payment is due or received.

- (4) A person making a supply to which subsection (1)(a) or (b) applies shall keep a record of the date on which the supply occurred as determined under this Section.
- (5) In this Section, “rental agreement” means any agreement for the letting of goods, including a hire-purchase agreement or finance lease or *lease-based financing*.⁴⁸⁶

15. Place of Supply of Goods

A supply of goods shall take place in Uganda if the goods are delivered or made available in Uganda by the supplier, or if the delivery or making available involves transportation, the goods are in Uganda when the transportation commences.

(1) Except as otherwise provided under this Act, a supply of goods takes place where the goods are delivered or made available by the supplier.

(2) A supply of thermal or electrical energy, heating, gas, refrigeration, air conditioning, or water, takes place where the supply is received.

16. Place of Supply of Services

(1) A supply of services shall take place in Uganda if the business of the supplier from which the services are supplied is in Uganda.

(2) Notwithstanding subsection (1), a supply of services by a person who carries on business outside Uganda and who does not have a place of business in Uganda shall take place in Uganda, if the recipient of the supply is not a taxable person or where the person who makes a supply with a total annual value in excess of the amount specified in section 7(2) or where it is a government entity that is not registered under section 7(6) of this Act, and - ⁴⁸⁷

[Notwithstanding subsection (1), a supply of services shall take place in Uganda if the recipient of the supply is not a taxable person and]

- (a) the services are physically performed in Uganda by a person who is in Uganda at the time of the supply;
- (b) the services are in connection with immovable property in Uganda;
- (c) the services are radio or television broadcasting services received at an address in Uganda;
- (d) the services are electronic services delivered to a person in Uganda

⁴⁸⁶ Inserted by VAT (Am No.2) Act, 2023

⁴⁸⁷ Substituted by VAT (Am) Act, 2023

- at the time of the supply;
- (e) the supply is a transfer, assignment, or grant of a right to use a copyright, patent, trademark or similar right in Uganda; or
 - (f) the services are *the supply of* ⁴⁸⁸ telecommunication services initiated by –
 - (i) a supplier of telecommunications services; or
 - (ii) a person who is roaming while temporarily in Uganda.
- (3) For the purposes of subsection (2)(f), the person who initiates a supply of telecommunications services shall be the person who first does any of the following –
- (a) the person who –
 - (i) controls the commencement of the supply;
 - (ii) pays for the services;
 - (iii) contracts for the supply; or
 - (b) the person to whom the invoice for the supply is sent.
- (4) Where the supplier of a telecommunications service cannot identify any of the persons referred to in subsection (3) because it is impractical to determine the physical location of a person due to the type of service or to the class of customer to which the person belongs, the supplier shall, in respect of all supplies of telecommunications services made for that type of service or that class of customer, treat the supply as being made where the physical residence or business address for the person receiving invoices from the supplier is located.
- (5) Electronic services shall be delivered to a person in Uganda at the time of supply as referred to in subsection (2)(d);⁴⁸⁹
- (6) In this section –
- (a) “electronic services” means services supplied through an online or digital network by a supplier from a place of business outside Uganda to a recipient in Uganda including;⁴⁹⁰ [includes [means any of] the following, when provided or delivered remotely – [on or through a telecommunications network] ⁴⁹¹
 - (i) websites, web-hosting or remote maintenance of programs and equipment;
 - (ii) software and the updating of software;

⁴⁸⁸ Substituted by VAT (Am) Act, 2023

⁴⁸⁹ Inserted by VAT (Am) Act, 2023

⁴⁹⁰ Substituted by VAT (Am) Act, 2023

⁴⁹¹ Substituted by VAT (Am) Act, 2018

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Value Added Tax Act		

(iii) images,

text and information;

(iv) access to databases;

[(v) self-education packages;]⁴⁹²

(v) music, films and games; including games of chance; [or]

(vi) political, cultural, artistic, sporting, scientific and other broadcasts and events; including television;

(vii) *advertising platforms*;⁴⁹³

(viii) *streaming platforms and subscription-based services*;

(ix) *Cab-hailing services*;

(x) *Cloud storage*; and

(xi) *Data warehousing*.

(b) “telecommunications services” means the transmission, emission, or reception of signals, writing, images, sounds, or information of any kind by wire, radio, optical, or other electromagnetic systems and includes –

(i) the related transfer or assignment of the right to use capacity for such transmission, emission, or reception; and

(ii) the provision of access to global or local information networks, but does not include the supply of the underlying writing, images, sounds, or information.

[16. Place of supply of services

(1) Except as otherwise provided under this Act, a supply of services takes place where the services are rendered.

(2) A supply of services in connection with immovable property takes place where the immovable property is located.

(3) A supply of services of, or incidental to, transport takes place where the transport commences.

(4) A supply of services to which clause 1(a) of the Third Schedule applies shall be regarded as having been made in Uganda.

⁴⁹² Deleted by VAT (Am) Act, 2023

⁴⁹³ Subsection (a)(vii) – (xi) added by VAT (Am) Act, 2023

(5) Where a person is required to pay a fee for receiving a signal or service for a supply of television, radio, telephone or other communication services, the supply takes place where that person receives the signal or service, or where a supply involves an agent or any other person of whatever description, the supply takes place at that person's place of business. ⁴⁹⁴] ⁴⁹⁵

17. Imports

An import of goods takes place –

- (a) where customs duty is payable, on the date on which the duty is payable; or
- (b) in any other case, on the date the goods are brought into Uganda.

PART V - TAXABLE SUPPLIES

18. Taxable supply

- (1) A taxable supply is a supply of goods or services, other than an exempt supply, made in *Uganda* ⁴⁹⁶ by a taxable person for consideration as part of his or her business activities.
- (2) A supply is made as part of a person's business activities if the supply is made by the person as part of, or incidental to, any independent economic activity the person conducts, whatever the purposes or results of that activity.
- (3) The business activities of an individual do not include activities carried on by him or her only as part of his or her hobby or leisure activities.
- (4) A supply is made for consideration if the supplier directly or indirectly receives payment for the supply, whether from the person supplied or any other person, including any payment wholly or partly in money or kind.
- (5) The application to own use by a taxable person of goods *and services* supplied to *a person* for the purposes of *the person's* business activities shall be regarded as a supply of those goods *and services* for consideration as part of *the person's business* activities.⁴⁹⁷
- (6) For the purposes of subsection (5), a supply of business goods *and services* for no consideration is an application to own use.⁴⁹⁸
- (7) Where goods *and services* have been supplied to a taxable person for

⁴⁹⁴ Substituted by Finance Act, 2001

⁴⁹⁵ Section 16 substituted by VAT (Am) Act, 2011

⁴⁹⁶ Inserted by VAT (Am) Act, 2011

⁴⁹⁷ Substituted by VAT (Am) Act, 2009

⁴⁹⁸ Inserted by Finance Act, 2001 and Substituted by VAT (Am) Act, 2009

the purposes of *the person's* business activities, the supply of those goods *and services* for reduced consideration shall be regarded as a supply for consideration unless the goods *and services* are supplied or used only as trade samples.⁴⁹⁹

- (8) A supply is made for reduced consideration if the supply is made between associates for no consideration or between associates for a consideration that is less than the fair market value of the supply.
- (9) Notwithstanding subsection (1), a supply of services by a foreign person for consideration as part of the person's business activities is treated as a taxable supply if the services are considered as taking place in Uganda under Section 16.
- (10) Subject to Section 19 and Schedule 3 to this Act, the sale or disposal of business asset *by a taxable person* is a taxable supply.⁵⁰⁰
- (11) The supply of goods or services by an employer who is a taxable person, to an employee for no consideration shall be regarded as the supply of goods or services for consideration as part of the employer's business activities.⁵⁰¹

19. Exempt supply

- (1) A supply of goods or services is an exempt supply if it is specified in Schedule 3 to this Act.
- (2) Where a supply is an exempt supply under paragraph 1(k) of Schedule 3 to this Act, both the transferor and transferee shall, within 21 days of the transfer, notify the Commissioner General in writing of the details of the transfer.

20. Exempt import

- (1) An import of goods is an exempt import if the goods –
 - (a) are exempt from customs duty under the Fifth Schedule of the **East African Community Customs Management Act**, *except compact fluorescent bulbs with a power connecting cap at the end , and lamps and bulbs made from light emitting Diodes (LED) technology for domestic and industrial use;*⁵⁰² or
 - (b) would be exempt had they been supplied in Uganda.
- (2) Import of a service is an exempt import if the service would be exempt had it been supplied in Uganda.

⁴⁹⁹ Substituted by VAT (Am) Act, 2009

⁵⁰⁰ Inserted by VAT (Am) Act, 2003 and Amended by VAT (Am) Act, 2006

⁵⁰¹ Inserted by VAT (Am) Act, 2024

⁵⁰² Substituted by VAT (Am) Act, 2005, VAT (Am) Act, 2015 & VAT (Am) Act, 2016

[20A. Exempt Import Service

An import of a service is an exempt import if the service would be exempt had it been supplied in Uganda.]

PART VI -TAXABLE VALUE**21. Taxable value of taxable supply**

- (1) Except as otherwise provided under this Act, the taxable value of a taxable supply is the total consideration paid in money or in kind by all persons for that supply.
- (2) The taxable value of –
 - (a) a taxable supply of goods by way of an application to own use;
 - (b) a taxable supply for reduced consideration; or
 - (c) a taxable supply described in Section 9(9),

is the fair market value of the goods and services at the time the supply is made.

- (3) Where a taxable supply is made without a separate amount of the consideration being identified as a payment of tax, the taxable value of that supply is the total amount of the consideration paid excluding tax.
- (4) The taxable value of a taxable supply of goods under a rental agreement, as defined in Section 14(2)(a), is the amount of the rental payments due or received.
- (5) The taxable value of a taxable supply of goods or services where the Government has provided a subsidy is the consideration paid in money or in kind by all persons for that supply less the subsidy.⁵⁰³

22. Adjustments

- (1) This Section applies where, in relation to a taxable supply by a taxable person –
 - (a) the supply is cancelled;
 - (b) the nature of the supply has been fundamentally varied or altered;
 - (c) the previously agreed consideration for the supply has been altered by agreement with the recipient of the supply, whether due to an offer of a discount or for any other reason; or
 - (d) the goods or services or part of the goods or services have been

⁵⁰³ Inserted by VAT (Am) Act 1, 2008

returned to the supplier,

and the taxable person making the supply has –

- (e) provided a tax invoice in relation to the supply and the amount shown in the invoice as the tax charged on the supply is incorrect as a result of the occurrence of any one or more of the above-mentioned events; or
 - (f) filed a return for the tax period in which the supply occurred and has accounted for an incorrect amount of output tax on that supply as a result of the occurrence of any one or more of the above-mentioned events.
- (2) Where subsection (1) applies, the taxable person making the supply shall make an adjustment as specified in subsection (3) or (4).
- (3) Where the output tax properly chargeable in respect of the supply exceeds the output tax actually accounted for by the taxable person making the supply, the amount of the excess shall be regarded as tax charged by the person in relation to a taxable supply made in the tax period in which the event referred to in subsection (1) occurred.
- (4) Subject to subsection (6), where the output tax actually accounted for exceeds the output tax properly chargeable in relation to that supply, the taxable person making the supply shall be allowed a credit for the amount of the excess in the tax period in which the event referred to in subsection (1) occurred.
- (5) The credit allowed under subsection (4) shall, for the purposes of this Act, be treated as a reduction of output tax.
- (6) No credit is allowed under subsection (4) where the supply has been made to a person who is not a taxable person, unless the amount of the excess tax has been repaid by the taxable person to the recipient, whether in cash or as a credit against any amount owing to the taxable person by the recipient.

23. Taxable value of import of goods

The taxable value of an import of goods is the sum of -

- (a) the value of the goods ascertained for the purposes of customs duty under the laws relating to customs;
- (b) the amount of customs duty, excise tax, and any other fiscal charge other than tax payable on those goods; and
- (c) the value of any services to which Section 12(3) applies which is not otherwise included in the customs value under paragraph (a).

PART VII – CALCULATION OF TAX PAYABLE**24. Calculation of tax payable on taxable transaction**

- (1) Subject to subsection (2), the tax payable on a taxable transaction is calculated by applying the rate of tax to the taxable value of the transaction.
- (2) Where the taxable value is determined under Section 21(2) or (3), the tax payable is calculated by the formula specified in paragraph 1 (a) of Schedule 5 to this Act.
- (3) Subject to subsection (4), the rate of tax shall be specified in Section 51(2).
- (4) The rate of tax imposed on taxable supplies specified in Schedule 4 to this Act is zero.
- (5) The tax payable on a taxable supply made by a contractor to a licensee to undertake mining or petroleum operations is deemed to have been paid by the licensee to the contractor provided the supply is for use by the licensee solely and exclusively for mining or petroleum operations.⁵⁰⁴
- (6) For the purposes of this section, the tax payable on a taxable supply made by a supplier to a contractor executing an aid-funded project is deemed to have been paid by the contractor provided the supply is for use by the contractor solely and exclusively for the aid funded project.⁵⁰⁵
- (7) For purposes of this section, the tax payable on a taxable supply made to a Ministry, Department or Agency of Government by a contractor executing an aid-funded project is deemed to have been paid by that Ministry, Department or Agency if the supply is for use solely and exclusively for the aid-funded project.⁵⁰⁶
- (8) Under subsection (7), "aid-funded project" means a project financed by a foreign government or a development agency through a loan, grant or donation.⁵⁰⁷
- (9) The tax payable on the following taxable supplies shall not be deemed to have been paid under subsections (5) and (6) ⁵⁰⁸ -
 - (a) a passenger automobile, and the repair and maintenance of that automobile; or

⁵⁰⁴ Inserted by VAT (Am) Act, 2015

⁵⁰⁵ Inserted by VAT (Am) Act, 2016

⁵⁰⁶ Inserted by VAT (Am) Act, 2017

⁵⁰⁷ Inserted by VAT (Am) Act 2017

⁵⁰⁸ Inserted by VAT(Am) Act, 2018

(b) entertainment.

(10) In this section - ⁵⁰⁹

"passenger automobile" means a motor vehicle designed solely for the transport of persons with a seating capacity of not more than eight persons;

"entertainment" means the provision of food, beverages, tobacco, accommodation, amusement, recreation, or hospitality of any kind.

25. Calculation of tax payable by taxable person for tax period

- (1) Subject to Section 26, the tax payable by a taxable person for a tax period is calculated according to the formula specified in paragraph 1(b) of Schedule 5 to this Act.⁵¹⁰
- (2) *For a contractor [or supplier]*, component X of the formula in paragraph 1 (b) of Schedule 5 to this Act, for a tax period does not include the amount of tax that the licensee *[or supplier]* is deemed to have paid to the contractor *[or supplier]* under section 24(5) *[or (6)]* for the period.⁵¹¹
- (3) For a supplier, component X of the formula in paragraph 1 (b) of Schedule 5 to this Act, for a tax period does not include the amount of tax that the contractor is deemed to have paid to the supplier under section 24(6) for the period.⁵¹²
- (4) For a licensee, component Y of the formula in paragraph I (b) of Schedule 5 to this Act for a tax period does not include the amount of tax that the licensee is deemed to have paid to the contractor under section 24(5) for the period.⁵¹³
- (5) For a contractor of a Ministry, Department or Agency of Government, component X of the formula in paragraph 1 (b) of Schedule 5 to this Act, for a tax period does not include the amount of tax that Ministry, Department or Agency of Government is deemed to have paid to the contractor under section 24(7) for the period.⁵¹⁴

26. Cash Basis accounting

(1) This Section applies to -

- (a) a taxable person, the annual value of whose taxable supplies does not exceed *five hundred million shillings* *[two hundred million shillings]*;⁵¹⁵

⁵⁰⁹ Subsection (10) inserted by VAT(Am) Act, 2018

⁵¹⁰ Amended by VAT (Am) Act, 2015

⁵¹¹ Inserted by VAT (Am) Act, 2015; Substituted by (Am) Act, 2016 & (Am) Act, 2017

⁵¹² Inserted by VAT (Am) Act, 2017

⁵¹³ Inserted by VAT (Am) Act, 2015

⁵¹⁴ Inserted by VAT (Am) Act, 2017

⁵¹⁵ Substituted by VAT (Am) Act, 2015

or

(b) *a supplier who supplies goods or services to Government.*⁵¹⁶

- (2) A taxable person to whom this Section applies may elect to account for tax purposes on a cash basis.
- (3) An election under subsection (2) shall be made in writing to the Commissioner General by the due date for the first return in which the taxable person seeks to use the method of accounting specified in subsection (2).
- (4) Where a taxable person makes an election under subsection (2), that person must account for both the output tax payable and the input tax credited on a cash basis.
- (5) A taxable person who has made an election under subsection (2) shall determine the tax payable for a tax period according to the formula specified in paragraph 1 (c) of Schedule 5 to this Act.
- (6) An election made under subsection (2) remains in force until –
 - (a) withdrawn by the taxable person by notice in writing to the Commissioner General; or
 - (b) the Commissioner General, by notice in writing to the taxable person, requires the person to determine the tax payable for a tax period in accordance with Section 25.
- (7) A taxable person who has made an election under subsection (2) may not withdraw the election within two years after making the election unless the person is no longer a person to whom this Section applies.

27. Consequences of change in accounting basis

- (1) Every taxable person whose accounting basis is changed is liable for tax, if any, as determined under this Section in the tax period in which the change occurred.
- (2) Where a taxable person changes from the method of accounting provided under Section 25 (referred to as the "invoice basis") to the method of accounting provided under Section 26 (referred to as the "cash basis"), the tax payable under subsection (1) is determined in accordance with the formula specified in paragraph 1 (d) of Schedule 5 to this Act.
- (3) Where a taxable person changes from a cash basis to an invoice basis of accounting, the tax payable under subsection (1) is determined in accordance with the formula specified in paragraph 1 (e) of Schedule 5

⁵¹⁶ Inserted by VAT (Am) Act, 2022

to this Act.

- (4) If the amount determined in accordance with subsection (2) or (3) is negative, it shall be refunded to the taxable person in accordance with Section 34(1).

28. Credit for input tax

- (1) Where Section 25 applies for the purposes of calculating the tax payable by the taxable person for the *taxable* [tax] ⁵¹⁷ period, a credit is allowed to the taxable person for the tax payable in respect of -
- (a) all taxable supplies made to that person during the tax period; [or]
 - (b) all imports of goods [and services] made by that person *or imports of services made by the contractor or licensee or a person providing business processes outsourcing services* during the tax period, ⁵¹⁸
 - (c) *a taxable supply to the person offering Islamic financial business for purposes of sale-based financing to the taxable person; or* ⁵¹⁹
 - (d) *import of goods by the person offering Islamic financial business for purposes of a sale-based financing to the taxable person,* if the supply or import is for use in the business of the taxable person.
- (2) Where Section 26 applies for the purposes of calculating the tax payable by a taxable person for a tax period, a credit is allowed to the taxable person for any tax paid in respect of taxable supplies to, or imports by, the taxable person where the supply or import is for use in the business of the taxable person.
- (3) A credit is allowed to a taxable person on becoming registered for input tax paid or payable in respect of -
- (a) all taxable supplies of goods, including capital assets, made to the person prior to the person becoming registered; or
 - (b) all imports of goods, including capital assets, made by the person prior to becoming registered, where the supply or import was for use in the business of the taxable person, provided the goods are on hand at the date of registration and provided that the supply or import occurred not more than six months prior to the date of registration, *or in the case of manufacturers, not more than twelve months before the date of registration* .⁵²⁰

⁵¹⁷ Substituted by VAT (Am No.2) Act, 2023

⁵¹⁸ Repealed by VAT (Am) Act, 2012 & Inserted by VAT (Am) Act, 2015 & (Am) Act, 2016

⁵¹⁹ Subsections (c) and (d) inserted by VAT (Am No.2) Act, 2023

⁵²⁰ Inserted by VAT (Am) Act, 2020

[or, in the case of capital goods, not more than six months before the date of registration.] ⁵²¹

(4) An input tax credit -

- (a) under subsection (1) arises on the date the goods or services are supplied to, or imported by, the taxable person;
- (b) under subsection (2) arises on the date the tax is paid; or
- (c) under subsection (3) arises on the date of registration.

(5) A taxable person who is allowed a tax credit on purchase of goods and services from a supplier who is designated to use the e-invoicing system, shall only claim a tax credit on expenses supported by e-invoices or e-receipts.⁵²²

(6) A taxable person under this Section shall not qualify for input tax credit in respect of a taxable supply or import of -

- (a) a passenger automobile, and the repair and maintenance of that automobile, including spare parts, unless the automobile is acquired by the taxable person exclusively for the purpose of making a taxable supply of that automobile in the ordinary course of a continuous and regular business of selling or dealing in or hiring of passenger automobiles;

(b) entertainment unless the taxable person -

- (i) is in the business of providing entertainment; or
- (ii) supplies meals or refreshments to his or her employees in premises operated by him or her, or on his or her behalf, solely for the benefit of his or her employees; or

(c) telephone services, to the extent of 10 per cent of the input tax on those services.

(d) payment for entertainment made by a taxable person for membership of a person in a club, association or society of a sporting, social or recreational nature; or ⁵²³

(e) goods or services incurred by a taxable person provided for under section 16(2) of this Act.⁵²⁴

(7) For the purposes of subsection (1), (2), or (3) "business use" or "use in the business" applies only to the related business, generating a taxable

⁵²¹ Substituted by Finance Act, 2001

⁵²² Inserted by VAT (Am) Act, 2020

⁵²³ Inserted by VAT (Am) Act, 2023

⁵²⁴ Inserted by VAT (Am) Act, 2023

supply.⁵²⁵

- (8) Subject to subsection (9), where a taxable supply to, or an import of goods by, a taxable person is partly for a business use as set out in subsection (1), (2), or (3) and partly for another use, the amount of the input tax allowed as a credit is that part of the input tax that relates to the business use.
- (9) Subject to subsections (10) and (11) [(9) and (10)]⁵²⁶, the input tax that may be credited by a taxable person for a tax period is -
- (a) where all of the supplies of the taxable person for that period are taxable supplies, the whole of the input tax specified in subsection (1) or (2); or
 - (b) where only part of the supplies of the taxable person for that period are taxable supplies, the amount calculated according to the formula specified in paragraph 1 (f) of Schedule 5 to this Act.
- (10) Where the fraction B/C in paragraph 1 (f) of Schedule 5 to this Act is less than 0.05, the taxable person may not credit any input tax for the period.
- (11) Where the fraction B/C in paragraph 1 (f) of Schedule 5 to this Act is more than 0.95, the taxable person may credit all input tax for the period.
- (12) Notwithstanding subsection (9)(b), the Commissioner General may approve a proposal by a taxable person for the apportionment of input tax credit where the taxable person makes both taxable and exempt supplies.
- (13) Subject to subsection (15), an input tax credit allowed under this Section may not be claimed by the taxable person until the tax period in which the taxable person has -
- (a) an original tax invoice for the taxable supply; or
 - (b) a bill of entry or other document prescribed under the *East African Community Customs Management Act* evidencing the amount of input tax.⁵²⁷
- (14) Where a taxable person does not have a tax invoice evidencing the input tax paid, the Commissioner General may allow an input tax credit in the tax period in which the credit arises where the Commissioner General is satisfied that -

⁵²⁵ Inserted by VAT (Am) Act, 2023

⁵²⁶ Substituted by the VAT (Am) Act, 2014

⁵²⁷ Substituted by VAT (Am) Act, 2014

- (a) the taxable person took all reasonable steps to acquire a tax invoice;
 - (b) the failure to acquire a tax invoice was not the fault of the taxable person; and
 - (c) the amount of input tax claimed by the taxable person is correct.
- (15) Where a taxable person has made a calculation under subsection (9) for any tax period of a calendar year, the person shall, in the first tax period of the following year, make a calculation based on the annual value of taxable and exempt supplies.
- (16) Where –
- (a) The calendar year credit exceeds the return credit, the excess shall be claimed as a credit in the first tax period of the following calendar year; or
 - (b) the return credit exceeds the calendar year credit, the excess shall be regarded as tax charged by the taxable person in relation to a taxable supply made in the first tax period of the following calendar year.
- (17) A taxable person under this section shall apply for input tax credit within six months from the date of the invoice.⁵²⁸
- (18) In this Section –
- "calendar year credit" means the total input tax payable, where Section 25 applies, or paid, where Section 26 applies for the calendar year;
- "entertainment" means the provision of food, beverages, tobacco, accommodation, amusement, recreation, or hospitality of any kind
- "passenger automobile" means a road vehicle designed solely for the transport of sitting persons;
- "return credit" means the total of the input tax claimed as a credit in each tax period of the calendar year; and
- "telephone services" does not include telephone call services supplied to a hotel, lodge or similar establishment where output tax has been accounted for by the establishment on the supply of that service to their customers.

29. Tax invoices

⁵²⁸ Inserted by VAT (Am) Act, 2021

- (1) A taxable person making a taxable supply to any person shall provide that other person, at the time of supply, with an original tax invoice for the supply.
- (2) A taxable person making a taxable supply shall retain one copy of the tax invoice referred to in subsection (1).
- (3) Where a supplied person loses the original tax invoice, the supplier may provide a duplicate copy clearly marked 'COPY'.
- (4) An original tax invoice shall not be provided in any circumstance other than that specified in subsection (1).
- (5) A person -
 - (a) who has not received a tax invoice as required by subsection (1); or
 - (b) to whom Section 28(3) applies,

may request a person, who has supplied goods or services to that person, to provide a tax invoice in respect of the supply.

- (6) A request for a tax invoice under subsection (5) shall be made -
 - (a) in the case of a request under subsection (5)(a), within thirty days after the date of the supply; and
 - (b) in the case of a request under subsection (5)(b), within thirty days after the date of registration.
- (7) A taxable person who receives a request under subsection (5) shall comply with the request within fourteen days after receiving that request.
- (8) A tax invoice is an invoice containing the particulars specified in paragraph 2 of Schedule 5 to this Act.

30. Credit and Debit Notes

- (1) Where a tax invoice has been issued in the circumstances specified in Section 22(1)(e) and the amount shown as tax charged in that tax invoice exceeds the tax properly chargeable in respect of the supply, the taxable person making the supply shall provide the recipient of the supply with a credit note containing the particulars specified in paragraph 3 of Schedule 5 to this Act.
- (2) Where a tax invoice has been issued in the circumstances specified in Section 22(1)(e) and the tax properly chargeable in respect of the supply exceeds the amount shown as tax charged in that tax invoice, the taxable person making the supply shall provide the recipient of the supply with a debit note containing the particulars specified in

paragraph 4 of Schedule 5 to this Act.

31. Returns⁵²⁹

- (1) A taxable person shall lodge a tax return with the Commissioner General for each tax period within fifteen days after the end of the tax period.
- (2) Notwithstanding subsection (1), a taxable person who supplies services in Uganda under section 16(2), shall lodge a tax return with the Commissioner General within fifteen days after the end of three consecutive calendar months.⁵³⁰
- (3) Notwithstanding subsection (1), a manager of takaful business shall furnish a tax return to the Commissioner General for each tax period, within fifteen days after the end of the tax period on behalf of the participants in each group in the takaful business.⁵³¹
- (4) A tax return shall be in the form prescribed by the Commissioner General and shall state the amount of tax payable for the period, the amount of input tax credit refund claimed, and such other matters as may be prescribed by the Commissioner General.
- (5) In addition to a return required under subsection (1), the Commissioner General may require any person, whether that person is a taxable person or not, to lodge with the Commissioner General, further or other returns in the prescribed form, on that person's own behalf or as agent or trustee of another person.

32. Due date for payment of tax⁵³²

- (1) The tax payable under this Act is due and payable -
 - (a) in the case of a taxable supply by a taxable person in respect of a tax period, on the date the return for the tax period must be lodged;
 - (b) in the case of an assessment issued under this Act, on the date specified in the notice of assessment; or
 - (c) in any other case, on the date the taxable transaction occurs, as determined under this Act.
- (2) The tax payable by a taxable person under subsection (1) shall be determined in accordance with this Part.
- (3) Upon a written application by a person liable for tax, the

⁵²⁹ Section 31 Repealed by TPC Act, 2014 and Re-enacted by VAT (Am) Act, 2018

⁵³⁰ Inserted by VAT (Am) Act, 2021

⁵³¹ Inserted by VAT (Am No.2) Act, 2023

⁵³² Section 32 Repealed by TPC Act, 2014 and Re-enacted by VAT (Am) Act, 2018

Commissioner General may, where good cause is shown, extend the time for payment of tax beyond the date on which it is due and payable, or make such other arrangements as appropriate to ensure the payment of the tax due.

- (4) Where the Commissioner General has reasonable grounds to believe that a person may leave Uganda permanently without paying all tax due under this Act, the Commissioner General may issue a certificate containing particulars of the tax to the Director of Immigration and the Commissioner General may request the Director of Immigration to prevent that person from leaving Uganda until that person makes-
- (a) payment in full; or
 - (b) an arrangement satisfactory to the Commissioner General for the payment of the tax.
- (5) A copy of a certificate issued under subsection (4) shall be served on the person named in the certificate if it is practicable in the circumstances to do so.
- (6) The production of a certificate signed by the Commissioner General stating that the tax has been paid or secured shall be sufficient proof of payment of tax specified in the certificate referred to in subsection (4) and shall be authority for allowing that person to leave Uganda.
- (7) Notwithstanding subsection (1), the Minister may, by Regulations, prescribe the terms and conditions of payment of tax on plant and machinery.

Collection and Recovery of Tax

33. Duties of Receivers

- (1) A receiver shall, in writing, notify the Commissioner General within fourteen days after being appointed to the position of receiver or taking possession of an asset in Uganda, whichever first occurs.
- (2) The Commissioner General may, in writing, notify a receiver of the amount which appears to the Commissioner General to be sufficient to provide for any tax which is or will become payable by the person whose assets are in the possession of the receiver.
- (3) A receiver shall not part with any asset in Uganda which is held by the receiver in his or her capacity as receiver without the prior written permission of the Commissioner General.
- (4) A receiver –
- (a) shall set aside, out of the proceeds of the sale of an asset, the

amount notified by the Commissioner General under subsection (2), or such lesser amount as is subsequently agreed on by the Commissioner General;

- (b) is liable to the extent of the amount set aside for the tax of the person who owned the asset; and
 - (c) may pay any debt that has priority over the tax referred to in this section notwithstanding any provision of this section.
- (5) A receiver is personally liable to the extent of any amount required to be set aside under subsection (4) for the tax referred to in subsection (2) if, and to the extent that, the receiver fails to comply with the requirements of this section.
- (6) In this Section, "receiver" includes a person who, with respect to an asset in Uganda, is –
- (a) a liquidator of a company;
 - (b) a receiver appointed out of court or by a court;
 - (c) a trustee for a bankrupt person;
 - (d) a mortgagee in possession;
 - (e) an executor of a deceased person; or
 - (f) any other person conducting the business of a person legally incapacitated.

Refund of overpaid tax

34. Refund of overpaid tax

- (1) If, for any tax period, the input tax credit of a taxable person exceeds the tax liability of that person for that period, the Commissioner General shall refund him or her the excess within one month of the due date for the return for the tax period to which the excess relates, or within one month of the date when the return was made if the return was not made by the due date.
- (2) Notwithstanding subsection (1), the Commissioner General –
- (a) shall, where the input tax credit of a taxable person exceeds the tax liability of that taxable person for that period by less than *ten* ⁵³³ [five] million shillings, except in the case of a licensee ~~[an investment trader]~~ ⁵³⁴ or person providing mainly zero-rated supplies, offset that amount

⁵³³ Substituted by VAT (Am) Act, 2024

⁵³⁴ Substituted by VAT (Am) Act, 2015

against the future liability of the taxable person; and

- (b) may, with the consent of the taxable person, where the input tax credit of a taxable person exceeds the tax liability of that taxable person for that period by *ten [five]*⁵³⁵ million shillings or more, offset that amount against the future liability of the taxable person, or apply the excess in reduction of any other tax not in dispute due from the taxpayer.⁵³⁶
- (3) If, for any tax period, the taxable supplies in stock or stock in transit are lost due to theft, fire, accident, or force majeure and input tax has been paid on those goods, the Commissioner General may grant a refund or allow credit for the input tax paid on those goods if there is evidence that the goods are destroyed or lost and cannot be recovered. [Where goods in stock are lost due to theft or fire and input tax has been paid on those goods, the Commissioner General may grant a refund or allow credit for the input tax paid on those goods if there is evidence that the goods are lost and cannot be recovered]⁵³⁷
- (4) A person may claim a refund of any output tax paid in excess of the amount of tax due under this Act for a tax period.
- (5) A claim for a refund under subsection (4) shall be made in a return within three years after the end of the tax period in which tax was overpaid.
- (6) Where a person has claimed a refund under subsection (4) and the Commissioner General is satisfied that the person has paid an amount of tax in excess of the amount of tax due, the Commissioner General shall refund immediately the excess to the taxable person.
- (7) Where a person claiming a refund is required by the Commissioner General to provide accounts or records to substantiate the claim and fails to do so in a manner satisfactory to the Commissioner General within seven days of being requested, the time period specified in subsection (1) for making the refund shall not be binding on the Commissioner General.
- (8) The Commissioner General shall serve on a person claiming a refund a notice in writing of a decision in respect of the claim.
- (9) A person dissatisfied with a decision under subsection (8) may only challenge the decision under Part IV of the Tax Appeals Tribunals Act.
- (10) No refund shall be made under subsection (6) in relation to a taxable supply that has been made to a person who is not a taxable person, unless the Commissioner General is satisfied that the amount of the excess tax has been repaid by the taxable person to the recipient,

⁵³⁵ Substituted by VAT (Am) Act, 2024

⁵³⁶ Substituted by VAT (Am) Act, 2002

⁵³⁷ Inserted by Finance Act, 2001; And substituted by VAT (Am) Act, 2013

whether in cash or as credit against an amount owing to the taxable person by the recipient.

35. Refund of tax for bad debts

- (1) Where a taxable person has supplied goods or services for a consideration in money, and has;-
 - (a) paid the full tax on the supply to the Commissioner General, but has not within two years after the supply received payment, in whole or in part from the person to whom the goods or services are supplied; and
 - (b) taken all reasonable steps to the satisfaction of the Commissioner General, to pursue payment and the taxable person reasonably believes that he or she will not be paid, that person may seek a refund of that portion of the tax paid for which the person has not received payment.
- (2) If a refund is taken under subsection (1) and the taxable person later receives payment in whole or in part, in respect of the debt, he or she shall remit to the Commissioner General, with his or her next tax return, a sum equal to the portion of the payment that represents the tax refunded.
- (3) A registered supplier who fails to remit the tax in accordance with subsection (2) with the next return of the registered supplier, commits an offence and is liable, on conviction, to a fine not exceeding *twenty-five currency points*,⁵³⁸ [five hundred thousand shillings] in addition to the payment of the full amount of the undeclared tax plus a penal tax on that outstanding tax calculated at the rate specified in Schedule 6 to this Act.⁵³⁹

36. Interest on overpayments and late refunds

- (1) Where the Commissioner General is required to refund an amount of tax to a person as a result of [a decision of the reviewing body as defined in section 28 of the Tax Appeals Tribunals Act] -⁵⁴⁰
 - (a) *a decision of the Tax Appeals Tribunal; or*
 - (b) *a decision of the High Court, the Court of Appeal or the Supreme Court,*

he or she shall pay interest at a rate of *two percent per month compounded on the tax to be refunded.*

⁵³⁸ Modified by The Law Revision (Miscellaneous Amendments) Act, 2023

⁵³⁹ The rate is 2% per month, compounded

⁵⁴⁰ Substituted by VAT (Am No.2) Act, 2002

- (2) Where the Commissioner General fails to make a refund required under section 34(1) within the time specified in that Section, he or she shall pay interest at a rate of two percent per month compounded on the amount of refund for the period. [five percentage points higher than the prevailing official bank rate of Bank of Uganda on the amount of the refund for the period commencing from the date the person paid the tax refunded and ending on the last day of the month the refund is made]⁵⁴¹
- (3) Where the Commissioner General finds, after conducting an investigation of any amount shown as an excess in terms of Section 34(1), that the excess amount of input tax credit is greater than the true amount due in excess of not less than fifty thousand shillings, no interest shall be payable [in terms of subsection (2) in respect of the delay in making the refund] under subsection (2) where there has been a delay in making the refund.⁵⁴²
- (4) Notwithstanding subsection (1), a taxpayer who causes delay in determining a correct refund payable to him or her, and leading to a belated refund process, is only entitled to interest with effect from sixty days from the date on which he or she filed his or her delayed return, lodged an application with the Tax Appeals Tribunal or the High Court, or submitted to the Commissioner General all necessary and satisfactory information required in relation to the refund in question, whichever is the later.⁵⁴³
- (5) Notwithstanding subsections (1), (2) and (4), the interest due and payable on over payments and late refunds shall not exceed the principal tax.⁵⁴⁴

37. Refund of tax to Diplomats and diplomatic and consular missions and international organizations

- (1) The Minister may, with the concurrence of the Minister responsible for foreign affairs, authorise the granting of a refund in respect of tax paid or borne by -
- (a) any person enjoying full or limited immunity, rights or privileges under any local or international laws applicable in Uganda or under recognised principles of international law; or
 - (b) any diplomatic or consular mission of a foreign country or any public international organisation established in Uganda or listed in Schedule 2 to this Act relating to transactions concluded for its official purposes.

⁵⁴¹ Substituted by VAT (Am No.2) Act, 2002

⁵⁴² Substituted by VAT (Am No.2) Act, 2002

⁵⁴³ Inserted by VAT (Am) Act, 2021

⁵⁴⁴ Inserted by VAT (Am) Act, 2018

- (2) The refund provided for in subsection (1)(a) shall not be available to any citizen or permanent resident of Uganda.
- (3) Any claim for a refund of tax under this Section shall be made in such form and at a time that the Commissioner General may prescribe and shall be accompanied by proof of payment of tax.
- (4) The Minister may make Regulations specifying conditions to be met or restrictions to apply for claiming or granting of tax refunds under this Section.

38. Refund of tax or use of electronic receipt or invoice

A person other than a taxable person who purchases goods or services from a taxable person and is issued with an electronic receipt or invoice or several electronic receipts or invoices worth five million shillings within a period of thirty consecutive days, shall be entitled to a refund of five percent of the tax paid.⁵⁴⁵

Penal tax

39. Penal tax

- (1) A person who fails to apply for registration as is required by Section 7(1) or (6) is liable to pay a penal tax equal to double the amount of tax payable during the period commencing on the last day of the application period in Section 7(1) until either the person files an application for registration with the Commissioner General or the Commissioner General registers the person under section 8(6).
- (2) A person who fails to lodge a return within the required time under this Act is liable to pay a penal tax amounting to whichever is the greater of the following -
 - (a) two hundred thousand shillings; or
 - (b) an interest charge for the period the return is outstanding calculated according to the formula specified in Schedule 6 to this Act.
- (3) A person who fails to pay tax imposed under this Act on or before the due date is liable to pay a penal tax on the unpaid tax at a rate specified in Schedule 6 to this Act for the tax which is outstanding.
- (4) If a person pays a penal tax under subsection (3) and the tax to which it relates is found not to have been due and payable by the person and is refunded, then the penal tax, or so much of the penal tax as relates to the amount of the refund, shall also be refunded to that person.

⁵⁴⁵ Inserted by VAT (Am) Act, 2021

(5) A person who fails to maintain proper records in a tax period in accordance with the requirements of this Act is liable to pay a penal tax equal to double the amount of tax payable by the person for the tax period.

(6) Where a person [~~knowingly or recklessly~~]⁵⁴⁶–

(a) makes a statement or declaration to an official of the Uganda Revenue Authority that is false or misleading in a material particular;⁵⁴⁷ or

(b) omits from a statement made to an official of the Uganda Revenue Authority any matter or thing without which the statement is misleading in a material particular, and

(i) the tax properly payable by the person exceeds the tax that was assessed as payable based on the false or misleading information;

(ii) the amount of the refund claimed was false; or

(iii) the person submitted a return with an incorrect offset claim,

that person is liable to pay penal tax equal to double the amount of the excess tax, refund or claim.

(7) Section 67(2) of the Tax Procedures Code Act applies in determining whether a person has made a statement to an official of the Uganda Revenue Authority.

40. Interest on unpaid tax⁵⁴⁸

The interest due and payable on unpaid tax shall not exceed the aggregate of the principal and penal tax.

~~[(2) For the avoidance of doubt, where the interest due and payable as at 30th June 2017 exceeds the aggregate referred to in subsection (1), the interest in excess of the aggregate shall be waived.]⁵⁴⁹~~

41. Recovery of Penal Tax

(1) Where good cause is shown, in writing, by the person liable to pay a penal tax, the Commissioner General may remit in whole or part any penal tax payable other than the penal tax imposed or payable under Section 39 for late payment.

(2) Subject to subsection (3), the imposition of a penal tax is in addition to any penalty imposed as a result of a conviction for an offence under

⁵⁴⁶ Repealed by VAT (Am) Act, 2021

⁵⁴⁷ Substituted by VAT (Am) Act 2, 2008

⁵⁴⁸ Inserted by VAT (Am) Act, 2017

⁵⁴⁹ Inserted by VAT (Am) Act, 2017

Part XVI of the Tax Procedures Code Act.

- (3) No penal tax is payable under Section 39 where the person has been convicted of an offence under Section 60, 64 or 68 of the Tax Procedures Code Act in respect of the same act or omission.
- (4) If a penal tax under Section 39 has been paid and the Commissioner General institutes a prosecution proceeding under Section 60, 64 or 68 of the Tax Procedures Code Act in respect of the same act or omission, the Commissioner General shall refund the amount of penal tax paid; and that penal tax is not payable unless the prosecution is withdrawn.
- (5) Penal tax shall for all purposes of this Act be treated as a tax of the same nature as the output tax to which it relates and shall be payable in and for the same tax period as that output tax.
- (6) Penal tax shall be assessed by the Commissioner General in the same manner as the output tax to which it relates and an assessment of penal tax shall be treated for all purposes as an assessment of tax under this Act.

42. Remission of tax

- (1) Where the Commissioner General is of the opinion that the whole or any part of the tax due under this Act from a taxpayer cannot be effectively recovered by reason of –
 - (a) considerations of hardship; or
 - (b) impossibility, undue difficulty, or the excessive cost of recovery,the Commissioner General may refer the taxpayer's case to the Minister.
- (2) Where a taxpayer's case has been referred to the Minister under subsection (1) and the Minister is satisfied that the tax due cannot be effectively recovered, the Minister may remit or write off, in whole or part, the tax due from the taxpayer.

PART VIII - GENERAL

43. Application of Act to Partnerships and Unincorporated Associations

- (1) This Act applies to a partnership as if the partnership were a person, but with the following changes –
 - (a) obligations that would be imposed on the partnership are imposed on each partner, but may be discharged by any of the partners;

- (b) the partners are jointly and severally liable to pay any amount that would be payable by the partnership; and
 - (c) any offence under this Act that would otherwise be committed by the partnership is taken to have been committed by each of the partners.
- (2) This Act applies to an unincorporated association as if it were a person, but the obligations that would be imposed on the association are imposed on each member of the committee of management of the association, but may be discharged by any of those members.
- (3) In a prosecution of a person for an offence that the person is taken to have committed under subsection (1)(c), it is a defence if the person proves that he or she -
- (a) did not aid, abet, counsel, or procure the relevant act or omission; and
 - (d) was not in any way knowingly concerned in, or party to, the relevant act or omission.

44. Trustee

A person who is a trustee in more than one capacity is treated for the purposes of this Act as a separate person in relation to each of those capacities.

45. Currency conversion

- (1) For the purposes of this Act, all amounts of money are to be expressed in Uganda shillings.
- (2) Where an amount is expressed in a currency other than Uganda shillings, the amount shall be converted into Uganda shillings using the weighted selling rates of the previous month for the currency concerned.
- (3) Notwithstanding subsection (1), a taxpayer under Section 16(2) of this Act may file a return and may pay the tax in the return in United States dollars.⁵⁵⁰

46. Prices quoted to include tax

Any price advertised or quoted for a taxable supply shall include tax and the advertisement or quotation shall state that the price includes the tax.

47. Schemes for obtaining undue tax benefits

⁵⁵⁰ Inserted by VAT (Am) Act, 2023

- (1) Notwithstanding anything in this Act, if the Commissioner General is satisfied that a scheme has been entered into or carried out where -
- (a) a person has obtained a tax benefit in connection with the scheme; and
 - (b) having regard to the substance of the scheme, it would be concluded that the person, or one of the persons, who entered into or carried out the scheme did so for the sole or dominant purpose of enabling the person to obtain the tax benefit,
- the Commissioner General may determine the liability of the person who has obtained the tax benefit as if the scheme had not been entered into or carried out, or in a manner as in the circumstances the Commissioner General considers appropriate for the prevention or reduction of the tax benefit.
- (2) In this Section -
- "scheme" includes any agreement, arrangement, promise, or undertaking whether express or implied and whether or not enforceable, or intended to be enforceable, by legal proceedings, and any plan, proposal, course of action, or course of conduct;
- "tax benefit" includes -
- (a) a reduction in the liability of any person to pay tax;
 - (b) an increase in the entitlement of a person to a credit or refund; or
 - (c) any other avoidance or postponement of liability for the payment of tax.

48. Re-characterisation of arrangements under Islamic Financial Business⁵⁵¹

- (1) For the purposes of determining liability to tax under this Act, the Commissioner General may re-characterise an arrangement under Islamic financial business not provided for under this Act to the equivalent arrangement under conventional financial services for purposes of reflecting the equivalent economic substance, other than the form.
- (2) The Commissioner General shall comply with Shari'ah principles in re-characterising an arrangement under Islamic financial business not provided for under this Act.

49. International Agreements

- (1) To the extent that the terms of a treaty or other international agreement to which Uganda is a party are inconsistent with the provisions of this Act, apart from Section 47, the terms of the treaty or

⁵⁵¹ Inserted by VAT (Am No.2) Act, 2023

international agreement prevail over the provisions of this Act.

- (2) In this Section, "international agreement" means an agreement between Uganda and a foreign government or a public international organisation.
- (3) Where an international agreement entered into between the Government of Uganda and the Government of a foreign country or an international organisation, provides tax relief to the foreign Government or international organisation, the provisions relating to tax reliefs and benefits shall take effect on ratification of the agreement by Cabinet and approval by Parliament.⁵⁵²

50. Priority of Schedules

Where a supply of goods or services may be covered by both Schedule 3 and Schedule 4 to this Act, the supply shall be treated as being within Schedule 4 to this Act.

51. Regulations

- (1) The Minister may make Regulations for better carrying into effect the provisions and purposes of this Act.
- (2) The Minister may, by statutory order, specify the rates of tax payable under this Act, and the order shall cease to have effect unless it is introduced in Parliament within three months from the date of its publication and Parliament approves a resolution confirming that order.

52. Supremacy of Act

Where there is any inconsistency between this Act and any other law prescribing a rate of tax, this Act shall prevail.⁵⁵³

53. Power to amend Schedules

The Minister may, by statutory instrument, with the approval of Cabinet, amend Schedules 1, 2, 3 and 4 of this Act

⁵⁵² Section 49(3) was originally section 81, which was repealed and re-enacted as 49(3) by VAT (Am) Act, 2018

⁵⁵³ Inserted by Finance Act, 2001

SCHEDULES

Schedule 1

Sections 1, 53

Currency Point

A currency point is equivalent to twenty thousand shillings.

Schedule 2

Sections 1, 37(1), 53

Public International Organisations

African Development Bank (ADB) ⁵⁵⁴

African Development Foundation (ADF)⁵⁵⁵

African Export - Import Bank⁵⁵⁶

African Reinsurance Corporation (Africa Re);⁵⁵⁷

African Trade Insurance Agency⁵⁵⁸

African Union (AU)⁵⁵⁹

Aga Khan Development Network, Uganda, and the following agencies - ⁵⁶⁰

Aga Khan Foundation, Uganda;

(a) Aga Khan Education Service, Uganda;

(b) Aga Khan Health Service, Uganda;

(c) Aga Khan Trust for Culture; and

(d) Aga Khan University, Uganda.

Austrian Development Agency (ADA)⁵⁶¹

Belgian Technical Cooperation (BTC)⁵⁶²

Common Market for East and Southern Africa (COMESA)⁵⁶³

⁵⁵⁴ Inserted by VAT (Am) Act, 2005

⁵⁵⁵ Inserted by Finance Act, 2001

⁵⁵⁶ Inserted by VAT (Am) Act, 2021

⁵⁵⁷ Inserted by VAT (Am) Act, 2024

⁵⁵⁸ Inserted by VAT (Am) Act, 2018

⁵⁵⁹ Inserted by VAT (Am) Act 2, 2008

⁵⁶⁰ Inserted by VAT (Am) Act, 2003

⁵⁶¹ Inserted by VAT (Am) Act, 2012

⁵⁶² Inserted by VAT (Am) Act 2, 2008

⁵⁶³ Inserted by VAT (Am) Act, 2003

Danish International Development Agency (DANIDA)⁵⁶⁴
 Desert Locust Control Organisation for Eastern Africa (DLCOEA)
 Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ)⁵⁶⁵
 East African Community (EAC), its Organs and Institutions. ⁵⁶⁶
 East African Development Bank (EADB)
 Eastern and Southern Africa Management Institute (ESAMI)
 European Union (EU)
 Food and Agricultural Organisation (FAO)
 Foreign, Commonwealth and Development Office (FCDO)
 French Development Agency (Agence Française de Développement) (FDA)⁵⁶⁷
 Global Fund to fight AIDS, Malaria and Tuberculosis⁵⁶⁸
 Icelandic International Development Agency (ICEADA)⁵⁶⁹
 IGAD Regional HIV and AIDS Partnership Programme (IRAPP)⁵⁷⁰
 Independent [International] Regulatory Board of the East African Power Pool;⁵⁷¹
International Atomic Energy Agency (IAEA) [International Atomic Agency
 (IAA)]⁵⁷²
 International Civil Aviation Organisation (ICAO)
 International Committee of the Red Cross (ICRC)
 International Criminal Court (ICC) ⁵⁷³
 International Development Law Organisation (IDLO); ⁵⁷⁴
 International Labour Organisation (ILO)
 International Monetary Fund (IMF)
 International Organisation for Migration (IOM)⁵⁷⁵

⁵⁶⁴ Inserted by VAT (Am) Act, 2012

⁵⁶⁵ Substituted by VAT (Am) Act, 2012

⁵⁶⁶ Inserted by VAT (Am) Act, 2005 and Substituted by VAT (Am) Act, 2013

⁵⁶⁷ Inserted by VAT (Am) Act, 2012 and Substituted by VAT (Am) Act, 2013

⁵⁶⁸ Inserted by VAT (Am) Act, 2015

⁵⁶⁹ Inserted by VAT (Am) Act, 2003

⁵⁷⁰ Inserted by VAT (Am) Act 2, 2008

⁵⁷¹ Inserted by VAT (Am) Act, 2024 – name passed as “International” instead of “independent”

⁵⁷² Substituted by VAT (Am) Act, 2025

⁵⁷³ Inserted by VAT (Am) Act 2, 2008

⁵⁷⁴ Inserted by VAT (Am) Act, 2022

⁵⁷⁵ Inserted by VAT (Am) Act, 2003

International Telecommunications Union (ITU)
International Union for Conservation of Nature⁵⁷⁶
Islamic Cooperation for the Development of the Private Sector;⁵⁷⁷
Islamic Development Bank⁵⁷⁸
Japan International Cooperation [Development] Agency (JICA) ⁵⁷⁹
Korea International Cooperation Agency (KOICA)⁵⁸⁰
Kreditanstalt fur Wiederaufbau (KFW)⁵⁸¹
Medical Research Council
Netherlands Development Organisation (SNV)
Nile Basin Initiative⁵⁸²
Norwegian Agency for Development Cooperation (NORAD)⁵⁸³
[Organisation of African Unity (OAU)]⁵⁸⁴
Swedish International Development Agency (SIDA)⁵⁸⁵
Uganda Red Cross Society⁵⁸⁶
Union of National Radio and Television Organisations of Africa (UNRTNA-PEC)
United Nations African Institute for the Prevention of Crime and the Treatment of Offenders (UNAFRI)
United Nations Children's Fund (UNICEF)
United Nations Development Programme (UNDP)
United Nations fund for Population Activities (UNFPA)
United Nations High Commission for Refugees (UNHCR)
United Nations Entity for Gender Equality and the Empowerment of Women (UN Women)⁵⁸⁷

⁵⁷⁶ Inserted by VAT (Am) Act, 2021

⁵⁷⁷ Inserted by VAT (Am) Act, 2024

⁵⁷⁸ Inserted by VAT (Am) Act, 2020

⁵⁷⁹ Substituted by VAT (Am) Act, 2012

⁵⁸⁰ Inserted by VAT (Am) Act, 2012

⁵⁸¹ Inserted by VAT (Am) Act, 2012

⁵⁸² Inserted by VAT (Am) Act, 2003

⁵⁸³ Substituted by VAT (Am) Act, 2012

⁵⁸⁴ Repealed by VAT (Am) Act 2, 2008

⁵⁸⁵ Inserted by VAT (Am) Act, 2012

⁵⁸⁶ Inserted by VAT (Am) Act, 2015

⁵⁸⁷ Inserted by VAT (Am) Act, 2019

*United Nations related Agencies and specialized Agencies*⁵⁸⁸

United States Agency for International Development (USAID)

Universal Postal Union (UPU)

World Bank

World Food Programme (WFP)

World Health Organisation (WHO)

World Meteorological Organisation (WMO)

ZEP-RE (PTA Reinsurance Company)⁵⁸⁹

⁵⁸⁸ Inserted by VAT (Am) Act, 2025

⁵⁸⁹ Inserted by VAT (Am) Act, 2023

*Schedule 3**Sections 18(10), 19, 50, 53***Exempt Supplies**

1. The following supplies are specified as exempt supplies for the purposes of Section 19 -
 - (a) the supply of *livestock*,⁵⁹⁰ unprocessed foodstuffs and unprocessed agricultural products, *except wheat grain* ; ⁵⁹¹
 - (b) the supply of postage stamps;⁵⁹²
 - (c) the supply of financial services;
 - (d) the supply of [insurance services]⁵⁹³
 - (i) health insurance services
 - (ii) life insurance services
 - (iii) micro insurance services⁵⁹⁴
 - (iv) re-insurance services
 - (v) aircraft insurance services⁵⁹⁵
 - (e) the supply of *unimproved* land;⁵⁹⁶
 - (f) a supply by way of *sale*, leasing or letting of immovable property, other than : - ⁵⁹⁷
 - i. *a sale*, lease or letting of commercial premises;
 - ii. *a sale*, lease or letting *for parking or storing cars or other vehicles*;
 - iii. *a sale*, lease or letting of hotel or holiday accommodation [for periods no exceeding three months];
 - iv. *a sale*, lease or letting *for periods not exceeding three months* [parking or storing cars or other vehicles]; or

⁵⁹⁰ Substituted by VAT (Am) Act, 2013

⁵⁹¹ Inserted by VAT (Am) Act, 2016 & VAT (Am) Act, 2017

⁵⁹² Repealed by VAT (Am) Act, 2024

⁵⁹³ Subparagraphs d(i) and (ii) substituted by VAT (Am) Act, 2014 WEF July 2014

⁵⁹⁴ Subparagraphs (d)(iii) and (iv) substituted by VAT (Am) Act, 2014 WEF November 2014

⁵⁹⁵ Inserted by VAT (Am) Act, 2019

⁵⁹⁶ Inserted by Finance Act, 2001

⁵⁹⁷ Substituted by VAT (Am) Act, 2009

- v. *a sale, lease or letting of service apartments*;⁵⁹⁸
- (g) the supply of education services;
- (h) the supply of *veterinary*,⁵⁹⁹ medical, dental, and nursing services;
- (i) the supply of social welfare services;
- (j) the supply of betting, lotteries, and games of chance;⁶⁰⁰
- (k) the supply of goods as part of the transfer of a business as a going concern by one taxable person to another taxable person;
- (l) the supply of burial and cremation services;
- (m) the supply of precious metals and other valuables to the Bank of Uganda for the State Treasury;
- (n) the supply of passenger transportation services (other than tour and travel operators);
- (o) the supply of petroleum fuels *subject to excise duty, (motor spirit, kerosene and gas oil), spirit type jet fuel, kerosene type jet fuel* ⁶⁰¹*and residual oils for use in thermal power generation to the national grid* ;⁶⁰²
- (p) the supply of milk, including milk treated in any way to preserve it;⁶⁰³
- (p) the supply of dental, medical, *and veterinary goods* [equipment and ambulances] ⁶⁰⁴ *and for the purposes of this subparagraph "goods" means:*⁶⁰⁵
- (i) dental, medical and veterinary equipment;
 - (ii) ambulances;
 - (iii) contraceptives of all forms;
 - (iv) maternity kits (mama kits);
 - (v) medical examination gloves;
 - (vi) medicated cotton wool;
 - (vii) mosquito nets, acaricides, insecticides and mosquito repellent devices; and

⁵⁹⁸ Supply of residential dwelling units was taxable at 5% from July 2007 to June 2009

⁵⁹⁹ Inserted by VAT (Am) Act 1, 2008

⁶⁰⁰ Repealed by VAT (Am) Act, 2011 and Re-instated by VAT (Am) Act, 2012

⁶⁰¹ Substituted by VAT (Am No.2) Act, 2002

⁶⁰² Inserted by VAT (Am) Act 2, 2008

⁶⁰³ Repealed by VAT (Am) Act, 2002

⁶⁰⁴ Inserted by VAT (Am) Act, 2011

⁶⁰⁵ Substituted by VAT (Am) Act, 2013

[(viii) diapers]⁶⁰⁶

(viii) *disposable medical face masks or reusable face masks made of fabric*;⁶⁰⁷

(ix) *medical boots*;

(x) *medical impermeable aprons or coverall suits*;

(xi) *bouffant non-woven surgical cap*;

(xii) *protective goggles with indirect side ventilation*;

(xiii) *infra-red thermometers*;

(xiv) *motorized fumigation pumps*;

(xv) *oxygen cylinder or oxygen for medical use*;⁶⁰⁸

(xvi) *body bags*;

(xvii) *biohazard bags*;

(xviii) *container, used sharps, leak proof*;

(xix) *disinfectants or sanitisers*;

(xx) *medical plastics or rubber gloves*;

(xxi) *gas masks with mechanical parts*;

(xxii) *disposable hair nets*; and

(xxiii) *paper bed-sheets*.

(q) the supply of animal feeds and *mixed components such as eggshells, feed additives, wheat bran, maize bran, premixes, concentrates and seed cake*; ⁶⁰⁹

(r) the supply of raw materials and inputs for the manufacture of the following - ⁶¹⁰

(i) *disposable medical face masks and reusable face masks made of*

⁶⁰⁶ Repealed by VAT (Am) Act, 2023

⁶⁰⁷ Subparagraphs p(ix) – (xxiv) inserted by VAT (Am) (No.2) Act, 2020 WEF 1/4/2020

⁶⁰⁸ Substituted by VAT (Am) Act, 2022

⁶⁰⁹ Inserted by VAT (Am) Act, 2017; Substituted by VAT (Am) Act, 2023

⁶¹⁰ Subparagraph (r) inserted by VAT (Am) (No.2) Act, 2020 WEF 1/4/2020

- fabric;
- (ii) medical boots;
- (iii) medical impermeable aprons or coverall suits;
- (iv) cap, surgical, bouffant, non-woven;
- (v) goggles, protective, indirect side ventilation;
- (vi) infra-red thermometers;
- (vii) motorized fumigation pumps;
- (viii) oxygen cylinders;
- (ix) body bags;
- (x) biohazard bags;
- (xi) container, used sharps, leak proof;
- (xii) disinfectants;
- (xiii) medical plastics or rubber gloves;
- (xiv) gas masks with mechanical parts;
- (xv) disposable hair nets; and
- (xvi) paper bed-sheets.

(s) the supply of feeds for poultry and livestock:⁶¹¹

(s) the supply of machinery [used for the processing of agricultural or dairy products]⁶¹² *tools and implements suitable for use only in agriculture, and for the purposes of this subparagraph, "machinery, tools and implements" means,*⁶¹³

- (i) knapsack sprayers;⁶¹⁴
- (ii) ox ploughs;
- (iii) drinkers and feeders for chicken;
- (iv) agricultural tractors (including walking tractors);
- (v) disk harrows;
- (vi) cultivators;
- (vii) ploughs;
- (viii) weeders;

⁶¹¹ Inserted by Finance Act, 2001; Repealed by VAT (Am) Act, 2014

⁶¹² Inserted by Finance Act, 2001

⁶¹³ Substituted by VAT (Am) Act, 2014

⁶¹⁴ Subparagraphs (s) (i) – (xxiii) inserted by VAT (Am) Act, 2014

- (ix) seeders;
- (x) planters;
- (xi) subsoilers;
- (xii) seed drills,
- (xiii) threshers;
- (xiv) bale wrappers;
- (xv) milking machinery;
- (xvi) milk coolers;
- (xvii) maize mills;
- (xviii) wheat flour mills;
- (xix) homogenisers;
- (xx) dairy machinery;
- (xxi) grain cleaners and sorters;
- (xxii) feed grinders hatcheries;
- (xxiii) implements used for artificial insemination in animals
- (xxiv) hullers; 615
- (xxv) oil press;
- (xxvi) tillers;
- (xxvii) grain dryers;
- (xxviii) manure spreaders;
- (xxix) fertilizer distributor;
- (xxx) transplanters;
- (xxxi) juice presses and crushers;
- (xxxii) seed and grain shellers;
- (xxxiii) Silage chopper machines;
- (xxxiv) colour sorters for coffee;
- (xxxv) coffee roasters;
- (xxxvi) rice mills
- (xxxvii) agricultural sprayers
- (xxxviii) trailer for agricultural purposes; 616

⁶¹⁵ Subparagraphs (s)(xxiv) – (xxxv) inserted by VAT (Am) Act, 2016

⁶¹⁶ Subparagraphs (s)(xxxvi) and (xxxvii) inserted by VAT (Am) Act, 2019

- (xxxix) combine harvesters
- (xl) tractor mounted hay mowers, slashers, rakes & tedders; crop sprayers; hay and straw balers; tractor mounted hole diggers or borers;
tractor mounted; scrapers, levelling blades and dam scoops; root or tuber harvesting machinery; tractor mounted loaders; irrigation equipment; drinkers and feeders for all farm animals; ⁶¹⁷[tuber harvesting machinery].⁶¹⁸
- (t) the supply of crop extension services;⁶¹⁹
- (u) the supply of irrigation works, sprinklers and ready to use drip lines;
- (v) the supply of deep cycle batteries, *solar lanterns* [composite lanterns], and raw materials for the manufacture of deep cycle batteries and *solar lanterns* [composite lanterns];⁶²⁰
- [(sd) the supply of menstrual cups]; 621
- (w) the supply of agricultural insurance premium or Policy;
- (wa) the supply of an electric vehicle, locally manufactured or supply of frame and body of an electric vehicle locally fabricated;⁶²²
- (wb) the supply of electric vehicle charging equipment or supply of charging services of electric vehicles;⁶²³
- (wc) the supply of cooking stoves that use fuel ethanol, assembled in Uganda up to 30th June, 2028⁶²⁴
- (x) the supply of photosensitive semiconductor devices, including photovoltaic devices, whether or not assembled in modules or made into panels; light emitting diodes; solar water heaters, solar refrigerators and solar cookers.⁶²⁵

⁶¹⁷ Inserted by VAT (Am) Act, 2020

⁶¹⁸ Omitted by ULRC in Revised laws of Uganda 2024

⁶¹⁹ Subparagraphs (t) – (w) inserted by VAT (Am) Act, 2017

⁶²⁰ Substituted by VAT (Am) Act, 2025

⁶²¹ Repealed by VAT (Am) Act, 2022

⁶²² Inserted by VAT (Am) Act, 2024 as (sf) but judicially noticed as (wa) to comply with renumbering in the Revised laws of Uganda, 2024

⁶²³ Inserted by VAT (Am) Act, 2024 as (sg) but judicially noticed as (wb) to comply with renumbering in the Revised laws of Uganda, 2024

⁶²⁴ Inserted by VAT (Am) Act, 2024 as (sj) but judicially noticed as (wc) to comply with renumbering in the Revised laws of Uganda, 2024

⁶²⁵ Inserted by Finance Act, 2001 & Substituted by VAT (Am) Act 2005 & (Am) Act 2006

(ta) supply of power generated by solar;⁶²⁶

(u) the supply of accommodation in tourist lodges and hotels⁶²⁷ outside Kampala [and Entebbe]⁶²⁸ District;⁶²⁹

(v) supply of new- ⁶³⁰

(i) computers

(ii) desktop printers; and

(iii) computer parts and accessories.

[The supply of computers. Printers, parts and accessories falling under headings 874. 71 and 84.73 of the harmonised coding system of the Customs law]

(w) the supply of computer software and software licences⁶³¹;

(y) the supply of lifejackets, *lifesaving gear*, safety⁶³² headgear and *speed governors*; ⁶³³

(v) the supply of mobile toilets and Ekoloo toilets made from polyethylene;⁶³⁴

(z) the supply of mosquito nets, ⁶³⁵ , insecticides,⁶³⁶ and acaricides⁶³⁷;

(aa) the supply of specialized vehicles, plant and machinery,⁶³⁸ feasibility studies, engineering designs, consultancy services and civil works related to hydro-

⁶²⁶ Inserted by VAT (Am) Act, 2011. Repealed by (Am) Act, 2016

⁶²⁷ Added by VAT (Am) Act, 2002

⁶²⁸ Substituted by VAT (Am) Act, 2003

⁶²⁹ Substituted by VAT (Am) Act 1, 2008. Repealed by VAT (Am) Act, 2014

⁶³⁰ Substituted by VAT (Am No.2) Act, 2002; VAT (Am) Act, 2005; VAT (Am) Act 2, 2008 & VAT (Am) Act 2009. Repealed

⁶³¹ Inserted by (Am) Act, 2003. Substituted by VAT (Am) Act, 2010. Repealed by Am Act, 2014

⁶³² Inserted by VAT (Am) Act, 2024

⁶³³ Inserted by VAT (Am) Act, 2003 and substituted by VAT (Am) Act, 2005

⁶³⁴ Inserted by VAT (Am) Act, 2003 & Deleted by VAT (Am) Act, 2005

⁶³⁵ Inserted by VAT (Am) Act 1, 2008

⁶³⁶ (z) Inserted by VAT (Am) Act, 2003 and Repealed by VAT (Am) Act, 2024

⁶³⁷ Inserted by VAT (Am) Act, 2006

⁶³⁸ Inserted by VAT (Am) Act 1, 2008

electric power, roads and bridges' construction,⁶³⁹ public ⁶⁴⁰ *water works*,⁶⁴¹ *agriculture, education and health sectors*⁶⁴².

(bb) the supply of contraceptive sheaths and examination gloves⁶⁴³

(cc) the supply of Liquefied Petroleum Gas⁶⁴⁴

(dd) the supply of any goods and services to the contractor of Bujagaali hydro-electric power project;⁶⁴⁵

(z) the supply of any goods and services to the contractors and subcontractors of hydro- electric power, *solar power, geothermal power or bio gas and wind energy*⁶⁴⁶ projects;⁶⁴⁷ **and does not include goods and services used for personal and domestic use;**⁶⁴⁸

(ee) the supply of diapers⁶⁴⁹;

(ff) the supply of salt;⁶⁵⁰

(gg) the supply of motor vehicles or trailers of a carrying capacity of 3.5 tonnes or more designed for the transport of goods;⁶⁵¹

(hh) the supply of packing materials exclusively used by milling industry for packing milled products;⁶⁵²

(ii) the supply of packing materials exclusively used by the dairy industry for packing milk;⁶⁵³

(jj) the supply of biodegradable packaging materials⁶⁵⁴;

(kk) the supply of water for domestic use excluding mineral water and aerated water which contain sweetening matter or flavour;⁶⁵⁵

aa) the supply of Bibles and Qu'rans and text books; ⁶⁵⁶

⁶³⁹ (aa) Inserted by VAT (Am) Act, 2005 and Repealed by VAT (Am) Act, 2014

⁶⁴⁰ Inserted by VAT (Am) Act, 2009

⁶⁴¹ Inserted by VAT (Am) Act, 2006

⁶⁴² Inserted by VAT (Am) Act, 2009

⁶⁴³ Inserted by VAT (Am) Act, 2006. Repealed by VAT (Am) Act, 2013

⁶⁴⁴ Inserted by VAT (Am) Act, 2006. Repealed by Am Act, 2014

⁶⁴⁵ Inserted by VAT (Am) Act 1, 2008 & Repealed by VAT (Am) Act, 2013

⁶⁴⁶ Substituted by VAT (Am) Act, 2016

⁶⁴⁷ Inserted by VAT (Am) Act 2, 2008

⁶⁴⁸ Inserted by VAT (Am) Act, 2024

⁶⁴⁹ Inserted by VAT (Am) Act 1, 2008 & Repealed by VAT (Am) Act, 2013

⁶⁵⁰ Inserted by VAT (Am) Act 2, 2008 & Repealed by Am Act, 2014

⁶⁵¹ Inserted by VAT (Am) Act 2, 2008 and Repealed by VAT (Am) Act, 2011

⁶⁵² Inserted by VAT (Am) Act, 2009. Repealed by Am Act, 2014

⁶⁵³ Inserted by VAT (Am) Act, 2009. Repealed by Am Act, 2014

⁶⁵⁴ Inserted by VAT (Am) Act, 2010 and Repealed by VAT (Am) Act, 2012

⁶⁵⁵ Inserted by VAT (Am) Act, 2012 WEF 1/10/2012 and Repealed by VAT (Am) Act, 2013

⁶⁵⁶ Inserted by VAT (Am) Act, 2018

(ab) the supply of services to conduct a feasibility study, design and construction to a developer of an industrial park or free zone whose investment is at least *fifty* [one hundred] million United States Dollars; ⁶⁵⁷

(ac) the supply of earth moving equipment and machinery for development of an industrial park or free zone to a developer of an industrial park or free zone whose investment is at least *fifty* [one hundred] million United States Dollars; ⁶⁵⁸

(ad) the supply of construction materials for development of an industrial park or free zone to a developer of an industrial park or free zone whose investment is at least *fifty* [one hundred] million United States Dollars; ⁶⁵⁹

(ae) supply of services to conduct a feasibility study and design; the supply of locally produced materials for the construction of a factory or a warehouse and the supply of locally produced raw materials and inputs or machinery or equipment to an operator within an industrial park, free zone or *any other person carrying on business outside the industrial park or free zone* [to an operator who owns [with] a single factory or other business outside the industrial park or free zone] *whose minimum investment capital is ten million United States Dollars in the case a foreigner or three hundred thousand* [one million] *United States Dollars in case of a citizen; or one hundred fifty thousand United States Dollars, for a citizen whose investment is placed up count* *ry ; who uses at least seventy percent of the raw materials that are locally sourced, subject to their availability and at least seventy* [sixty] *percent of the employees are citizens earning an aggregate wage of at least seventy percent of the total wage bill ; and who -* ⁶⁶⁰

(i) *processes agricultural goods;*

(ii) *manufactures or assembles medical appliances, medical sundries or pharmaceuticals, building materials, automobile, house hold appliances;*

(iii) *manufactures furniture, pulp, paper, printing and publishing of instructional materials;*

(iv) *establishes or operates vocational or technical institutes;*

⁶⁵⁷ Inserted by VAT (Am) Act, 2018. Substituted by VAT (Am) Act, 2019

⁶⁵⁸ Inserted by VAT (Am) Act, 2018. Substituted by VAT (Am) Act, 2019

⁶⁵⁹ Inserted by VAT (Am) Act, 2018. Substituted by VAT (Am) Act, 2019

⁶⁶⁰ Inserted by VAT (Am) Act, 2018. Substituted by VAT (Am) Act, 2019

(v) *carries out business in logistics and warehousing, information technology or commercial farming;*

(vi) *manufactures tyres, footwear, mattress or toothpaste ;⁶⁶¹ or*

(vii) *manufactures chemicals for agricultural and industrial use, textiles, glassware, leather products, industrial machinery and electrical equipment, sanitary pads and diapers.⁶⁶²*

(viii) *Manufactures an electric vehicle, electric battery or electric vehicle charging equipment or fabricates the frame and body of an electric vehicle;⁶⁶³*

[who meets the following requirements –

(i) *a minimum investment capital of fifteen million United States Dollars in the case of a foreigner or ten million United States Dollars in the case of a citizen;*

(ii) *carries on business in agro processing, food processing, medical appliances, building materials, light industry, automobile manufacturing and assembly, household appliances, furniture, logistics and warehousing, information technology or commercial farming;*

(iii) *seventy percent of the raw materials used are sourced locally, subject to their availability;*

(iv) *directly employs a minimum 60 percent of citizens; and*

(v) *provides for substitution of thirty percent of the value of imported products;]⁶⁶⁴*

(af) *the supply of services to conduct a feasibility study, design and construction; the supply of locally produced materials for construction of premises, infrastructure, machinery and equipment or furnishings and fittings which are not available on the local market to a hotel or tourism facility developer whose investment capital is eight million United States Dollars with a room capacity exceeding one hundred guests;⁶⁶⁵*

(ag) *the supply of services to conduct a feasibility study, design and construction; the supply of locally produced materials for the construction of*

⁶⁶¹ **Substituted by VAT (Am) Act, 2020**

⁶⁶² **Inserted by VAT (Am) (No.2) Act, 2020 WEF 1/4/2020**

⁶⁶³ **Inserted by VAT (Am) Act, 2024**

⁶⁶⁴ **Inserted by VAT (Am) Act, 2018; Substituted by VAT (Am) Act, 2019**

⁶⁶⁵ **Inserted by VAT (Am) Act, 2018**

premises and other infrastructure, machinery and equipment or furnishings and fittings to a hospital facility developer whose investment capital is at least five million United States Dollars and who develops a hospital [at the level of national referral hospital]⁶⁶⁶ with capacity to provide specialised medical care;⁶⁶⁷

(ah) the supply of movie production.⁶⁶⁸

(ai) the supply of wet processing operations and garmenting, cotton lint, artificial fibres for blending; polyester staple fibre, viscose rayon fibre yarn, other than cotton yarn, textile dyes and chemicals, garment accessories, textile machinery spare parts, industrial consumables for textile production, textile manufacturing machinery and equipment;⁶⁶⁹

(aj) the supply of fabrics and garments made in Uganda by vertically integrated textile mills that operate spinning, weaving or knitting, wet processing operations and garmenting;⁶⁷⁰

[(vv) the supply of services to conduct a feasibility study, design and construction; the supply of locally produced materials for construction of premises, infrastructure, machinery and equipment or furnishings and fittings which are not manufactured on the local market to a hotel or tourism facility developer whose investment capital is *ten (fifteen)* ⁶⁷¹ million United States Dollars (with a room capacity exceeding one hundred guests) ⁶⁷²*or to meetings, incentives, conferences and exhibition facility developer whose investment capital is not less than Three Hundred Thousand United States Dollars.*]⁶⁷³

[(ak) the supply of billets for further value addition in Uganda;]⁶⁷⁴ [the supply of all production inputs into iron ore smelting into billets and the supply of billets for further value addition in Uganda;⁶⁷⁵]

⁶⁶⁶ Repealed by VAT (Am) Act, 2022

⁶⁶⁷ Inserted by VAT (Am) Act, 2018

⁶⁶⁸ Inserted by VAT (Am) Act, 2018

⁶⁶⁹ Inserted by VAT (Am) Act, 2018 and substituted by VAT (Am) Act, 2025

⁶⁷⁰ Inserted by VAT (Am) Act, 2018

⁶⁷¹ Substituted by VAT (Am) Act, 2019

⁶⁷² (vv) Inserted by VAT (Am) Act, 2018

⁶⁷³ Substituted by VAT (Am) (No. 2) Act, 2020 WEF 1/4/2020; Repealed by VAT (Am) Act, 2021

⁶⁷⁴ Substituted by VAT (Am) Act, 2023 and Repealed by VAT (Am) Act, 2025

⁶⁷⁵ Inserted by VAT (Am) Act, 2018

[(xx) the supply of all production inputs into limestone mining and processing into clinker in Uganda and the supply of clinker for further value addition in Uganda;]⁶⁷⁶

[(yy) the supply of all production inputs necessary for processing of hides and skins into finished leather products in Uganda and the supply of leather products wholly made in Uganda.]⁶⁷⁷

(al) the supply of services to conduct a feasibility study, design and construction; the supply of locally produced materials for the construction of premises and other infrastructure, machinery and equipment or furnishings or fittings for technical or vocational institute operators whose investment capital is at least ten million United States Dollars in the case of a foreigner or one million United States dollars in the case of a citizen;⁶⁷⁸

(am) the supply of imported drugs, medicines and medical sundries;⁶⁷⁹

(an) the supply of imported mathematical sets and geometry sets used in educational services;⁶⁸⁰

(ao) the supply of woodworking machines;⁶⁸¹

(ap) the supply of welding machines and sewing machines.⁶⁸²

(aq) supply of imported crayons, coloured pencils, lead pencils, rulers, erasers, stencils, technical drawing sets, educational computer tablets, educational computer applications or laboratory chemicals for teaching science subjects used in educational services.⁶⁸³

[(fff) supply of cotton seed cake;]⁶⁸⁴

(ar) the supply of the following services - ⁶⁸⁵

(i) [software and equipment installation services to manufacturers;]⁶⁸⁶

(ii) services incidental to tele-medical services; and

⁶⁷⁶ Inserted by VAT (Am) Act, 2018; Repealed by VAT (Am) Act, 2021

⁶⁷⁷ Inserted by VAT (Am) Act, 2018; Repealed by VAT (Am) Act, 2023

⁶⁷⁸ Inserted by VAT (Am) Act, 2019

⁶⁷⁹ Inserted by VAT (Am) Act, 2019

⁶⁸⁰ Inserted by VAT (Am) Act, 2019

⁶⁸¹ Inserted by VAT (Am) Act, 2019

⁶⁸² Inserted by VAT (Am) Act, 2019

⁶⁸³ Inserted by VAT (Am) Act, 2019

⁶⁸⁴ Inserted by VAT (Am) Act, 2020 and repealed by VAT (Am) Act, 2023

⁶⁸⁵ Subparagraphs (ar) to (av) inserted by VAT (Am) Act, 2022

⁶⁸⁶ Repealed by VAT (Am) Act, 2024

(iii) royalties paid in respect of agricultural technologies;

(as) the supply of accommodation in tourist hotels and lodges located upcountry;

(hhha) the supply of accommodation in tourist lodges and hotels inside a radius of 50 kilometres from the boundaries of Kampala from 1st Jul, 2020 to 30th June, 2021.⁶⁸⁷

(at) the supply of liquefied gas; ⁶⁸⁸

(au) the supply of processed milk;

(av) the supply of locally developed computer software, its maintenance and software licenses;

[(lll) the supply of services to conduct a feasibility study, design and construction; the supply of locally produced materials for construction of premises, infrastructure, machinery and equipment or furnishings and fittings which are not available on the local market to a hotel or tourism facility developer whose investment capital is eight million United States Dollars with a room capacity not exceeding 30 rooms; or to meetings, incentives, conferences and exhibitions facility developer whose investment capital is not less than one million united states dollars.]⁶⁸⁹

(aw) the supply of services to a manufacturer, other than a manufacturer referred to in subparagraph (af)[ae] ⁶⁹⁰ whose investment capital is at least thirty million United States Dollars for a foreign investor or United States Dollars five million for a local investor, to conduct a feasibility study or to undertake design and construction, or in the case of any other manufacturer, from the date on which the manufacturer makes an additional investment equivalent to thirty million United States Dollars for a foreign investor or five million United States Dollars for a local investor : - ⁶⁹¹

(i) who has the capacity to use at least seventy percent of the raw materials that are locally sourced, subject to their availability; and

(ii) who has the capacity to employ at least seventy percent of the employees that are citizens earning an aggregate wage of at least seventy percent of the total wage bill.

⁶⁸⁷ Inserted by VAT (Am No.2) Act, 2020 with sunset clause for June 2021

⁶⁸⁸ Inserted by VAT (Am) Act, 2021

⁶⁸⁹ Inserted by VAT (Am) Act, 2020 and deleted by VAT (Am No.2) Act, 2020 WEF 1/4/2020

⁶⁹⁰ Error in cross-reference by ULRC in Revised Laws of Uganda, 2024. Correct reference should be (ae)

⁶⁹¹ Subparagraph (aw) inserted by VAT (Am) Act, 2021

- (ax) the supply of liquefied gas and denatured fuel ethanol;
- (ay) the supply of assistive devices for persons with disability;⁶⁹²
- (az) the supply of airport user services charged by the Civil Aviation Authority-⁶⁹³
- (ba) *the supply of biomass pellets*⁶⁹⁴

2. In this Schedule -

(a) "education services" means education provided by -

- (i) a pre-primary, primary, or secondary school;
- (ii) a technical college or university;
- (iii) an institution established for the promotion of adult education, vocational training, technical education, or the education or training of physically or mentally handicapped persons;

(b) "financial services" means -

- (i) granting, negotiating, and dealing with loans, credit, credit guarantees, and any security for money, including management of loans, credit, or credit guarantees by the grantor;
- (ii) transactions concerning deposit and current accounts, payments, transfers, debts, *foreign currency sales and purchases, cheques*,⁶⁹⁵ and negotiable instruments, other than debt collection and factoring;
- (iii) transactions relating to shares, stocks, bonds, and other securities, other than custody services;
- (iv) management of investment funds; but does not include provision of credit facilities under a hire-purchase or finance lease agreement;
- (v) Islamic financial arrangements offered by a person as an Islamic financial business but does not include provision of credit facilities under a lease-based financing.⁶⁹⁶

(c) "passenger transportation services" means the transportation of fare-

⁶⁹² Inserted by VAT (Am) Act, 2022

⁶⁹³ Inserted by VAT (Am) Act, 2022

⁶⁹⁴ Inserted by VAT (Am) Act, 2025

⁶⁹⁵ Inserted by VAT (Am) Act, 2006

⁶⁹⁶ Inserted by VAT (Am No.2) Act, 2023

paying passengers, and their personal effects by road, rail, water, or air, but does not include passenger transport services provided by a registered tour operator; and

(d) "social welfare services" means -

(i) care for the elderly, sick, and disabled, including care in a hospital, aged person's home, and similar establishments; or

(ii) care and welfare services provided for the benefit of minors.

(e) "transfer of a going concern" includes the disposal of any part of a business which is capable of separate operation;

(f) insurance services include brokerage.⁶⁹⁷

3. For the purposes of paragraph 1(a) of this Schedule, the term "unprocessed" includes low value-added activity such as sorting, drying, salting, filleting, *husking*,⁶⁹⁸ deboning, freezing, chilling, or bulk packaging, *where, except in the case of packaging*,⁶⁹⁹ the value added does not exceed 5% of the total value of the supply.
4. Specialised vehicles, plant and machinery, _feasibility studies, engineering designs, consultancy services and civil works related to hydro-electric power, roads and bridges construction, public water works, agriculture, education and health sectors shall be exempt supplies, for the duration of the contract of supply until the completion or termination of the contract, where the contract was entered into prior to the 1st day of July 2014. [Paragraph 1(aa) shall continue to apply to contracts that were entered into prior to its repeal until the contracts are completed or are terminated.]⁷⁰⁰

⁶⁹⁷ Inserted by VAT (Am) Act, 2009

⁶⁹⁸ Substituted by VAT (Am) Act, 2018

⁶⁹⁹ Substituted by VAT (Am) Act, 2018

⁷⁰⁰ Inserted by VAT (Am) Act, 2014; modified by ULRC in the Revised Laws of Uganda, 2024

*Schedule 4**Section 24(4), 50, 53***Zero-Rated Supplies**

1. The following supplies are specified for the purposes of Section 24(4) -

- (a) a supply of goods or services where the goods or services are exported from Uganda as part of the supply;
- (b) the supply of international transport of goods or passengers *and tickets for their transport*;⁷⁰¹
- (c) the supply of drugs, medicines *and medical sundries manufactured in Uganda*;⁷⁰²
- (d) the supply of educational materials [and the supply of printing services for educational materials];⁷⁰³ *including educational materials manufactured in a Partner State of the East African Community* ;⁷⁰⁴
- (e) the supply of seeds, fertilisers, pesticides, and hoes;
- (f) the supply of cereals where the cereals are ground and milled [or produced] in Uganda;⁷⁰⁵
- (g) the supply of machinery, tools and implements suitable for use only in agriculture;⁷⁰⁶
- (h) the supply of milk, including milk treated in any way to preserve it;⁷⁰⁷
- (ha) the supply of water, excluding mineral water and aerated waters containing sweetening matter or flavoured;⁷⁰⁸
- (j) the supply and installation of mobile toilets, ekoloo toilets and components made from polythene with effect from 1st July 2004;⁷⁰⁹

⁷⁰¹ Substituted by VAT (Am No.2) Act, 2002

⁷⁰² Substituted by VAT (Am) Act, 2019

⁷⁰³ Substituted by VAT (Am No.2) Act, 2002 & Repealed by VAT (Am) Act, 2014

⁷⁰⁴ Substituted by VAT (Am) Act, 2022

⁷⁰⁵ Substituted by VAT (Am) Act, 2013. Repealed by VAT (Am) Act, 2014

⁷⁰⁶ Inserted by Finance Act, 2001. Repealed by VAT (Am) Act, 2014

⁷⁰⁷ Added by VAT (Am) Act, 2002. Repealed by VAT (Am) Act, 2014

⁷⁰⁸ Inserted by VAT (Am) Act, 2011; and Repealed by VAT (Am) Act, 2012

⁷⁰⁹ Inserted by VAT (Am) Act, 2005; and Repealed by VAT (Am) Act, 2012

- (f) the supply of sanitary towels, *menstrual cups*,⁷¹⁰ [and] *tampons and the inputs for their manufacture*;⁷¹¹
 - (g) the supply of leased aircraft, aircraft engines, [spare engines], spare parts for aircraft, [and] aircraft maintenance equipment *and repair services*.⁷¹²
 - (h) the supply of cereals, where the cereals are grown and milled in Uganda;⁷¹³
 - (i) the supply of handling services provided by the National Medical Stores in respect of medicines and other medical supplies funded by donors.⁷¹⁴
 - (j) *the supply of aircraft*⁷¹⁵
2. For the purposes of paragraph 1(a), goods or services are treated as exported from Uganda if ;-
- (a) in the case of goods, the goods are delivered to, or made available at, an address outside Uganda as evidenced by documentary proof acceptable to the Commissioner General; or
 - (b) in the case of services, the services were supplied *by a person engaged exclusively in handling of goods for export at a port of exit or were supplied*⁷¹⁶ for use or consumption outside Uganda as evidenced by documentary proof acceptable to the Commissioner General.
3. For the purposes of paragraph (1) (b), international transport of goods or passengers occurs where goods or passengers are transported by road, rail, water, or air –
- (a) from a place outside Uganda to another place outside Uganda where the transport or part of the transport is across the territory of Uganda;
 - (b) from a place outside Uganda to a place in Uganda; or
 - (c) from a place in Uganda to a place outside Uganda.
4. In this Schedule –

⁷¹⁰ Inserted by VAT (Am) Act, 2022

⁷¹¹ Inserted by VAT (Am) Act, 2005 and substituted by VAT (Am) Act, 2009

⁷¹² Inserted by VAT (Am) Act 2, 2008; substituted by VAT (Am) Act, 2021

⁷¹³ Inserted by VAT (Am) Act 2, 2015 WEF 1/1/2015

⁷¹⁴ Inserted by VAT (Am) Act 2, 2015 WEF 1/1/2015

⁷¹⁵ Inserted by VAT (Am) Act, 2025

⁷¹⁶ Inserted by VAT (Am) Act, 2006

- (a) "educational materials" means locally produced materials which are suitable for use in public libraries or for educational services as defined in paragraph (2)(a) of Schedule 3 to this Act, and which shall be prescribed by the Minister by regulations.

["educational materials" means materials, whether printed or audio, suitable for use only in public libraries and educational establishments specified in paragraph 2 of the Second Schedule to this Act];⁷¹⁷

- (b) "pesticides" means insecticides, rodenticides, fungicides and herbicides but does not include pesticides packaged for personal or domestic use.

⁷¹⁷ Inserted by VAT (Am) Act, 2013 & substituted by VAT (Am) Act, 2018

Schedule 5

*Sections 24(2), 25, 26(5), 27(2), (3),
28(9), (10), (11), 29(8), 30*

Formulae, Tax Invoices, Credit Notes and Debit Notes

1. (a) For the purposes of Section 24(2), the following formula shall apply -

$$A \times B$$

where,

A is the taxable value as determined wider Section 21(2) or (3); and

B is the tax fraction.

- (b) For the purposes of Section 25, the following formula shall apply -

$$X - Y$$

where,

X is the total of the tax payable in respect of taxable supplies made by the taxable person during the tax period; and

Y is the total credit allowed to the taxable person in the tax period under the Act.

- (c) For the purposes of Section 26(5), the following formula shall apply -

$$S - T$$

where,

S is the total output tax received by the taxable person during the tax period in respect of taxable supplies made by the person and

T is the total input tax credit allowed to the taxable person in the tax period under the Act.

- (d) For the purposes of Section 27(2), the following formula shall apply -

$$M - N$$

Where,

M is the total amount of input tax credited in relation to amounts due by the taxable person at the time of change in the accounting basis; and

N is the total amount of output tax accounted for in relation to amounts due to the taxable person at the time of change in the accounting basis.

- (e) For the purposes of Section 27(3), the following formula shall apply -

$$O - P$$

where,

O is the total amount of output tax that would have been accounted for on amounts due to the taxable person at the time of change in

accounting basis if the taxable person had been accounting for tax on an invoice basis; and

P is the total amount of input tax that would have been credited on amounts due by a taxable person at the time of change in accounting basis if the taxable person had been accounting for tax on an invoice basis.

(f) For the purposes of Section 28(9)(b), the following formula shall apply-

$$A \times B / C$$

where,

A is the total amount of input tax for the period;

B is the total amount of taxable supplies made by the taxable person during the period; and

C is the total amount of all supplies made by the taxable person during the period other than an exempt supply under paragraph 1(k) of Schedule 3 to this Act.

2. A tax invoice as required by Section 29 shall, unless the Commissioner General provides otherwise, contain the following particulars -

(a) the words "tax invoice" written in a prominent place;

(b) the commercial name, address, place of business, and the taxpayer identification and value added tax registration numbers of the taxable person making the supply;

(c) the commercial name, address, place of business, and the taxpayer identification number and value added tax registration number of the recipient of the taxable supply;

(d) the individualised serial number and the date on which the tax invoice is issued;

(e) a description of the goods or services supplied and the date on which the supply is made;

(f) the quantity or volume of the goods or services supplied;

(g) the rate of tax for each category of goods and services described in the invoice; and

(h) either -

(i) the total amount of the tax charged, the consideration for the supply exclusive of tax and the consideration inclusive of tax; or

(ii) where the amount of tax charged is calculated under Section 24(2),

the consideration for the supply, a statement that it includes a charge in respect of the tax and the rate at which the tax was charged.

3. A credit note as required by Section 30(1) shall, unless the Commissioner General provides otherwise, contain the following particulars -
- (a) the words "credit note" in a prominent place;
 - (b) the commercial name, address, place of business, the taxpayer identification and value added tax registration number of the taxable person making the supply;
 - (c) the commercial name, address, place of business, the taxpayer identification and value added tax registration numbers of the recipient of the taxable supply;
 - (d) the date on which the credit note was issued;
 - (e) the rate of tax; and
 - (f) either-
 - (i) the taxable value of the supply shown on the tax invoice, the correct amount of the taxable value of the supply, the difference between those two amounts, and the tax charged that relates to that difference; or
 - (ii) where the tax charged is calculated under Section 24(2), the amount of the difference between the taxable value shown on the tax invoice and the correct amount of the taxable value and a statement that the difference includes a charge in respect of the tax;
 - (g) a brief explanation of the circumstances giving rise to the issuing of the credit note; and
 - (h) information sufficient to identify the taxable supply to which the credit note relates.
4. A debit note as required by Section 30(2) shall, unless the Commissioner General provides otherwise, contain the following particulars -
- (1) the words "debit note" in a prominent place;
 - (2) the commercial name, address, place of business, and the taxpayer identification and value added tax registration numbers of the taxable person making the supply;
 - (3) the commercial name, address, place of business, and the taxpayer identification and [value added tax]⁷¹⁸ registration numbers of the recipient of the taxable supply;

⁷¹⁸ Omitted by ULRC in the Revised Laws of Uganda, 2024

- (4) the date on which the debit note was issued;
- (5) the rate of tax; and
- (6) either -
 - (i) the taxable value of the supply shown on the tax invoice, the correct amount of the taxable value of the supply, the difference between those two amounts, and the tax charged that relates to that difference; or
 - (ii) where the tax charged is calculated under Section 24(2), the amount of the difference between the taxable value shown on the tax invoice and the correct amount of the taxable value and a statement that the difference includes a charge in respect of the tax;
- (7) a brief explanation of the circumstances giving rise to the issuing of the debit note;
- (8) information sufficient to identify the taxable supply to which the debit note relates.

Schedule 6

Sections 35(3), 39(2), 3

Calculation of Interest Penalty

The rate of interest chargeable as penalty shall be 2% per month, compounded.

SUBSIDIARY LEGISLATION

(Statutory Instruments and Regulations)

VALUE ADDED TAX REGULATIONS, 1996

(Under Section 51 of the ACT)

1. Citation and Commencement

These Regulations may be cited as the Value Added Tax Regulations.

2. Contracts entered into before and after 1st July 1996

- (1) Where a contract was concluded between two or more parties before the 1st July 1996, and no provision relating to tax was made in the contract, the supplier shall recover tax due on any taxable supplies made under the contract after 1st July 1996.
- (2) Where a contract concluded after 1st July 1996 does not include a provision relating to tax, the contract price shall be deemed to include the tax and the supplier under the contract shall account for the tax due.

3. Tax paid on capital goods and stock on hand

Where after the 1st July 1996, a person being registered has in stock plant and machinery and other goods on which tax was paid prior to being registered, that person shall be entitled to claim a credit of the tax on the goods which were purchased within four months before the date of registration, and in the case of plant and machinery, within six months before the date of registration.

4. Display of Registration Certificate

A registered taxpayer shall display the registration certificate issued under the Act at his or her principal place of business.

5. New Investors

- (1) A Person who is approved by the Uganda Investment Authority as an investor and who plans to make taxable supplies in due course, may apply to the Commissioner General to be registered as an investment trader [for a period not exceeding four years] ⁷¹⁹ for a period of four years, renewable for another period of four years. [Effective 1st July 2002]⁷²⁰

⁷¹⁹ Substituted by VAT (Am) Regulations, 2007

⁷²⁰ Revoked by VAT (Am) Regulations, 2011

- (2) A person shall not be registered as an investment trader unless that person gives the Commissioner General an undertaking and security that the Commissioner General may require, guaranteeing the repayment of any tax refunded to that person, if that person does not make any taxable supply within the period during which that person was registered as an investment trader.
- (3) An investment trader may claim input tax deduction in respect of expenditure on inputs, whether imported or locally procured, relating to the planned taxable business activities and that trader shall be entitled to a refund of the input tax on those purchases.
- (4) An Investment trader shall abide shall abide by all duties and obligations of a registered person, including the keeping of proper books of accounts and the filing of regular returns.
- (5) A person shall cease to be an investment trader immediately after making a taxable supply in the course of business.

6. Tax on construction services

- (1) Where a taxable supply is building and construction services, tax shall be collected at each stage of the work when an invoice is issued or when payment is received or becomes due, whichever is the earliest, in respect of each stage completed.
- (2) Where an invoice or a claim for payment by a contractor requires certification by an architect, building consultant or other person: the invoice or claim shall not be effective for tax purposes until it is certified as required, and the time of supply shall be the time of certification, and for purposes of the tax any claim or invoice under this Regulation shall be certified within 30 days of the date of the invoice or claim.
- (3) Where a contractor varies the cost of a contract during the course of execution, the variations to the original contract shall be deemed to include tax, and the tax shall become due and payable at the time payment is made for each stage completed.

7. Relief for Diplomats, etc.

- (1) The relief provided for under Section 37 of the Act relating to diplomatic missions and accredited personnel shall be administered as follows –
 - (a) in the case of imported goods and services, the diplomatic mission or accredited personnel shall be exempted from tax;

- (b) in the case of services provided by *persons providing Utility services*,⁷²¹ the diplomatic mission or accredited personnel shall be exempted from tax;
 - (c) in the case of other procurements, the tax shall be payable, and the diplomatic missions or accredited personnel entitled to relief may claim a refund of the tax paid on the following conditions -
 - (i) the diplomatic mission or accredited personnel shall produce evidence of procurement and of payment of the tax;
 - (ii) individual transactions of less than 50,000/=, excluding tax, shall not be eligible for a refund;
 - (iii) the total value of transactions for any claim period shall not be less than 200,000 /=-, excluding tax;
 - (iv) diplomatic missions or accredited personnel may be required to provide evidence of entitlement to relief by producing the official card issued by the Ministry responsible for Foreign Affairs.
- (2) The relief provided under Section 49 relating to Public International Organisations in the First Schedule of the Act shall be administered as follows:
- (a) the organisation may be required to provide evidence of entitlement to relief in terms of a valid agreement with the Government of Uganda;
 - (b) the organisation shall be exempted from tax in the case of imported goods and services;
 - (c) in the case of locally procured goods and services, tax shall be payable and the organisation entitled to relief may claim a refund of the tax on the following conditions:-
 - (a) the organisation shall produce evidence of procurement and of payment of the tax;
 - (b) individual transactions of less than 50,000/=, excluding tax, shall not be eligible for a refund;
 - (c) the total value of transactions for any claim period shall not be less than 200,000/=, excluding tax;
- (3) The Commissioner General may prescribe the forms to be used for refund

⁷²¹ Substituted by VAT (Am) Regulations, 2011

claims and may specify the frequency of submitting and processing claims in any individual case, which frequency shall not be less than a month.

8. Records to be kept by a registered person

- (1) A registered person shall keep records and accounts of all supplies received or made by that person in the course of business, including zero-rated and exempt supplies.
- (2) For the purpose of accounting for input tax and output tax, the following records shall be kept by a registered person -
 - (a) tax accounts and records, which shall include total output tax and input tax in each period and net tax payable or the excess credit of tax refundable at the end of the tax period;
 - (b) purchase records, showing details of all local purchases on which tax has been paid, on all imports on which tax has been paid, and of all purchases made without payment of tax, including original tax invoices for all local purchases from registered suppliers, invoices for local purchases from unregistered suppliers and certified customs entries of all imports;
 - (c) sales records showing exempt and taxable sales and, where tax is chargeable, the rates of tax applicable for each sale, including copies of tax invoices and receipts issued in respect of sales;
 - (d) exports records showing details of goods and services exported from Uganda, including, in the case of goods, certified copies of customs export documents and evidence of exportation;
 - (e) debit and credit notes issued and received;
 - (f) cash records including cash books, petty cash vouchers and other records showing daily taking such as till rolls or copy receipts;
 - (g) computer records;
 - (h) in the case of a person making exempt and taxable supplies, details of input tax calculations;
 - (i) transitional relief claims and all related documents and records;
 - (j) stock records showing movements of goods into or out of stock including, in the case of a manufacturer, manufacturing stock records.

- (3) In addition to the records kept under paragraph (2), a registered person with a taxable turnover exceeding 100 million shillings per annum shall keep the following records -
- (a) orders and delivery notes;
 - (b) relevant business correspondence;
 - (c) appointment and job books;
 - (d) annual accounts including trading, profit and loss accounts and balance sheet; and;
 - (e) bank statements and pay-in-slips.
- (4) All records shall be kept by the taxpayer for a period of six years and shall be available to the Commissioner General for audit or inspection if required.

9. Simplified tax invoices

- (1) Notwithstanding the basic requirements in respect of tax invoices, as specified in the Fourth Schedule to the Act, registered persons with a taxable turnover below 100 million shillings per annum may issue a simplified tax invoice for taxable supplies made to another registered person, provided the value of any individual item on the invoice does not exceed 50,000/= and the total invoice does not exceed one hundred thousand shillings.
- (2) A simplified tax invoice shall contain the following particulars -
- (a) the commercial name, address, taxpayer identification number and registration number of the person making the supply;
 - (b) the date the invoice is issued;
 - (c) the description of the goods;
 - (d) the quantity of the goods; and
 - (e) the value of the supply inclusive of tax and a statement that tax is included in the price.
- (3) Zero-rated supplies and exempt supplies shall not be included on a simplified tax invoice.

10. Treatment of Cash-Basis accounting taxpayer

- (1) This Section shall apply to registered persons whose annual taxable supplies do not exceed *two hundred million shillings*.⁷²²
- (2) Where a registered person sells only goods liable at the positive rate of tax, sales may be calculated on the basis of the daily gross takings recorded from the cash register or cash box and a sales day book record and any cash removed from the cash register or box must be recorded and included in the daily gross takings total; then the output tax is calculated by applying the tax fraction to the total of the daily gross takings for the tax period.
- (3) Where a registered person makes zero-rated or exempt supplies, in addition to supplies at the positive rate, sales may be recorded on the basis of daily gross takings at each tax rate, and the different tax categories shall be separately identified at the point of sale either by means of a cash register or by keeping separate cash boxes for each category, together with a sales day book record, or in some other manner acceptable to the Commissioner General; then the output tax is calculated by applying the tax fraction to the total gross takings at the positive rate for the tax period.

11. Export of goods

- (1) Where goods are supplied by a registered taxpayer to a person in another country and the goods are delivered by a registered taxpayer to a port of exit for export, the goods may be invoiced at the zero rate, provided the registered taxpayer obtains documentary proof set out in this Section and the goods are removed from Uganda within 30 days of delivery to a port of exit.

(1a) For the purposes of sub-Regulation (1), the Commissioner General may require goods for export specified in a notice in the Uganda Gazette to be distinctively labelled by the registered taxpayer.⁷²³

(1b) The Commissioner General shall issue guidelines to specify the colour, nature, size and type of labels referred to in sub-Regulation (1a).⁷²⁴

- (2) For an export transaction to qualify for zero-rating, a registered taxpayer shall obtain and be able to show as proof of export for every export transaction the following -
 - (a) a copy of the bill of entry or export certified by the Customs authorities;

⁷²² Substituted by Finance Act, 1999

⁷²³ Inserted by VAT (Am) Regulations, 2011

⁷²⁴ Inserted by VAT (Am) Regulations, 2011

- (b) a copy of the invoice issued to the foreign purchaser with tax shown at the zero rate;
- (c) evidence sufficient to satisfy the Commissioner General that the goods have been exported, in the form of an order from, or signed contract with, a foreign purchaser, or transport documentation which identify the goods such as –
 - (i) transit order or consignment note issued by the Uganda Railways Corporation for goods exported by rail;
 - (ii) copy of a bill of lading for goods exported by water;
 - (iii) copy of an airway bill for goods exported by air; or
 - (iv) copy of a transport document for goods exported by road.

12. Export of service

Where services are supplied by a registered taxpayer to a person outside Uganda, the services shall qualify for zero rating only if the taxpayer can show evidence that the services are used or consumed outside Uganda, which evidence can be in the form of a contract with a foreign purchaser and shall clearly specify the place of use or consumption of the service to be outside Uganda or that the service is provided for a building or premises outside Uganda.

13. Imported services⁷²⁵

- (1) A person who receives imported services other than an exempt service shall account for the tax due on the supply, and the taxpayer shall account for that service when performance of the service is completed, or when payment for the service is made, or when the invoice is received from the foreign supplier, whichever is the earliest.
- (2) The value for calculating the amount of tax payable under paragraph (1) shall be the taxable value of the supply determined under Section 21 of the VAT Act and the taxable person receiving the services shall apply the tax rate to the taxable value to calculate the tax due and he shall enter both the value and the tax calculated in his tax return.
- (3) If a taxable person carries on a business both in and outside Uganda, and there is an internal provision of services from the part outside Uganda to the part in Uganda, then, in relation to those services, the following applies for the purposes of the Value Added Tax Act and these Regulations-
 - (a) that part of the business carried on outside Uganda is treated as if it

⁷²⁵ Paragraph 13 substituted by VAT (Am) Regulations, 2011

- were carried on by a person (referred to as the "overseas person") separate from the taxable person;
- (b) the overseas person is not a taxable person; and
- (c) the internal provision of services is treated as a supply of services made outside Uganda by the overseas person to the taxable person for reduced consideration.
- (1) A registered taxpayer who receives a supply of services from a foreign supplier shall account for tax due on the supply, and the taxpayer shall account for that tax when performance of the service is completed, or when payment for the service is made, or when the invoice is received from the foreign supplier, whichever is the earliest.
- (2) The value for calculating the amount of tax payable under paragraph (1) shall be the total consideration paid to the foreign supplier and the registered person receiving the services shall apply the tax rate to the total consideration to calculate the tax due and he shall enter both the value and the tax calculated in his tax return.
- (3) Tax accounted for on imported services may be claimed as a credit under the provision of Section 28 of the Act, provided the recipient of the service prepares a self-billed tax invoice to account for tax due on the supply; the claim for credit is subject to the conditions specified in Section 28 of the Act.

14. Credit for input tax for persons making taxable and exempt supplies

- (1) Where a registered taxpayer who is making taxable and exempt supplies is disadvantaged by the provisions of Section 28(9)(b) of the Act, the Commissioner General may approve an alternative method for calculating the input tax to be credited, as described in paragraphs (2) and (3), which shall be known as the Standard Alternative Method.
- (2) The registered taxpayer may directly attribute input tax separately to the exempt and taxable supplies in so far as this is possible and may claim credit for the input tax related to taxable supplies and for none of the input tax related to exempt supplies.
- (3) The balance of input tax which cannot be attributed to taxable or exempt supplies shall be apportioned under the provisions of Section 28(9)(b) of the Act; however, the provisions of Section 28(15) and (16) of the Act shall be complied with in respect of the non-attributable input tax.
- (4) Where a registered taxpayer wishes to use the Standard Alternative Method, or any other method which is not provided for in Section 28(9)(b) of the Act, that taxpayer must seek the written approval of the Commissioner General.

SI No.51 of 2005 and No. 29 of 2006**VALUE ADDED TAX (RATE OF TAX) ORDER, 2005**

(Under Section 51 of the Value Added Tax Act)

IN EXERCISE of the powers conferred upon the Minister by Section 51(2) of the Value Added Tax Act, this Order is made this 8th day of June, 2005.

1. Title

This Order may be cited as the Value Added Tax (rate of Tax) Order 2006.

2. Commencement

This Order shall come into force on the 1st day of July 2005.

3. Rate of tax

The rate of tax for –

(a) every taxable supply made in Uganda by a taxable person;

(b) every import of goods other than an exempt import; and

(c) the supply of any imported services by any person,

is 18% of the taxable value as defined in Sections 21 and 23 of the VAT Act.

4. Rate of tax not to apply to zero-rated goods

The rate of tax prescribed in paragraph 3 does not apply to taxable supplies specified in the Third Schedule of the Act relating to zero-rated supplies.

VALUE ADDED TAX

(RATE OF TAX) ORDER, 2007⁷²⁶

(Under Section 78 of the Value Added Tax Act, Cap. 349)

IN EXERCISE of the powers conferred upon the Minister by Section 78 of the Value Added Tax Act, this Order is made this 15th day of June, 2007.

1. Title

This Order may be cited as the Value Added Tax (Rate of Tax) Order 2007.

2. Commencement

This Order shall come into force on the 1st day of July 2007.

3. Application of order

This Order applies to a taxable supply which is part of a commercial venture of a taxable person who builds for rent or sale and owns more than ten residential dwelling units.

4. Rate of tax

The rate of tax for every taxable supply of a residential dwelling unit made by a taxable person is 5% of the taxable value as defined in Sections 21 and 23 of the Act.

Statutory Instrument No. 30 of 2009
VALUE ADDED TAX (RATE OF TAX) (REVOCATION) ORDER, 2009*(Under Section 51 of the VAT Act)*

IN EXERCISE of the powers conferred upon the Minister by Section 51 of the VAT Act, this Order is made this 8th day of June 2009.

1. Title

This Order may be cited as the Value Added Tax (Rate of Tax) (Revocation) Order 2009.

2. Revocation

The Value Added Tax (Rate of Tax Order) 2007, S.I No. 21 of 2007 is revoked.

⁷²⁶ Revoked by the VAT (Rate of Tax) (Revocation) Order, 2009

**VALUE ADDED TAX (DEFERMENT OF TAX ON PLANT AND MACHINERY)
REGULATIONS, 2013**

(Under Section 32(7) of the Value Added Tax Act – SI 2013 No. 28)

Arrangement of Regulations

IN EXERCISE of the powers conferred upon the Minister by Section 32(7) of the Value Added Tax Act, these Regulations are made this 28th day of June, 2013.

1. Title

These Regulations may be cited as the Value Added Tax (Deferment of Tax on Plant and Machinery) Regulations 2013.

2. Commencement

These Regulations shall come into force on 1st July 2013.

3. Interpretation.

In these Regulations unless the context otherwise requires –

"Act" means the Value Added Tax Act; and

"deferment" means postponement of payment of the value added tax under the Act in respect of imported plant and machinery.

4. Application for deferment.

- (1) An importer of plant and machinery may apply to the Commissioner General to defer the payment of tax due in respect of imported plant and machinery.
- (2) An application for deferment shall be in the form prescribed by the Commissioner General and shall be accompanied with a declaration by the applicant that the goods are for use in the business of the applicants and shall not be disposed of during the deferment period without prior approval by the Commissioner General.
- (3) Subject to Regulation 5, the Commissioner General may if satisfied that the imported plant and machinery is for use in the manufacture of goods or provision of value-added services defer the payment of the tax to a specified period.
- (4) Where an application is in respect of phased importation of plant and machinery, the application shall be accompanied with a schedule

indicating the phases and the list of the plant and machinery included in each phase.

5. Period of deferment.

- (1) The period of deferment, in the case of -
 - (a) a person making taxable supplies, be fifteen days after the tax period;
 - (b) a person not yet making taxable supplies, be one year from the commencement of the deferment; and
 - (c) of phased importations, be fifteen days after the tax period.
- (2) A person under subsection 1 (b) may apply for extension of time to the Commissioner General not exceeding one year.

6. Conditions for approval

- (1) The Commissioner General shall not approve an application for deferment unless –
 - (a) the applicant is registered under Part III of the Act;
 - (b) the plant and machinery in respect of which the application is made is imported for use in the business of the applicant;
 - (c) the tax due and in respect of which a deferment is sought is at least USD 4,000; and
 - (d) the applicant has complied with Section 31 of the Act
- (2) The Commissioner General may require the applicant to furnish security for the tax proposed to be deferred before approving the deferment.

7. Sale of plant and machinery during or after the deferment period.

Where the plant and machinery that is the subject of deferment is sold, re-exported or disposed of before or after expiry of the deferment period or utilized for any other purpose other than the purpose declared in the application, the importer shall pay in addition to any tax for which he or she is liable on such sale, re-export or disposal, the outstanding deferred amount and interest in accordance with the VAT Act.

8. Inspection

- (1) The Commissioner General may at any time during the period of

deferment, inspect the plant and machinery specified in the application for deferment to ascertain whether it is duly installed and utilised for the purpose specified in the application.

- (2) Where the Commissioner General ascertains that the plant and machinery is installed or utilised for the purpose specified in the application for deferment, the Commissioner General shall allow the taxable person to cause adjustments to the respective returns to reflect that the deferred tax has been accounted for.

9. Termination of deferment.

Deferment shall terminate -

- (a) when the period of deferment specified in accordance with Regulation 5 ends; or
- (b) where the Commissioner General ascertains under Regulation 8 that the imported machinery is not installed or utilised for the purpose specified in the application.

10. Payment of tax due.

Where the period of deferment terminates in accordance with these Regulations, the tax due shall become payable in accordance with the Act.

Statutory Instrument 2018 No. 35

VALUE ADDED TAX (TAX WITHHOLDING) REGULATIONS, 2018

(Under Section 51 of the Value Added Tax Act)

IN EXERCISE of the powers conferred upon the Minister responsible for finance by Section 78 of the Value Added Tax Act, these Regulations are made this 29th day of June, 2018.

1. Title

These Regulations may be cited as the Value Added Tax (Tax Withholding) Regulations, 2018.

2. Commencement

These Regulations shall come into force on 1st July 2018.

3. Interpretation

In these Regulations, unless the context otherwise requires –

"Act" means the Value Added Tax Act, Cap 344;

“tax withholding agent” means a person who is designed as such under a notice issued under Section 5(2) of the Act.

4. Record of payment

A person designated a tax withholding agent shall, upon making a payment for a taxable supply and deducting tax from the payment -

- (a) keep the records of the payment and the tax deduction in a form and manner as the Commissioner may prescribe; and
- (b) furnish the supplier with an acknowledgement of payment in a form as the Commissioner may prescribe.

5. Tax withholding agent to furnish return

Where no tax is withheld during a period of three consecutive tax periods, the tax withholding agent shall notify the Commissioner in writing stating that no tax was withheld in that period.

6. Taxable person to file returns

For the avoidance of doubt, the withholding of tax by a tax withholding agent shall not relieve a taxable person of any obligation to file returns in accordance with the Act.

7. Inspection of records

For the purposes of obtaining full information in respect of accounting for tax withheld, the Commissioner General may require any person –

- (a) to produce for examination, at such time and place as the Commissioner General may specify, records, books of accounts, documents and other records relating to calculation or withholding of tax in respect of any period specified by the Commissioner General;
- (b) to attend at such time and place as the Commissioner General may specify, for the purposes of being questioned, in respect of any matter of transaction appearing to be relevant to the tax liability of any person.

HON. MATIA KASAJA,

Minister of Finance, Planning and Economic Development

STATUTORY INSTRUMENT 2018 No. 38

VALUE ADDED TAX (ZERO-RATED EDUCATIONAL MATERIALS) REGULATIONS, 2018

(Under Section 51 and paragraph 4(a) of Schedule 4 to the VAT Act)
 IN EXERCISE of the powers conferred upon the Minister responsible for finance by Section 78 and paragraph 4(a) of Schedule 4 to the VAT Act, these Regulations are made this 3rd day of August, 2018.

1. Title

These Regulations may be cited as the Value Added Tax (Zero-Rated Educational Materials) Regulations, 2018.

2. Value added tax zero-rated educational materials

The following supplies are specified as educational materials for purposes of the paragraph 4(a) of the Third Schedule to the VAT Act –

- | | |
|--|---|
| (a) Crayons; | (n) Stencils; |
| (b) Coloured pencils; | (o) Chalkboard instruments; |
| (c) Lead pencils; | (p) Ruled paper; |
| (d) Pencil sharpeners; | (q) School registers or school books of |
| (e) Chalk boards; | soft or hard cover and in all sizes; |
| (f) Chalk; | (r) Examination paper supplied to |
| (g) Rulers; | examination boards as end user; |
| (h) Geometry/mathematical sets; | (s) Examination envelopes supplied to examination boards as under user; |
| (i) Erasers; | (t) Science related educational |
| (j) Ball points pens; | materials’; |
| (k) Exercise books with soft or hard cover in all sizes; | (u) Technical drawing sets and |
| (l) Graph books; | (v) Laboratory chemicals for the |
| (m) Duplicating paper; | teaching of science subjects; |

HON. MATIA KASAIJA,

Minister of Finance, Planning and Economic Development

Legal Notice No. 12 of 2018

VALUE ADDED TAX

(DESIGNATION OF TAX WITHHOLDING AGENTS) NOTICE, 2018

(Under Section 5(2) of the Value Added Tax Act)

IN EXERCISE of the powers conferred upon the Minister responsible for finance by Section 5(2) of the Value Added Tax Act, this Notice is issued this 29th day of June, 2018.⁷²⁷

1. Title

This Notice may be cited as the Value Added Tax (Designation of Tax Withholding Agents) Notice, 2018.

2. Commencement

This Notice shall come into force on the 1st day of July, 2018.

3. Designation of persons as tax withholding agents

The persons specified in the Schedule to this Notice are designated as value added tax withholding agents for purposes of section 5(2) of the Value

Added Tax Act.

Legal Notice No.1 of 2020

VALUE ADDED TAX (DESIGNATION OF TAX WITHHOLDING AGENTS) NOTICE, 2020

(Under Section 5(2) of the Value Added Tax Act)

IN EXERCISE of the powers conferred upon the Minister responsible for finance by Section 5(2) of the Value Added Tax Act, this Notice is issued this 22nd day of January, 2020.

1. Title

This Notice may be cited as the Value Added Tax (Designation of Tax Withholding Agents) Notice, 2020

⁷²⁷ Revoked by the VAT (Designation of Tax Withholding Agents) (Revocation) Notice, 2018 dated [28/09/2018]

2. Designation of persons as value added tax withholding agents.

The persons specified in the schedule to this Notice are designated as value added tax withholding agents for purposes of section 5(2) of the Value Added Tax Act.

EXCISE DUTY ACT

Arrangement of Sections

Sections

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1. Interpretation
2. Associate

PART 11 - IMPOSITION, LIABILITY AND PAYMENT OF EXCISE DUTY

3. Imposition of excise duty.

PART 111 - REGISTRATION OF MANUFACTURERS, IMPORTERS AND PROVIDERS OF EXCISABLE GOODS AND SERVICES

4. Registration of manufacturers, importers and providers of excisable goods and services [License for premises]

PART IV - CONTROL OF EXCISABLE GOODS

5. Provision of facilities for excise control
6. Entry
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PART V - PAYMENT OF EXCISE DUTY, RETURNS, ASSESSMENTS AND APPEALS

9. Payment of excise duty
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PART VI – MISCELLANEOUS

14. Prices quoted to include duty
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SCHEDULES

SCHEDULE 1 — Currency point

SCHEDULE 2 — Excise Duty in respect of Excisable Goods and Services

SCHEDULE 3 - Goods Exempt from Excise Duty

PART 1 - PRELIMINARY**1. Interpretation**

In this Act, unless the context otherwise requires —

“aircraft” includes every description of craft used in aerial navigation;

“assessment” means —

- (a) the ascertainment of excise duty under this Act;
- (b) the ascertainment of the amount of interest and any other amount payable by a person under this Act; or
- (c) a decision of the Commissioner which, under this Act, is subject to objection and appeal;

"Authority" means the Uganda Revenue Authority established by the Uganda Revenue Authority Act;

"beer" includes ale, porter, and any other description of beer and any liquor which is made or sold as a description of, or substitute for, beer and which contains more than two per cent of proof spirit but does not include —

- (a) liquor as defined in the law relating to liquor; or
- (b) any kind of beer prescribed by Regulations;

"cigar" means a cigar, cheroot, or cigarillo, prepared from tobacco;

"cigarette" means a cigarette prepared from tobacco and includes any form of tip and the paper;

"citizen" means —⁷²⁸

- (a) a natural person who is a citizen of a Partner State of the East African Community;
- (b) a company or a body of persons incorporated under the laws of a Partner State of the East African Community in which at least fifty-one percent of the shares are held by a person who is a citizen of a Partner State of the East African Community.

"Commissioner" means the Commissioner General appointed under the Uganda Revenue Authority Act;

"currency point" has the value assigned to it in Schedule 1 to this Act;⁷²⁹

⁷²⁸ Inserted by ED(Am) Act ,2019

⁷²⁹ Inserted by The Law Revision (Miscellaneous Amendments) Act, 2023

"distiller" means a manufacturer of spirits by distillation of a fermented liquor or enguli or by any other process;

"distillery" means a distiller's factory;

"distiller's warehouse" means a place of security provided by a distiller and approved by the Commissioner under this Act;

"document" includes magnetic tapes, disks and microfilms;

"enguli" means a spirituous liquor including a drink containing liquor, which is conveyed into a receiver in a distillery entered under this Act as an enguli receiver;

"excisable goods" means goods manufactured in Uganda and imported into Uganda and specified in Schedule 2 to this Act but does include goods exempt from duty;

"excisable services" means the services specified in Schedule 2 to this Act;

"excise duty" means a duty imposed under this Act;

"export" means to take or cause to be taken out of Uganda;

"fruit juice" means unfermented liquid extracted from the edible part of fresh fruit, whether the extracted liquid is diluted or not;⁷³⁰

"goods exempt from duty" means the goods specified in Schedule 3 to this Act;

"import" as used in relation to goods has the meaning assigned to it in the Value Added Tax Act;

"importer" as used in relation to goods has the meaning assigned to it in the Value Added Tax Act;

"manufacture" includes the production of excisable goods or any intermediate or uncompleted process in the production of excisable goods or the rectifying or denaturing of spirits;

"materials" means the goods from which excisable goods are capable of being manufactured and any residue from the process of manufacture;

"officer" includes a person other than a labourer employed in the service of the Authority and whose right or duty it is require the performance of any act in this Act;

"over-the-top services" means the transmission or receipt of voice or messages over the internet protocol network and includes access to virtual private networks;⁷³¹

⁷³⁰ Inserted by ED (Am) Act, 2024

⁷³¹ Inserted by ED(Am) Act ,2018

"own use" in relation to services means applying the services for non-business use;

"owner" in respect of any excisable goods, materials, aircraft, vessel, vehicle, plant, or other thing, includes a person who is or holds himself or herself out to be the owner, manufacturer, agent or the person in possession of or beneficially interested in, or having control of, or power of disposition over, such goods, materials, aircraft, vessel, vehicle, plant, or other thing;

"plant" includes utensils, presses, machinery, mills, implements, appliances and fittings;

"powder for reconstitution into beer" means a powder, crystal or other dry substance which, after being mixed with water or other non-alcoholic beverage, ferments to become or otherwise becomes, an alcoholic beverage;⁷³²

"premises" includes a building, house, room or place;

"registered person" means a person registered to manufacture excisable goods, import excisable goods or to provide excisable services under this Act;

"rectifier" means a person who redistills spirits removed from a spirits receiver for the purpose of purifying or adding flavour but does not include the re-distillation of enguli;

"return" means a return of excise duty;

"specially denatured spirits" means spirits denatured in accordance with a formula prescribed by Regulations made under this Act for specially denatured spirits;

"spirits" means spirits of any description and includes all liquor mixed with spirits and all mixtures and compounds or preparations made with spirits but does not include denatured spirits or enguli;

"sugar" includes a saccharine substance, extract, or syrup, rice, flaked maize, or any other description of corn which in the opinion of the Commissioner is prepared in a manner similar to flaked maize and any other material capable of being used in brewing except malt, com, hops, hop concentrate, or hop oil;

"supply" as used in relation to services has the meaning assigned to it in the Value Added Tax Act;

"telecommunications services" means a service for the transmission, emission, or reception of signals, writing, images, sounds, or information of any kind by wire, radio, optical, or other electromagnetic systems and includes the related transfer or assignment of the right to use capacity for such transmission, emission, or reception the provision of access to global or local

⁷³² Inserted by ED(Am) Act ,2024

information networks, but does not exclude a private network for the exclusive use of the person;

"tribunal" means the Tax Appeals Tribunal established by the Tax Appeals Tribunals Act;

"un-denatured spirits" means spirits that are not mixed with any substance to render the spirit unfit for human consumption or capable of being rendered unfit for human consumption, and includes neutral spirits or alcoholic beverages made from neutral spirits that are fit for human consumption⁷³³;

"value added services" means content, products or services offered in the telecom sector via the mobile platform and includes short messaging service and multimedia messaging service which afford the user flexibility in accessing other services including mobile betting, games, paying for services, products or promotions but does not include standard voice calls, peer to peer short messaging service and multimedia messaging service, fax transmission, internet, mobile money transactions and games promoted by a value added service provider licensed by the National Lotteries and Gaming Regulatory Board;

"value added tax" means value added tax imposed under the Value Added Tax Act;

"vegetable juice" means unfermented liquid extracted from the edible part of vegetables, whether the extracted liquid is diluted or not;⁷³⁴

"wash" means the fermented liquor from which spirits are produced by distillation;

"wine" means liquor of a strength not exceeding fifty degrees of proof which is made from fruit and sugar and which fruit or sugar mixed with any other material and which had undergone a process of fermentation in its manufacture and includes mead.

2. Associate

- 1) For the purposes of this Act, where a person who is not an employee acts in accordance with the directions, requests, suggestions or wishes of another person whether or not they are in a business relationship and whether those directions, requests, suggestions or wishes are communicated to the first-mentioned person, both persons are treated as associates of each other.
- 2) Without limiting the general effect of subsection (1), the following are treated as an associate of a person —

⁷³³ Inserted by ED(Am) Act,2024

⁷³⁴ Inserted by ED(Am) Act,2024

- (a) a relative of the person, unless the Commissioner is satisfied that neither person acts in accordance with the directions, requests, suggestions or wishes of the other person;
- (b) a partner of the person, unless the Commissioner is satisfied that neither person acts in accordance with the directions, requests, suggestions or wishes of the other person;
- (c) a partnership in which the person is a partner where the person, either alone or together with an associate or associates under another application of this section, controls fifty percent or more of the rights to income or capital of the partnership;
- (d) the trustee of a trust under which the person, or an associate under another application of this section, benefits or may benefit;
- (e) a company in which the person, either alone or together with an associate under another application of this section, controls fifty percent or more of the voting power in the company either directly or through one or more interposed companies, partnerships or trusts;
- (f) where the person is a partnership, a partner in the partnership who, either alone or together with an associate or associates under another application of this section, controls fifty percent or more of the rights to income or capital of the partnership;
- (g) where the person is the trustee of a trust, any other person who benefits or may benefit under the trust; or
- (h) where the person is a company —
 - (i) a person who, either alone or together with an associate or associates under another application of this section, controls fifty percent or more of the voting power in the company, either directly or through one or more interposed companies, partnerships or trusts; or
 - (ii) another company in which the person referred to in subparagraph (i), either alone or together with an associate or associates under another application of this section, controls fifty percent or more of the voting power in that other company, either directly or through one or more interposed companies, partnerships or trusts.

PART II - IMPOSITION, LIABILITY AND PAYMENT OF EXCISE DUTY

3. Imposition of excise duty

- (1) Subject to this Act, the excisable goods and excisable services specified in Schedule 2 to this Act shall be chargeable with the excise duty specified in that Schedule.

- (2) Unless otherwise provided in this Act excise duty —
- (a) in the case of an excisable service, is to be paid by the person providing the service;
 - (b) in the case of a manufactured excisable good, is to be paid by the person manufacturing the excisable good; and
 - (c) in the case of an imported excisable good, is to be paid by the person importing the excisable good.
- (3) A manufacturer of an excisable good becomes liable to pay excise duty on that manufactured excisable good when the manufactured good is removed from the manufacturer's premises.
- (4) A person providing an excisable service becomes liable to pay excise duty on that service *on the earlier of the following* — [date of provision of the service.]⁷³⁵
- (a) *the date on which the performance of the service is completed;*
 - (b) *the date on which payment for the service is made; or*
 - (c) *the date on which an invoice is issued;*
- (5) A telecommunications service operator providing data used for accessing over the top services is liable to account for and pay excise duty on the access to the over-the-top services.⁷³⁶
- (6) An importer of excisable goods shall pay excise duty at the time of import

PART III - REGISTRATION [LICENSING] OF MANUFACTURERS, IMPORTERS AND PROVIDERS OF EXCISABLE GOODS AND SERVICES ⁷³⁷

4. Registration of manufacturers, importers and providers of excisable goods and services [License for premises]

- 1) For the purpose of facilitating the administration of excise duty, *a manufacturer, importer or provider of excisable goods or excisable services other than retailers shall apply for registration and the registration the premises in which the manufacture, provision or dealing in excisable goods or excisable services, other than premises where retailing takes place.* [registered person shall apply for a licence form premises in which the manufacture provision or dealing in excisable goods or services takes place]
- 2) The application under subsection (1) shall be in a form prescribed by the Commissioner.

⁷³⁵ Substituted by ED(Am) Act,2018

⁷³⁶ Inserted by ED(Am) Act,2018

⁷³⁷ Section 4 Substituted by ED (Am) Act, 2019

- 3) The Commissioner may, within one month after receiving the application under subsection (1), *register or refuse to register a manufacturer, importer or provider of excisable goods and excisable services or the premises in which the manufacture, provision or dealing in excisable goods or excisable services takes place.* [the Commissioner may grant or refuse the application]
- 4) The Commissioner may require the applicant to meet specified conditions before registration of the applicant or premises. [licensing the premises of the applicant.]
- 5) The Commissioner may *issue a certificate of registration,* [grant or renew license] with or without conditions.
- 6) Where the Commissioner refuses to register the applicant or the premises [license premises] ,the Commissioner shall give reasons in writing for the refusal within one month referred to in subsection (3).
- 7) Where the Commissioner *registers a manufacturer, importer or provider of excisable goods and services or premises* [licenses premises] under this section, the Commissioner shall, [on payment the prescribed fee by the applicant] issue to the applicant *a certificate of registration* [license].
- 8) The certificate of registration shall be in a form prescribed by the Commissioner.
- 9) The Commissioner shall establish and maintain a register containing the relevant details of all registered persons and their premises of operation [premises licensed] under this section.

[(10) A certificate of registration [licence] issued under this section is valid for twelve months from the date of issue.]⁷³⁸

[(11)A registered person may apply to the Commissioner- in the approved form and prescribed manner, for renewal of a certificate of registration [licence] issued under this section.

[(12) An application renewal of a *certificate of registration* [licence] under subsection (1 1) [(5 shall [must] be made thirty-five days before the expiry of the certificate of registration [before the expiry date of the licence] or within such further time as the Commissioner may allow. [and be accompanied by payment of the prescribed fee for renewals].
- 10) The Commissioner shall [must] cancel a certificate [licence] issued under this section if satisfied that the registered person and the premises no longer meet the conditions for the grant of the *certificate* [licence].

⁷³⁸ Repealed by ED(Am) Act,2021

- 11) A registered person shall not use the [licensed] premises for a purpose other than [that] the purpose for which the premises were *registered* [licensed]
- 12) A person who operates without a certificate of registration issued under this section is liable to pay a fine of twenty currency points for each day of default from the date on which the person commences the manufacture, provision or dealing in excisable goods or excisable services.

PART IV - CONTROL OF EXCISABLE GOODS

5. Provision of facilities for excise control

- 1) The Commissioner may for the purpose of ensuring compliance with this Act, require an officer to be stationed on the registered premises of a registered person under this Act
- 2) The Commissioner may, for the purposes of subsection (1), require the registered person to provide and maintain, to the satisfaction of the Commissioner, suitable office accommodation and equipment in the registered premises.
- 3) A registered person shall provide and maintain at the registered premises storing excisable goods, scales and weights, lights, ladders, and other equipment, as may be necessary to enable an officer to take account of, or check by weight, gauge, or measure, all excisable goods or materials in the registered premises.

6. Entry

- 1) A registered person shall, before commencing manufacture of excisable goods, make entry in the prescribed manner of each building, room, place, and item of plant in the registered premises, which the registered person proposes to use in the manufacture, preparation for sale, or storage, of materials or excisable goods
- 2) An entry under subsection (1) shall specify the purpose for which a building, room, place or item of plant, is to be used and, unless the Commissioner otherwise permits; the mark by which it is to be distinguished.
- 3) The Commissioner may, by notice in writing to the registered person, require a new entry to be made by the registered person within one month of the date of the notice.
- 4) A registered person shall not, in the course of manufacture, preparation, sale or storage, of any materials or excisable goods —
 - a) make use of any building, room, place, or item of plant, in relation to which entry is required under this section unless there is in force a valid entry;

- b) make use of a building, room, place, or item of plant, for any purpose other than that for which it was entered; or
 - c) effect, without the prior permission of the Commissioner, an alteration to any building, room, place, or item of plant.
- 5) A registered person who contravenes subsection (4) commits an offence and is liable, on conviction, to a fine not exceeding seventy-two currency points or to imprisonment not exceeding three years, or both.
- 6) Where a person is convicted under subsection (5), the court shall order the forfeiture of any excisable goods, materials or plant in respect of which the offence has been committed.

7. Storage of excisable goods after manufacture

- 1) All manufactured excisable goods shall, after the process of manufacture has been completed, be immediately removed to a room to be known as the "stock room".
- 2) The stock room shall be within the registered premises.
- 3) The stock room shall not be used for any purpose other than that of storing manufactured excisable goods after they have been manufactured.
- 4) All manufactured excisable goods kept in the stock room shall be stored in a manner that facilitates the taking of a full account of all the goods.
- 5) A registered person who contravenes this section commits an offence and is liable, on conviction, to a fine not exceeding seventy-two currency points or to imprisonment not exceeding three years and the court convicting the offender shall forfeit the excisable goods to the State.
- 6) A stock book shall be kept in the prescribed form and shall be available for inspection by the Commissioner.
- 7) The Commissioner may take copies of any entry in the stock book.

8. Deficiency or excess in stock

- 1) Where, upon the Commissioner taking stock of the manufactured excisable goods in the registered premises of a registered person —
- (a) the registered person fails to account to the Commissioner for any excisable goods manufactured by him or her, the excise duty on those manufactured excisable goods shall immediately become due and payable; or
 - (b) any excisable goods are found in excess of the quantity which, according to the stock book of the registered person must be in the stockroom, those goods shall be forfeited to the State.

2) A registered person —

- (a) who fails to account to the Commissioner for any excisable goods manufactured by the registered person; or
- (b) in whose licensed premises excisable goods are found in excess of the quantity which, according to the stock book, should be in the licensed premises,

unless the registered person explains the deficiencies or excess to the satisfaction of the Commissioner, the registered person commits an offence, and is liable, on conviction, to a fine not exceeding seventy-two currency points or to imprisonment not exceeding three years or both.

PART V- PAYMENT OF EXCISE DUTY, RETURNS, ASSESSEMENTS AND APPEALS

9. Payment of excise duty

- 1) A person liable to pay excise duty shall pay the duty on the date the person files a return with the Commissioner, or shall, in the case of an assessment, pay the excise duty within forty-five days after receipt of the notice of assessment.
- 2) Where excisable goods on which excise duty has been paid are converted into other excisable goods liable to excise duty, the converted excisable goods shall be liable only to the difference between the excise duty on the converted goods and the excise duty originally paid before the conversion.
- 3) Where excisable goods on which excise duty has been paid are converted into approved healthcare or medical products, a refund of the excise duty shall be provided to the manufacturer of the approved health care or medical products.⁷³⁹
- 4) The Commissioner may, if satisfied that the excisable goods have been exported, remit the excise duty chargeable on those goods⁷⁴⁰
- 5) The Commissioner may, if satisfied that a plastic product —
 - (a) is for use in packaging of products for export;
 - (b) is for use in packaging medicaments; or
 - (c) is manufactured from recycled plastics,remit or refund the excise duty paid under this Act.⁷⁴¹
- 6) The Commissioner shall not remit the excise duty paid on a plastic product manufactured from recycled plastic referred to in subsection (5)(c), unless

⁷³⁹ Inserted by ED(Am)Act, 2016

⁷⁴⁰ Inserted by ED(Am)Act, 2018

⁷⁴¹ Inserted by ED (Am) Act, 2021

the recycled plastic used in the manufacture of the plastic product is equivalent to at least twenty percent of the raw material used.⁷⁴²

- 7) In this section, "approved healthcare or medical product" means a product that has been approved by the Minister responsible for finance in consultation with the Minister responsible for health, in accordance with Regulations made under section 16⁷⁴³.

10. Application of information technology

Subject to conditions, the Commissioner may prescribe the formalities or procedures under this Act which may be carried out by use of information technology.

11. Refunds

- 1) A person liable to pay excise duty may apply to the Commissioner for a refund of any excise duty paid in error or in excess of the excise duty assessed or due.
- 2) An application for a refund under this section shall be made to the Commissioner in the form and manner prescribed by the Commissioner.
- 3) Where the Commissioner is satisfied that excise duty has been overpaid, the Commissioner shall —
 - (a) apply the excess in reduction of any other duty due from the person liable to pay excise duty; or
 - (b) at the written option of the person liable to pay excise duty, apply the balance of the excess, if any, in reduction of any outstanding liability of the person liable to pay excise duty in regard to other taxes not in dispute.
- 4) In this section "any other duty" means a duty other than excise duty.
- 5) Where the Commissioner is required to refund an amount of excise duty to a person under this Act, the Commissioner shall pay simple interest on the amount of the refund at the rate of two percent per month commencing thirty days after the date of the application for the refund and ending on the last day on which a refund is made.
- 6) Notwithstanding subsection (4), a person liable to excise duty who causes delay in determining a correct refund payable to him or her, and leading to a belated refund process, is only entitled to interest with effect from sixty days from the date on which the person filed the delayed return, lodged an application with the tribunal or the High Court, or submitted to

⁷⁴² Inserted by ED (Am) Act, 2021

⁷⁴³ Inserted by ED(Am)Act, 2016

the Commissioner all necessary and satisfactory information required in relation to the refund in question, whichever is the later.

- 7) The Commissioner shall, within thirty days after making a decision on a refund application under subsection (1), serve on the person applying for the refund a notice in writing of the decision.
- 8) A person dissatisfied with a decision referred to in subsection (7) may challenge the decision under the objection and appeal procedure in this Act.

12. Liability to duty on re- importation

Where a remission or refund of excise duty has been granted in respect of excisable goods or excisable services which have been exported and those excisable goods or excisable services are subsequently unloaded in Uganda for home consumption, those excisable goods or excisable services are liable to excise duty in force at the time of the unloading.

13. Excisable goods or excisable services granted remission liable to duty on disposal

- 1) Subject to this Act, a person who has been granted a remission or refund in respect of excisable goods or excisable services or is in possession of excisable goods for which a remission or refund has been granted, shall not subsequently deal with those excisable goods or supply those excisable services in a manner inconsistent with the purpose for which the remission or refund was granted.
- 2) A person who deals with excisable goods or supplies or excisable services in a manner inconsistent with the purpose for which the remission or refund was granted, is liable to pay the excise duty which would have been paid if the remission or refund had not been granted.
- 3) Where excisable goods to which subsection (1) applies are sold or disposed of without payment of the excise duty to which they are liable, the excisable goods shall be forfeited to the State.
- 4) Any person who knowingly disposes of, or knowingly acquires excisable goods, or knowingly provides or knowingly receives excisable services, to which subsection (1) applies without the duty on the goods or services having been paid, commits an offence and is liable, on conviction, to a fine not exceeding forty-eight currency points or to imprisonment not exceeding two years, or both.

13A. Remission of duty paid on damaged, expired or obsolete goods⁷⁴⁴

- (1) A person liable to pay excise duty may apply to Commissioner for the remission of any excise duty paid on damaged, expired or obsolete goods.

⁷⁴⁴ Inserted by ED (Am) Act, 2025

- (2) The application referred to in subsection (1) shall be accompanied by –
- (a) proof that the duty was paid on damaged, expired or obsolete goods, where applicable;
 - (b) goods delivery documentation;
 - (c) a report indicating the extent and the cause of the damage issued by a competent authority, in the case of damaged goods; and
 - (d) any other document as the Minister may determine by regulations.
- (3) Where the Commissioner is satisfied that excise duty was paid on damaged, expired or obsolete goods, the Commissioner shall–
- (a) apply the excise duty paid in reduction of any other duty due from the person liable to pay excise duty; or
 - (b) at the written option of the person liable to pay excise duty, apply the excise duty with regard to other taxes not in dispute.

PART VI - MISCELLANEOUS

14. Prices quoted to include excise duty

The price advertised or quoted for an excisable good or service shall include excise duty and the advertisement or quotation shall state that the price includes excise duty.

15. General Penalty ⁷⁴⁵

- 1) A person who fails to apply for registration under section 4 is liable to pay a penalty equal to the amount of duty payable during the period commencing with the last day of the application period until the person files an application for registration with the Commissioner, or until the Commissioner grants the certificate of registration, whichever is earlier.
- 2) Any person who fails to furnish a return within the time specified under this Act is liable to pay a penalty amounting to whichever is the greater of the following: —
 - (a) ten currency points ⁷⁴⁶(two hundred thousand shillings); or
 - (b) an interest charge for the period for which the return is outstanding calculated in accordance with subsection (3).
- 3) Any person who fails to pay excise duty imposed under this Act [on the excisable goods manufactured or imported by that person] by the due date

⁷⁴⁵ Inserted by ED (Am) Act,2018

⁷⁴⁶ Modified by Law Revision (Miscellaneous Amendments) Act,2023

is liable to pay interest on the unpaid duty at a rate of two percent per month, compounded, for the excise duty which is outstanding⁷⁴⁷.

- 4) Where a person pays interest under subsection (3), and the duty to which it relates is found not to have been due and payable by the person and is refunded, the interest relating to the amount of the refund, shall be refunded to that person with an interest of two percent per month, compounded.
- 5) Any person who fails to maintain proper records for any period required by this Act is liable to pay a penalty equal to the amount of duty payable by the person for that period or ten currency points per filing period, whichever is the higher.
- 6) Where a person knowingly or recklessly —
 - (a) makes a statement or declaration to an officer of the Authority which is false or misleading in a material particular; or
 - (b) omits from a statement made to an officer of the Authority, any matter or thing without which the statement is misleading in such a manner that —
 - (i) the duty payable by the person exceeds the duty that was assessed as payable, based on the false or misleading information; or
 - (ii) the amount of the refund claimed was false,that person is liable to pay a penalty equal to the amount of the excess duty, refund or claim.
- 7) Where the interest due and payable under subsection (3) exceeds the aggregate of the principal tax, any interest in excess of the principal tax shall be waived.

16. Regulations

- 1) The Minister may, by statutory instrument, make Regulations to better carry into effect the provisions of this Act.
- 2) Without limiting the general effect of subsection (1), Regulations made under this section may —
 - (a) provide for the fees to be paid for a certificate of registration issued under this Act;
 - (b) provide for the form of the returns to be made by a registered person;
 - (c) provide for the securing and collection of excise duty on spirits;

⁷⁴⁷ Substituted by ED (Am) Act,2019

- (d) prescribe the maximum and minimum strength of a wort, wash or spirits;
 - (e) regulate the remission of excise duty including the remission of excise duty on spirits; and
 - (f) regulate the receipt, storage, warehousing, removal and delivery of spirits prior to the payment of excise duty.
- 3) Regulations made under this section may provide that a person who contravenes a provision of the Regulations commits an offence and is liable on conviction to a fine not exceeding seventy-two currency points or both.

17. Power to amend Schedule 1

The Minister responsible for finance may, by statutory instrument, with the approval of Cabinet, amend Schedule 1 to this Act.

18. Repeal and savings

- 1) The East African Excise Management Act, 1970 and the Excise Tariff Act, Cap. 338 are repealed.
- 2) Notwithstanding subsection (1),
 - (a) all excise duty due in respect of a transaction that took place before the commencement of this Act shall be due and payable as if the repealed Act were still in force but in case of a default the person shall be dealt with under this Act;
 - (b) all appointments made under the repealed legislation and subsisting at the date of commencement of this Act are taken to be appointments made under this Act;
 - (c) all forms and documents used in relation to the repealed legislation may continue to be used under this Act, and all references in those forms and documents to provisions of and expressions appropriate to the repealed legislation are taken to refer to the corresponding provisions and expressions of this Act.

*Schedule 1**Section 1, 17***Currency Point**

One currency point is equivalent to twenty thousand shillings

*Schedule 2**Sections 1, 3(1)***Excise Duty in Respect of Excisable Goods and Services**

Part I

Excise duty in respect of excisable goods and services

	EXCISABLE GOOD OR SERVICE	DUTY RATE		
		2023/2024	2024/2025	2025/2026⁷⁴⁸
1.	Cigarettes			
(a)	Soft cup [other soft cup]	-	-	
	Locally manufactured	Shs.55,000 per 1,000 sticks	Shs.55,000 per 1,000 sticks	Shs. 65,000 per 1000 sticks.
	Imported	Shs.75,000 per 1,000 sticks	Shs.75,000 per 1,000 sticks	Shs. 150,000 per 1000 sticks
(b)	Hinge Lid	-	-	
	Locally manufactured	Shs.80,000 per 1,000 sticks	Shs.80,000 per 1,000 sticks	Shs. 90,000 per 1000 sticks.
	Imported	Shs.100,000 per 1,000 sticks	Shs.100,000 per 1,000 sticks	Shs. 200,000 per 1000 sticks.
(c)	Cigars, cheroots and cigarillos containing tobacco	200%	200%	200%

⁷⁴⁸ Substituted by ED (Am) Act

(d)	Smoking tobacco, whether or not containing tobacco substitutes in any proportion	200%	200%	200%
(e)	Homogenised or reconstituted tobacco	200%	200%	200%
(f)	Other	200%	200%	200%
2.	Beer			
(a)	Malt beer	60% or shs.2050 per litre, whichever is higher	60% or shs.2050 per litre, whichever is higher	60% or shs.2050 per litre, whichever is higher
(b)	Beer whose local raw material content, excluding water, is at least 75% by weight of its constituent	30% or shs.650 per litre, whichever is higher.	30% or shs.650 per litre, whichever is higher.	30% or Shs.900 per litre whichever is higher.
(c)	Beer produced from barley grown and malted in Uganda	30% or Shs.950 per litre, whichever is higher.	30% or Shs.950 per litre, whichever is higher.	30% or Shs.950 per litre, whichever is higher.
(d)	Opaque Beer	20% or Shs. 230 per litre, whichever is higher	10% or Shs. 150 per litre, whichever is higher	10% or Shs. 150 per litre, whichever is higher
(e)	Any other alcoholic beverage locally produced	20% or Shs. 230 per litre, whichever is higher	10% or Shs. 150 per litre, whichever is higher	10% or Shs. 150 per litre, whichever is higher

(f)	Powder for reconstitution into beer ⁷⁴⁹	-	2500 per Kg	2500 per Kg
3.	Spirits			
(a)	Un-denatured spirits made from locally produced raw materials	60% of Shs 1500 per litre, whichever is higher	60% of Shs 1500 per litre, whichever is higher	60% of Shs 1500 per litre, whichever is higher
(b)	Un-denatured spirits of alcoholic strength by volume of 80% of more made from imported raw materials [made from imported raw materials] ⁷⁵⁰	100% or shs.2500 per litre, whichever is higher	100% or shs.2500 per litre, whichever is higher	100% or shs.2500 per litre, whichever is higher
(c)	Any other undenatured spirits – i) That are locally produced, of alcoholic strength by volume of less than 80% or ii) That are imported, of alcoholic strength by volume of less than 80% [Ready to drink spirits] ⁷⁵¹	80% or shs.1700 per litre, whichever is higher.	80% or shs.1700 per litre, whichever is higher.	80% or shs.1700 per litre, whichever is higher.
4.	Wine			

⁷⁴⁹ Inserted by ED(Am) Act, 2024

⁷⁵⁰ Substituted by ED(Am) Act, 2024

⁷⁵¹ Substituted by ED(Am) Act, 2024

(a)	Wine made from locally produced raw materials	20% or Shs.2000, per litre, whichever is higher;	20% or Shs.2,000, per litre, whichever is higher;	20% or Shs.2,000, per litre, whichever is higher;
(b)	Other wines	80% or Shs.8000, per litre, whichever is higher.	100% or Shs.10,000, per litre, whichever is higher.	100% or Shs.10,000, per litre, whichever is higher.
5	Non-alcoholic beverages			
(a)	Non-alcoholic beverages not including fruit or vegetable juices	12% or shs.250 per litre, whichever is higher.	12% or shs.250 per litre, whichever is higher.	12% or shs.250 per litre, whichever is higher.
(b)	Fruit juice and vegetable juice, except juice made from at least 50% of pulp from fruit and vegetables locally grown in Partner State. ⁷⁵² [Fruit juice and vegetable juice, except juice made from at least 30% of pulp or <i>at least 30% juice by weight or volume of the total composition of the drink from fruit and vegetables locally grown</i> [from fruit and vegetables grown in Uganda.]] ⁷⁵³	12% or shs.250 per litre, whichever is higher.	10% or shs.250 per litre, whichever is higher.	10% or Shs. 250 per litre, whichever is higher.
(c)	Powder for reconstitution to	15% of the value	15% of the value	15% of the value

⁷⁵² substituted by ED (Am) Act, 2025

⁷⁵³ Substituted by ED (Am) Act, 2024

	make juice or dilute-to-taste drinks, excluding pulp;			
(d)	any other non-alcoholic beverage locally produced other than the beverage referred to in subparagraph (a) made out of fermented sugary tea solution with a combination of yeast and bacteria	12% or shs 250 per litre whichever is higher	10% or Shs. 150 per litre whichever is higher	10% or Shs. 150 per litre whichever is higher
6	Mineral water, bottled water and other [processed] water purposely for drinking. ⁷⁵⁴	10%	10% of Shs.50 per litre whichever is higher	10% of Shs.50 per litre whichever is higher
7	Cement, adhesives, grout, white cement or lime ⁷⁵⁵ .	Shs.500 per 50kgs	Shs.500 per 50kgs	Shs.500 per 50kgs
8	Fuel			
(a)	Motor spirit (gasoline)	Shs.1450 per litre	Shs.1550 per litre	Shs.1550 per litre
(b)	Gas oil (automotive, light, amber for high speed engine)	Shs. 1130 per litre.	Shs. 1230 per litre.	Shs. 1230 per litre.
(c)	Other gas oils	Shs.630 per litre	Shs.630 per litre	Shs.630 per litre
(d)	Gas oil for power [thermal] ⁷⁵⁶ generation to national grid	NIL	NIL	NIL
(e)	Illuminating kerosene	Shs.200 per litre	Shs.200 per litre	Shs.200 per litre

⁷⁵⁴ Substituted by ED (Am) Act, 2024

⁷⁵⁵ Substituted by ED(Am)Act ,2024

⁷⁵⁶ Substituted by ED (Am) Act, 2020

(f)	Jet A1 and aviation fuel	Shs.630 per litre	Shs.630 per litre	Shs.630 per litre
(g)	Jet A1 and aviation fuel imported by registered airlines, companies with designated storage facilities or with contracts to supply airlines	NIL	NIL	NIL
9.	Cane or beet sugar and chemically pure sucrose in solid form	Shs.100 per kg	Shs.100 per kg	Shs.100 per kg
10.	Cane or beet sugar for industrial use	0%	0%	0%
11.	Sacks and bags of polymers of ethylene and other plastic under HS codes 3923.21.00 and 3923.29.00 except vacuum packaging bags for food, juices, tea and coffee, sacks and bags for direct use in the manufacture of sanitary pads; ⁷⁵⁷	-	-	-
	Plastics			
	Sacks and bags of polymers of ethylene and other plastics under HS codes 3923.21.00 and 3923.29.00 except vacuum packaging bags for food, juices, tea and coffee sacks, and bags for direct	2.5% or USD 70 /= per ton, whichever is higher	2.5% or USD 70 /= per ton, whichever is higher	2.5% or USD 70 per tonne, whichever is higher.

⁷⁵⁷ Inserted by ED (Am) Act, 2020; repealed by ED (Am) Act, 2021

	use in the manufacture of sanitary pads. ⁷⁵⁸ [Plastic product and plastic granules];			
12.	Cosmetics and perfumes, <i>except creams used by Albino in the treatment of their skin</i>	10%	10%	10%
13.	Telecommunications Services			
(a)	Airtime on mobile cellular, landlines and public pay phones	12% of the fee charged	12% of the fee charged	12% of the fee charged
(b)	[Over The Top (OTT) services] ⁷⁵⁹	-	-	-
(c)	Internet data, <i>except data for provision of medical services and education services</i> ⁷⁶⁰	12% of the fee charged;	12% of the fee charged;	12% of the fee charged;
(d)	Money transfer or withdrawal services, including transfers and withdrawal services by operators licensed or permitted to provide communications or money transfers or withdrawals but not including transfers and withdrawal services provided by banks	15% of the fees charged	15% of the fees charged	15% of the fees charged

⁷⁵⁸ Substituted by ED(Am) Act, 2025

⁷⁵⁹ Repealed by ED (Am) Act, 2021

⁷⁶⁰ Substituted by ED (Am) Act, 2021

(e)	Value added services	12% of the fee charged	12% of the fee charged	12% of the fee charged
(f)	Mobile money transactions of withdrawals of cash [receiving payments and withdrawal] ⁷⁶¹	0.5% of the value of the transaction;	0.5% of the value of the transaction;	0.5% of the value of the transaction;
(g)	Incoming international calls, except calls from the Republic of Kenya, <i>Burundi</i> , <i>United Republic of Tanzania</i> ⁷⁶² , the Republic of Rwanda and the Republic of South Sudan.	USD 0.09 per minute	USD 0.09 per minute	USD 0.09 per minute
13A	Payment Services ⁷⁶³			
	Payment service of withdrawals of cash provided through a payment system, but does not include withdrawal services provided by a financial institution or a micro finance deposit taking institution and through agent banking.	-	0.5% of the value of the transaction	0.5% of the value of the transaction

⁷⁶¹ Amended by ED (Am) (No.2) Act w.e.f 16/11/2018

⁷⁶² Inserted by ED (Am) Act, 2024

⁷⁶³ Inserted by ED(Am) Act,2024

14.	Ledger fees, ATM fees, withdrawal fees and periodic charges and other transaction and non-transaction charges, <i>excluding loans or the equivalent under Islamic banking</i> - related charges, periodically charged by a financial institution or micro finance deposit-taking institution. ⁷⁶⁴	15% of the fees charged	15% of the fees charged	15% of the fees charged
15.	Lubricants under HS codes 2710.19.51, 2710.19.52, 3403.19.00 and 3403.99.00 including motor vehicle lubricants, except aircraft lubricant [Motor vehicle lubricants] ⁷⁶⁵ .	15%	15%	15%
16.	Sugar confectionaries; Chewing gum, sweets and chocolates	NIL	NIL	NIL
17.	Furniture			
(a)	Specialized hospital furniture	NIL	NIL	NIL
(b)	Furniture manufactured in Uganda using local materials but excluding furniture	NIL	NIL	NIL

⁷⁶⁴ Substituted by ED (Am No.2) Act, 2023

⁷⁶⁵ Substituted by ED (Am) Act, 2020

	which is assembled in Uganda.			
(c)	Other furniture	20%	20%	20%
18.	Cooking oil	Shs.200 per litre;	Shs.200 per litre;	Shs.200 per litre;
19.	Motorcycles; at first registration	Shs.200,000;	Shs.200,000;	Shs.200,000;
20.	Construction materials for development of industrial parks or free zones by a developer whose investment is at least <i>fifty million United States Dollars in case of a foreigner and ten million United States Dollars, in the case of a citizen</i> [One hundred million United States Dollars] ⁷⁶⁶	NIL	NIL	NIL
21.	Construction materials of a factory or warehouse exclusive of those available on the local market, locally produced raw materials and inputs to an operator within the industrial park, free zone, single factory or other business outside the industrial park or free zone who meets the following requirements –	NIL	NIL	NIL

⁷⁶⁶ Substituted by ED (Am) Act, 2019

	(a) a minimum investment capital of ten [fifteen] million United States Dollars in the case of a foreigner or three hundred thousand[USD 3,000,000]⁷⁶⁷ [one][ten][million] United States Dollars in the case of a citizen; <i>or one hundred fifty thousand United States Dollars for a citizen whose investment is placed upcountry</i> ⁷⁶⁸; [of a Partner State of the East African Community] (b) processes agricultural goods; manufactures or assembles medical appliances, medical sundries or pharmaceuticals, building materials, automobiles, household appliances or manufactures furniture. Pulp, paper, printing and publishing of instructional materials; carries			
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⁷⁶⁷ USD 3,000,000 instead of USD 300,000 erroneously inserted by ULRC in the Revised Laws of Uganda, 2024

⁷⁶⁸ Substituted by ED (Am) Act, 2020 WEF 27/11/2020

	on business in logistics and warehousing, information technology or commercial farming, tyres, footwear, mattresses or toothpaste⁷⁶⁹; [carries on business in – (i) agro processing; (ii) food processing; (iii) medical appliances; (iv) building materials; (v) light industry; (vi) automobile manufacturing and assembly; (vii) household appliances; (viii) furniture; (ix) logistics and warehousing; (x) information technology; or (xi) commercial farming]⁷⁷⁰ (c) seventy percent of the raw materials used are sourced locally, subject to their availability; (d) employs at least seventy percent of its employees being citizens earning an aggregate wage of			
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⁷⁶⁹ Substituted by ED (Am) Act, 2020 WEF 27/11/2020

⁷⁷⁰ Substituted by ED (Am) Act, 2019

	at least seventy percent of the total wage bill⁷⁷¹; [directly employs a minimum of one hundred Ugandans]; and (e) provides for substitution of thirty percent of the value of imported products;			
22.	Locally produced materials for construction of premises and other infrastructure to a hotel or tourism developer whose investment capital is at least eight million United States Dollars of a room capacity exceeding one hundred guests.	NIL	NIL	NIL
23.	Furnishings and fittings or locally produced materials for construction of premises and other infrastructure to a hospital facility developer whose minimum investment capital is at least five million United States Dollars and who develops a hospital [at the level of a national referral hospital] ⁷⁷² with capacity to provide	NIL	NIL	NIL

⁷⁷¹ Substituted by ED (Am) Act, 2020 WEF 27/11/2020

⁷⁷² Deleted by ED(Am) Act,2024

	specialized medical care.			
24.	Construction materials for the construction of premises and other infrastructure, machinery and equipment or furnishings and fittings for technical or vocational institute operators whose investment capital is at least ten million United States Dollars in the case of a foreigner or one million United States Dollars, in the case of a citizen ⁷⁷³ .	NIL	NIL	NIL
25.	(a) any other fermented beverages made from imported cider, perry, mead, spears or near beer ⁷⁷⁴	60% or shs 950 per litre; whichever is higher	60% or shs 950 per litre; whichever is higher	60% or shs 950 per litre; whichever is higher
	(b) Any other fermented beverages <i>including</i> [made from locally grown] cider, perry, mead, [spears] or near beer produced from locally grown or produced raw materials [any other fermented	30% or shs 550 per litre; whichever is higher	30% or shs 550 per litre; whichever is higher	30% or shs 550 per litre; whichever is higher

⁷⁷³ Inserted by ED (Am) Act, 2019

⁷⁷⁴ Inserted by ED (Am) Act, 2021

	beverages made from locally grown cider, perry, mead, [spears] or near beer ⁷⁷⁵			
26.	Construction materials of a manufacturer, other than a manufacturer referred to in item 21, whose investment capital is, at least fifty million United States Dollars or, in the case of any other manufacturer, who makes an additional investment equivalent to fifty million United States Dollars. ⁷⁷⁶	NIL	NIL	NIL
27	Construction materials of a manufacturer of electric vehicles, electric batteries or electric vehicle charging equipment or fabricators of frames and bodies of electric vehicles whose investment capital is at least United States Dollars 35,000,000 in the case of a foreigner, or United States Dollars 5,000,000 in the case of a citizen ⁷⁷⁷ .	-	NIL	NIL

⁷⁷⁵ Substituted by ED (Am) Act, 2024

⁷⁷⁶ Inserted by ED (Am) Act, 2021

⁷⁷⁷ Inserted by ED (Am) Act, 2024

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Part II

Calculation of Excise Duty Payable in Respect of Excisable Goods and Services whose Excise Duty is Expressed in Percentages

1. Calculation of excisable duty payable.

The excise duty payable by a person in respect of excisable goods or services whose excise duty is expressed as percentages shall be calculated using the following formula:

$$A \times B$$

Where,

A is the value of the excisable goods or the excisable service; and

B is the rate of excise duty applicable to the goods or service.

2. Determination of value of excisable goods and services.

- (1) The value of an excisable good shall be the normal ex-factory price of the good exclusive of any tax on that good.
- (2) The normal ex-factory price of the good shall include raw material costs, manufacturing costs, labour costs, profit margin, bank charges and interest and all other costs, charges and expenses incidental to the factory, production and sale.
- (3) The value of an excisable service shall be the price paid or payable by the consumer of that service excluding value added tax chargeable under the Value Added Tax Act and excise duty chargeable under this Act.
- (4) In the case of non-arm's length transactions, the normal ex-factory price shall be the price at which the transaction would have occurred in the ordinary course of business between the person liable to excise duty and an independent person dealing at arm's length and, in cases where the price cannot be determined, the price shall, subject to this Act, be decided.
- (5) A sale in the open market between a manufacturer and a buyer independent of each other presupposes—
 - (a) that the price is the sole consideration;
 - (b) that the price is not influenced by any commercial, financial or other relationship, whether by contract or otherwise, between the manufacturer or any person associated in business with him and the buyer; and

- (c) that no part of the proceeds of the subsequent re-sale, use or disposal of the goods or services will accrue either directly or indirectly to the manufacturer or any person associated with him.
- (6) Notwithstanding this Act, where the Commissioner is satisfied that an arrangement has been entered into or carried out where—
 - (a) a person has obtained an excise duty benefit in connection with the arrangement; and
 - (b) having regard to the substance of the arrangement, it is concluded that the person, or one of the persons, who entered into or carried out the arrangement did so for the sole or dominant purpose of enabling the person to obtain the excise duty benefit,

the Commissioner may determine the liability of the person who has obtained the excise duty benefit as if the arrangement had not been entered into or carried out, or in a manner as in the circumstances the Commissioner considers appropriate for the prevention or reduction of the excise duty benefit.

- (7) In this section—

“arrangement” includes an agreement, promise, or undertaking whether express or implied and whether or not enforceable, or intended to be enforceable, by legal proceedings, and

“excise duty benefit” includes—

- (a) a reduction in the liability of a person to pay excise duty;
 - (b) an increase in an entitlement of a person to a credit or refund; or
 - (c) any other avoidance or postponement of liability for the payment of excise duty.
- (8) The value of an imported excisable good is the sum of the value of the good ascertained for the purposes of import duty under the laws relating to customs; and the amount of import duty payable on that good.
 - (9) The value of an excisable service is the amount exclusive of any tax and duty, paid or payable by the final consumer in consideration for the service.
 - (10) Where no amount is paid in consideration for the excisable service under subsection (9) or where there is an application of the excisable service to own use by the person providing the service, the value of the excisable service shall be the market value of the excisable service.
 - (11) The taxable value of money transfer services by cellular service providers, money transfer agencies and other financial service providers shall be the fees charged for a particular money transfer service transaction.

*Schedule 3**Section 1***Goods Exempt from Excise Duty**

The goods exempt from excise duty are imported goods which are exempt from import duty under the Fifth Schedule to the East African Customs Management Act, 2004

Cross References

East African Community Customs Management Act, 2004

Excise Tariff Act, Cap. 338

Liquor Act, Cap. 93

Magistrates Court Act, Cap. 19

Tax Appeals Tribunal Act, Cap. 341

Value Added Tax Act, Cap 349

Uganda Revenue Authority Act, Cap. 196

CHAPTER 339**THE STAMP DUTY ACT****Arrangement of Sections**

Section

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CHAPTER 339**THE STAMP DUTY ACT**

Commencement: 1st July, 2014 all
sections except items 8 and 63(b)
of Schedule 2 which commenced
on 24 October, 2014

An Act to provide for stamp duty and related matters.**PART I – INTERPRETATION****1. Interpretation**

In this Act, unless the context otherwise requires—

“banker” includes a bank and any person acting as a banker under the Financial Institutions Act;

“bill of exchange” means a bill of exchange as defined by the Bills of Exchange Act;

“bill of exchange payable on demand” includes—

- (a) an order for the payment of any sum of money by a bill of exchange or promissory note, or for the delivery of any bill of exchange or promissory note in satisfaction of any sum of money, or for the payment of any sum of money out of any particular fund which may or may not be available, or upon any condition or contingency which may or may not be performed or happen;
- (b) an order for the payment of any sum of money; and
- (c) a letter of credit;

“bill of lading” includes a “through bill of lading” but does not include a mate’s receipt;

“bond” includes—

- (a) an instrument by which a person obliges himself or herself to pay money to another, on condition that the obligation shall be void if a specified act performed, or is not performed, as the case maybe;

- (b) an instrument attested by a witness and not payable to order or bearer, by which a person obliges himself or herself to pay money to another; and
- (c) an attested instrument by which a person obliges himself or herself to deliver grain or other agricultural produce to another;

“chargeable” means an instrument chargeable under this Act or any other law in force in Uganda when the instrument was executed or, where several persons executed the instrument at different times, first executed;

“cheque” means a bill of exchange drawn on a specified banker and payable on demand;

“citizen” means—⁷⁷⁸

- (a) a natural person who is a citizen of a Partner State of East African Community;
- (b) a company or a body of persons incorporated under the laws of a Partner State of the East African Community in which at least fifty-one percent of the shares are held by a person who is a citizen of a Partner State of East African Community;

“Commissioner General” means the Commissioner General appointed under the Uganda Revenue Authority Act;

“conveyance” includes a conveyance on sale and every instrument by which movable or immovable property is transferred during the lifetime of the person transferring and which is not otherwise specifically provided for by this Act;

“conveyance on sale” includes every instrument and every decree or order of a court by which any property, or any estate or interest in any property, upon its sale is transferred to or vested in a purchaser, or any other person on behalf of the purchaser or by the direction of the purchaser;

“currency point” has the value assigned to it in Schedule 1 to this Act;

“debenture” has the meaning assigned to it in the Companies Act;

“deed” includes an instrument which confers a right or passes an interest or gives a title or authority;

⁷⁷⁸ Inserted by Stamp Duty (Amendment) Act, 2019

“duly stamped” as applied to an instrument, means—

- (a) that the instrument bears an impressed stamp of the proper amount and that the stamp has been affixed or used in accordance with the law for the time being in force in Uganda; and
- (b) stamped in any manner prescribed by the Commissioner General;

“executed” and “execution”, used with reference to instruments, mean “signed” and “signature” respectively;

“impressed stamp” includes—

- (a) labels affixed and impressed by the officer;
- (b) stamps embossed or engraved on stamped paper; and
- (c) stamps of any other manner prescribed by the Commissioner General;

“instrument” includes a document by which a right or liability is, or purports to be, created, transferred, limited, extended, extinguished or recorded;

“instrument of partition” means an instrument by which co-owners of any property divide or agree to divide the property in severalty and includes a final order for effecting a partition passed by any court and an award by an arbitrator directing a partition;

“Islamic financial business” means financial business undertaken by a person that conforms to Shari'ah principles and includes⁷⁷⁹

- (a) the business of receiving property into profit sharing investment accounts or of managing such accounts;
- (b) any other business of a person which involves or is intended to involve the entry into one or more contracts under Shari'ah or otherwise carried out or purported to be carried out in accordance with Shari'ah principles including
 - (i) equity or partnership financing;
 - (ii) lease-based financing;
 - (iii) sale-based financing;

⁷⁷⁹ Inserted by Stamp Duty (Amendment) Act, 2023

- (iv) currency exchange contracts; or
- (v) fee-based activity;
- (c) the purchase of bills of exchange, certificates of Islamic deposit or other negotiable instruments;
- (d) the acceptance or guarantee of any liability, obligation or duty of any person; and
- (e) the business of providing finance by all means including through the acquisition, disposal or leasing of assets or through the provision of services which have similar economic effect and are economically equivalent to any other financial business;

“lease” has the meaning assigned to it under the Registration of Titles Act;

“marketable security” means a security capable of being sold on a stock market;

“mate’s receipt” means a document signed by an officer of a vessel evidencing receipt of a document of a shipment on board the vessel not being a document of title and issued as an interim measure until a proper bill of lading can be issued;

“mortgage deed” includes an instrument by which, for the purpose of securing money advanced, or to be advanced, by way of loan, or an existing or future debt, or the performance of an engagement, one person transfers, or creates, to, or in favour of, another, a right over or in respect of specified property;

“officer” means a person whose right or duty it is to require the performance of, to perform, the acts referred to in this Act;

“policy of insurance” includes—

- (a) an instrument by which one person, in consideration of a premium, engages to indemnify another person against loss, damage or liability arising from an unknown or contingent event; or
- (b) a life policy, and a policy insuring a person against accident or sickness, and any other personal insurance;

“policy of sea insurance” or “sea policy”—

- (a) means any insurance made upon a ship or vessel, or upon the machinery, tackle or furniture of a ship or vessel, or upon goods, merchandise or property of any description on board of a ship or vessel, or upon the freight of, or any other interest which may be lawfully insured in, or relating to, a ship or vessel;
- (b) includes any insurance of goods, merchandise or property for transit which includes, not only a sea risk within the meaning of subparagraph (a), but also any other risk incidental to the transit insured from the commencement of the transit to the ultimate destination covered by the insurance;
- (c) where any person, in consideration of any sum of money paid or to be paid for additional freight or otherwise, agrees to take upon himself or herself any risk attending goods, merchandise or property of any description while on board of any ship or vessel, or engages to indemnify the owner of any such goods, merchandise or property from any risk, loss or damage, the agreement or engagement shall be deemed to be a contract for sea insurance;

“power of attorney” includes an instrument empowering a specified person to act for and in the name of the person executing the instrument;

“promissory note” has the meaning assigned to it in the Bills of Exchange Act;

“receipt” includes a note, memorandum or writing whether the note, memorandum or writing is or is not signed with the name of a person—

- (a) by which any money, or any bill of exchange, cheque or promissory note is acknowledged to have been received;
- (b) by which any other movable property is acknowledged to have been received in satisfaction of a debt;
- (c) by which a debt or demand, or any part of a debt or demand, is acknowledged to have been satisfied or discharged; or
- (d) which signifies or imports the acknowledgement;

“Revenue Authority” means the Uganda Revenue Authority established under the Uganda Revenue Authority Act;

“settlement” means a non-testamentary disposition in writing of movable or immovable property made—

- (a) in consideration of marriage;

- (b) for the purpose of distributing property of the settlor among his or her family or those for whom he or she desires to provide, or for the purpose of providing for some person dependent on him or her; or
- (c) for any religious or charitable purpose, and includes an agreement in writing to make such a disposition, and where any such disposition has not been made in writing any instrument recording, whether by way of declaration of trust or otherwise, the terms of any such disposition;

"takaful" means insurance business conducted in accordance with Shari'ah principles;⁷⁸⁰

"tribunal" means the Tax Appeals Tribunal established under the Tax Appeals Tribunal Act.

PART II – STAMP DUTY

Liability of instruments to duty

2. **Instruments** chargeable **with duty**

- (1) Subject to this Act, the following instruments shall be chargeable with duty in accordance with Schedule 2 to this Act—
 - (a) every instrument mentioned in Schedule 2 to this Act which, not having been previously executed by a person, is executed in Uganda and relates to property situated, or to a matter or thing done or to be done, in Uganda;
 - (b) a bill of exchange, cheque or promissory note drawn or made outside Uganda and accepted or paid, or presented for acceptance or payment, or endorsed, transferred or otherwise negotiated, in Uganda; and
 - (c) every instrument, other than a bill of exchange, cheque or promissory note, mentioned in Schedule 2 to this Act, which, not having been previously executed by any person, is executed outside Uganda and relates to property situated, or to a matter or thing done or to be done, in Uganda and is received in Uganda.
- (2) Notwithstanding subsection (1) duty is not chargeable in respect of an instrument executed by, or on behalf of, or in favour of, the

⁷⁸⁰ Inserted by Stamp Duty (Amendment) Act, 2023

Government in any case where, but for this exemption, the Government would be liable to pay the duty chargeable in respect of the instrument.

- (3) Notwithstanding subsection (1) duty is not chargeable in respect of an instrument executed by, or on behalf of, or in favor of institutions that are listed in Schedule 2 of the Income Tax Act and organizations listed in Schedule 2 of the Value Added Tax Act, in any case where but for this exemption, the institution or organization would be liable to pay the duty chargeable in respect of the instrument.

3. Several instruments used in single transaction of sale, mortgage or settlement

- (1) Where, in the case of a sale, mortgage or settlement, several instruments are employed for completing the transaction—
- (a) the principal instrument only shall be chargeable with the duty prescribed in Schedule 2 to this Act for that conveyance, mortgage or settlement; and
- (b) each of the other instruments shall be chargeable with a duty specified in Schedule 2 to this Act.
- (2) Notwithstanding subsection (1), a power of attorney empowering a person to execute or to register a sale, mortgage or settlement shall be chargeable with the duty prescribed in Schedule 2 to this Act, for the power of attorney.
- (3) The parties may determine for themselves which of the instruments for the purposes of subsection (1), shall be considered the principal instruments but only if the duty chargeable on the instrument determined shall be the highest duty which would be chargeable in respect of any of the instruments employed.
- (4) An instrument modifying the terms of a mortgage in respect of the reduction of the principal or raising or reducing the rate of interest or varying the terms of repayment of the principal shall be charged duty as an agreement.

4. Instruments relating to several distinct matters

An instrument comprising or relating to several distinct matters shall be chargeable with the total amount of the duties with which the separate instruments, each comprising or relating to one of such matters, would be chargeable under this Act.

5. Instruments coming within several descriptions in Schedule 2

- (1) Subject to section 3, an instrument so framed as to come within two or more of the descriptions in Schedule 2 to this Act shall, where the duties chargeable under those descriptions are different, be chargeable only with the highest of the duties.
- (2) Notwithstanding subsection (1), this Act shall not render chargeable with the duty prescribed in Schedule 2 to this Act in respect of a counterpart or duplicate of an instrument in respect of which the proper duty has been paid.

6. Marine insurance contract to be expressed in marine policy

A contract for marine insurance shall not be valid unless it is expressed in a marine policy in accordance with the law relating to marine insurance.

7. Persons carrying on insurance business to file returns

- (1) A person carrying on the business of insurance shall file monthly returns with the Commissioner of all sums received in respect of premiums and stamp duty paid on the policies of insurance.
- (2) Notwithstanding subsection (1), a manager of a takaful business shall file with the Commissioner, monthly returns of all sums received in respect of contributions and stamp duty paid on the policies of takaful on behalf of the participants in each group in the takaful business.
- (3) On the basis of the monthly returns filed under subsection (1), the Commissioner shall ascertain that the person has paid the proper duty.
- (4) Where a person fails to deliver the returns under this section, the person shall pay simple interest of two percent of the duty payable for every month during which the failure continues.

8. Stamp duty on capital of companies

- (1) Where a company is to be incorporated in Uganda with limited liability, or where the nominal share capital of a company incorporated in Uganda is to be increased, there shall be delivered as the case may be to the Registrar of Companies—
 - (a) a statement of the amount which is to form the nominal share capital of the company to be incorporated; or

- (b) a statement of the increase of the nominal share capital which may embody the notice of increased capital required by the Companies Act.
- (2) The statements referred to in subsection (1) shall be charged with duty as specified in Schedule 2 to this Act.
- (3) The statement of the amount of any increase of nominal capital which is required to be delivered under subsection (1)(b)—
- (a) shall be delivered to the registrar of companies within thirty days after the passing of the resolution authorising the increase; and
 - (b) in default of delivery, the duty, with simple interest on the duty at the rate of two percent per year from the passing of the resolution, shall be recoverable summarily as a civil debt from the company.

Duty by whom payable

9. Expense of providing stamp

The expense of providing the proper stamp shall be as set out in Schedule 3 to this Act.

Stamps and the mode of using them

10. Duties, how to be paid

Except as expressly provided in this Act, all duties with which any instruments are chargeable shall be paid, and the payment shall be evidenced in a manner the Minister may prescribe.

11. Denoting duty

Where the duty with which an instrument is chargeable, or its exemption from duty, depends upon the duty actually paid in respect of another instrument, the payment of the last-mentioned duty shall, if application is made in writing to the Commissioner for that purpose, and on production of both the instruments, be denoted upon the first mentioned instrument by endorsement in the prescribed form by the Commissioner.

12. Provisions relating to duplicates and counterparts

The duty on a counterpart of duplicates on an instrument, other than a lease, shall not be taken as paid or exemption granted, unless duty has been paid or exemption granted in respect of the original instrument.

*Time of stamping documents***13. Instruments executed in Uganda**

An instrument chargeable with duty which is executed by a person in Uganda shall be stamped within forty-five days of execution.

14. Instruments executed outside Uganda

- (1) An instrument chargeable with duty which is wholly executed outside Uganda shall be stamped within thirty days of being received in Uganda.
- (2) Notwithstanding subsection (1), a promissory note or bill of exchange payable on demand or at not more than thirty days from sight or date shall be stamped within seven days of being received in Uganda.

15. Bills and notes drawn outside Uganda

- (1) The first holder in Uganda of a bill of exchange or promissory note drawn or made outside Uganda shall, before he or she presents it for acceptance or payment, or endorses, transfers or otherwise negotiates it in Uganda, affix to it the proper stamp and cancel the stamp in the manner prescribed under this Act.
- (2) Notwithstanding subsection (1), if at the time the bill of exchange, or note comes into the hands of a holder in Uganda—
 - (a) the proper stamp is affixed to it and cancelled in the manner prescribed; and
 - (b) the holder has no reason to believe that the stamp was affixed or cancelled otherwise than by the person and at the time required by this Act,

the stamp shall, so far as relates to that holder, be taken to have been duly affixed and cancelled.
- (3) Subsection (2) does not relieve a person from a penalty incurred by him or her for omitting to affix or cancel a stamp.

*Valuations for duty***16. Conversion of amount expressed in foreign currencies**

Where an instrument is chargeable with duty in respect of any money expressed in a currency other than that of Uganda, the duty shall be calculated on the value of the money in the currency of Uganda according to

the Bank of Uganda exchange rate applying between the currency and the Uganda Shilling on the date of execution of the instrument.

17. Stock and marketable securities, how to be valued

- (1) Where an instrument is chargeable with duty in respect of any stock or of any marketable or other security, the duty shall be calculated on the value of the stock or security according to the average price or the value of the stock or security on the date of the instrument.
- (2) Notwithstanding subsection (1), where the consideration for a conveyance or transfer of property is stock or any marketable or other security and in the opinion of the Commissioner the consideration is inadequate, having regard to the value of the stock or security calculated as provided in subsection (1), duty shall be charged on the value of the property to be conveyed or transferred.

18. Effect of statement of rate of exchange or average price

Where an instrument contains a statement of the current rate of exchange, or average price, as the case may require, and is stamped in accordance with the statement, it shall, so far as regards the subject matter of the statement, be presumed, until the contrary is proved, to be duly stamped.

19. Instruments reserving interest

Where interest is expressly made payable by the terms of an instrument, the instrument shall not be chargeable with duty higher than that with which it would have been chargeable had no mention of interest been made in the instrument.

20. Certain instruments connected with mortgages of marketable securities to be chargeable as agreements

- (1) Where an instrument, other than a promissory note or bill of exchange—
 - (a) is given upon the occasion of the deposit of a marketable security by way of security for money advanced or to be advanced by way of loan, or for an existing or future debt; or
 - (b) makes redeemable or qualifies a duly stamped transfer intended as a security, of a marketable security,it shall be chargeable with duty as if it were an agreement or memorandum of an agreement chargeable with duty under Schedule 2 to this Act.

- (2) A release or discharge of a instrument shall be chargeable with the same duty as that of the instrument.

21. How transfer in consideration of debt or subject to future payment to be charged

- (1) Where property is transferred to a person in consideration, wholly or in part, of any debt due to the person, or subject either certainly or contingently to the payment or transfer of any money or stock, whether being or constituting a charge or incumbrance upon the property or not, the debt, money or stock is to be taken as the whole or part, as the case may be, of the consideration in respect of which the transfer is chargeable with duty.
- (2) Subsection (1) does not apply to a certificate of sale mentioned in Schedule 2 to this Act.
- (3) In the case of a sale of property subject to a mortgage or other incumbrance, any unpaid mortgage money or money charged, together with the interest, if any, due on the encumbrance, shall be taken to be part of the consideration for the sale.
- (4) Where property subject to a mortgage is transferred to the mortgagee, the mortgagee shall be entitled to deduct from the duty payable on the transfer the amount of any duty already paid in respect of the mortgage.

22. Valuation in case of annuity

Where an instrument is executed to secure the payment of an annuity or other sum payable periodically, or where the consideration for a conveyance is an annuity or other sum payable periodically, the amount secured by the instrument or the consideration for the conveyance, as the case may be, shall, for the purposes of this Act, be considered to be—

- (a) where the sum is payable for a definite period so that the total amount to be paid can be previously ascertained, such total amount;
- (b) where the sum is payable in perpetuity or for an indefinite time not terminable with any life in being at the date of the instrument or conveyance, the total amount which, according to the terms of the instrument or conveyance, will or may be payable during the period of twenty years calculated from the date on which the first payment becomes due; and

- (c) where the sum is payable for an indefinite time terminable with any life in being at the date of the instrument or conveyance, the maximum amount which will or may be payable as described in paragraph (b) during the period of twelve years calculated from the date on which the first payment becomes due.

23. Facts affecting duty to be set forth in instrument

- (1) The consideration, if any, and all other facts and circumstances affecting the chargeability of an instrument with duty, or the amount of the duty with which it is chargeable, shall be set out in the instrument.
- (2) The Commissioner may require a person executing or a person employed or concerned in the preparation of an instrument to give evidence on oath or by affidavit that the facts and circumstances in the instrument are fully and truthfully set out and for that purpose the Commissioner may administer an oath.
- (3) A person who, with intent to defraud the Government—
 - (a) executes an instrument in which all the facts and circumstances required by this section to be set out in the instrument are not fully and truly set out;
 - (b) being employed or concerned in or about the preparation of any instrument, neglects or omits fully and truly to set out all the facts and circumstances; or
 - (c) does any other act calculated to deprive the Government of any duty or penalty under this Act,commits an offence is liable on conviction to a fine not exceeding one hundred currency points.

24. Direction as to duty in case of certain conveyances

- (1) Where any property has been contracted to be sold for one consideration for the whole, and is conveyed to the purchaser in separate parts by different instruments, the consideration shall be apportioned in a manner as the parties think fit.
- (2) A distinct consideration for each separate part is set out in the conveyance relating to each part, and each conveyance shall be chargeable with duty in respect of the distinct consideration set out.
- (3) Where property contracted—

- (a) to be purchased for one consideration for the whole by two or more persons jointly; or
- (b) by any person for himself or herself and others, or wholly for others, is conveyed in parts by separate instruments to the persons by or for whom the property was purchased, for distinct parts of the consideration, the conveyance of each separate part shall be chargeable with duty in respect of the distinct part of the consideration specified in the instrument.

(4) Where a person—

- (a) having contracted for the purchase of any property but not having obtained a conveyance of the property, contracts to sell it to any other person; and
 - (b) the property is in consequence conveyed immediately to the sub-purchaser, the conveyance shall be chargeable with duty in respect of the consideration for the sale by the original purchaser to the sub-purchaser.
- (5) Where a person contracts for the purchase of property but not having obtained a conveyance of the property, contracts to sell the whole, or any part of it, to any other person and the property is in consequence conveyed by the original seller to different persons in parts, the conveyance of each part sold to a sub-purchaser shall be chargeable with duty in respect only of the consideration paid by that sub-purchaser without regard to the amount or value of the original consideration.
- (6) The conveyance of the residue, if any, of the property to the original purchaser shall be chargeable with duty in respect only of the excess of the original consideration over the aggregate of the considerations paid by the sub-purchasers.
- (7) Where a sub-purchaser takes an actual conveyance of the interest of the person immediately selling to him or her, which is chargeable with duty in respect of the consideration paid by him or her and is duly stamped accordingly, any conveyance to be made afterwards to him or her of the same property by the original seller shall be chargeable with a duty equal to that which would be chargeable on a conveyance for the consideration obtained by the original seller.

25. Reconstruction or amalgamation of companies

- (1) Where, in connection with a reconstruction of a company or the amalgamation of companies it is shown to the satisfaction of the Commissioner that there exists the conditions mentioned in subsection (4), subject to this section—
- (a) the nominal share capital of the transferee company, or the amount by which the capital of the transferee company has been increased, as the case may be, shall, for the purpose of computing the stamp duty chargeable in respect of that capital, be treated as being reduced by either—
 - (i) an amount equal to the amount of the share capital of the existing company, or, in the case of the acquisition of a part of an undertaking, equal to that proportion of the share capital as the value of that part of the undertaking bears to the whole value of the undertaking; or
 - (ii) the amount to be credited as paid-up on the shares to be issued as such consideration and on the shares, if any, to be issued to creditors of the existing company in consideration of the release of debts due or accruing due to them from the existing company or of the assignment of the debts to the transferee company, whichever amount is the less; and
 - (b) stamp duty in Schedule 2 to this Act shall not be chargeable on any instrument made for the purposes of or in connection with the transfer of the undertaking or shares, or on an instrument made for the purpose of or in connection with the assignment to the transferee company of a debts, secured or unsecured, of the existing company, nor shall a such duty be chargeable on an instrument vesting, or relating to the vesting of, the undertaking or shares in the transferee company.
- (2) An instrument under subsection (1) shall not be considered to be duly stamped unless—
- (a) it is stamped with the duty to which it would but for this section be liable; and
 - (b) in the case of an instrument made for the purposes of or in connection with a transfer to a company within the meaning of the Companies Act, subsection (1)(b) shall not apply unless the instrument is either executed within twelve months from the date of the registration of the transferee company or the date of the

resolution for the increase of the nominal share capital of the transferee company, as the case may be; or made for the purpose of effecting a conveyance or transfer in pursuance of an agreement which has been filed, or particulars of which have been filed, with the registrar of companies within the period of twelve months.

- (3) Subsection (2) shall not, except in the case of a debt due to a bank or to trade creditor, apply to a debt which was incurred less than two years before the proper time for making a claim for exemption under this section.
- (4) The conditions referred to in subsection (1) are—
 - (a) that a company with a limited liability is to be registered, or that a company has been incorporated by an Act of Parliament, or the nominal share capital of a company has been increased;
 - (b) that the company, in this section referred to as “the transferee company”, is to be registered or has been incorporated or has increased its capital with a view to the acquisition either of the undertaking of, or of not less than ninety percent of the issued share capital of, any particular existing company;
 - (c) that the consideration for the acquisition, except that part of it as consists in the transfer to or discharge by the transferee company of liabilities of the existing company, consists of not less than ninety percent where an undertaking is to be acquired, in the issue of shares in the transferee company to the existing company or to holders of shares in the existing company; or where shares are to be acquired, in the issue of shares in the transferee company to the holders of shares in the existing company in exchange for the shares held by them in the existing company.
- (5) For the purposes of a claim for exemption under subsection (1)(b), a company which has, in connection with a scheme of reconstruction or amalgamation, issued any unissued share capital shall be treated as if it had increased its nominal share capital.
- (6) A company shall not be considered to be a particular existing company within the meaning of this section unless—
 - (a) it is provided by the memorandum of association of, or Act of Parliament incorporating the transferee company that one of the objects for which the company is established is the acquisition of the undertaking of, or shares in, the existing company; or

- (b) unless it appears from the resolution, Act of Parliament or other authority for the increase of the capital of the transferee company that the increase is authorised for the purpose of acquiring the undertaking of, or shares in, the existing company.
- (7) In a case where the undertakings of, or shares in two or more companies are to be acquired, the amount of the reduction to be allowed under this section in respect of the stamp duty chargeable in respect of the nominal share capital or the increase of the capital of a company shall be computed separately in relation to each of those companies.
- (8) In this section, unless the context otherwise requires—
 - (a) references to the undertaking of an existing company include references to a part of the undertaking of an existing company; and
 - (b) “shares” includes stock.

26. Transfers between associated companies

- (1) Stamp duty under Schedule 2 to this Act shall not be chargeable on an instrument to which this section applies.
- (2) This section applies to an instrument in respect of which it is shown to the satisfaction of the Commissioner—
 - (a) that the effect of the instrument is to convey or transfer a beneficial interest in property from one company with limited liability, in this section called “the transferor”, to another company, in this section called “the transferee”;
 - (b) that either—
 - (i) one of the companies is the beneficial owner of not less than ninety percent of the issued share capital of the other company; or
 - (ii) not less than ninety percent of the issued share capital of each of the companies is in the beneficial ownership of a third company with limited liability; and
 - (c) that the instrument was not executed in furtherance of or in connection with an arrangement under which—
 - (i) the consideration for the conveyance or transfer was to be provided directly or indirectly by a person other than a company which at the time of the execution of

the instrument was associated with either the transferor or the transferee; or

- (ii) the beneficial interest in the property was previously conveyed or transferred directly or indirectly by such a person.

27. Transfers during life time of person transferring

- (1) A conveyance or transfer operating as a voluntary disposition during the life time of the person transferring shall be chargeable with the stamp duty as if it were a conveyance or transfer on sale with the substitution in each case of the value of the property conveyed or transferred for the amount or value of the consideration for the sale.
- (2) Where an instrument is chargeable with duty both as a conveyance or transfer under this section and as a settlement under Schedule 2 to this Act, the instrument shall be charged with duty as a conveyance or transfer under this section but not as a settlement.
- (3) A conveyance or transfer, not being a disposition made in favour of a purchaser or incumbrancer or other person in good faith and for valuable consideration, shall for the purpose of this section be taken to be a conveyance or transfer operating as a voluntary disposition during the life time of the person transferring.

PART III – DETERMINATION AS TO STAMPS

28. Determination as to proper stamp

- (1) Where an instrument, whether executed or not and whether previously stamped or not, is brought to the officer, and the person bringing it applies to have the opinion of that officer as to the duty, if any, with which it is chargeable and pays the prescribed fee the officer shall determine the duty, if any, with which, in his or her judgment, the instrument is chargeable.
- (2) For the purposes of subsection (1), the officer may require to be furnished with an abstract of the instrument an affidavit or other evidence as he or she may consider necessary to prove that all the facts and circumstances affecting the chargeability of the instrument with duty, or the amount of the duty with which it is chargeable, are fully and truly set out in it.
- (3) An officer may refuse to proceed upon an application until the abstract and evidence have been furnished.

- (4) Any evidence furnished under this section shall not be used against a person in any civil proceeding, except in an inquiry as to the duty with which the instrument to which it relates is chargeable, and every person by whom any such evidence is furnished shall, on payment of the full duty with which the instrument to which it relates is chargeable, be relieved from any penalty which he or she may have incurred under this Act by reason of the omission to state truly in the instrument any of the facts or circumstances required.

29. Certificate by Uganda Revenue Authority

- (1) Where an instrument brought to the officer under section 27 is, in opinion of the officer, one of a description chargeable with duty, and—
- (a) that officer determines that the duty is already fully stamped; or
 - (b) the duty determined by that officer under section 27 or such sum as, with the duty already paid in respect of the instrument, is equal to the duty determined, has been paid,
- that officer shall certify by endorsement on the instrument that the full duty, stating the amount, with which it is chargeable has been paid.
- (2) Where the instrument is, in the opinion of the officer not chargeable with duty the officer shall certify in the manner provided in subsection (1) that the instrument is not chargeable to duty.
- (3) An instrument upon which an endorsement has been made under this section—
- (a) shall be taken to be duly stamped or not chargeable with duty, as the case may be; and
 - (b) if chargeable with duty, shall be receivable in evidence or otherwise, and may be acted upon and registered as if it had been originally duly stamped.
- (4) This section does not authorise the Commissioner to endorse—
- (a) an instrument executed or first executed in Uganda and brought to the Commissioner after the expiration of one month from the date of its execution or first execution, as the case may be;

- (b) an instrument executed or first executed outside Uganda and brought to the Commissioner after the expiration of three months after it has been first received in Uganda; or
- (c) an instrument chargeable with the duty or under or any bill of exchange or promissory note, when brought to the Commissioner, after the drawing or execution, not duly stamped.

PART IV – INSTRUMENTS NOT DULY STAMPED

30. Examination and impounding of instruments

- (1) A person—
 - (a) who by law or consent of the parties has authority to receive evidence; and
 - (b) a person in charge of a public office, except a police officer, before whom an instrument chargeable, in his or her opinion, with duty, is produced or comes in the performance of his or her functions,

shall, if it appears to that person that the instrument is not duly stamped, impound it.
- (2) A person mentioned in subsection (1) shall examine every instrument produced or coming before him or her, in order to ascertain whether it is stamped with a stamp of the value and description required by law when the instrument was executed or first executed.
- (3) This section shall not—
 - (a) be taken to require a judge or magistrate of a criminal court to examine or impound, if he or she does not think fit so to do, any instrument coming before him or her in the course of any proceeding; or
 - (b) be taken to require a magistrate or justice of the peace to examine or impound a document coming before him or her in the course of taking an affidavit or exercising or performing any of the other powers or duties of a notary public or commissioner for oaths.
- (4) In the case of a judge of the High Court, the duty of examining and impounding an instrument under this section may be delegated to an officer appointed by the court for the purpose.

- (5) For the purposes of this section, in case of doubt, the Minister may determine what offices shall be taken to be public offices, and who shall be taken to be persons in charge of public offices.

31. Instruments not duly stamped inadmissible in evidence

- (1) An instrument chargeable with duty shall not—
- (a) be admitted in evidence for any purpose by a person who has by law or consent of the parties authority to receive evidence; or
 - (b) be acted upon, registered or authenticated by a person, or by a public officer,
- unless the instrument is duly stamped.
- (2) An instrument other than a cheque, or a bill of exchange, presented for acceptance, accepted or payable outside Uganda, or a promissory note, shall subject to all just exceptions be admitted in evidence on payment of the duty with which the instrument is chargeable, or, in the case of an instrument which is insufficiently stamped, of the amount required to make up the duty, together with the prescribed penalty, but—
- (a) where a person from whom a stamped receipt could have been demanded has given an unstamped receipt, and that receipt, if stamped, would be admissible in evidence against him or her, then the receipt shall be admitted in evidence against him or her on payment of the prescribed penalty by the person tendering it;
 - (b) where a contract or agreement of any kind is effected by correspondence consisting of two or more letters and any of the letters bears the proper stamp, the contract or agreement shall be taken to be duly stamped;
 - (c) this section shall not prevent the admission of an instrument in evidence in any proceeding in a criminal court;
 - (d) this section shall not prevent the admission of an instrument in any court when the instrument has been executed by or on behalf of the Government, or where it bears the authentic certificate of the Uganda Revenue Authority as provided by this Act.

32. Where admission of instrument not to be questioned

Where an instrument has been admitted in evidence, the admission shall not, except as otherwise provided in this Act, be called in question at any stage of

the same suit or proceeding on the ground that the instrument has not been duly stamped.

33. Instruments impounded, how dealt with

- (1) When the person impounding an instrument under this Act has by law or consent of the parties—
 - (a) authority to receive evidence and admits the instrument in evidence upon payment of the duty with which the instrument is chargeable; or
 - (b) in the case of an instrument insufficiently stamped, of the amount required to make up such duty together with the prescribed penalty, that person shall send to the Commissioner an authenticated copy of the instrument, together with a certificate in writing, stating the amount of duty and penalty levied in respect of the instrument, and shall send the amount to the Commissioner, or to the person appointed by Commissioner for the purpose.
- (2) In every other case, the person impounding an instrument shall send it in original form to the Commissioner.

34. Power of Commissioner to stamp instruments impounded

- (1) Where the Commissioner impounds an instrument under this Act or receives an instrument sent to him or her, not being an instrument chargeable with a duty, or a bill of exchange or promissory note, Commissioner shall adopt the following procedure—
 - (a) if the Commissioner is of opinion that the instrument is duly stamped, or is not chargeable with duty, he or she shall certify by endorsement on it that it is duly stamped, or that it is not chargeable to duty; or
 - (b) if the Commissioner is of opinion that the instrument is chargeable with duty and is not duly stamped, he or she shall require the payment of the proper duty or the amount required to make up that duty, together with the prescribed penalty.
- (2) Notwithstanding subsection (1) where an instrument has been impounded only because it has been written in contravention of a provision of this Act, the Commissioner may, remit the whole penalty prescribed by this Act.

- (3) A certificate under this section is for the purposes of this Act, conclusive evidence of the matters stated in the certificate.

35. Instruments unduly stamped by accident

Where an instrument chargeable with duty is not duly stamped, or a bill of exchange or promissory note, is produced by a person of his or her own motion before the Commissioner within one year from the date of its execution or first execution, and that person brings to the notice of the Commissioner the fact that the instrument is not duly stamped and offers to pay to the Commissioner the amount of the proper duty, or the amount required to make up that duty, and the Commissioner is satisfied that the omission duly to stamp the instrument has been occasioned by accident, mistake or urgent necessity, Commissioner may waive the penalty due.

36. Endorsement of instruments on which duty has been paid

- (1) Where the duty and penalty, if any, leviable in respect of an instrument has been paid under this Act, the person admitting the instrument in evidence or the Commissioner—
- (a) shall certify by endorsement on the instrument that the proper duty or, as the case may be, the penalty, stating the amount of each, has or have been levied in respect of the instrument; and
 - (b) the name and residence of the person making payment.
- (2) An instrument endorsed under subsection (1)—
- (a) shall be admissible in evidence, and may be registered and acted upon and authenticated as if it had been duly stamped; and
 - (b) shall be delivered on his or her application to the person from whose possession it came into the hands of the officer impounding it, or as that person may direct.
- (3) Notwithstanding anything in this section, an instrument which has not been admitted in evidence shall not upon payment of duty, be delivered before the expiration of one month from the date of its impounding, or if the Uganda Revenue Authority has certified that its further detention is necessary and has not cancelled the certificate.

37. Prosecution for offence under Act

- (1) The taking of proceedings or the payment of a penalty under this Act in respect of an instrument shall not bar the prosecution of a person who

appears to have committed an offence under this Act in respect of the instrument.

- (2) Notwithstanding subsection (1), a prosecution shall not be instituted in the case of an instrument in respect of which a penalty has been paid, unless it appears to the Commissioner that the offence was committed with an intention of evading payment of the proper duty.

38. Persons paying duty or penalty may recover it in certain cases

- (1) Where a duty or penalty has been paid under this Act by a person in respect of an instrument, and, by agreement or any other enactment in force at the time the instrument was executed, some other person was bound to bear the expense of providing the proper stamp for the instrument, the first-mentioned person shall be entitled to recover from that other person the amount of the duty or penalty paid.
- (2) For the purpose of that recovery a certificate granted in respect of the instrument under this Act shall be conclusive evidence of the matters certified in it.
- (3) A person may claim a refund of duty paid in error on an instrument which is not dutiable within one year after the date the duty was paid.
- (4) The amount referred to in subsection (1) may, if the court deems fit, be included in an order as to costs in any suit or proceeding to which the persons are parties and in which the instrument has been tendered in evidence but if the court does not include the amount in the order, no further proceedings for the recovery of the amount shall be maintainable.

39. Power of Commissioner to refund penalty or excess duty in certain cases

- (1) A person may apply to the Commissioner for a refund of stamp duty paid in excess of the proper duty payable on an instrument.
- (2) An application for a refund under this section shall be made to the Commissioner within three months from the date of the payment of the stamp duty.
- (3) Where, in the opinion of the Commissioner, stamp duty in excess of that which is legally chargeable has been charged and paid, the Commissioner may—
 - (a) apply the excess in reduction of any other tax due from the person;

- (b) apply the balance of the excess, if any, in reduction of any outstanding of the person to pay any other taxes not in dispute; and
 - (c) refund the remainder, if any, to the person.
- (4) The Commissioner shall, within thirty days of making a decision under this section, serve the person applying for a refund a notice of the decision, in writing.
- (5) A person dissatisfied with a decision of the Commissioner under this section may challenge the decision under the objection and appeals procedure set out in this Act.

40. Non-liability for loss of instruments

- (1) Where an instrument sent to the Commissioner under this Act is lost, destroyed or damaged during transmission, the person sending it shall not be liable for the loss, destruction or damage.
- (2) Where an instrument is about to be sent, the person from whose possession it came into the hands of the person impounding it, the person impounding the instrument may require a copy of the instrument to be made at the expense of the first mentioned person and authenticated by the person impounding the instrument.

PART V – ALLOWANCES FOR SPOILED STAMPS IN CERTAIN CASES

41. Allowance for spoiled stamps

The Commissioner may, on application in the prescribed form make allowance for stamps spoiled in the following cases—

- (a) the stamp on any paper inadvertently and undersigned spoiled, obliterated or by error in writing or any other means rendered unfit for the purpose intended before an instrument written on the paper is executed by any person;
- (b) the stamp on a document which is written out wholly or in part, but which is not signed or executed by a party to the document;
- (c) in the case of bills of exchange, cheques or promissory notes—
 - (i) the stamp on a bill of exchange or cheque signed by or on behalf of the drawer which has not been accepted or made use of in a manner or delivered out of the drawer's hands for any purpose other than by way of tender for acceptance, if the paper on which that stamp is

impressed does not bear a signature intended as or for the acceptance of a bill of exchange or cheque to be written on it afterwards;

- (ii) the stamp on a promissory note signed by or on behalf of the maker which has not been made use of in any manner or delivered out of the maker's hands;
 - (iii) the stamp used or intended to be used for a bill of exchange, cheque or promissory note signed by, or on behalf of, its drawer, but which from any omission or error has been spoiled or rendered useless, although in the case of a bill of exchange or cheque, it may have been presented for acceptance or accepted or endorsed, or, being a promissory note, may have been delivered to the payee, if another completed and duly stamped bill of exchange, cheque or promissory note is produced identical in every particular, except in the correction of the omission or error, with the spoiled bill, cheque or promissory note;
- (d) the stamp used for an instrument, executed by a party to it, which—
- (i) is afterwards found to be void;
 - (ii) is afterwards found unfit by reason of an error or mistake in it, or the purpose originally intended;
 - (iii) by reason of the death of a person by whom it is necessary that it should be executed without having executed it, or of the refusal of the person to execute it, cannot be completed so as to effect the intended transaction in the form proposed;
 - (iv) for want of its execution by some material party, and his or her inability or refusal to sign it, is in fact incomplete and insufficient for the purpose for which it was intended;
 - (v) by reason of the refusal of a person to act under the instrument, or to advance any money intended to be secured by it, or by the refusal or not of any office granted by it, totally fails for the intended purpose;
 - (vi) becomes useless in consequence of the transaction intended to be effected by it being effected by some other instrument between the same parties and bearing a stamp of not less value;
 - (vii) is deficient in value and the transaction intended to be effected by the instrument has been effected by some other instrument between the same parties and bearing a stamp of not less value; or

- (viii) is inadvertently and undesignedly spoiled, and instead of which another instrument made between the same parties and for the same purpose is executed and duly stamped, if in the case of an executed instrument, no legal proceeding has been commenced in which the instrument could or would have been given or offered in evidence, and if the instrument is given up to be cancelled.

42. Allowance in case of printed forms no longer required by corporations

The Commissioner may make allowance for stamped papers used for printed forms of instruments by a banker or by an incorporated company or other body corporate, if for any sufficient reason the forms have ceased to be required by the banker, company or body corporate, if the Commissioner is satisfied that the duty in respect of the stamped papers has been duly paid.

43. Allowance for misused stamps

Where—

- (a) a person has inadvertently used for an instrument chargeable with duty, a stamp of a description other than that prescribed for the instrument by this Act, or a stamp of greater value than was necessary, or has inadvertently used a stamp for an instrument not chargeable with duty; or
- (b) a stamp used for an instrument is inadvertently rendered useless because that instrument is written in contravention of this Act,

the Commissioner may, on application made within six months after the date of the instrument, or, if it is not dated, within six months after its execution by the person by whom it was first or alone executed, and upon the instrument, if chargeable with duty, being re-stamped with the proper duty, cancel and allow as spoiled the stamp misused or rendered useless.

44. Allowance for spoiled or misused stamps, how to be made

Where allowance is made for spoiled or misused stamps, the Commissioner may give in place of the spoiled or misused stamp other stamps of the same description and value or if Commissioner thinks fit, stamps of any other description to the same amount in value or at the discretion of the Commissioner, the same value in money.

45. Allowance on renewal of certain debentures

- (1) Where a duly stamped debenture is renewed by the issue of a new debenture in the same terms, the Commissioner shall, upon application made within one month after the renewal, repay to the person issuing the debenture the value of the stamp on the original or on the new debenture, whichever is the less if the original debenture is produced before the Commissioner and cancelled by him or her in the manner determined by the Commissioner.
- (2) A debenture shall be taken to be renewed in the same terms within the meaning of this section notwithstanding the following changes—
 - (a) the issue of two or more debentures in place of one original debenture where the total amount secured is the same;
 - (b) the issue of one debenture in place of two or more original debentures, where the total amount secured is the same;
 - (c) the substitution of the name of the holder at the time of renewal for the name of the original holder; or
 - (d) the alteration of the rate of interest or the dates of payment of the debenture.

PART VI – OBJECTIONS AND APPEALS

46. Objection to decision

- (1) Where a person liable to pay duty is dissatisfied with a decision made under this Act, that person may, within forty-five days after service of the notice of the decision, lodge with the Commissioner an objection to the decision.
- (2) An objection to a decision shall be in writing and state precisely the grounds upon which it is made.
- (3) Where a person fails to lodge an objection within the period stated in subsection (1), the Commissioner may, upon application in writing by the person liable to pay duty, extend the time for lodging an objection.
- (4) An application under subsection (3) shall only be granted where the Commissioner is satisfied that the failure of the person to lodge an objection was due to absence from Uganda, sickness or other reasonable cause.
- (5) Where the Commissioner refuses to grant an extension of time under subsection (3), the person liable to pay duty may, within thirty days after

service of notice of the decision, apply to the Tribunal for a review of the decision.

- (6) After consideration of the objection to the decision, the Commissioner may allow the objection in whole or in part and amend the decision accordingly, or disallow the objection.
- (7) The decision of the Commissioner under subsection (6) shall be referred to as an “objection decision”.
- (8) Where an objection decision has not been made by the Commissioner within thirty days after the person lodged the objection with the Commissioner, the person may, by notice in writing to the Commissioner, elect to treat the Commissioner as having made a decision to allow the objection.
- (9) A person shall be taken to have served the Commissioner with the notice of the election under subsection (8) on the date the notice of the person’s election is lodged with the Commissioner.

47. Appeal to the tribunal

- (1) A person dissatisfied with an objection decision may, within thirty days after being served with notice of the objection decision, lodge an application with the tribunal for review of the objection decision and shall serve a copy of the application on the Commissioner.
- (2) An appeal lodged under subsection (1) shall be conducted in accordance with the Tax Appeals Tribunal Act.
- (3) A person shall, before lodging an application with the Tribunal, pay to the Commissioner, thirty percent of the duty in dispute or that part of the duty assessed not in dispute, whichever is the greater.

48. Appeal to the High Court

- (1) A party who is dissatisfied with the decision of the tribunal may, within thirty days after being notified of the decision, lodge a notice of appeal with the Registrar of the High Court and the party appealing shall serve a copy of the notice of appeal on the other party to the proceedings before the Tribunal.
- (2) An appeal to the High Court shall be made on a question of law only and the notice of the appeal shall state the question or questions of law that are to be raised on the appeal.

- (3) An appeal under subsection (1) to the High Court shall be made by lodging a notice of appeal with the Registrar of the High Court within forty-five days after service of notice of the objection decision.
- (4) A person who has lodged a notice of appeal with the Registrar of the High Court shall, within five working days after doing so, serve a copy of the notice of appeal on the Commissioner.

49. Appeal to the Court of Appeal

A party to a proceeding before the High Court who is dissatisfied with the decision of the High Court may, with leave of the Court of Appeal, appeal against the decision to the Court of Appeal.

50. Burden of proof

The burden of proof in a review of an objection decision is on the person liable to pay duty, on the balance of probabilities as to the extent to which the objection decision made by the Commissioner is excessive or erroneous, whichever is the case in dispute.

51. Duty as debt due to the Government

- (1) Duty, when it becomes due and payable, is a debt to the Government of Uganda and is payable to the Commissioner in the manner and at the place prescribed.
- (2) Duty that has not been paid when it is due and payable may be sued for and recovered in a court of competent jurisdiction by the Commissioner acting in the Commissioner's official name, subject to the general directions of the Attorney-General.
- (3) In a suit under this section, the production of a certificate signed by the Commissioner stating the name and address of the person liable and the amount of duty due and payable by the person shall be sufficient evidence of the amount of duty due and payable by that person.

52. Recovery of duty from other persons

- (1) Where a person fails to pay duty on the date on which the duty is payable, and the duty is not the subject of a dispute, the Commissioner may, by notice in writing, require a person who—
 - (a) owes money to the person liable to pay duty;
 - (b) holds, money for, or on account of the person liable to pay duty;

- (c) holds money on account of some other person for payment to the person liable to pay duty; or
 - (d) has authority from some other person to pay money to the person liable to pay duty,
 - to pay that money to the Commissioner on the date stated in the notice, up to the amount of the duty due.
- (2) The date stated in the notice under subsection (1) must not be a date before the money becomes due to the person liable to pay duty, or is held on behalf of the person liable to pay duty.
 - (3) At the same time that notice is served under subsection (1), the Commissioner shall also serve a copy of the notice on the person liable to pay duty.
 - (4) Where a person served with a notice under subsection (1) is unable to comply with the notice by reason of lack of money owing to, or held for, the person liable to duty, the person shall, as soon as is practicable and in any case before the payment date stated in the notice, notify the Commissioner in writing setting out the reasons for the inability to comply.
 - (5) Where a notice is served on the Commissioner under subsection (4), the Commissioner may, by notice in writing, accept the notification and cancel or amend the notice issued under subsection (1) or reject the notification.
 - (6) A person who makes a payment in accordance with a notice under subsection (1) is taken to have acted under the authority of the person liable to pay duty and of all other persons concerned and is indemnified in respect of the payment against all proceedings, civil or criminal, and all processes, judicial or extra-judicial, notwithstanding any provisions to the contrary in any written law, contract, or agreement.
 - (7) An amount due under this section is treated for all purposes of this Act as if it were duty due.

53. Collection of duty by distraint

- (1) The Commissioner may recover any unpaid duty by distress proceedings against the movable property of a person liable to pay duty, in this section referred to as the “person liable”.

- (2) In accordance with subsection (1), the Commissioner shall issue an order in writing specifying the person against whose property the proceedings are authorised, the location of the property and the duty liability to which the proceedings relate, and may require a police officer to be present while distress is being executed.
- (3) For the purposes of executing distress under subsection (1), the Commissioner may, at any time, enter any house or premises described in the order authorising the distress proceedings.
- (4) The property upon which distress is levied under this section, other than perishable goods, shall be kept for not more than fourteen days either at the premises where the distress was levied or at any other place that the Commissioner may consider appropriate, at the cost of the person liable.
- (5) Where the person liable does not pay the duty due, together with the costs of the distress—
 - (a) in the case of perishable goods, within a period that the Commissioner considers reasonable having regard to the condition of the goods; or
 - (b) in any other case, within fourteen days after the distress is levied, the property distrained may be sold by public auction or otherwise dealt with in any other manner as the Commissioner may direct.
- (6) The proceeds of a disposal under subsection (5) shall be applied by the auctioneer or seller towards the cost of taking, keeping and selling the property distrained upon, and towards the payment of the duty due.
- (7) The remainder of the proceeds under subsection (5), if any, shall be given to the person liable.
- (8) This section shall not preclude the Commissioner from proceeding with respect to the balance owed if the proceeds of the distress are not sufficient to meet the costs of the distress and the duty due.
- (9) All costs incurred by the Commissioner in respect of any distress may be recovered by the Commissioner from the person liable, and the provisions of this Act relating to the collection and recovery of duty shall apply as if the costs were duty due under this Act.

54. Duties of receivers

- (1) A receiver shall, in writing, notify the Commissioner within fourteen days of being appointed to the position of receiver or of taking possession of an asset in Uganda, whichever occurs first.
- (2) The Commissioner may, in writing, notify a receiver of the amount which appears to the Commissioner to be sufficient to provide for any duty which is or will become payable by the person whose assets are in the possession of the receiver.
- (3) A receiver shall not part with an asset in Uganda which is held by the receiver in the capacity as receiver without the prior written permission of the Commissioner.
- (4) A receiver—
 - (a) shall set aside, out of the proceeds of sale of an asset, the amount notified by the Commissioner under subsection (2), or such lesser amount as is subsequently agreed on by the Commissioner;
 - (b) is liable to the extent of the amount set aside for the duty of the person who owned the asset; and
 - (c) may pay any debt that has priority over the duty referred to in this section notwithstanding any provision of this section.
- (5) Where the receiver fails to comply with this section, the receiver is personally liable for the amount required to be set aside.
- (6) In this section, “receiver” includes a person who, in respect to an asset in Uganda, is_
 - (a) a liquidator of a company;
 - (b) a receiver appointed out of court or by a court;
 - (c) a trustee for a bankrupt;
 - (d) a mortgagee in possession;
 - (e) an executor of a deceased’s estate; or
 - (f) any other person conducting the business of a person legally incapacitated.

55. Security on property for unpaid duty

- (1) Where a person who is the owner of land or buildings situated in Uganda fails to pay duty, the Commissioner may, by notice in writing, notify the person of the intention to apply to the Registrar of Titles that that Land

or buildings be the subject of security for the duty as specified in the notice.

- (2) Where, within thirty days after the date of service of the notice under subsection (1), a person on whom a notice has been served fails to make payment of the whole of the amount of the duty specified in the notice, the Commissioner may, by notice in writing, in this section referred to as a “notice of direction”, direct the Registrar of Titles that the land or buildings of the person, to the extent of the interest of the person in the land or buildings, be the subject of security for unpaid duty in the amount specified in the notice.
- (3) Where a notice of direction is served on the Registrar of Titles under subsection (2), the Registrar of Titles shall, without fee, register the direction as if it were an instrument or mortgage over, or charge on, the land or buildings.
- (4) Upon registration of the direction under subsection (3), the registration shall, subject to any prior mortgage or charge, operate as a legal mortgage over or charge on the land or building to secure the amount of the unpaid duty.
- (5) Upon receipt of the whole of the amount of duty secured under subsection (4), the Commissioner shall serve notice on the Registrar of Titles cancelling the direction made under subsection (2) and the Registrar of Titles shall, without fee, record the cancellation and thereupon the direction shall cease to exist.

PART VII – CRIMINAL OFFENCES AND PROCEDURE

56. Penalty for executing instrument **not duly stamped**

- (1) A person who—
 - (a) draws, makes, issues, endorses or transfers or signs, otherwise than as a witness, or presents for acceptance or payment, or accepts, pays or receives payment of, or in any manner negotiates a bill of exchange, cheque or promissory note without it being duly stamped;
 - (b) executes or signs, otherwise than as a witness, any other instrument chargeable with duty without it being duly stamped; or
 - (c) votes or attempts to vote under a proxy not duly stamped,

commits an offence and is liable, on conviction, to a fine not exceeding one hundred currency points or to imprisonment for a term not exceeding six months, or both.

- (2) Where a share warrant is issued without being duly stamped, the company issuing it, and every person who, at the time when it is issued, is the managing director or secretary or other principal officer of the company, commits an offence and is liable, on conviction, to a fine not exceeding one hundred currency points.

57. Penalty for failure to cancel adhesive stamp

A person required to cancel an adhesive stamp who fails to cancel the stamp in the manner prescribed commits an offence and is liable, on conviction, to a fine not exceeding one hundred currency points or to imprisonment not exceeding six months, or both.

58. Penalty for not making out policy, or making one not duly stamped

- (1) Any person who—

- (a) receives, or takes credit for, a premium or consideration for a contract of insurance and does not, within one month after receiving, or taking credit for, the premium or consideration, make out and execute a duly stamped policy of insurance; or
- (b) makes, executes or delivers out a policy which is not duly stamped, or pays or allows in account, or agrees to pay or allow in account, any money upon, or in respect of, that policy,

commits an offence and is liable, on conviction, to a fine not exceeding one hundred currency points or to imprisonment for a term not exceeding six months, or both.

- (2) Subsection (1) shall not apply to policies of insurance against accident in respect of which an agreement for the composition of stamp duty has been entered into under this Act.

59. Penalty for not drawing full number of bills or marine policies purporting to be in sets

Any person who draws or executes a policy of marine insurance purporting to be drawn or executed in a set of two or more, and not at the same time drawing or executing on paper duly stamped the whole number of policies of which that policy purports the set to consist, commits an offence and is liable,

on conviction, to a fine not exceeding one hundred currency points or to imprisonment for a term not exceeding six months, or both.

60. Penalty for postdating bills, and for other devices to defraud Government of revenue

Any person who, with intent to defraud the Government of duty, draws, makes or issues a bill of exchange or promissory note, bearing a date subsequent to that on which the bill or note is actually drawn or made and knowing that the bill or note has been so post dated, endorses, transfers, presents for acceptance or payment, or accepts, pays or receives payment of, the bill or note, or in any manner negotiates it or with the like intent, practices or is concerned in any act, contrivance or device not specially provided for by this Act or any other law, commits an offence and is liable, on conviction, to a fine not exceeding one hundred currency points or to imprisonment for a term not exceeding six months, or both.

61. Offences in relation to stamps

Any person—

- (a) appointed to sell stamps, who contravenes any provision of this Act;
- (b) not authorised to sell stamps, who sell stamps;
- (c) authorised to sell stamps, who sells unauthorised stamps; or
- (d) who forges a stamp,

commits an offence and is liable, on conviction, to a fine not exceeding one hundred currency points or to imprisonment for a term not exceeding six months, or both.

PART VIII – MISCELLANEOUS

62. Books to be open to inspection

A person who has in his or her custody any registers, books, records, papers, documents or proceedings, the inspection of which may tend to secure any duty or to prove or lead to the discovery of any fraud or omission in relation to any duty, shall at all reasonable times permit a person authorised in writing by the Commissioner to inspect for such purpose the registers, books, papers, documents and proceedings, and to take such notes and extracts as he or she may deem necessary, without fee or charge.

63. Re-characterisation of instruments under Islamic financial business⁷⁸¹

- (1) For purposes of determining whether an instrument is chargeable with duty under this Act, the Commissioner may re-characterise an instrument under Islamic financial business not provided for under this Act to the equivalent instrument under conventional financial services for purposes of reflecting the equivalent economic substance, rather than the form.
- (2) The Commissioner shall comply with Shari'ah principles in re-characterising an instrument under Islamic financial business that is not provided for under this Act.

64. Power to amend Schedules

- (1) The Minister may, by statutory instrument, with the approval of Cabinet, amend Schedule 1 to this Act.
- (2) An instrument made under subsection (1) shall as soon as practicable after publication in the *Gazette* be laid before Parliament and Parliament may within twenty-one sitting days, by resolution, annul the instrument.

65. Regulations

- (1) The Minister may, by statutory instrument, make regulations generally to give effect to this Act.
- (2) Without limiting the general effect of subsection (1), the Minister may make regulations relating to—
 - (a) the supply and sale of stamps and stamped papers;
 - (b) the persons authorised to sell stamps and all matters relating to the sale of stamps;
 - (c) the reduction, remission or compounding duties;
 - (d) the manner of using stamps on instruments chargeable with the duty including the description of stamps which may be used, the number of stamps which may be used, the size of the paper on which the stamps are written;
 - (e) the admission in evidence of improperly stamped instruments;
 - (f) the issue of stamps certificates including the manner of delegating the authority to issue those certificates;

⁷⁸¹ Inserted by Stamp Duty (Amendment) Act, 2023

- (g) the form and manner of making returns.
- (3) Regulations made under this section may—
 - (a) prescribe for the contravention of any of the regulations a fine not exceeding one hundred currency points;
 - (b) prescribe a higher penalty for a second or a subsequent contravention;
 - (c) prescribe an extra penalty for any day for which the contravention continues;
 - (d) require that anything used in connection with the contravention shall be ordered by the court to be forfeited to the state.

66. Saving

- (1) A statutory instrument made under the Stamps Act, Cap. 342 (Revised Edition, 2000) and in force at the commencement of this Act shall continue in force until repealed under this Act.
- (2) This Act shall not affect the duties chargeable under any other law for the time being in force relating to court fees.
- (3) Until regulations are made under this Act to the contrary, any stamps which might lawfully be used immediately before the commencement of this Act for the payment of duties with which instruments were charged may be used for the purposes of this Act.

SCHEDULES*Schedule 1*

Section 1, 64(1)

Currency Point

One currency point is equivalent to twenty thousand shillings.

*Schedule 2***Stamp Duty on Instruments**

Sections 2(1), 3(1), (2), 5, 8(2), 20(1),
21(2), 25(1), 26(1), 27(2), 64

	Description of instrument	2023/24	2024/25	2025/26
1	Acknowledgement of a debt exceeding shs 100,000	NIL	NIL	NIL
2	(a) Administration bond	15,000/=	15,000/=	15,000/=
	(b) Customs bonds – of the total value	0.05%	0.05%	0.05%
3	Adoption deed	15,000/=	15,000/=	15,000/=
4	Affidavit including an affirmation or declaration	15,000/=	15,000/=	15,000/=
5	Agreement or memorandum of an agreement except a sale-based financing agreement between the vendor or borrower and a person licensed to carry on Islamic financial business; ⁷⁸²	15,000/=	15,000/=	NIL
6	Agreement relating to deposit of title deeds, pawn pledge - of the total value	NIL	NIL	NIL

⁷⁸² Substituted by SD (Am) Act, 2025

7	Appointment in execution of a power, whether of trustees or of property	15,000/=	15,000/=	15,000/=
8	Appraisalment or valuation made otherwise than under an order of court-of the total value	NIL	NIL	NIL
9	Apprenticeship deed	15,000/=	15,000/=	15,000/=
10	Articles of association of a company except the articles of association of a special purpose vehicle incorporated for the purposes of issuing or purchasing an Islamic bond; ⁷⁸³	15,000/=	15,000/=	15,000/=
11	Assent to bequest whether under hand or seal	15,000/=	15,000/=	15,000/=
12	Award by arbitrator or umpire	15,000/=	15,000/=	15,000/=
13	Bill of exchange not being a bond, bank note or currency note	15,000/=	15,000/=	15,000/=
14	Bill of lading (including a thorough bill of lading)	NIL	NIL	NIL
15	Bill of sale	15,000/=	15,000/=	15,000/=
16	Bond (not being a debenture)	15,000/=	15,000/=	15,000/=
17	Cancellation—instrument of	15,000/=	15,000/=	15,000/=
18	Capital duty			
	(a) on nominal share capital or any increase of it of any company incorporated in Uganda with limited liability, <i>but does not include shares acquired by investors</i>	0.5%	0.5%	0.5%

⁷⁸³ Substituted by SD (Am) Act, 2023

	<i>in a private equity or venture capital fund regulated under the Capital Markets Authority Act, Cap.84, or shares acquired by a private equity or venture capital fund regulated under the Capital Markets Authority Act, Cap.84⁷⁸⁴— of the total value</i>			
	(b) on increase of share capital of any company when the increase is a condition precedent for disbursement of loan funds for a development project	NIL	NIL	NIL
	(c) on becoming public through the operation of the stock exchange	NIL	NIL	NIL
	(d) on nominal share capital or any increase of it of a special purpose vehicle incorporated for the purposes of issuing or purchasing an Islamic bond; ⁷⁸⁵	NIL	NIL	NIL
	(e) On nominal share capital or any increase of share, acquired by an investor in a private equity or venture capital fund regulated under the Capital Markets Authority Act, Cap.84, or by a private equity or venture capital fund regulated under	-	NIL	NIL

⁷⁸⁴ Inserted by Stamp Duty (Amendment) Act, 2024

⁷⁸⁵ Inserted by Stamp Duty (Amendment) Act, 2023

	the Capital Markets Authority Act, Cap.64[84] ⁷⁸⁶			
19	Caveat (under the Registration of Titles Act or any other law relating to the registration of title to land)	15,000/=	15,000/=	15,000/=
20	Certificate of sale (in respect of each property put up as a separate lot and sold)	15,000/=	15,000/=	15,000/=
21	Charter party (instrument for charter hire or vessel or part of it)	15,000/=	15,000/=	15,000/=
22	Cheque	NIL	NIL	NIL
23	Composition deed (instrument of conveyance of property by a debtor for the benefit of his creditors)—of the total value	1%	1%	1%
24	Conveyance (not being transfer)—of the total value	15,000/=	15,000/=	15,000/=
25	Copy of extract	15,000/=	15,000/=	15,000/=
26	Counterfeit or duplicate of an instrument chargeable with duty and in respect of which the property duty has been paid	15,000/=	15,000/=	15,000/=
27	Debenture—whether a mortgage debenture or not, being of a marketable security—of the total value	NIL	NIL	NIL
28	Deed; <i>except a deed for the establishment of a special purpose vehicle as a partnership or trust for the</i>	15,000/=	15,000/=	15,000/=

⁷⁸⁶ Inserted by Stamp Duty (Amendment) Act, 2024

	<i>purposes of issuing or purchasing an Islamic bond;</i> ⁷⁸⁷			
29	Divorce— (any instrument by which any person effects the dissolution of marriage)	15,000/=	15,000/=	15,000/=
30	Equitable mortgage—of the total value	NIL	NIL	NIL
31	Exchange of property—of the total value	2%	2%	2%
32	Extract	15,000/=	15,000/=	15,000/=
33	Further charge—any instrument imposing a further charge on mortgaged property—of the total value	NIL	NIL	NIL
34	Gift— instrument of not being a settlement or will or transfer— of the total value	1%	1%	1%
35	Hire purchase agreement—of the total value	1%	1%	1%
36	Bank guarantees, insurance performance bonds, indemnity bonds and similar debt instruments [INDEMNITY BOND] ⁷⁸⁸	100,000/=	100,000/=	100,000/=
37	Instrument – for any loan [a loan not exceeding Uganda shillings three million] ⁷⁸⁹	NIL	NIL	NIL
38	Lease—of the total value	1%	1%	1%
39	Letter of credit—an instrument by which one-person authorises another to give	15,000/=	15,000/=	15,000/=

⁷⁸⁷ Substituted by Stamp Duty (Amendment) Act, 2023

⁷⁸⁸ Substituted by Stamp Duty (Amendment) Act, 2019

⁷⁸⁹ Substituted by Stamp Duty (Amendment) Act, 2020

	credit to the person in whose favour it is drawn			
40	Letter of licence—any agreement between a debtor and his creditors that the latter shall for a specified time, suspend their claims and allow the debtor to carry on business at his own discretion	15,000/=	15,000/=	15,000/=
41	Memorandum of association of a company; <i>except the memorandum of association of a special purpose vehicle incorporated for the purposes of issuing or purchasing an Islamic bond;</i> ⁷⁹⁰	15,000/=	15,000/=	15,000/=
42	(a) Mortgage deed- of the total value. A mortgagor who gives a power of attorney to collect rents or a lease of the property mortgaged is deemed to give possession within the meaning of this item.	0.5%	0.5%	NIL
	(b) Where a collateral or auxiliary or additional or substituted security is given by way of further assurance where the principal or primary security is duly stamped	15,000/=	15,000/=	NIL
43	Mortgage of a crop—including any instrument endorsement, note, attestation, certificate or entry not being protest of a bill of note, made or signed by a notary public in the execution	15,000/=	15,000/=	NIL

⁷⁹⁰ Substituted by Stamp Duty (Amendment) Act, 2023

	of the duties of his or her office, or by other person lawfully acting as a notary public			
44	Notarial act—made or signed by a notary public in the execution of the duties of his or her office, or by any other person lawfully acting as a notary public	15,000/=	15,000/=	15,000/=
45	Note or memorandum—sent by a broker or agent to his principal intimating the purchase or sale on account of such principal of any goods stock or marketable security	15,000/=	15,000/=	15,000/=
46	Partition	15,000/=	15,000/=	15,000/=
	(a) Partnership; except a partnership of a special purpose vehicle incorporated for the purposes of issuing or purchasing an Islamic bond; ⁷⁹¹	15,000/=	15,000/=	15,000/=
	(b) Dissolution of partnership; except a partnership of a special purpose vehicle incorporated for the purposes of issuing or purchasing an Islamic bond; ⁷⁹²	15,000/=	15,000/=	15,000/=
48	(a) Policy of insurance, including a policy of takaful; ⁷⁹³	35,000/=	35,000/=	35,000/=

⁷⁹¹ Substituted by Stamp Duty (Amendment) Act, 2023

⁷⁹² Substituted by Stamp Duty (Amendment) Act, 2023

⁷⁹³ Substituted by Stamp Duty (Amendment) Act, 2023

	(b) Life insurance, including family takaful ⁷⁹⁴	NIL	NIL	NIL
	(c) Agricultural Insurance Policy ⁷⁹⁵	NIL	NIL	NIL
49	Power of attorney	15,000/=	15,000/=	15,000/=
50	Promissory note	15,000/=	15,000/=	15,000/=
51	Protest of bill or note—any declaration in writing made by a notary public, attesting the dishonor of a bill of exchange or promissory note	15,000/=	15,000/=	15,000/=
52	Receipt—as defined by section 1 for any money or other property the amount of value exceeds Shs. 50,000	15,000/=	15,000/=	15,000/=
53	Reconveyance of mortgaged property—of the total value	15,000/=	15,000/=	15,000/=
54	Release—any instrument not being such a release as is provided for by section 25(2) by which a person renounces a claim upon another person or against any specified property	15,000/=	15,000/=	15,000/=
55	Respondentia bond—any instrument securing a loan on the cargo laden on board a ship and making repayment contingent on the arrival of the cargo at the port of entry	15,000/=	15,000/=	15,000/=
56	Security bond or mortgage deed—executed by way of security for the due execution	NIL	NIL	NIL

⁷⁹⁴ Substituted by Stamp Duty (Amendment) Act, 2023

⁷⁹⁵ Substituted by Stamp Duty (Amendment) Act, 2022

	of an office, or to account for money or other property received by virtue of security bond or mortgage deed executed by surety to secure a loan or credit facility ⁷⁹⁶ of entry ⁷⁹⁷ total value.			
57	Instrument of settlement or an instrument revoking the settlement, including a deed of dower; except an instrument of settlement from a person licensed to carry on Islamic financial business to a customer under equity or partnership financing; ⁷⁹⁸	15,000/=	15,000/=	15,000/=
58	Share warrants—to bearer issued under the Companies Act—of the total value	1%	1%	1%
59	Shipping order—for or relating to the conveyance of goods on board any vessel	15,000/=	15,000/=	15,000/=
60	Solemn or statutory declaration	15,000/=	15,000/=	15,000/=
61	Strategic investment projects The stamp duty chargeable in respect of an instrument executed by, or on behalf of a company or Government for the sole purpose of implementing the following strategic investment projects- (a) developers of an industrial park or free zone whose	NIL	NIL	NIL

⁷⁹⁶ Substituted by Stamp Duty (Amendment) Act, 2022

⁷⁹⁷ Substituted by Stamp Duty (Amendment) Act, 2021

⁷⁹⁸ Substituted by Stamp Duty (Amendment) Act, 2023

	investment capital is at least USD 50,000,000- (i) debenture; whether a mortgage debenture or not, being of a marketable security- of the total value; (ii) further charge; any instrument imposing a further charge on a mortgaged property- of the total value; (iii) lease of land- of the total value; (iv) increase of share capital; (v) transfer of land; (vi) an agreement to provide services on conducting a feasibility study or developing a design for construction;			
	(b) an operator within an industrial park or free zone or an operator of a single factory or other business outside the industrial park who meets the following requirements- (i) a minimum investment capital of USD 10,000,000 in the case of a foreigner, or USD 300,000 in the case of a citizen; or USD 150,000, for a citizen	NIL	NIL	NIL

	whose investment is placed up country⁷⁹⁹ (ii) carries on business in agro-processing, food processing, medical appliances, building materials, light industry, automobile manufacturing and assembly, household appliances, furniture, logistics and warehousing, information technology or commercial farming; tyres, footwear, mattresses or toothpaste;⁸⁰⁰ (iii) capacity to use at least 80% of the locally produced raw materials, subject to availability;⁸⁰¹ (iv) employs at least 80% of its employees being citizens earning an aggregate wage of at least 80% of the total wage bill;⁸⁰² (v) provides for substitution of thirty percent of the value of imported products— (A) debenture; whether a			
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⁷⁹⁹ Substituted by Stamp Duty (Amendment) Act, 2020

⁸⁰⁰ Inserted by Stamp Duty (Amendment) Act, 2020

⁸⁰¹ Substituted by Stamp Duty (Amendment) Act, 2024

⁸⁰² Substituted by Stamp Duty (Amendment) Act, 2020 and reinstated by Stamp Duty (Amendment) Act, 2024

	mortgage debenture or not, being of a marketable security - of the total value; (B) further charge; any instrument imposing a further charge on a mortgaged property- of the total value; (C) lease of land— of the total value; (D) increase of share capital; (E) transfer of land;			
	(c) hotel or tourism facility whose investment capital is USD 8,000,000 with a room capacity exceeding one hundred guests- (i) debenture; whether a mortgage debenture or not, being of a marketable security - of the total value; (ii) further charge; any instrument imposing a further charge on a mortgaged property- of the total value; (iii) lease of land- of the total value;	NIL	NIL	NIL

	(iv) increase of share capital; (v) transfer of land; (vi) an agreement to provide services on conducting a feasibility study or developing a design for construction;			
	(d) hospital facility developer whose investment capital is at least USD 5,000,000 and who develops a hospital with capacity to provide specialised medical care- (i) debenture; whether a mortgage debenture or not, being of a marketable security - of the total value; (ii) further charge; any instrument imposing a further charge on a mortgaged property- of the total value; (iii) lease of land- of the total value; (iv) increase of share capital; (v) transfer of land; (vi) an agreement to provide services on conducting a feasibility study or developing a design for construction.	NIL	NIL	NIL

	(e) technical or vocational institute operator whose investment capital is at least USD 10,000,000 in the case of a foreigner or USD 1,000,000 in the case of a citizen—⁸⁰³ (i) debenture; whether a mortgage debenture or not, being of a marketable security - of the total value; (ii) further charge; any instrument imposing a further charge on a mortgaged property- of total value; (iii) lease of land - of the total value; (iv) increase of share capital; (v) transfer of land; (vi) an agreement to provide services on conducting a feasibility study or developing a design for construction;	NIL	NIL	NIL
	(f) a manufacturer, other than a manufacturer referred to in item 61(b)—⁸⁰⁴ (i) in case of a new manufacturer who, subject	NIL	NIL	NIL

⁸⁰³ Inserted by Stamp Duty (Amendment) Act, 2019

⁸⁰⁴ Inserted by Stamp Duty (Amendment) Act, 2021

	to availability, has capacity to use at least 70% of the locally produced raw materials, and employs at least 70% citizens with an aggregate wage of at least 70% of the total wage bill of the new manufacturer and whose investment capital is, at least USD 35,000,000⁸⁰⁵; or (ii) in the case of an existing manufacturer who, subject to availability, has capacity to use at least 70% of the locally produced raw materials, and employs at least 70% citizens with an aggregate wage of at least 70% of the total wage bill of the existing manufacturer from the date on which the manufacturer makes an additional investment equivalent to USD 35,000,000 ⁸⁰⁶— (A) debenture; whether a mortgage debenture or not, being of a marketable security - of the total value; (B) further charge; any instrument imposing a further charge on a mortgaged property- of the total value;			
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⁸⁰⁵ Substituted by Stamp Duty (Amendment) Act, 2022

⁸⁰⁶ Substituted by Stamp Duty (Amendment) Act, 2022

	(C) lease of land— of the total value; (D) increase of share capital; (E) transfer of land; (F) an agreement to provide services on conducting a feasibility study or developing a design for construction.			
	(g) Manufacturer of an electric vehicle, electric battery or electric vehicle charging equipment or fabricator of the frame and body of an electric vehicle who meets the following requirements-⁸⁰⁷ (i) a minimum investment capital of USD 10,000,000 in case of a foreigner, or USD 300,000 Dollars in case of a citizen or USD 150,000 in case of a citizen who invests up country; (ii) capacity to use at least 80% of the locally produced raw materials, subject to availability; (iii) Employs at least 80% of its employees being citizens earning an aggregate wage of at	NIL	NIL	NIL

⁸⁰⁷ Inserted by Stamp Duty (Amendment) Act, 2024

	least 80% of the total wage bill; and (iv) Provides for substitution of at least 30% of the value of imported products (aa) debenture; whether a mortgage debenture or not, being of a marketable security- of the total value; (ab) further charge; any instrument imposing a further charge on a mortgaged property- of the total value; (ac) lease of land- of the total value; (ad) increase of share capital; (ae) transfer of land			
62	Surrender of lease	15,000/=	15,000/=	15,000/=
63	Transfer—	1.5%	1.5%	1.5%
	(a) of the total value			
	(b) transfer of shares in an incorporated company listed on the stock exchange, arising from the trading of those shares on the stock exchange.	0.5%	0.5%	0.5%
	(c) of assets to special purpose vehicles for the purpose of	NIL	NIL	NIL

	issuing asset-backed securities			
	(d) of an asset or land from the vendor to a person licensed to carry on Islamic financial business or to a borrower, in the case of sale-based financing, lease-based agreement or currency exchange contract for purposes of facilitating Islamic financial business. ⁸⁰⁸	NIL	NIL	NIL
	(e) of an asset or land from a special purpose vehicle for the purposes of an Islamic bond to a beneficiary in the case of sale-based financing or lease-based agreement for purposes of facilitating Islamic financial business. ⁸⁰⁹	NIL	NIL	NIL
	(f) of shares or other securities, to or by an investor in a private equity or venture capital fund regulated under the Capital Markets Authority Act, Cap.64[84], or of shares or other securities to or by a private equity or venture capital fund regulated under the Capital Markets Authority Act, Cap.64[84] ⁸¹⁰	-	NIL	NIL
64	Trust—concerning any property made by any writing including	15,000/=	15,000/=	15,000/=

⁸⁰⁸ Inserted by Stamp Duty (Amendment) Act, 2023

⁸⁰⁹ Inserted by Stamp Duty (Amendment) Act, 2023

⁸¹⁰ Inserted by Stamp Duty (Amendment) Act, 2024

	a transfer from a holder of letters of administration or Probate to a beneficiary ⁸¹¹			
65	Professional licence or certificate ⁸¹²	100,000/=	100,000/=	100,000/=
66	Any other instrument not specifically mentioned	15,000/=	15,000/=	15,000/=

⁸¹² Inserted by Stamp Duty (Amendment) Act, 2020

*Schedule 3**Section 9***EXPENSE OF PROVIDING THE PROPER STAMP**

1. In the absence of an agreement to the contrary, the expense of providing the proper stamp shall be borne, in the case of an instrument described in Schedule 2 to this Act, by the person drawing, making or executing the instrument.
2. Without prejudice to paragraph (1), the expense of providing the proper stamp shall be borne—
 - (a) in the case of a policy of insurance other than a fire insurance, by the person effecting the insurance;
 - (b) in the case of a policy of fire insurance, by the person effecting the insurance;
 - (c) in the case of a conveyance, including a re-conveyance of mortgaged property, by the grantee;
 - (d) in the case of a lease or agreement to lease, by the lessee or intended lessee;
 - (e) in the case of a counterpart of a lease, by the lessor;
 - (f) in the case of an instrument of exchange, by the parties in equal shares;
 - (g) in the case of a certificate of sale, by the purchaser of the property to which the certificate relates;
 - (h) in the case of an instrument of partition, by the parties to it in proportion to their respective shares in the whole property partitioned, or, when the partition is made in execution of an order passed by a civil court or arbitrator, in such proportion as the court or arbitrator directs;
 - (i) in the case of a transfer of shares in an incorporated company or other body corporate, by the purchaser or transferee;
 - (j) in the case of a transfer of debentures, being marketable securities, whether the debenture is liable to duty or not, by the purchaser or transferee; and
 - (k) in the case of a transfer of any interest secured by bond, mortgage, deed or policy of insurance, by the purchaser or transferee.

History: Act 13/2014; Act 15/2016; Act 6/2018; Act 10/2019; Act 25/2020;

Act 9/2021; Act 10/2022; Act 21/2023

Cross References

Bills of Exchange Act, Cap. 281

Companies Act, Cap. 106

Financial Institutions Act, Cap.57

Income Tax Act, Cap.338

Registration of Titles Act, Cap. 240

Tax Appeals Tribunals Act, Cap.341

Uganda Revenue Authority Act, Cap. 218

Value Added Tax Act, Cap.344

CHAPTER 334
THE LOTTERIES AND GAMING ACT
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CHAPTER 334

THE LOTTERIES AND GAMING ACT

Commencement: 8 April, 2016

An Act to provide for conduct of lotteries, gaming, betting and casinos; to

provide for the establishment of the National Lotteries and Gaming Regulatory Board; to provide for licensing and regulation of lotteries, gaming or betting; to provide for taxation of casinos, gaming or betting activities and for related matters.

PART I—INTERPRETATION

1. Interpretation

In this Act, unless the context otherwise requires—

“agent of a licensee” means an agent appointed or approved in accordance with the conditions of the licence held by the licensee;

“betting” means making or accepting a bet on—

- (a) the outcome of a race, competition or other event or ~~process~~
- (b) the likelihood of anything occurring or not occurring; or
- (c) whether anything is or is not true.

“betting intermediary” means a person who provides a service designed to enable any other person to make or accept bets;⁸¹³

“Board” means the National Lotteries and Gaming Regulatory Board;

“casino” means a private club, or a room in a club, hotel, or other ~~establishment~~, where gambling takes place or a place where people gamble by playing card games, roulette, or slot machines, which has been issued with a licence under this Act;

“Commissioner” means the Commissioner General appointed under the Uganda Revenue Authority Act;

“conducting a public lottery” includes promoting, organising and operating a public lottery;

“currency point” has the value assigned to it in Schedule 1 to this Act;

“gaming” means the playing of a game of chance for winnings in money or money’s worth and for the avoidance of doubt, ~~includes~~ gambling;

“gaming or betting machine or device” means any equipment or mechanical, electromechanical or electronic contrivance, component or machine; or software used remotely or directly in connection with gaming or betting or any game ~~which~~ affects the result of a wager by determining a win or ~~loss~~

“licence” means a licence issued under this Act;

⁸¹³ Inserted by Lotteries and Gaming (Amendment) Act, 2018

“lottery” includes any game, scheme or arrangement, system, plan, promotional competition or device for distributing prizes or property by lot or chance, whether by throwing or casting of dice, tickets, cards, lots, numbers or figures;

“Minister” means the Minister responsible for finance;

“minor” means a person below twenty-five years;

“national lottery” means lottery conducted by or on behalf of the Minister responsible for finance with the view of raising funds for a purpose defined by the Minister;

“numbers” include—

- (a)symbols;
- (b)a single number or symbol;
- (c)a group or groups of numbers or of symbols or of numbers and symbols;
- (d)a combination or combinations of numbers or of symbols or of numbers and symbols; or
- (e)a distribution or distributions of numbers or of symbols or of numbers and symbols; and

a person chooses numbers if the person chooses the numbers personally or if the numbers are chosen for the person;

“pool” means any competition organized for gain, in which for monetary or other material regard, the public is invited to forecast or tell the result of any game, race, or event and includes a pool operated on the system known as fixed odds betting on the results of that game, race or event;

“pool bet” means any stake or wager in a pool, whether in money or money’s worth and includes any portion of that stake or wager;

“prize” means the prize awarded to the winner of a lottery;

“promotional competition” means a lottery, game or contest conducted for the purpose of promoting the sale or use of any goods or services;

“public lottery” means a lottery conducted in the public interest and for no private gain for a period determined by the Board;⁸¹⁴

[public lottery includes –

⁸¹⁴ Substituted by Lotteries and Gaming (Amendment) Act, 2018

- (a) a game of chance, including a game such as draw lottery or bingo, in which –
 - (i) a person chooses or is allocated numbers;
 - (ii) certain numbers are subsequently selected at random as prizewinning numbers, and
 - (iii) prizes are distributed to persons holding the prizewinning numbers;
- (b) a game of chance including an instant lottery in which –
 - (i) certain numbers are designated as prizewinning numbers;
 - (ii) persons are allocated numbers that have previously been selected at random;
 - (iii) prizes are distributed to persons holding the prizewinning numbers;
- (c) a game of chance such as lotto, keno or power ball in which persons choose or attempt to forecast, from designated numbers, fewer numbers to be drawn on a random basis; or
- (d) the game known as soccer football pool in which persons choose or attempt to forecast, from designated numbers, fewer numbers that represent the outcome of soccer football matches;]

“wager” means a sum of money or representative of value that is risked on an occurrence for which the outcome is uncertain.

PART II— NATIONAL LOTTERIES AND GAMING REGULATORY BOARD

National Lotteries and Gaming Regulatory Board

2. Establishment of National Lotteries and Gaming Regulatory Board

- (1) There is established a board known as the National Lotteries and Gaming Regulatory Board.
- (2) The Board is a body corporate with perpetual succession and a common seal and may for the discharge of its functions under this Act—
 - (a) sue and be sued in its corporate name;
 - (b) acquire, hold, manage and dispose of movable and immovable property; and
 - (c) do all acts and things a body corporate may lawfully do.

- (3) The application of the seal of the Board on any document shall be authenticated by the signatures of the Chairperson of the Board and the Chief Executive Officer, and in the absence of the Chairperson, by any two members of the Board, and the Chief Executive Officer.
- (4) Every document purporting to be an instrument issued by the Board, sealed with the seal of the Board and authenticated in accordance with subsection (3), shall be deemed to be an instrument of the Board and shall be received in evidence without further proof.

3. Objective of Board

The objective of the Board is to supervise and regulate the establishment, management and operation of lotteries, gaming, betting and casinos in Uganda, and to protect the citizens from the adverse effects of gaming or betting in Uganda.

4. Functions of Board

The Board shall—

- (a) regulate and supervise the establishment, management and operation of lotteries, gaming, betting and casinos in Uganda;
- (b) license casinos in Uganda;
- (c) license persons operating in a casino and any other employee of a casino;
- (d) approve devices or equipment for lotteries, gaming, betting and casinos;
- (e) designate and license premises for lotteries, gaming, betting and casinos;
- (f) collect lottery, gaming, betting, and the casino tax from both the owners and the gamblers;
- (g) approve games that may be made available for casinos, lotteries, gaming or betting;
- (h) approve and set standards for the supply, installation or adaptation of gaming or betting software;
- (i) participate and contribute to good causes in accordance with this Act;
- (j) protect members of the public from adverse effects of gaming or betting including the promotion of transparency and accountability;
- (k) implement Government policy relating to lotteries, gaming, betting and casinos;
- (l) promote public awareness of the gaming or betting industry;

- (m) receive, investigate and arbitrate complaints relating to lotteries, gaming, betting and casinos and take appropriate action;
- (n) advise and make recommendations to the Minister on matters relating to lotteries, gaming, betting and casinos; and
- (o) perform any other function conferred upon the Board under this Act.

5. Powers of Board

- (1) To carry out its objectives, the Board may exercise, perform and discharge any of the following powers—
 - (d) control, supervise and administer the assets of the Board in such manner and for the purposes of promoting the purpose for which the Board is established;
 - (e) conduct any investigation or inquiry relevant to the gaming or betting industry in Uganda;
 - (f) conduct any inspection and examination of books of accounts, records, returns and any document or premises of a licensed person;
 - (g) issue guidelines, directives or instructions to any licensed person for the proper management of a casino, lottery, or game;
 - (h) search the premises of any licensed person in accordance with this Act;
 - (i) delegate any of the powers of the Board other than the powers of revocation, licensing, delegation or variation of such delegation; and
 - (j) do such other things to ensure efficiency in the management of casinos, lottery, or gaming;
 - (k) to seize and confiscate unlicensed equipment or devices;⁸¹⁵
 - (l) to enter and search any premises where gaming or betting is taking place with a search warrant;
 - (m) to direct the closure of any non-compliant gaming or betting premises;
 - (n) to levy express fines; and
 - (o) to designate an inspector of the Board.
- (2) The levy imposed under subsection (1)(k) shall be collected by the Uganda Revenue Authority and remitted to the consolidated fund.

6. Composition of Board

⁸¹⁵ Paragraph (h)-(l), subsection 2 inserted by the Lotteries and Gaming (Am) Act, 2018

- (1) The Board shall consist of—
 - (a) a representative of the Ministry responsible for finance appointed by the Permanent Secretary;
 - (b) a representative of the Ministry responsible for internal affairs appointed by the Permanent Secretary;
 - (c) three persons, not being public officers, who are knowledgeable and experienced in matters relating to the administration of casinos, gaming, betting and private sector management; and
 - (d) the Chief Executive Officer who is an *ex officio* member.
- (2) A person shall not be eligible for appointment if the person is an employee or director of any company, firm or institution where the employment or directorship may lead to a conflict of interest.
- (3) The Minister shall appoint a Chairperson from among the members appointed in subsection (1) (c).
- (4) The members of the Board shall hold office on terms and conditions specified in their instruments of appointment.
- (5) The Minister shall, in appointing the members of the Board, ensure that there is a balance of gender, skills and experience.
- (6) The members of the Board shall be persons of high moral character, proven integrity and shall be fit and proper persons.

7. Tenure of office of members of Board

- (1) A member of the Board, other than the Chief Executive Officer, shall hold office for three years and shall be eligible for re-appointment for one further term only.
- (2) A member of the Board may, at any time, resign his or her office in writing addressed to the Minister.
- (3) A member of the Board may be removed from office by the Minister for —
 - (a) inability to perform the functions of his or her office arising from infirmity of body or mind;
 - (b) misbehavior or misconduct;
 - (c) incompetence or conflict of interest;
 - (d) absence, without prior permission of the Chairperson, or without reasonable cause to the satisfaction of the Minister for more than four consecutive meetings of the Board, or absence from Uganda for more

than six months;

- (e) being bankrupt or insolvent or entering into a composition scheme with his or her creditors; or
 - (f) being convicted of a criminal offence, in Uganda or outside Uganda, in respect of which the maximum penalty exceeds six months imprisonment without the option of a fine.
- (4) A person representing an institution may be withdrawn from the Board by that institution in accordance with the laws governing that institution.
 - (5) Where a member of the Board resigns, dies, is removed from office or ceases to be a member of the institution or body which he or she represents on the Board, the Chairperson shall notify the Minister of the vacancy and the Minister shall appoint another person to hold the office for the unexpired portion of the member's term of office.
 - (6) Where the member of the Board referred to in subsection (5) is the Chairperson, the secretary to the Board shall notify the Minister of the vacancy and the Minister shall appoint another person, being a member of the Board, to hold office for the unexpired portion of the Chairperson's term of office.
 - (7) Where a member of the Board is under investigation for an offence involving dishonesty, fraud or moral turpitude, the member shall not perform his or her duties as a member of the Board until investigations are concluded.

8. Meetings of Board

- (1) The Board shall meet at least once every three months for the purposes of discharging the functions of the Board.
- (2) The meetings of the Board shall be conducted in accordance with Schedule 2 to this Act.

9. Remuneration of members of Board

A member of the Board shall be paid allowances determined by the Minister.

Staff of Board

10. Secretariat of Board

- (1) The Board shall have a secretariat, headed by a Chief Executive Officer.
- (2) Subject to section 11(1), the Board shall appoint other staff as may be necessary for the proper and efficient discharge of the objects and functions of the Board under this Act.
- (3) The secretariat shall have such functions as may be assigned to it by the

Board.

- (4) The staff appointed under subsection (2) shall be paid such remuneration and allowances as the Board may determine.

11. Chief Executive Officer

- (1) The Board shall have a Chief Executive Officer who shall be appointed by the Minister on recommendation of the Board, on terms and conditions specified in the instrument of appointment.
- (2) A person shall not be appointed Chief Executive Officer unless that person—
 - (a) has academic or professional qualifications in accounting, finance, economics, law, taxation and private sector corporate management with experience and competence to manage the affairs of the Board; and
 - (b) is a person of high moral character and proven integrity.
- (3) The Chief Executive Officer shall be an *ex officio* member of the Board.

12. Functions of Chief Executive Officer

- (1) The Chief Executive officer is responsible for the day to day operations and administration of the Board.
- (2) Subject to this Act and to the general supervision and control of the Board, the Chief Executive officer is responsible for—
 - (a) implementing the objectives, policies and programmes of the Board;
 - (b) the proper management of the funds and property of the Board;
 - (c) the organisation, control and discipline of the staff of the Board;
 - (d) the development of an operational plan to guide the Board;
 - (e) the development of an economic, efficient and cost effective internal management structure; and
 - (f) performing any other function which may be assigned to him or her by the Board.
- (3) The Chief Executive Officer is, in the performance of his or her functions, answerable to the Board.

13. Tenure of office of Chief Executive Officer

- (1) The Chief Executive Officer shall hold office for five years and is eligible for re-appointment for one more further term only.

- (2) The Chief Executive Officer shall cease to hold office if—
- (a) he or she resigns;
 - (b) he or she is declared bankrupt or insolvent, or has made an agreement with his or her creditors;
 - (c) he or she is convicted of an offence involving dishonesty, fraud or moral turpitude;
 - (d) he or she is removed from office by the Minister on the recommendation of the Board for—
 - (i) inability to perform the functions of his or her office;
 - (ii) infirmity of body or mind;
 - (iii) misbehaviour or misconduct; or
 - (iv) incompetence.

14. Exemption from personal liability

A member or staff of the Board shall not, in his or her personal capacity, be liable in civil proceedings in respect of any act or omission done in good faith in the performance of his or her functions under this Act.

PART III—FINANCIAL AND OTHER MATTERS

15. Funds of Board

- (1) The funds of the Board shall be appropriated by Parliament for the purposes of the Board.
- (2) The Board shall collect—
- (a) the proceeds from the national lottery after deducting the expense of conducting the lottery; and
 - [(b) one percent of the annual turnover of every lottery, gaming or betting business licenced under this Act;]⁸¹⁶
 - (b) licence, application fees and any other fees.
- (3) The money collected in subsection (2) shall be remitted to the Consolidated Fund in accordance with the Public Finance Management Act.

16. Power to open bank accounts

The Board shall with the approval of the Minister and in accordance with the Public Finance Management Act open and maintain such bank accounts as are

⁸¹⁶ Repealed by Lotteries and Gaming (Am) Act, 2018

necessary for the exercise of the functions of the Board; and shall pay into them—

- (p) all money received from Government for the purposes of this Act; and
- (q) all other money received by the Board in the exercise of the functions of the Board under this Act.

17. Borrowing powers

The Board may, in accordance with the Public Finance Management Act, borrow money from any source as may be required for meeting the obligations, or discharging the functions of the Board under this Act.

18. Estimates of income and expenditure

The Board shall in accordance with the Public Finance Management Act cause to be prepared and submitted to the Minister for approval, estimates of the income and expenditure of the Board and the operating plan of the Board for the next financial year.

19. Financial year

The financial year of the Board is the period of twelve months commencing on the 1st day of July and ending on the 30th day of June of the following year.

20. Accounts

The Board shall—

- (r) keep books of accounts in accordance with generally accepted accounting practice;
- (s) prepare an annual financial statement stating the basis of accounting indicating any significant departure from the accounting practice and the reasons for the departure.

21. Audit of accounts

- (1) The accounts of the Board shall, in each financial year, be audited and reported upon by the Auditor General or an auditor appointed by the Auditor General.
- (2) The Board shall, in accordance with the Public Finance Management Act submit the accounts and estimates of income and expenditure of the Board to the Auditor General or an auditor appointed by the Auditor General.
- (3) The auditor shall have access to all books of accounts, vouchers and other records of the Board and is entitled to any information and explanation required in relation to those records.

22. Annual report

The Board, shall at the end of each financial year, submit to the Minister, an annual report on the operations of the Board during the preceding year, which shall include an audited financial statement.

PART IV—LICENSING AND REGULATION OF LOTTERIES.

National lottery

23. Licence to conduct the national lottery

- (1) The Board shall before recommending to the Minister to issue a licence to conduct the national lottery satisfy itself that the person is fit and proper to conduct a national lottery.
- (2) For the purposes of satisfying itself that a person is fit and proper to conduct a national lottery, the Board shall take into account the following—
 - (a) the experience and knowledge of the person relating to lotteries or the conduct of national lotteries;
 - (b) the adequacy of financial and other resources of the person;
 - (c) the character or experience of any person who is likely to manage the lottery;
 - (d) the ability of the person to protect the interests of the public during the conduct of the national lottery;
 - (e) whether granting the licence is in the public interest; and
 - (f) any other matter prescribed by the Minister.
- (3) A licence to conduct the national lottery shall be in the prescribed form and shall be issued subject to terms and conditions prescribed by regulations made under this Act.

Public lotteries

24. Licence to conduct a public lottery

- (1) A person shall not conduct a public lottery without a licence issued by the Board.
- (2) An application for a licence to conduct a public lottery shall be made to the Board in accordance with regulations made by the Board and shall be accompanied by the prescribed fees.
- (3) A licence to conduct a public lottery shall be issued subject to terms and conditions prescribed by regulations made under this Act.

- (4) This section does not apply to a lottery promoted as an incident of a bazaar, sale of work, dinner, dance, sporting event, fete or other entertainment of a similar character where—
 - (a) none of the prizes in the lottery is in monetary terms;
 - (b) the total value of the prizes does not exceed fifty currency points;
 - (c) the proceeds of the entertainment, including the proceeds of the lottery, after deducting—
 - (i) the expenses of the entertainment, excluding expenses other than for prizes incurred in connection with the lottery; and
 - (ii) the expenses incurred in printing tickets of the lotteries, shall be devoted to a social, charitable or sporting purpose and not for private gain;
 - (d) the result of the lottery is declared on the premises on which the entertainment takes place and during the progress of the entertainment.

Regulation of lotteries

25. Lottery rules

- (1) A person licensed to conduct a lottery under this Act, shall before conducting the lottery make rules regulating the conduct of the lottery.
- (2) The rules shall be kept or exhibited in a conspicuous place of the licensed premises.
- (3) The lottery rules shall provide for the matters specified in Schedule 3 to this Act.
- (4) The rules made under this section shall not be issued unless they are approved by the Board.
- (5) All rules regulating the conduct of a lottery shall be published by the person conducting the lottery at least fourteen days before the lottery, in a newspaper widely circulating in the area where the lottery is to be conducted.

PART V—CASINO, GAMING OR BETTING LICENCES

26. Casino, gaming or betting licence

A person shall not establish or operate a casino or provide a gaming or betting machine without a licence issued under this Act.

27. Board to issue licences

- (1) The Board may issue a casino, gaming or betting licence.
- (2) The Board may issue the following operating licences—
 - (a) a licence to operate a casino, or a casino operating licence;
 - (b) a licence to provide facilities for playing bingo, or a bingo operating licence;
 - (c) a licence to provide facilities for betting other than pool betting, or a general betting operating licence;
 - (d) a licence to provide facilities for pool betting, or a pool betting operating licence;
 - (e) a licence to act as a betting intermediary, or a betting intermediary operating licence;
 - (f) a licence to make gaming or betting machines available for use in a gaming or betting centre or a gaming or betting machine general operating licence;
 - (g) a licence to manufacture, supply, install, adapt, maintain or repair a gaming or betting machine, or a part of a gaming or betting machine or a gaming or betting machine technical operating licence; or
 - (h) a licence to manufacture, supply, install or adapt gambling software or a gambling software operating licence.
- (3) The Board may, in accordance with this Act, issue licences to persons employed in a casino or other gaming or betting facility licensed under this Act.
- (4) The Board may, in accordance with this Act, issue a certificate of suitability of premises to be used as a casino or for other gaming or betting operations.⁸¹⁷
- (5) The Board shall approve a franchisee of a licensee before the licensee appoints the franchisee.
- (6) The Board shall bear the costs of conducting the due diligence.
- (7) The Board may by regulations prescribe different classes in respect of each category of licence under subsection (2), in accordance with section 43.
- (8) For the avoidance of doubt, two or more licences may be combined and issued in one operating licence.

28. Licence to operate a casino

⁸¹⁷ Subsections (4-6) inserted by the LG (Am) Act, 2018

- (1) A licence to operate a casino shall specify the premises to which the licence applies.
- (2) The licence may include a condition—
 - (a) specifying the minimum number of persons that may be employed in the casino;
 - (b) restricting the class of casino game that may be made available; or
 - (c) specifying rules for the playing of a casino game or another game of chance.

29. Suitability of premises

- (1) The Board shall at the time of investigating and inquiring into an application for a licence to operate a casino, consider and approve the suitability of the premises for conducting casino and gaming or betting activities.
- (2) For the purposes of subsection (1), the Board may approve plans, diagrams and specifications for—
 - (t) the situation within the casino of gaming or betting tables and gaming or betting equipment, counting rooms, cages and other facilities provided for the operations of the casino;
 - (u) the communication facilities provided for persons monitoring operations in the casino; or
 - (v) the position and description of a surveillance system for direct visual monitoring of the operations within the casino.

30. Specific licence conditions

A licence to operate a casino or provide gaming or betting machines may include conditions specified by the Board in accordance with this Act and regulations made under this Act.

31. Licensing of certain casino employees

- (1) A casino shall not employ a person to—
 - (a) manage the casino or in a managerial capacity;
 - (b) conduct gaming or betting within the casino;
 - (c) move money or chips to patrons or within the casino;
 - (d) operate, maintain, construct or repair gaming or betting equipment,

unless that person is licensed.

- (2) The application for a licence for the persons referred to in this section may be made at the time of applying for a casino operating licence.
- (3) The application shall be in the prescribed form and shall be accompanied by the prescribed fee, the documents evidencing the competence of the person and other information that may be prescribed.

32. Casino games and rules

- (1) The Board may, by statutory order, approve the games that may be made available in a casino and the rules applying to those games.
- (2) Without prejudice to subsection (1), the Board may approve the games in respect of a particular casino at the time of considering the application for a licence to operate a casino.
- (3) A casino operator shall make a copy of the rules applicable to a game available to a patron, upon request, for inspection.
- (4) The rules shall be kept or exhibited in a conspicuous place in a casino.
- (5) An operator of a casino who makes available or allows a game which is not approved to be played in the casino commits an offence and is liable, on conviction, to ninety-six currency points or to imprisonment for a term not exceeding four years, or both.
- (6) Where a court convicts a person under subsection (5), the court shall, in addition, order the forfeiture to the State of all equipment employed in the commission of the offence.

33. Gaming or betting equipment within casinos

- (1) The Board may, in writing, approve the gaming or betting devices and equipment for use in a casino.
- (2) The Board may approve particular devices and equipment or a specified class or description of devices and equipment and may approve the devices and equipment subject to conditions determined by the Board.
- (3) The Board may investigate the devices and equipment available within a casino or proposed to be available for the purpose of determining the suitability of the devices and equipment for use in a casino.
- (4) A casino operator shall at all times keep the gaming or betting devices and equipment in a suitable condition.
- (5) For the purposes of keeping gaming or betting equipment within the casino in a suitable condition, the Board may, in writing, direct a casino operator to repair, rectify or dispose of gaming or betting equipment to the satisfaction of the Board.

PART VI—SPECIFIC PROVISIONS ON GAMING OR BETTING MACHINES

34. Specific conditions for gaming or betting machines licence

A licence to operate or make available gaming or betting machines may include conditions—

- (a) regarding the number or categories of gaming or betting machines that may be made available for use in accordance with the licence; and
- (b) that a specified gaming or betting machine may not be made available for use unless the use of the machine is approved by the Board.

35. Registration of gaming or betting machines or devices

Every gaming or betting machine or device shall be registered with the Board in accordance with this Act.

36. National register of gaming or betting machines and devices

The Board shall—

- (a) establish and maintain, in the prescribed manner, a national register of every gaming or betting machine or gaming or betting device manufactured within or imported into Uganda;
- (b) assign a permanent and unique registration number for each machine or device, which number co-relates to—
 - (i) the name of the manufacturer or importer of that machine or device;
 - (ii) the date of manufacture of that machine or device; and
 - (iii) the unique serial number assigned to that machine or device by the manufacturer;
- (c) prescribe for each gaming or betting machine or device, record the name, licence number and other particulars of—
 - (i) the registered owner; and
 - (ii) any other person who has leased that machine or device.

37. Technical standards for gaming or betting machines

- (1) The Board may, determine and set standards in respect of the manufacture, supply, installation, adaptation, maintenance or repair of gaming or betting machines.
- (2) The standards under subsection (1) may provide for—
 - (a) the nature of a game that a machine is designed to be used to play;

- (b) the way in which the results of a game are to be determined or presented;
 - (c) the nature of images or information displayed by or on a machine;
 - (d) the process of establishing results for a specified class of gaming or betting machines.
- (3) The Board may—
- (a) make arrangements with any person for the purposes of testing gaming or betting machines to ensure compliance with the required standards;
 - (b) require the holder of a gaming or betting machine technical operating licence to submit to a test and to produce specified evidence of the result of the test;
- (4) For the purpose of considering whether to grant an application for a gaming or betting machine operator's licence, require the holder of or an applicant for a gaming or betting machine technical operating licence to submit a machine to a test in accordance with this section.

38. Gaming or betting software standards

The Board may set standards in respect of supply, installation or adaptation of gaming or betting software.

PART VII—GENERAL PROVISIONS ON LICENSING

39. Minimum capital requirements

The Minister may, by regulations, prescribe minimum capital requirements for a licence under this Act.

40. Bond

- (1) The Minister may, by statutory instrument, require a licensee of a specified category or class of licence to provide a security bond in the nature and amount specified by the Minister.
- (2) The security bond shall be used by the Board to pay taxes or employees of the licensee or persons participating in any activity organised or provided by the licensee in the case of default.

41. Application for a licence

- (1) An application for a licence under this Act shall be made to the Board.
- (2) The application shall be in the prescribed form and shall—
 - (a) specify the activity for which a licence is required and the type of

licence;

- (b) where the applicant is an individual, state the age of the applicant;
- (c) where the applicant is a company, the age of the shareholders;
- (d) specify the address of the applicant;
- (e) be accompanied by the prescribed fee; and
- (f) be accompanied by the prescribed information or documents.

42. Processing of application by the Board

- (1) In considering an application for a licence under this Act, the Board shall examine the application and—
 - (a) shall take into account the suitability of the applicant to carry on the activities for which the licence is required;
 - (b) may consider the suitability of any gaming or betting machine proposed to be used in connection with the activities for which the licence is required; or
 - (c) may consider the suitability of any other equipment proposed to be used in connection with the activities for which the licence is required.
- (2) For the purposes of subsection (1)(a), the Board shall take into account—
 - (a) the integrity of the applicant or of a person relevant to the application;
 - (b) the competence of the applicant or of a person relevant to the application to carry on the licensed activities in a manner consistent with this Act; and
 - (c) the financial and other circumstances of the applicant or of a person relevant to the application, including, the resources likely to be available for the purpose of carrying on the licensed activities.
- (3) After investigating and inquiring into the matters stated in the application, the Board shall within [twenty one days] sixty days⁸¹⁸ after receiving an application—
 - (a) approve the application and issue a licence;
 - (b) reject the application; or
 - (c) approve the application and issue a licence in respect of one or more of the activities specified in the application and reject the application in respect of the other activities.
- (4) Where the Board rejects an application in whole or in part, the Board shall, within fourteen days, notify the applicant of the rejection and specify the reasons.
- (5) A person aggrieved by the decision of the Board shall appeal to the Minister.

⁸¹⁸ Substituted by the Lotteries and Gaming (Am) Act, 2018

- (6) For the purposes of subsection (3), the Chairperson shall sign the licence where the Board recommends that a licence may be issued.
- (7) The Board shall make a report to the Minister on licences issued and applications rejected.
- (8) The Board shall gazette the licences issued and the applications rejected.
- (9) The Minister shall prescribe the procedure for appeal under subsection (5).

43. General licence conditions

- (1) The Minister may, by regulations, specify the conditions to be attached to—
 - (a) each operating licence; or
 - (b) each operating licence falling within a specified class.
- (2) For the purposes of subsection (1)(b) a class may be defined wholly or partly by reference to—
 - (a) the nature of the licensed activities;
 - (b) the circumstances in which the licensed activities are carried out; or
 - (c) the nature or circumstances of the licensee or of another person involved or likely to be involved in the conduct of the licensed activities.
- (3) A condition may have the effect of restricting the activities that may be carried on by the holder of the licence by referring to—
 - (a) the nature of the activities;
 - (b) the circumstances or extent to which they are carried out;
 - (c) the facilities that shall be provided in connection with the licensed activities;
 - (d) the manner in which facilities are provided;
 - (e) the number of persons that may be employed to provide the facilities;
 - (f) the financial resources available for particular purposes to the person providing the facilities;
 - (g) maintaining financial reserves to cater for potential liabilities;
 - (h) advertising or describing the licensed activities;
 - (i) recording the identity of users of the licensed activities;
 - (j) the nature, number and specification of equipment to be used in connection with the licensed activities; or
 - (k) the premises where the licensed activities may be carried out.
- (4) For the purposes of this section, “equipment” includes—
 - (a) a computer;

- (b) a device for the playing of a casino game; and
- (c) any other piece of equipment but does not include a gaming or betting machine.

44. Form of licence

An operating licence shall be in the prescribed form and shall specify—

- (a) the person to whom the operating licence is issued;
- (b) the period during which the operating licence is valid; and
- (c) any condition attached to a licence under this Act or prescribed by statutory instrument.

45. Duration of licence

Every licence issued under this Act is valid until the 31st day of December of the year in which the licence is issued.

46. Suspension and revocation of licence

- (1) The Board may suspend or revoke a licence issued under this Act.
- (2) Without prejudice to the general effect of subsection (1), the Board may suspend or revoke a licence on the following grounds—
 - (a) serious and repeated breach of the licence conditions;
 - (b) any fraud or intentional misrepresentation by the person who applied for the licence.
- (3) Before suspending or revoking a licence, the Board shall give the licence holder fourteen days' written notice with reasons of the intended recommendation for suspension or revocation, during which the licence holder shall have an opportunity to make representations to the Board.
- (4) After considering any representations made by the licence holder, the Board may—
 - (a) prescribe a time during which the licence holder is required to remedy the offending act or conduct; or
 - (b) require the licence holder to pay a fine not exceeding ninety-six currency points.
- (5) Where the Board is satisfied that the measures under subsection (4) are not sufficient, the Board may recommend to the Minister to—
 - (a) suspend the licence for a specified period of time; or
 - (b) revoke the licence.

47. Renewal of licence

An application for renewal of a licence issued under this Act shall be made at least two months before the expiry of the licence.

PART VIII—TAXATION OF CASINOS, GAMING OR BETTING ACTIVITIES

48. Tax on casinos, gaming or betting

- (1) An operator of a casino, gaming or betting activity issued with a licence under this Act shall, in addition to taxes prescribed by law, pay a gaming tax at the rate prescribed in Schedule 4 to this Act.⁸¹⁹
- (2) The amount of tax levied under subsection (1), the intervals and the time within which the tax shall be paid shall be determined by the Minister.

49. Interest on unpaid tax

- (1) Any person who does not pay tax due on the due date shall, in addition to the tax, pay interest equal to two per cent of the outstanding amount for each week or part of the week that the tax remains unpaid.
- (2) Any interest due and payable under subsection (1) which exceeds the aggregate of the principal tax and penal tax is waived.⁸²⁰

50. Returns

- (1) A taxable person shall lodge a tax return with the Commissioner for each tax determined under section 48 by the 15th day of the following month.
- (2) The tax return shall be in a form prescribed by the Commissioner.

51. Assessment

- (1) A tax return submitted by a promoter, a principal or a person licensed under this Act shall be treated as a self-assessment issued by the Commissioner.
- (2) The Commissioner may make an assessment of the tax payable where—
 - (a) a tax payer defaults in furnishing a return under this Act; or
 - (b) the Commissioner is not satisfied by a return made by a promoter or principal or a person licensed under this Act.
- (3) Where the Commissioner makes an assessment under subsection (2)(b), the Commissioner shall state the reasons why the Commissioner is not satisfied.

52. Objection to assessment

⁸¹⁹ The rate is 20% for betting activity, and 30% for gaming activity

⁸²⁰ Subsection (2) inserted by Lotteries and Gaming (Amendment) Act, 2018

- (1) A person may object to an assessment within forty-five days from the date the assessment is served on that person.
- (2) The objection shall be addressed to the Commissioner and shall state the grounds on which the objection is based.
- (3) The Commissioner shall consider the objection and may—
 - (a) allow the objection and amend the assessment; or
 - (b) reject the objection and maintain the assessment.
- (4) Where a person objects to an assessment in part, the person shall pay the tax which is not in dispute or a lesser amount determined by the Commissioner, until the objection is determined.

53. Remission of tax

- (1) The Commissioner may refer a taxpayer's case to the Minister, where the Commissioner is of the opinion that the tax due or any part of the tax cannot be effectively recovered due to hardship, impossibility, undue difficulty or the excessive cost of recovery.
- (2) Where the Minister is satisfied that the tax due in respect of the case referred by the Commissioner cannot be effectively recovered, the Minister may remit or write off the tax.

54. Recovery of unpaid tax and interest

- (1) Tax due and any interest in respect of the tax is a debt due to the Government and may be recovered as a civil debt.
- (2) Without prejudice to subsection (1), the Commissioner may recover tax due and any interest by—
 - (a) sealing the premises used by the principal, agent or a person licensed under this Act for the purposes of a casino or gaming or betting;
 - (b) an agency notice requiring any person owing or holding money for or on behalf of the taxpayer (principal or agent) to pay the money to the Commissioner;
 - (c) distress proceedings on the financial, movable or immovable property of the taxpayer.
- (3) For the purposes of subsection (2)(b), a person making a payment to the Commissioner in accordance with a notice issued by the Commissioner shall be taken as acting under the authority of the person liable to pay the tax and is absolved in respect of the amount paid.
- (4) The Commissioner may at any time enter any premises or house specified in the distress order.

55. Penal tax

- (1) A person who fails to lodge a tax return within the time specified under this Act is liable to a penal tax of ten currency points.⁸²¹
- (2) A person who fails to maintain proper records in accordance with regulations made under this Act is liable to a penal tax equal to double the amount of the tax payable.
- (3) Where a person pays a penal tax under this section and the tax to which it relates is refunded, the penal tax or the part which relates to the tax refunded shall be refunded.

56. Commissioner to collect tax

The Commissioner shall collect all the tax required to be paid under this Act.

PART IX—GENERAL

Restrictions on minors

57. Licensee or agent not to accept entry or payment from minors

- (1) A licensee shall not accept payments from a minor.
- (2) A licensee shall not accept a minor to access or enter into a casino or gaming or betting premises.
- (3) A licensee or his or her agent who accepts payment from a minor or allows the minor to access or enter a casino or gaming or betting premises, whether personally, by mail, by electronic means or otherwise, a subscription to a public lottery commits an offence and is liable, on conviction, to a fine not exceeding one thousand currency points or to imprisonment for a term not exceeding four years, or both.

58. Adults not to enter or subscribe to public lottery on behalf of minors

A person who, on behalf of a minor, subscribes to a public lottery commits an offence and is liable, on conviction, to a fine not exceeding one thousand currency points or to imprisonment for a term not exceeding four years, or both.

59. Display of notice prohibiting minors from entering lottery

- (1) A licensee or agent shall display a notice to the effect that minors are prohibited from entering a public lottery.
- (2) The notice referred to in subsection (1) shall be displayed in a conspicuous place where entries are accepted at the time the licensee or his or her agent accepts any entry in a public lottery.

60. Prohibited items

⁸²¹ 10 currency points is the equivalent of UGX 200,000

The items listed in Schedule 5 to this Act are not permitted in a casino, gaming or betting premise.

Electronic monitoring system

61. National central electronic monitoring system

- (1) The Board shall establish and maintain a national central electronic monitoring system for the purpose of—
 - (a) detecting and monitoring significant events associated with a casino, gaming or betting machine or gaming or betting activity licensed under this Act; and
 - (b) analysing and reporting that data in accordance with the prescribed requirements.
- (2) The Board may contract with any person to supply any or all of the products or services required to fulfill the obligations of the Board under this section.
- (3) The Minister may, on the recommendation of the Board issue guidelines for—
 - (a) the operation of the national central electronic monitoring system;
 - (b) the collection and analysis of data through that system;
 - (c) the frequency and nature of reports to be produced by the Board; and
 - (d) other matters related to the functioning of the national central electronic monitoring system.
- (4) Every gaming or betting machine that is made available for play shall be electronically linked to the national central electronic monitoring system.

62. Display of licence

A person issued with an operator's licence shall display a copy of the licence prominently in a conspicuous place at the premises where the casino or gaming or betting activity is carried on.

Appeals

63. Appeals

- (1) A person aggrieved by a decision relating to tax under Part VIII of this Act may, within thirty days after notice of the decision, appeal to the Tax Appeals Tribunal.
- (2) A person aggrieved by a decision made under this Act, other than a decision made under section 42(5) and Part VIII may, within thirty days after notice of the decision, appeal to the High Court.

- (3) A person who intends to appeal against a decision under this Act shall serve a copy of the notice of appeal on the Board and the Minister.

Offences and penalties

64. Conducting lottery or related competition without licence

A person who conducts a lottery in which prizes are offered for predicting the result of an event, without a licence, commits an offence and is liable, on conviction, to a fine not exceeding one thousand currency points or to imprisonment not exceeding four years, or both.

65. Promoting or advertising unlicensed lottery

Any person who promotes or advertises a lottery which is not licensed under this Act commits an offence and is liable, on conviction, to a fine not exceeding five hundred currency points or to imprisonment for a term not exceeding two years, or both.

66. Forging tickets or selling forged tickets

A person who—

- (a) forges or fraudulently changes any ticket or any other document relating to a lottery;
- (b) sells a forged ticket or other document relating to a lottery;
- (c) with intent to defraud, alters any number or figure on any ticket or other document relating to a lottery,

commits an offence and is liable, on conviction, to a fine not exceeding two hundred currency points or to imprisonment for a term not exceeding two years, or both.

67. Offences relating to casinos, gaming or betting

(1) A person who—

- (a) operates a casino;
- (b) provides facilities for the playing of bingo;
- (c) makes a gaming or betting machine available for use;
- (d) provides other facilities for gaming or betting; or
- (e) provides facilities for betting, whether by making or accepting bets, by acting as a betting intermediary or by providing other facilities for the making or accepting of bets,

without a licence, commits an offence and is liable, on conviction, to a fine not exceeding forty-eight currency points or to imprisonment for a term not exceeding two years, or both.

- (2) A person who, in the course of a business manufactures, supplies, installs or adapts gaming or betting software without a licence, commits an offence and is liable, on conviction, to a fine not exceeding two hundred currency points or to imprisonment for a term not exceeding two years, or both.
- (3) In this section “gaming or betting software” means computer software for use in connection with gaming or betting but does not include anything for use solely in connection with a gaming or betting machine.

68. Offences relating to tax

A person who knowingly or recklessly—

- (a) does not make a return as required by this Act;
- (b) makes a statement or declaration which is false or misleading, to the Commissioner or a person authorised by the Commissioner; or
- (c) omits from a statement or declaration any matter or thing without which the statement or declaration is misleading and the tax payable by the person exceeds the tax assessed,

commits an offence and is liable, on conviction, to a fine not exceeding forty-eight currency points or to imprisonment for a term not exceeding two years, or both.

69. Power to amend Schedules

- (1) The Minister may, by statutory instrument, with the approval of Cabinet, amend Schedule 1 to this Act.
- (2) The Minister may, by statutory instrument, with the approval of Parliament, amend Schedules 2 and 3 to this Act.

70. Regulations

- (1) The Minister may, by statutory instrument, on the recommendation of the Board, make regulations to give effect to this Act. [within a period of six months from the date of assent.]⁸²²
- (2) Without prejudice to sub section (1) the Minister may make regulations for—
 - (a) the keeping of records in respect of gaming or betting machines, including the form, transfer and inspection of the records;
 - (b) the fees required to be prescribed or for the services rendered by the Board;

⁸²² Repealed by Lotteries and Gaming (Amendment) Act, 2018

- (c) the transfer or movement of gaming or betting machines and equipment;
- (d) advertising of casinos and gaming or betting;
- (e) the facilities and amenities to be made available to patrons in a casino or gaming or betting premises;
- (f) the form of applications for a licence under this Act;
- (g) the power and manner of inspection and investigation of persons licensed under this Act;
- (h) the provision of assistance to persons who are or may be affected by problems related to gambling;
- (i) establishing the identity of users of a casino or gaming or betting facilities;
- (j) recording the identity of users of a casino or gaming or betting facilities;
- (k) restricting gaming or betting facilities to persons registered in respect of the facilities in advance;
- (l) the handling of complaints and determination of disputes under this Act;
- (m) the disposal of unclaimed prizes;
- (n) regulating the appointment and use of agents by a person licensed to conduct a lottery;
- (o) regulating the holding of a draw for a lottery;
- (p) the mode and time of payment of fees or money payable under this Act;
- (q) requiring licence holders to restrict access of premises to children including—
 - (i) taking specified steps to ensure that a child does not enter the premises;
 - (ii) ensuring that each entrance to the premises is supervised by a person whose responsibilities include ensuring that a child does not access the premises; and
 - (iii) requiring evidence of age to be produced by any person seeking admission to the premises; and

- (r) any other matter that is necessary to give effect to this Act.
- (3) The regulations made under this section may prescribe, in respect of a contravention of the regulations, a fine not exceeding forty-eight currency points or imprisonment for a term not exceeding two years.

SCHEDULES*Schedule 1*

Sections 1, 69(1)

Currency Point

A currency point is equivalent to twenty thousand shillings.

Schedule 2

Sections 8(2), 69(2)

Meetings of Board and Related Matters**1. Meetings of Board**

- (1) The Chairperson shall convene every meeting of the Board at a time and place as the Board may determine, and the Board shall meet for the discharge of business at least once in every three months.
- (2) The Chairperson may, at any time, convene a special meeting of the Board and shall also call a meeting within fourteen days, if requested to do so in writing by two-thirds of the members of the Board.
- (3) Notice of a meeting of the Board shall be given in writing to each member at least fourteen working days before the day of the meeting.
- (4) The Chairperson shall preside at every meeting of the Board and in his or her absence the members present shall elect from among themselves, a chairperson to preside at the meeting.

2. Quorum.

- (1) The quorum for a meeting of the Board is two-thirds of the members.
- (2) All decisions at a meeting of the Board shall be by majority of the votes of the members present and voting and in case of an equality of votes, the person presiding at the meeting shall have a casting vote in addition to his or her deliberative vote.

3. Minutes of meetings

- (1) The secretary shall record and keep minutes of the meetings of the Board in a form approved by the Board.
- (2) The minutes recorded under this paragraph shall be submitted to the Board for

confirmation and where they are confirmed, shall be signed by the Chairperson and the secretary in the presence of the members present at the meeting.

4. Power to co-opt

- (1) The Board may invite any person who, in the opinion of the Board, has expert knowledge concerning the functions of the Board, to attend and take part in a meeting of the Board.
- (2) A person attending a meeting of the Board under this section may take part in any discussion at the meeting on which his or her advice is required, but shall not have a right to vote at that meeting.

5. Validity of proceedings not affected by vacancy

The validity of any proceedings of the Board shall not be affected by a vacancy in the membership of the Board or by any defect in the appointment or qualification of a member or by reason that a person not entitled took part in the proceedings of the Board.

6. Disclosure of interest of members

- (1) A member of the Board who is in any way directly or indirectly interested in a contract made or proposed to be made by the Board, or in any other matter to be considered by the Board, shall disclose the nature of his or her interest at a meeting of the Board.
- (2) A disclosure made under subparagraph (1) shall be recorded in the minutes of that meeting.
- (3) A member who makes a disclosure under subparagraph (1) shall not—
 - (a) be present during any deliberation of the Board with respect to that matter; or
 - (b) take part in any decision of the Board with respect to that matter.
- (4) A member who fails to disclose his or her interest under subparagraph (1) shall be removed from the Board.
- (5) For the purposes of determining whether there is quorum, a member withdrawing from a meeting or who is not taking part in a meeting under subparagraph (3) shall be treated as being present.

7. Official seal of Board

- (1) The official seal of the Board shall be in a form determined by the Board.

- (2) The official seal shall, when affixed to any document, be authenticated by the signatures of the Chairperson and one other member of the Board.
- (3) In the absence of the Chairperson, the person performing the functions of the Chairperson shall sign.
- (4) An instrument or contract which if executed or entered into by a person other than a body corporate would not require to be under seal may be executed or entered into on behalf of the Board by the Chairperson, or by any member of the Board or any other person if that member of the Board or that other person has been duly authorised by resolution of the Board to execute or enter into the instrument or contract as the case may be.
- (5) Every document purporting to be an instrument or contract executed or issued by or on behalf of the Board shall be deemed to be so executed or issued until the contrary is proved.

8. Board may regulate its procedure

Subject to this Act, the Board may regulate its own procedure or any other matter relating to the meetings of the Board.

Schedule 3

Sections 25(3), 69(2)

Matters to be provided for by lottery rules

1. The amount payable for subscription, entry or acceptance of entries into the lottery.
2. Restrictions on persons below eighteen years participating in the lottery.
3. The form and manner of entering the lottery.
4. The minimum or maximum number of entries that may be made in the lottery.
5. The amount payable in respect of each entry.
6. The amount of money prizes and the nature of other prizes.
7. The number of tickets issued under the lottery.
8. Verification of tickets relating to the lottery.
9. Claiming prizes by participants.
10. Any other matter prescribed by the Minister.

Schedule 4

Section 48(1)

Rate of Tax

1. *Twenty percent (20%) [Thirty five percent]⁸²³ of the total amount of money staked less the pay outs (winnings) for the period of filing returns for a betting activity.⁸²⁴*
2. *Thirty percent of the total amount of money staked less the payouts (winnings) for the period of filing returns for the gaming activity.⁸²⁵*

Schedule 5

Section 60

Prohibited Items

1. Guns, shotguns and machine guns
2. Saline
3. Explosives, knives and chloroform and acid

History: Act 7/2016; Act 14/2016; Act 12/2017; Act 4/2018; Act10/2023**Cross References**

Public Finance Management Act, Cap.171

Uganda Revenue Authority Act, Cap. 218

⁸²³ Amended by Finance Act, 2016 & Substituted by LG (Am) Act, 2017

⁸²⁴ Substituted by LG (Am) Act, 2023

⁸²⁵ Inserted by LG (Am) Act, 2023

CHAPTER 343
THE TAX PROCEDURES CODE ACT

Arrangement of Sections

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2. Interpretation

PART II—REGISTRATION OF TAXPAYERS

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CHAPTER 343**THE TAX PROCEDURES CODE ACT**Commencement: 1st July 2016

An Act to provide for a Code to regulate the procedures for the administration of specified tax laws in Uganda and for related matters.

PART I—PRELIMINARY**1. Application of Act**

This Act shall apply to every tax law specified in Schedule 2 to this Act.

2. Interpretation

In this Act, unless the context otherwise requires—

“additional assessment” means an additional assessment made by the Commissioner General under section 25;

“advance assessment” means an advance assessment made by the Commissioner General under section 24;

“Authority” means the Uganda Revenue Authority established by the Uganda Revenue Authority Act;

“business information return” means a return required to be furnished under section 147 of the Income Tax Act;

“Commissioner General” means the Commissioner General appointed under the Uganda Revenue Authority Act;

“Committee” means the Tax Agents Registration Committee established under section 6;

“Competent Authority” means the department of transport regulation and safety in the Ministry responsible for transport referred to in the Traffic and Road Safety Act;

“currency point” has the value assigned to it in Schedule 1 to this Act; and the Minister responsible for finance may, with the approval of Cabinet, by statutory instrument, amend the Schedule on currency point.⁸²⁶ [has the meaning assigned to it in Schedule 1] “default assessment” means a default assessment made by the Commissioner General under section 23;

“due date” means the date by which a tax obligation must be fulfilled under

⁸²⁶ Inserted by The Law Revision (Miscellaneous Amendments) Act, 2023; Omitted by ULRC in Revised Laws of Uganda, 2024

this Act;

“listed institution” has a meaning assigned to it in the Income Tax Act;

“Minister” means Minister responsible for finance;

“objection decision” means a decision within the meaning of section 26;

“occupier” in relation to premises or a place means the owner, manager, or any other person lawfully in the premises or place;

“penal tax” means a tax imposed as a penalty for failure perform an act required by or under a tax law;

“person” has the same meaning as in the Income Tax Act;

“record” includes—

- (a) a book of account, document, paper, register, bank statement, receipt, invoice, voucher, contract and agreement, or customs declaration; or
- (b) any information or data stored on a mechanical or electronic data storage device;

“registration threshold” has the meaning in section 7(2) of the Value Added Tax Act;

“self-assessment” means an assessment treated as having been made by a taxpayer under section 22;

“self-assessment return” means a return made in accordance with section 16 and 22;

“statutory rate”, in relation to a period, means the Bank of Uganda discount rate at the commencement of that period;

“tax” means a tax imposed under a tax law and includes withholding tax and provisional tax;

“tax assessment” means a self-assessment, default assessment, advance assessment, or additional assessment”;

“tax agent” means a person registered as a tax agent under this Act;

“tax decision” means—

- (a) a tax assessment; or
- (b) a decision on any matter left to the discretion, judgment, direction, opinion, approval, satisfaction or determination of the Commissioner General other than—

- (i) a decision made in relation to a tax assessment;
- (ii) a decision to refuse, issue or revoke a practice note or an omission to issue or revoke a practice note;
- (iii) a decision or omission that affects a tax officer or employee or agent of the Authority;
- (iv) the compoundment of an offence under any tax law; or
- (v) a decision to refuse, issue or revoke a private ruling or an omission to issue or revoke a private ruling;⁸²⁷

“tax law” means a law specified in Schedule 2 to this Act;

“tax obligation” means any duty expected of a taxpayer under a tax law and includes registration, filing and payment of a tax liability;

“tax officer” means the Commissioner General and an officer of the Authority appointed under the Uganda Revenue Authority Act;

“taxpayer” means a person liable for tax under a tax law and includes—

- (a) for the income tax, a person who has zero chargeable income or an assessed loss for a year of income; or
- (b) for the value added tax, a taxable person whose total input tax credits for a tax period are equal to or exceed the person’s total output tax for the period;

“tax period”, means—

- (a) in the case of the income tax—
 - (i) for the purposes of withholding tax, the period to which the withholding relates;
 - (ii) for the purposes of provisional tax, the period to which the provisional tax relates; or
 - (iii) for any other purposes, the year of income;
- (b) in the case of value added tax, the tax period under the Value Added Tax Act; or
- (c) in any other case, the period for which the tax is reported;

“tax representative” means—

- (a) for an individual under a legal disability, the guardian or manager who

⁸²⁷ Substituted by TPC (Am) Act, 2021 which inserted (ii) – (v)

receives or is entitled to receive income on behalf, or for the benefit of that natural person;

- (b) for a company, the chief executive officer, managing director, or any director of the company;
- (c) for a partnership, a partner in the partnership;
- (d) in the case of a trust, a trustee of the trust;
- (e) in the case of the Government or local government in Uganda, the individual responsible for accounting for the receipt or payment of moneys or funds on behalf of the Government or local government;
- (f) in the case of a foreign government, political subdivision of a foreign government, or a listed institution, any natural person responsible for accounting for the receipt or payment of moneys or funds in Uganda on behalf of the government, political subdivision of the government, or listed institution; and
- (g) in the case of a non-resident person, the individual controlling the affairs of the person in Uganda, including a manager of a business of that person or any representative appointed by the person in Uganda;

“tax return” means a return or other document listed in Schedule 3 to this Act; [~~the Third Schedule~~]⁸²⁸;

“transaction information” means information relating to a transaction in respect of which a record is made;

“TIN” means a Tax Identification Number issued to a registered taxpayer;

“Tribunal” means the Tax Appeals Tribunal established by the Tax Appeals Tribunal Act;

“unpaid tax” means tax that has not been paid by the due date, but does not include tax that is the subject of an objection and that is not required to be paid until the objection is finally decided;

“VAT” means value added tax; and

“withholding tax” means any tax that a withholding agent is required to deduct from a payment to a payee.

PART II—REGISTRATION OF TAX PAYERS

3. Registration

- (1) A person liable to pay tax under a tax law shall apply to the

⁸²⁸ Substituted by TPC (Am) Act, 2019

Commissioner General for registration in the prescribed manner.

- (2) The application shall be accompanied by the prescribed evidence of the identity of the person.
- (3) The Commissioner General shall register a person who has applied for registration if satisfied that the person meets the requirements for registration.
- (4) Where the Commissioner General refuses to register a person who has applied for registration, the Commissioner General shall serve that person with written notice of the refusal within fourteen days after the refusal, stating the reasons for refusal.
- (5) Where a person applies for registration as required under a tax law, the Commissioner General may use the information provided for the registration for the purposes of this Act without requiring the person to furnish the same particulars under this Act.
- (6) Notwithstanding subsection (5), the Commissioner General may request a person to provide any further information necessary to complete the registration of the person under this Act.

4. Tax identification Number

- (1) For Tax purposes, the following shall be used as tax identification numbers-
 - (a) a national identification number issued by the National Identification Registration Authority under the Registration of Persons Act, in the case of an individual;
 - (b) a registration number issued by the Uganda Registration Services Bureau, in the case of a person who is a non-individual; and
 - (c) a tax identification number issued by a foreign tax authority with whom Uganda has a tax treaty or agreement for the exchange of information.
- (2) The Uganda Registration Services Bureau shall establish and maintain a centralised register of all non-individuals registered, incorporated or carrying on business in Uganda.
- (3) A person shall state his or her national identification number in the case of an individual, or registration number in the case of a non-individual, or tax identification number issued by a foreign tax authority with whom Uganda has a tax treaty or agreement for the exchange of information, on any return, notice, communication or other document furnished, lodged or used for the purposes of a tax law.
- (4) A local authority, Government institution or regulatory body shall not issue a licence or any form of authorisation necessary for purposes of

conducting any business in Uganda to any person who does not have a national identification number, in the case of an individual, or a registration number in the case of a non-individual, or a tax identification number issued by foreign tax authority with whom Uganda has a tax treaty or agreement for the exchange of information.

- (5) A local authority, Government institution or regulatory body shall not register an instrument required to pay stamp duty under the Stamp Duty Act, unless the person lodging the instrument for registration has a national identification number, in the case of an individual or a tax identification number issued by a foreign tax authority with whom Uganda has a tax treaty or agreement for the exchange of information.
- (6) The Minister shall, by regulations, prescribe the procedure and requirements for registering and issuing registration numbers to non-individuals.
 - (1) [Upon registration, the Commissioner General shall issue to every person registered a TIN.
 - (2) The Commissioner General shall issue one TIN to each person registered.
 - (3) The TIN issued by the Commissioner General shall be used for tax purposes under all tax laws.
 - (4) A person shall state that person's TIN on any return, notice, communication, or other document furnished, lodged, or used for the purposes of a tax law.
 - (5) Subject to subsection (6), a TIN is personal to the person to whom it has been issued and shall not be used by another person.
 - (6) The TIN of a registered taxpayer may be used by a registered tax agent if—
 - (a) the person has given written permission to the registered tax agent to use the TIN on their behalf; and
 - (b) the registered tax agent uses the TIN only in respect of the tax affairs of the tax payer.
 - (7) The Commissioner General shall, by notice in writing, cancel a TIN if satisfied that—
 - (a) the person is de-registered for the purposes of all tax laws;
 - (b) the TIN has been issued to the person under an identity that is not that person's true identity; or
 - (c) the person has been previously issued with a TIN that is still in force.

- (8) The Commissioner General may, at any time, by notice in writing, cancel the TIN issued to a person and issue the person with a new TIN.
- (9) A local authority, Government institution or regulatory body shall not issue a licence or any form of authorisation necessary for purposes of conducting any business in Uganda to any person who does not have a TIN including a tax identification number issued by foreign tax authorities with whom Uganda has a tax treaty or agreement for the exchange of information.⁸²⁹
- (10) A local authority, Government institution or regulatory body shall not register an instrument that is required to pay stamp duty under the Stamp Duty Act, 2014, unless the person lodging the instrument for registration has a TIN].⁸³⁰

5. De-registration.

- (1) A person who is no longer required to be registered for the purposes of a tax law may, in the prescribed manner, apply to the Commissioner General to be de-registered.
- (2) The Commissioner General shall, by notice in writing, de-register a person if—
- (a) that person has applied for de-registration and the Commissioner General is satisfied that the person is no longer required to be registered; or
 - (b) that person has not applied for de-registration but the Commissioner General is satisfied that the person is eligible for de-registration.
- (3) De-registration takes effect from the date specified in the notice of de-registration.
- (4) A person who is de-registered shall comply with any requirements relating to de-registration as specified under the tax law to which the registration relates.

PART III—TAX AGENTS AND TAX REPRESENTATIVES

Registration of tax agents

6. Tax Agents Registration Committee.

- (1) There shall be a Tax Agents Registration Committee to handle registration, renewal of registrations and cancellation of tax agent's registration.

⁸²⁹ Inserted by TPC (Am) Act, 2021

⁸³⁰ Inserted by TPC (Am) Act, 2023; And Substituted by TPC(Am) Act,2025

- (2) The Committee shall comprise of the following members—
 - (a) the Commissioner General, or his or her representative for purposes of this Act, who shall be the Chairperson;
 - (b) one representative from the accountancy profession nominated by the Institute of Certified Public Accountants of Uganda;
 - (c) a representative from the legal profession nominated by the Uganda Law Society; and
 - (d) two members from the private sector with expertise or relevant experience in economics, finance or taxation who shall be appointed by the Board of the Authority,
- (3) The Commissioner General shall receive and maintain a register of all registered tax agents.
- (4) In exercise of its functions under this Act, the Committee shall make rules to govern its own procedure.

7. Tax agents.

- (1) An individual, partnership, or company may apply to the Committee for registration as a tax agent.
- (2) An application for registration as a tax agent under subsection (1) shall be in the prescribed form and shall be accompanied by the prescribed fee.
- (3) For purposes of this Act, a tax agent is a person engaged—
 - (a) in the preparation, certification, and filing tax returns, information returns or other statements or reports required by the Authority;
 - (b) in the preparation of requests for ruling, petitions for reinvestigation, protests, objections, requests for refund or tax certificates, compromise settlements or abatement of tax liabilities and other official papers and correspondences with the Authority; or
 - (c) in meetings and hearings on behalf of the taxpayer in all matters relating to the rights, privileges or liabilities of the taxpayer under the laws or regulations administered by the Authority.

8. Registration of tax agents.

- (1) In the case of an application by a natural person, the Committee shall register the applicant if satisfied that the applicant is a fit and proper person to prepare tax returns and transact business with the Committee under the tax laws on behalf of taxpayers.
- (2) In the case of an application by a partnership or a company, the

Committee shall register the applicant if satisfied that—

- (a) the partner or employee specified in the application as the nominee of the partnership or company respectively is a fit and proper person to prepare tax returns and transact business with the Commissioner General under a tax law on behalf of a taxpayer; and
 - (b) a partner in the partnership or a director, manager or other executive officer of the company is of high integrity and good character.
- (3) An individual applying for registration as a tax agent, or in the case of an application by a partnership or company, the partner or employee specified as the nominee of the partnership or company respectively, shall meet the following requirements—
- (a) have been awarded a degree or a post-graduate award from an approved tertiary institution in the discipline relevant for the provision of tax agent services; or
 - (b) have successfully completed a course in taxation that is recognised by the tax registration committee; or
 - (c) was engaged in the equivalent of twenty-four months of full-time tax practice within a period of five years preceding the 1st day of July 2016.
- (4) The registration of a tax agent shall remain in force from the date of issue of the certificate of registration to the 31st day of December of the year of issue. [for twelve months from the date of registration.]⁸³¹
- (5) The Commissioner General shall notify the applicant of the decision on the application.
- (6) A person who is not registered as a tax agent under this section shall not act as a tax agent.⁸³²
- (7) This section does not apply to an advocate acting as an advocate to a tax payer under section 7(3)(b) and (c).⁸³³

9. Renewal of registration.

- (1) A tax agent may apply to the Committee for the renewal of the tax agent's registration.
- (2) An application under subsection (1) shall be in the prescribed form and shall be accompanied by the prescribed fee.
- (3) The application shall be submitted to the Committee within twenty-one

⁸³¹ Substituted by TPC(Am) Act, 2022

⁸³² Inserted by TPC (Am) Act, 2021

⁸³³ Inserted by TPC (Am) Act, 2021

days before the date of expiry of the registration of the tax agent or a later date allowed by the Committee.

- (4) The Committee shall renew the registration of a tax agent who has applied under subsection (1) if the tax agent still meets the requirements for registration.
- (5) The Committee shall in writing notify the applicant of the decision on the application to renew registration.

10. Registration of additional or substituted tax agents.

- (1) A partnership or company registered as a tax agent may apply to the Committee, in the prescribed form and accompanied by the prescribed fee, to register a partner of the partnership or an employee of the company as an additional or substituted tax agent.
- (2) The Committee shall register the person nominated under subsection (1) if satisfied that the person is a fit and proper person to prepare tax returns and transact business with the Committee under a tax law on behalf of a taxpayer.
- (3) The Committee shall in writing notify an applicant under this section of the decision of the Committee on the application.

11. Notice of change in registered particulars

- (1) A partnership that is registered as a tax agent shall notify the Committee, in writing, if—
 - (a) there is a change in the composition of the partnership, within seven days after the change in composition; or
 - (b) the partnership is going to be dissolved within, seven days before the dissolution of the partnership.
- (2) A company that is registered as a tax agent shall notify the Committee, in writing, if—
 - (a) a registered nominee ceases to be an employee of the company or a person becomes a director, manager, or other executive officer of the company, within seven days after the employee ceases to be employed, or the person becomes a director, manager or other executive officer; or
 - (b) the company is going into liquidation, within seven days before the company goes into liquidation.

12. Cancellation of registration of tax agent

- (1) A tax agent that ceases to carry on business as a tax agent shall notify the Committee, in writing, within seven days after ceasing to carry on

business as a tax agent.

- (2) A tax agent may apply to the Committee, in the prescribed form to cancel the registration of the agent where the agent no longer wishes to be registered as a tax agent.
- (3) The Committee may cancel the registration of a tax agent if the Committee is satisfied that—
 - (a) in the case of an individual, the person is no longer a fit and proper person to prepare tax returns and transact business with the Committee under the tax laws on behalf of a taxpayer;
 - (b) in the case of a partnership, the additional or nominated partner has ceased to be a partner in the partnership or the partnership has applied to the Committee to cancel the registration of the partner;
 - (c) in the case of a company, the person nominated has ceased to be employed by the company or the company has applied to the Committee to cancel the registration of the employee;
 - (d) a tax return prepared and delivered by the tax agent is false in any material particular, unless the tax agent establishes to the satisfaction of the Committee that it was not due to any willful or negligent conduct of the tax agent;
 - (e) the tax agent has ceased to meet the requirements for registration as a tax agent; or
 - (f) the tax agent has ceased to carry on business as a tax agent.
- (4) The Committee shall give notice, in writing, to a tax agent of a decision to cancel the registration of the tax agent or a nominee of the tax agent.
- (5) The cancellation shall take effect from the date specified in the notice.

Tax representatives

13. Liabilities and obligations of a tax representative

- (1) A tax representative is responsible for performing any duty or obligation imposed by a tax law on the taxpayer, including the submission of tax returns and payment of tax.
- (2) If there are two or more tax representatives of a taxpayer, the obligations referred to in this section apply jointly and severally to the tax representatives [agents]⁸³⁴ but may be discharged by any of them.
- (3) A tax representative making a payment of tax on behalf of a taxpayer is to be treated as acting under the authority of the taxpayer.
- (4) A tax that is payable by the tax representative of a tax taxpayer by virtue

⁸³⁴ Substituted by TPC (Am) Act, 2021

of subsection (1) is recoverable from the tax representative only to the extent of the assets of the taxpayer that are in the possession or under the control of the tax representative.

- (5) Subject to subsection (6), a tax representative [agent]⁸³⁵ is personally liable for the payment of any tax due by the tax representative in that capacity if, while the amount remains unpaid, the tax representative—
- (a) alienates, charges, or disposes of any money received or accrued in respect of which the tax is payable; or
 - (b) disposes of or parts with any money or funds belonging to the taxpayer that are in the possession of the tax representative or which come to the tax representative after the tax is payable, if tax could legally have been paid from or out of the money or funds.
- (6) A tax representative is not personally liable for tax if—
- (a) the money was paid by the representative on behalf of a taxpayer and the amount paid has priority, in law or equity, over the tax payable by the taxpayer; or
 - (b) at the time the money was paid, the representative had no knowledge, and could not reasonably be expected to know, of the taxpayer's tax or duty liability.
- (7) An amount that a tax representative is personally liable for under subsection (5) shall be collected and recovered in accordance with this Act.
- (8) Nothing in this section relieves a taxpayer from performing any obligation imposed on the taxpayer under a tax law that the tax representative of the taxpayer has failed to perform.
- (9) A reference in this section to a tax liability includes any interest payable in respect of the liability.

14. Recovery of tax from successor and duty to notify discontinuance of business⁸³⁶

- (1) Where a person carrying on any business liable to duty, levy or tax has been succeeded by another person, and where the duty, levy or tax due and payable by the person succeeded cannot be recovered from that person, it shall be payable by and recoverable from the person succeeding that person.
- (2) If the person succeeding fails to pay the duty, levy or tax on the date fixed by the Commissioner General, then the provision of the law relating to

⁸³⁵ Substituted by TPC (Am) Act, 2021

⁸³⁶ Inserted by The Law Revision (Miscellaneous Amendments) Act, 2023 having been enacted by Finance Act 9No.20,1994(commenced June 1994)- Now repealed by Law Revision Act,2023.

the collection and recovery of duty, levy or tax shall apply to the collection and recovery of the amount due as if it were the duty, levy or tax due and payable by the person succeeding.

- (3) Any person intending to discontinue any business liable to duty or tax shall give a notice of the intention to discontinue business, to the Commissioner General thirty days before the date of discontinuance, and where the person fails to give the notice required by this section, the Commissioner General may direct that a sum not exceeding ten currency points⁸³⁷ be recovered from that person by way of penalty.

PART IV—RECORD-KEEPING

15. Accounts and records

- (1) Subject to subsections (2) and (4), every taxpayer shall, for the purposes of a tax obligation—
- (a) maintain, in the English language, records including in electronic format, as may be required to determine the taxpayer's tax liability under a tax law;
 - (b) maintain the record so as to enable the taxpayer's tax liability under the tax law to be readily ascertained; and
 - (c) retain the record for five years after the end of the tax period to which it relates or other period as specified in the tax law.
- (2) Where, at the end of the time specified in subsection (1)(c), a record is necessary for a proceeding commenced before the end of the five-year period, the person shall retain the document until all proceedings have been completed.
- (3) A mode of record keeping shall contain sufficient transaction information and, in the case of a record in electronic format shall be capable of being retrieved and converted to a standard record format equivalent to that contained in an acceptable paper record.
- (4) The Commissioner General may, on the application of a taxpayer who wishes to keep records in a language other than English or in a currency other than Uganda Shillings, allow the taxpayer to keep records in a different language or currency.
- (5) An application under subsection (4) shall clearly state the reasons of the applicant for wishing to keep records in a different language or currency.
- (6) Where a record referred to in subsection (1) is not in English, the Commissioner General may, by notice in writing, require the person keeping the record to provide, at the person's expense, a translation into English by a translator approved by the Commissioner General.

⁸³⁷ 10 currency points = shs. 200,000

- (7) A taxpayer granted permission to keep records in a language other than English shall file a tax return or provide other correspondence with the Commissioner General in English.

PART V—TAX RETURNS

16. Furnishing of tax returns

- (1) A person required to furnish a tax return under a tax law shall submit the return in the prescribed form and in the manner determined by the Commissioner General.
- (2) Where a person does not furnish a tax return under subsection (1), the Commissioner General may at the person's cost, by notice in writing, appoint another person to prepare and furnish the return on behalf of that person.
- (3) A return furnished under subsection (2) shall be treated, for all the purposes of the tax law under which the return is required to be furnished, to be the return of the person required to furnish the return.
- (4) Where the Commissioner General is not satisfied with a tax return furnished by a person, other than a self-assessment return, the Commissioner may, by notice in writing, require the person who has furnished the return to provide a fuller or further tax return.
- (5) A taxpayer with an annual turnover of the amount prescribed in Schedule 4 to this Act shall furnish with the taxpayer's return of income audited financial statements prepared by an accountant registered by the Institute of Certified Public Accountant of Uganda.
- (6) A tax return purporting to be made by or on behalf of a person is treated as having been made by the person or with the authority of the person unless the contrary is proved.
- (7) The following are tax returns for the purposes of this Act—
- (i) a return of income;
 - (ii) a return of rental income;
 - (iii) a provisional tax estimate;
 - (iv) a business information return;
 - (v) a return required to be furnished under the Value Added Tax Act;
 - (vi) an excise duty return;
 - (vii) any other return required to be furnished under a tax law; and
 - (viii) any form required to be furnished under a tax law containing information relating to an assessment of tax.
- (8) For purposes of subsection (7), the applicable time frame for lodging a

return shall be as follows—

- (a) in the case of a return of income, every taxpayer shall furnish a return of income for each year of income of the taxpayer not later than six months after the end of that year;
- (b) in the case of a return of rental income, every taxpayer shall furnish a return of rental income for each year of income of the taxpayer not later than six months after the end of that year;
- (c) a provisional taxpayer's estimate shall be in the form prescribed by the Commissioner General and shall be furnished to the Commissioner General by the due date for the payment of the first installment of provisional tax for the year of income; [in the case of a provisional tax estimate, every taxpayer is required to furnish a return of provisional tax estimate]⁸³⁸
- (d) in the case of a business information return, a person who is required to furnish a business information return with the Commissioner General shall do so within sixty days after the end of the year of income in which the payment was made;
- (e) in the case of the Value Added Tax Act, a taxable person shall lodge a value added tax return with the Commissioner General for each tax period within fifteen days after the end of the tax period;
- (f) in the case of an excise duty return, a person who is required to furnish an excise duty return with the Commissioner General shall do so by the fifteenth day of the following month;
- (g) in the case of the Lotteries and Gaming Act, 2016, a licensed person shall furnish returns with the Commissioner General as follows—
 - (i) a weekly return, by Wednesday of the following week; and
 - (ii) a monthly return, by the fifteenth day of the following month.

[in the case of the Gaming and Pool Betting Act, a person who is required to furnish a return with the commissioner shall do so in the period specified under the Act]⁸³⁹

- (h) in case of any other return required to be furnished under a tax law, a person is required to furnish such return with the Commissioner General in the period specified under the tax law to which the return relates;
- (i) in case of any form required to be furnished under a tax law containing information relating to an assessment of tax, a person is required to furnish such a form with the Commissioner General in the period specified by the Commissioner General.

17. Certification of tax return by tax agent.

⁸³⁸ Substituted by TPC (Am) Act, 2017

⁸³⁹ (g) Substituted by TPC (Am) Act, 2018 WEF date of Publication in the Gazette

- (1) A tax agent who prepares or assists in the preparation of a tax return of a taxpayer shall provide the taxpayer with a signed certificate in the prescribed form—
 - (a) stating the sources available to the tax agent for the preparation of the return; and
 - (b) certifying that the tax agent has examined the documents of the taxpayer and that, to the best of the tax agent's knowledge, the return together with any supporting documentation, reflects the correct data and transactions to which it relates.
- (2) A tax agent who does not provide the certificate referred to in subsection (1) shall in writing specify to the taxpayer the reasons for not providing the certificate.
- (3) A tax agent who prepares or assists in the preparation of a tax return of a taxpayer shall make a declaration in the taxpayer's return stating whether a certificate under subsection (1) or a statement under subsection (2) has been provided to the taxpayer.
- (4) A tax agent shall, when required to do so by notice in writing from the Commissioner General, produce to the Commissioner General a copy of the certificate under subsection (1) or the statement provided to the taxpayer under subsection (2).
- (5) A tax agent shall keep copies of certificates provided to taxpayers under subsection (1) and statements provided to taxpayers under subsection (2) for five years from the date that the tax return to which the certificate or statement relates is furnished.

18. Power of the Commissioner to require tax returns in certain cases

- (1) This section applies where, during a tax period—
 - (a) a taxpayer has died;
 - (b) a taxpayer becomes bankrupt, wound up, or goes into liquidation;
 - (c) a taxpayer is about to leave Uganda permanently; or
 - (d) the Commissioner General otherwise considers it appropriate.
- (2) The Commissioner General may, by notice in writing and at any time during the tax period, require—
 - (a) the taxpayer or the taxpayer's representative to furnish a tax return for the tax period by the date specified in the notice being a date that may be before the date that the return for the tax period would otherwise be due; and
 - (b) the taxpayer or taxpayer's representative to pay any tax due under the return.

- (3) Where a taxpayer is subject to more than one tax, this section applies to each tax separately.

18A. Destruction of goods⁸⁴⁰

- (1) A taxpayer who intends to claim a deduction of or credit for the goods destroyed as a result of-
- (a) damage of trading stock;
 - (b) expiry of trading stock;
 - (c) damage of manufactured stock; or
 - (d) obsolete stock,
- shall inform the Commissioner General in writing, using the form prescribed under section 70 of this Act, before destroying goods.
- (2) A taxpayer who fails to inform the Commissioner General in accordance with subsection (1), shall not claim for deduction of or credit for the destroyed goods.

19. Extension of time to furnish a tax return.

- (1) A person required to furnish a tax return may apply in writing to the Commissioner General for an extension of time to furnish the return.
- (2) An application under subsection (1) shall be made by the date on which the return is required to be furnished or made.
- (3) Where an application has been made under subsection (1) and the Commissioner General is satisfied that the person is unable to furnish the tax return by the due date because of any reasonable cause, the Commissioner General may, by notice in writing, grant the person an extension of time to furnish the return.
- (4) The extension of time granted under subsection (3) shall not exceed an aggregate period of ninety days.
- (5) An extension of time granted under this section does not change the date for payment of the tax due as specified in the tax law under which the tax return is required to be furnished and interest remains payable on the unpaid tax from the date the tax was originally due.
- (6) The Commissioner General may allow an application for the extension of time after the expiry of the due date if the Commissioner General is satisfied that the failure to furnish a tax return was due to exceptional circumstances.

⁸⁴⁰ Inserted by VAT (Am) Act, 2024. Original numbering in amendment Act maintained by Author. The Revised Laws of Uganda, 2024 renumbered sections and subsections in the TPCA.

PART VI—TAX STAMPS⁸⁴¹**20. Tax stamps**

- (1) A person dealing in goods, whether locally manufactured or imported shall affix a tax stamp on any goods locally manufactured or imported as may be prescribed by the Minister under subsection (3).
- (2) The Commissioner General shall prescribe the manner in which a tax stamp is to be affixed to goods.
- (3) The Minister shall, by statutory instrument, prescribe the locally manufactured or imported goods on which tax stamps shall be affixed.

21. Penal tax relating to tax stamps

- (1) A taxpayer who fails to affix a tax stamp on goods prescribed under section 20(3) or to activate tax stamps⁸⁴² is liable to pay a penal tax equivalent to double the tax due on goods or two thousand five hundred currency points⁸⁴³[fifty million shillings], whichever is higher.
- (2) Any person who prints over or defaces a tax stamp affixed on goods prescribed under section 20(3) is liable to pay a penal tax equivalent to double the tax due on the goods or one thousand currency points⁸⁴⁴[twenty million shillings], whichever is higher.
- (3) Any person found in possession of goods prescribed under section 20(3), on which a tax stamp is not affixed, is liable to pay a penal tax equivalent to double the tax due on the goods or two thousand five hundred currency points⁸⁴⁵[fifty million shillings], whichever is higher.
- (4) Any person who attempts to acquire or who acquires or sells a tax stamp without the authority of the Commissioner General commits an offence and is liable on conviction, to a penalty equivalent to double the tax due on the goods or five hundred currency points⁸⁴⁶ [ten million shillings], whichever is higher.
- (5) Where the offender under subsection (4) attempts to acquire or acquires or sells a tax stamp without goods, the offender is liable, on conviction, to a fine not exceeding five hundred currency points or to imprisonment for a term not exceeding five years or both.⁸⁴⁷
- (6) Any person, who acquires tax stamps with the authority of the Commissioner General and affixes the tax stamps on goods other than

⁸⁴¹ Part VA Inserted by TPC (Am) Act, 2017

⁸⁴² Inserted by TPC(Am) Act, 2022

⁸⁴³ Modified by The Law Revision (Miscellaneous Amendments) Act, 2023

⁸⁴⁴ Modified by The Law Revision (Miscellaneous Amendments) Act, 2023

⁸⁴⁵ Modified by The Law Revision (Miscellaneous Amendments) Act, 2023

⁸⁴⁶ Modified by The Law Revision (Miscellaneous Amendments) Act, 2023

⁸⁴⁷ Section 19B(5)–(7) Inserted by TPC (Am) Act, 2021

the goods approved by the Commissioner General, commits an offence and is liable, on conviction, to double the tax due on the goods or five hundred currency points, whichever is higher.

- (7) Any person who makes an unauthorised interference to or tampers with a digital tax stamps machine commits an offence and is liable, on conviction, to pay the amount of tax lost as a result of the tampering and, a fine not exceeding five thousand currency points, or to imprisonment not exceeding ten years or both.⁸⁴⁸
- (8) For purposes of this section “tax” means tax imposed under the Excise Duty Act.

PART VII—TAX ASSESSMENTS

22. Self-assessment

- (1) A taxpayer who has submitted a self-assessment return in the prescribed form for a tax period is treated, as having made an assessment of the amount of tax payable, including a nil amount, for that period being the amount set out in the return.
- (2) Where a taxpayer liable to income tax has submitted a self-assessment return in the prescribed form for a year of income and the taxpayer has an assessed loss for the year, the taxpayer is treated, as having made an assessment of the amount of the loss for that year being that amount set out in the return.
- (3) Where a taxable person has submitted a self-assessment return in the prescribed form for a tax period and the taxable person has an excess input tax credit carried forward for that tax period, the taxable person is treated, as having made an assessment of the excess input tax credit carried forward for that tax period being that amount set out in the return.
- (4) Where a taxpayer electronically completes and submits a prescribed form for a tax return that tax return is a self-assessment return despite the form having pre-filled information provided by the Commissioner General.
- (5) The following are self-assessment returns for the purposes of this Act—
 - (a) a return of income;
 - (b) a return of rental income;
 - (c) a return required to be furnished under the Value Added Tax Act;
 - (d) a return required to be furnished under the Excise Duty Act; and
 - (e) a return specified as a self-assessment return under a tax law.

⁸⁴⁸ Inserted by TPC (Am) Act, 2023

23. Default assessment

- (1) Where a taxpayer fails to furnish a self-assessment return for a tax period as required under a tax law, the Commissioner General may, at any time, make an assessment as follows—
 - (a) in the case of an assessed loss under the Income Tax Act, the amount of the assessed loss of the taxpayer for the period;
 - (b) in the case of an excess input tax credit under the Value Added Tax Act, the amount of the excess input tax credit of the taxpayer for the period; or
 - (c) in any other case, the tax payable by the taxpayer for the tax period.
- (2) The Commissioner General shall serve a taxpayer assessed under subsection (1) with notice, in writing, of the assessment specifying—
 - (a) the amount of tax assessed, assessed loss, or excess input tax credit, as the case may be;
 - (b) the amount of penal tax and interest, if any, payable in respect of the amount assessed;
 - (c) the tax period to which the assessment relates;
 - (d) the due date for payment of the tax, penal tax and interest; and
 - (e) the manner of objecting to the assessment.
- (3) The service of a notice of an assessment under this section does not change the due date for payment of the tax payable under the assessment as determined under the tax law imposing the tax, and penal tax and interest remain payable based on the original due date.

24. Advance assessment

- (1) This section applies to a taxpayer specified in section 18 and where the Commissioner General is satisfied that there is a risk that a taxpayer may delay, obstruct, prevent, or render ineffective payment or collection of tax that has not yet become due.
- (2) Subject to subsection (3), the Commissioner General may make an assessment for a tax period in relation to a taxpayer to whom section 18 applies—
 - (a) in the case of an assessed loss under the Income Tax Act, of the amount of the assessed loss of the taxpayer for the period;
 - (b) in the case of an excess input tax credit under the Value Added Tax Act, of the amount of the excess input tax credit of the taxpayer for the period; or
 - (c) in any other case, of the tax payable by the taxpayer for the period.

- (3) Subsection (2) applies only if the taxpayer has not submitted a return as required by section 18.
- (4) An assessment made under subsection (2)—
 - (a) may be made before the date on which the taxpayer's tax return for the period is due; and
 - (b) shall be made in accordance with the tax law in force at the date the assessment was made.
- (5) The Commissioner General shall serve a taxpayer assessed under subsection (2) with notice, in writing, of the assessment specifying—
 - (a) the amount of tax assessed;
 - (b) the amount of penal tax and interest, if any, payable in respect of the tax assessed;
 - (c) the tax period to which the assessment relates;
 - (d) the due date for payment of the tax, penal tax and interest; and
 - (e) the manner of objecting to the assessment.
- (6) An assessment made under subsection (2) may be amended under section 25 so that the taxpayer is assessed in respect of the whole of the tax period to which the assessment relates.
- (7) Nothing in this section relieves a taxpayer from being required to furnish the tax return to which the assessment served under this section relates.

25. Additional Assessment

- (1) The Commissioner General may make an additional assessment amending a tax assessment made for a tax period to ensure that—
 - (a) for an assessed loss under the Income Tax Act, the taxpayer is assessed in respect of the correct amount of the assessed loss for the period;
 - (b) for an excess input tax credit under the Value Added Tax Act, the taxpayer is assessed in respect of the correct amount of the excess input tax credit for the period; or
 - (c) in any other case, the taxpayer is liable for the correct amount of tax payable in respect of the period.
- (2) An additional assessment under subsection (1) may be made—
 - (a) at any time, if fraud or any gross or wilful neglect has been committed by, or on behalf of the taxpayer, or new information has been discovered in relation to the tax payable by the taxpayer for a tax period;
 - (b) in the case of an additional assessment, within three years from the

- date of service of the notice of the additional assessment; or
- (c) in any other case, within three years after the date—
- (i) the taxpayer furnished the self-assessment return to which the original assessment relates; or
 - (ii) the Commissioner General served notice of the original assessment on the taxpayer.
- (3) Subject to subsection (1), a taxpayer who has furnished a self-assessment return, other than a taxpayer whose return is being investigated may, upon discovering an error within three years [~~twelve months~~]⁸⁴⁹ after the date of furnishing the return, apply to the Commissioner General for leave to make an additional assessment.
- (4) The Commissioner General shall within thirty days after receiving the application, in writing notify the taxpayer of the decision.
- (5) For the purposes of subsection (2)(b) the additional assessment shall be limited to amending the alterations and additions made in the additional assessment.
- (6) Where the Commissioner General has made an additional assessment under this section, the Commissioner General shall serve the taxpayer with notice, in writing, of the additional assessment specifying—
- (a) the amount assessed as tax, assessed loss, or excess input tax credit, as the case may be;
 - (b) the amount of penal tax and interest, if any, payable in respect of the amount assessed as a result of subsection (2)(a);
 - (c) the tax period to which the assessment relates;
 - (d) the [~~due~~]⁸⁵⁰ date for payment of any tax, penal tax and interest being a date that is not less than forty-five days from the date of service of the notice; and
 - (e) the manner of objecting to the assessment.
- (7) The service of a notice of an additional assessment under this section does not change the due date for payment of the tax payable under the assessment as determined under the tax law imposing the tax, and penal tax and interest shall remain payable based on the original due date.
- (8) Subsection (6) shall not apply to where the circumstances leading to the additional assessment are occasioned by an error on the part the Commissioner General.

⁸⁴⁹ Substituted by TPC (Am) Act, 2021

⁸⁵⁰ Repealed by TPC (Am) Act, 2021

PART VIII—OBJECTIONS AND APPEALS**26. Objection to a tax decision**

- (1) A person who is dissatisfied with a tax decision may lodge an objection with the Commissioner General within forty-five days after receiving notice of the tax decision.
- (2) An objection shall be in the prescribed form and shall state the grounds upon which it is made and contain sufficient evidence to support the objection.
- (3) Where a taxpayer has lodged an objection to a tax assessment for a tax period, the Commissioner General may consider the objection if the taxpayer—
 - (a) has furnished the return to which the assessment relates in the case of a default or advance assessment;
 - (b) has paid the tax due under the return to which the assessment relates together with any penalty or interest due.
- (4) A person may apply, in writing, to the Commissioner General for an extension of time to lodge an objection and the Commissioner General may, if satisfied with the grounds upon which the application is made, grant an extension for such period as the Commissioner General may determine.
- (5) The Commissioner General may make a decision on an objection—
 - (a) to a tax assessment, affirming, reducing, increasing, or otherwise varying the assessment to which the objection relates; or
 - (b) to any other tax decision, affirming, varying, or setting aside the decision.
- (6) The Commissioner General shall serve notice of an objection decision on the person objecting within ninety days from the date of receipt of the objection.
- (7) Subject to subsection (9), where an objection decision has not been served within the time specified under subsection (6), the person objecting may, by notice in writing to the Commissioner General, elect to treat the Commissioner General as having made a decision to allow the objection.
- (8) Where a person makes an election under subsection (7), the person is treated as having been served with notice of the objection decision on the date the person's election is lodged with the Commissioner General.
- (9) The time limit for making an objection decision is waived where a review of the records of the taxpayer is necessary for settlement of the objection

and the taxpayer is notified.

- (10) Where the Commissioner General reviews the taxpayer records under subsection (9), the Commissioner General shall within the time specified in subsection (6) notify the taxpayer of the review.
- (11) A tax payer who is dissatisfied with a decision of the Commissioner General may apply to the Commissioner General to resolve the dispute using alternative dispute resolution procedure, as may be prescribed.⁸⁵¹
- (12) For the purposes of subsection (11), the Minister may make regulations to provide for alternative dispute resolution for tax purposes.

27. Review of an objection decision

- (1) A person dissatisfied with an objection decision may, within thirty days after being served with a notice of the objection decision, lodge an application with the Tribunal for review of the objection decision.
- (2) A person dissatisfied with a decision of the Tribunal may, within thirty days after being served with a notice of the decision, lodge an application with the High Court for review of the decision.

28. Burden of proof

In any proceeding under this Act—

- (a) for a tax assessment, the burden is on the taxpayer to prove that the assessment is incorrect; or
- (b) for any other tax decision, the burden is on the person objecting to the decision to prove that the decision should not have been made or should have been made differently.

PART VIII—COLLECTION AND RECOVERY OF TAX

Tax collection

29. Payment of tax

- (1) The tax owing by a taxpayer for a tax period is payable on the date specified in the tax law under which the tax is payable.
- (2) An amount that is treated as tax for the purposes of this Act shall be collected by the Commissioner General serving a notice of demand on the person liable for the amount.
- (3) The amount is payable on the date specified in the notice being a date that is not less than twenty-eight days from the date of service of the notice.

⁸⁵¹ Section 24(11) & (12) Inserted by TPC (Am) Act, 2021

- (4) The Commissioner General may waive the amount or accept a lesser amount than is required to be paid under section 26(3) where an objection has reasonably been made to a tax assessment.

30. Tax liability of statutory corporations⁸⁵²

- (1) No statutory corporation shall gain any exemption from any tax imposed generally by any written law, whether the tax is expressed as a tax, levy, duty or otherwise unless the corporation is expressed in or under the law as exempt from the tax or entitled to such remission as may be granted under the law; except that in respect of income tax any exemption granted otherwise than in accordance with this section shall be deemed to be of no effect.
- (2) Any provision of any written law which is inconsistent with subsection (1) shall be deemed to be amended to the extent of the inconsistency.
- (3) In granting an exemption or remission under subsection (1), the authority empowered in that behalf shall distinguish between statutory corporations which are business enterprises and which shall, as far as possible, be treated as private persons, and statutory corporations which provide utility services and which shall in principle be exempt or entitled to remission.

31. Extension of time to pay tax

- (1) A taxpayer may apply, in writing, to the Commissioner General for an extension of time within which to pay tax that is due.
- (2) An application for an extension of time to pay tax shall be made by the due date for payment of the tax to which the application refers.
- (3) Where an application has been made under this section, the Commissioner General may, having regard to the circumstances of the case and by notice in writing—
- (a) grant the taxpayer an extension of time for payment of the tax; or
 - (b) require the taxpayer to pay the tax in such instalments as the Commissioner General may determine.
- (4) Where tax is permitted to be paid by instalments and there is default in payment of any instalment, the whole balance of the outstanding tax becomes payable immediately.
- (5) Notwithstanding the grant of an extension of time or permission to pay tax by instalments, the liability for interest arises from the original due date for payment of the tax.

32. Tax as a debt due to the Government of Uganda.

⁸⁵² Inserted by Th Law Revision (Miscellaneous Amendments) Act, 2023

- (1) The tax payable under a tax law is a debt due to the Government of Uganda and is payable to the Commissioner General in the manner and at the place determined by the Commissioner General.
- (2) The Commissioner General may sue for and recover unpaid tax in a court of competent jurisdiction in Uganda.
- (3) In any suit under this section, the production of a certificate signed by the Commissioner General stating the name and address of the taxpayer and the amount of tax payable is conclusive evidence of the amount of tax payable by the taxpayer unless the contrary is proved.

Enforced tax collection

33. Collection of tax from persons leaving Uganda permanently.

- (1) If the Commissioner General has reasonable grounds to believe that a taxpayer may leave Uganda permanently without paying tax that is due, the Commissioner General may issue a certificate containing the particulars of the tax payable to the officer responsible for immigration control and request the Director for Immigration to prevent that person from leaving Uganda until that person—
 - (a) makes payment of the tax in full; or
 - (b) executes a financial bond guaranteeing payment of the tax.
- (2) A copy of a certificate issued under subsection (1) shall be served on the taxpayer named in the certificate if it is practicable to do so.
- (3) Payment of the tax specified in the certificate to a customs or immigration officer or the production of a certificate signed by the Commissioner General stating that the tax has been paid or secured is sufficient authority for allowing the taxpayer to leave Uganda.

34. Recovery of tax through persons owing money to the taxpayer

- (1) This section applies where a person is, or will become liable to pay tax and—
 - (a) the tax is unpaid; or
 - (b) the Commissioner General has reasonable grounds to believe that the taxpayer will not pay the tax by the due date for payment.
- (2) Where this section applies to a taxpayer, the Commissioner General may, by notice in writing, require a person who—
 - (a) owes or may subsequently owe money to the taxpayer;
 - (b) holds or may subsequently hold money, for or on account of, the taxpayer;

- (c) holds money on account of some other person for payment to the taxpayer; or
 - (d) has authority from some other person to pay money to the taxpayer,
to pay the amount specified in the notice to the Commissioner General, being an amount that shall not exceed the amount of the unpaid tax or the amount that the Commissioner General believes will not be paid by the taxpayer by the due date.
- (3) A person to whom a notice is served under subsection (2) shall pay the amount specified in the notice by the date specified in the notice, being a date that is not before the date that the amount owed by the payer to the taxpayer becomes due to the taxpayer or held on behalf of the taxpayer.
- (4) If the notice served under subsection (2) requires a person to deduct amounts from salary, wages, or other similar remuneration payable at fixed intervals to the taxpayer, the amount required to be deducted by the person from each payment shall not exceed twenty percent of the amount of each payment of the pension, salary, wages, or other remuneration.
- (5) Where a person served with a notice under subsection (2) is unable to comply with the notice by reason of lack of money owing to, or held for the taxpayer, the person shall, as soon as is practicable and in any case before the payment date specified in the notice, notify the Commissioner General accordingly.
- (6) If a notice is served on the Commissioner General under subsection (5), the Commissioner General shall, by notice in writing—
- (a) accept the notification and cancel or amend the notice issued under subsection (2); or
 - (b) reject the notification.
- (7) The Commissioner General shall, by notice in writing to a person under this section, revoke or amend a notice served under subsection (2) if the taxpayer has paid the whole or part of the tax payable or has made an arrangement satisfactory to the Commissioner General for payment of the tax.
- (8) A copy of a notice served on a person under this section shall also be served on the taxpayer.
- (9) A person making a payment in accordance with a notice under subsection (2) is treated as acting under the authority of the taxpayer and of all other persons concerned and is indemnified in respect of the payment despite any provisions to the contrary in any written law,

contract, or agreement.

- (10) The Commissioner General must credit any amount paid by a person under this section against the tax owing by the taxpayer.
- (11) A person who does not comply with a notice issued under this section is personally liable for the amount specified in the notice which shall be treated and collected as unpaid tax under this Act.

35. Distress proceedings

- (1) The Commissioner General or an officer authorised by the Commissioner General in writing may issue an order, in writing, for the recovery of unpaid tax by distress and sale of the movable property of a taxpayer.
- (2) An order issued under subsection (1) shall specify—
 - (a) the taxpayer against whose property the order is issued;
 - (b) the amount of the unpaid tax liability;
 - (c) the property against which distress is to be executed and the location of the property; and
 - (d) the tax liability to which the order relates.
- (3) For the purposes of executing distress under subsection (1), the Commissioner General or an officer authorised by the Commissioner General may—
 - (a) at any time, enter any premises described in the order for distress proceedings; and
 - (b) require a police officer to be present while the distress is being executed.
- (4) Any property subject to distress proceedings under this section shall be—
 - (a) identified by the attaching of a notice stating—

“PROPERTY IMPOUNDED FOR NOT COMPLYING WITH TAX OBLIGATIONS BY ORDER OF THE COMMISSIONER GENERAL OF THE UGANDAN REVENUE AUTHORITY UNDER SECTION 37 OF THE TAX PROCEDURES CODE ACT”; and
 - (b) kept at the premises where the distress is executed or at any other place that the Commissioner General or authorised officer may consider appropriate, at the cost of the taxpayer.
- (5) If the taxpayer does not pay the tax due and specified in the order under

subsection (1), together with the costs of the distress—

(a) in the case of perishable goods, within a period that the Commissioner General or authorised officer considers reasonable having regard to the condition of the goods; or

(b) in any other case, within ten days after the distress is executed,

the property subject to the distress proceedings may be disposed of by sale by public auction or in such other manner as the Commissioner General or authorised officer may direct.

(6) The proceeds of a disposal under subsection (5) shall be applied by the Commissioner General in the following order—

(a) towards the cost of taking, keeping, and selling the property subject to distress proceedings;

(b) towards the payment of any tax, penalty, or interest owing by the taxpayer; and

(c) the remainder of the proceeds, if any, are to be paid to the taxpayer.

(7) Where the proceeds of disposal are less than the sum of the costs of the distress and the tax payable, the Commissioner General or authorised officer may recover the shortfall in accordance with this Part.

36. Temporary closure of business.

(1) The Commissioner General or an officer authorised in writing by the Commissioner General for the purposes of this section may notify a person in writing of the intention to close down part or the whole of the person's business premises for default in paying a tax that is due and payable, or for failure to comply with the requirements of electronic receipting and invoicing or tax stamps within fifteen days from the date of the notice.⁸⁵³[within seven days from the date of the notice.]

(2) Where a taxpayer does not pay the tax due, or fails to comply with the requirements of electronic receipting and invoicing or tax stamps after service of a notice under subsection (1), the Commissioner General or authorised officer may issue an order to close down part or the whole of the business premises of the taxpayer for a period not exceeding fifteen [fourteen] days.⁸⁵⁴

(3) The Commissioner General or authorised officer may, at any time, enter any premises described in an order issued under subsection (2) for the purposes of executing the order and may require a police officer to be present while the order is being executed.

⁸⁵³ Inserted by TPC (Am) Act, 2022

⁸⁵⁴ Inserted by TPC (Am) Act, 2022

- (4) The Commissioner General or an authorised officer shall affix in a conspicuous place at any entrance to the premises that have been closed in accordance with an order issued under subsection (2), a notice in the following words—

“TEMPORARILY CLOSED FOR FAILURE TO COMPLY WITH A
TAXOBLIGATION”

- (5) If the taxpayer complies with the tax obligations under subsection (1) during the period of closure, the Commissioner General shall immediately remove the notice referred to in subsection (4).

[If the tax due is satisfied during the period of closure, the Commissioner General shall immediately remove the notice referred to in subsection (4).]⁸⁵⁵

37. Charge over immovable property.

- (1) If a taxpayer who is the owner of land or a building in Uganda does not pay tax by the due date, the Commissioner General may, by notice in writing, to the Registrar of Titles, direct the Registrar of Titles that the land or building in the notice is the subject of a security for unpaid tax.
- (2) The Commissioner General shall serve a copy of the notice on the taxpayer.
- (3) Upon receipt of the notice under subsection (1), the Registrar of Titles shall, without fee, register the directive as if it were an instrument of mortgage or charge on the land or building and that registration, subject to any prior mortgage or charge, operates in all respects as a legal mortgage or charge on that land or building to secure the amount of the unpaid tax.
- (4) Where a taxpayer does not pay the tax due within twelve months after receiving the copy of the notice under subsection (2) the Commissioner General may commence distress proceedings against the land or building of the taxpayer.
- (5) Upon receipt of the full amount of tax secured under this section, the Commissioner General shall notify the Registrar to cancel the entry made under subsection (3) and the Registrar shall, without fee, cancel the entry.
- (6) This section does not preclude the Commissioner General from registering a caveat on the land or building as an interim measure to stop the transfer of the land or building.

38. Seizure of goods.

⁸⁵⁵ Substituted by TPC (Am) Act, 2022

- (1) The Commissioner General or a tax officer authorised in writing by the Commissioner General may seize any goods in respect of which there are reasonable grounds to believe that the tax payable in respect of the supply, removal or import of the goods has not been paid.
- (2) Goods seized under subsection (1) shall be stored in a place approved by the Commissioner General or authorised officer for the storage of seized goods.
- (3) Upon seizing the goods, the person seizing the goods shall obtain a written statement from the owner or the person who has custody or control of the goods at the time of the seizure, specifying the quantity and quality of the goods.
- (4) Subject to subsection (5), where goods are seized under this section, the Commissioner General or authorised officer shall, within ten days after the seizure, serve on the owner of the goods or the person who has custody or control of the goods immediately before the seizure, a notice—
 - (a) identifying the goods;
 - (b) stating that the goods have been seized under this section and the reason for the seizure; and
 - (c) setting out the terms for the release or disposal of the goods.
- (5) Where after making reasonable enquiries, the Commissioner General does not have sufficient information to identify the person on whom a notice under subsection (4) should be served, the Commissioner General or authorised officer may serve the notice on a person claiming the goods, but that person must give sufficient information to enable the notice to be served.
- (6) The Commissioner General or authorised officer may authorise the release of any goods seized under subsection (1) to the person on whom a notice under subsection (4) has been served where that person has paid, or gives security for the payment of the tax assessed as payable or the tax that will become payable in respect of the supply, removal, or import of the goods.
- (7) If the proceeds of disposal are less than the sum of the costs of the seizure and the tax payable, the Commissioner General or authorised officer may recover the shortfall in accordance with this Part.
- (8) Subject to subsection (6), the Commissioner General shall retain the goods seized under subsection (1)—
 - (a) in the case of perishable goods, for a period that the Commissioner General or authorised officer considers reasonable having regard to the condition of the goods; or
 - (b) in any other case, until the later of—

- (i) ten days after the seizure of the goods; or
 - (ii) ten days after the date on which payment of the tax is due in respect of the supply, or import of the goods.
- 9. Upon expiry of the period specified in subsection (8), the Commissioner General or an authorized officer may sell the goods in the manner specified in section 35(5) and apply the proceeds of sale as set out in section 35(6).

39. Security for unpaid tax

The Commissioner General may require a taxpayer, by notice in writing, to give security by bond, deposit, or otherwise satisfactory to the Commissioner General, for the payment of tax that may become payable, if there is reason to believe that—

- (a) a taxpayer establishing a business in Uganda intends to carry on the business for a limited time only; or
- (b) a taxpayer may not pay tax when it becomes payable.

40. Priority of withholding tax and VAT.

- (1) The following amounts are held in trust for the Government by the person receiving or withholding the amount—
 - (a) if the person is a taxable person under the Value Added Tax Act, the VAT on taxable supplies made by the person, net of any input tax credit allowed; and
 - (b) withholding tax.
- (2) Notwithstanding any other enactment, withholding tax withheld or deducted by a person—
 - (a) shall not be subject to attachment in respect of any debt or liability of the person;
 - (b) is a first charge on the payment or amount from which the tax is withheld or deducted; and
 - (c) shall be withheld or deducted prior to any other deduction that the person may be required to make from the payment or amount under an order of any court or any other law.
- (3) Where the Commissioner General is satisfied that tax has been overpaid, the Commissioner General shall—
 - (a) apply the excess in reduction of any other tax due from the taxpayer;
 - (b) apply the balance of the excess, if any, in reduction of any outstanding liability of the taxpayer to pay other taxes not in dispute or to make provisional tax payments during the year of income in which the refund is to be made; and

- (c) refund the remainder, if any, to the tax payer.

41. Order of payment.

When a taxpayer is liable for penal tax and interest in relation to a tax liability and the taxpayer makes a payment that is less than the total amount of tax, penal tax, and interest due, the amount paid is applied in the following order—

- (a) in payment of the principal tax [liability]⁸⁵⁶;
- (b) in payment of penal tax; and
- (c) the balance remaining is applied against the interest due.

[(2) If a taxpayer has more than one tax liability at the time a payment is made, subsection (1) applies to the earliest liability first.]⁸⁵⁷

Interest on late payments

42. Recovery of interest on unpaid tax.

- (1) The interest payable on unpaid tax under a tax law shall be collected by the Commissioner General in accordance with this Act as if it were unpaid tax.
- (2) The interest paid by a person under subsection (1) shall be refunded to the person to the extent that the principal amount to which the interest relates is found not to have been payable.
- (3) Interest payable by a person—
 - (a) in respect of withholding tax payable by the person; or
 - (b) in respect of an amount referred to in section 13(7) or 34 which is payable by the person,

is borne personally by the person and is not recoverable from any other person.

PART X—REMISSION OF TAX

43. Remission of tax.

- (1) Where the Commissioner General is of the opinion that the whole or any part of the tax payable under a tax law by a taxpayer cannot be effectively recovered by reason of hardship, impossibility, undue difficulty or the excessive cost of recovery, the Commissioner General may refer the taxpayer's case to the Minister.

⁸⁵⁶ Substituted by TPC (Am) Act, 2017

⁸⁵⁷ Repealed by TPC (Am) Act, 2021

- (2) Where a taxpayer's case is referred to the Minister under subsection (1) and the Minister is satisfied that the tax due cannot be effectively recovered, the Minister shall, [may] with the approval of Parliament, remit in whole or part, the tax payable by the taxpayer.⁸⁵⁸
- (3) For the purposes of this section “tax” includes interest and penal tax.⁸⁵⁹

44. Tax due and payable by Government⁸⁶⁰

- (1) The Minister shall pay any tax due and payable by Government, arising from a commitment made by Government to pay tax on behalf of a person or owing from Government as counterpart funding for aid-funded projects.
- (2) For the avoidance of doubt, customs duty shall be levied on goods for use by the Government.⁸⁶¹

45. Deferment of payment of tax⁸⁶²

- (1) A person registered as a taxpayer under section 3(1) of this Act and who was liable to pay tax on or after 1st April, 2020 and before 30th June, 2020 shall have his or her liability to pay the tax deferred until 31st December, 2020.
- (2) The deferral referred to under subsection (1) shall apply only to a person who is a registered taxpayer involved in the business of education, tourism, manufacturing, horticulture or floriculture.
- (3) A person registered as a taxpayer under section 3(1) of this Act and who was liable to withhold tax under section 126 of the Income Tax Act on or after 1st April, 2020 and before 30th June, 2020 shall have his or her liability to pay the tax withheld deferred until 31st December, 2020.
- (4) No interest or penalty shall accumulate on the outstanding amount of tax during the period referred to in subsections (1) and (3).

46. Waiver of interest and penalty⁸⁶³

Any interest and penalty outstanding as at 30th June, 2020, is waived.

47. Waiver of interest and penalty on payment of principal tax⁸⁶⁴

- (1) Any interest and penalty outstanding as at 30th June, 2023, shall be waived where the taxpayer pays the principal tax by 31st December,

⁸⁵⁸ Substituted by TPC (Am) Act, 2023

⁸⁵⁹ Inserted by ULRC in the Revised Laws of Uganda, 2023

⁸⁶⁰ Inserted by TPC (Am) Act, 2019

⁸⁶¹ Inserted by The Law Revision (Miscellaneous Amendments) Act, 2023

⁸⁶² Inserted by TPC (Am) Act, 2020 WEF 1/4/2020

⁸⁶³ Inserted by TPC (Am) Act, 2020 WEF 1/4/2020

⁸⁶⁴ Inserted by TPC (Am) Act, 2023

2023.

- (2) Where the taxpayer pays part of the principal tax outstanding as at 30th June, 2023 by the 31st December, 2023, the payment of interest and penalty shall be waived on a pro-rata basis.

47A. Waiver of interest and penalty on payment of principal tax⁸⁶⁵

- (a) Any interest and penalty outstanding as at 30th June, 2023, shall be waived where the taxpayer pays the principal tax by 31st December, 2024.
- (b) Where the taxpayer pays part of the principal tax outstanding as at 30th June, 2023 by the 31st December, 2024, the payment of interest and penalty shall be waived on a pro-rata basis.

47B. Waiver of interest and penalty on payment of principal tax⁸⁶⁶

- (1) Any interest and penalty outstanding as at 30th June, 2024, shall be waived where the taxpayer pays the principal tax by 30th June, 2026.
- (2) Where the taxpayer pays part of the principal tax outstanding as at 30th June, 2024 by 30th June, 2026, the payment of interest and penalty shall be waived on a pro-rata basis.
- (3) For the avoidance of doubt, subsections (1) and (2) shall apply to the interest that accrues on the principal tax from 1st July 2024 to the date the tax payer pays the principal tax.

PART XI—INVESTIGATIONS

48. Access to premises, records and data storage devices

- (1) For the purposes of administering any provision of a tax law, the Commissioner General—
 - (a) shall have at all times and without prior notice, full and free access to—
 - (i) any premises or place;
 - (ii) any record, including a record in electronic format; or
 - (iii) any data storage device;
 - (b) may make an extract or copy from any record, including a record in electronic format, of any information relevant to a tax obligation;
 - (c) may seize any record that, in the opinion of the Commissioner General, affords evidence which may be material in determining the

⁸⁶⁵ Inserted by TPC (Am) Act, 2024.

⁸⁶⁶ Inserted by TPC (Am) Act, 2025.

correct tax liability of any person;

- (d) may seize a data storage device that may contain data relevant to a tax obligation; and
 - (e) may retain any record or data storage device seized under this section for as long as it is required for determining the obligation and liability of the taxpayer, including any proceedings under this Act.
- (2) The Commissioner General may require a police officer to be present for the purposes of exercising powers under this section.
 - (3) The occupier of the premises or place in which an exercise of power under subsection (1) relates shall provide all reasonable assistance and facilities necessary for the effective exercise of the power including—
 - (a) answering questions relating to the investigation to which the exercise of power relates orally or in writing; or
 - (b) providing access to decryption information necessary to decrypt data to which access is sought under this section.
 - (4) A person whose records or data storage device have been seized and retained under this section may access and examine them, including making copies or extracts from them under supervision as the Commissioner General may determine.
 - (5) The Commissioner General shall sign for the records or data storage devices seized and retained under this section.
 - (6) Where any record or data storage device seized and retained under this section is lost or destroyed while in the possession of the Commissioner General, the Commissioner General shall appropriately compensate the owner for the loss or destruction.
 - (7) This section has effect despite—
 - (a) any law relating to privilege or the public interest with respect to access to premises or places, or the production of any property or record, including in electronic format; or
 - (b) any contractual duty of confidentiality.

49. Notice to obtain information or evidence

- (1) The Commissioner General may, for the purpose of administering any provision of a tax law, require any person, by notice in writing, whether or not liable for tax—
 - (a) to furnish, within the time specified in the notice, any information

that may be stated in the notice; or

- (b) to attend at the time and place designated in the notice for the purpose of being examined by the Commissioner General concerning the tax affairs of that person or any other person, and for that purpose the Commissioner General may require the person to produce any record, including an electronic format, in the control of the person.
- (2) If a notice under subsection (1) is not served on a person in accordance with section 90, the notice may be published in any widely circulated newspaper in Uganda and publication in such newspaper is treated as service for the purposes of this section.
 - (3) The Commissioner General may require the information referred to in subsection (1) to be—
 - (a) given on oath and, for that purpose, the Commissioner General may administer the oath; or
 - (b) verified by statutory declaration or otherwise.
 - (4) Where a taxpayer fails to provide the information requested under this section, the taxpayer shall not be allowed to provide that information at objection to a tax decision or during alternative dispute resolution procedure proceedings.⁸⁶⁷
 - (5) Subsection (4) shall not apply to the information requested for by the Commissioner General where the information is more than three years from the date the document was authored or beyond the past three financial years.
 - (6) This section has effect despite—
 - (a) any law relating to privilege or the public interest with respect to the giving of information or the production of any record, including in electronic format; or
 - (b) any contractual duty of confidentiality.
 - (7) Notwithstanding subsection (1), a person engaged in the construction or extractive industry shall disclose to the Commissioner General, the names of persons contracted in the course of performance of duties or business within seven days from the date of signing the contract⁸⁶⁸
 - (8) Any person engaged in the construction or extractive industry, who fails to comply with the provisions of subsection (7), is liable to pay a penalty of one thousand currency points.⁸⁶⁹

⁸⁶⁷ Subsections (4) &(5) inserted by TPC (Am) Act, 2023

⁸⁶⁸ Inserted by TPC (Am) Act, 2022

⁸⁶⁹ Inserted by TPC (Am) Act, 2022

PART XII—CERTIFICATES

[TAX CLEARANCE CERTIFICATES]⁸⁷⁰

50. Tax clearance certificate.

- (1) A tax payer providing a passenger transport service or a freight transport service with a goods vehicle with a capacity of two tonnes or more, shall if required by the Competent Authority, obtain a tax clearance certificate from the Commissioner General as proof of compliance with the taxpayer's obligations.
- (2) A tax payer providing ware housing or clearing and forwarding services shall obtain a tax clearance certificate from the Commissioner General as proof of compliance with the taxpayer's obligations.
- (3) A taxpayer supplying goods or services to the Government shall obtain a tax clearance certificate from the Commissioner General as proof of compliance with the taxpayer's tax obligations.
- (4) Any person who requires a tax clearance certificate shall apply to the Commissioner General for the certificate as proof of tax compliance.

51. Uganda Revenue Authority to issue certificates of origin⁸⁷¹

The Uganda Revenue Authority shall be responsible for issuing Certificates of Origin required under section 111(2) of the East African Community Customs Management Act, 2004

PART XIII—PRACTICE NOTES AND RULINGS*Practice Notes***52. Practice notes**

- (1) The Commissioner General may issue practice notes setting out the Commissioner General's understanding of the application of a provision in a tax law.
- (2) The Commissioner General shall issue a practice note by publishing a notice of the practice note in the *Gazette*.
- (3) A practice note issued under this Act is binding on the Commissioner General until it is revoked by the Commissioner General.
- (4) A practice note applies from the date specified in the notice and if no date is specified, from the date of publication in the *Gazette*.
- (5) The Commissioner General may revoke a practice note, in whole or part,

⁸⁷⁰ Substituted by the Law Revision (Miscellaneous Amendments) Act, 2023

⁸⁷¹ Inserted by the Law Revision (Miscellaneous Amendments) Act, 2023

by publishing a notice of the revocation in the *Gazette* or in any widely circulated newspaper.

- (6) A practice note that has been revoked in whole or in part shall—
- (a) continue to apply to a transaction commenced before the practice note is revoked; and
 - (b) not apply to a transaction commenced after the practice note is revoked to the extent that the practice note is revoked.

Private Rulings

53. Private rulings

- (1) Subject to subsection (2), the Commissioner General may, upon application in writing by a taxpayer, issue to the taxpayer a private ruling setting out the position of the Commissioner General regarding the application of a provision in a tax law to a transaction entered into or proposed to be entered into by the taxpayer.
- (2) The Commissioner General may reject an application for a private ruling where—
 - (a) the Commissioner General has already decided the matter that is the subject of the application in a tax assessment;
 - (b) the Commissioner General is of the opinion that an existing practice note adequately covers the matter that is the subject of the application;
 - (c) the application relates to a matter that is the subject of a tax audit or an objection;
 - (d) the application is frivolous or vexatious;
 - (e) the transaction to which the application relates has not been carried out and there are reasonable grounds to believe that it will not be carried out;
 - (f) the applicant has not provided the Commissioner General with sufficient information to make a private ruling; or
 - (g) in the opinion of the Commissioner General, it would be unreasonable to comply with the application having regard to the resources needed to comply.
- (3) Where a taxpayer has made a full and true disclosure of the nature of all aspects of the transaction relevant to the ruling and the transaction has proceeded in all material respects as described in the application of the taxpayer for the ruling, the ruling is binding on the Commissioner General in relation to the taxpayer to whom the ruling has been issued.
- (4) A private ruling is not binding on the taxpayer to whom it is issued.

- (5) Where a private ruling is inconsistent with an existing practice note, the private ruling has priority to the extent of the inconsistency.
- (6) Where the Commissioner General rejects an application for a private ruling, the Commissioner General shall notify the taxpayer in writing.
- (7) A private ruling is issued by serving a written notice of the ruling on the applicant and the ruling shall set out the matter ruled on, identifying—
 - (a) the taxpayer;
 - (b) the tax law relevant to the ruling;
 - (c) the tax period to which the ruling applies;
 - (d) the transaction to which the ruling relates; and
 - (e) any assumptions on which the ruling is based.
- (8) The Commissioner General may revoke a private ruling in whole or in part by written notice served on the taxpayer to whom the ruling is issued.
- (9) A private ruling is not a tax decision for the purposes of this Act.

PART XIV—TAX OFFICERS

54. Delegation

- (1) Subject to this Act, the Commissioner General may, by written instrument, delegate to a tax officer, an accounting officer of a local government or Kampala Capital City Authority any duty, power, or function conferred or imposed on the Commissioner General under a tax law, other than the power to compound offences under section 84 and the power to delegate conferred by this section.
- (2) A reference in a tax law to the Commissioner General includes, in respect of the exercise of a power or performance of a function delegated to a tax officer, a reference to the tax officer.
- (3) A delegation under this section is revocable at will and does not prevent the exercise of a power or performance of a function by the Commissioner General.

55. Confidentiality

- (1) A tax officer shall regard as secret and confidential all information and documents received in performance of duties as a tax officer.
- (2) A person appointed under, or employed in carrying out the provisions of a tax law shall not disclose any information or produce any document

which has come into the person's possession or knowledge in connection with the performance of duties under a tax law except as may be necessary for the purpose of giving effect to the provisions of a tax law.

- (3) Nothing in this section prevents the disclosure of information or any document to—
- (a) a court or the Tribunal where the disclosure is required for the purposes of a tax law;
 - (b) the Minister or any other person if the disclosure is necessary for the purposes of a tax law;
 - (c) a person in the service of the Government in a revenue or statistical department if such disclosure is necessary for the performance of the person's official duties;
 - (d) the Auditor General or any person authorised by the Auditor General if disclosure is necessary for the performance of official duties; or
 - (e) the competent authority of the government of another country with which Uganda has entered into an agreement for the avoidance of double taxation or for the exchange of information, to the extent permitted under that agreement.
- (4) A person receiving documents and information under subsection (2) or (3) is required to keep them secret under the provisions of this section, except to the minimum extent necessary to achieve the purpose for which the disclosure is necessary.
- (5) Documents and information obtained by the Commissioner General in the performance of the duties and exercise of powers of the Commissioner General under a tax law may be used by the Commissioner General for the purposes of any other tax law.
- (6) This section shall continue to apply to a former tax officer or person formerly appointed or employed under a tax law as it applies to a tax officer.

PART XIV—PENAL TAX

56. Penal tax for default in furnishing a Tax Return

Any person who fails to furnish a tax return by the due date, or within a further time allowed by the Commissioner General under this Act is liable to pay a penal tax equal to two percent of the tax payable under the return before subtracting any credit allowed to the tax payer on his or her tax return or ten currency points⁸⁷² per month, whichever is higher, for the period the return is outstanding.

⁸⁷² 10 currency points = shs. 200,000

57. Penal tax for failing to maintain proper records

Any person who deliberately fails to maintain proper records as required under a tax law for a tax period is liable to pay a penal tax equal to double the amount of tax payable by the person for the period to which the failure relates.

58. Penal tax for failure to provide information⁸⁷³

- (1) Any person who, upon request by the Commissioner General, fails to provide records in respect of transfer pricing within thirty days after the request, is liable to a penal tax equivalent to two thousand five hundred currency points⁸⁷⁴[fifty million shillings].
- (2) Any person who fails to provide information other than information referred to in subsection (1), to the Commissioner General upon request is liable to a penal tax of one thousand currency points⁸⁷⁵ [twenty million shillings].

59. Penal tax for making false or misleading statements

Where a person knowingly or recklessly—

- (a) makes a statement to an officer of the Authority that is false or misleading in a material particular; or
- (b) omits from a statement made to an officer of the Authority any matter or thing without which the statement is misleading in a material particular, and the tax properly payable by the person exceeds the tax that was assessed as payable based on the false or misleading statement or omission,

that person is liable to pay a penal tax equal to double the amount of the excess.

60. Penal tax for understating provisional tax estimates

- (1) A provisional taxpayer, whose estimate or revised estimate of chargeable income for a year of income is less than ninety percent of the taxpayer's actual chargeable income assessed for that year, is liable to penal tax equal to twenty percent of the difference between the tax calculated in respect of the taxpayer's estimate, or as revised, of chargeable income and the tax calculated in respect of ninety percent of the taxpayer's actual chargeable income for the year of income.
- (2) A provisional taxpayer whose estimate or revised estimate of gross turnover for a year of income is less than ninety percent of the taxpayer's

⁸⁷³ Inserted by TPC (Am) Act, 2017

⁸⁷⁴ Modified by the Law Revision (Miscellaneous Amendments) Act, 2023

⁸⁷⁵ Modified by the Law Revision (Miscellaneous Amendments) Act, 2023

actual gross turnover for that year is liable to penal tax equal to twenty percent of the difference between the tax calculated in respect of the taxpayer's estimate, or as revised, of gross turnover and the tax calculated in respect of ninety percent of the taxpayer's actual gross turnover for the year of income.

- (3) This section does not apply to a taxpayer who is in the business of agricultural, plantation, or horticultural farming.

61. Penalty for failing to apply for registration

- (1) Any person who does not apply for registration as required under a tax law is liable to a default penalty equal to the higher of—
- (a) double the amount of tax payable during the period commencing on the last day of the application period until the person files an application for registration with the Commissioner General or until the Commissioner General registers the person on the Commissioner's own motion; or
 - (b) fifty currency points.⁸⁷⁶
- (2) The penalty imposed under this section shall be recovered and collected by the Commissioner as if it were unpaid tax.

62. Recovery of penal tax

- (1) Liability for penal tax is calculated separately in respect of each section dealing with penal tax.
- (2) A person is liable for penal tax if the Commissioner General serves notice on the person of a demand for the penal tax setting out the amount of penal tax payable and the due date for payment being a date that is not less than twenty-eight days from the date of service of the notice.
- (3) Penal tax shall not be imposed on a person for an act or omission if the person has been convicted of an offence for the same act or omission.
- (4) Where penal tax has been paid and criminal proceedings are instituted in respect of the same act or omission, the Commissioner General shall refund the amount of penal tax paid.
- (5) Where good cause is shown, in writing, by the person liable to pay penal tax, the Minister may, on the advice of the Commissioner General, remit in whole or part, any penal tax payable.
- (6) Penal tax is treated as unpaid tax for the purposes of this Act and shall be recovered and collected as unpaid tax.

⁸⁷⁶ 50 currency points = shs. 1,000,000

PART XVI—OFFENCES**63. Failing to furnish a tax return.**

- (1) Any person who does not furnish a tax return by the due date, or within such further time as the Commissioner may allow, commits an offence and is liable, on conviction, to a fine not exceeding fifty [twenty-five]⁸⁷⁷ currency points.
- (2) Where a person convicted of an offence under subsection (1) fails to furnish the return to which the offence relates within the period specified by the court, the person commits another offence and is liable, on conviction, to a fine not exceeding one hundred [fifty]⁸⁷⁸ currency points.

64. Failure to comply with obligations under Act

- (1) Any person who does not—
 - (a) comply with a notice served on the person under section 34;
 - (b) comply with a notice served on the person under section 18(2);
 - (c) provide reasonable facilities and assistance as required under section 48;
 - (d) comply with a notice served on the person under section 49;
 - (e) get a tax clearance certificate prior to performing an act specified in section 50; or
 - (f) comply with sections 10, 12, 55 or 90,commits an offence and is liable, on conviction, to a fine not exceeding one hundred [twenty-five]⁸⁷⁹ currency points.
- (2) A person who notifies the Commissioner General in writing under section 34(5) is considered to be in compliance with any notice served on the person under section 34(2) until the Commissioner General serves the person with a notice under section 34(6) amending the notice served under section 34(2) or rejecting the person's notice under section 34(5).

65. Failure to maintain proper records

A taxpayer who knowingly or recklessly does not maintain records as required under a tax law commits an offence and is liable, on conviction, to a fine not exceeding one hundred [forty-eight] currency points or to imprisonment for a term not exceeding six [two] years, or both.⁸⁸⁰

66. Use of false TIN

⁸⁷⁷ Substituted by TPC (Am) Act, 2021

⁸⁷⁸ Substituted by TPC (Am) Act, 2021

⁸⁷⁹ Substituted by TPC (Am) Act, 2021

⁸⁸⁰ Substituted by TPC (Am) Act, 2021

- (1) Any person who knowingly or recklessly uses a false TIN on a tax return or other document prescribed or used for the purposes of a tax law commits an offence and is liable, on conviction, to a fine not exceeding one hundred and fifty [twenty-four] currency points or to imprisonment for a term not exceeding six [one year] years, or both.⁸⁸¹
- (2) A person who uses a TIN of another person is treated as having used a false TIN, unless the TIN has been used in the circumstances specified in section 4(6).

67. Making false or misleading statements

- (1) Any person who knowingly or recklessly—
 - (a) makes a statement to a tax officer that is false or misleading in a material particular; or
 - (b) omits from a statement made to a tax officer any matter or thing without which the statement is false or misleading in a material particular,

commits an offence and is liable, on conviction, to a fine not exceeding five thousand five hundred⁸⁸² [two hundred] [forty-eight] currency points or to imprisonment for a term not exceeding ten [two] years, or both.⁸⁸³

- (2) Section 59 applies in determining whether a person has made a statement to a tax officer.

68. Obstructing a tax officer

Any person who obstructs a tax officer in the performance of duties under a tax law commits an offence and is liable, on conviction, to a fine not exceeding two hundred and fifty [forty-eight] currency points or to imprisonment for a term not exceeding ten [two] years or, both.⁸⁸⁴

69. Aiding and abetting a tax offence

- (1) Any person who aids, abets, counsels, or induces another person to commit an offence under a tax law, commits an offence and is liable, on conviction for the same punishment as imposed for the principal offender.
- (2) Where the offender under subsection (1) is a tax agent, the tax agent shall be liable to a fine equal to double the tax evaded or not exceeding two hundred fifty currency points whichever is higher, or to

⁸⁸¹ Substituted by TPC (Am) Act, 2021

⁸⁸² Substituted by TPC (Am) Act, 2022

⁸⁸³ Substituted by TPC (Am) Act, 2021

⁸⁸⁴ Substituted by TPC (Am) Act, 2021

imprisonment for a term not exceeding five years, or both.⁸⁸⁵

70. Offences relating to recovery of tax

Any person who—

- (a) rescues any goods that are the subject of an order under section 35 that are in premises which are the subject of an order under section 36, or that have been seized under section 38;
- (b) before, during, or after any distress proceedings under section 35 or seizure of goods under section 38, staves, breaks or destroys any goods, or documents relating to any goods, to prevent—
 - (i) the seizure or the securing of the goods; or
 - (ii) the proof of an offence; or
- (c) enters premises which are the subject of an order under section 36 without the permission of the Commissioner General,

commits an offence and is liable, on conviction, to a fine not exceeding two hundred fifty [forty-eight] currency points or to imprisonment for a term not exceeding ten [two] years or, both.⁸⁸⁶

71. Offences relating to registration

Any person who—

- (a) does not apply for registration as required under a tax law;
- (b) does not notify the Commissioner General of a change in registration particulars or circumstances as required under a tax law; or
- (c) does not apply for cancellation of registration as required under a tax law,

commits an offence and is liable, on conviction, —

- (i) if the failure or act is done knowingly or recklessly, to a fine not exceeding one hundred fifty [fifty] currency points or imprisonment for a term not exceeding six [two] years, or both; or
- (ii) in any other case, a fine not exceeding fifty [twenty-five] currency points or to imprisonment for a term not exceeding two [one year] years, or both.⁸⁸⁷

72. Offence relating to acting as a tax agent without registration

⁸⁸⁵ Inserted by TPC (Am) Act, 2021

⁸⁸⁶ Substituted by TPC (Am) Act, 2021

⁸⁸⁷ Substituted by TPC (Am) Act, 2021

Any person who is not registered as a tax agent who acts as a tax agent commits an offence and is liable, on conviction, to fine not exceeding twenty-four currency points or to imprisonment for a term not exceeding one year, or both.⁸⁸⁸

73. Failure to affix or activate tax stamps

A taxpayer who fails to affix tax stamps on goods prescribed under section 20(3) or to activate tax stamps commits an offence and is liable, on conviction, to a fine not exceeding one thousand five hundred currency points or to imprisonment for a term not exceeding ten years, or both.⁸⁸⁹

74. Printing over or defacing of tax stamps

Any person who prints over or defaces tax stamps affixed on goods prescribed under section 20 (3) commits an offence and is liable, on conviction, to a fine not exceeding one thousand five hundred currency points or to imprisonment for a term not exceeding ten years, or both.⁸⁹⁰

75. Forgery of tax stamps

Any person who forges or is found in possession of a forged tax stamp commits an offence and is liable, on conviction, to a fine not exceeding one thousand five hundred currency points or to imprisonment for a term not exceeding ten years, or both.⁸⁹¹

76. Failure to use electronic receipting or invoicing

A taxpayer specified under section 92(2) who does not issue an electronic invoice, an electronic receipt or employ an electronic fiscal device in accordance with section 92, commits an offence and is liable, on conviction, to a fine not exceeding one thousand five hundred currency points or to imprisonment for a term not exceeding ten years, or both.⁸⁹²

77. Forgery of electronic receipt or invoice

Any person who forges or is found in possession of a forged electronic receipt or invoice commits an offence and is liable, on conviction, to a fine not exceeding one thousand five hundred currency points or imprisonment for a term not exceeding ten years, or both.⁸⁹³

78. Interference with the electronic fiscal device or electronic dispensing control device

⁸⁸⁸ Inserted by TPC (Am) Act, 2021

⁸⁸⁹ Inserted by TPC (Am) Act, 2022

⁸⁹⁰ Inserted by TPC (Am) Act, 2022

⁸⁹¹ Inserted by TPC (Am) Act, 2022

⁸⁹² Inserted by TPC (Am) Act, 2022

⁸⁹³ Inserted by TPC (Am) Act, 2022

Any person who makes unauthorised interference with the software or hardware of an electronic fiscal device or electronic dispensing control device commits an offence and is liable, on conviction, to a fine not exceeding one thousand five hundred currency points or to imprisonment for a term not exceeding ten years, or both.⁸⁹⁴

79. Offences relating to automatic exchange of information

Any person who contrary to the regulations made under section 88 (5) of the Income Tax Act-⁸⁹⁵

- (a) fails to file an information return for purposes of automatic exchange of information commits an offence and is liable, on conviction, to a fine not exceeding two thousand five hundred currency points for each day of default or to imprisonment for a term not exceeding ten years, or both;
- (b) fails to maintain records for purposes of automatic exchange of information commits an offence and is liable, on conviction, to a fine not exceeding two thousand five hundred currency points for each day of default or to imprisonment for a term not exceeding ten years, or both;
- (c) makes a false or misleading statement in the information return commits an offence and is liable, on conviction, to a fine not exceeding two thousand five hundred currency points for each day of default or to imprisonment for a term not exceeding ten years, or both; or
- (d) omits from a statement made in the information return commits an offence and is liable, on conviction, to a fine not exceeding two thousand five hundred currency points for each day of default or to imprisonment for a term not exceeding ten years, or both.

80. Fixing tax stamp on wrong goods, brand or volume

A taxpayer who fixes and activates a tax stamp on a wrong good, brand or volume other than a good, brand or volume for that tax stamp commits an offence and is liable, on conviction, to a fine not exceeding five thousand currency points or to imprisonment for a term not exceeding ten years or both.⁸⁹⁶

81. Offences in relation to tax officers

(1) A tax officer who—

- (a) directly or indirectly asks for, or takes in connection with any of the tax officer's duties, a payment or reward, whether pecuniary or otherwise, or a promise or security for any payment or reward, not

⁸⁹⁴ Inserted by TPC (Am) Act, 2022

⁸⁹⁵ Inserted by TPC (Am) Act, 2022

⁸⁹⁶ Inserted by TPC (Am) Act, 2023

being a payment or reward which the officer is lawfully entitled to receive; or

- (b) enters into or acquiesces in any agreement to do any act or thing, abstain from doing any act or thing, permit or connive in the doing of any act or thing, or conceal any act or thing whereby the tax revenue is or may be defrauded or which is contrary to the provisions of a tax law or to the proper execution of the officer's duty,

commits an offence and is liable, on conviction, to a fine not exceeding one hundred fifty [forty-eight] currency points or to imprisonment for a term not exceeding six [two] years, or both.⁸⁹⁷

(2) Any person who—

- (a) directly or indirectly offers or gives to a tax officer any payment or reward, whether pecuniary or otherwise, or any promise or security for any such payment or reward, not being a payment or reward which the officer is lawfully entitled to receive; or
- (b) proposes or enters into any agreement with a tax officer in order to induce the officer to do any act or thing, abstain from doing any act or thing, connive at the doing of any act or thing, or concealing any act or thing by which tax revenue is or may be defrauded or which is contrary to the provisions of a tax law or to the proper execution of the officer's duty,

commits an offence and is liable, on conviction, to a fine not exceeding one hundred and fifty [forty-eight] currency points or to imprisonment for a term not exceeding six [two] years, or both.⁸⁹⁸

(3) A tax officer who commits an act specified in subsection (1) and who volunteers information to the Commissioner General relating to that act is—

- (a) exonerated from prosecution; but
- (b) is liable for twenty percent of the fine that would be imposed on a person convicted of an offence under subsection (1).

(4) Any person who commits an act specified in subsection (2), and who volunteers information to the Commissioner General relating to that act is—

- (a) exonerated from prosecution; but
- (b) is liable for the amount of tax unpaid as a result of the agreement with the tax officer referred to subsection (2).

⁸⁹⁷ Substituted by TPC (Am) Act, 2021

⁸⁹⁸ Substituted by TPC (Am) Act, 2021

- (5) A tax officer convicted of an offence under subsection (1) is, in addition to any punishment imposed under that subsection, liable for the amount of tax unpaid as a result of the agreement with the tax officer referred to subsection (2).
- (6) Any person who impersonates a tax officer commits an offence and is liable, on conviction, to a fine not exceeding one hundred [fifty] currency points or to imprisonment for a term not exceeding six [two] years or

82. Offences by bodies of persons

- (1) When an offence under a tax law is committed by a company, the offence is treated as having been committed by a person who, at the time the offence is committed, is—
 - (a) the chief executive officer, managing director, a director, company secretary, treasurer, or other similar officer of the company; or
 - (b) acting or purporting to act in the capacity referred to in paragraph (a).
- (2) Where an offence under a tax law is committed by a partnership, every partner at the time of the commission of the offence is treated as having committed the offence.
- (3) When an offence under a tax law is committed by an unincorporated association or body of persons, the offence is treated as having been committed by a person who, at the time the offence was committed, was—
 - (a) involved in the management of the unincorporated association or body of persons; or
 - (b) acting or purporting to act in the capacity referred in paragraph (a).
- (4) This section does not apply to a person if—
 - (a) the offence is committed without the consent or knowledge of a person specified under subsection (1), (2), or (3); or
 - (b) the person specified under subsection (1), (2), or (3) exercised all diligence to prevent the commission of the offence as ought to have been exercised having regard to the nature of the representative's functions and all other circumstances.

83. Tax officer may appear on behalf of Commissioner General

- (1) Notwithstanding anything in any written law, a tax officer duly authorised in writing by the Commissioner General may appear in any court on behalf of the Commissioner General in any civil proceedings in which the Commissioner General is a party.

- (2) Notwithstanding anything in any written law, a tax officer duly authorised in writing by the Commissioner General may conduct any prosecution for an offence under this Act and for that purpose, the officer has all the powers of a public prosecutor appointed under section 42 of the Magistrates Courts' Act subject to the powers of Director of Public Prosecutions under article 120 of the Constitution.

84. Compounding of offences

- (1) If a person has committed an offence under a tax law, other than under section 81, the Commissioner General may, at any time prior to the commencement of court proceedings, enter into an agreement with the offender to compound the offence if the offender agrees to pay to the Commissioner General—
- (a) any unpaid tax; and
 - (b) an amount not exceeding the maximum fine imposed by the tax law for the offence.
- (2) Where a person has committed an offence under a tax law, other than under section 81 of this Act and that person voluntarily discloses the commission of the offence to the Commissioner General, at any time prior to the commencement of court proceedings, the Commissioner General may enter into an agreement with the offender to compound the offence if the offender agrees to pay to the Commissioner General the outstanding unpaid tax and that person shall not be required to pay any interest or fine due⁸⁹⁹.
- (3) The Commissioner General may compound an offence under this section only if the offender admits, in writing, to committing the offence and requests the Commissioner General to enter into a compounding agreement in relation to the offence.
- (4) If the Commissioner General compounds an offence under this section, the compounding agreement in relation to the offence—
- (a) shall specify the name of the offender, the offence committed, the sum of money to be paid, and the date for payment;
 - (b) shall have attached a copy of the written admission referred to in subsection (3);
 - (c) shall be served on the offender;
 - (d) is not subject to any appeal;
 - (e) may be enforced in the same manner as a decree of any court for the payment of the amount stated in the order; and
 - (f) on production to any court, is treated as proof of the conviction of the offender for the offence specified.

⁸⁹⁹ Inserted by TPC (Am) Act, 2019

- (5) Where the Commissioner General compounds an offence under this section, the offender is not liable for prosecution or penal tax in respect of the same act or omission that was the subject of the compounded offence.

85. Tax charged to be paid despite prosecution

The amount of any tax due and payable under a tax law by a taxpayer is not abated by reason only of the conviction or punishment of the taxpayer for an offence under any tax law, or for the compounding of such offence under section 84.

PART XVII—MISCELLANEOUS

86. Validity of tax decision

The validity of a tax decision, a notice of a tax decision, or any other document purporting to be made or executed under a tax law is not—

- (a) affected by reason that any of the provisions of the tax law under which it is made have not been complied with;
- (b) quashed or deemed to be void or voidable for want of form; or
- (c) affected by reason of any mistake, defect, omission or commission in it.

87. Rectification of a mistake

Where the Commissioner General is satisfied that an order or decision made, or a document or notice issued contains an error which is apparent from the record and that the error does not involve a dispute as to the interpretation of the law or facts of the case, the Commissioner General may, for the purpose of rectifying the error, amend the order, decision, document or notice at any time before the expiry of three years from the date of making or issuing the order, decision, document or notice.

88. Forms, notices, and authentication of documents

- (1) Subject to section 55, a form, notice, tax return, statement, table, or any other document required or published by the Commissioner General for the purposes of a tax law shall be in the form determined by the Commissioner General.
- (2) The Commissioner General shall make any document referred to in subsection (1) available to the public at the offices of the Authority and at other locations, or by mail or other means, determined by the Commissioner General.
- (3) A notice or other document issued, served, or given by the Commissioner General under a tax law is sufficiently authenticated if the name or title of the Commissioner General, or an authorised tax officer, is printed,

stamped, or written on the document.

89. Approved or prescribed form

- (1) A tax return, notice, or other document required to be furnished or lodged under a tax law is in the approved or prescribed form if—
 - (a) it is in the form prescribed by the Commissioner General for that type of tax return, notice, or document;
 - (b) it contains the information, including any attached documents required; and
 - (c) is signed as required by the form.
- (2) The Commissioner General shall publish the prescribed forms in the *Gazette* and a newspaper with wide circulation.

90. Manner of furnishing documents or service of notices

- (1) Except as provided in this section, a tax return, application, notice, or other document required to be furnished by a taxpayer under a tax law shall be furnished by—
 - (a) personally delivering the document to an office of the Authority; or
 - (b) registered post to an office of the Authority,

and is treated as received by the Commissioner General when acknowledged by stamping or other prescribed method, electronic or otherwise.

- (2) Except as otherwise provided in a tax law, a notice or other document required to be served by the Commissioner General on a person for the purposes of a tax law is treated as sufficiently served on the person if—
 - (a) personally served on the person;
 - (b) left at the person's registered office, place of business, or last known address as stated in any communication with the Commissioner General;
 - (c) sent by registered post to the person's registered office, place of business, or last known address as stated in any communication with the Commissioner General; or
 - (d) an electronic data message is transmitted to the person's known or registered electronic account.
- (3) Where a notice or other document is served by registered post, the notice or document is, in the absence of any proof to the contrary, treated as having been sufficiently served on the fourteenth day after the date of postage and, in proving service, it is sufficient to prove that the envelope containing the notice or other document was properly addressed and was

posted.

91. Electronic returns and notices

- (1) The Commissioner General may establish and operate a procedure to be known as the electronic notice system, for the electronic furnishing of tax returns or other documents to the Commissioner General and the electronic service of notices and other documents by the Commissioner General.
- (2) For the purposes of subsection (1), the Commissioner General may prescribe conditions for —
 - (a) the registration of taxpayers to participate in the electronic notice system;
 - (b) the issuing and cancellation of authentication codes to registered users;
 - (c) the tax returns and other documents that may be transmitted through the electronic notice system, including the format and manner in which they are to be transmitted;
 - (d) the correction of errors in or amendments to electronic returns or other documents;
 - (e) the use of the electronic notice system, including the procedure applicable if there is a breakdown or interruption in the system;
 - (f) the use in any electronic transmission; of symbols, codes, abbreviations, or other notations to represent any particulars or information required under a tax law; and
 - (g) any other matter for the proper functioning of the electronic notice system.
- (3) Where a tax return or other document of a registered user has been transmitted to the Commissioner General through the electronic system using the authentication code assigned to a registered user—
 - (a) with or without the authority of the registered user; and
 - (b) before the registered user applies to the Commissioner General for cancellation of the authentication code,the return or other document is, for the purposes of the tax law under which it has been furnished, presumed to be furnished by the registered user unless the registered user proves the contrary.
- (4) A person who furnishes an electronic tax return or other document on behalf of another person must not divulge or disclose the contents of the return or document, or a copy of it, without the prior written consent of the Commissioner General.

92. Electronic receipting and electronic invoicing⁹⁰⁰

- (1) A taxpayer may issue an e-invoice or e-receipt, or employ an electronic fiscal device which shall be linked to the centralised invoicing and receipting system or a device authenticated by the Uganda Revenue Authority.
- (2) The Commissioner General shall, by notice in the *Gazette*, specify taxpayers for whom it shall be mandatory to issue e-invoices or e-receipts or employ electronic fiscal devices which shall be linked to the centralised invoicing and receipting system or devices authenticated by the Uganda Revenue Authority.⁹⁰¹
- (3) A taxpayer specified by the Commissioner General under subsection (2), shall issue e-invoices or e-receipts or employ an electronic fiscal device in all business transactions.

93. Penal tax relating to electronic receipting and invoicing⁹⁰²

- (1) A taxpayer specified under section 80 (2) who does not use an electronic fiscal device is liable to pay a penal tax equivalent to the double the tax due on the goods or services. [tax due on the goods or services, or four hundred currency points, whichever is higher.]⁹⁰³
- (2) A taxpayer specified under section 80 (2) who does not issue an e-invoice or e- receipt for goods or services, or who tampers with an electronic fiscal device, is liable to pay a penal tax equivalent to the double the tax due on the goods or services. [tax due on the goods or services or three hundred currency points,⁹⁰⁴ whichever is higher.]⁹⁰⁵
- (3) Any person who attempts to acquire or who acquires an electronic fiscal device that is not linked to the centralised invoicing and receipting system or authenticated by the Uganda Revenue Authority commits an offence and is liable, on conviction, to a fine not exceeding three hundred currency points, or to imprisonment for a term not exceeding three years, or both.

93A. Gaming and betting centralized payments gateway system⁹⁰⁶

- (1) An operator of a casino, gaming or betting activity shall only receive a wager or money staked and only make payouts through the gaming and betting centralized payments gateway system licensed by the Bank of Uganda under the National Payments Systems Act.

⁹⁰⁰ Inserted by TPC (Am) Act, 2018 WEF date of Publication in the Gazette

⁹⁰¹ Uganda Gazette Vol. CXIII No. 38 Of 23/6/2020 – General Notice No. 595 of 2020

⁹⁰² Inserted by TPC (Am) Act, 2018 WEF Date of Publication in the Gazette

⁹⁰³ Substituted by TPC(Am) Act, 2025.

⁹⁰⁴ 300 currency points = shs. 6,000,000

⁹⁰⁵ Substituted by TPC(Am) Act, 2025.

⁹⁰⁶ Inserted by TPC (Am) Act, 2025.

- (2) The gaming and betting centralized payments gateway system shall be linked to the Uganda Revenue Authority electronic notice system.

93B. Penal tax relating to gaming and betting centralized payments gateway system.⁹⁰⁷

An operator of a casino, gaming or betting activity who does not use or is not integrated with the gaming and betting centralized payments gateway system is liable to pay a penal tax equivalent to double the gaming or withholding tax due or five thousand five hundred currency points, whichever is higher.

93C. Failure to comply with requirements for tax exemption.⁹⁰⁸

- (1) A taxpayer exempted from tax under a tax law shall at all times maintain the requirements required for the taxpayer to be granted an exemption under the tax law.
- (2) A taxpayer who fails to comply with subsection (1) shall be liable to pay the tax due for the period for which the taxpayer fails to maintain the requirements required for the taxpayer to be granted an exemption under the tax law.
- (3) For the purposes of subsection (2), the tax due shall be paid personally by the taxpayer who failed to maintain the exemption requirements.

94. Payment of informers

- (1) The Commissioner General shall pay to a person who—⁹⁰⁹
- (a) provides information leading to identification of unassessed tax or duty one percent of the tax or duty assessed or fifteen million shillings, whichever is less; or
 - (b) provides information leading to recovery of unassessed tax or duty five percent of the tax or duty recovered or one hundred million shillings, whichever is less.
- (2) Subsection (1) shall not apply to an officer or staff of the Authority.

The Commissioner General shall pay to a person who provides information leading to the recovery of a tax or duty, the equivalent of five percent of the principal tax or duty recovered.⁹¹⁰

95. Regulations

- (1) The Minister may, by statutory instrument, make regulations—

⁹⁰⁷ Inserted by TPC (Am) Act, 2025.

⁹⁰⁸ Inserted by TPC (Am) Act, 2025.

⁹⁰⁹ Substituted by TPC (Am) Act, 2022

⁹¹⁰ Inserted by TPC (Am) Act, 2019. Section 8 of the Finance Act, 2014 Repealed

- (a) prescribing fees, or other matters required under this Act; or
 - (b) for the better carrying into effect of the provisions and purposes of this Act.
- (2) Without prejudice to the general effect of subsection (1), regulations made under that subsection may—
- (a) contain provisions of a saving or transitional nature subsequent to the coming into force of this Act; or
 - (b) prescribe in respect of a contravention of the regulations—
 - (i) a penalty not exceeding a fine of one hundred twenty-five currency points or imprisonment for a term not exceeding one year or both;
 - (ii) in the case of the second or subsequent offence, a penalty not exceeding a fine of fifty currency points or imprisonment for a term not exceeding two years or both;
 - (iii) in the case of a continuing offence, an additional fine not exceeding five currency points in respect of each day on which the offence continues; and
 - (iv) a requirement that the court must forfeit to the Government anything with which the offence was committed.

96. Power to amend Schedules

- (1) The Minister may, by statutory instrument, with approval of the Cabinet, amend Schedule 1 to this Act.
- (2) The Minister may, by statutory instrument, with the approval of Parliament, amend Schedules 2 and 4 to this Act.

97. Transitional provisions

- (1) A prosecution commenced before the commencement of this Act shall continue and be disposed of as if this Act had not come into force.
- (2) Where the period for making any application, appeal, or prosecution has expired before the commencement of this Act, nothing in this Act is to be construed as enabling the application, appeal, or prosecution to be made under this Act by reason only of the fact that a longer period is specified in this Act.
- (3) A tax liability that arose before the commencement of this Act may be recovered under this Act, but without prejudice to any action already taken for the recovery of the tax.
- (4) All forms and documents used under the tax laws specified in Schedule 2 may continue to be used until they are revoked under this Act and all

references in those forms and documents to the tax laws under that Schedule are taken to refer to the corresponding provisions in this Act.

SCHEDULES*Schedule 1*

Section 2, 96(1)

Currency Point

A currency point is equivalent to twenty thousand Shillings.

Schedule 2

Section 1, 2, 96(2), 97(4)

Tax Laws

For the purposes of this Act, a reference to tax law means—

- (a) this Act;
- (b) the Income Tax Act;
- (c) the Value Added Tax Act;
- (d) the Excise Duty Act;
- (e) the Lotteries and Gaming Act;
- (f) any other Act imposing a tax as the Minister, may by statutory instrument declare in accordance with section 96 (2).

Schedule 3

Section 2

Tax returns filed with Commissioner General

- (a) Value Added Tax return;
- (b) Income Tax return;
- (c) Withholding Tax return;
- (d) Excise Duty return;
- (e) Tax return under section 50 of the Lotteries and Gaming Act; and
- (f) Stamp Duty return.

Schedule 4⁹¹¹

Section 16(5)15, 96(2)

Amount of turnover in respect of which audited financial statements are required

Uganda Shillings 500,000,000 or more.

⁹¹¹ Schedule 4 inserted by TP (Am) Act, 2019

STATUTORY INSTRUMENTS

SI 2016 No. 21.

THE TAX PROCEDURES CODE (COMMENCEMENT) INSTRUMENT, 2016.*(Under section 1 of the Tax Procedures Code)*

IN EXERCISE of the powers conferred upon the Minister responsible for finance by section 1 of the Tax Procedures Code Act, 2014, Act No. 14 of 2014, this instrument is made this 3rd day of March, 2016.

1. Title

This Instrument may be cited as the Tax Procedures Code (Commencement) Instrument, 2016.

2. Appointment of Commitment date for Act No. 14 of 2014

The 1st day of July, 2016 is appointed as the date on which the Tax Procedures Code Act, 2014 shall come into force.

MATIA KASAIJA, (MP)*Minister of Finance, Planning and Economic Development*

STATUTORY INSTRUMENTS 2018 No. 53

TAX PROCEDURES CODE (TAX STAMPS) REGULATIONS, 2018*(Under section 95 of the Tax Procedures Code Act)*

In EXERCISE of the powers conferred upon the Minister by section 95 of the Tax Procedures Code Act, these Regulations are made this 2nd day of October, 2018.

PART I—PRELIMINARY.**1. Title**

These Regulations may be cited as the Tax Procedures Code (Tax Stamps) Regulations, 2018.

2. Interpretation

In these Regulations, unless the context otherwise requires –

“Act” means the Tax Procedures Code Act, 2014;

“Authority” means the Uganda Revenue Authority established by section 2 of the Uganda Revenue Authority Act;

“authorized officer” means an officer of the Authority authorised by the Commissioner General to perform any act or function under these Regulations;

“contractor” means a person appointed by the Commissioner General to supply, install, and maintain the system;

“importer” means a person who imports goods prescribed under section 20 of the Act;

“manufacturer” means a person who manufactures goods prescribed under section 20 of the Act;

“package” means a packet, bottle, sachet, container or similar material used for packing prescribed goods;

“printer” means a person contracted by the Commissioner General to print and supply tax stamps;

“prescribed goods” means goods prescribed by the Minister under section 20(3) of the Act;

“system” means the tax stamps management system comprising of the equipment, software or hardware that enables tracking, tracing, production of and accounting for prescribed goods;

“tax stamp” means a paper stamp, digital stamp or mark approved by the Authority to be printed and affixed to the prescribed goods.

PART II—TAX STAMPS

3. Affixation of tax stamps

- (1) Every package of prescribed goods manufactured in or imported into Uganda shall be affixed with a tax stamp.
- (2) The Commissioner General shall, by notice in the Gazette and in at least two newspapers of national circulation, specify —
 - (a) the mode of management of the tax stamps by tax payers;
 - (b) the nature of the tax stamps to be affixed on prescribed goods; and
 - (c) the manner in which the tax stamps shall be affixed.
- (3) The tax stamps shall be affixed—
 - (a) in the case of locally manufactured goods, in the production facility, immediately after packaging;
 - (b) in the case of imported goods, in a place designated by the Commissioner General within seven days after clearance from

Customs; and

- (c) in any other case, at a place and time appointed by the Commissioner General.
- (4) Notwithstanding sub-regulation (3)(b), the Commissioner General may require that tax stamps be affixed on the prescribed goods in the production facility within the exporting country, subject to such conditions as the Commissioner General may specify.
- (5) A person shall not, except with the approval of the Commissioner General, remove goods from the place designated for affixing the tax stamps, unless the goods have been affixed with stamps in accordance with this regulation.
- (6) Section 21(3) of the Act shall apply to a person who contravenes sub-Regulation (5).

4. Procurement

- (1) The Commissioner General shall, in accordance with the Public Procurement and Disposal of Public Assets Act, 2013 procure a person to—
 - (a) print and deliver tax stamps at such a time, place and in such a manner as the Commissioner may prescribe;
 - (b) develop, install and maintain the system at the premises of the manufacturers, importers and the Authority; and
 - (c) develop, install and maintain any other related system as the Commissioner may prescribe.
- (2) For purposes of sub-Regulation (1)(b) the Commissioner shall define the functional, security and fiscal control requirements to be observed by the contractor in developing, installing and maintaining the system.
- (3) A tax stamp shall bear features that can sufficiently—
 - (a) deter counterfeiting of the goods;
 - (b) facilitate tracking of the goods along the supply chain;
 - (c) enable accounting for the production and importation of prescribed goods; and
 - (d) enable any person in the supply chain to authenticate the tax stamps and the goods.
- (4) The system referred to in sub-Regulation (1)(b) shall be employed for the sale, delivery and activation of stamps before they are affixed on the

prescribed goods.

- (5) For purposes of determining the quantity of tax stamps to be procured, the Commissioner may require a manufacturer or importer to provide, at least one hundred and twenty days before the beginning of a financial year, a forecast of the quantities of tax stamps which the manufacturer or importer intends to use in the next financial year.

5. Registration

- (1) The Commissioner General shall register all importers and manufactures of prescribed goods and may impose such conditions on the importers and manufactures as may be necessary for the purposes of the registration.
- (2) A person shall not manufacture or import prescribed goods unless that person is licensed or registered by the Commissioner General.

6. Application for tax stamps

- (1) A manufacturer or importer of prescribed goods shall apply to the Commissioner General for tax stamps in a form prescribed by the Commissioner General.
- (2) An application for tax stamps shall be submitted to the Commissioner General at least sixty days before the manufacture or importation of the prescribed goods.
- (3) A manufacturer or importer of prescribed goods shall pay the stamp fees on the approval of the application by the Commissioner General.
- (4) The Commissioner General may require proof of importation by an importer of prescribed goods before issuing the importer with the tax stamps.
- (5) Notwithstanding sub-Regulation (4), the Commissioner General may, subject to any conditions as the Commissioner General may impose, issue tax stamps to an importer of prescribed goods before importation.

7. Tax stamps fee

- (1) A manufacturer or importer shall purchase tax stamps from the Commissioner General at a fee specified by the Commissioner General by notice in the Gazette and in a newspaper of wide circulation.
- (2) The stamp fees shall be paid to the Commissioner General by manufacturers and importers of prescribed goods, based on the quantity of stamps issued to them.
- (3) The stamp fees shall be paid before the stamps are issued to the manufacturer or importer.

- (4) The Authority shall maintain a bank account in which the revenue from the sale of tax stamps shall be deposited for purposes of paying the printers of the tax stamps supplied and for defraying the expenses of managing the system.

8. Return of tax stamps

- (1) A manufacturer or importer shall return all unused tax stamps to the Commissioner General where—
 - (a) the manufacturer stops manufacturing the prescribed goods;
 - (b) the tax stamp sheets or reels are defective;
 - (c) the tax stamps have been declared out of use by the Commissioner General; and
 - (d) the goods are not imported or an importer imports a quantity of goods less than the quantity of tax stamps procured.
- (2) The Commissioner General shall refund to the manufacturer or the importer, as the case may be, the tax stamp fees paid for tax stamps that are returned under this regulation within ninety days of the return of the stamps.

9. Allowance for wastage and damages

- (1) A tax payer shall, in writing to the Commissioner General, account for all the tax stamps received by the tax payer.
- (2) The accountability referred to in sub-Regulation (1) shall—
 - (a) specify the number of tax stamps used;
 - (b) specify the number of tax stamps that are not used; and
 - (c) specify the number of tax stamps returned under Regulation 8.
- (3) Where the Commissioner General is not satisfied with the accountability of the taxpayer, the Commissioner General shall communicate to the taxpayer in writing, giving reasons for the dissatisfaction and requiring the taxpayer to show cause within 10 days after receiving the communication, why a tax equivalent to the tax stamps that are not accounted for, should not be computed on the goods.
- (4) Where the Commissioner General is not satisfied with the explanation of the taxpayer in sub-Regulation (3), the taxpayer shall be deemed to have manufactured or imported the prescribed goods of the quantity equivalent to the quantity of the tax stamps that are not accounted for, and the Commissioner General shall compute the tax payable on the goods as if those tax stamps were affixed to the goods.
- (5) An authorized officer shall examine and verify a tax stamp that is alleged to be damaged, and if satisfied that the tax stamp is damaged,

shall off set the damaged tax stamps from the tax stamps supplied.

10. Transfer of tax stamps

- (1) A manufacturer or importer may, with the prior approval of the Commissioner General, transfer tax stamps held in stock by the manufacturer or importer to another manufacturing or importing unit owned by the same manufacturer or importer.
- (2) A tax payer shall, in writing to the Commissioner General, apply for the transfer of tax stamps and shall specify—
 - (a) the number of tax stamps to be transferred;
 - (b) the manufacturing or importing unit to which the stamps are to be transferred; and
 - (c) the location of the manufacturing or importing unit to which the stamps are to be transferred.
- (3) The Commissioner General shall consider the application and communicate to the importer or manufacturer in writing, the decision on the application and if the application is rejected, the Commissioner General shall give reasons for the rejection.
- (4) A manufacturer or importer who transfers tax stamps without the prior approval of the Commissioner General commits an offence and is liable on conviction, to a penalty equivalent to double the tax due on the goods or ten million shillings, whichever is higher.

PART III—TAX STAMPS MANAGEMENT SYSTEM

11. Installation and integration of system

- (1) The installation, integration, preventive and corrective integration, maintenance procedures of all the equipment comprising the system at the premises of the manufacturer or importer shall be done by a contractor under the supervision of an authorised office.
- (2) The system shall be composed of —
 - (a) tax stamps authentication and validation equipment;
 - (b) devices for identification and association of each package with a specific tax stamp;
 - (c) production and accounting equipment;
 - (d) devices for the control, registration, recording and transmission of data on the particulars of the prescribed goods to the Authority; and
 - (e) any other system, devices or equipment as the Commissioner General may require.
- (3) The system shall, in the case of premises for manufacturing, be installed

on production lines corresponding to each packaging machine and labeling machine.

- (4) During the installation of the system, the manufacturer or importer shall ensure that the production lines are in proper operating condition.

12. Installation of new or modified system

- (1) Where a new or modified system is required, the Commissioner General shall notify the manufacturers or importers in writing at least ninety days before the installation and integration of the new or modified System and the notice shall state—
 - (a) the requirements for the equipment to facilitate use of system;
 - (b) the adaptive features required on each production line;
 - (c) the connectivity features and operating environment for the installation and operation of computers and other equipment comprising the system; and
 - (d) the starting date of installation of the system.
- (2) A manufacturer or importer shall be responsible for the cost of tax stamps applicators, adjustments or adaptations of their equipment and premises necessary to install and integrate the new or modified system on each production line.
- (3) Where a manufacturer or importer is required to carry out adjustments or provide information required by the Commissioner General for the installation of the new or modified system, the manufacturer or importer shall carry out the adjustments or provide the information at least seven days before the date of the installation of the new or modified system.

13. Security and operation of the system

- (1) A manufacturer or importer shall be responsible for the security of the system installed in their premises.
- (2) A manufacturer or importer shall report to the Commissioner General any production line that is not operating, within twenty-four hours of failure of the production lines.
- (3) The Commissioner General or an authorised officer shall secure the production line that is not operating, using a security seal and shall register the action in the system.
- (4) A manufacturer shall not resume operation on the production lines referred to in sub-Regulation (2) except with the authority of the Commissioner General.

14. Effective date for use of system.

The Commissioner General shall, by a public notice issued in at least two daily newspapers with national circulation, declare the date when the system shall come into effect.

15. Re-Installation or removal of system

- (1) A manufacturer or importer shall apply to the Commissioner General for re-installation or removal of the system, as the case may be, on the occurrence of the following events—
 - (a) reactivation of inoperative production lines;
 - (b) deactivation of production lines;
 - (c) maintenance and reallocation of production lines;
 - (d) installation of new production lines;
 - (e) acquisition or sale of industrial machinery and equipment; or
 - (f) change of premises.
- (2) For purposes of sub-Regulation (1)(d) a manufacturer or importer shall, in a manner prescribed by the Commissioner General, declare to the Commissioner General, at least thirty days in advance of the start of production of new brands of goods or of any change in the graphic art of existing ones, together with the corresponding packages and labels.

16. Marking of prescribed goods

- (1) The prescribed goods shall be marked by the system on each product or package and in a visible place, as appropriate for the type of product or package, by coding the product or package with indelible security ink.
- (2) For purposes of sub-Regulation (1) the coding shall be such as to enable authentication, accounting for production, tracking and tracing of the prescribed goods.
- (3) The material wrapping the product or package shall bear—
 - (a) in the case of exports, the country of final destination;
 - (b) in case of prescribed goods for consumption in Uganda the words, **“FOR USE IN UGANDA”**; or
 - (c) in case of prescribed goods for sale to duty-free shops, or diplomatic shops the word, **“DUTY FREE”**.

PART IV—GENERAL PROVISIONS

17. Exemption

A tax stamp shall not be affixed on—

- (a) goods imported into Uganda as samples or by international mail, with no commercial value;
- (b) goods destroyed, denatured, or recycled within the manufacturing process, with the approval of the Commissioner General; and
- (c) any other goods that the Commissioner General may specify.

18. Verification of tax stamps.

A manufacturer, importer, distributor, retailer or any other person involved in the supply chain of prescribed goods, shall verify and authenticate the tax stamps and prescribed goods before admitting them in their premises or in any way handling the goods.

19. Seizure of stamps, equipment and goods.

- (1) The Commissioner General may seize tax stamps, equipment or goods, as the case may be where—
 - (a) the tax stamps are—
 - (i) counterfeit;
 - (ii) subject to return and the manufacturer or importer fails to return them to the Commissioner General; or
 - (iii) found in the possession of a person not being the person to whom the tax stamps were supplied;
 - (b) the equipment or plant is used in the manufacture of counterfeit tax stamps;
 - (c) the goods—
 - (i) bear tax stamps as counterfeited tax stamps;
 - (ii) bear tax stamps affixed in a manner that is not consistent with these Regulations; or
 - (iii) do not bear tax stamps as required by these Regulations.
- (2) Any goods, stamps or equipment which are seized under these Regulations shall be disposed of in a manner that the Commissioner General considers fit.

20. Temporary measures

Where it is not reasonably practicable to avail tax stamps to manufacturers or importers, the Commissioner General may impose such temporary measures as the Commissioner General may deem necessary.

21. Revocation of S.I 8 of 2002

The East African Excise Management (Tax Stamps) Regulations, 2002 are revoked.

STATUTORY INSTRUMENTS No. 82 of 2020

**TAX PROCEDURES CODE (E- INVOICING AND E- RECEIPTING)
REGULATIONS, 2020***(Under section 95 of the Tax Procedures Code Act)***Arrangement of Regulations**

Regulation

PART I—PRELIMINARY

1. Title
2. Interpretation

PART II—E- INVOICING AND E-RECEIPTING

3. Centralised invoicing and receipting system.
4. Issuance of fiscal documents
5. Fiscal devices
6. Issuance of manual receipts or invoices
7. Electronic dispenser controller
8. Maintenance of fiscal devices

PART III—GENERAL

9. Obligations of taxpayer
10. Reports

SCHEDULES

Schedule 1—Electronic Invoice or E-Receipt**Schedule 2**—Reports

IN EXERCISE of the powers conferred upon the Minister by section 75 of the Tax Procedures Code Act, these Regulations are made this 22nd day of June, 2020.

PART I—PRELIMINARY

1. Title

These Regulations may be cited as the Tax Procedures Code (E-invoicing and E-receipting) Regulations, 2020.

2. Interpretation

In these Regulations, unless the context otherwise requires—

“Act” means the Tax Procedures Code Act, 2014;

“Authority” means the Uganda Revenue Authority established by section 2 of the Uganda Revenue Authority Act, Cap. 196;

“Commissioner” means the Commissioner General appointed under the Uganda Revenue Authority Act;

“fiscal device” means an Electronic Fiscal Device or Electronic Dispenser Controller authenticated by the Authority and linked to the System, which prints a fiscal document;

“fiscal document” means an e-invoice or e-receipt or payment slip issued from a taxpayer’s business or enterprise resource planning system or printed by a fiscal device and acknowledged by the System;

“System” means the centralised invoicing and receipting system referred to in section 73A of the Act;

“transaction data” means data relating to a transaction transmitted to the System and stored on a fiscal device.

PART II—E-RECEIPTING AND E-INVOICING

3. Centralised invoicing and receipting system

- (1) The Commissioner General shall cause to be installed at the Authority, the centralised invoicing and receipting system referred to in section 73A of the Act.
- (2) The Commissioner General shall use the System to monitor and manage the issuance of fiscal documents for purposes of—
 - (a) real time transmission and authentication of business transactions and transaction data;
 - (b) ascertaining accuracy of self-assessments;
 - (c) facilitating the pre-filing of tax returns;
 - (d) timely processing of tax refunds;
 - (e) any other purpose necessary for efficient tax administration purposes only.
- (3) For purposes of sub-Regulation (2), the System shall be interoperable with the electronic means of issuance of fiscal documents referred to in regulation 4(1) and shall detect and acknowledge that a transaction has occurred and that a fiscal document has been issued.

4. Issuance of fiscal documents

- (1) A taxpayer specified by the Commissioner General under section 92 (2) of the Act shall issue a fiscal document through any of the following methods—

- (a) the taxpayer's business or enterprise resource planning system;
 - (b) the use of a web portal established by the Authority;
 - (c) an application for tax administration installed on a computer or any other electronic device;
 - (d) the use of a USSD quick code provided by the authority; or
 - (e) use of fiscal devices.
- (2) The fiscal document shall be in the form prescribed in the Schedule 1.

5. Fiscal devices

- (1) A taxpayer referred to in Regulation 4(1) shall acquire a fiscal device from a manufacturer, systems developer or supplier accredited by the Commissioner General.
- (2) A taxpayer who elects to issue fiscal documents under Regulation 4(1)(a) and (e) shall, at his or her own cost, integrate the business or enterprise resource planning system or the fiscal device, as the case may be, with the System.
- (3) For purposes of sub-Regulation (2), a taxpayer shall ensure that the business or enterprise resource planning system or the fiscal device is—
- (a) identifiable by the System, as belonging to a particular taxpayer;
 - (b) designed with a secure fiscal memory to manage and control sales data;
 - (c) capable of communicating with the System to enable fiscalisation of transactional data and generate e-invoices or e-receipts; and
 - (d) capable of storing information in respect of e-invoices and e-receipts to generate periodic reports of the transactions of a taxpayer.

6. Issuance of manual receipts or invoices

- (1) A taxpayer may issue manual receipts where—
- (a) the System is not available and offline transactions occur;
 - (b) the taxpayer's system is off;
 - (c) the fiscal device is undergoing maintenance in accordance with Regulation 7; or
 - (d) there is any other justifiable reason.
- (2) A taxpayer who issues a manual receipt under sub-Regulation (1)(a) shall upload the manual receipt as soon as practicable after the System is restored, and in any case, not later than twenty-four hours after the System has been restored

- (3) A tax payer who issues a manual receipt under sub-Regulation(1)(b), (c) or (d) shall upload the manual receipt, including the reference of the manual receipt, on the System within twenty-four hours after issuing the manual receipt.
- (4) A taxpayer who contravenes this Regulation shall be liable to pay a penal tax relating to electronic receipting and invoicing in accordance with section 73B of the Act.
- (5) For purposes of this Regulation, “manual receipt or invoice” means an invoice or receipt other than an e-receipt or e- invoice.

7. Electronic dispenser controller

- (1) A taxpayer who is in the business of fuel or gas stations shall acquire and install fiscal devices known as electronic dispenser controllers.
- (2) An electronic dispenser controller shall, in addition to the features referred to in regulation 5(3), have—
 - (a) a functionality of recording daily inventory data of the tank and the relation of oil tank and oil pistol uploaded into the system;
 - (b) an oil pistol control system that shall be used to calculate the oil pump capacity; and
 - (c) capacity to generate receipts with oil pistol numbers printed on them.

8. Maintenance of fiscal devices

- (1) Every taxpayer shall ensure that the fiscal devices undergo periodic technical maintenance services within the timeframe specified by the manufacturer or supplier or whenever the taxpayer realises that the fiscal device requires maintenance.
- (2) A technician of a supplier or manufacturer of a fiscal device shall perform installation, maintenance and repair services at the cost of the taxpayer.
- (3) A fiscal device shall not be removed from the point of sale without the approval of the Commissioner General.

PART III—GENERAL

9. Obligations of taxpayer

- (1) A taxpayer is responsible for—
 - (a) maintaining stable power and internet connectivity at the place of business;
 - (b) the security of the device;

- (c) procuring and installing fiscal devices;
 - (d) notifying the supplier in case a need for repairs or maintenance services, arises;
 - (e) making full disclosure of information and correct declaration of all transactions at all times; and
 - (f) ensuring compliance with these Regulations.
- (2) A taxpayer who fails or refuses to perform the responsibilities referred to in sub-Regulation (1) commits an offence and is liable, on conviction, to a fine not exceeding one hundred currency points or to a term of imprisonment not exceeding one year or both.
- (3) In addition to the penalty referred to in sub-Regulation (2) a taxpayer who fails or refuses to perform the responsibilities referred to in sub-Regulation (1) shall be deemed to have failed to maintain records and shall be liable to pay penal tax for failing to maintain proper records in accordance with section 57 of the Act.

10. Reports

- (1) A taxpayer shall, in case of downtime, maintain a “Z” daily report and a price look up report.
- (2) A price look-up report shall contain the price settings of the commodities for purposes of verifying the prices on fiscal documents.
- (3) A taxpayer shall generate a “Z” daily report at the close of business of each day and the report shall contain the transactions conducted and the fiscal documents generated for that day.
- (4) Notwithstanding sub-Regulation (2) the Commissioner General may require a taxpayer to furnish him or her with a “Z” daily report at any time of the day.
- (5) A “Z” daily report and a price look up report shall be in the form set out in part 1 and part 2 of the Second Schedule, respectively, unless the Commissioner General provides otherwise.
- (6) For purposes of this regulation, “downtime” means the period when the taxpayer issues a manual receipt in accordance with regulation 6(1).

SCHEDULES

Regulation 4(2)

Schedule 1

ELECTRONIC INVOICE OR E-RECEIPT

URA’S Logo	e-RECEIPT or e-	Seller’s logo, if any
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INVOICE				
Section A: Seller's Details				
NIN(BRN):				
TIN:				
Trade Name:				
Address:				
Seller's Reference Number:				
Served by:				
Section B: URA Information				
Issue Date: DD/MM/YYYY				
Time: HH: MM: SS				
Fiscal Document Number				
Device Number				
Verification Code				
Section C: Buyer's Details				
Buyer's TIN:				
Buyer's NIN(BRN):				
Name:				
Address:				
Tel:				
Section D: Goods and Services Details				
Item Category	Qty/Unit of Measure	Unit price	Total	Tax
Section E: Tax Details				
Tax Category/Rate	Net Amount	Tax Amount	Gross Amount	
A-Standard rated (18%)				
B-Zero (0%)				
C- Exempt (-)				
D-Deemed (18%)				
E- Excise Duty (as per excise duty rates)				
Section F: Summary				
Net Amount:				

Tax Amount:
 Gross Amount:
 Currency:
 Payment Mode:
 Amount Paid:
 Number of items:
 Number of e-receipts/invoices issued:
 Mode: Online/offline
 Remarks

Schedule 2

Regulation 10

REPORTS

PART 1- “Z” DAILY REPORT

This “Z” daily report represents a summary of the sales of
 (insert date)

PARTICULARS OF SELLER

National Identification Number (NIN)
 (a) Tax Identification Number (TIN)
 (b) Trading name
 (c) Device number.....

PARTICULARS OF BUYER

(d) Name of buyer
 (e) National Identification Numbers (NIN)
 (f) Tax Identification Numbers (TIN)

TRANSACTIONAL DETAILS

(g) Time when the First fiscal document generated.....
 (h) Time when the last fiscal document is generated.....
 (i) Total discount amount.....
 (j) Transactional details per item sold as;
 (i) Transaction type
 (ii) Document type (original or copy)
 (iii) Brief description of goods or services
 (iv) Item code

- (v) Item Name
- (vi) Quantity
- (vii) Unit price
- (viii) Rate of tax for each category of goods and services
- (ix) Tax category
- (x) Total amount before tax
- (xi) Total tax amount
- (xii) Total amount not taxable (zero rate/ exempt)
- (xiii) Total amount deemed before tax
- (xiv) Total deemed tax
- (xv) Total amount per transaction
- (xvi) Count of fiscal document
- (xvii) Number of items sold per transaction
- (xviii) Payment mode per transaction
- (xix) Currency
- (xx) Discount amount
- (xxi) Total refund amount for all refund receipts, including tax

DEVICE OPERATION STATUS

- (a) Memory error
- (b) Disconnection error.
- (c) Out of paper error
- (d) Normal

PART II- PRICE LOOK UP REPORT

PARTICULARS OF SELLER

- (a) National Identification Number (NIN).....
- (b) Tax Identification Number (TIN)
- (c) Trading Name.....
- (d) Device number.....
- (e) Report Period.....
- (f) National Identification Number (NIN).....
- (g) Tax Identification Number (TIN)
- (h) Trading Name.....
- (i) Device number.....

- (j) Item code.....
- (k) Item name.....
- (l) Unit price exclusive of tax.....
- (m) Tax rate
- (n) Quantity sold
- (o) Remain quantity in stock.....

MATIA KASAIJA,

Minister of Finance, Planning and Economic Development.

STATUTORY INSTRUMENTS 2023 No. 28.

THE TAX PROCEDURES CODE (ALTERNATIVE DISPUTE RESOLUTION PROCEDURE) REGULATIONS, 2023

(Under section 26 (11) and (12) of The Tax Procedures Code Act)

In EXERCISE of the powers conferred upon the Minister by section 26(11) and (12) of the Tax Procedures Code Act, these Regulations are made this 6th day of March, 2023⁹¹².

Arrangement of regulations*Regulation*

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5. Methods of alternative dispute resolution procedure
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14. Violation of settlement agreement
15. Alternative dispute resolution procedure register
16. Maintenance of records

SCHEDULE – FORM

PART I—PRELIMINARY

1. **Title**

⁹¹² Gazetted 24th March, 2023

These Regulations may be cited as the Tax Procedures Code (Alternative Dispute Resolution Procedure) Regulations, 2023.

2. Interpretation

In these Regulations, unless the context otherwise requires— “Act” means the Tax Procedures Code Act, 2014;

“alternative dispute resolution procedure” means a voluntary facilitated process of settling tax disputes between a taxpayer and the Commissioner General where the taxpayer is dissatisfied with the decision of the Commissioner General;

“court” means a court of competent jurisdiction handling a tax matter;

“settlement agreement” means an agreement between a taxpayer and the Commissioner General under which both parties agree to settle a tax dispute.

PART II—ALTERNATIVE DISPUTE RESOLUTION PROCEDURE

3. Alternative dispute resolution procedure to be voluntary

The application of the alternative dispute resolution procedure specified in these Regulations shall be voluntary.

4. Application for alternative dispute resolution procedure

- (1) A taxpayer who is dissatisfied with a tax decision of the Commissioner General may, within seven days after being served with the tax decision, apply to the Commissioner General for resolution of the dispute using the alternative dispute resolution procedure.
- (2) The application referred to in sub-regulation (1), shall be in writing, using the form prescribed in the Schedule to these Regulations.
- (3) Where an alternative dispute resolution procedure is commenced between a taxpayer and the Commissioner General, the time within which the taxpayer is required to file an application with the Tribunal, or a suit with court shall not be affected by the alternative dispute resolution procedure.
- (4) For the avoidance of doubt, the alternative dispute resolution procedure under these Regulations shall not have any effect or negate the rights of the Commissioner General or taxpayer to file an application with or the suit with the court or have an effect on the rules and procedures of the Tribunal or court.

5. Methods of alternative dispute resolution procedure

- (1) The following methods of alternative dispute resolution procedures may be applied for a tax dispute—

- (a) Conciliation; where an independent conciliator is appointed or agreed upon by the Commissioner General and the tax payer, to facilitate communication between the Commissioner General and the taxpayer to explore settlement but without offering an opinion on the merits of the arguments of either side; or
 - (b) Negotiation; where the Commissioner General and the taxpayer agree to hold discussions relating to the tax dispute through engagement in discussions and exchange of information in order to reach an amicable settlement.
- (2) Where a tax payer applies to the Commissioner General to resolve a disputed tax decision using the alternative dispute resolution procedure, the tax payer shall indicate the preferred method of alternative dispute resolution under sub-regulation (1) and where applicable, indicate a proposal for the settlement of the dispute.

6. Disputes eligible for alternative dispute resolution procedure

- (1) The Commissioner General shall, upon receipt of an application under regulation 4 (1), evaluate the application to ascertain that the application is eligible to be resolved through the alternative dispute resolution procedure.
- (2) For purposes of sub-regulation (1), the Commissioner General shall consider—
- (a) whether using the alternative dispute resolution procedure is likely to promote fairness, maximisation of resources and proper management of the tax system;
 - (b) the cost benefits of litigation with respect to—
 - (i) the prospects of success in the Tribunal or court;
 - (ii) the prospects of collection of the amount due;
 - (iii) the costs associated with the collection of the tax; or
 - (iv) the costs associated with litigation;
 - (c) whether there are any complex, factual or quantum issues in contention;
 - (d) whether the settlement of the dispute will promote compliance by the taxpayer, a group of taxpayers or the business sector; and
 - (e) whether the tax dispute is a result of a miscommunication or misunderstanding between the Commissioner General and taxpayer.
- (3) Where the Commissioner General is satisfied that the application is eligible for alternative dispute resolution, the Commissioner General shall, within seven working days from the date of filing the application,

invite the taxpayer in writing to participate in the alternative dispute resolution procedure.

- (4) The Commissioner General shall reject an application to resolve the dispute using alternative dispute resolution procedure where—
- (a) the settlement is likely to contravene any law of Uganda;
 - (b) the matter in dispute is in regard to interpretation of the law;
 - (c) it is in the public interest to have the court or Tribunal determine the tax dispute;
 - (d) there is evidence of deliberate or consistent non-compliance by the tax payer on the matter in dispute;
 - (e) the tax dispute relates to a case of an informer;
 - (f) an application is filed out of time provided for under these Regulations; or
 - (g) the tax dispute involves fraud.
- (5) Where the Commissioner General is satisfied that the application is not eligible for alternative dispute resolution the Commissioner General shall, within fifteen working days from the date of filing the application, inform the tax payer in writing stating reasons of the rejection of the application for alternative dispute resolution procedure.

7. Pre-alternative dispute resolution procedure meeting

Where the Commissioner General is satisfied that the application is eligible for resolving the dispute using the alternative dispute resolution procedure, the Commissioner General shall invite the taxpayer for an alternative dispute resolution procedure meeting for purposes of determining—

- (a) the costs of participating in the alternative dispute resolution procedure and the party to bear the costs;
- (b) the method to be adopted in the alternative dispute resolution procedure;
- (c) the timelines and schedule of the alternative dispute resolution proceedings;
- (d) the issues to be considered and resolved through the alternative dispute resolution procedure;
- (e) the terms and conditions to govern the alternative dispute resolution proceedings; and

- (f) any other matter relevant to resolving the dispute through the alternative dispute resolution procedure.

8. Conduct of the alternative dispute resolution procedure

- (1) Each party shall, during the alternative dispute resolution proceedings, be given an opportunity to present their case, including calling witnesses whom the party wishes to rely on.
- (2) The agreement of the parties to settle the dispute shall be based on the evidence submitted during the alternative dispute resolution proceedings.
- (3) Where, for justifiable cause, a party fails to appear on the date of the alternative dispute resolution proceedings, the parties may schedule another date for the proceedings or close the alternative dispute resolution proceedings, if it is appropriate to do so.
- (4) Where, in the course of resolving a dispute, a matter arises which, in the opinion of the parties requires specific expertise or competence, the parties may, upon agreement, call upon a subject matter expert to participate in the alternative dispute resolution proceedings for the purpose of providing the required expertise.
- (5) The alternative dispute resolution proceedings shall be subject to the following conditions—
 - (a) upholding and maintaining decorum and confidentiality;
 - (b) upholding the integrity and fairness of the process;
 - (c) fair and diligent participation in the proceedings;
 - (d) the making of full disclosure of material facts and documentation relevant to the dispute;
 - (e) commitment to the alternative dispute resolution process and attendance of all scheduled proceedings;
 - (f) strict adherence to the agreed timelines, except under reasonable circumstances, which shall be communicated to the other party.
- (6) Where the Commissioner General or tax payer fail to abide by the conditions in sub-regulation (5), the parties may terminate the alternative dispute resolution proceedings.

9. Withdrawal from alternative dispute resolution proceedings

- (1) A party may, at any stage of the alternative dispute resolution proceedings, before arriving at a settlement, by notice in writing, withdraw from the alternative dispute resolution proceedings on any of

the following grounds—

- (a) where either party opts to withdraw from the proceedings or both parties mutually agree to terminate the proceedings;
 - (b) if a party fails to attend two consecutive sittings of the alternative dispute resolution proceedings;
 - (c) where the parties are of the opinion that the dispute cannot be resolved due to negative conduct by one or both parties;
 - (d) where both parties determine that a settlement cannot be reached;
or
 - (e) any other ground that the Commissioner General or taxpayer considers reasonable.
- (2) Where the Commissioner General or tax payer withdraws from the alternative dispute resolution proceedings, the alternative dispute procedure shall be terminated and the decision of the Commissioner General being objected to shall be maintained against the taxpayer, unless it is overturned by the Tribunal or the court.

10. Representation

In the alternative dispute resolution proceedings—

- (a) a tax payer may appear—
 - (i) in person;
 - (ii) through a tax agent;
 - (iii) through an employee of the tax payer; or
 - (iv) through an advocate; and
- (b) the Commissioner General may appear by himself or herself or by a tax officer or may be represented by an advocate.

11. Settlement agreement

- (1) Where the Commissioner General and the taxpayer, agree to settle the tax dispute using the alternative dispute resolution procedure, the issues agreed upon shall be set out in a settlement agreement which shall be signed by the Commissioner General and the tax payer or by persons authorised to sign on their behalf.
- (2) The settlement agreement referred to in sub-regulation (1), shall contain—
 - (a) the background to the dispute and the issues of contention;

- (b) the processes and specific actions undertaken during the alternative dispute resolution proceedings;
- (c) the agreed issues and issues not agreed to;
- (d) the taxes payable or, where applicable, the taxes that are not payable, and the justification;
- (e) the terms of the settlement agreement;
- (f) the undertakings given by each party, if any;
- (g) the agreed mode of payment and payment plan, where applicable; and
- (h) the withdrawal of any proceedings pending before the Tribunal or court, where applicable.

12. Alteration of assessment upon signing of settlement agreement

- (1) Where the Commissioner General and tax payer reach a settlement agreement to adjust the tax liability of the tax payer, the Commissioner General may alter or amend the assessment for purposes of giving effect to the terms contained in the settlement agreement.
- (2) The altered or amended tax assessment referred to in sub-regulation (1) shall not be subject to an objection or appeal to the Commissioner General, except—
 - (a) to correct an arithmetical error in the alternative dispute resolution decision;
 - (b) to commence the execution or enforcement procedure;
 - (c) to correct an error on the face of the amended or altered assessment;
 - (d) to set aside the alternative dispute resolution decision; or
 - (e) where the content of the altered tax assessment is not in line with the terms of the alternative dispute resolution decision.

PART III—ENFORCEMENT OF THE SETTLEMENT AGREEMENT

13. Recognition and enforcement of settlement agreement

- (1) A settlement agreement shall be recognised as binding and enforceable against the Commissioner General or tax payer, as the case may be, like any other tax decision made by the Commissioner General.
- (2) Where the settlement agreement provides that the tax liability of the tax payer be adjusted, the Commissioner General shall, within fourteen days from the date of signing of the settlement agreement amend the assessment, to give effect to the terms of the settlement agreement.

14. Violation of settlement agreement

Where the Commissioner General or tax payer fails to comply with, or violates a settlement, the tax payer or Commissioner General may apply to court to enforce the settlement agreement.

15. Alternative dispute resolution procedure register

The Commissioner General shall establish and maintain a register of disputes settled under the alternative dispute resolution procedure, which shall contain—

- (a) the amount of revenue collected or recovered through the alternative dispute resolution procedure;
- (b) the estimated amount of savings in costs if the dispute was to be resolved by the Tribunal or court;
- (c) the amount of revenue potentially foregone; and
- (d) any other information that Commissioner General receives in the process of the alternative dispute resolution procedure.

16. Maintenance of records

The Commissioner General shall maintain records of each settlement agreement signed between the Commissioner General and a taxpayer for at least ten years from the date of signing the settlement agreement.

Schedule

Regulation 4 (2)

FORM

Application to the Commissioner General to request to resolve a tax dispute using the alternative dispute resolution procedure in accordance with section 26(11) of the Tax Procedures Code Act, 2014.

Notes:

1. Where the space provided is insufficient, please use an extension page and attach it to this application form.
2. Pages attached shall be sequentially numbered and the total number thereof shall be stated in the field provided.

Details of Applicant (For purposes of further correspondence)					
Full Name (s)	TIN	Tel No.	Name of Agent (<i>if not the applicant</i>)	Tel No.	Email Address

Address for delivery of documents					
Registered business name or name of the applicant					
Postal address			code		
Physical address					
Email address					
Business Tel. No.					
Nature of dispute: (Indicate with an 'X' in the applicable block(s))					
Income Tax	Excise Duty	VAT	Penalty	Refund	
If 'other 'please specify					
Period of Assessment					
Amount of tax in dispute			Date of objection		
Reference Number					
Proposed mode of ADR					
Taxpayer's narration of the dispute					

Grounds for application for alternative dispute resolution procedure

- 1)
- 2)
- 3)
- 4)
- 5)
- 6)
- 7)

No. of pages attached to this form, if any:

Please attach appeal documents (*statements of facts, memorandum of appeal and any other relevant documentation*).

Please attach settlement proposal

MATIA KASAIJA, (MP)

Minister of Finance, Planning and Economic Development

Chapter 156**EAST AFRICAN CRUDE OIL PIPELINE (SPECIAL PROVISIONS) ACT**

Commencement: 24th December 2021, except
sections 10(1) and 37 deemed to have
commenced 1st January 2016

An Act to facilitate the implementation of the East African Crude Oil Pipeline (EACOP) Project in Uganda; to implement the obligations of Uganda under the Intergovernmental Agreement and the Host Government Agreement and for related matters.

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PART V – ANTI-TRUST AND OTHER COMPETITION RELATED MATTERS

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16. Award of contracts during the construction phase
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SCHEDULE 2 - Agreed Fiscal Regime

PART I – PRELIMINARY

1. Application of Act

This Act applies to the East African Crude Oil Pipeline (EACOP) project in Uganda.

2. Purpose of Act

The purpose of this Act is to enable and facilitate the implementation of the EACOP project in Uganda.

3. Interpretation

In this Act –

“acceptable credit rating” means a rating for long-term unsecured and non-credit-enhanced debt obligations of A- or higher by S&P Global Ratings (a division of S&P Global Inc.), Fitch Ratings Ltd or AMBest or A3 or higher by Moody’s Investors Service Limited or any other as may be agreed to by the Parties under the Host Government Agreement;

“affiliate” means with respect to any entity, any other entity that, directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with that entity;

“agreed fiscal regime” comprises the regime of taxes and other charges, including the regime for imposing, administering and disputing taxes and other charges, pursuant to Ugandan law, as modified by Schedule 2 to this Act;

“Authority” means the Petroleum Authority of Uganda established by the Petroleum (Exploration, Production and Development) Act;

“business day” means any day, other than a Saturday, Sunday or an officially recognised public holiday, on which banks are open for general business in Uganda;

“contractor” means any person supplying goods, works, technology or services, including financial services, including *inter alia*, credit, financing, insurance or other financial accommodations, for the EACOP

project to, or for the benefit of, the project company or the operator and, if applicable, in relation to early project activities, of an investor or its affiliate undertaking project activities, whether by contract or subcontract, excluding however any physical person acting in his or her role as an employee of any other person;

“decommissioning” means the process of safely ceasing operations resulting in complete or partial removal or making substantial changes in the use of the EACOP system or permanently disposing of or abandoning a facility or operation in a manner that is not deleterious to human health or the environment;

“decommissioning fund” means a cost reserve fund established pursuant to the decommissioning plan for the purposes of paying for the costs of implementing the decommissioning plan;

“decommissioning plan” means the latest version of the written plan describing the proposed actions associated with decommissioning of the EACOP system across Uganda and Tanzania to be undertaken by the project company, in the form prepared by the project company and approved by the relevant state Authority and the relevant Tanzanian state authority;

“dynamic flow meter” means an online meter capable of continuously measuring, displaying and storing the crude oil volume that is flowing across it at line conditions;

“EACOP” means the East African Crude Oil Pipeline;

“EACOP project” means, in relation to the EACOP system, the evaluation, development, design, construction, installation, financing, insuring, ownership, operation, including the transport of petroleum through the EACOP system, repair, replacement, refurbishment, maintenance, expansion, extension, including lateral, protection and, at the relevant time, decommissioning of the system and includes early project activities;

“EACOP system” means the petroleum export pipeline system running from the inlet flange at Kabaale in Hoima District in Uganda to an export flange at the marine export terminal at Chongoleani, Tanga District in Tanzania, together with the onshore and offshore facilities, including storage, jetty, load-out facilities, heating and pumping installations, telecommunication system and all facilities and infrastructure ancillary thereto and includes any future expansion, extension or other addition thereto;

“EHSS standards (Environmental, Health and Safety Standards)” means –

(a) the environmental standards listed in the approved environmental and social impact statement; and

(b) the health, social and safety standards applicable to the EACOP project under the Ugandan law and referenced in the approved environmental and social impact statement, provided that in the case of any conflict, the standard most protective of health, social and safety concerns shall prevail;

“encumbrance” means any interest, right, demand, mortgage, lien, judgment, execution, pledge, charge, security interest, restriction, easement, claim, deficiency in title, prior estate, or encumbrance of any nature whatsoever, whether arising by operation of Ugandan law or otherwise;

“entity” means any company, corporation, limited liability company, partnership, limited partnership, enterprise, joint venture, unincorporated joint venture, association, trust or other juridical entity, organisation or enterprise duly organised by treaty or under the laws of any state or any subdivision thereof;

“existing Uganda oil fields” means the development areas pertaining to the petroleum production licences granted as of the date of the Intergovernmental Agreement or to be granted in the future in respect of Exploration Areas 1, 1A, 2 and the Kingfisher Development Area in the Albertine Graben in Uganda;

“final investment decision” means a positive unconditional and final decision to invest taken in relation to the EACOP project by the project company;

“finance parties” means –

(a) the credit or financial institutions, including commercial banks, development finance and multilateral institutions, and export credit agencies, or other persons providing any credit, extension of credit, loan, financial accommodation, guarantee, hedging or other financing or credit product or service to any investor in connection with the EACOP project, including any refinancing or extension thereof; and

(b) the persons providing any insurance, guarantee or debt service undertaking, howsoever described, in respect of the credit, extension of credit, loan, financial accommodation, guarantee, hedging or other financing or credit products or services referred to in paragraph (a),

in each case together with the agents and trustees of the parties, and including the shareholder related funders; and “finance party” means any one of them;

“first oil date” means the date of the first commercial delivery of petroleum at the exit point of the EACOP system;

“fiscal meter” means a dynamic flow meter and its associated equipment, including pressure and temperature transmitters, flow calculator, proving system, analysers used for the metering or measurement of

crude oil in connection with the calculation of taxes or royalties in relation to the crude oil;

“Host Government Agreement” or “HGA” means the Host Government Agreement between the Government of Uganda and the project company concerning the East African Crude Oil Pipeline (EACOP) project;

“Intergovernmental Agreement” or “IGA” means the Intergovernmental Agreement between the Republic of Uganda and the United Republic of Tanzania concerning the East African Crude Oil Pipeline (EACOP) Project;

“investor” means –

(a) the project company and any branch or subsidiary of the project company;

(b) the sponsors, including their branches or subsidiaries established in Uganda or in Tanzania in relation to the EACOP project;

(c) the state participants;

(d) the shareholders; and

(e) for each shareholder, one entity being either –

(i) an entity in the ownership chain between the shareholder and its ultimate parent, which is identified in a notice delivered to the State by the shareholder, supported by reasonable evidence of the ownership chain; or

(ii) in the absence of a notice from the shareholder under subparagraph (i), the ultimate parent of the shareholder;

“key project parties” means each shareholder and shipper; and “key project party” means any one of them;

“labour standards” means –

(a) Ugandan law relating to labour rights; and

(b) the following internationally recognised labour rights agreements and standards

- (i) Freedom of Association and Protection of the Right to Organise Convention, 1948 (No.87)
- (ii) Right to Organise and Collective Bargaining Convention, 1949 (No. 98);
- (iii) Forced Labour Convention, 1930 (No. 29);
- (iv) Abolition of Forced Labour Convention, 1957 (No. 105);
- (v) Equal Remuneration Convention, 1951 (No. 100);

- (vi) Discrimination (Employment and Occupation) Convention, 1958 (No. 111);
- (vii) Minimum Age Convention, 1973 (No. 138); and
- (viii) Worst Forms of Child Labour Convention, 1999 (No. 182),

provided that in case of conflict between Ugandan law relating to labour rights and the international labour rights agreements and standards set out above, for the purposes of defining the labour standards, the standard most protective of the worker shall prevail; and “labour standard” means any one of them;

“land” means –

- (a) all land, foreshores, seabeds, riverbeds and lakebeds;
- (b) the water columns above all seabeds, riverbeds and lakebeds; and
- (c) the air space above and subsurface areas below all of the foregoing,

in each case, for construction and facilities;

“land rights” means all rights over land in Uganda required to carry out the project activities and implement the EACOP project, including rights required for –

- (a) the examination, testing, evaluation, analysis, inspection, construction on, use, possession, occupancy, control, assignment, repairs, maintenance and enjoyment of the land;
- (b) access to the EACOP system; and
- (c) any short-term requirements, including during construction;

“land rights instrument” means an instrument granting a title or rights to the project company over any required project land;

“level 1 construction phase contractor” means each contractor rendering goods, services and works in Uganda, and contracting directly with the project company during the construction phase of the EACOP project;

“management staff” means supervisory, professional senior management staff with a diploma or degree, qualified or possessing the relevant number of years of experience;

“Minister” means the Minister responsible for petroleum activities;

“national content” means –

- (a) the use of Ugandan expertise, goods, and services and Ugandan Parties in project activities;

(b) the combined value added or created in the Ugandan economy through the utilisation of Ugandan human and material resources for the provision of goods, works and services for the EACOP project; and

(c) the combined value added or created in the Ugandan economy through recruitment, employment and training of Ugandan citizens; technology transfer; local supplier development; support for local education and training, and support for research and development in Uganda;

“national content plans” means the specific requirements in relation to national content for each of the construction phase and the operations phase of the EACOP project, and the conduct of project activities in relation to Uganda during any such phase;

“offtaker” means any person that has entered into an agreement to purchase petroleum that has been transported through the EACOP system and delivered at the marine export terminal at Chongoleani, Tanga District, in Tanzania;

“oil producing areas” means any existing Uganda oil fields and any other oil field producing petroleum to be transported through the EACOP system located in Uganda, Tanzania or the territory of any state which has acceded to the Intergovernmental Agreement;

“operator” means the person or persons responsible from time to time for implementing, managing, coordinating or conducting for or on behalf of the project company all or any portion of the day-to-day project activities including serving as an operator of all or any portion of the EACOP system, whether as an agent for or contractor to the project company and for the avoidance of doubt, where no person or persons has or have been appointed by the project company in this capacity, the project company shall act as the operator;

“payment-in-kind” means the use of crude oil as payment for transportation tariff and related services in accordance with the agreements for transportation of petroleum and the Host Government Agreement;

“person” means any natural person, any state or any entity;

“petroleum” means any liquid hydrocarbons, including crude oil, condensate, unfinished oil or natural gas liquid produced from the oil producing areas;

“post-decommissioning finalisation report” means the final report in relation to the EACOP system, prepared in accordance with the Environmental, Health and Safety Standards, evaluating and confirming the final reinstatement works, verifying compliance and completion of the work in relation to all sites affected;

“project activities” means the activities conducted by the project participants in connection with the EACOP project;

“project authorisations” means any permit, consent, licence, authorisation, approval or registration required at any time by any project participant in connection with the EACOP project;

“project company” means the East African Crude Oil Pipeline (EACOP) Limited and its successors and assignees in relation to its interests in the EACOP project;

“project participant” means each investor, operator, contractor, shipper, finance party and offtaker;

“project related assets” means all the investments, property and other assets relating to the EACOP project, including the EACOP system, any other tangible or intangible assets of the project company, the shares in, or loans to the project company, and the tangible or intangible assets of or the shares in, or loans to, any project participant;

“required project land” means any land in Uganda, in respect of which the project company has determined that it needs to acquire and hold land rights for the purposes of the EA- COP project;

“reserved petroleum” means petroleum from the existing Uganda oil fields that shall be –

(a) supplied to the refinery to be developed in Uganda in an amount determined by the refinery not exceeding 60,000 barrels per day until the date that a cumulative volume of 1046 million barrels of petroleum has been produced from the existing Uganda oil fields; and

(b) thereafter, 60,000 barrels per day and any other amount as may be agreed by the State and the project company;

“shareholder” means any entity holding directly any form of equity in the project company;

“shipper” means any person that has contracted with the project company for the transport of petroleum through all or any portion of the EACOP system;

“sponsors” means –

(a) one or more of the Uganda upstream partners (other than Uganda National Oil Company Limited (UNOC)) that holds or whose affiliate holds any form of equity or other ownership interest in the project company;

(b) any private person that may become a Uganda upstream partner and holds or whose affiliate holds any form of equity or other ownership interest in the project company;

(c) each respective affiliate of each such Uganda upstream partner (other than Uganda National Oil Company Limited (UNOC)) or each such private person which in each case holds any form of equity or other ownership interest in the project company; and

(d) one or more of Total S.A. or CNOOC Limited that holds or whose affiliate holds any form of equity or other ownership interest in the project company;

“State” means the government of the Republic of Uganda;

“State agreement” means any agreement, contract, concession, or other document creating contractual rights, excluding the Host Government Agreement and the Intergovernmental Agreement, to which, on the one hand, the State or any state authority and, on the other hand, any project participant is or later becomes a party relating to the project activities;

“State authority” means the central government of the State and each and every aspect of government or authority at every level in Uganda, including all central, regional, municipal, local and judicial bodies, whether or not part of or controlled by any superior legal authority, all instrumentalities, branches and subdivisions of the foregoing, and any state entity and shall include any and all executive and regulatory bodies, agencies, departments, ministries, authorities, officials, courts, entities, agents and representatives in Uganda that have the authority to govern, regulate, implement or enforce Ugandan law, levy or collect taxes, duties, contributions or other similar mandatory charges, grant licences or permits or approve or otherwise similarly affect, directly or indirectly, the EACOP project or the rights or obligations of project participants in respect of the project activities, notwithstanding any change at any time in structure, form or otherwise;

“State entity” means any entity in which, directly or indirectly, the State has a controlling equity, ownership or similar economic interest, or which the State directly or indirectly controls;

“State participants” means –

(a) Tanzania or a Tanzanian state entity nominated by the Government of Tanzania;

(b) Uganda, a state entity nominated by the Government of Uganda, Uganda National Oil Company Limited (UNOC) or any affiliate of UNOC; and

(c) any other state entity or Tanzanian state entity, provided in each case that such state or entity, as applicable holds any form of equity or other ownership interest in the project company;

“substantial nature” means –

(a) in respect to a pipeline installation, increasing or decreasing the capacity of the pipeline installation by twenty-five percent or more or replacing the entirety of the core technology used in the pipeline installation; and

(b) in respect to a pipeline route, placing the pipeline system outside the approved 30 meter corridor;

“technical standards” means technical standards, parameters, codes, guidance, recommended practices and specifications deriving from those applicable under Ugandan law or those issued by recognised international standards organisations;

“technology transfer” means all activities and mechanisms carried out by the project participants aimed at maximising knowledge and skills transfer to the State and Ugandan parties;

“transportation” means the transportation of petroleum through any legal arrangement or entitlement through the EACOP system, including any related storage and loading on ships and “transport” and “transported” or similar formulations shall have a corresponding meaning;

“technical staff” means skilled and semi-skilled staff certified under a technical training scheme and with verified competency including pipeline, refinery, chemical, electrical and instrumentation, process engineers and technicians, geoscientists, chemists, personnel trained and qualified in Environmental, Health and Safety Standards and technical standards matters, petroleum economists and cost engineers;

“Ugandan company” has the meaning ascribed to it in the Petroleum (Refining, Conversion, Transmission and Midstream Storage) (National Content) Regulations;

“Ugandan law” means the law that is binding and legally in effect in Uganda, including –

(a) the constitution of Uganda, any legislation, directive, order, promulgation, issuance, enactment, decree, regulation or other similar act of the State or a state authority; and

(b) any international agreement, including the Treaty for the Establishment of the East Africa Community or measures taken pursuant to the agreement,

having binding and legal effect;

“Ugandan parties” means citizens of Uganda and registered entities owned by Ugandans and Ugandan companies;

“Ugandan state participant” means the Uganda National Oil Company or its wholly owned and controlled subsidiaries;

“Uganda upstream partners” means CNOOC Uganda Ltd., Total E&P Uganda B.V. and Uganda National Oil Company Limited (UNOC), and their successors and assignees in relation to their interests in the existing Uganda oil fields; and “Uganda Upstream Partner” means any one of them;

“upstream project” means, in relation to the existing Uganda oil fields, the evaluation, development, design, construction, installation, financing, insuring, ownership, operation, repair, replacement, refurbishment, maintenance, expansion, extension, protection and, at the relevant time, decommissioning of all related facilities and infrastructure.

PART II – TRANSPORTATION TARIFF

4. Transportation tariff

- (1) The tariff to be charged by the project company for the provision of transport and related services in relation to the EACOP system shall be, in relation to petroleum produced at the existing Uganda oil fields –
 - (a) up to the date when the sum of the production of crude oil from the existing Uganda oil fields as measured at the fiscal meters at Kabaale in Uganda plus the metered volume of the other petroleum transported through the EACOP system in relation to which the tariff charged by and paid to the Project Company is equal to the tariff for petroleum produced at the existing Uganda oil fields reaches one billion and forty six million (1,046,000,000) barrels, an amount equal to twelve United States Dollars and seventy seven cents (US\$12.77) per barrel and adjusted each year starting from the first anniversary of the date of the first commercial delivery of petroleum at the exit point of the EACOP system at an annual increase of the lower of –
 - (i) the US consumer price index; and
 - (ii) two percent (2%) per annum,the details of which shall be more fully set out in agreements for the transportation of petroleum; and
 - (b) thereafter, an amount established in accordance with the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act.
- (2) Notwithstanding section 35(b), (c) and (d) of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, the tariff determined in accordance with subsection (1)(a) shall not be subject to further approval by any State authority.
- (3) Subsection (2) is without prejudice to the requirement for the Authority to confirm the adjusted tariff determined in accordance with subsection (1)(a), pursuant to the Host Government Agreement.
- (4) The project company shall notify the Authority of the amount of the adjusted tariff and provide the supporting information and calculation for the adjusted tariff and the Authority shall confirm, within ten business days, that the adjusted tariff is in compliance with subsection (1)(a).

- (5) For the avoidance of doubt, the computation of the tariff under subsection (1)(b) shall not include the initial capital and operating expenditure covered under the fixed tariff regime prescribed in subsection (1)(a).
- (6) The tariff for all other petroleum shall be an amount determined in accordance with this Act and the Host Government Agreement.

PART III – SECURITY

5. Security

- (1) Notwithstanding Sections 72 and 32(6) of the Public Finance Management Act, security of any description, including charges or other encumbrances over the shares in the project company and any owned by the Ugandan state participant over the EACOP system, or any other project related assets may be granted to, registered, perfected and enforced by the finance parties or any agent or trustee on their behalf.
- (2) The project company and each key project party may –
 - (a) secure in favour of any finance party or any agent or trustee of the finance party, including by way of assignment, all or any of its rights under the Host Government Agreement and the finance party or any agent or trustee of the finance party may enforce that security, provided that –
 - (i) the Minister has granted his or her consent, which shall not be unreasonably withheld or delayed, to a security in favour of the finance party or any agent or trustee of the finance parties over the licence to construct or operate the EACOP system; or
 - (ii) if no security has been given over the licence to construct or operate the EACOP system, the Minister has granted consent, which shall not be unreasonably withheld or delayed to the security over the rights under the Host Government Agreement;
 - (b) agree with any finance party or any agent or trustee of the finance parties that in case of a default under the finance agreement, its rights and obligations under the Host Government Agreement may be novated to a finance party or any agent or trustee of the finance parties or to a third party, in all cases acceptable to the State pursuant to the direct agreements to be concluded between the State or the relevant state authority, as applicable, the finance parties and the project company or the project participant, as applicable.
- (3) Where the shares or assets of the Ugandan state participant are used as security of any description under subsections (1) or (2) by the Project Company, the Ugandan State Participant shall submit a report to Parliament in relation to the security within 30 days from the date of acquisition of the security.
- (4) Where the project company or any key project party requires a consent or other project authorisation from the State or any state authority to grant to the finance parties or any agent or trustee of the finance parties, in relation to limited or non-recourse project finance debt or bond financing for the EACOP project, security with respect to the EACOP

system or the rights and interests of the project Company or any project participant in relation to the EACOP project including rights arising under any state agreement or project authorisation –

- (a) the required consent or other project authorisation shall not be unreasonably withheld or delayed; and
- (b) if security in favour of the finance parties or any agent or trustee of the finance parties over:
 - (i) the licence to construct or operate the EACOP system has been consented to by the relevant state authority, which consent shall not be unreasonably withheld or delayed; or
 - (ii) the Host Government Agreement has been consented to by the State which consent shall not be unreasonably withheld or delayed,

then no further consent or project authorisation shall be required in relation to the granting of any other security in favour of the finance parties or any agent or trustee of the finance parties with respect to the EACOP system or the rights and interests of the project company or any project participant in relation to the EACOP project, including rights arising under any state agreement or project authorisation.

- (5) Any finance party or any agent or trustee of the finance parties shall have the right to enforce the security, where applicable upon the terms and conditions set out in any direct agreements to be concluded among the State of the relevant State authority as applicable, the finance parties and the project company or the project participant, as applicable.
- (6) Section 50 of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, shall not apply to the EACOP Project.

PART IV - TITLE TO PETROLEUM AND PAYMENT- IN-KIND

6. Title to petroleum

Notwithstanding the provisions of any Ugandan law, the Ugandan State participant shall hold the legal and beneficial ownership of petroleum allocated to it arising from the fifteen percent (15%) state participating interest in applicable petroleum agreements at the exit point from the upstream project at Kabaale to enable the Ugandan state participant to exercise its rights and perform its obligations under –

- (a) the relevant petroleum agreements;
- (b) the agreements for the transport of petroleum;
- (c) the Host Government Agreement; and
- (d) any other agreements entered into for the implementation of the agreements in paragraphs (a), b and (c).

7. Payment-in-kind

- (1) Notwithstanding Sections 2, 55(1), (5), (6) and (10), 57(3) and 72 of the Public Finance Management Act, where the State or the Uganda National Oil Company is a shipper, they may pay the transportation tariff charged

by the project company for the provision of transport and related services by way of payment-in-kind, the details of which will be agreed in agreements for the transport of petroleum.

- (2) The project company may –
- (a) acquire petroleum in connection with any payment-in-kind arrangements agreed with the State or the Uganda National Oil Company, in their capacity as shippers, for the payment of the transport tariff under the agreements for the transport of petroleum; and
 - (b) sell the petroleum referred to in paragraph 2(a) to other shippers or third-party purchasers,

in each case, without any gain or loss for the project company, the State or the Uganda National Oil Company which would not have been received, suffered or incurred if the transportation tariff had been settled in cash by the State and the Uganda National Oil Company and not by way of payment-in-kind.

- (3) The provision of guarantees or other assurances, including the creation of security over a shipper's assets, whether by operation of law or contract, may be agreed by the project company and the shippers other than in respect to the State for so long as the State and the Uganda National Oil Company are shippers and pay the transportation tariff by way of payment-in-kind or pursuant to other arrangements agreed with the project company in the applicable agreements for transport of petroleum.

PART V – ANTI-TRUST AND OTHER COMPETITION RELATED MATTERS

8. Anti-trust and other competition related matters

- (1) The regime applicable to the EACOP Project in relation to anti-trust and other competition matters shall be the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, this Act and Ugandan law.
- (2) The fulfilment by the project company, the project participants, the State and any state authority of the provisions of the Host Government Agreement shall be deemed compliance with subsection (1) including provisions relating to—
 - (a) the determination of the tariff and other conditions of access to the EACOP system;
 - (b) entering into and implementing agreements for the formation and management of the project company; or
 - (c) determining the persons with which to enter into contracts for the transport of petroleum.

PART VI - PROJECT AUTHORISATIONS**9. Project authorisations**

- (a) Where the project company or a project participant has applied for an extension, renewal or re-issuance of a project authorisation within the period specified under the terms and conditions of the project authorisation and Ugandan law, the project authorisation shall be deemed to continue in force and shall not expire or terminate, until the end of the period during which the relevant state authority is reviewing the application.
- (b) A bond, security, guarantee or other credit support shall not be required for the issuance of any project authorisation, except that in relation to an application for a licence to construct and a licence to operate a pipeline under Section 10 of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, the undertakings by the project company under the Host Government Agreement shall constitute the only form of security or bond required.
- (c) The renewal of a project authorisation shall not be refused on the ground that, at the time of the renewal, the project company or other project participant has violated any Ugandan law or any condition in the project authorisation, except where, at the time of renewal, the applicant has and continues to violate Ugandan law under which the project authorisation is issued or any condition in the project authorisation and has not corrected or taken reasonable steps to correct the violation after notification by the relevant state authority.
- (d) A project authorisation shall not be subject to termination, lapse, revocation or suspension for any reason other than a reason specified in the Host Government Agreement, the relevant project authorisation or Ugandan law including –
 - (a) an occurrence of *force majeure*;
 - (b) any granting or enforcement of any security interest in relation to the EACOP project in favour of any finance party or any agent or trustee of the finance party; or
 - (c) any transfer of any direct or indirect ownership interests in the project company which does not contravene Section 40 and the Host Government Agreement.
- (e) Where the State or a state authority believes that there may be grounds for the termination or suspension of a project authorisation, the State or relevant state authority shall not commence any procedure or take any action potentially leading to the termination or suspension, including sending any notice for termination or suspension, unless –
 - (a) the State or the relevant state authority has given the holder of that project authorization and the project company, a notice describing

the situation and the grounds for the action, at least thirty business days prior to taking the procedure or action; and

- (b) following the issue of the notice referred to in paragraph (a), the holder of the project authorisation and the project company have been provided a period of at least thirty business days in which –
 - (i) to rectify the grounds specified in the notice or provide reasonable evidence that there are no grounds;
 - (ii) to conduct *bona fide* discussions with the relevant state authority with a view of avoiding the termination or suspension; and
- (c) notwithstanding subsection (4), in case of a licence to construct or operate the EACOP system in Uganda, the licence is being suspended for a known and persistent failure or refusal by the project company to respect the terms of the Host Government Agreement or Ugandan law, causing danger to persons, property or the environment or being terminated for circumstances that would entitle the State to terminate the Host Government Agreement.
- (f) In relation to an application for a construction licence, the only consents and permits to be submitted by the project company under Section 10(6)(ab) of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, are those listed in Form 4, item 7 of Schedule 1 to the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Regulations.
- (g) The project company shall not be required to obtain a licence under Section 7 of the Trade Licensing Act when it acquires or disposes of petroleum in kind and no permit, consent, licence, authorisation, approval or registration shall be required for that purpose.
- (h) Notwithstanding Section 15(2) of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, and regulation 60(4) and 82(1) of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Regulations –
 - (a) any alteration or deviation to the approved pipeline route, which is not of a substantial nature shall not require the approval of the Authority; and
 - (b) any change or modification to the pipeline installations, which is not of a substantial nature shall not require the approval of the Minister.

PART VII - LAND RIGHTS

10. Land rights

- (1) The EACOP project shall constitute public works under Section 1 of the Land Act.
- (2) The Uganda Land Commission or other relevant state authority shall grant land rights to enable the project company to undertake all project activities.
- (3) Where land has been identified for implementation of project activities, compensation of project affected persons and acquisition of the land shall be done in accordance with the laws of Uganda and the Host Government Agreement.
- (4) Notwithstanding any Ugandan law, each land rights instrument issued to the project company by the relevant state authority shall –
 - (a) enable the project company to undertake all the required project activities, including owning the EACOP system, and granting security over the land rights and the EACOP system placed on, under or in the land; and
 - (b) be in effect for sixty-six (66) years, or in the case of short-term requirements, for a shorter period of time corresponding to the duration of the relevant project activities.
- (5) Notwithstanding any Ugandan law, a land rights instrument shall not be terminated except where –
 - (a) the Host Government Agreement has been terminated in accordance with its terms; and
 - (b) the project company or the Uganda Land Commission or other relevant state authority serves a notice of termination in writing to the other; provided that no notice may be validly served by the Uganda Land Commission or other relevant state authority prior to the permanent cessation of all project activities.
- (6) For the avoidance of doubt, no other event or circumstance, including breach of a land rights instrument related to the EACOP project shall constitute grounds for termination of any land rights instrument related to the EACOP project.

PART VIII - NATIONAL CONTENT REQUIREMENTS

11. National content requirements under the EACOP project

- (1) The national content regime applicable to the EACOP project shall be this Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, and the Petroleum (Refining, Conversion, Transmission and Midstream Storage) (National Content) Regulations and Ugandan law.
- (2) The fulfilment by the project company, the project participants, the State and the state authorities of the national content provisions under the

Host Government Agreement shall be deemed compliance with subsection (1).

12. National content plans

- (1) The project company shall, for purposes of this Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, and the Petroleum (Refining, Conversion, Transmission and Midstream Storage) (National Content) Regulations develop and submit to the Authority for approval, national content plans for the construction phase and the operations phase respectively, in accordance with the Host Government Agreement.
- (2) A plan developed and submitted by the project company under subsection (1) and approved by the Authority in accordance with the Host Government Agreement shall be deemed to have satisfied the requirement for submission of a national content programme under this Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act and the Petroleum (Refining, Conversion, Transmission and Midstream Storage) (National Content) Regulations.

13. Principles for developing and implementing national content plans

- (1) A national content plan shall be developed in accordance with the cross-border nature of the EACOP project and this Act and shall identify all relevant cross border issues.
- (2) Where appropriate, each national content plan shall be harmonised and coordinated with the similar requirements in Tanzania, including the requirements for approval, implementation and monitoring of the plan over the life of the EACOP project.
- (3) Each national content plan shall –
 - (a) be developed in accordance with the cross-border nature of the EACOP project and this Act;
 - (b) facilitate the development and implementation of the EACOP system in Uganda and Tanzania on a single integrated basis;
 - (c) reflect the principles contained in the Host Government Agreement; and
 - (d) set out the objectives and targets, action plans and key performance indicators related to the implementation of the national content requirements set out in the plan.
- (4) The Authority shall approve all aspects of each national content plan and monitor the implementation of each national content plan in accordance with this Act.
- (5) For purposes of measuring compliance with the national content requirements –

- (a) any supply of goods or services by Ugandan parties to the EACOP project in Tanzania;
- (b) any recruitment or training of Ugandans in relation to the EACOP project in Tanzania; and
- (c) any transfer of technology to Ugandans in relation to the EACOP project in Tanzania,

shall be considered by the Authority as part of the contribution of the project company to national content under Ugandan law.

14. Registration on the national supplier data base

- (1) An entity shall not provide goods, works and services for the EACOP project unless it is registered on the national supplier database maintained by the Authority.
- (2) Notwithstanding subsection (1), where goods, works and services are not available in Uganda, they may be provided by an entity not registered on the national supplier database.
- (3) The project company and its contractors may also contract with an entity not registered on the national supplier database for services limited in time in order to handle an emergency situation.
- (4) For the purpose of this Section, “emergency situation” means a circumstance which is urgent or unforeseeable or a situation which is not caused by dilatory conduct and which may –
 - (a) compromise life, the environment, the condition or quality of goods, equipment or buildings;
 - (b) cause a serious delay to the EACOP project unless a procurement is undertaken within the required time frame;
 - (c) cause the EACOP project feasibility to be seriously compromised unless a procurement is immediately undertaken; or
 - (d) cause operation shutdown unless action is urgently taken.

15. Selection of contractors during the construction phase

- (1) The project company may conduct a call for tenders process for contracting packages identified in the construction phase national content plan in parallel to submission of the construction phase national content plan.
- (2) The project company shall submit quarterly reports to the Authority on the implementation of the construction phase national content plan in accordance with the national content provisions under the Host Government Agreement.

- (3) Regulations 9 and 15 of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) (National Content) Regulations shall not apply to the EACOP project during the construction phase.

16. Award of contracts during the construction phase

- (1) The project company may award contracts or continue the contracts for the scope of goods, works or services set out in the construction phase bid evaluation report approved by the Authority.
- (2) A contractor and each of the direct or indirect subcontractors of the contractor shall be entitled to award contracts or continue the contracts for the scope of goods, works or services identified as national or international, as the case may be subcontracting in the construction phase bid evaluation report approved by the Authority.
- (3) For the scope of goods, works or services identified as the yet-to-be identified national content subcontracting in the construction phase bid evaluation report approved by the Authority, a contractor and each of the direct or indirect subcontractors of the contractor shall run transparent and competitive selection processes and award contracts and procure the related goods, works and services, provided that –
- (a) the relevant national content requirements for the contractor approved in the bid evaluation report are respected;
 - (b) all suppliers to which contracts are awarded are registered on the national supplier database maintained by the Authority;
 - (c) the contractor advertises the related selection process in at least two newspapers of national circulation, giving at least one month to reply; and
 - (d) the contractor has communicated its decision to the unsuccessful bidders, indicating the reasons why the bid was unsuccessful,

and in relation to paragraphs (a), (b) and (c), the contractor and each of its direct or indirect subcontractors shall not be required to prepare or submit separate national content plans, obtaining approvals in relation to national content from the Authority, or to report to the Authority on national content and shall not be subject to any further steps, approvals, consents or restrictions from the Authority.

- (4) The national content related to any sub-contracting under subsection 3(a), (b) and (c) shall be included in the quarterly reports submitted to the Authority by the project company for the purpose of measuring compliance with national content requirements.

17. Recruitment and training during the construction phase

The plans for the recruitment of Ugandan citizens and training of Ugandan citizen employees during the construction phase shall be as set out in the construction phase national content plan and the Host Government Agreement.

18. Selection of contractors during the operations phase

Unless the project company determines that specific obligations unique to the operations phase require to proceed otherwise or the project company and the Authority agree otherwise, the provisions of Section 15 of this Act shall apply with necessary modifications to the selection of contractors and direct and indirect subcontractors until the end of the fifth year of the operations phase.

19. Award of contracts during the operations phase

Unless the project company determines that specific obligations unique to the operations phase require to proceed otherwise or the project company and the Authority agree otherwise, the provisions of Section 16 of this Act shall apply with the necessary modifications to the award of contracts to contractors and direct and indirect subcontractors until the end of the fifth year of the operations phase.

20. Procurement of critical intragroup expertise

The procurement of the critical intragroup expertise for services in the National Content Appendix to the Host Government Agreement shall not be considered procurements giving rise to national content obligations under this Act or any other Ugandan law.

21. Procurement of international project finance services

The project company may, during the construction phase, procure international project finance services in the National Content Appendix to the Host Government Agreement from international suppliers in accordance with the conditions set out in the Host Government Agreement.

22. Procurements for everyday business purposes

- (1) The project company and its contractors shall not be required to advertise or conduct tender processes for purchases of goods and services for everyday business purposes, including, for travel, taxis, accommodations, courier services or stationery, where –
 - (a) the purchases are made on a spot or short-term basis and if made from Ugandan parties, whether or not registered in the national supplier database; and
 - (b) the purchases are for amounts less than the equivalent of ten thousand United States Dollars per transaction per month.

- (2) In case of purchases of goods and services for everyday business purposes for which the project company, acting reasonably, considers that the selection of a single supplier is feasible, including based on the nature of the goods or services and the location where needed, the project company and its contractors shall put in place call-off or framework contracts, bid and awarded in accordance with section 16(3)(c).

23. Reserved contracts

- (1) The Project Company shall, subject to subsection (2) reserve for Ugandan parties the reserved contracts for works, goods and services in the National Content Appendix to the Host Government Agreement to be provided in or to Uganda.
- (2) Where, considering the commercial terms, quantity, quality, delivery time, and required labour standards, technical standards and Environmental, Health and Safety Standards, the project company determines, after consultation with the Authority, that capacity among Ugandan Parties for any of the goods, works or services is insufficient to meet the requirements of the EACOP project –
 - (a) the project company shall inform the Authority of that determination;
 - (b) the project company or its contractors shall reserve for Ugandan parties, contracts for the goods, works or services to the extent of their available capacity and ability as determined by the project company after consultation with the Authority; and
 - (c) for the balance, the project company shall notify the Authority that capacity among Ugandan parties for the goods, works or services is insufficient to meet the requirements of the EACOP project, and the Authority shall grant the project company or its contractors the consent, which consent shall not to be unreasonably delayed or withheld, to procure the relevant goods, works or services from a reputable international supplier, subject to the requirements to form a Ugandan joint venture with a Ugandan party or, where that is not possible, from a reputable international supplier alone.
- (3) The procurement under subsection (2) shall emphasise subcontracting, where possible to Ugandan parties, local supplier development, employment and training of Ugandan parties or technology transfer as selection criteria.
- (4) The provisions of subsections (1) and (2) shall not preclude Ugandan parties from providing goods, works and services or participating in the procurement process for goods, works and services that are not in respect of reserved contracts.

24. Joint ventures with local partners

- (1) Subject to Sections 20, 21 and 23, where goods, works or services required by the project company, its contractors and their subcontractors are not available in Uganda, the goods, works and services may be provided by a foreign supplier that has entered into a Ugandan joint venture with Ugandan parties approved by the Authority and registered on the national supplier database.
- (2) A Ugandan party shall be considered eligible to participate in a Ugandan joint venture, where the Ugandan party –
 - (a) has the technical and financial competence and is able to deliver the goods, works and services in a timely manner;
 - (b) demonstrates an ability to assist in technology transfer and the transfer generally of knowledge and technology to Ugandan parties;
 - (c) has experience in providing the required goods, works and services; and
 - (d) demonstrates that it will take active participation in the Ugandan joint venture.
- (3) Where, following the assessment by the project company of the national market prior to a request for tenders or following the analysis by the project company of responses to a request for tenders, and considering the required quantity, quality, delivery time, labour standards, technical standards, Environmental, Health and Safety Standards or commercial terms, the project company determines that no Ugandan party is able to provide specific goods, works or services or to serve as a joint venture partner in a Ugandan joint venture for particular goods, works or services–
 - (a) the project company shall notify the Authority, describing the assessment or tender process, as applicable, that it followed and the reasons for coming to the conclusion; and
 - (b) the Authority shall promptly grant the project company the consent, which consent shall not to be unreasonably delayed or withheld, to procure the relevant goods, works or services from a reputable international supplier.
- (4) The procurement under subsection (3) shall include subcontracting, where possible, to Ugandan parties, local supplier development, employment and training of Ugandan parties or technology transfer as selection criteria.

25. Unbundling of contracts

Unbundling shall not apply to contracts to be concluded with the level 1 construction phase contractor pursuant to the contracting strategy notified to the Authority prior to the date of the Host Government Agreement.

26. Mobilisation of staff

- (1) The project company shall be entitled to mobilise management staff in accordance with the Host Government Agreement.
- (2) For the purposes of regulation 21 of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) (National Content) Regulations, the project company or a project participant shall submit the following information—
 - (a) job title and required responsibilities;
 - (b) *curriculum vitae*;
 - (c) translated and certified academic documents or equivalent professional or trade qualifications;
 - (d) duration of proposed employment in Uganda; and
 - (e) letter of good conduct.

27. Recruitment and training during the operations phase

- (1) Plans for the recruitment of Ugandan citizens and training of Ugandan citizen employees during the operations phase shall be as set out in the operations phase national content plan.
- (2) For the purpose of regulation 18(4)(b)(ii) and (iii) of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) (National Content) Regulations, the percentage of the management staff and the technical staff shall include Ugandan and Tanzanian citizens.

PART IX - INSURANCE AND RE-INSURANCE**28. Insurance and re-insurance of the EACOP project**

- (1) The insurance regime applicable to the EACOP project shall be this Act, the Insurance Act, the National Environment Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Regulations and Ugandan law.
- (2) The fulfilment by the project company, the project participants, the State and the State authorities of the insurance and re-insurance provisions under the Host Government Agreement shall be deemed compliance with subsection (1).
- (3) The project company shall, subject to subsection (4), effect and maintain in relation to the EACOP project, for purposes of Section 10(8)(b) of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, the insurances set out in Schedule 1 to this Act which shall be fully re-insured with re-insurers, each with acceptable credit rating in accordance with this Act.

- (4) Re-insurances shall be affected and maintained in accordance with a competitive process and, to the extent possible, shall be arranged to achieve a single re-insurance placement for each type of insurance effected in respect of the EACOP project, both in Uganda and Tanzania.
- (5) Subject to subsection (6), the insurers shall, in accordance with this Act and Ugandan law, offer to place mandatory re-insurance cessions with Uganda Re, Zep RE and Africa Re for the value of up to 30% of the risks related to the EACOP project existing in Uganda.
- (6) Where, as a result of the mandatory cession, referred to in subsection (5), more than 5% in aggregate of the risks related to the EACOP project existing in Uganda are re-insured with re-insurers without an acceptable credit rating, the amount exceeding 5% shall be further re-insured with re-insurers with an acceptable credit rating selected by the mandatory re-insurers in conjunction with the project company from amongst re-insurers identified during the competitive process referred to in subsection (4).
- (7) Notwithstanding Section 73(6) of the Insurance Act, the insurers or mandatory re-insurers referred to in subsection (6) may, in conjunction with the project company, to the extent necessary to meet the requirements of this Section, place, re-insurances with re-insurers located outside Uganda.

PART X - NON-INTERRUPTION OF PROJECT ACTIVITIES

29. Non-interruption of project activities

- (1) Notwithstanding Sections 76(2), 121 and 122 of the Petroleum Exploration, Development and Production Act and Sections 41 and 42 of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, the Minister or any other State authority shall not require the Ugandan upstream partners or the project company to deliver any petroleum from the existing Uganda oil fields to and for the domestic market or any other use, other than the reserved petroleum.
- (2) Subject to subsection (3), the Minister or any other state authority shall not interrupt, curtail, delay or otherwise impede the transportation of petroleum through the EACOP system or other project activities except –
 - (a) as specifically provided in subsection (3); or
 - (b) where it is specifically authorised by a competent dispute settlement authority.
- (3) Where there are reasonable grounds for the State to believe that the project activities have given rise to an emergency, or to a situation where an emergency is imminent, the State may interrupt the relevant project activities in Uganda, only to the extent and for the length of time

necessary to remove or avoid the emergency and in that case, the State shall –

- (a) as soon as is reasonably practicable, give notice to the project company of the interruption, giving reasonably full details of the reasons for the interruption and all other pertinent information;
 - (b) allow the project company sufficient time to ensure the safe reduction or interruption of transit flow, if applicable;
 - (c) consult with the project company as to possible actions that may be taken by the appropriate party, reflecting the nature of the emergency in order to remedy the relevant situation so as to avoid or reduce the time or severity of any interruption; and
 - (d) coordinate with Tanzania to ensure that the actions taken by the State under the Host Government Agreement and by Tanzania under any equivalent provisions of the Tanzanian Host Government Agreement are harmonised and seek to remedy the relevant situation so as to avoid or reduce the time or severity of any interruption.
- (4) Without limiting the generality of subsection (2), in the event of a dispute over any matter arising from the transportation of petroleum through the EACOP system, the Intergovernmental Agreement or the Host Governmental Agreement, the State shall not interrupt or reduce, or require or permit any State authority to interrupt or reduce the transport of petroleum or other project activities in Uganda, except where it is specifically provided for in a contract or other agreement governing the transport of petroleum or any other project activities in Uganda.

PART XI - THIRD PARTY ACCESS

30. Third party access

- (1) The third-party access regime applicable to the EACOP Project shall be this Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Regulations and Ugandan law.
- (2) The fulfilment by the project company, the project participants, the State and the State authorities of the third-party access provisions of the Host Government Agreement shall be deemed compliance with subsection (1).

31. Third party access to the transportation system

- (1) The EACOP project shall initially transport petroleum from the existing Uganda oil fields on behalf of the shippers and agreements to transport petroleum from the existing Uganda oil fields shall be entered into and

performed in priority to any other agreements for transportation of petroleum through the EACOP system.

- (2) The Authority shall consult and coordinate with the relevant Tanzanian state authority to approve a harmonised set of guidelines, for access to any available capacity of the EACOP system for the transportation of petroleum which does not originate from the existing Uganda oil fields, proposed by the project company and applicable to the whole of the EACOP system, including with respect to the tariff calculation methodology.

32. Available capacity

Any available capacity in the EACOP system in a given period shall be determined by the project company based on –

- (a) the mechanical availability and hydraulic capability of the EACOP system, together with any other factors reasonably foreseeable by the project company which may affect the capacity of the EACOP system to transport petroleum; and
- (b) the capacity in the EACOP system required to fulfil the project company's commitments to the shippers.

33. Tariff calculation methodology for third party access

- (1) The tariff calculation methodology under subsection (3) shall specify that –
 - (a) subject to paragraph (b), the tariff for a third party's petroleum shall be equal to the tariff then applicable for petroleum produced at the existing Uganda oil fields; and
 - (b) where the economics of a third party's petroleum cannot support the tariff determined in accordance with paragraph (a), the tariff shall be agreed between the State and the project company, the third party and Tanzania in accordance with the Host Government Agreement.
- (2) In addition to any tariff determined under subsection (3), the third party shall be responsible for –
 - (a) all costs associated with the third party connecting to the EACOP system; and
 - (b) any additional direct costs induced in the EACOP system in connection with transporting the petroleum.
- (3) The third-party tariff determined in accordance with the approved guidelines and the methodology issued by the State authority shall be approved by the relevant state authority.

- (4) For the purposes of this section, “approved guidelines” means a harmonised set of guidelines, for access to any available capacity of the EACOP system for the transportation of petroleum which does not originate from the existing Uganda oil fields, proposed by the project company and approved by the Authority applicable to the whole of the EACOP system, including with respect to the tariff calculation methodology for the purposes of this Act and the Host Government Agreement.

PART XII - DECOMMISSIONING

34. Applicable regime for decommissioning

- (1) The decommissioning regime applicable to the EACOP project shall be this Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act and the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Regulations and Ugandan law.
- (2) The fulfilment by the project company, the project participants, the State and the State authorities of the decommissioning provisions of the Host Government Agreement shall be deemed compliance with subsection (1).
- (3) The Authority shall –
 - (a) coordinate with the relevant Tanzanian state authority to assist the project company to achieve the harmonisation and coordination of the decommissioning plan and the decommissioning activities across Uganda and Tanzania; and
 - (b) cooperate and coordinate with the relevant Tanzanian state authority in the process of approving each version of the decommissioning plan submitted by the project company to ensure that a uniform, consistent and harmonised decommissioning plan is approved for the EACOP project.

35. Decommissioning fund

- (1) The project company shall be responsible for the costs related to the implementation of the decommissioning plan.
- (2) The project company, the Minister and the relevant Tanzanian state authority shall together choose from among the financial institutions indicated in the decommissioning plan either –
 - (a) a single financial institution to act as escrow agent and account bank; or
 - (b) a financial institution to act as escrow agent and a second financial institution to act as account bank, in which case the escrow agent shall hold the decommissioning fund in trust.

- (3) The project company shall make transfers to the decommissioning fund as follows –
 - (a) from the date falling five years after the first oil date and until the date falling ten years after the first oil date, the project company shall make annual transfers to the decommissioning fund in accordance with the Host Government Agreement for decommissioning works approved in the latest decommissioning plan; and
 - (b) from the date falling ten years after the first oil date, the project company shall make transfers to the decommissioning fund in accordance with the Host Government Agreement.
- (4) Where the decommissioning fund is not sufficient to cover the implementation of the decommissioning plan, the project company shall cover the extra costs and expenses required to implement the decommissioning plan.
- (5) The agreed fiscal regime shall apply to the decommissioning fund and related interest, and payments into and out of the decommissioning fund.
- (6) The Minister shall submit a report, annually, to Parliament on the status of the decommissioning fund.

36. Completion of decommissioning

- (1) When the project company determines that all material activities required under the decommissioning plan have been completed, the project company shall contract with an independent consulting firm, chosen by the project company from the list of reputable and experienced firms set out in the decommissioning plan for that purpose, to prepare and deliver to the project company and the Authority a post-decommissioning finalisation report confirming completion of the decommissioning works in relation to all affected sites.
- (2) The post-decommissioning finalization report shall be reviewed and approved by the Authority in consultation with the National Environment Management Authority in accordance with the National Environment Act, the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, and the Host Government Agreement.
- (3) Upon approval by the Authority of the post- decommissioning finalisation report: –
 - (a) the project company shall be released from any liability for environmental and social impacts resulting from the EACOP project; and

- (b) at the request of the project company, any excess funds standing to the credit of the decommissioning fund shall be released to the project company.

PART XIII - MISCELLANEOUS

37. Early project activities

- (1) This Act shall apply to all project activities, including those undertaken prior to the effectiveness of the Host Government Agreement which include early project activities.
- (2) For the purposes of this section “early project activities” means all project activities carried out in relation to the EACOP system from 1st day of January 2016 up to the earlier of –
 - (a) the date on which the final investment decision for the EACOP project occurs; or
 - (b) the effective date of the Host Government Agreement.

38. Import and export

- (1) Notwithstanding Sections 3 and 4 of the External Trade Act and without prejudice to the requirements of Section 11, there shall be no restriction on import, export, re-import, re-export or movement of goods, including petroleum, materials, supplies, technology and equipment related to the origin of those items or the persons contracted to provide them for the EACOP project.
- (2) Subsection (1) applies only to imports and exports related to the EACOP project and shall not be construed as limiting the application of restrictions or prohibitions on any other imports into or exports out of Uganda under Ugandan law.

39. Force majeure

Notwithstanding Section 100 of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, the only force majeure provisions applicable to the EACOP project shall be those specified in the Host Government Agreement.

40. Transfer of rights and obligations

- (1) Any transfer of a direct or indirect ownership interest in the project company which results in a change of decisive control of the project company shall be subject to the prior written consent of the Minister, which consent shall not be unreasonably withheld or delayed.
- (2) The Minister shall not withhold consent under subsection (1) except where a change of decisive control may –

- (a) have a material adverse effect on the legal and technical capacity, competence and financial strength of the project company; or
 - (b) prejudice the public interest or safety in Uganda.
- (3) Any decision of the Minister to withhold consent under subsection (2) shall be issued together with an explanation in support of the decision.
- (4) Subsection (1) shall not apply where a change of decisive control relates to–
- (a) any State authority, including the Uganda National Oil Company or any Tanzanian state authority, including the Tanzania Petroleum Development Corporation;
 - (b) any transfer of shares in the project company to the State or a state authority provided for in the Host Government Agreement;
 - (c) the enforcement of any security by the finance parties or any agent or trustee of the finance parties upon the terms and conditions set out in any direct agreement to be concluded among the relevant state authorities, as applicable, the finance parties and the applicable project participants; or
 - (d) a change within the chain of holding companies between a shareholder and its ultimate parent company where, following the change, there is no change of the ultimate parent of the shareholder and to the jurisdiction of the shareholder.
- (5) For the purposes of this Section, “decisive control” means the possession by a person, directly or indirectly, of the power to direct or cause the direction of management, whether through ownership of shares or voting rights.
- (6) Sections 25(5) and (6) and 30(6) of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act shall not apply to the EACOP project.
- (7) For the avoidance of doubt, this Section shall not apply for purposes of Schedule 2 to this Act.

41. Provision of electricity

Notwithstanding Sections 29, 30, 31 and 53 of the Electricity Act –

- (a) the project company shall have the right to receive and use electrical power generated from excess associated gas by the upstream project at Tilenga or Kingfisher for pumping, heating and other operational purposes solely in connection with the transport of petroleum through the EACOP system, including the right to construct and operate any necessary infrastructure, in accordance with

arrangements jointly agreed with the Electricity Regulatory Authority; and

- (b) the project company shall have the right to use petroleum in the EACOP system for the purposes of electricity generation and process heating for pumping, heating, terminal operations and other operational purposes solely in connection with the transportation of petroleum through the EACOP system, on terms and conditions to be agreed with the shippers.

42. Fibre optic network

- (1) The project company may make excess capacity in the EACOP project's fibre optic network available to third parties on the basis of no cost to the user and no liability for the project company in accordance with the arrangements agreed with the relevant state authority.
- (2) The project company shall not be required to obtain a licence under the Uganda Communications Act for the purposes of subsection (1).

43. Fiscal regime

- (1) The fiscal regime applicable to the EACOP project shall be the regime of taxes and other charges pursuant to Ugandan law, including the regime for imposing, administering and disputing taxes and other charges, as modified by Schedule 2 to this Act.
- (2) Where there is any inconsistency between the application of Schedule 2 to this Act, and the application of any other Ugandan Law, Schedule 2 of this Act shall prevail.

44. Regulations

The Minister may in consultation with the Authority, by statutory instrument, make regulations generally for giving effect to the provisions of this Act and for its due administration and to facilitate the implementation of the Host Government Agreement.

45. Supremacy of this Act

This Act takes precedence over all existing laws relating to any matter under this Act, and where there is a conflict between this Act and any other Ugandan law, other than the Constitution in relation to any matter under this Act, this Act shall prevail.

SCHEDULES*Schedule 1*

Section 28(3)

Insurances

1. Construction period insurances

Insurance type	Brief description
Construction: all risks	Physical loss of or physical damage to all EACOP project related works located on worksites in connection with the project Activities.
Marine cargo	Damage to EACOP project related works or their components whilst being transported.
Third party liability insurance	Legal liability of the project company or any other insured party under the policy to third parties for or arising from – (a) bodily injury, illness, or death; (b) loss or damage to property; or (c) damage to the environment

2. Operating period insurances

Insurance type	Brief description
Property damage	Damage to EACOP project related facilities.
Marine cargo	Damage to EACOP project related works or their components whilst being transported.
Third party liability insurance	Legal liability of the project company or any other insured party under the policy to third parties for or arising from – (a) bodily injury, illness or death; (b) loss or damage to property; or (c) damage to the environment.

3. At all times; all other insurances which are mandatory under Ugandan law, including automobile insurances, worker's compensation and employer's liability.

Schedule 2

Sections 3, 40(7) and 43

AGREED FISCAL REGIME**PART A****1. Definitions**

“affected taxpayer” means, for the purposes of a double taxation matter, one or more of the project company (or operator), any level 1 contractor and any level 2 contractor;

“affiliated financial institution” means a finance party that –

- (a) is a credit or financial institution;
- (b) is an affiliate of a shareholder; and
- (c) is such an affiliate only by reason that the finance party and the shareholder are both directly, or indirectly through one or more intermediaries, controlled by or under common control of, the same state;

“agreed fiscal regime” has the meaning set out in Section 3 of this Act;

“allocated amount” means for each fiscal year the amount allocated to Uganda, corresponding to –

- (a) in respect of corporate income tax, the proportion of the project revenues, project expenses, project assets and project liabilities, as relevant, that is determined by applying the allocation percentage to project revenues, project expenses, project assets and project liabilities, as relevant, and the residual proportion of such project revenues, project expenses, project assets and project liabilities shall be allocated to the Tanzanian permanent establishment of the project company; and
- (b) in respect of withholding tax, where a payment in connection with project activities is made by the project company to a level 1 contractor–
 - (i) for a supply of services that are performed outside Uganda and Tanzania –
 - (A) where such services are directly used by the project company in both Uganda and Tanzania, the amount that is determined by applying the allocation percentage to such payment, and the residual proportion of such payment shall be allocated to the Tanzanian permanent establishment;

- (B) where such services are directly used by the project company exclusively in Uganda, the entire amount of such payment; and
- (C) where such services are directly used by the project company exclusively in Tanzania, no amount of such payment;
- (ii) for a supply of services that are performed inside Uganda or Tanzania –
 - (A) where such services are performed in Uganda, the entire amount of such payment; and
 - (B) where such services are performed in Tanzania, no amount of such payment;

“allocation percentage” shall be forty percent (40%);

“branch profits tax” means any tax imposed on the repatriated income of a branch pursuant to Section 81 of the Income Tax Act;

“certificate” has the meaning set out in Part H of this Schedule;

“construction phase” means the period –

- (a) commencing on the date that the final investment decision in relation to the EACOP project is communicated to Uganda and Tanzania; and
- (b) expiring on the third anniversary of the date that the period commences under paragraph (a), provided that the expiration of the period under paragraph (b) shall be extended on each occasion where the construction or installation of the EACOP system is interrupted, or otherwise impeded, for longer than thirty days as a result of a disruption event by the total number of days from such interruption or impedance until such construction or installation fully resumes;

“corporate income tax” means any income tax imposed on the chargeable income of an incorporated body under the Income Tax Act, other than any tax imposed under Section 136(3) of the Income Tax Act;

“depreciation principles” shall apply to paragraph 3(4)(a) of Part C and mean the following principles –

- (a) no project asset shall be added to the pool of depreciable assets under Section 27(9) of the Income Tax Act prior to the commencement of the exemption period;
- (b) the first use of the depreciable project assets shall correspond to the commencement of the exemption period;

- (c) the cost base of each project asset shall be calculated under Section 51(2) of the Income Tax Act; and
- (d) a temporary, as opposed to permanent, interruption to the operation of the EACOP system where the relevant depreciable asset(s) remain installed as part of the EACOP system shall not be treated as a deemed disposal of such depreciable asset(s) under Section 49 of the Income Tax Act;

“disruption event” means an event due to the actions or omissions of Uganda or a Ugandan Authority that is –

- (a) outside the control of the project company; and
- (b) is not related to any breach by the project company of Ugandan Law, the Host Government Agreement or any other project agreement to which the project company is a party;

“dividend” means a dividend as defined in the Income Tax Act;

“domestic credit” has the meaning set out in paragraph (3)(11)(a) of Part C of this Schedule;

“double taxation matter” means a matter resulting in double taxation with respect to taxation, or other charges, being imposed by both Uganda and Tanzania in relation to the EACOP project, including without limitation any double counting of income, revenue, gains, expenses, assets or liabilities in respect of any taxes on income, capital or transfers as a result of applying an allocation method that is not uniform and harmonised with Tanzania;

“EACOP transaction” has the meaning set out in paragraph 1 of Part H of this Schedule;

“early project costs” means all of the costs incurred by an investor in relation to early project activities;

“exemption period” means the period –

- (a) commencing on the date of the first commercial transportation and export of petroleum from the EACOP system; and
- (b) expiring on the tenth anniversary of the date in paragraph (a),

provided that the expiration of the period under paragraph (b) shall be extended on each occasion where the transport of petroleum through the EACOP system is interrupted, or otherwise impeded, for longer than thirty days as a result of a disruption event by the total number of days which the transport of petroleum

through the EACOP system is interrupted, or otherwise impeded, as a result of such disruption event and until such transportation of petroleum fully resumes;

“fiscal year” means a period of twelve consecutive months, or such shorter period as may be applicable, in respect of which corporate income tax is calculated;

“foreign credit” shall have the meaning set out in paragraph (3)(11)(b) of Part C of this Schedule;

“income tax” means tax imposed under or pursuant to the Income Tax Act;

“level 1 contractor” means any direct contractor of the project company, including any engineering, procurement and construction type (EPC) contractor(s);

“level 2 contractor” means any direct contractor of a level 1 contractor;

“non-tariff chargeable income” shall have the meaning set out in paragraph (3)(2)(a) of Part C of this schedule;

“permanent establishment” means a branch as defined in the Income Tax Act and in determining whether certain project activities undertaken by a project participant constitute a branch in Uganda, the ownership of or rights to petroleum being Transported through or stored within the EACOP system, and any export or sale for export of petroleum, shall not by itself constitute a branch in Uganda for such project participant;

“project assets” means any tangible or intangible assets held or owned, or deemed to be held or owned, by the project company in connection with or for use in respect of its project activities;

“project expenses” means expenses, costs, losses or other outgoings that are incurred, or deemed to be incurred, by the project company or a level 1 contractor, as relevant, in respect of its project activities, and in the case of the project company, shall include all of the early project costs charged or re-charged to the project company;

“project liabilities” means any liabilities owed or held, or deemed to be owed or held, by the project company in connection with or for use in respect of its project activities;

“project participant” means each investor, operator, contractor, shipper, finance party and offtaker;

“project revenue” means revenue, gains or other receipts that are derived, or deemed to be derived, by the project company in respect of its project activities;

“resident” means a resident for tax purposes in Uganda and for the purposes of this definition, in determining whether a project participant is a resident for tax purposes in Uganda –

- (a) the fact of its ownership of, or rights to, petroleum being transported through or stored within the EACOP system, or its export or sale for export of any petroleum, shall not by itself mean the project participant is a resident for tax purposes in Uganda; and
- (b) the fact that it directly or indirectly holds or disposes of –
 - (i) shares in the project company; or
 - (ii) a company that is itself a resident in, has a branch in, or carries on a business in, Uganda, shall not by itself mean the Project Participant is for tax purposes a resident in Uganda;

“Tanzanian permanent establishment” shall have the meaning set out in paragraph (2)(4) of Part B of this schedule;

“tariff chargeable income” shall have the meaning set out in paragraph (3)(2)(a) of Part C of this Schedule;

“taxes” means any existing and future taxes, levies, duties, customs, imposts and fees including withholding taxes and value added tax payable to or imposed by or in Uganda and “tax” means any one of them;

“Ugandan head office” means the registered branch of the project company in Uganda as referred to in Article 11 (Right to Own, Implement and Operate the Project) of the Host Government Agreement;

“UK permanent establishment” shall have the meaning set out in paragraph (2)(4) of Part B of this Schedule;

“value added tax” means value added tax and any other similar taxes or impositions, including sales or goods and services taxes applicable to the supply or other provision of goods or services, or technology, payable to or imposed by or in Uganda.

PART B

2. General provisions

- (1) Nothing in this Schedule is meant to prejudice the application of the anti-avoidance provisions of the Ugandan law. For the avoidance of doubt, the exercise of rights or enjoyment of benefits provided for in this Schedule by a project participant shall not in and of itself constitute an act or omission contemplated by such anti-avoidance provisions.

- (2) The agreed fiscal regime shall include any applicable and in force double taxation agreement to which Uganda is or becomes a party. To the extent that a term of any applicable and in force double taxation agreement is inconsistent with any provision of the agreed fiscal regime, the term of that double taxation agreement shall prevail over such provision of the agreed fiscal regime if, and only to the extent that, such term of the double taxation agreement provides a more favourable term of relief, rate or exemption to a project participant than would otherwise apply under the agreed fiscal regime, including but not limited to the rates of withholding tax provided for under this Schedule.
- (3) The project company shall be a company incorporated in England and Wales and shall, for tax purposes, be a resident of Uganda on the basis that its management and control and place of management is exercised in Uganda. The Project Company shall carry on project activities in Uganda and in Tanzania and shall carry on routine functions in relation to financing the EACOP Project in the United Kingdom.
- (4) The project company shall, for tax purposes in Uganda, be treated as having a permanent establishment in Tanzania (the “Tanzanian permanent establishment”) and a permanent establishment in the United Kingdom (the “UK permanent establishment”).
- (5) This Schedule shall be applied in such a manner as to avoid and eliminate double taxation with respect to taxes on income, capital or transfers, including any double taxation in respect of corporate income tax, withholding tax or stamp duty, arising as a result of the project company structure for tax purposes as described in paragraph 2(3) and 2(4) of Part B of this Schedule.
- (6) Nothing in this Schedule shall prevent the application of the arm’s length principle in accordance with Ugandan law to any transactions in relation to the EACOP project between associates, other than transactions or arrangements between the Ugandan head office and its permanent establishment in Tanzania.
- (7) The agreed fiscal regime shall apply to the tariff income, irrespective of whether the tariff is paid in cash or in kind.
- (8) Where the tariff is paid in kind, neither –
 - (a) the acquisition by the project company of volumes of oil acquired as a result of the payment in kind, nor
 - (b) the sale of such volumes by the project company at a price determined on a no-gain no-loss basis,

shall be subjected to any liabilities to tax which exceed those which the project company would have been subject to if the payment of the tariff had been made in cash.

PART C

3. Corporate Income Tax

- (1) The tariff income from owning and operating the EACOP system shall not be subjected to corporate income tax during the exemption period.
- (2) During the exemption period –
 - (a) the chargeable income of the project company in Uganda shall comprise of the chargeable income in respect of the tariff income from owning and operating the EACOP system (the “tariff chargeable income”) and any other chargeable income (the “non-tariff chargeable income”). For the avoidance of doubt, the tariff chargeable income shall not be subjected to corporate income tax during the exemption period and the non- tariff chargeable income shall be subjected to corporate income tax during the exemption period;
 - (b) the project company shall calculate the tariff chargeable income and the non-tariff chargeable income separately for each fiscal year, in accordance with the following principles –
 - (i) income and expenses taken into account in calculating the tariff chargeable income shall comprise –
 - (A) the allocation percentage of the tariff income from owning and operating the EACOP system;
 - (B) the allocation percentage of the deductible expenses incurred solely in the production of the income included in the tariff chargeable income; and
 - (C) any deductible expenses incurred both in the production of the income included in the tariff chargeable income and the non-tariff chargeable income, allocated rateably to the tariff chargeable income in the proportion which the tariff chargeable income bears to the aggregate of the tariff chargeable income and the non-tariff chargeable income;
 - (ii) income and expenses taken into account in calculating the non-tariff chargeable income shall comprise –
 - (A) any income other than the income included in the tariff chargeable income, as determined under Ugandan law;
 - (B) (B) any deductible expenses incurred solely in the production of the income included in the non-tariff chargeable income, as determined under Ugandan law; and

- (C) any deductible expenses incurred both in the production of the income included in the tariff chargeable income and the non-tariff chargeable income, allocated rateably to the non-tariff chargeable income in the proportion which the non-tariff chargeable income bears to the aggregate of the tariff chargeable income and the non-tariff chargeable income; and
 - (D) the exemption of the tariff chargeable income from corporate income tax shall be calculated in accordance with the formula in paragraph 3(5) of this Part C.
- (3) After the exemption period, the chargeable income of the project company for each fiscal year shall be calculated on the basis that the income and expenses comprise –
- (a) the allocated amount determined under this Schedule; and
 - (b) any other income and expenses determined under Ugandan law.
- (4) In calculating the chargeable income of the project company for each fiscal year, whether prior to, during or after the exemption period, and without prejudice to paragraph 3(2) of this Part C and any other expenses otherwise deductible under the agreed fiscal regime which are not dealt with under this Schedule –
- (a) a deduction (“**D_s** **D_s**”) for the depreciation of the allocated amount of depreciable project assets shall be allowed in each fiscal year as provided under Section 27(1) of the Income Tax Act subject to the depreciation principles and calculated at a rate of 5% per annum on a straight-line basis, commencing on the first use of the depreciable project assets, on the following basis –

$$D_s = P_v \times 5\% \quad D_s = P_v \times 5\%$$

where,

“**P_v** **P_v**” means the total cost base of the single pool comprising the allocated amount of the depreciable project assets,

provided that where one or more project assets included in the pool at the end of the fiscal year are only depreciable assets for part of that fiscal year as a result of a temporary disruption to the operation of the EACOP system, the deduction (**D_sD_s**) for that fiscal year shall be proportionately reduced;

- (b) a deduction shall be permitted for any amount of –
 - (i) a contribution to a decommissioning fund in accordance with a decommissioning plan in that fiscal year; or
 - (ii) an expenditure incurred in carrying out work required by a decommissioning plan in that fiscal year, except to the extent the

expenditure is paid out of a decommissioning fund from an amount of a contribution to the decommissioning fund under paragraph 3(4)(b)(i) of this Part,

and, for the purpose of permitting the deduction, such decommissioning fund shall be treated as a “decommissioning fund” under the Income Tax Act;

- (c) any assessed losses in respect of chargeable income arising in a fiscal year shall be carried forward and allowed as a deduction against up to 70% of the chargeable income in the following fiscal year. Any assessed losses not utilised in that following fiscal year shall be carried forward and allowed as a deduction in accordance with this paragraph, until exhausted; and
 - (d) no transaction or arrangement between the Ugandan head office and the Tanzanian permanent establishment in connection with project activities shall be recognised for income tax purposes in Uganda in a fiscal year. For the avoidance of doubt, no income, deduction, gain or loss shall be taken into account for income tax purposes in respect of such transaction or arrangement;
- (5) The project company shall be exempt from, by way of reducing to zero, the amount of corporate income tax (“**A**”) imposed in a fiscal year on the tariff chargeable income during the exemption period, and “**A**” shall be calculated as follows –

$$\mathbf{A} = \mathbf{R}_{\text{CIT}} \times \mathbf{C}_T \quad \mathbf{A} = \mathbf{R}_{\text{CIT}} \times \mathbf{C}_T$$

where –

“**R_{CIT}**” is the rate of corporate income tax applicable to the project company for that fiscal year; and

“**C_T**” is the tariff chargeable income of the project company for that fiscal year.

- (6) No gain or loss, or deemed gain or loss, shall be included or taken into account in the chargeable income of the project company in respect of the deemed disposal of the assets of the project company arising solely as a result of a change in the direct or indirect ownership of the project company in that fiscal year, pursuant to Sections 74 and 78(h) of the Income Tax Act.
- (7) No branch profits tax shall be imposed on the project company in Uganda, on the basis that the project company is and remains a resident of Uganda for the duration of the EACOP project.

Project Participants

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- (8) Taxation of a direct or indirect disposal of an interest in the project company shall be in accordance with Ugandan law and shall take into account the allocation percentage for the determination of the basis subject to the said taxation.
- (9) No tax shall be imposed on a direct or indirect disposal of an interest in the project company where the said disposal of interest arises as a result of:
- (a) the enforcement by a finance party, or any agent or trustee of the finance party, of any security in relation to interests in the project company;
 - (b) any transfer of an interest in the project company to the Ugandan state participant;
 - (c) any transfer of an interest in the project company by a shareholder to its affiliate; or
 - (d) any transfer of an interest which occurs within the chain of holding companies between a shareholder and its ultimate parent company where, following such transfer, there is no change of the ultimate ownership of such shareholder.
- (10) The project company, or any other person acting on its behalf, shall promptly notify the Commissioner General of the Uganda Revenue Authority upon becoming aware of a direct or indirect disposal of an interest in the project company, together with documentation necessary for the Commissioner General to determine whether or not the said disposal fulfils the conditions stipulated in subparagraph 9 of this Part.
- (11) A credit against any corporate income tax imposed by Uganda on a project participant in a fiscal year shall be available as follows –
- (a) a domestic credit for any domestic income tax (“domestic credit”), with any excess credit offset against future corporate income tax, except that where the total amount of domestic credits arising in a fiscal year exceeds the total corporate income tax imposed by Uganda on that project participant in that fiscal year, the project participant shall be entitled to apply for a refund of such excess and any such excess in accordance with the agreed fiscal regime shall be refunded within 60 days of a completed application being received from the project participant;
 - (b) a foreign tax credit for any foreign income tax, including the foreign equivalent of any withholding tax or branch profits tax, to the extent of the Ugandan tax on the foreign income (“foreign credit”), with any excess credit carried forward indefinitely for use against corporate income tax on foreign source income in a subsequent fiscal year.

- (12) The provisions of Part X of the Income Tax Act (Special Provisions for the Taxation of Petroleum Operations) shall not apply to the project company in respect of the EACOP project.

PART D

4. Withholding taxes

- (1) Without prejudice to any reduced tax rate or exemption provided for under Ugandan law, where withholding tax would otherwise be imposed on (i) the allocated amount of the following payments by the project company or (ii) the following payments by a level 1 contractor, it shall in each case be imposed only in accordance with the following –
- (a) on payments of interest to a finance party that is a shareholder of the project company or the affiliate of such a shareholder, other than an affiliated financial institution, at a rate of 10%;
 - (b) on payments of interest to any other finance party not within subparagraph (a), at a rate of 0%; and
 - (c) on payments to non-residents for the supply of technical and other services provided directly and exclusively for the EACOP project, at a rate of 5%.
- (2) For the avoidance of doubt, paragraph 4(1)(c) shall apply in respect of any payment of premium for insurance or re-insurance, any payment for use or right to use, including the rental or hire, of any industrial, commercial or scientific equipment or other tangible moveable property, or any payment of management charges.
- (3) No withholding tax shall be imposed on –
- (a) a payment to the project company of tariff from owning and operating the EACOP system;
 - (b) the import of goods into Uganda including pursuant to section 136(3) of the Income Tax Act for the direct and exclusive use of the EACOP project;
 - (c) a payment for the purchase of an asset including pursuant to Section 130 of the Income Tax Act for the direct and exclusive use of the EACOP project;
 - (d) a payment for the supply of petroleum for the EACOP project;
 - (e) payments made, or deemed to be made, by the Ugandan head office to the Tanzanian permanent establishment in connection with project activities; or

- (f) the amount of any payment allocated to the Tanzanian permanent establishment in respect of withholding tax.
- (4) No taxes shall be imposed on a dividend paid by the project company. For the avoidance of doubt, such taxes include any taxes which would be imposed pursuant to section 82(1) of the Income Tax Act in respect of a dividend or section 128 of the Income Tax Act and any interest or penalties in respect of such taxes.
- (5) For the purposes of imposing any withholding tax on payments of interest, a payment of interest shall be –
 - (a) deemed not to have been made where it is capitalised to form part of the principal under any financing agreement or otherwise deferred; and
 - (b) instead deemed to be made upon repayment of such principal or on subsequent payment of the interest.
- (6) The project company shall for purposes of payments of tariff, or interest accrued thereon, be exempt for purposes of withholding tax imposed pursuant to section 127 and section 136(1) of the Income Tax Act.

PART E

5. Value Added Tax

- (1) Value added tax shall not be an economic cost to the EACOP project, including in relation to the import, sale for export, or export, of petroleum.
- (2) In accordance with the principle in paragraph 5(1) –
 - (a) the supply of transportation and incidental services by the project company through the EACOP system shall be a zero-rated supply;
 - (b) no value added tax shall be imposed on the import of goods and services provided directly and exclusively for the EACOP project by the project company, a level 1 contractor or a level 2 contractor;
 - (c) no value added tax will be imposed on any import, sale for export or export of petroleum; and
 - (d) no Value Added Tax will be imposed on supplies, or deemed supplies, between –
 - (i) the Ugandan head office and the Tanzanian permanent establishment; or
 - (ii) the Ugandan head office and the United Kingdom permanent establishment.
- (3) Any value added tax otherwise due on taxable supplies of goods and services to the project company and any level 1 contractors in respect of the EACOP

project shall be deemed to have been paid in accordance with section 24(5) of the Value Added Tax Act and related provisions of the Value Added Tax Act, which shall operate as follows –

- (a) where the project company is granted a licence under the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act in respect of the EACOP system, it shall be a “licensee” as that term is used in section 24(5) of the Value Added Tax Act;
 - (b) Section 24(5) of the Value Added Tax Act and related provisions shall apply to supplies made by a level 2 contractor to a level 1 contractor in respect of the EACOP project, for which purpose a level 2 contractor shall be deemed to be a “contractor” and a level 1 contractor shall be deemed to be a “licensee” as those terms are used in section 24(5) of the Value Added Tax Act; and
 - (c) supplies in respect of the EACOP project shall be deemed to be in respect of “petroleum operations” as that term is used in section 24(5) of the Value Added Tax Act.
- (4) Upon an application to register for value added tax purposes made in accordance with the Value Added Tax Act by the project company, any level 1 contractor or any level 2 contractor, the approval of the application to register the project company or that level 1 contractor or level 2 contractor, as applicable, as a taxable person for value added tax purposes shall not be unreasonably withheld.
- (5) If a level 2 contractor is registered as a taxable person and its input tax credit exceeds its liability for tax for any tax period, the excess shall be refunded in accordance with Section 34(1) of the Value Added Tax Act.

PART F

6. Import, Customs and Excise Duties

- (1) There shall be no customs or import duties imposed on –
- (a) equipment and inputs, and engineering plant, excluding motor vehicles;
 - (b) capital goods; and
 - (c) the temporary importation of any motor vehicles,
- in each case, for the direct and exclusive use in the EACOP project.
- (2) Customs, import, export or excise duties, or other taxes of a similar nature or effect, shall not be an economic cost to the EACOP project, including on the import, sale for export, or export of petroleum. For the avoidance of doubt, motor vehicle registration fees pursuant to Section 12 of the Traffic

and Road Safety Act shall not be treated as other taxes of a similar nature or effect for the purposes of this paragraph.

- (3) In applying the principle in paragraph 6(2) –
- (a) no customs processing fee, or any other taxes of a similar nature or effect, shall be imposed on the import or export of goods or services for the direct and exclusive use of the EACOP project;
 - (b) no African Union levy or East African Community infrastructure levy shall be imposed on or in respect of any goods or services for the direct and exclusive use of the EACOP project;
 - (c) no security, in any form, shall be required on or in respect of the import, export or sale for export of petroleum; and
 - (d) no security, including requiring any bond to be entered into or cash deposit to be paid, shall be required on or in respect of any goods or services for the direct and exclusive use of the EACOP project.
- (4) In applying the principle in paragraph 6(2) to equipment, inputs, engineering plant and capital goods that are for the direct and exclusive use in the EACOP project –
- (a) other than the conditions referred to in paragraph 6(1), no other preconditions for the exemption from customs and import duties on equipment, inputs and engineering plant, including any licensing requirements shall be imposed under the relevant Ugandan law on the relevant importer whether the project company or any other project participant; and
 - (b) the project company shall submit a list of the main categories of goods which, as at the date of final investment decision in respect of the EACOP project, are expected to be imported for the direct and exclusive use of the EACOP project as “equipment”, “inputs” or “engineering plant”
- (5) In applying the principle in paragraph 6(2) to the temporary importation of motor vehicles for the direct and exclusive use of the EACOP project under paragraph 6(1)(c) –
- (a) during the construction phase, the renewal of the period during which such motor vehicles may remain temporarily in Uganda shall not be denied, delayed or withdrawn;
 - (b) (i) such motor vehicles shall be permitted to be used by any project participant; and

- (ii) any customs and import duties payable upon a disposal of such motor vehicles shall be determined by reference to the higher of the consideration received for the disposal or their written down value under the relevant Ugandan law;
- (c) (i) no security or bond is required to be given in respect of such motor vehicles;
- (ii) only a non-cash undertaking is required to be provided by the relevant project participant importing such motor vehicles, without any requirement for a guarantor, surety, cash deposit or other security in respect of that non-cash undertaking and with the non-cash undertaking applicable in Uganda so that the motor vehicle can move between Uganda and Tanzania without any further or replacement non-cash undertaking, security or bond in Uganda; and
- (iii) the non-cash undertaking will be in the format prescribed by the Customs Authority of Uganda and shall provide that the project company will discharge any obligation to pay any customs or import duties in respect of such motor vehicles if any such obligation arises;
- (d) the foregoing accommodations in connection with the temporary importation of such motor vehicles are legal and valid under Ugandan law; and
- (e) other than the conditions referred to in paragraph 6(1) and this paragraph, no other conditions shall be imposed on the temporary importation of such motor vehicles.

PART G

7. Transit fee

No transit fee, or any taxes or other charge of a similar nature or effect, shall be imposed or applied to the EACOP project, the value or quantity of petroleum transported through the EACOP system, the value of the EACOP system or the sale for export or export of petroleum.

PART H

8. Control mechanism

- (1) In order to efficiently administer the provisions of Part D, Part E and Part F of this Schedule, the following control mechanism shall apply to a payment, supply, import, export or any other transaction or series of transactions that is covered by, and meets the relevant requirements of Part D (*Withholding Tax*), Part E (*Value Added Tax*) or Part F (*Import, Customs and Excise Duties*) of this schedule (in each case an “EACOP transaction”) —

- (a) an EACOP transaction may be made by the project company without any formal certification of its entitlement to the benefit of the provisions of Parts D, E and F of this schedule, provided that this clause shall not remove any requirement on the project company—
 - (i) to report agreements for the provision of services by a non-resident under the Income Tax Act; or
 - (ii) to register for value added tax;
 - (b) otherwise, where an EACOP transaction is covered by a certificate issued in accordance with this Part (in each case a “certificate”), then all relevant taxes shall be applied in accordance with the relevant Part(s) of this schedule to that EACOP transaction.
- (2) A project participant shall, prior to an EACOP transaction, request in writing that the Commissioner General of the Uganda Revenue Authority issue a certificate.
- (3) The following information shall be provided for the purpose of requesting a certificate:
- (a) a copy of the contract or other instrument under which the EACOP transaction will be made by the project participant;
 - (b) a draft form of the requested certificate to be issued by the Commissioner General of the Uganda Revenue Authority, including details of the project participant’s business registration number in Uganda; and
 - (c) confirmation by the project company that the EACOP transaction is covered by Part D (*Withholding Tax*), Part E (*Value Added Tax*) or Part F (*Import, Customs and Excise Duties*) of this Schedule.
- (4) Within 15 business days of a completed written request for a certificate made by a project participant in accordance with paragraph 8(2), the Commissioner General may either –
- (a) issue a certificate in accordance with the request; or
 - (b) render a decision refusing the issuance of the certificate if the Commissioner General reasonably considers that the relevant payment, supply, import or export is not an EACOP transaction. This decision shall be notified, in writing and by e-mail, to the project participant and to the project company. The notification shall detail the reasons why the Commissioner General considers that the relevant supply, import or export is not an EACOP transaction.

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- (5) Where the Commissioner General neither issues, nor renders a decision refusing the issuance of, a certificate within 15 business days of a request under paragraph 8(2), the request will be deemed to have been refused.
- (6) Where the Commissioner General renders a decision refusing the issuance of a certificate under paragraph 8(4)(b) of this Part, or neither issues nor renders a decision of refusal under paragraph 8(5) of this Part, the project participant may immediately refer the issue to an independent expert in accordance with the provisions of paragraph 4 (*Expert Determination*) of Article 48 (*Dispute Settlement*) of the Host Government Agreement, who shall determine whether or not the relevant payment, supply, import, export or other transaction or series of transactions is an EACOP transaction. If the independent expert determines that it is an EACOP transaction, the Commissioner General shall without delay issue a certificate to the relevant project participant in respect of the EACOP transaction.
- (7) A certificate shall be substantially in the form set out in Part L of this schedule, or such other form as may be agreed from time to time, and shall be signed by the Commissioner General of the Uganda Revenue Authority.
- (8) A certificate shall cease to have effect in Uganda upon the expiry of the certificate, which shall be a date no later than the latest of –
- (a) the 12 months anniversary of the date of issue of the certificate; and
 - (b) the estimated end date of the relevant agreement under which the EACOP transaction occurs.
- (9) Where there is an EACOP transaction which is not covered by a certificate upon its commencement, but which meets the relevant requirements of a provision under Part D, E or F of this Schedule, as relevant and as a result any tax is incurred in excess of that contemplated under the relevant Part –
- (a) the Commissioner General of the Uganda Revenue Authority may subsequently upon request, issue a certificate covering such EACOP transaction in accordance with paragraph 8(2) of this Part; and
 - (b) upon application by the relevant holder of such certificate, a full refund shall be provided without delay in accordance with the relevant provisions of Ugandan law or, if no refund is permitted under Ugandan law, the Commissioner General of the Uganda Revenue Authority shall provide a full set-off, credit or other adjustment.
- (10) This Part shall not apply to any early project activities.

- (11) An order granted by Tanzania in application of the provisions of the Host Government Agreement concluded between Tanzania and the project company will be valid in Uganda, with no requirement to request a certificate in Uganda for the same EACOP transaction.
- (12) In order to manage the implementation of the agreed fiscal regime–
- (a) representatives of Uganda, Tanzania and the investors shall participate in a committee in order to –
 - (i) oversee the implementation of the agreed fiscal regime, including the allocation method with respect to withholding tax and the control mechanism under this Schedule;
 - (ii) identify and monitor fiscal matters which may delay the construction phase or have a material adverse impact on a project participant, including any delay of a refund payment to a project participant; and
 - (iii) identify issues that may arise in connection with the agreed fiscal regime and refer them to the relevant Government authority for prompt resolution;
 - (b) there shall be no more than 12 representatives at any time, comprising no more than 4 representatives from each of Uganda, Tanzania and the investors. The representatives of Uganda and Tanzania may comprise representatives of Ministry of Finance, the Revenue Authority and the Attorney-General's office;
 - (c) the committee shall meet at least once every three months at such location as the representatives may agree, and meetings may be convened by a representative delivering at least 10 business days' notice to other representatives including an agenda and proposed venue of the meeting;
 - (d) the representatives shall use all reasonable efforts to attend and participate in meetings in person. If that is not practicable, the representatives may attend by video or telephone conference. The committee may invite any other person to join meetings and to speak at any meetings, notwithstanding that they are not themselves representatives;
 - (e) one representative from each of Uganda and Tanzania shall jointly chair the committee meetings and one representative from the main shareholder investor shall be the secretary; and

- (f) the funding of reasonable and justifiable costs in respect of the committee will be the sole responsibility of the project company.

PART I

9. Specific other taxes

- (1) No stamp duty shall be chargeable on any instrument of transfer of shares in the project company that is incorporated in the United Kingdom.
- (2) Any instrument effecting any grant, conveyance, transfer or other acquisition of any land rights in relation to the EACOP project shall be chargeable to stamp duty not exceeding five hundred thousand Uganda shillings (shs 500,000).
- (3) If stamp duty would otherwise be chargeable on the following instruments under Ugandan law, such stamp duty shall be limited to ten thousand Uganda Shillings on the following instruments –
 - (a) any instrument entered into by the project company as security for any financing agreement, whether by way of principal or further charge, equitable or other mortgage, deposit of title agreement, deed, indemnity, bond, transfer, trust or otherwise; and
 - (b) any instrument effecting the transfer, novation, assignment or sub-participation of any interest of a finance party in a financing agreement.
- (4) During the construction phase, the project company and the level 1 contractors, and their respective employees who are not ordinarily resident in Uganda, shall be exempt from making contributions to the National Social Security Fund as envisaged under Section 15 of the National Security Fund Act, on the basis that the project company's or level 1 contractor's employees, as applicable, are enrolled in a social security, retirement or pension scheme which is comparable to the scheme provided for under the National Social Security Fund Act, in the country where these employees are ordinarily resident.
- (5) Any other taxes and charges imposed on, or payable by, the project company under Ugandan law, including local government rates, any business or trade license fees, investment licenses, fees for issuance, maintenance or renewal of project authorisations, shall not exceed a total of one hundred thousand US dollars (100,000 US dollars) per calendar year expressed in 2024 value and adjusted with effect from 1st of January at a fixed annual increase of the lower of (i) the US consumer price index and (ii) two percent (2%) per annum, with the first adjustment on the 1st day of January 2025.

- (6) The other taxes and charges referred to in paragraph (9)(5) shall not include –
- (a) taxes and other charges otherwise expressly dealt with in this schedule, including tax imposed on employment income under the Income Tax Act;
 - (b) any sanction, fine, interest, or penalty or penal tax payable under the agreed regime and in accordance with the Host Government Agreement, or any damages, compensation or other charges imposed with the agreement of the project company or in accordance with the Host Government Agreement; and
 - (c) the “ESIA Fee” as described in paragraph 3(c) of Part I of Appendix II to the Host Government Agreement.

PART J

10. Tax administration

- (1) The fiscal year for the project company shall be a period of twelve months ending on 31st December, or such shorter period as may be approved by the Commissioner General of the Uganda Revenue Authority.
- (2) The project company shall prepare accounts for the purposes of taxes and other charges for the Ugandan head office for each fiscal year in accordance with generally accepted accounting principles as provided for under Section 38(1) of the Income Tax Act.
- (3) For purposes of this Part J, the reference to generally accepted accounting principles means the applicable international financial reporting standards, as amended from time to time, issued by the International Accounting Standards Board of the IFRS Foundation.
- (4) The project company shall –
 - (a) keep and maintain its books and records;
 - (b) keep, prepare and file any accounts required by the agreed regime or by the Commissioner General of the Uganda Revenue Authority; and
 - (c) compute any taxes and other charges payable by it whether on its own account or by way of withholding, deduction or prepayment, in each case in US Dollars.
- (5) The project company shall prepare and file its returns and statements in relation to taxes and other charges, including the statement of actual gross

turnover for the purpose of calculating each instalment of provisional tax, based upon calculations in US Dollars.

- (6) The project company shall make payments of taxes and other charges in accordance with Ugandan law and any administrative procedures in Uganda Shillings, converted from the calculations in US Dollars under paragraph 10(5) into Uganda Shillings in accordance with paragraph (10)(7) of this Part.
- (7) Where an amount is required to be converted from US Dollars or any other currency into Uganda Shillings for the purpose of making a payment of taxes, the project company shall use the exchange rates prescribed for conversion of currencies as follows –
 - (a) amounts received and costs and expenditures made in US Dollars or any other currency shall be converted into Uganda Shillings on the basis of the average of the buying and selling exchange rates as published by the Bank of Uganda, prevailing on the last business day of the calendar month preceding the calendar month in which the amounts are received, and costs and expenditures are paid; and
 - (b) in the event of an increase or decrease, one time or accumulative, of ten percent or more in the rates of exchange between Uganda Shillings and the US Dollar or the currency in question during any given calendar month, the following rates will be used and the project company shall be required to maintain a record of the rates of exchange used in currency conversion –
 - (i) for the period from the first of the calendar month to the day when the increase or decrease is first reached, the average of the official buying and selling exchange rates between Uganda Shillings and the US Dollar or the currency in question as issued on the last day of the previous calendar month; and
 - (ii) for the period from the day on which the increase or decrease is first reached to the end of the calendar month, the average of the official buying and selling exchange rates between Uganda Shillings and US Dollar or the currency in question as issued on the day on which the increase or decrease is reached.
- (8) The amount of tax payable for each instalment of provisional tax under Section 121 of the Income Tax Act shall not be increased or decreased to account for any movement in the exchange rate for conversion from US Dollars into Uganda Shillings after the due date of the instalment of provisional tax.

- (9) Where any refund of tax is due and payable to the project company, but has not been paid, the Commissioner General of the Uganda Revenue Authority shall use its best efforts to expedite and approve in a reasonable manner the set-off of such tax against any other undisputed taxes due and payable by the project company or the refund of such tax, in accordance with Section 123 of the Income Tax Act and Section 34 of the Value Added Tax Act.
- (10) Where the Commissioner General of the of the Uganda Revenue Authority issues an assessment of any taxes (including interest or penalties in respect of such taxes), or otherwise makes a decision in respect of taxes, in relation to an affected taxpayer in a manner that gives rise to a double taxation matter, the Commissioner General shall –
- (a) allow the affected taxpayer to make submissions and attempt in good faith to resolve the double taxation matter; and
 - (b) if the double taxation matter is not resolved within one month of the affected taxpayer's first submission under paragraph (a), consult and agree on a common position with the relevant authority in Tanzania within three months in respect of that double taxation matter, which is both consistent with the agreed fiscal regime and ensures that no part of the project revenue and project expenses are allocated to both Uganda and Tanzania.
- (11) No interest shall accrue in respect of any such taxes during the period in which Uganda and Tanzania consult and agree on a common position in accordance with paragraph 10(10) of this Part.
- (12) At the time of lodging an application before the Tax Appeals Tribunal, any deposit payment made by the project company, in accordance with Section 15(1) of the Tax Appeals Tribunals Act, shall not exceed one million US dollars and, where applicable, the excess will be covered with security from the project company.
- (13) Any interest charged in respect of overdue, unpaid or underpaid taxes, charges or penalties shall be calculated in Uganda Shillings at the interest rate applicable under Ugandan law in respect of the amount overdue, unpaid or underpaid.
- (14) The relevant state authority to receive notices or other communication issued in accordance with this Schedule shall be the state authority with the mandated authority to levy or collect the relevant tax, levy, duty, impost or fee that is the subject of the notice or communication.

PART K

11. Early project activities

- (1) The agreed fiscal regime and the provisions of this Schedule shall apply, to the extent relevant, to any investor undertaking early project activities.
- (2) Early project costs incurred by or on behalf of an investor shall be charged or re-charged to the project company in accordance with arrangements determined and entered into by the project company, and such early project costs shall, once so charged or re-charged to the project company, be treated as project expenses of the project company as if they were incurred directly by the project company rather than by or on behalf of the investor, subject to tax audit.
- (3) Upon the charge or re-charge of early project costs to the project company under paragraph 11(2), the project company shall pay all relevant taxes in accordance with the agreed fiscal regime as if the early project costs were project expenses incurred directly by the project company at the time of such charge or re-charge to the project company; provided that the amount of any taxes payable by the project company in Uganda shall be reduced to the extent any taxes have already been paid in Uganda in relation to such early project costs.

PART L

Certificate Proforma

[Issuing Entity Logo]

[Recipient Address Details]

Tax Certificate Applicable to an EACOP Transaction

Project participant details			
Legal name (s):			
Trading name(s):	[If different]		
Business address:			
Postal address:	[If different]		
Business registration number	Uganda	Jurisdiction of incorporation/business	[If applicable]
EACOP Transaction Details			

Details of EACOP transaction	[i.e. description of nature of import(s), export(s), supply(ies), payment(s) or other transaction(s) covered by certificate – for example: “import of materials and supply to project company of pumping stations” – including details of where any services performed outside Uganda and Tanzania will be directly used (where relevant)]		
Description of goods (where relevant)	[where relevant, list and estimated quantity of goods that are supplied/imported/exported under EACOP transaction – for example: “concrete ((10m ³); diesel 10 kW generators (x10)”]		
Duration of EACOP transaction	[end date or estimated end date of EACOP transaction (DD/MM/YYYY)]		
Details of relevant agreement	[details (contract name, date, parties, consideration and summary) of any agreement under which EACOP transaction is being undertaken – for example: “procurement and construction contract between project company and level 1 contractor dated DD/MM/YYYY for construction of pumping stations in Uganda for US\$1 million”]		
Details of relevant taxes to be imposed at lower rate / exempted	[details of the payments upon which tax would be imposed under Ugandan law and reduced rate applicable under agreed fiscal regime – for example: “US DOLLARS100m loan interest (estimated), subject to withholding tax at rate of 0%”]		
Certificate details			
Certificate commencement date:	[DD/MM/YYYY]	Certificate expiry date:	[DD/MM/YYYY]

[Signature]

For And on Behalf of [Issuer Name]

By: [Name of Signatory]

[Position of Signatory]

[Date]

History: Act 25/2021

Cross references

Abolition of Forced Labor Convention, 1957

Discrimination (Employment and occupation) convention, 1958

Electricity Act, Cap. 157

Equal Remuneration Convention, 1951

External Trade Act, Cap. 69

Forced Labor Convention, 1930

Freedom of Association and Protection of the Right to Organise Convention, 1948

Income Tax Act, Cap. 338

Insurance Act, Cap. 191

Land Act, Cap. 236

Minimum Age Convention, 1973

National Social Security Fund Act, Cap. 230

Petroleum (Exploration, Development and Production) Act, Cap.161

Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, Cap.162

Petroleum (Refining, Conversion, Transmission and Midstream Storage) (National Content) Regulations, S.I 162-1

Petroleum (Refining, Conversion, Transmission and Midstream Storage) Regulations, S.I 162-3

Public Finance Management Act, Cap.171

Right to Organise and Collective Bargaining Convention, 1949

Tax Appeals Tribunals Act, Cap. 341

Trade (Licensing) Act, Cap.79.

Traffic and Road Safety Act, Cap.347

Uganda Communication Act, Cap.103

Value Added Tax Act, Cap. 344

Worst Forms of Child Labour Convention, 1999

CHAPTER 335

**THE CONVENTION ON MUTUAL ADMINISTRATIVE ASSISTANCE IN TAX
MATTERS (IMPLEMENTATION) ACT**

Arrangement of Sections

Sections

1. Interpretation
2. Convention to have force of law in Uganda
3. Agreement on Automatic Exchange of Financial Account Information to have force of law in Uganda
4. Common Reporting Standard to have force of law in Uganda
5. Due diligence
6. Reporting obligations
7. Offences relating to automatic exchange of information
8. Anti-avoidance provisions
9. Amendment to Convention or Agreement
10. Regulations
11. Power to amend Schedule 1

SCHEDULES

Schedule 1 - Currency point

Schedule 2 - Convention on Mutual Administrative Assistance in Tax Matters

Schedule 3 - Multilateral Competent Authority Agreement on Automatic
Exchange of Financial Account Information

Schedule 4 - Common Reporting Standard

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CHAPTER 335**THE CONVENTION ON MUTUAL ADMINISTRATIVE ASSISTANCE IN TAX MATTERS (IMPLEMENTATION) ACT***Commencement:* 1 July, 2023

An Act to give the force of law in Uganda to the Convention on Mutual Administrative Assistance in Tax Matters; the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information; the Standard for Automatic Exchange of Financial Account Information in Tax Matters; and for related matters.

WHEREAS the Convention on Mutual Administrative Assistance in Tax Matters which is set out in Schedule 2 to this Act was adopted in Strasbourg, France on 25th January, 1988 by the Organisation for Economic Cooperation and Development (OECD) and the Council of Europe as the signatories and amended by the Protocol amending the Convention on Mutual Administrative Assistance in Tax Matters that was adopted in Paris, France on 27th May, 2010 to open up the signatories to other jurisdictions that are not members of the OECD and the G20 formerly the Council of Europe.

AND WHEREAS the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information which is set out in Schedule 3 to this Act was adopted by the OECD Committee on Fiscal Affairs working with the G20 and opened for signature on 29th October, 2014 in Berlin, Germany providing for a standardised and efficient mechanism to facilitate the automatic exchange of information in accordance with the Standard for Automatic Exchange of Financial Account Information in Tax Matters.

AND WHEREAS the Cabinet of the Republic of Uganda ratified the Convention on Mutual Administrative Assistance in Tax Matters on 6th May, 2016 and the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information on 18th November, 2021 in accordance with Article 123 of the Constitution and section 2(a) of the Ratification of Treaties Act;

WHEREFORE it is expedient to give the force of law to the Convention on Mutual Administrative Assistance in Tax Matters and the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information in Uganda;

1. Interpretation

In this Act, unless the context otherwise requires-

“Agreement” means the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information;

“beneficial owner” means a natural person who ultimately owns or controls a customer or the natural person on whose behalf a transaction is conducted and includes any natural person who exercises ultimate control over a legal person or arrangement and -

- a) in relation to a legal person, includes-
 - i. the natural person who either directly or indirectly, alone or jointly, holds at least ten percent of shares or voting rights of the legal person;
 - ii. the natural person who exercises control of the legal person through other means, including personal or financial superiority or relationship; and
 - iii. the natural person who has power to make or influence decisions of a legal person;
 - iv. where exceptionally, no natural person is identified in subparagraphs (i), (ii) or (iii), the natural person who holds the position of senior managing official;
- b) in relation to trusts includes -
 - i. the settlor;
 - ii. the trustee;
 - iii. the protector;
 - iv. the beneficiary or the individual benefitting from the trust who is yet to be determined; and
 - v. any other natural person exercising ultimate control of the trust; and
- c) in relation to other legal arrangements similar to trusts, the natural person who holds positions equivalent to the positions referred to in subparagraph (b);

“Common Reporting Standard” means the standard for automatic exchange for financial accounts, information in tax matters, developed by the Organisation for Economic Co-operation and Development as specified in Schedule 4;

“Competent Authority” means the Commissioner General, Uganda Revenue Authority;

“Convention” means the Convention on Mutual Administrative Assistance in Tax Matters as amended by the Protocol amending the Convention on Mutual Administrative Assistance in Tax Matters;

“currency point” has the value assigned to it in Schedule 1 to this Act;

“Minister” means the Minister responsible for finance;

“reportable jurisdiction” means-

- a) for the purposes of applying the due diligence procedures required by section II to VII of the Common Reporting Standard specified in Schedule 4 for a resident for tax purposes, of a jurisdiction other than Uganda; and
- b) for the purposes of reporting the information required by section 1 of the Common Reporting Standard specified in Schedule 4, for a resident for tax purposes of a jurisdiction other than Uganda.

2. Convention to have force of law in Uganda

- 1) The Convention on Mutual Administrative Assistance in Tax Matters specified in Schedule 2, except for article 2(1)(b), (i), (ii), (iii)(E) and (iv), shall have the force of law in Uganda.
- 2) Without prejudice to the general effect of subsection (1), all rights, liabilities, obligations and restrictions created or arising by or under the Convention and all remedies and procedures provided for by or under the Convention shall be recognized and available in law and shall be enforceable and allowed in Uganda.
- 3) The Competent Authority may in the implementation of this Act apply the commentaries to the Convention in the implementation of this Act.

3. Agreement to have force of law in Uganda

- 1) The Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information specified in Schedule 3 to this Act shall have the force of law in Uganda.
- 2) Without prejudice to the general effect of subsection (1), all rights, liabilities, powers, obligations and restrictions created or arising by or under the

Agreement and all remedies and procedures provided for by or under the Agreement shall be recognised and available in law and shall be enforceable and allowed in Uganda.

- 3) The Competent Authority may in implementing the provisions of the Agreement apply the commentaries to the Agreement.

4. Common Reporting Standard to have force of law in Uganda

- 1) The Common Reporting Standard specified in Schedule 4 shall have the force of law in Uganda.
- 2) Without prejudice to the general effect of subsection (1), all rights, liabilities, powers, obligations and restrictions created or arising by or under the Common Reporting Standard and all remedies and procedures provided for by or under the Common Reporting Standard shall be recognised and available in law and shall be enforceable and allowed in Uganda.
- 3) The Competent Authority may apply the commentaries to the Common Reporting Standard to implement the provisions of the Common Reporting Standard.

5. Due Diligence

- 1) A reporting financial institution shall, with effect from 1st January, 2024, apply the due diligence, described in sections II to VII of the Common Reporting Standard as specified in Schedule 4 to this Act.
- 2) An account holder or a controlling person shall notify the reporting financial institution when there is a change in circumstances, including a change in the residence of the account holder or controlling person for tax purposes, within thirty days from the occurrence of the change.
- 3) A reporting financial institution shall maintain the information obtained in the process of conducting due diligence under this Act, for the period during which the account is active and, for at least five years from the date when the account is closed.

6. Reporting obligations

- 1) A reporting financial institution shall submit a return to the Competent Authority providing the information on the account held by a non-resident person or on a reportable account for the year ending 31st December in every calendar year and by the 31st day of May of the following year.

- 2) Where a reporting financial institution applies the procedures of due diligence described in sections II to VII of the Common Reporting Standard as specified in Schedule 4 to this Act for a calendar year, and no financial account is identified as a reportable account, the reporting financial institution shall file a return which shall provide that the reporting financial institution maintains no such reportable accounts in respect of the calendar year.
- 3) The Competent Authority shall, by notice in the *Gazette* and in a newspaper of wide circulation, prescribe the format of the return for obtaining the information referred to in subsection (1).

7. Offences relating to automatic exchange of information

A person who-

- a) fails to file a return on the due date for purposes of the automatic exchange of information, is liable to a civil penalty of two hundred fifty currency points for each day of default;
- b) fails to maintain information obtained in the process of conducting the due diligence required under this Act, is liable to a penalty of five hundred currency points and an additional penalty of twenty currency points for each day of default in case of a continuous violation;
- c) makes a false or misleading statement in a return for purposes of the automatic exchange of information commits an offence and is liable, on conviction, to a fine not exceeding two thousand five hundred currency points or imprisonment for a term not exceeding ten years, or both;
- d) submits a false or misleading self-certification to a reporting financial institution commits an offence and is liable, on conviction to a fine not exceeding two thousand five hundred currency points or imprisonment for a term not exceeding ten years, or both; or
- e) omits from a statement made in a return for purposes of the automatic exchange of information, commits an offence and is liable, on conviction, to a fine not exceeding two thousand five hundred currency points or imprisonment for a term not exceeding ten years, or both.

8. Anti-avoidance provision

Where a person enters into any arrangement or engages in a practice, the main purpose or one of the purposes of the Agreement or practice may reasonably be

considered to be circumventing or avoiding an obligation imposed under this Act, the Competent Authority may recharacterise the transaction or an element of the transaction as part of the anti-avoidance scheme and shall require the person to comply with the obligations under this Act.

9. Amendment of Convention or agreement

- 1) Where, after the commencement of this Act, the Convention or Agreement is amended in accordance with the provisions of article 24(3) of the Convention or section 6 of the Agreement, and ratified under Article 123 of the Constitution, the Minister shall cause a copy of the amendment to be laid before Parliament; and the amendment shall, for the purposes of this Act, come into operation or be deemed to have come into operation on the date it is laid before Parliament.
- 2) The Minister shall publish the amendment to the Convention or agreement in the *Gazette*.

10. Regulations

- 1) The Minister may make regulations to give effect to the provisions of this Act.
- 2) Without prejudice to the generality of subsection (1), the Minister shall make regulations for-
 - a) the inspection of records and information held by reporting financial institutions;
 - b) the procedure for conducting due-diligence; and
 - c) any other matter incidental to the better carrying out of the purposes of this Act and the prescription of anything required or authorised under this Act.
- 3) Regulations made under this Act may, in respect of any contravention of any of the regulations-
 - a) prescribe a penalty not exceeding a fine of five thousand currency points or imprisonment for a term not exceeding ten years, or both;
 - b) in the case of a continuing offence, prescribe an additional penalty not exceeding a fine of five hundred currency points in respect of each day on which the offence continues;

- c) prescribe a penalty not exceeding a fine of five thousand five hundred currency points or imprisonment for a term not exceeding ten years, or both in respect of a second or subsequent offence; and
- d) provide for the forfeiture of anything used in the commission of the offence.

11. Power to amend Schedule 1

The Minister may, by statutory instrument, with the approval of Cabinet, amend Schedule 1 to this Act.

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SCHEDULES*Schedule 1*

Sections 1, 11

Currency Point

A currency point is equivalent to twenty thousand shillings.

Schedule 2

Section 2(1)

Convention on Mutual Administrative Assistance in Tax Matters

Text amended by the provisions of the Protocol amending the Convention on Mutual Administrative Assistance in Tax Matters, which entered into force on 1st June 2011

Preamble

The member States of the Council of Europe and the member countries of the Organisation for Economic Co-operation and Development (OECD), signatories of this Convention,

Considering that the development of international movement of persons, capital, goods and services – although highly beneficial in itself – has increased the possibilities of tax avoidance and evasion and therefore requires increasing co-operation among tax authorities;

Welcoming the various efforts made in recent years to combat tax avoidance and tax evasion on an international level, whether bilaterally or multilaterally; Considering that a co-ordinated effort between States is necessary in order to foster all forms of administrative assistance in matters concerning taxes of any kind whilst at the same time ensuring adequate protection of the rights of taxpayers;

Recognising that international co-operation can play an important part in facilitating the proper determination of tax liabilities and in helping the taxpayer to secure his rights;

Considering that fundamental principles entitling every person to have his rights and obligations determined in accordance with a proper legal procedure should be recognised as applying to tax matters in all States and that States should endeavour to protect the legitimate interests of taxpayers, including appropriate protection against discrimination and double taxation; Convinced therefore that States should carry out measures or supply information, having regard to the necessity of protecting the confidentiality of information,

and taking account of international instruments for the protection of privacy and flows of personal data;

Considering that a new co-operative environment has emerged and that it is desirable that a multilateral instrument is made available to allow the widest number of States to obtain the benefits of the new co-operative environment and at the same time implement the highest international standards of co-operation in the tax field;

Desiring to conclude a convention on mutual administrative assistance in tax matters,

Have agreed as follows:

Chapter I – Scope of the Convention

Article 1 – Object of the Convention and persons covered

1. The Parties shall, subject to the provisions of Chapter IV, provide administrative assistance to each other in tax matters. Such assistance may involve, where appropriate, measures taken by judicial bodies.
2. Such administrative assistance shall comprise:
 - a) exchange of information, including simultaneous tax examinations and participation in tax examinations abroad;
 - b) assistance in recovery, including measures of conservancy; and
 - c) service of documents.
3. A Party shall provide administrative assistance whether the person affected is a resident or national of a Party or of any other State.

Article 2 – Taxes covered

1. This Convention shall apply:
 - a) to the following taxes:
 - i. taxes on income or profits,
 - ii. taxes on capital gains which are imposed separately from the tax on income or profits,
 - iii. taxes on net wealth, imposed on behalf of a Party; and
 - b) to the following taxes:

- i. taxes on income, profits, capital gains or net wealth which are imposed on behalf of political subdivisions or local authorities of a Party,
 - ii. compulsory social security contributions payable to general government or to social security institutions established under public law, and
 - iii. taxes in other categories, except customs duties, imposed on behalf of a Party, namely:
 - A. estate, inheritance or gift taxes,
 - B. taxes on immovable property,
 - C. general consumption taxes, such as value added or sales taxes,
 - D. specific taxes on goods and services such as excise taxes,
 - E. taxes on the use or ownership of motor vehicles,
 - F. taxes on the use or ownership of movable property other than motor vehicles,
 - G. any other taxes;
 - iv. taxes in categories referred to in sub-paragraph iii. above which are imposed on behalf of political subdivisions or local authorities of a Party.
2. The existing taxes to which the Convention shall apply are listed in Annex A in the categories referred to in paragraph 1.
3. The Parties shall notify the Secretary General of the Council of Europe or the Secretary General of OECD (hereinafter referred to as the “Depositaries”) of any change to be made to Annex A as a result of a modification of the list mentioned in paragraph 2. Such change shall take effect on the first day of the month following the expiration of a period of three months after the date of receipt of such notification by the Depositary.
4. The Convention shall also apply, as from their adoption, to any identical or substantially similar taxes which are imposed in a Contracting State after the entry into force of the Convention in respect of that Party in addition to or in place of the existing taxes listed in Annex A and, in that event, the Party concerned shall notify one of the Depositaries of the adoption of the tax in question.

Chapter II – General Definitions

Article 3 – Definitions

1. For the purposes of this Convention, unless the context otherwise requires:
 - a) the terms “applicant State” and “requested State” mean respectively any Party applying for administrative assistance in tax matters and any Party requested to provide such assistance;
 - b) the term “tax” means any tax or social security contribution to which the Convention applies pursuant to Article 2;
 - c) the term “tax claim” means any amount of tax, as well as interest thereon, related administrative fines and costs incidental to recovery, which are owed and not yet paid;
 - d) the term “competent authority” means the persons and authorities listed in Annex B;
 - e) the term “nationals” in relation to a Party means:
 - i. all individuals possessing the nationality of that Party, and
 - ii. all legal persons, partnerships, associations and other entities deriving their status as such from the laws in force in that Party.

For each Party that has made a declaration for that purpose, the terms used above will be understood as defined in Annex C.

2. As regards the application of the Convention by a Party, any term not defined therein shall, unless the context otherwise requires, have the meaning which it has under the law of that Party concerning the taxes covered by the Convention.
3. The Parties shall notify one of the Depositaries of any change to be made to Annexes B and C. Such change shall take effect on the first day of the month following the expiration of a period of three months after the date of receipt of such notification by the Depositary in question.

Chapter III – FORMS OF ASSISTANCE

Section I – Exchange of information

Article 4 – General provision

1. The Parties shall exchange any information, in particular as provided in this section, which is foreseeably relevant for the administration or enforcement of their domestic laws concerning the taxes covered by this Convention.
2. Deleted.
3. Any Party may, by a declaration addressed to one of the Depositaries, indicate that, according to its internal legislation, its authorities may inform

its resident or national before transmitting information concerning him, in conformity with Articles 5 and 7.

Article 5 – Exchange of information on request

1. At the request of the applicant State, the requested State shall provide the applicant State with any information referred to in Article 4 which concerns particular persons or transactions.
2. If the information available in the tax files of the requested State is not sufficient to enable it to comply with the request for information, that State shall take all relevant measures to provide the applicant State with the information requested.

Article 6 – Automatic exchange of information

With respect to categories of cases and in accordance with procedures which they shall determine by mutual agreement, two or more Parties shall automatically exchange the information referred to in Article 4.

Article 7 – Spontaneous exchange of information

- 1) A Party shall, without prior request, forward to another Party information of which it has knowledge in the following circumstances:
 - a) the first-mentioned Party has grounds for supposing that there may be a loss of tax in the other Party;
 - b) a person liable to tax obtains a reduction in or an exemption from tax in the first-mentioned Party which would give rise to an increase in tax or to liability to tax in the other Party;
 - c) business dealings between a person liable to tax in a Party and a person liable to tax in another Party are conducted through one or more countries in such a way that a saving in tax may result in one or the other Party or in both;
 - d) a Party has grounds for supposing that a saving of tax may result from artificial transfers of profits within groups of enterprises;
 - e) information forwarded to the first-mentioned Party by the other Party has enabled information to be obtained which may be relevant in assessing liability to tax in the latter Party.

- 2) Each Party shall take such measures and implement such procedures as are necessary to ensure that information described in paragraph 1 will be made available for transmission to another Party.

Article 8 – Simultaneous tax examinations

1. At the request of one of them, two or more Parties shall consult together for the purposes of determining cases and procedures for simultaneous tax examinations. Each Party involved shall decide whether or not it wishes to participate in a particular simultaneous tax examination.
2. For the purposes of this Convention, a simultaneous tax examination means an arrangement between two or more Parties to examine simultaneously, each in its own territory, the tax affairs of a person or persons in which they have a common or related interest, with a view to exchanging any relevant information which they so obtain.

Article 9 – Tax examinations abroad

1. At the request of the competent authority of the applicant State, the competent authority of the requested State may allow representatives of the competent authority of the applicant State to be present at the appropriate part of a tax examination in the requested State.
2. If the request is acceded to, the competent authority of the requested State shall, as soon as possible, notify the competent authority of the applicant State about the time and place of the examination, the authority or official designated to carry out the examination and the procedures and conditions required by the requested State for the conduct of the examination. All decisions with respect to the conduct of the tax examination shall be made by the requested State.
3. A Party may inform one of the Depositaries of its intention not to accept, as a general rule, such requests as are referred to in paragraph 1. Such a declaration may be made or withdrawn at any time.

Article 10 – Conflicting information

If a Party receives from another Party information about a person's tax affairs which appears to it to conflict with information in its possession, it shall so advise the Party which has provided the information.

Section II – Assistance in recovery

Article 11 – Recovery of tax claims

1. At the request of the applicant State, the requested State shall, subject to the provisions of Articles 14 and 15, take the necessary steps to recover tax claims of the first-mentioned State as if they were its own tax claims.
2. The provision of paragraph 1 shall apply only to tax claims which form the subject of an instrument permitting their enforcement in the applicant State and, unless otherwise agreed between the Parties concerned, which are not contested.

However, where the claim is against a person who is not a resident of the applicant State, paragraph 1 shall only apply, unless otherwise agreed between the Parties concerned, where the claim may no longer be contested.

3. The obligation to provide assistance in the recovery of tax claims concerning a deceased person or his estate, is limited to the value of the estate or of the property acquired by each beneficiary of the estate, according to whether the claim is to be recovered from the estate or from the beneficiaries thereof.

Article 12 – Measures of conservancy

At the request of the applicant State, the requested State shall, with a view to the recovery of an amount of tax, take measures of conservancy even if the claim is contested or is not yet the subject of an instrument permitting enforcement.

Article 13 – Documents accompanying the request

1. The request for administrative assistance under this section shall be accompanied by:
 - a) a declaration that the tax claim concerns a tax covered by the Convention and, in the case of recovery that, subject to paragraph 2 of Article 11, the tax claim is not or may not be contested,
 - b) an official copy of the instrument permitting enforcement in the applicant State, and
 - c) any other document required for recovery or measures of conservancy.
2. The instrument permitting enforcement in the applicant State shall, where appropriate and in accordance with the provisions in force in the requested State, be accepted, recognized, supplemented or replaced as soon as possible after the date of the receipt of the request for assistance, by an instrument permitting enforcement in the latter State.

Article 14 – Time limits

1. Questions concerning any period beyond which a tax claim cannot be enforced shall be governed by the law of the applicant State. The request for assistance shall give particulars concerning that period.
2. Acts of recovery carried out by the requested State in pursuance of a request for assistance, which, according to the laws of that State, would have the effect of suspending or interrupting the period mentioned in paragraph 1, shall also have this effect under the laws of the applicant State. The requested State shall inform the applicant State about such acts.
3. In any case, the requested State is not obliged to comply with a request for assistance which is submitted after a period of 15 years from the date of the original instrument permitting enforcement.

Article 15 – Priority

The tax claim in the recovery of which assistance is provided shall not have in the requested State any priority specially accorded to the tax claims of that State even if the recovery procedure used is the one applicable to its own tax claims.

Article 16 –Deferral of payment

The requested State may allow deferral of payment or payment by instalments if its laws or administrative practice permit it to do so in similar circumstances, but shall first inform the applicant State.

Section III – Service of documents**Article 17 – Service of documents**

1. At the request of the applicant State, the requested State shall serve upon the addressee documents, including those relating to judicial decisions, which emanate from the applicant State and which relate to a tax covered by this Convention.
2. The requested State shall effect service of documents:
 - a. by a method prescribed by its domestic laws for the service of documents of a substantially similar nature;
 - b. to the extent possible, by a particular method requested by the applicant State or the closest to such method available under its own laws.

3. A Party may effect service of documents directly through the post on a person within the territory of another Party.
4. Nothing in the Convention shall be construed as invalidating any service of documents by a Party in accordance with its laws.
5. When a document is served in accordance with this article, it need not be accompanied by a translation. However, where it is satisfied that the addressee cannot understand the language of the document, the requested State shall arrange to have it translated into or a summary drafted in its or one of its official languages. Alternatively, it may ask the applicant State to have the document either translated into or accompanied by a summary in one of the official languages of the requested State, the Council of Europe or the OECD.

Chapter IV – Provisions relating to all forms of assistance

Article 18 – Information to be provided by the applicant State

1. A request for assistance shall indicate where appropriate:
 - a. the authority or agency which initiated the request made by the competent authority;
 - b. the name, address, or any other particulars assisting in the identification of the person in respect of whom the request is made;
 - c. in the case of a request for information, the form in which the applicant State wishes the information to be supplied in order to meet its needs;
 - d. in the case of a request for assistance in recovery or measures of conservancy, the nature of the tax claim, the components of the tax claim and the assets from which the tax claim may be recovered;
 - e. in the case of a request for service of documents, the nature and the subject of the document to be served;
 - f. whether it is in conformity with the law and administrative practice of the applicant State and whether it is justified in the light of the requirements of Article 21.2.g.
2. As soon as any other information relevant to the request for assistance comes to its knowledge, the applicant State shall forward it to the requested State.

Article 19 – Deleted**Article 20 – Response to the request for assistance**

1. If the request for assistance is complied with, the requested State shall inform the applicant State of the action taken and of the result of the assistance as soon as possible.
2. If the request is declined, the requested State shall inform the applicant State of that decision and the reason for it as soon as possible.
3. If, with respect to a request for information, the applicant State has specified the form in which it wishes the information to be supplied and the requested State is in a position to do so, the requested State shall supply it in the form requested.

Article 21 – Protection of persons and limits to the obligation to provide assistance

1. Nothing in this Convention shall affect the rights and safeguards secured to persons by the laws or administrative practice of the requested State.
2. Except in the case of Article 14, the provisions of this Convention shall not be construed so as to impose on the requested State the obligation:
 - a. to carry out measures at variance with its own laws or administrative practice or the laws or administrative practice of the applicant State;
 - b. to carry out measures which would be contrary to public policy (ordre public);
 - c. to supply information which is not obtainable under its own laws or its administrative practice or under the laws of the applicant State or its administrative practice;
 - d. to supply information which would disclose any trade, business, industrial, commercial or professional secret, or trade process, or information the disclosure of which would be contrary to public policy (ordre public);
 - e. to provide administrative assistance if and insofar as it considers the taxation in the applicant State to be contrary to generally accepted taxation principles or to the provisions of a convention for the avoidance of double taxation, or of any other convention which the requested State has concluded with the applicant State;

- f. to provide administrative assistance for the purpose of administering or enforcing a provision of the tax law of the applicant State, or any requirement connected therewith, which discriminates against a national of the requested State as compared with a national of the applicant State in the same circumstances;
 - g. to provide administrative assistance if the applicant State has not pursued all reasonable measures available under its laws or administrative practice, except where recourse to such measures would give rise to disproportionate difficulty;
 - h. to provide assistance in recovery in those cases where the administrative burden for that State is clearly disproportionate to the benefit to be derived by the applicant State.
3. If information is requested by the applicant State in accordance with this Convention, the requested State shall use its information gathering measures to obtain the requested information, even though the requested State may not need such information for its own tax purposes. The obligation contained in the preceding sentence is subject to the limitations contained in this Convention, but in no case shall such limitations, including in particular those of paragraphs 1 and 2, be construed to permit a requested State to decline to supply information solely because it has no domestic interest in such information.
4. In no case shall the provisions of this Convention, including in particular those of paragraphs 1 and 2, be construed to permit a requested State to decline to supply information solely because the information is held by a bank, other financial institution, nominee or person acting in an agency or a fiduciary capacity or because it relates to ownership interests in a person.

Article 22 – Secrecy

1. Any information obtained by a Party under this Convention shall be treated as secret and protected in the same manner as information obtained under the domestic law of that Party and, to the extent needed to ensure the necessary level of protection of personal data, in accordance with the safeguards which may be specified by the supplying Party as required under its domestic law.
2. Such information shall in any case be disclosed only to persons or authorities (including courts and administrative or supervisory bodies) concerned with the assessment, collection or recovery of, the enforcement

or prosecution in respect of, or the determination of appeals in relation to, taxes of that Party, or the oversight of the above. Only the persons or authorities mentioned above may use the information and then only for such purposes. They may, notwithstanding the provisions of paragraph 1, disclose it in public court proceedings or in judicial decisions relating to such taxes.

3. If a Party has made a reservation provided for in sub-paragraph a. of paragraph 1 of Article 30, any other Party obtaining information from that Party shall not use it for the purpose of a tax in a category subject to the reservation. Similarly, the Party making such a reservation shall not use information obtained under this Convention for the purpose of a tax in a category subject to the reservation.
4. Notwithstanding the provisions of paragraphs 1, 2 and 3, information received by a Party may be used for other purposes when such information may be used for such other purposes under the laws of the supplying Party and the competent authority of that Party authorises such use. Information provided by a Party to another Party may be transmitted by the latter to a third Party, subject to prior authorisation by the competent authority of the first-mentioned Party.

Article 23 – Proceedings

1. Proceedings relating to measures taken under this Convention by the requested State shall be brought only before the appropriate body of that State.
2. Proceedings relating to measures taken under this Convention by the applicant State, in particular those which, in the field of recovery, concern the existence or the amount of the tax claim or the instrument permitting its enforcement, shall be brought only before the appropriate body of that State. If such proceedings are brought, the applicant State shall inform the requested State which shall suspend the procedure pending the decision of the body in question.

However, the requested State shall, if asked by the applicant State, take measures of conservancy to safeguard recovery. The requested State can also be informed of such proceedings by any interested person. Upon receipt of such information the requested State shall consult on the matter, if necessary, with the applicant State.

3. As soon as a final decision in the proceedings has been given, the requested State or the applicant State, as the case may be, shall notify the other State

of the decision and the implications which it has for the request for assistance.

Chapter V – Special provisions

Article 24 – Implementation of the Convention

1. The Parties shall communicate with each other for the implementation of this Convention through their respective competent authorities. The competent authorities may communicate directly for this purpose and may authorise subordinate authorities to act on their behalf. The competent authorities of two or more Parties may mutually agree on the mode of application of the Convention among themselves.
2. Where the requested State considers that the application of this Convention in a particular case would have serious and undesirable consequences, the competent authorities of the requested and of the applicant State shall consult each other and endeavour to resolve the situation by mutual agreement.
3. A co-ordinating body composed of representatives of the competent authorities of the Parties shall monitor the implementation and development of this Convention, under the aegis of the OECD. To that end, the co-ordinating body shall recommend any action likely to further the general aims of the Convention. In particular it shall act as a forum for the study of new methods and procedures to increase international co-operation in tax matters and, where appropriate, it may recommend revisions or amendments to the Convention. States which have signed but not yet ratified, accepted or approved the Convention are entitled to be represented at the meetings of the co-ordinating body as observers.
4. A Party may ask the co-ordinating body to furnish opinions on the interpretation of the provisions of the Convention.
5. Where difficulties or doubts arise between two or more Parties regarding the implementation or interpretation of the Convention, the competent authorities of those Parties shall endeavour to resolve the matter by mutual agreement. The agreement shall be communicated to the coordinating body.
6. The Secretary General of OECD shall inform the Parties, and the Signatory States which have not yet ratified, accepted or approved the Convention, of opinions furnished by the coordinating body according to the provisions of paragraph 4 above and of mutual agreements reached under paragraph 5 above.

Article 25 – Language

Requests for assistance and answers thereto shall be drawn up in one of the official languages of the OECD and of the Council of Europe or in any other language agreed bilaterally between the Contracting States concerned.

Article 26 – Costs

Unless otherwise agreed bilaterally by the Parties concerned:

- a) ordinary costs incurred in providing assistance shall be borne by the requested State;
- b) extraordinary costs incurred in providing assistance shall be borne by the applicant State.

Chapter VI – Final provisions

Article 27 – Other international agreements or arrangements

1. The possibilities of assistance provided by this Convention do not limit, nor are they limited by, those contained in existing or future international agreements or other arrangements between the Parties concerned or other instruments which relate to co-operation in tax matters.
2. Notwithstanding paragraph 1, those Parties which are member States of the European Union can apply, in their mutual relations, the possibilities of assistance provided for by the Convention in so far as they allow a wider co-operation than the possibilities offered by the applicable European Union rules.

Article 28 – Signature and entry into force of the Convention

1. This Convention shall be open for signature by the member States of the Council of Europe and the member countries of OECD. It is subject to ratification, acceptance or approval. Instruments of ratification, acceptance or approval shall be deposited with one of the Depositaries.
2. This Convention shall enter into force on the first day of the month following the expiration of a period of three months after the date on which five States have expressed their consent to be bound by the Convention in accordance with the provisions of paragraph 1.
3. In respect of any member State of the Council of Europe or any member country of OECD which subsequently expresses its consent to be

bound by it, the Convention shall enter into force on the first day of the month following the expiration of a period of three months after the date of the deposit of the instrument of ratification, acceptance or approval.

4. Any member State of the Council of Europe or any member country of OECD which becomes a Party to the Convention after the entry into force of the Protocol amending this Convention, opened for signature on 27th May 2010 (the “2010 Protocol”), shall be a Party to the Convention as amended by that Protocol, unless they express a different intention in a written communication to one of the Depositaries.
5. After the entry into force of the 2010 Protocol, any State which is not a member of the Council of Europe or of the OECD may request to be invited to sign and ratify this Convention as amended by the 2010 Protocol. Any request to this effect shall be addressed to one of the Depositaries, who shall transmit it to the Parties. The Depositary shall also inform the Committee of Ministers of the Council of Europe and the OECD Council. The decision to invite States which so request to become Party to this Convention shall be taken by consensus by the Parties to the Convention through the co-ordinating body. In respect of any State ratifying the Convention as amended by the 2010 Protocol in accordance with this paragraph, this Convention shall enter into force on the first day of the month following the expiration of a period of three months after the date of deposit of the instrument of ratification with one of the Depositaries.
6. The provisions of this Convention, as amended by the 2010 Protocol, shall have effect for administrative assistance related to taxable periods beginning on or after 1 January of the year following the one in which the Convention, as amended by the 2010 Protocol, entered into force in respect of a Party, or where there is no taxable period, for administrative assistance related to charges to tax arising on or after 1 January of the year following the one in which the Convention, as amended by the 2010 Protocol, entered into force in respect of a Party. Any two or more Parties may mutually agree that the Convention, as amended by the 2010 Protocol, shall have effect for administrative assistance related to earlier taxable periods or charges to tax.
7. Notwithstanding paragraph 6, for tax matters involving intentional conduct which is liable to prosecution under the criminal laws of the applicant Party, the provisions of this Convention, as amended by the 2010 Protocol, shall

have effect from the date of entry into force in respect of a Party in relation to earlier taxable periods or charges to tax.

Article 29 – Territorial application of the Convention

1. Each State may, at the time of signature, or when depositing its instrument of ratification, acceptance or approval, specify the territory or territories to which this Convention shall apply.
2. Any State may, at any later date, by a declaration addressed to one of the Depositaries, extend the application of this Convention to any other territory specified in the declaration. In respect of such territory the Convention shall enter into force on the first day of the month following the expiration of a period of three months after the date of receipt of such declaration by the Depositary.
3. Any declaration made under either of the two preceding paragraphs may, in respect of any territory specified in such declaration, be withdrawn by a notification addressed to one of the Depositaries. The withdrawal shall become effective on the first day of the month following the expiration of a period of three months after the date of receipt of such notification by the Depositary.

Article 30 – Reservations

1. Any State may, at the time of signature or when depositing its instrument of ratification, acceptance or approval or at any later date, declare that it reserves the right:
 - (a) not to provide any form of assistance in relation to the taxes of other Parties in any of the categories listed in sub-paragraph b. of paragraph 1 of Article 2, provided that it has not included any domestic tax in that category under Annex A of the Convention;
 - (b) not to provide assistance in the recovery of any tax claim, or in the recovery of an administrative fine, for all taxes or only for taxes in one or more of the categories listed in paragraph 1 of Article 2;
 - (c) not to provide assistance in respect of any tax claim, which is in existence at the date of entry into force of the Convention in respect of that State or, where a reservation has previously been made under sub-paragraph a. or b. above, at the date of withdrawal of such a reservation in relation to taxes in the category in question;

- (d) not to provide assistance in the service of documents for all taxes or only for taxes in one or more of the categories listed in paragraph 1 of Article 2;
 - (e) not to permit the service of documents through the post as provided for in paragraph 3 of Article 17;
 - (f) to apply paragraph 7 of Article 28 exclusively for administrative assistance related to taxable periods beginning on or after 1 January of the third year preceding the one in which the Convention, as amended by the 2010 Protocol, entered into force in respect of a Party,
 - (g) or where there is no taxable period, for administrative assistance related to charges to tax arising on or after 1 January of the third year preceding the one in which the Convention, as amended by the 2010 Protocol, entered into force in respect of a Party.
2. No other reservation may be made.
 3. After the entry into force of the Convention in respect of a Party, that Party may make one or more of the reservations listed in paragraph 1 which it did not make at the time of ratification, acceptance or approval. Such reservations shall enter into force on the first day of the month following the expiration of a period of three months after the date of receipt of the reservation by one of the Depositaries.
 4. Any Party which has made a reservation under paragraphs 1 and 3 may wholly or partly withdraw it by means of a notification addressed to one of the Depositaries. The withdrawal shall take effect on the date of receipt of such notification by the Depositary in question.
 5. A Party which has made a reservation in respect of a provision of this Convention may not require the application of that provision by any other Party; it may, however, if its reservation is partial, require the application of that provision insofar as it has itself accepted it.

Article 31 – Denunciation

1. Any Party may, at any time, denounce this Convention by means of a notification addressed to one of the Depositaries.
2. Such denunciation shall become effective on the first day of the month following the expiration of a period of three months after the date of receipt of the notification by the Depositary.

3. Any Party which denounces the Convention shall remain bound by the provisions of Article 22 for as long as it retains in its possession any documents or information obtained under the Convention.

Article 32 – Depositaries and their functions

1. The Depositary with whom an act, notification or communication has been accomplished, shall notify the member States of the Council of Europe and the member countries of OECD and any Party to this Convention of:
 - (a) any signature;
 - (b) the deposit of any instrument of ratification, acceptance or approval;
 - (c) any date of entry into force of this Convention in accordance with the provisions of Articles 28 and 29;
 - (d) any declaration made in pursuance of the provisions of paragraph 3 of Article 4 or paragraph 3 of Article 9 and the withdrawal of any such declaration;
 - (e) any reservation made in pursuance of the provisions of Article 30 and the withdrawal of any reservation effected in pursuance of the provisions of paragraph 4 of Article 30;
 - (f) any notification received in pursuance of the provisions of paragraph 3 or 4 of Article 2, paragraph 3 of Article 3, Article 29 or paragraph 1 of Article 31;
 - (g) any other act, notification or communication relating to this Convention.
2. The Depositary receiving a communication or making a notification in pursuance of the provisions of paragraph 1 shall inform immediately the other Depositary thereof.

In witness whereof the undersigned, being duly authorised thereto, have signed the Convention.

Established by the Depositaries the 1st day of June 2011 pursuant to Article X.4 of the Protocol amending the Convention on Mutual Administrative Assistance In Tax Matters, In English and French, both texts being equally authentic, in two copies of which one shall be deposited in the archives of each Depositary. The Depositaries shall transmit a certified copy to each Party to the Convention as amended by the Protocol and to each State entitled to become a party.

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Schedule 3

Section 3 (1)

Multilateral Component Authority Agreement on Automatic Exchange of Financial Account Information

Whereas, the jurisdictions of the signatories to the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information (the “Agreement”) are Parties of, or territories covered by, the Convention on Mutual Administrative Assistance in Tax Matters or the Convention on Mutual Administrative Assistance in Tax Matters as amended by the Protocol amending the Convention on Mutual Administrative Assistance in Tax Matters (“the Convention”) or have signed or expressed their intention to sign the Convention and acknowledge that the Convention must be in force and in effect in relation to them before the first exchange of financial account information takes place;

Whereas, the jurisdictions intend to improve international tax compliance by further building on their relationship with respect to mutual assistance in tax matters;

Whereas, the Common Reporting Standard was developed by the OECD, with G20 countries, to tackle tax avoidance and evasion and improve tax compliance;

Whereas, a country that has signed or expressed its intention to sign the Convention will only become a Jurisdiction as defined in Section 1 of this Agreement once it has become a Party to the Convention;

Whereas, the laws of the respective Jurisdictions require or are expected to require financial institutions to report information regarding certain accounts and follow related due diligence procedures, consistent with the scope of exchange contemplated by Section 2 of this Agreement and the reporting and due diligence procedures set out in the Common Reporting Standard;

Whereas, it is expected that the laws of the Jurisdictions would be amended from time to time to reflect updates to the Common Reporting Standard and once such changes are enacted by a Jurisdiction the definition of Common Reporting Standard would be deemed to refer to the updated version in respect of that Jurisdiction;

Whereas, Chapter III of the Convention authorises the exchange of information for tax purposes, including the exchange of information on an automatic basis,

and allows the competent authorities of the Jurisdictions to agree the scope and modalities of such automatic exchanges;

Whereas, Article 6 of the Convention provides that two or more Parties can mutually agree to exchange information automatically, the exchange of the information will be on a bilateral basis between the Competent Authorities; Whereas, the Jurisdictions have, or are expected to have, in place by the time the first exchange takes place (i) appropriate safeguards to ensure that the information received pursuant to this Agreement remains confidential and is used solely for the purposes set out in the Convention, and (ii) the infrastructure for an effective exchange relationship (including established processes for ensuring timely, accurate, and confidential information exchanges, effective and reliable communications, and capabilities to promptly resolve questions and concerns about exchanges or requests for exchanges and to administer the provisions of Section 4 of this Agreement);

Whereas, the Competent Authorities of the jurisdictions intend to conclude an agreement to improve international tax compliance based on automatic exchange pursuant to the Convention, without prejudice to national legislative procedures (if any), respecting EU law (if applicable), and subject to the confidentiality and other protections provided for in the Convention, including the provisions limiting the use of the information exchanged thereunder;

Now, therefore, the Competent Authorities have agreed as follows:

SECTION 1

Definitions

1. For the purposes of this Agreement, the following terms have the following meanings:
 - (a) the term **“Jurisdiction”** means a country or a territory in respect of which the Convention is in force and is in effect, either through signature and ratification in accordance with Article 28, or through territorial extension in accordance with Article 29, and which is a signatory to this Agreement;
 - (b) the term **“Competent Authority”** means, for each respective Jurisdiction, the persons and authorities listed in Annex B of the Convention;
 - (c) the term **“Jurisdiction Financial Institution”** means, for each respective Jurisdiction, (i) any Financial Institution that is resident in

the Jurisdiction, but excludes any branch of that Financial Institution that is located outside the Jurisdiction, and (ii) any branch of a Financial Institution that is not resident in the Jurisdiction, if that branch is located in the Jurisdiction;

- (d) the term **“Reporting Financial Institution”** means any Jurisdiction Financial Institution that is not a Non-Reporting Financial Institution;
 - (e) the term **“Reportable Account”** means a Financial Account that is maintained by a Reporting Financial Institution and that, pursuant to due diligence procedures consistent with the Common Reporting Standard, has been identified as an account that is held by one or more persons that are Reportable Persons with respect to another Jurisdiction or by a Passive Non Financial Entity with one or more Controlling Persons that are Reportable Persons with respect to another Jurisdiction;
 - (f) the term **“Common Reporting Standard”** means the standard for automatic exchange of financial account information in tax matters (which includes the Commentaries), developed by the OECD, with G20 countries;
 - (g) the term **“Co-ordinating Body Secretariat”** means the OECD Secretariat that, pursuant to paragraph 3 of Article 24 of the Convention, provides support to the co-ordinating body that is composed of representatives of the competent authorities of the Parties to the Convention;
 - (h) the term **“Agreement in effect”** means, in respect of any two Competent Authorities, that both Competent Authorities have indicated their intention to automatically exchange information with each other and have satisfied the other conditions set out in subparagraph 2.1. of Section 7. The Competent Authorities for which this Agreement is in effect are listed in Annex E.
2. Any capitalised term not otherwise defined in this Agreement will have the meaning that it has at that time under the law of the Jurisdiction applying the Agreement, such meaning being consistent with the meaning set forth in the Common Reporting Standard. Any term not otherwise defined in this Agreement or in the Common Reporting Standard will, unless the context otherwise requires or the Competent Authorities agree to a common meaning (as permitted by domestic law), have the meaning that it has at that time under the law of the Jurisdiction applying this Agreement, any

meaning under the applicable tax laws of that Jurisdiction prevailing over a meaning given to the term under other laws of that Jurisdiction.

SECTION 2

Exchange of Information with respect to Reportable Accounts

- 1.1 Pursuant to provisions of Articles 6 and 22 of the Convention and subject to the applicable reporting and due diligence rules consistent with the Common Reporting Standard, each Competent Authority will annually exchange with the other Competent Authorities, with respect to which it has this Agreement in effect, on an automatic basis the information obtained pursuant to such rules and specified in paragraph 2.
- 1.2 Notwithstanding the previous paragraph, the Competent Authorities of the Jurisdictions listed in Annex A will send, but not receive, the information specified in paragraph 2. Competent Authorities of Jurisdictions not listed in Annex A will always receive the information specified in paragraph 2. Competent Authorities will not send such information to Competent Authorities of the Jurisdictions listed in Annex A.
2. The information to be exchanged is, with respect to each Reportable Account of another Jurisdiction:
 - (a) the name, address, TIN(s) and date and place of birth (in the case of an individual) of each Reportable Person that is an Account Holder of the account and, in the case of any Entity that is an Account Holder and that, after application of due diligence procedures consistent with the Common Reporting Standard, is identified as having one or more Controlling Persons that is a Reportable Person, the name, address, and TIN(s) of the Entity and the name, address, TIN(s) and date and place of birth of each Reportable Person;
 - (b) the account number (or functional equivalent in the absence of an account number);
 - (c) the name and identifying number (if any) of the Reporting Financial Institution;

SECTION 3

Time and Manner of Exchange of Information

1. For the purposes of the exchange of information in Section 2, the amount and characterisation of payments made with respect to a Reportable

Account may be determined in accordance with the principles of the tax laws of the Jurisdiction exchanging the information.

2. For the purposes of the exchange of information in Section 2, the information exchanged will identify the currency in which each relevant amount is denominated.
3. With respect to paragraph 2 of Section 2, and subject to the notification procedure set out in Section 7, including the dates specified therein, information is to be exchanged commencing from the years specified in Annex F within nine months after the end of the calendar year to which the information relates. Notwithstanding the foregoing sentence, information is only required to be exchanged with respect to a calendar year if both Competent Authorities have this Agreement in effect and their respective Jurisdictions have in effect legislation that requires reporting with respect to such calendar year that is consistent with the scope of exchange provided for in Section 2 and the reporting and due diligence procedures contained in the Common Reporting Standard.

SECTION 4

Collaboration on Compliance and Enforcement

A Competent Authority will notify the other Competent Authority when the first-mentioned Competent Authority has reason to believe that an error may have led to incorrect or incomplete information reporting or there is non-compliance by a Reporting Financial Institution with the applicable reporting requirements and due diligence procedures consistent with the Common Reporting Standard. The notified Competent Authority will take all appropriate measures available under its domestic law to address the errors or non-compliance described in the notice.

SECTION 5

Confidentiality and Data Safeguards

1. All information exchanged is subject to the confidentiality rules and other safeguards provided for in the Convention, including the provisions limiting the use of the information exchanged and, to the extent needed to ensure the necessary level of protection of personal data, in accordance with the safeguards which may be specified by the supplying Competent Authority as required under its domestic law and listed in Annex C.
2. A Competent Authority will notify the Co-ordinating Body Secretariat immediately regarding any breach of confidentiality or failure of safeguards and any sanctions and remedial actions consequently imposed. The

Coordinating Body Secretariat will notify all Competent Authorities with respect to which this is an Agreement in effect with the first mentioned Competent Authority.

SECTION 6

Consultations and Amendments

1. If any difficulties in the implementation or interpretation of this Agreement arise, a Competent Authority may request consultations with one or more of the Competent Authorities to develop appropriate measures to ensure that this Agreement is fulfilled. The Competent Authority that requested the consultations shall ensure, as appropriate, that the Co-ordinating Body Secretariat is notified of any measures that were developed and the Co-ordinating Body Secretariat will notify all Competent Authorities, even those that did not participate in the consultations, of any measures that were developed.
2. This Agreement may be amended by consensus by written agreement of all of the Competent Authorities that have the Agreement in effect. Unless otherwise agreed upon, such an amendment is effective on the first day of the month following the expiration of a period of one month after the date of the last signature of such written agreement.

SECTION 7

Term of Agreement

1. A Competent Authority must provide, at the time of signature of this Agreement or as soon as possible after its Jurisdiction has the necessary laws in place to implement the Common Reporting Standard, a notification to the Co-ordinating Body Secretariat:
 - (a) that its Jurisdiction has the necessary laws in place to implement the Common Reporting Standard and specifying the relevant effective dates with respect to Preexisting Accounts, New Accounts, and the application or completion of the reporting and due diligence procedures;
 - (b) confirming whether the Jurisdiction is to be listed in Annex A;
 - (c) specifying one or more methods for data transmission including encryption (Annex B);
 - (d) specifying safeguards, if any, for the protection of personal data (Annex C);

- (e) that it has in place adequate measures to ensure the required confidentiality and data safeguards standards are met and attaching the completed confidentiality and data safeguard questionnaire, to be included in Annex D; and
- (f) a list of the Jurisdictions of the Competent Authorities with respect to which it intends to have this Agreement in effect, following national legislative procedures (if any).

Competent Authorities must notify the Co-ordinating Body Secretariat, promptly, of any subsequent change to be made to the above-mentioned Annexes.

- 2.1 This Agreement will come into effect between two Competent Authorities on the later of the following dates: (i) the date on which the second of the two Competent Authorities has provided notification to the Co-ordinating Body Secretariat under paragraph 1, including listing the other Competent Authority's Jurisdiction pursuant to subparagraph 1(f), and, if applicable, (ii) the date on which the Convention has entered into force and is in effect for both Jurisdictions.
- 2.2 The Co-ordinating Body Secretariat will maintain a list that will be published on the OECD website of the Competent Authorities that have signed the Agreement and between which Competent Authorities this is an Agreement in effect (Annex E).
- 2.3 The Coordinating Body Secretariat will publish on the OECD website the information provided by Competent Authorities pursuant to subparagraphs 1(a) and (b). The information provided pursuant to subparagraphs 1(c) through (f) will be made available to other signatories upon request in writing to the Co-ordinating Body Secretariat.

SECTION 8

Co-ordinating Body Secretariat

- 1. Unless otherwise provided for in the Agreement, the Co-ordinating Body Secretariat will notify all Competent Authorities of any notifications that it has received under this Agreement and will provide a notice to all signatories of the Agreement when a new Competent Authority signs the Agreement.
- 2. All signatories to the Agreement will share equally, on an annual basis, the costs for the administration of the Agreement by the Co-ordinating Body Secretariat. Notwithstanding the previous sentence, qualifying countries

will be exempt from sharing the costs in accordance with Article X of the Rules of Procedure of the Co-ordinating Body of the Convention.

Done in English and French, both texts being equally authentic.

Schedule 4

Sections 1, 4(1), 5(1) and 6(2)

Common Reporting Standard Common Standard On Reporting And Due Diligence For Financial Account Information**Section I: General Reporting Requirements**

- A.** Subject to paragraphs C through F, each Reporting Financial Institution must report the following information with respect to each Reportable Account of such Reporting Financial Institution:
1. the name, address, jurisdiction(s) of residence, TIN(s) and date and place of birth (in the case of an individual) of each Reportable Person that is an Account Holder of the account and, in the case of any Entity that is an Account Holder and that, after application of the due diligence procedures consistent with Sections V, VI and VII, is identified as having one or more Controlling Persons that is a Reportable Person, the name, address, jurisdiction(s) of residence and TIN(s) of the Entity and the name, address, jurisdiction(s) of residence, TIN(s) and date and place of birth of each Reportable Person;
 2. the account number (or functional equivalent in the absence of an account number);
 3. the name and identifying number (if any) of the Reporting Financial Institution;
 4. the account balance or value (including, in the case of a Cash Value Insurance Contract or Annuity Contract, the Cash Value or surrender value) as of the end of the relevant calendar year or other appropriate reporting period or, if the account was closed during such year or period, the closure of the account;
 5. in the case of any Custodial Account:
 - a) the total gross amount of interest, the total gross amount of dividends, and the total gross amount of other income generated with respect to the assets held in the account, in each case paid or credited to the account (or with respect to the account) during the calendar year or other appropriate reporting period; and

- b) the total gross proceeds from the sale or redemption of Financial Assets paid or credited to the account during the calendar year or other appropriate reporting period with respect to which the Reporting Financial Institution acted as a custodian, broker, nominee, or otherwise as an agent for the Account Holder;
 - 6. in the case of any Depository Account, the total gross amount of interest paid or credited to the account during the calendar year or other appropriate reporting period; and
 - 7. in the case of any account not described in subparagraph A(5) or (6), the total gross amount paid or credited to the Account Holder with respect to the account during the calendar year or other appropriate reporting period with respect to which the Reporting Financial Institution is the obligor or debtor, including the aggregate amount of any redemption payments made to the Account Holder during the calendar year or other appropriate reporting period.
- B.** The information reported must identify the currency in which each amount is denominated.
- C.** Notwithstanding subparagraph A(1), with respect to each Reportable Account that is a Preexisting Account, the TIN(s) or date of birth is not required to be reported if such TIN(s) or date of birth is not in the records of the Reporting Financial Institution and is not otherwise required to be collected by such Reporting Financial Institution under domestic law. However, a Reporting Financial Institution is required to use reasonable efforts to obtain the TIN(s) and date of birth with respect to Preexisting Accounts by the end of the second calendar year following the year in which such Accounts were identified as Reportable Accounts.
- D.** Notwithstanding subparagraph A(1), the TIN is not required to be reported if (i) a TIN is not issued by the relevant Reportable Jurisdiction or (ii) the domestic law of the relevant Reportable Jurisdiction does not require the collection of the TIN issued by such Reportable Jurisdiction.
- E.** Notwithstanding subparagraph A(1), the place of birth is not required to be reported unless the Reporting Financial Institution is otherwise required to obtain and report it under domestic law and it is available in the electronically searchable data maintained by the Reporting Financial Institution.

Section II: General Due Diligence Requirements

- A.** An account is treated as a Reportable Account beginning as of the date it is identified as such pursuant to the due diligence procedures in Sections II through VII and, unless otherwise provided, information with respect to a Reportable Account must be reported annually in the calendar year following the year to which the information relates.
- B.** The balance or value of an account is determined as of the last day of the calendar year or other appropriate reporting period.
- C.** Where a balance or value threshold is to be determined as of the last day of a calendar year, the relevant balance or value must be determined as of the last day of the reporting period that ends with or within that calendar year.
- D.** Each Jurisdiction may allow Reporting Financial Institutions to use service providers to fulfil the reporting and due diligence obligations imposed on such Reporting Financial Institutions, as contemplated in domestic law, but these obligations shall remain the responsibility of the Reporting Financial Institutions.
- E.** Each Jurisdiction may allow Reporting Financial Institutions to apply the due diligence procedures for New Accounts to Preexisting Accounts, and the due diligence procedures for High Value Accounts to Lower Value Accounts. Where a Jurisdiction allows New Account due diligence procedures to be used for Preexisting Accounts, the rules otherwise applicable to Preexisting Accounts continue to apply.

Section III: Due Diligence for Pre-existing Individual Accounts

The following procedures apply for purposes of identifying Reportable Accounts among Preexisting Individual Accounts.

A. Accounts Not Required to be Reviewed, Identified, or Reported.

A Preexisting Individual Account that is a Cash Value Insurance Contract or an Annuity Contract is not required to be reviewed, identified or reported, provided the Reporting Financial Institution is effectively prevented by law from selling such Contract to residents of a Reportable Jurisdiction.

B. Lower Value Accounts. The following procedures apply with respect to Lower Value Accounts.

- 1. Residence Address.** If the Reporting Financial Institution has in its records a current residence address for the individual Account

Holder based on Documentary Evidence, the Reporting Financial Institution may treat the individual Account Holder as being a resident for tax purposes of the jurisdiction in which the address is located for purposes of determining whether such individual Account Holder is a Reportable Person.

- 2. Electronic Record Search.** If the Reporting Financial Institution does not rely on a current residence address for the individual Account Holder based on Documentary Evidence as set forth in subparagraph B(1), the Reporting Financial Institution must review electronically searchable data maintained by the Reporting Financial Institution for any of the following indicia and apply subparagraphs B(3) through (6):

 - a) identification of the Account Holder as a resident of a Reportable Jurisdiction;
 - b) current mailing or residence address (including a post office box) in a Reportable Jurisdiction;
 - c) one or more telephone numbers in a Reportable Jurisdiction and no telephone number in the jurisdiction of the Reporting Financial Institution;
 - d) standing instructions (other than with respect to a Depository Account) to transfer funds to an account maintained in a Reportable Jurisdiction;
 - e) currently effective power of attorney or signatory authority granted to a person with an address in a Reportable Jurisdiction; or
 - f) a “hold mail” instruction or “in-care-of” address in a Reportable Jurisdiction if the Reporting Financial Institution does not have any other address on file for the Account Holder.
- 3.** If none of the indicia listed in subparagraph B(2) are discovered in the electronic search, then no further action is required until there is a change in circumstances that results in one or more indicia being associated with the account, or the account becomes a High Value Account.
- 4.** If any of the indicia listed in subparagraph B(2)(a) through (e) are discovered in the electronic search, or if there is a change in circumstances that results in one or more indicia being associated

with the account, then the Reporting Financial Institution must treat the Account Holder as a resident for tax purposes of each Reportable Jurisdiction for which an indicium is identified, unless it elects to apply subparagraph B(6) and one of the exceptions in such subparagraph applies with respect to that account.

5. If a “hold mail” instruction or “in-care-of” address is discovered in the electronic search and no other address and none of the other indicia listed in subparagraph B(2)(a) through (e) are identified for the Account Holder, the Reporting Financial Institution must, in the order most appropriate to the circumstances, apply the paper record search described in subparagraph C(2), or seek to obtain from the Account Holder a self-certification or Documentary Evidence to establish the residence(s) for tax purposes of such Account Holder. If the paper search fails to establish an indicium and the attempt to obtain the self-certification or Documentary Evidence is not successful, the Reporting Financial Institution must report the account as an undocumented account.
6. Notwithstanding a finding of indicia under subparagraph B(2), a Reporting Financial Institution is not required to treat an Account Holder as a resident of a Reportable Jurisdiction if:
 - a) the Account Holder information contains a current mailing or residence address in the Reportable Jurisdiction, one or more telephone numbers in the Reportable Jurisdiction (and no telephone number in the jurisdiction of the Reporting Financial Institution) or standing instructions (with respect to Financial Accounts other than Depository Accounts) to transfer funds to an account maintained in a Reportable Jurisdiction, the Reporting Financial Institution obtains, or has previously reviewed and maintains a record of:
 - (i). a self-certification from the Account Holder of the jurisdiction(s) of residence of such Account Holder that does not include such Reportable Jurisdiction; and
 - (ii). Documentary Evidence establishing the Account Holder’s non-reportable status.
 - b) the Account Holder information contains a currently effective power of attorney or signatory authority granted to a person with an address in the Reportable Jurisdiction, the Reporting

Financial Institution obtains, or *has previously reviewed and maintains a record of*:

- (i). a self-certification from the Account Holder of the jurisdiction(s) of residence of such Account Holder that does not include such Reportable Jurisdiction; or
- (ii). Documentary Evidence establishing the Account Holder's non-reportable status.

C. Enhanced Review Procedures for High Value Accounts. The following enhanced review procedures apply with respect to High Value Accounts.

- 1. Electronic Record Search.** With respect to High Value Accounts, the Reporting Financial Institution must review electronically searchable data maintained by the Reporting Financial Institution for any of the indicia described in subparagraph B (2).
- 2. Paper Record Search.** If the Reporting Financial Institution's electronically searchable databases include fields for, and capture all of the information described in, subparagraph C (3), then a further paper record search is not required. If the electronic databases do not capture all of this information, then with respect to a High Value Account, the Reporting Financial Institution must also review the current customer master file and, to the extent not contained in the current customer master file, the following documents associated with the Account and obtained by the Reporting Financial Institution within the last five years for any of the indicia described in subparagraph B(2):
 - a. the most recent Documentary Evidence collected with respect to the account;
 - b. the most recent account opening contract or documentation;
 - c. the most recent documentation obtained by the Reporting Financial Institution pursuant to AML/KYC Procedures or for other regulatory purposes;
 - d. any power of attorney or signature authority forms currently in effect; and
 - e. any standing instructions (other than with respect to a Depository Account) to transfer funds currently in effect.

3. Exception To The Extent Databases Contain Sufficient Information - A Reporting Financial Institution is not required to perform the paper record search described in subparagraph C(2) to the extent the Reporting Financial Institution's electronically searchable information includes the following:

- a. the Account Holder's residence status;
- b. the Account Holder's residence address and mailing address currently on file with the Reporting Financial Institution;
- c. the Account Holder's telephone number(s) currently on file, if any, with the Reporting Financial Institution;
- d. in the case of Financial Accounts other than Depository Accounts, whether there are standing instructions to transfer funds in the account to another account (including an account at another branch of the Reporting Financial Institution or another Financial Institution);
- e. whether there is a current "in-care-of" address or "hold mail" instruction for the Account Holder; and
- f. whether there is any power of attorney or signatory authority for the account.

4. Relationship Manager Inquiry for Actual Knowledge. In addition to the electronic and paper record searches described above, the Reporting Financial Institution must treat as a Reportable Account any High Value Account assigned to a relationship manager (including any Financial Accounts aggregated with that High Value Account) if the relationship manager has actual knowledge that the Account Holder is a Reportable Person.

5. Effect of Finding Indicia.

- a) If none of the indicia listed in subparagraph B(2) are discovered in the enhanced review of High Value Accounts described above, and the account is not identified as held by a Reportable Person in subparagraph C(4), then further action is not required until there is a change in circumstances that results in one or more indicia being associated with the account.
- b) If any of the indicia listed in subparagraph B(2)(a) through (e) are discovered in the enhanced review of High Value Accounts described above, or if there is a subsequent change in

circumstances that results in one or more indicia being associated with the account, then the Reporting Financial Institution must treat the account as a Reportable Account with respect to each Reportable Jurisdiction for which an indicium is identified unless it elects to apply subparagraph B(6) and one of the exceptions in such subparagraph applies with respect to that account.

- c) If a “hold mail” instruction or “in-care-of” address is discovered in the enhanced review of High Value Accounts described above, and no other address and none of the other indicia listed in subparagraph B(2)(a) through (e) are identified for the Account Holder, the Reporting Financial Institution must obtain from such Account Holder a self-certification or Documentary Evidence to establish the residence(s) for tax purposes of the Account Holder. If the Reporting Financial Institution cannot obtain such self-certification or Documentary Evidence, it must report the account as an undocumented account.
- 6.** If a Preexisting Individual Account is not a High Value Account as of 31st December, 2023 but becomes a High Value Account as of the last day of a subsequent calendar year, the Reporting Financial Institution must complete the enhanced review procedures described in paragraph C with respect to such account within the calendar year following the year in which the account becomes a High Value Account. If based on this review such account is identified as a Reportable Account, the Reporting Financial Institution must report the required information about such account with respect to the year in which it is identified as a Reportable Account and subsequent years on an annual basis, unless the Account Holder ceases to be a Reportable Person.
- 7.** Once a Reporting Financial Institution applies the enhanced review procedures described in paragraph C to a High Value Account, the Reporting Financial Institution is not required to re-apply such procedures, other than the relationship manager inquiry described in subparagraph C(4), to the same High Value Account in any subsequent year unless the account is undocumented where the Reporting Financial Institution should re-apply them annually until such account ceases to be undocumented.

8. If there is a change of circumstances with respect to a High Value Account that results in one or more indicia described in subparagraph B(2) being associated with the account, then the Reporting Financial Institution must treat the account as a Reportable Account with respect to each Reportable Jurisdiction for which an indicium is identified unless it elects to apply subparagraph B(6) and one of the exceptions in such subparagraph applies with respect to that account.
 9. A Reporting Financial Institution must implement procedures to ensure that a relationship manager identifies any change in circumstances of an account. For example, if a relationship manager is notified that the Account Holder has a new mailing address in a Reportable Jurisdiction, the Reporting Financial Institution is required to treat the new address as a change in circumstances and, if it elects to apply subparagraph B(6), is required to obtain the appropriate documentation from the Account Holder.
- D.** Review of Preexisting Individual Accounts must be completed by 31st December, 2025.
- E.** Any Preexisting Individual Account that has been identified as a Reportable Account under this Section must be treated as a Reportable Account in all subsequent years, unless the Account Holder ceases to be a Reportable Person.

Section IV: Due Diligence for New Individual Accounts

The following procedures apply for purposes of identifying Reportable Accounts among New Individual Accounts.

- A. With respect to New Individual Accounts, upon account opening, the Reporting Financial Institution must obtain a self-certification, which may be part of the account opening documentation, that allows the Reporting Financial Institution to determine the Account Holder's residence(s) for tax purposes and confirm the reasonableness of such self-certification based on the information obtained by the Reporting Financial Institution in connection with the opening of the account, including any documentation collected pursuant to AML/KYC Procedures.
- B. If the self-certification establishes that the Account Holder is resident for tax purposes in a Reportable Jurisdiction, the Reporting Financial Institution must treat the account as a Reportable Account and the self-

certification must also include the Account Holder's TIN with respect to such Reportable Jurisdiction (subject to paragraph D of Section I) and date of birth.

- C. If there is a change of circumstances with respect to a New Individual Account that causes the Reporting Financial Institution to know, or have reason to know, that the original self-certification is incorrect or unreliable, the Reporting Financial Institution cannot rely on the original self-certification and must obtain a valid self-certification that establishes the residence(s) for tax purposes of the Account Holder.

Section V: Due Diligence for Pre-existing Entity Accounts

The following procedures apply for purposes of identifying Reportable Accounts among Preexisting Entity Accounts.

- A. Entity Accounts Not Required to be Reviewed, Identified Or Reported.**
- The Reporting Financial Institution may with respect to all Preexisting Entity Accounts or, separately, with respect to any clearly identified group of such accounts, a Preexisting Entity Account with an aggregate account balance or value that does not exceed USD 250 000 as of 31st December 2023, is not required to be reviewed, identified, or reported as a Reportable Account until the aggregate account balance or value exceeds USD 250 000 as of the last day of any subsequent calendar year unless the Competent Authority decides otherwise.
- B. Entity Accounts Subject to Review.** A Preexisting Entity Account that has an aggregate account balance or value that exceeds USD 250 000 as of 31 December 2023, and a Preexisting Entity Account that does not exceed USD 250 000 as of 31st December 2023 but the aggregate account balance or value of which exceeds USD 250 000 as of the last day of any subsequent calendar year, must be reviewed in accordance with the procedures set forth in paragraph D.
- C. Entity Accounts With Respect to Which Reporting Is Required.**

With respect to Preexisting Entity Accounts described in paragraph B, only accounts that are held by one or more Entities that are Reportable Persons, or by Passive NFEs with one or more Controlling Persons who are Reportable Persons, shall be treated as Reportable Accounts.

- D. Review Procedures for Identifying Entity Accounts With Respect to Which Reporting Is Required.** For Preexisting Entity Accounts described in paragraph B, a Reporting Financial Institution must apply the following review procedures to determine whether the account is held by one or more

Reportable Persons, or by Passive NFEs with one or more Controlling Persons who are Reportable Persons:

1. Determine Whether the Entity Is a Reportable Person.

- a. Review information maintained for regulatory or customer relationship purposes (including information collected pursuant to AML/KYC Procedures) to determine whether the information indicates that the Account Holder is resident in a Reportable Jurisdiction. For this purpose, information indicating that the Account Holder is resident in a Reportable Jurisdiction includes a place of incorporation or organisation, or an address in a Reportable Jurisdiction.
- b. If the information indicates that the Account Holder is resident in a Reportable Jurisdiction, the Reporting Financial Institution must treat the account as a Reportable Account unless it obtains a self-certification from the Account Holder, or reasonably determines based on information in its possession or that is publicly available, that the Account Holder is not a Reportable Person.

2. Determine Whether the Entity is a Passive NFE with One Or More Controlling Persons Who Are Reportable Persons. With respect to an Account Holder of a Preexisting Entity Account (including an Entity that is a Reportable Person), the Reporting Financial Institution must determine whether the Account Holder is a Passive NFE with one or more Controlling Persons who are Reportable Persons. If any of the Controlling Persons of a Passive NFE is a Reportable Person, then the account must be treated as a Reportable Account. In making these determinations the Reporting Financial Institution must follow the guidance in subparagraphs D(2)(a) through (c) in the order most appropriate under the circumstances.

- (a) Determining whether the Account Holder is a Passive NFE.

For purposes of determining whether the Account Holder is a Passive NFE, the Reporting Financial Institution must obtain a self-certification from the Account Holder to establish its status, unless it has information in its possession or that is publicly available, based on which it can reasonably determine that the Account Holder is an Active NFE or a Financial Institution other than an Investment Entity described in subparagraph A(6)(b) of Section VIII that is not a Participating Jurisdiction Financial Institution.

- (b) Determining the Controlling Persons of an Account Holder.

For the purposes of determining the Controlling Persons of an Account Holder, a Reporting Financial Institution may rely on information collected and maintained pursuant to AML/KYC Procedures.

- (c) Determining whether a Controlling Person of a Passive NFE is a Reportable Person. For the purposes of determining whether a Controlling Person of a Passive NFE is a Reportable Person, a Reporting Financial Institution may rely on:
 - (i). information collected and maintained pursuant to AML/ KYC Procedures in the case of a Preexisting Entity Account held by one or more NFEs with an aggregate account balance or value that does not exceed USD 1,000,000 unless the Competent Authority decides otherwise; or
 - (ii). a self-certification from the Account Holder or such Controlling Person of the jurisdiction(s) in which the Controlling Person is resident for tax purposes.

E. Timing of Review and Additional Procedures Applicable to Pre-Existing Entity Accounts.

1. Review of Preexisting Entity Accounts with an aggregate account balance or value that exceeds USD 250 000 as of 31st December, 2023 must be completed by 31st December 2025.
2. Review of Preexisting Entity Accounts with an aggregate account balance or value that does not exceed USD 250 000 as of 31st December 2023, but exceeds USD 250 000 as of 31st December of a subsequent year, must be completed within the calendar year following the year in which the aggregate account balance or value exceeds USD 250000.
3. If there is a change of circumstances with respect to a Preexisting Entity Account that causes the Reporting Financial Institution to know, or have reason to know, that the self-certification or other documentation associated with an account is incorrect or unreliable, the Reporting Financial Institution must re-determine the status of the account in accordance with the procedures set forth in paragraph D.

Section VI: Due Diligence for New Entity Accounts

The following procedures apply for purposes of identifying Reportable Accounts among New Entity Accounts.

A. Review Procedures for Identifying Entity Accounts With Respect to Which Reporting Is Required.

For New Entity Accounts, a Reporting Financial Institution must apply the following review procedures to determine whether the account is held by one or more Reportable Persons, or by Passive NFEs with one or more Controlling Persons who are Reportable Persons:

1. Determine Whether the Entity Is a Reportable Person.

- (a) Obtain a self-certification, which may be part of the account opening documentation, that allows the Reporting Financial Institution to determine the Account Holder's residence(s) for tax purposes and confirm the reasonableness of such self-certification based on the information obtained by the Reporting Financial Institution in connection with the opening of the account, including any documentation collected pursuant to AML/KYC Procedures. If the Entity certifies that it has no residence for tax purposes, the Reporting Financial Institution may rely on the address of the principal office of the Entity to determine the residence of the Account Holder.
- (b) If the self-certification indicates that the Account Holder is resident in a Reportable Jurisdiction, the Reporting Financial Institution must treat the account as a Reportable Account unless it reasonably determines based on information in its possession or that is publicly available, that the Account Holder is not a Reportable Person with respect to such Reportable Jurisdiction.

2. Determine Whether the Entity is a Passive NFE with One or More Controlling Persons Who Are Reportable Persons. With respect to an Account Holder of a New Entity Account (including an Entity that is a Reportable Person), the Reporting Financial Institution must determine whether the Account Holder is a Passive NFE with one or more Controlling Persons who are Reportable Persons. If any of the Controlling Persons of a Passive NFE is a Reportable Person, then the account must be treated as a Reportable Account. In making these determinations the Reporting Financial Institution must follow the guidance in subparagraphs A(2)(a) through (c) in the order most appropriate under the circumstances.

- a. Determining whether the Account Holder is a Passive NFE.
- b) For purposes of determining whether the Account Holder is a Passive NFE, the Reporting Financial Institution must rely on a self-certification from the Account Holder to establish its status, unless it has information in its possession or that is publicly available, based on which it can reasonably determine that the Account Holder is an Active NFE or a Financial Institution other than an Investment Entity

described in subparagraph A(6)(b) of Section VIII that is not a Participating Jurisdiction Financial Institution.

c) Determining the Controlling Persons of an Account Holder.

For purposes of determining the Controlling Persons of an Account Holder, a Reporting Financial Institution may rely on information collected and maintained pursuant to AML/KYC Procedures.

d) Determining whether a Controlling Person of a Passive NFE is a Reportable Person.

For purposes of determining whether a Controlling Person of a Passive NFE is a Reportable Person, a Reporting Financial Institution may rely on a self-certification from the Account Holder or such Controlling Person.

Section VII: Special Due Diligence Rules

The following additional rules apply in implementing the due diligence procedures described above:

A. Reliance on Self-Certifications and Documentary Evidence. A Reporting Financial Institution may not rely on a self-certification or Documentary Evidence if the Reporting Financial Institution knows or has reason to know that the self-certification or Documentary Evidence is incorrect or unreliable.

B. Alternative Procedures for Financial Accounts Held by individual beneficiaries of a Cash Value Insurance Contract or an Annuity Contract. A Reporting Financial Institution may presume that an individual beneficiary (other than the owner) of a Cash Value Insurance Contract or an Annuity Contract receiving a death benefit is not a Reportable Person and may treat such Financial Account as other than a Reportable Account unless the Reporting Financial Institution has actual knowledge, or reason to know, that the beneficiary is a Reportable Person. A Reporting Financial Institution has reason to know that a beneficiary of a Cash Value Insurance Contract or an Annuity Contract is a Reportable Person if the information collected by the Reporting Financial Institution and associated with the beneficiary contains indicia as described in paragraph B of Section III. If a Reporting Financial Institution has actual knowledge, or reason to know, that the beneficiary is a Reportable Person, the Reporting Financial Institution must follow the procedures in paragraph B of Section III.

C. Account Balance Aggregation and Currency Rules.

- 1. Aggregation of Individual Accounts.** For purposes of determining the aggregate balance or value of Financial Accounts held by an individual, a Reporting Financial Institution is required to aggregate all Financial Accounts maintained by the Reporting Financial Institution, or by a Related Entity, but only to the extent that the Reporting Financial Institution's computerised systems link the Financial Accounts by reference to a data element such as client number or TIN, and allow account balances or values to be aggregated. Each holder of a jointly held Financial Account shall be attributed the entire balance or value of the jointly held Financial Account for purposes of applying the aggregation requirements described in this subparagraph.
- 2. Aggregation of Entity Accounts.** For purposes of determining the aggregate balance or value of Financial Accounts held by an Entity, a Reporting Financial Institution is required to take into account all Financial Accounts that are maintained by the Reporting Financial Institution, or by a Related Entity, but only to the extent that the Reporting Financial Institution's computerised systems link the Financial Accounts by reference to a data element such as client number or TIN, and allow account balances or values to be aggregated. Each holder of a jointly held Financial Account shall be attributed the entire balance or value of the jointly held Financial Account for purposes of applying the aggregation requirements described in this subparagraph.
- 3. Special Aggregation Rule applicable to Relationship Managers.**

For purposes of determining the aggregate balance or value of Financial Accounts held by a person to determine whether a Financial Account is a High Value Account, a Reporting Financial Institution is also required, in the case of any Financial Accounts that a relationship manager knows, or has reason to know, are directly or indirectly owned, controlled, or established (other than in a fiduciary capacity) by the same person, to aggregate all such accounts.
- 4. Amounts Read to Include Equivalent in Other Currencies.** All dollar amounts are in US dollars and shall be read to include equivalent amounts in other currencies, as determined by domestic law.

Section VIII: Defined Terms

The following terms have the meanings set forth below:

A. Reporting Financial Institution

1. The term **“Reporting Financial Institution”** means any Participating Jurisdiction Financial Institution that is not a Non- Reporting Financial Institution.
2. The term “Participating Jurisdiction Financial Institution” means (i) any Financial Institution that is resident in a Participating Jurisdiction, but excludes any branch of that Financial Institution that is located outside such Participating Jurisdiction, and (ii) any branch of a Financial Institution that is not resident in a Participating Jurisdiction, if that branch is located in such Participating Jurisdiction.
3. The term “Financial Institution” means a Custodial Institution, a Depository Institution, an Investment Entity, or a Specified Insurance Company.
4. The term “Custodial Institution” means any Entity that holds, as a substantial portion of its business, Financial Assets for the account of others. An Entity holds Financial Assets for the account of others as a substantial portion of its business if the Entity’s gross income attributable to the holding of Financial Assets and related financial services equals or exceeds 20% of the Entity’s gross income during the shorter of: (i) the three-year period that ends on 31 December (or the final day of a non- calendar year accounting period) prior to the year in which the determination is being made; or (ii) the period during which the Entity has been in existence.
5. The term **“Depository Institution”** means any Entity that accepts deposits in the ordinary course of a banking or similar business.
6. The term **“Investment Entity”** means any Entity:
 - a) that primarily conducts as a business one or more of the following activities or operations for or on behalf of a customer:
 - (i). trading in money market instruments (cheques, bills, certificates of deposit, derivatives, etc.); foreign exchange; exchange, interest rate and index instruments; transferable securities; or commodity futures trading;(ii) individual and collective portfolio management; or
 - (ii). otherwise investing, administering, or managing Financial Assets or money on behalf of other persons; or

- b) the gross income of which is primarily attributable to investing, reinvesting, or trading in Financial Assets, if the Entity is managed by another Entity that is a Depository Institution, a Custodial Institution, a Specified Insurance Company, or an Investment Entity described in subparagraph A(6)(a).

An Entity is treated as primarily conducting as a business one or more of the activities described in subparagraph A(6)(a), or an Entity's gross income is primarily attributable to investing, reinvesting, or trading in Financial Assets for purposes of subparagraph A(6)(b), if the Entity's gross income attributable to the relevant activities equals or exceeds 50% of the Entity's gross income during the shorter of: (i) the three-year period ending on 31 December of the year preceding the year in which the determination is made; or (ii) the period during which the Entity has been in existence. The term "Investment Entity" does not include an Entity that is an Active NFE because it meets any of the criteria in subparagraphs D(9)(d) through (g).

This paragraph shall be interpreted in a manner consistent with similar language set forth in the definition of "financial institution" in the Financial Action Task Force Recommendations.

- 7. The term **"Financial Asset"** includes a security (for example, a share of stock in a corporation; partnership or beneficial ownership interest in a widely held or publicly traded partnership or trust; note, bond, debenture, or other evidence of indebtedness), partnership interest, commodity, swap (for example, interest rate swaps, currency swaps, basis swaps, interest rate caps, interest rate floors, commodity swaps, equity swaps, equity index swaps, and similar agreements), Insurance Contract or Annuity Contract, or any interest (including a futures or forward contract or option) in a security, partnership interest, commodity, swap, Insurance Contract, or Annuity Contract. The term "Financial Asset" does not include a non-debt, direct interest in real property.
- 8. The term **"Specified Insurance Company"** means any Entity that is an insurance company (or the holding company of an insurance company) that issues, or is obligated to make payments with respect to, a Cash Value Insurance Contract or an Annuity Contract.

B. Non-Reporting Financial Institution

- 1. The term **"Non-Reporting Financial Institution"** means any Financial Institution that is:

- a) a Governmental Entity, International Organisation or Central Bank, other than with respect to a payment that is derived from an obligation held in connection with a commercial financial activity of a type engaged in by a Specified Insurance Company, Custodial Institution, or Depository Institution;
 - b) a Broad Participation Retirement Fund; a Narrow Participation Retirement Fund; a Pension Fund of a Governmental Entity, International Organisation or Central Bank; or a Qualified Credit Card Issuer;
 - c) any other Entity that presents a low risk of being used to evade tax, has substantially similar characteristics to any of the Entities described in subparagraphs B(1) (a) and (b), and is defined in domestic law as a Non- Reporting Financial Institution, provided that the status of such Entity as a Non-Reporting Financial Institution does not frustrate the purposes of the Common Reporting Standard;
 - d) an Exempt Collective Investment Vehicle; or
 - e) a trust to the extent that the trustee of the trust is a Reporting Financial Institution and reports all information required to be reported pursuant to Section I with respect to all Reportable Accounts of the trust.
2. The term **“Governmental Entity”** means the government of a jurisdiction, any political subdivision of a jurisdiction (which, for the avoidance of doubt, includes a state, province, county, or municipality), or any wholly owned agency or instrumentality of a jurisdiction or of any one or more of the foregoing (each, a “Governmental Entity”). This category is comprised of the integral parts, controlled entities, and political subdivisions of a jurisdiction.
- a) An “integral part” of a jurisdiction means any person, organisation, agency, bureau, fund, instrumentality, or other body, however designated, that constitutes a governing authority of a jurisdiction. The net earnings of the governing authority must be credited to its own account or to other accounts of the jurisdiction, with no portion inuring to the benefit of any private person. An integral part does not include any individual who is a sovereign, official, or administrator acting in a private or personal capacity.
 - b) A controlled entity means an Entity that is separate in form from the jurisdiction or that otherwise constitutes a separate juridical entity, provided that:

- (i). the Entity is wholly owned and controlled by one or more Governmental Entities directly or through one or more controlled entities;
 - (ii). the Entity's net earnings are credited to its own account or to the accounts of one or more Governmental Entities, with no portion of its income inuring to the benefit of any private person; and
 - (iii). the Entity's assets vest in one or more Governmental Entities upon dissolution.
 - c) Income does not inure to the benefit of private persons if such persons are the intended beneficiaries of a governmental programme, and the programme activities are performed for the general public with respect to the common welfare or relate to the administration of some phase of government. Notwithstanding the foregoing, however, income is considered to inure to the benefit of private persons if the income is derived from the use of a governmental entity to conduct a commercial business, such as a commercial banking business, that provides financial services to private persons.
3. The term "International Organisation" means any international organisation or wholly owned agency or instrumentality thereof. This category includes any intergovernmental organization (including a supranational organisation) (1) that is comprised primarily of governments; (2) that has in effect a headquarters or substantially similar agreement with the jurisdiction; and (3) the income of which
4. The term "Central Bank" means an institution that is by law or government sanction the principal authority, other than the government of the jurisdiction itself, issuing instruments intended to circulate as currency. Such an institution may include an instrumentality that is separate from the government of the jurisdiction, whether or not owned in whole or in part by the jurisdiction.
5. The term "**Broad Participation Retirement Fund**" means a fund established to provide retirement, disability, or death benefits, or any combination thereof, to beneficiaries that are current or former employees (or persons designated by such employees) of one or more employers in consideration for services rendered, provided that the fund:

- a) does not have a single beneficiary with a right to more than five per cent of the fund's assets;
 - b) is subject to government regulation and provides information reporting to the tax authorities; and satisfies at least one of the following requirements:
 - (i). the fund is generally exempt from tax on investment income, or taxation of such income is deferred or taxed at a reduced rate, due to its status as a retirement or pension plan;
 - (ii). the fund receives at least 50% of its total contributions (other than transfers of assets from other plans described in subparagraphs B(5) through (7) or from retirement and pension accounts described in subparagraph C(17)(a)) from the sponsoring employers;
 - (iii). distributions or withdrawals from the fund are allowed only upon the occurrence of specified events related to retirement, disability, or death (except rollover distributions to other retirement funds described in subparagraphs B(5) through (7) or retirement and pension accounts described in subparagraph C(17)(a)), or penalties apply to distributions or withdrawals made before such specified events; or
 - (iv). contributions (other than certain permitted make-up contributions) by employees to the fund are limited by reference to earned income of the employee or may not exceed USD 50 000 annually, applying the rules set forth in paragraph C of Section VII for account aggregation and currency translation.
6. The term **“Narrow Participation Retirement Fund”** means a fund established to provide retirement, disability, or death benefits to beneficiaries that are current or former employees (or persons designated by such employees) of one or more employers in consideration for services rendered, provided that:
- a. the fund has fewer than 50 participants;
 - b. the fund is sponsored by one or more employers that are not Investment Entities or Passive NFEs;
 - c. the employee and employer contributions to the fund (other than transfers of assets from retirement and pension accounts described in subparagraph C(17)(a)) are limited by reference to earned income and compensation of the employee, respectively; participants that are not residents of the jurisdiction in which the

fund is established are not entitled to more than 20% of the fund's assets; and e) the fund is subject to government regulation and provides information reporting to the tax authorities.

7. The term "Pension Fund of a Governmental Entity, International Organisation or Central Bank" means a fund established by a Governmental Entity, International Organisation or Central Bank to provide retirement, disability, or death benefits to beneficiaries or participants that are current or former employees (or persons designated by such employees), or that are not current or former employees, if the benefits provided to such beneficiaries or participants are in consideration of personal services performed for the Governmental Entity, International Organisation or Central Bank.
8. The term **"Qualified Credit Card Issuer"** means a Financial Institution satisfying the following requirements:
 - a) the Financial Institution is a Financial Institution solely because it is an issuer of credit cards that accepts deposits only when a customer makes a payment in excess of a balance due with respect to the card and the overpayment is not immediately returned to the customer; and
 - b) beginning on or before 1 January, 2024, the Financial Institution implements policies and procedures either to prevent a customer from making an overpayment in excess of USD 50 000, or to ensure that any customer overpayment in excess of USD 50 000 is refunded to the customer within 60 days, in each case applying the rules set forth in paragraph C of Section VII for account aggregation and currency translation. For this purpose, a customer overpayment does not refer to credit balances to the extent of disputed charges but does include credit balances resulting from merchandise returns.
9. The term **"Exempt Collective Investment Vehicle"** means an Investment Entity that is regulated as a collective investment vehicle, provided that all of the interests in the collective investment vehicle are held by or through individuals or Entities that are not Reportable Persons, except a Passive NFE with Controlling Persons who are Reportable Persons. An Investment Entity that is regulated as a collective investment vehicle does not fail to qualify under subparagraph B(9) as an Exempt Collective Investment Vehicle, solely because the collective investment vehicle has issued physical shares in bearer form, provided that:

- a. the collective investment vehicle has not issued, and does not issue, any physical shares in bearer form after 31st December, 2023;
- b. the collective investment vehicle retires all such shares upon surrender;
- c. the collective investment vehicle performs the due diligence procedures set forth in Sections II through VII and reports any information required to be reported with respect to any such shares when such shares are presented for redemption or other payment; and
- d. the collective investment vehicle has in place policies and procedures to ensure that such shares are redeemed or immobilised as soon as possible, and in any event prior to 1st January, 2024.

C. Financial Account

1. The term **“Financial Account”** means an account maintained by a Financial Institution, and includes a Depository Account, a Custodial Account and:
 - a) in the case of an Investment Entity, any equity or debt interest in the Financial Institution. Notwithstanding the foregoing, the term “Financial Account” does not include any equity or debt interest in an Entity that is an Investment Entity solely because it (i) renders investment advice to, and acts on behalf of, or (ii) manages portfolios for, and acts on behalf of, a customer for the purpose of investing, managing, or administering Financial Assets deposited in the name of the customer with a Financial Institution other than such Entity;
 - b) in the case of a Financial Institution not described in subparagraph C(1)(a), any equity or debt interest in the Financial Institution, if the class of interests was established with a purpose of avoiding reporting in accordance with Section I; and
 - c) any Cash Value Insurance Contract and any Annuity Contract issued or maintained by a Financial Institution, other than a noninvestment-linked, non-transferable immediate life annuity that is issued to an individual and monetises a pension or disability benefit provided under an account that is an Excluded Account. The term “Financial Account” does not include any account that is an Excluded Account.
2. The term “Depository Account” includes any commercial, checking, savings, time, or thrift account, or an account that is evidenced by a certificate of deposit, thrift certificate, investment certificate, certificate of indebtedness, or other similar instrument maintained by a Financial

Institution in the ordinary course of a banking or similar business. A Depository Account also includes an amount held by an insurance company pursuant to a guaranteed investment contract or similar agreement to pay or credit interest thereon.

3. The term “Custodial Account” means an account (other than an Insurance Contract or Annuity Contract) that holds one or more Financial Assets for the benefit of another person.
4. The term “Equity Interest” means, in the case of a partnership that is a Financial Institution, either a capital or profits interest in the partnership. In the case of a trust that is a Financial Institution, an Equity Interest is considered to be held by any person treated as a settlor or beneficiary of all or a portion of the trust, or any other natural person exercising ultimate effective control over the trust. A Reportable Person will be treated as being a beneficiary of a trust if such Reportable Person has the right to receive directly or indirectly (for example, through a nominee) a mandatory distribution or may receive, directly or indirectly, a discretionary distribution from the trust.
5. The term “Insurance Contract” means a contract (other than an Annuity Contract) under which the issuer agrees to pay an amount upon the occurrence of a specified contingency involving mortality, morbidity, accident, liability, or property risk.
6. The term “Annuity Contract” means a contract under which the issuer agrees to make payments for a period of time determined in whole or in part by reference to the life expectancy of one or more individuals. The term also includes a contract that is considered to be an Annuity Contract in accordance with the law, regulation, or practice of the jurisdiction in which the contract was issued, and under which the issuer agrees to make payments for a term of years.
7. The term “**Cash Value Insurance Contract**” means an Insurance Contract (other than an indemnity reinsurance contract between two insurance companies) that has a Cash Value.
8. The term “**Cash Value**” means the greater of (i) the amount that the policyholder is entitled to receive upon surrender or termination of the contract (determined without reduction for any surrender charge or policy loan), and (ii) the amount the policyholder can borrow under or with regard to the contract. Notwithstanding the foregoing, the term “Cash Value” does not include an amount payable under an Insurance Contract:

- a) solely by reason of the death of an individual insured under a life insurance contract;
 - b) as a personal injury or sickness benefit or other benefit providing indemnification of an economic loss incurred upon the occurrence of the event insured against;
 - c) as a refund of a previously paid premium (less cost of insurance charges whether or not actually imposed) under an Insurance Contract (other than an investment linked life insurance or annuity contract) due to cancellation or termination of the contract, decrease in risk exposure during the effective period of the contract, or arising from the correction of a posting or similar error with regard to the premium for the contract;
 - d) as a policyholder dividend (other than a termination dividend) provided that the dividend relates to an Insurance Contract under which the only benefits payable are described in subparagraph C(8)(b); or
 - e) as a return of an advance premium or premium deposit for an Insurance Contract for which the premium is payable at least annually if the amount of the advance premium or premium deposit does not exceed the next annual premium that will be payable under the contract.
- 9. The term “Preexisting Account” means a Financial Account maintained by a Reporting Financial Institution as of 31st December, 2023.
 - 10. The term “New Account” means a Financial Account maintained by a Reporting Financial Institution opened on or after 1st of January 2024.
 - 11. The term “Preexisting Individual Account” means a Preexisting Account held by one or more individuals.
 - 12. The term “New Individual Account” means a New Account held by one or more individuals.
 - 13. The term “Preexisting Entity Account” means a Preexisting Account held by one or more Entities.
 - 14. The term **“Lower Value Account”** means a Preexisting Individual Account with an aggregate balance or value as of 31st December 2023 that does not exceed USD 1,000,000.
 - 15. The term **“High Value Account”** means a Preexisting Individual Account with an aggregate balance or value that exceeds USD 1 000 000 as of 31 December 2023 or 31 December of any subsequent year.
 - 16. The term “New Entity Account” means a New Account held by one or more Entities.

17. The term **“Excluded Account”** means any of the following accounts:
- a) retirement or pension account that satisfies the following requirements:
 - (i). the account is subject to regulation as a personal retirement account or is part of a registered or regulated retirement or pension plan for the provision of retirement or pension benefits (including disability or death benefits);
 - (ii). (ii) the account is tax-favoured (i.e., contributions to the account that would otherwise be subject to tax are deductible or excluded from the gross income of the account holder or taxed at a reduced rate, or taxation of investment income from the account is deferred or taxed at a reduced rate);
 - (iii). (iii) information reporting is required to the tax authorities with respect to the account;
 - (iv). (iv) withdrawals are conditioned on reaching a specified retirement age, disability, or death, or penalties apply to withdrawals made before such specified events; and
 - (v). (v) either (i) annual contributions are limited to USD 50,000 or less, or (ii) there is a maximum lifetime contribution limit to the account of USD 1,000,000 or less, in each case applying the rules set forth in paragraph C of Section VII for account aggregation and currency translation.

A Financial Account that otherwise satisfies the requirement of subparagraph C(17)(a)(v) will not fail to satisfy such requirement solely because such Financial Account may receive assets or funds transferred from one or more Financial Accounts that meet the requirements of subparagraph C(17)(a) or (b) or from one or more retirement or pension funds that meet the requirements of any of subparagraphs B(5) through (7).

- b) an account that satisfies the following requirements:
 - (i). the account is subject to regulation as an investment vehicle for purposes other than for retirement and is regularly traded on an established securities market, or the account is subject to regulation as a savings vehicle for purposes other than for retirement;
 - (ii). (ii) the account is tax-favoured (i.e. contributions to the account that would otherwise be subject to tax are deductible or excluded from the gross income of the account holder or taxed at a

reduced rate, or taxation of investment income from the account is deferred or taxed at a reduced rate);

- (iii). iii) withdrawals are conditioned on meeting specific criteria related to the purpose of the investment or savings account (for example, the provision of educational or medical benefits), or penalties apply to withdrawals made before such criteria are met; and
- (iv). iv) annual contributions are limited to USD 50 000 or less, applying the rules set forth in paragraph C of Section VII for account aggregation and currency translation.

A Financial Account that otherwise satisfies the requirement of subparagraph (17)(b)(iv) will not fail to satisfy such requirement solely because such Financial Account may receive assets or funds transferred from one or more Financial Accounts that meet the requirements of subparagraph C(17)(a) or (b) or from one or more retirement or pension funds that meet the requirements of any of subparagraphs (5) through (7).

- c) a life insurance contract with a coverage period that will end before the insured individual attains age 90, provided that the contract satisfies the following requirements:
 - (i). periodic premiums, which do not decrease over time, are payable at least annually during the period the contract is in existence or until the insured attains age 90, whichever is shorter;
 - (ii). the contract has no contract value that any person can access (by withdrawal, loan, or otherwise) without terminating the contract;
 - (iii). the amount (other than a death benefit) payable upon cancellation or termination of the contract cannot exceed the aggregate premiums paid for the contract, less the sum of mortality, morbidity, and expense charges (whether or not actually imposed) for the period or periods of the contract's existence and any amounts paid prior to the cancellation or termination of the contract; and
 - (iv). the contract is not held by a transferee for value.
- d) an account that is held solely by an estate if the documentation for such account includes a copy of the deceased's will or death certificate.

- e) an account established in connection with any of the following:
 - (i). a court order or judgment.
 - (ii). (a sale, exchange, or lease of real or personal property, provided that the account satisfies the following requirements:
 - (I). the account is funded solely with a down payment, earnest money, deposit in an amount appropriate to secure an obligation directly related to the transaction, or a similar payment, or is funded with a Financial Asset that is deposited in the account in connection with the sale, exchange, or lease of the property;
 - (II). the account is established and used solely to secure the obligation of the purchaser to pay the purchase price for the property, the seller to pay any contingent liability, or the lessor or lessee to pay for any damages relating to the leased property as agreed under the lease;
 - (III). the assets of the account, including the income earned thereon, will be paid or otherwise distributed for the benefit of the purchaser, seller, lessor, or lessee (including to satisfy such person's obligation) when the property is sold, exchanged, or surrendered, or the lease terminates;
 - (IV). the account is not a margin or similar account established in connection with a sale or exchange of a Financial Asset; and
 - (V). the account is not associated with an account described in subparagraph C(17)(f).
 - (iii). an obligation of a Financial Institution servicing a loan secured by real property to set aside a portion of a payment solely to facilitate the payment of taxes or insurance related to the real property at a later time.
 - (iv). an obligation of a Financial Institution solely to facilitate the payment of taxes at a later time.
- f) a Depository Account that satisfies the following requirements:
 - (i). the account exists solely because a customer makes a payment in excess of a balance due with respect to a credit card or other revolving credit facility and the overpayment is not immediately returned to the customer; and
 - (ii). beginning on or before 1st January 2024, the Financial Institution implements policies and procedures either to prevent

a customer from making an overpayment in excess of USD 50,000, or to ensure that any customer overpayment in excess of USD 50,000 is refunded to the customer within 60 days, in each case applying the rules set forth in paragraph C of Section VII for currency translation. For this purpose, a customer overpayment does not refer to credit balances to the extent of disputed charges but does include credit balances resulting from merchandise returns.

- g) any other account that presents a low risk of being used to evade tax, has substantially similar characteristics to any of the accounts described in subparagraphs C(17)(a) through (f), and is defined in domestic law as an Excluded Account, provided that the status of such account as an Excluded Account does not frustrate the purposes of the Common Reporting Standard.

D. Reportable Account

1. The term **“Reportable Account”** means an account held by one or more Reportable Persons or by a Passive NFE with one or more Controlling Persons that is a Reportable Person, provided it has been identified as such pursuant to the due diligence procedures described in Sections II through VII.
2. The term **“Reportable Person”** means a Reportable Jurisdiction Person other than: (i) a corporation the stock of which is regularly traded on one or more established securities markets; (ii) any corporation that is a Related Entity of a corporation described in clause (i); (iii) a Governmental Entity; (iv) an International Organisation; (v) a Central Bank; or (vi) a Financial Institution.
3. The term **“Reportable Jurisdiction Person”** means an individual or Entity that is resident in a Reportable Jurisdiction under the tax laws of such jurisdiction, or an estate of a decedent that was a resident of a Reportable Jurisdiction. For this purpose, an Entity such as a partnership, limited liability partnership or similar legal arrangement that has no residence for tax purposes shall be treated as resident in the jurisdiction in which its place of effective management is situated.
4. Deleted.
5. The term **“Participating Jurisdiction”** means a jurisdiction (i) with which an agreement is in place pursuant to which it will provide the information specified in Section I, and (ii) which is identified in a published list.

6. The term “**Controlling Persons**” means the natural persons or beneficial owner who exercise control over an Entity. In the case of a trust, such term means the settlor(s), the trustee(s), the protector(s) (if any), the beneficiary(ies) or class(es) of beneficiaries, and any other natural person(s) exercising ultimate effective control over the trust, and in the case of a legal arrangement other than a trust, such term means persons in equivalent or similar positions. The term “Controlling Persons” must be interpreted in a manner consistent with the Financial Action Task Force Recommendations.
7. The term “NFE” means any Entity that is not a Financial Institution.
8. The term “Passive NFE” means any: (i) NFE that is not an Active NFE; or (ii) an Investment Entity described in subparagraph A(6)(b) that is not a Participating Jurisdiction Financial Institution.
9. The term “**Active NFE**” means any NFE that meets any of the following criteria:
 - a) less than 50% of the NFE’s gross income for the preceding calendar year or other appropriate reporting period is passive income and less than 50% of the assets held by the NFE during the preceding calendar year or other appropriate reporting period are assets that produce or are held for the production of passive income;
 - b) the stock of the NFE is regularly traded on an established securities market or the NFE is a Related Entity of an Entity the stock of which is regularly traded on an established securities market;
 - c) the NFE is a Governmental Entity, an International Organisation, a Central Bank, or an Entity wholly owned by one or more of the foregoing;
 - d) substantially all of the activities of the NFE consist of holding (in whole or in part) the outstanding stock of, or providing financing and services to, one or more subsidiaries that engage in trades or businesses other than the business of a Financial Institution, except that an Entity does not qualify for this status if the Entity functions (or holds itself out) as an investment fund, such as a private equity fund, venture capital fund, leveraged buyout fund, or any investment vehicle whose purpose is to acquire or fund companies and then hold interests in those companies as capital assets for investment purposes;
 - e) the NFE is not yet operating a business and has no prior operating history, but is investing capital into assets with the intent to operate a business other than that of a Financial Institution, provided that

the NFE does not qualify for this exception after the date that is 24 months after the date of the initial organisation of the NFE;

- f) the NFE was not a Financial Institution in the past five years, and is in the process of liquidating its assets or is reorganising with the intent to continue or recommence operations in a business other
- g) the NFE primarily engages in financing and hedging transactions with, or for, Related Entities that are not Financial Institutions, and does not provide financing or hedging services to any Entity that is not a Related Entity, provided that the group of any such Related Entities is primarily engaged in a business other than that of a Financial Institution; or
- h) the NFE meets all of the following requirements:
 - (i). it is established and operated in its jurisdiction of residence exclusively for religious, charitable, scientific, artistic, cultural, athletic, or educational purposes; or it is established and operated in its jurisdiction of residence and it is a professional organisation, business league, chamber of commerce, labour organisation, agricultural or horticultural organisation, civic league or an organization operated exclusively for the promotion of social welfare;
 - (ii). (ii) it is exempt from income tax in its jurisdiction of residence;
 - (iii). (iii) it has no shareholders or members who have a proprietary or beneficial interest in its income or assets;
 - (iv). (iv) the applicable laws of the NFE's jurisdiction of residence or the NFE's formation documents do not permit any income or assets of the NFE to be distributed to, or applied for the benefit of, a private person or noncharitable Entity other than pursuant to the conduct of the NFE's charitable activities, or as payment of reasonable compensation for services rendered, or as payment representing the fair market value of property which the NFE has purchased; and
 - (v) the applicable laws of the NFE's jurisdiction of residence or the NFE's formation documents require that, upon the NFE's liquidation or dissolution, all of its assets be distributed to a Governmental Entity or other non-profit organisation, or escheat to the government of the NFE's jurisdiction of residence or any political subdivision thereof.

E. Miscellaneous

1. The term **“Account Holder”** means the person listed or identified as the holder of a Financial Account by the Financial Institution that maintains the account. A person, other than a Financial Institution, holding a Financial Account for the benefit or account of another person as agent, custodian, nominee, signatory, investment advisor, or intermediary, is not treated as holding the account for purposes of the Common Reporting Standard, and such other person is treated as holding the account.

In the case of a Cash Value Insurance Contract or an Annuity Contract, the Account Holder is any person entitled to access the Cash Value or change the beneficiary of the contract. If no person can access the Cash Value or change the beneficiary, the Account Holder is any person named as the owner in the contract and any person with a vested entitlement to payment under the terms of the contract. Upon the maturity of a Cash Value Insurance Contract or an Annuity Contract, each person entitled to receive a payment under the contract is treated as an Account Holder.

2. The term **“AML/KYC Procedures”** means the customer due diligence procedures of a Reporting Financial Institution pursuant to the anti-money laundering or similar requirements to which such Reporting Financial Institution is subject.
3. The term **“Entity”** means a legal person or a legal arrangement, such as a corporation, partnership, trust, or foundation.
4. An Entity is a **“Related Entity”** of another Entity if either Entity controls the other Entity, or the two Entities are under common control. For this purpose, control includes direct or indirect ownership of more than 50% of the vote and value in an Entity.
5. The term **“TIN”** means Taxpayer Identification Number (or functional equivalent in the absence of a Taxpayer Identification Number).
6. The term **“Documentary Evidence”** includes any of the following:
 - a) a certificate of residence issued by an authorised government body (for example, a government or agency thereof, or a municipality) of the jurisdiction in which the payee claims to be a resident.
 - b) with respect to an individual, any valid identification issued by an authorised government body (for example, a government or agency thereof, or a municipality), that includes the individual’s name and is typically used for identification purposes.
 - c) with respect to an Entity, any official documentation issued by an authorised government body (for example, a government or agency

thereof, or a municipality) that includes the name of the Entity and either the address of its principal office in the jurisdiction in which it claims to be a resident or the jurisdiction in which the Entity was incorporated or organised.

- d) any audited financial statement, third-party credit report, bankruptcy filing, or securities regulator's report.

History: Act 15/2023

Cross References

Constitution

Ratification of Treaties Act, Cap 190

CHAPTER 341
THE TAX APPEALS TRIBUNALS ACT

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SCHEDULE

Schedule

Currency Point

CHAPTER 341**THE TAX APPEALS TRIBUNALS ACT**

Commencement: 1 August, 1998

An Act to provide for the establishment of tax appeals tribunals pursuant to Article 152(3) of the Constitution, to provide for mediation as a mechanism for resolution of tax disputes; to provide for the powers of the registrar to handle interlocutory applications; to empower the tribunals to award damages and interest and for related matters.

PART I – INTERPRETATION**1. Interpretation**

(1) In this Act, unless the context otherwise requires –

“applicant” means a person who has made an application to a tribunal for –

- a) review of a taxation decision;
- b) an extension of time under section 16(2); or
- c) reinstatement of an application under section 26(4);

“chairperson” means the chairperson of a tribunal appointed under section 3;

“currency point” has the value assigned to it in the Schedule to this Act;

“decision maker” is the person who holds the office which has general administration of a taxing Act under which a taxation decision has been made;

“member” means a member of a tribunal;

“Minister” means the Minister responsible for finance;

“objection decision” means a taxation decision made in respect of a taxation objection;

“proceeding”, in relation to a tribunal, means –

- a) an application to a tribunal for review of a taxation decision;
- b) an application to a tribunal for an extension of time under section 16(2);
or

- c) an application to a tribunal for reinstatement of an application under section 26(4);

“registrar” means the registrar of a tribunal;

“tax” includes duty, rate, levy or other imposition;

“taxation decision” means any assessment, determination, decision or notice;

“taxing Act” means any Act which imposes a tax;

“tribunal” means a tax appeals tribunal established by this Act and, in relation to a proceeding, means a tax appeals tribunal established as constituted for the purposes of the proceeding.

- (2) For the purposes of this Act, where a taxing Act provides that a person dissatisfied with a taxation decision may object against the decision, such an objection is referred to as a “taxation objection”.

PART II-ESTABLISHMENT OF TAX APPEALS TRIBUNALS

2. Establishment of tax appeals tribunals

- 1) There are established tribunals to be known as the tax appeals tribunals.
- 2) A tribunal shall consist of a chairperson and eight other tribunal members appointed in accordance with this Act.
- 3) At least forty percent of the members of the tribunal shall be women.

3. Appointment of chairperson of tribunal

- 1) The Minister, in consultation with the chairperson of the Judicial Service Commission, shall appoint the chairperson of a tribunal.
- 2) A person is not qualified to be appointed chairperson of a tribunal unless he or she is qualified to be appointed a judge of the High Court.

4. Appointment of other members of tribunal

- 1) The other members of a tribunal shall be appointed by the Minister.
- 2) A member of a tribunal shall be appointed on a part-time or full-time basis.

5. Qualifications for appointment

- 1) A person may only be appointed as a member of a tribunal if the person-
 - a) is of high moral character and proven integrity; and

- b) has not been convicted of any offence involving moral turpitude.
- 2) A member of a tribunal shall be a person qualified in taxation, finance, accounting or law.
- 3) No member of a tribunal may be an officer of the Uganda Revenue Authority or a civil servant.

6. Term of appointment

- 1) The chairperson shall hold office for a term of three years and is eligible for re-appointment.
- 2) Subject to this Act, a member of a tribunal shall hold office for a term of three years and is eligible for re-appointment.

7. Conditions of appointment

- 1) Subject to this Act, a member of a tribunal holds office on such terms and conditions as are prescribed, including terms and conditions relating to remuneration and allowances.
- 2) The appointment of a judge as chairperson shall not affect his or her tenure of office as a judge, or his or her rank, title, status, precedence, salary and allowances, or other rights or privileges as the holder of the office of judge of the courts of judicature and, for all purposes, his or her service as chairperson shall be taken to have been service as holder of the office of such a judge.

8. Oath of office

A person who is appointed as a member of a tribunal shall, before assuming the duties of his or her office, take and subscribe the oath of allegiance and the judicial oath in the Fourth Schedule to the Constitution.

9. Termination of appointment

- 1) This section applies to all members of a tribunal.
- 2) A member of a tribunal may resign his or her office by notice in writing delivered to the Minister.
- 3) A member may be removed from office only for-
 - a) inability to perform the functions of his or her office arising from infirmity of body or mind;
 - b) misbehaviour or misconduct;
 - c) incompetence; or
 - d) being an undischarged bankrupt.

- 4) The Minister shall remove a member of a tribunal if the question of his or her removal has been referred to a committee appointed under subsection (5) and the committee has recommended to the Minister that the member ought to be removed from office on any ground described in subsection (3).
- 5) If the Minister is of the opinion that a member of a tribunal should be removed, the Minister shall appoint a committee consisting of three persons who are or who have held offices as judges of a court having unlimited jurisdiction in civil and criminal matters or a court having jurisdiction in appeals from such a court, or who are advocates of at least ten years' standing.
- 6) The committee appointed under subsection (5) shall inquire into the matter and report to the Minister recommending whether or not the member ought to be removed under this section.
- 7) Where the question of the removal of a member of the tribunal is referred to a committee under this section, the Minister shall suspend the member from performing the functions of his or her office.
- 8) A suspension under subsection (7) shall cease to have effect if the committee advises the Minister that the member suspended should not be removed from office.

10. Disclosure of interest

Where a member is, or is to be, a member of the tribunal as constituted for the purposes of a proceeding and the member has any interest, pecuniary or otherwise, that could conflict with the proper performance of the member's functions, the member shall disclose the interest to the parties to the proceeding and, except with the consent of all the parties to the proceeding, the member shall not take part in the proceeding or exercise any powers in relation to the review by a tribunal of the taxation decision to which the proceeding relates.

PART III-ORGANISATION OF TRIBUNALS

11. Official seal

- 1) A tribunal shall have a seal which shall be judicially noticed.
- 2) The seal of a tribunal shall be affixed by or with the authority of the tribunal to such documents as are required by a direction of the chairperson to be sealed with the seal of the tribunal.

12. Arrangement of business

- 1) Subject to this Act, the chairperson is responsible for ensuring the orderly and expeditious discharge of the business of the tribunal.
- 2) Without limiting the operation of subsection (1), the chairperson shall give directions as to-
 - a) the arrangement of the business of the tribunal;
 - b) the places at which the tribunal may sit;
 - c) the procedure of the tribunal generally; and
 - d) the procedure of the tribunal at a particular place.
- 3) The times and places of the hearings of a tribunal shall be determined by the chairperson with a view to securing a reasonable opportunity for applicants to appear before the tribunal with as little inconvenience and expense as is practicable.

13. Constitution of tribunal for exercise of powers

- (1) A tribunal shall be constituted for a proceeding by three members.
- (2) At a hearing of a proceeding before the tribunal at which the tribunal is constituted by three members –
 - a) if the chairperson is a member of the tribunal as constituted, he or she shall preside; or
 - b) in any other case, a member elected by the members present from among their number shall preside.
- (3) Where, in the case of a proceeding constituted by three members, one of those members ceases to be a member, or ceases to be available for the purposes of the proceeding, before the matter to which the proceeding relates is determined–
 - a) if the parties to the proceeding agree, then the proceeding shall be completed by the tribunal constituted by the remaining members of the tribunal; or
 - b) if the parties do not agree, the proceedings shall be adjourned and another member shall replace the member who ceased to be a member for the purposes of the proceeding and the proceeding shall be reheard.
- (4) Where, as a result of subsection (3)(a), the tribunal is constituted by

two members and the members do not agree on the decision to be made, the chairperson shall assign another member to the tribunal for the purposes of the proceeding, and the proceeding shall be reheard.

- (5) Where a proceeding is reheard by the tribunal, the tribunal may, for the purposes of the proceeding, have regard to any record of the proceeding before the tribunal as previously constituted, including a record of any evidence taken in that proceeding.

PART IV - REVIEW BY TRIBUNALS OF TAXATION DECISIONS

14. Tribunal to review taxation decisions

- (1) A person who is aggrieved by a decision made under a taxing Act by-
- a) the Uganda Revenue Authority; or
 - b) the Tax Agents Registration Committee established under the Tax Procedures Code Act,

may apply to the tribunal for a review of the decision.

- (2) The tribunal has power to review any taxation decision in respect of which an application is properly made.
- (3) A tribunal shall, in the discharge of its functions, be independent and shall not be subject to the direction or control of any person or authority.

15. Deposit of portion of tax pending determination of objection

- (1) A taxpayer who has lodged a notice of objection to an assessment shall, pending final resolution of the objection, pay thirty percent of the tax assessed or that part of the tax assessed not in dispute, whichever is greater.
- (2) Subject to subsection (1), in the case of goods which are perishable, the goods shall be released to the taxpayer immediately after payment of the amount of tax prescribed in that subsection; but the Uganda Revenue Authority shall be given surety equivalent to the amount of tax assessed.

16. Application for review of taxation decision

- (1) An application to a tribunal for review of a taxation decision shall –
- a) be in writing in the prescribed form;
 - b) include a statement of the reasons for the application; and

- c) be lodged with the tribunal within thirty days after the person making the application has been served with notice of the decision.
- (2) A tribunal may, upon application in writing, extend the time for making an application to the tribunal for a review of a taxation decision.
- (3) An applicant to a tribunal shall serve a copy of the application on the decision maker within five days after lodging the application with the tribunal.
- (4) Where an application for review relates to a taxation decision that is an objection decision, the applicant is, unless the tribunal orders otherwise, limited to the grounds stated in the taxation objection to which the decision relates.
- (5) An application to a tribunal for review of a taxation decision is not taken to have been made unless the prescribed non-refundable fee, if any, in respect of the application has been paid.
- (6) The Civil Procedure and Limitation (Miscellaneous Provisions) Act shall not apply to an application for review.
- (7) An application for review of a taxation decision shall be made within six months after the date of the taxation decision.

17. Lodging of material documents with tribunal

- (1) Subject to this section, not later than thirty days after being served with a copy of an application to a tribunal to review a taxation decision, the decision maker shall lodge with the tribunal two copies of –
 - (a) the notice of the decision;
 - (b) a statement giving the reasons for the decision; and
 - (c) every other document in the decision maker's possession or under his or her control which is necessary to the tribunal's review of the decision.
- (2) Where the tribunal is of the opinion that there may be –
 - (a) particular other documents; or
 - (b) other documents included in a class of documents,which may be relevant to the review of a decision by the tribunal, the tribunal may, by notice in writing, require the decision maker to lodge with the tribunal the documents specified in the notice to the extent that

those documents are in the person's possession or under the control of that person.

- (3) This section has effect notwithstanding any rule of law relating to privilege or the public interest in relation to the production of documents.

18. Mediation⁹¹³

- (1) A tribunal may, prior to hearing any application filed with the tribunal, refer the matter for mediation to a Registrar or to a mediator in accordance with the Judicature (Mediation) Rules.
- (2) The Judicature (Mediation) Rules shall apply, with necessary modifications, to mediation under this Act.

19. Burden of proof

In a proceeding before a tribunal for review of a taxation decision, the applicant has the burden of proving that –

- a) where the taxation decision is an objection decision in relation to an assessment, the assessment is excessive; or
- b) in any other case, the taxation decision should not have been made or should have been made differently.

20. Review by Tribunal

- (1) For the purpose of reviewing a taxation decision, a tribunal may exercise all the powers and discretions that are conferred by the relevant taxing Act on the decision maker and shall make a decision in writing –
- a) affirming the decision under review;
- b) varying the decision under review; or
- c) setting aside the decision under review and either –
- i. making a decision in substitution for the decision so set aside; or
- ii. remitting the matter to the decision maker for reconsideration in accordance with any directions or recommendations of the tribunal.
- (2) The tribunal shall give reasons, in writing, for its decision, including its findings on material questions of fact and reference to the evidence or other material on which those findings were based.

⁹¹³ Inserted by TAT (Am) Act, 2018

- (3) A decision on an application for review shall be made as soon as is practicable after the hearing has been completed; and the tribunal shall cause a copy of its decision, including the reasons for the decision, to be served on each party to the proceeding.
- (4) Subject to subsection (5), a decision of a tribunal comes into operation upon the giving of the decision or on such other date as may be specified by the tribunal in the decision.
- (5) A taxation decision varied by a tribunal or a decision made by the tribunal in substitution for a taxation decision under review shall, for all purposes other than for the purpose of making an application to the tribunal for review or the lodging of an appeal against the decision, be deemed to be a decision of the decision maker and, unless the tribunal orders otherwise, has effect on and from the day on which the decision under review had effect.
- (6) A decision of a tribunal shall have effect and be enforceable as if it were a decision of a court.
- (7) Subject to subsection (9), all decisions of a tribunal and all evidence received by it, including a transcript of the report of the hearings, are public records open to the inspection of the public.
- (8) Subject to subsection (9), a tribunal shall provide for the publication of its decisions, including reasons, in such form and manner as may be adapted for public information and use, and such authorised publication is evidence of the decisions of the tribunal in all courts of Uganda without any further proof of authentication.
- (9) A tribunal shall ensure that in releasing or allowing access to information under subsection (7) or (8), measures are taken to prevent the disclosure of trade secrets or other confidential information.

21. Hearings

Subject to Article 28 of the Constitution, hearings before a tribunal shall be open to the public unless the tribunal, on the request of either party, directs that the hearing should be closed to the public.

22. Powers of tribunal

- (1) For the purpose of a proceeding before a tribunal, the tribunal may –
 - a) take evidence on oath;

- b) proceed in the absence of a party who has had reasonable notice of the proceeding; and
 - c) adjourn the hearing of the proceeding.
- (2) For the purpose of the hearing of a proceeding before a tribunal, the tribunal shall have powers of the High Court to summon a person to appear before it –
- a) to give evidence; or
 - b) to produce books, documents or things that are mentioned in the summons which are in the possession, custody or control of the person named in the summons.
- (3) Where a tribunal considers it desirable for the purposes of avoiding expenses or delay, or for any other special reason, the tribunal may receive evidence by affidavit and administer interrogations and require the persons to whom interrogations are administered to make a full and true reply to the interrogations.
- (4) A tribunal shall have power to issue a commission or request to examine witnesses abroad.
- (5) A tribunal may make an order as to costs against any party, and the order shall be enforceable in like manner to an order of the High Court.
- (6) A tribunal may make an order as to damages, interest or any other remedy against any party, and the order shall be enforceable in the same manner as an order of the High Court.⁹¹⁴

23. Procedure

- (1) In any proceeding before a tribunal, the procedure of the tribunal is, subject to this Act, within the discretion of the tribunal.
- (2) A proceeding before a tribunal shall be conducted with as little formality and technicality as possible, and the tribunal shall not be bound by the rules of evidence but may inform itself on any matter in such manner as it thinks appropriate.
- (3) The proceedings of a tribunal shall be conducted in accordance with such rules of practice and procedure as the tribunal may specify, and the tribunal may direct the application of the rules of practice and procedure of any court subject to such modifications as the tribunal may direct.

⁹¹⁴ Inserted by TAT (Am) Act, 2018

- (4) The tribunal shall have such assistance in carrying out its lawful writs, processes, orders, rules, decrees or commands as is available to a court in Uganda.

24. Representation before tribunal

At the hearing of a proceeding before a tribunal, the applicant may appear in person or may be represented.

25. Opportunity to make submissions concerning evidence

A tribunal shall ensure that every party to a proceeding before the tribunal is given a reasonable opportunity to present the case of the party and, in particular, to inspect any documents to which the tribunal proposes to have regard in reaching a decision in the proceeding and to make submissions in relation to those documents.

26. Discontinuance, dismissal or reinstatement of application

- (1) An applicant may, by notice in writing lodged with a tribunal, at any time, notify the tribunal that the application is discontinued or withdrawn, and the tribunal shall dismiss the application without proceeding to review the decision.
- (2) If an applicant fails, without reasonable excuse, to appear at the hearing of the proceeding, a tribunal may dismiss the application without proceeding to review the decision.
- (3) If an applicant fails within a reasonable time to proceed with the application or to comply with a direction by a tribunal in relation to the application, the tribunal may dismiss the application.
- (4) Where the tribunal has dismissed an application under subsection (2) or (3), the applicant may, within thirty days after receiving notification that the application has been dismissed, apply to the tribunal for reinstatement of the application, and the tribunal may, if it considers it appropriate to do so, reinstate the application and give such directions as appear to be appropriate in the circumstances.

27. Power of tribunal if parties reach agreement

If, at any stage during a proceeding, the parties to the proceeding agree in writing as to the terms of a decision of the tribunal in the proceeding or in relation to a part of the proceeding or a matter arising out of a proceeding and the tribunal is satisfied that a decision in those terms is within the powers of the tribunal, the tribunal, may –

- a) where the agreement reached is as to the terms of a decision of the tribunal in the proceeding, make a decision in accordance with those terms without holding a hearing or, if the hearing has commenced, without completing the hearing; or
- b) where the agreement reached relates to a part of a proceeding or a matter arising out of a proceeding, in its decision in the proceeding, give effect to the terms of the agreement without dealing at the hearing with that part of the proceeding or the matter arising out of the proceeding to which the agreement relates.

28. Appeals to High Court from decisions of tribunal

- (1) A party to a proceeding before a tribunal may, within thirty days after being notified of the decision or within such further time as the High Court may allow, lodge a notice of appeal with the Registrar of the High Court, and the party so appealing shall serve a copy of the notice of appeal on the other party to the proceeding before the tribunal.
- (2) An appeal to the High Court may be made on questions of law only, and the notice of appeal shall state the question or questions of law that will be raised on the appeal.
- (3) The High Court shall hear and determine the appeal and shall make such order as it thinks appropriate by reason of its decision, including an order affirming or setting aside the decision of the tribunal or an order remitting the case to the tribunal for reconsideration.

29. Appeals to Court of Appeal from decisions of High Court⁹¹⁵

- (1) A party to proceedings before the High Court may, within thirty days after being notified of the decision or within such further time as the Court of Appeal may allow, lodge a notice of appeal with the registrar of the Court of Appeal, and the party so appealing shall serve a copy of the notice of appeal on the party to the proceedings before the High Court.
- (2) An appeal to the Court of Appeal may be on questions of law only and the notice of appeal shall state the question or questions of law that will be raised on the appeal.

⁹¹⁵ Inserted by TAT (Am) Act, 2021

- (3) The Court of Appeal shall inquire and determine the appeal expeditiously and shall declare its findings not later than sixty days from the date of filing the appeal.

30. Appeals to Supreme Court from decisions of Court of Appeal⁹¹⁶

- (1) A party to proceedings before the Court of Appeal may with leave of court, lodge a notice of appeal with the registrar of the Supreme Court, and the party so appealing shall serve a copy of the notice of appeal on the party to the proceedings before the Court of Appeal.
- (2) An appeal to the Supreme Court may be lodged with a certificate of the Court of Appeal that the matter raises questions of law of great public importance or if the Supreme Court in its overall duty to see that justice is done, considers that the appeal should be heard.
- (3) The Supreme Court shall inquire and determine the appeal expeditiously and shall declare its findings not later than thirty days from the date of filing the appeal.

31. Operation and implementation of decision subject to review or appeal

- (1) Where an application for review *or appeal* of a taxation decision has been lodged with a *reviewing body* [tribunal or an appeal against a decision of a tribunal has been lodged with the High Court], the reviewing body may make an order staying or otherwise affecting the operation or implementation of the decision under review or appeal, or a part of the decision, as the reviewing body considers appropriate for the purposes of securing the effectiveness of the proceeding and determination of the application for *review or appeal*.⁹¹⁷
- (2) Where the decision maker is required to refund an amount of tax to a person as a result of a decision of a reviewing body, the tax shall be repaid with interest at the rate specified in the relevant law on the amount of the refund for the period commencing from the date the person paid the tax refunded and ending on the last day of the month in which the refund is made.
- (3) In this section, “reviewing body” *means a tribunal, the High Court,*

*Court of Appeal or Supreme Court, as the case may be.*⁹¹⁸

- a) in the case of an application for review to a tribunal, the tribunal; or

⁹¹⁶ Inserted by TAT (Am) Act, 2021

⁹¹⁷ Substituted by TAT (Am) Act, 2021

⁹¹⁸ Substituted by TAT (Am) Act, 2021

b) in the case of an appeal to the High Court, the High Court.

PART V-MANAGEMENT OF TRIBUNALS

32. Management of administrative affairs of tribunal

- 1) The chairperson is responsible for managing the administrative affairs of the tribunal.
- 2) In the management of the administrative affairs of the tribunal, the chairperson shall be assisted by the registrar of the tribunal and such officers and employees as may be necessary for the efficient discharge of the functions of the tribunal.
- 3) The registrar and other officers and employees of the tribunal shall be appointed by the tribunal.

33. Registrar of tribunal

- (1) There shall be a registrar of each tribunal who shall perform the registry functions of the tribunal.
- (2) A person shall not be qualified to be appointed registrar unless he or she is qualified to be appointed as a registrar of the High Court.
- (3) A registrar has power to do all things necessary or convenient to be done for the purpose of assisting the chairperson under section 32.
- (4) The chairperson may give the registrar directions regarding the exercise of his or her powers under this Part.
- (5) Notwithstanding subsection (3), a registrar shall have power to –⁹¹⁹
 - (a) hear and determine interlocutory applications arising from an application filed with a tribunal;
 - (b) tax a bill of costs; and
 - (c) mediate any matter referred to him or her by a tribunal.

PART VI-OFFENCES AND PENALTIES

34. Failure to comply with summons

Any person who has been served with a summons issued by the registrar –

- (a) to appear as a witness before a tribunal; or

⁹¹⁹ (5) Inserted by TAT (Am) Act, 2018

(b) to produce a book, document or thing,

and who, without reasonable excuse, fails to comply with the summons, commits an offence and is liable, on conviction, to a fine not exceeding sixty currency points or to imprisonment for a term not exceeding two years, or both.

35. Failure to answer questions

Any person who appears as a witness before a tribunal and who, without reasonable excuse, refuses or fails to answer a question that he or she is required to answer by the presiding member at the proceeding, commits an offence and is liable, on conviction, to a fine not exceeding sixty currency points or to imprisonment for a term not exceeding two years, or both.

36. False or misleading evidence

Any person who appearing as a witness before a tribunal gives evidence that, to his or her knowledge, is false or misleading commits an offence and is liable, on conviction, to a fine not exceeding sixty currency points or to imprisonment for a term not exceeding two years, or both.

37. Contempt of tribunal

Any person who –

- (a) insults a member in, or in relation to, the exercise of his or her powers or functions as a member;
- (b) interrupts the proceedings of a tribunal;
- (c) creates a disturbance, or takes part in creating a disturbance in or near a place where a tribunal is sitting; or
- (d) does any other act or thing that would, if a tribunal were a court of record, constitute a contempt of that court,

commits an offence and is liable, on conviction, to a fine not exceeding twenty-five currency points or to imprisonment for a term not exceeding six months, or both.

PART VII - FINANCIAL MATTERS

38. Funds, accounts and audit

- 1) A tribunal shall annually present a budget to the Minister for his or her approval.

- 2) The funds of a tribunal shall consist of-
 - a) money appropriated by Parliament for the purposes of the tribunal;
 - b) grants received by the tribunal with the approval of the Minister;
 - c) fees and fines levied by the tribunal;
 - d) any other money as may, with the approval of the Minister, be received by or made available to the tribunal for the purpose of performing its functions.
- 3) A tribunal shall keep proper books of accounts which shall be subject to annual audit by the Auditor General.

PART VIII – MISCELLANEOUS

39. Immunity from suit

No action, suit, prosecution or any other proceeding may be brought or instituted personally against a person who is or was a member of the tribunal in respect of any act done or omitted to be done in good faith in the discharge of any function under this Act.

40. Delegation

- 1) The chairperson may, by an instrument in writing, delegate to a member all or any of his or her functions under this Act, other than the power of delegation.
- 2) A power delegated under this section when exercised by the delegate shall, for all purposes of this Act, be deemed to have been exercised by the chairperson.
- 3) A delegation may be made to a member under this section notwithstanding that a delegation to another member is, or delegations to other members are, in force under this Act.
- 4) A delegation under this section does not prevent the exercise of a power by the chairperson.

41. Service of notices and other documents

The rules for service of notices and other documents in a taxing Act under which the taxation decision under review is made shall apply for the purpose of serving any notice or document required or authorised by this Act.

42. Regulations

The Minister may, by statutory instrument, make regulations for better carrying into effect the provisions and purposes of this Act.

43. Power to amend Schedule

The Minister may, by statutory instrument, with approval of Cabinet, amend the Schedule to this Act.

SCHEDULE

Section 1, 43

Currency Point

A currency point is equivalent to twenty thousand shillings.

History: Act 12/1997; S.I. 73/1998; Cap. 345 (Revised Edition, 2000); Act 14/2014; Act 2/2018; Act 10/2021; Act 12/2022

Cross References

Constitution

Civil Procedure and Limitation (Miscellaneous Provisions) Act, Cap. 283

Judicature (Mediation) Rules, S.I. 16-23

Tax Procedures Code Act, Cap 343

Statutory Instrument 345 – 1

TAX APPEALS TRIBUNALS (Procedure) RULES

(Under section 23 of the Act)

1. Citation

These Rules may be cited as the Tax Appeals Tribunals (Procedure) Rules.

2. Application of these Rules and other rules

- (1) Subject to section 23 of the Act, these Rules apply to all proceedings of a tribunal.
- (2) In addition to these Rules, the rules for service of notices and other documents in the taxing Act under which the taxation decision is being reviewed apply for the purposes of serving any notice or document required or authorised under the taxing Act.

3. Interpretation

In these Rules, unless the context otherwise requires -

- (a) “Act” means the Tax Appeals Tribunals Act;
- (b) “Commissioner General” means the Commissioner General of the Uganda Revenue Authority appointed under the Uganda Revenue Authority Act;
- (c) “officer in charge” means an officer of a tax appeals tribunal in charge of registry functions at a regional registry or other registry designated by the chairperson of the tribunal;
- (d) “representative” means an agent, employee, or any person authorised in writing by the applicant to represent him or her under these Rules and includes a registered accountant in public practice or a licensed customs, excise or value added tax agent.

4. Business of Tribunal

The business of a tribunal shall, unless otherwise directed by the chairperson, be conducted during official working days and hours designated for Government business.

5. Sittings of Tribunal

- (1) The sittings of a tribunal and the matters to be disposed of at such sittings shall be determined by the chairperson and shall be advertised and notified in such manner as the chairperson may direct.

- (2) Nothing in these Rules precludes the tribunal from disposing of any business that has not been advertised or notified.

6. Establishment of registries

There is established a principal registry of the tribunal at Kampala and regional registries, or such other registries of the tribunal as the chairperson may designate by notice in the Gazette.

7. Filing of application

- (1) An appeal to a tribunal shall be commenced by filing an application in the registry at Kampala or at a regional registry or any other registry designated by the chairperson.
- (2) All subsequent documents required to be lodged in relation to an application shall also be lodged in the relevant registry.

8. Titling of application

An application filed -

- (a) in the Kampala registry of the tribunal shall be entitled as an application in the Tax Appeals Tribunal at the Kampala Registry;
- (b) at a regional registry of the tribunal as an application in the Tax Appeals Tribunal at the regional registry; and
- (c) at any other registry designated by the chairperson as an application in the Tax Appeals Tribunal at that registry.

9. Status of application

Where an application is filed at the regional registry or at any other registry designated by the chairperson, the officer in charge of that respective registry shall, after entering the application in the register, immediately transfer the application to the registrar and thereafter, the application shall be dealt with as though it had been filed in the Kampala registry.

10. Form of application; receipt of application

- (1) An application filed with the tribunal for review of a taxation decision shall be in triplicate in Form TAT.1 in the Schedule to these Rules and shall clearly state the reasons for the application and, in numerical order, the issues on which a decision is sought.
- (2) On receipt of an application, the registrar or officer in charge of a regional registry or other registry designated by the chairperson shall deal with it as follows-

- (a) all three copies of the application shall, upon receipt, be duly dated, stamped and signed;
- (b) the first copy shall be retained for the use of the tribunal; and
- (c) the second and third copies shall be returned to the applicant to be served on the Commissioner General in accordance with rule 13 of these Rules.

11. Validity of application

The registrar shall not accept an application unless -

- (a) it is filed within thirty days after the applicant has been served with notice of the decision appealed against;
- (b) the non-refundable fee prescribed in rule 28 of these Rules has been paid; and
- (c) it is filed within six months after the date of the taxation decision.

12. Extension of time for filing application

Where an application is not filed with the registrar within thirty days from the date the applicant was served with the notice of the decision, the tribunal may, in its discretion, upon the application of the applicant in writing, extend the time for making an application.

13. Service on Commissioner General

- (1) An applicant shall, within five days after filing an application with a tribunal, serve a copy of the application on the Commissioner General.
- (2) Service of an application on the Commissioner General under sub-rule (1) of this rule shall be by delivering or tendering to him or her the second and third copies of the application; the second copy shall be stamped and dated as evidence of service and returned to the applicant, and the third copy shall be retained by the Commissioner General.

14. Lodging of material documents

- (1) The Commissioner General shall, not later than thirty days after being served with an application under rule 13 of these Rules, cause to be lodged with the registrar in Form TAT.2 in the Schedule to these Rules, two copies of-
 - (a) the notice of the decision;
 - (b) a statement giving reasons for the decision; and

- (c) all documents in the Commissioner General's possession or under his or her control which are necessary to enable the tribunal to review the decision.
- (2) The notice of the tribunal to the Commissioner General specifying documents to be produced shall be in Form TAT.3 in the Schedule to these Rules.

15. Maintenance of registers and files

The registrar shall maintain -

- (a) a register of applications in which the particulars of every application are entered by serial number in every year, according to the order in which the applications are admitted and which shall contain –
 - i. the serial number of the application;
 - ii. the date of the application;
 - iii. the name and address of the applicant;
 - iv. the name and address of the decision maker;
 - v. a brief description of the tax decision giving rise to the application;
 - vi. the date of the hearing;
 - vii. the names of witnesses;
 - viii. a list of documents produced, including those requested by the tribunal;
 - ix. the decision or order of the tribunal and the date on which it was made;
 - x. the date on which the remedy was executed;
 - xi. the particulars of execution of the decision or order;
 - xii. the application for appeal to the High Court, if any, and the date for appeal; and
 - xiii. the final disposal of the application; and
- (b) a file for each application containing –
 - i. particulars of the application;
 - ii. notices of the decision;
 - iii. a statement giving reasons for the decision;
 - iv. a list of all material documents including those requested by the tribunal;
 - v. the substance of evidence given by the parties and their witnesses; and
 - vi. the decision of the tribunal.

16. Notice to parties to appear

The registrar shall give all parties to an application not less than fourteen days' notice of the date fixed for the hearing of the application in Form TAT.4 in the Schedule to these Rules.

17. Summons for witnesses

- (1) The registrar shall, prior to the date for the hearing of an application, issue a summons in Form TAT.5 in the Schedule to these Rules, requiring attendance at a date, time and place specified in the summons, of such witnesses as may be required.
- (2) A person appearing as a witness before a tribunal is entitled to be paid the same allowances paid to witnesses in the High Court.

18. Summons to produce books, etc

At any time before the hearing, or after the registrar has issued a summons, either party may, on application to the registrar, obtain a summons for witnesses whose attendance to give evidence or to produce a book, document or thing named in the summons may be required.

19. Mode of service of summons

- (1) Every witness summons or other notice requiring service shall, if practicable, be served personally on the person named in the summons or notified by delivering or tendering to him or her a duplicate of it and at the same time producing the original, if required to do so.
- (2) Every person upon whom a summons or notice is served shall sign or put his or her signature or mark in recognition of receipt of the summons or notice upon the back of the original of the summons or notice; where he or she refuses to do so, the person who has effected service of the summons or notice shall record in writing the refusal on the back of the notice or summons.
- (3) Where it is not practicable or possible to effect personal service of a summons or notice in the manner provided in this rule, service of the summons or notice may be made by -
 - a) leaving the duplicate of it for him or her with any adult person residing with him or her, an adult member of the family, or with his or her employer or employee;
 - b) affixing the duplicate to a conspicuous place in the house or homestead in which the person named in the summons or notice ordinarily

resides, or by affixing the duplicate in a conspicuous place in his or her office or place of work and also to a conspicuous place in the tribunal offices, and the summons or notice shall be taken to have been duly served; or

- c) publishing in a newspaper circulating in the area or any other media, the particulars of the summons or notice.
- (4) Every summons or notice issued under these Rules and requiring service shall be served by an officer of a tribunal or any other person authorised to do so including a chief, an officer of a local council or a police officer.
- (5) Any notice or summons served on the advocate, representative or agent of any party whether by registered post or by leaving it at the registered chamber, office or ordinary residence of the advocate, representative or agent and whether it is for the personal appearance of the party or not shall be presumed to be duly communicated and made known to the party whom the advocate, representative or agent represents and, unless the tribunal otherwise directs, shall be effectual for all purposes as if it had been served on the party in person.
- (6) Every summons, warrant, order, notice or other formal document issued by the tribunal shall be signed by the chairperson or by the registrar and shall be sealed with the seal of the tribunal.

20. Arrest warrant for witnesses

Where, without sufficient cause, a witness does not appear in obedience to a summons, the tribunal may, on proof that proper service had been effected on the witness, issue a warrant of arrest in Form TAT.6 in the Schedule to these Rules for the witness to be brought before the tribunal at a date, time and place specified in the warrant.

21. Non-appearance of respondent

- (1) If on the date fixed for the hearing of an application the applicant appears but the respondent does not appear, the tribunal may, if satisfied that a summons or notice notifying the respondent of the time and place for the hearing has been duly served upon the respondent, proceed to hear the evidence of the applicant, if any, and upon completion adjourn the hearing.
- (2) If on the day to which the hearing of the application is adjourned the respondent does not appear, a tribunal shall examine the record and documents submitted by the decision maker and make a decision it thinks appropriate in the circumstances.

22. Order of addresses

- (1) Subject to section 21(1)(b) of the Act, a tribunal shall at the hearing of an application hear first the applicant and his or her witnesses, if any.
- (2) At the close of the evidence of the applicant or that of his or her witnesses, the evidence of the respondent shall be heard, followed by that of each of his or her witnesses; and the applicant or his or her advocate or representative shall be given the opportunity to cross-examine the respondent and each of his or her witnesses; after which the parties shall make their submissions.
- (3) A tribunal may, at any time, put questions to either party or to any witness and may, at its discretion, call such additional evidence as is necessary for further clarification of the issues raised at the hearing of the application.
- (4) A tribunal may, for sufficient reason, at any time after beginning to hear the application, adjourn the hearing; and in every such case the tribunal shall fix a day within the next five days for further hearing and disposal of the application.

23. Recording of evidence

- (1) The evidence of the parties and that of each witness shall be taken down in writing by the members of the tribunal at that proceeding, or by any person authorised to do so, in a form to be decided upon by the members and when completed shall be signed by the members of the tribunal at that proceeding.
- (2) Notwithstanding sub-rule (1) of this rule, the evidence given at the hearing of an application may be recorded in shorthand or by mechanical means; and if the parties to the proceeding agree, the transcript of anything so recorded shall, if certified by the members of the tribunal at that proceeding to be correct, be deemed to be a true record of such evidence for the purposes of the proceeding.

24. Decision to be made in presence of parties

After concluding the hearing of the evidence and submissions of the parties, the tribunal shall, as soon as is practicable, make a decision in the presence of the parties or their advocates or representatives and shall cause a copy, duly signed and certified by the members of the tribunal which heard the application, to be served on each party to the proceeding.

25. Contents of decision

The decision of a tribunal shall be in writing and shall contain –

- (a) the nature of the application;

- (b) a summary of all the relevant evidence produced before the tribunal and the reasons for accepting or rejecting the evidence;
- (c) the reasons for the decision;
- (d) the relief or remedy, if any, to which the applicant is entitled; and
- (e) an order as to costs.

26. Evidence by affidavit and interrogatories

- (1) Where the tribunal requires evidence to be received by means of affidavit and interrogatories, the interrogatories and answers to interrogatories shall be by such means and in such form as the chairperson may direct.
- (2) In any proceedings where the evidence of a witness who resides outside Uganda is necessary, the tribunal shall have the power to issue a commission or letter of request to examine that witness abroad.

27. Functions of registrar

The functions of the registrar are –

- (a) to receive and register applications, notices of decision and all documents or things relating to the application;
- (b) to issue and serve notices and summons of the tribunal;
- (c) to keep all documents, books, things or records of the proceedings of the tribunal; and
- (d) taxation of costs.

28. Application fee and application of the Judicature (Courts Fees) Rules

- (1) The fee payable for filing an application under these Rules is twenty thousand shillings and is not refundable.
- (2) The fees payable in respect of any other matter or proceeding before the tribunal shall be the fees prescribed by the Judicature (Courts Fees) Rules.

29. Application of Advocates (Remuneration and Taxation of Costs) Rules

- (1) Where the applicant is represented by an advocate, the scale of costs applicable to costs in the High Court and Magistrates' Courts for instructions to prosecute or defend an application before the tribunal shall be those prescribed in the Advocates (Remuneration and Taxation of Costs) Rules.

- (2) In cases where the applicant is represented by a person other than an advocate, the costs applicable shall be such costs as may be determined by the registrar.

30. High Court Rules to apply where provision not made

In any matter relating to the proceedings of a tribunal for which these Rules do not provide, the rules of practice and procedure of the High Court shall apply, subject to such modifications as the tribunal may direct.

This publication is a reproduction of the following Principal Acts and Subsidiary Legislation:

1. **Income Tax Act, Cap. 338**
2. **Value Added Tax Act, Cap. 344**
3. **Excise Duty Act, Cap. 366**
4. **Stamp Duty Act, Cap. 339**
5. **The Lotteries and Gaming Act, Cap. 334**
6. **The Tax Procedures Code Act, Cap. 343**
7. **East African Crude Oil Pipeline (Special Provisions) Act, Cap. 156**
8. **The Convention on Mutual Administrative Assistance in Tax Matters (Implemented) Act, Cap. 335**
9. **The Tax Appeals Tribunals Act, Cap. 341**

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